Week beginning 9 November 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: RBA hikes cash rate to new high of 4.85%, a December pause likely.

The Week That Was: Whiplash.

Focus on New Zealand: No deals are done.

For the week ahead:

Australia: Westpac-MI Consumer Sentiment, business survey, dwelling finance approvals, RBA's Hunter and Baker speaking.

New Zealand: retail card spending, RBNZ's Conway speaking.

China: CPI, PPI, trade balance, current account, new loans.

Euro Area: Q3 GDP, trade balance.

United Kingdom: Q3 GDP, BoE Governor Bailey speaking.

United States: Veterans Day, CPI, PPI, small business optimism, inflation expectations.

Information contained in this report current as at 6 November 2026.

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RBA hikes cash rate to new high of 4.85%, a December pause likely

Luci Ellis
Chief Economist, Westpac Group

As expected, the RBA Monetary Policy Board (MPB) lifted the cash rate 25bps to 4.85% at its November meeting. This follows the increase at the previous (late-September) meeting and is a marked turnaround from the outlook back in August. The post-meeting media statement cited higher global energy prices resulting from the Middle East conflict, tighter domestic capacity pressures and an increase in inflation expectations for the decision.

However, the decision was a split vote, 6 votes to 3, a possibility we have flagged for some time. In the post-meeting media conference, Governor Bullock explained that the dissenting minority put more weight on the downside risks and did not see signs of wages growth picking up as much as the staff forecasts implied. Those members were reportedly more confident that slower growth would prevent higher inflation expectations becoming entrenched.

Financial conditions are restrictive and this is expected to bring inflation down over time. Because the RBA assesses the risks to the inflation outlook to still be skewed to the upside, the outlook for coming meetings will still be for a decision between holding and hiking. But we note that the post-meeting statement omitted September's language "including increasing the cash rate target further if needed" from the commitment to do what is necessary to get inflation down.

In the post-meeting media conference, the Governor commented that after five hikes, this is probably a good time to "take stock". Together with the dissents, we read this as confirming our current view that the MPB will keep rates on hold in December. There is also considerable data flow between now and then, which could go either way, including the Q3 national accounts.

Similarly, a lot could happen between now and February, but we see it as the next most likely timing for a hike, should one eventuate. We still see that as a risk rather than a base case.

Revised forecasts published in the accompanying Statement on Monetary Policy (SMP) show underlying inflation lingering around current rates for longer. This contrasts with the previous SMP forecasts in August, which showed trimmed mean inflation returning to the 2–3%yr target range by late 2027 and a little below the 2.5%yr target midpoint in 2028. We note, however, that the conditioning assumptions on oil prices, which are based on futures prices, were at a local peak at the time the forecasts were finalised.

The RBA's GDP growth forecasts for 2027 and 2028 were both revised down –0.3%pts to 1.3% for 2027 and 1.5% in 2028, despite an upward revision to the near term. This is well below even the RBA's downbeat view of potential output growth. Within the GDP aggregate, recent misses and leading indicators have required upward revisions to the near-term outlooks for business and dwelling investment, and downside revisions to public demand. These revisions were offset further out with downward revisions to the 2028 outlook for business and dwelling investment and an upward revision to public demand. Household consumption forecasts were revised down across most of the profile.

"RBA lifts cash rate 25bps to 4.85% in split vote, citing "broadly based" domestic inflation pressures, Middle East conflict and AI boom."

With the unemployment rate already at 4.7% in August and September – a rate the RBA did not forecast until end-2027 in its August SMP forecasts – the RBA has lifted its unemployment forecast to show a peak of 5.1% in at end-2028, the end of the forecast horizon. This largely reflects stronger labour supply, with forecasts for employment growth essentially unchanged. We have repeatedly flagged that cost-of-living pressures are likely to keep people in the labour force and thus boost the participation rate. The RBA had previously not factored this adequately into its forecasts but acknowledged in the SMP that this mechanism had kept participation higher than it had expected at the time of the August SMP.

However, because inflation surprised to the upside recently, this additional labour supply has had no bearing on the RBA's assessment of capacity pressures. The RBA assesses the domestic economy to still be a little tight, and tighter than previously judged. The RBA's framework for assessing the degree of spare capacity or tightness in the economy necessarily translates an upside surprise on inflation (or unit labour costs) into a conclusion that the economy must be tighter than previously judged. Indeed, the RBA's estimate of the NAIRU (unemployment rate consistent with inflation stable at target) has been revised up to 4.75%.

The RBA highlighted that elevated inflation expectations may be contributing to higher realised inflation. Consumer inflation expectations have started to lift again but remain below where they peaked earlier this year. However, the RBA appears

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to be putting more attention on the inflation expectations of firms and the frequency of mentions of pricing in their liaison program. This is putting a lot of weight on proprietary information that is not clearly validated by other, longer-running data sources.

The AI boom is heavily cited in the SMP and other post-meeting communication. The RBA has lifted its forecasts for major trading partners, especially high-income Asian economies that are the centre of high-tech manufacturing. Demand for AI-related goods is also cited as a driver of both global and domestic inflation. And although the RBA has revised up its near-term forecasts for business investment on the back of strong data centre activity, it is working on the assumption that Australia does not become 'a significant regional hub for data centres'. Nor does it allow for any boost to productivity trends from the technology, even in 2028. This is a very different view of the risks from AI than the RBNZ expressed last week. For the RBA, it is all about inflation, a little bit about pressure on domestic construction resources, and nothing about either an ugly unwind of the current financing boom or a future productivity dividend.

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Cliff Notes: whiplash

Elliot Clarke, Head of International Economics
Ryan Wells, Economist

In Australia, the RBA delivered another 25bp rate increase at its November meeting, taking the cash rate to 4.85%. The move was widely expected, reflecting the Board's continued concern around inflation following the recent run higher in global energy prices, firmer domestic capacity pressures and signs that inflation expectations have edged up. Inflation is now not expected to return to the mid-point of the target band until mid-2028. This is despite weaker growth expectations and the unemployment rate trending up to 5.1% by end-2028 on the RBA's forecasts.

Importantly, though, the decision was not unanimous, with three members preferring to remain on hold given downside risks to activity and the restraining influence of slower growth. Governor Bullock's suggestion that it was time to "take stock" after five rate increases also struck a less hawkish note, while the statement dropped September's explicit reference to raising rates further "if needed". In our view, February represents the next plausible opportunity for another hike, but we see this only as a risk.

Policy's effect on housing is becoming increasingly visible. Cotality home prices fell a further 1.2% in October to now be 6.7% below March's peak. The cumulative price decline is approaching the scale of previous housing corrections but appears to have regained momentum after September's rate increase. Dwelling approvals saw a 5.1% headline gain in September, but this was driven by volatile unit approvals while detached house approvals fell sharply, suggesting higher rates and the established-market downturn are beginning to weigh on the construction pipeline.

Official data on nominal household spending meanwhile rose 0.6% in September and 2.1% for Q3; however, much of the recent acceleration looks to be price-driven, particularly for fuel. Real spending volumes expanded by a much more modest (but still solid) 0.7% in Q3.

The Westpac-DataX Consumer Panel provides a granular look at income, spending and saving flows. The latest update suggests that, beneath the resilient headline story, households are increasingly being squeezed, particularly those with low savings buffers. With another rate increase now delivered, housing wealth declining and sentiment weak, Q3 increasingly looks like the high-water mark for growth in consumer spending.

Lastly for Australia, in September the goods trade surplus widened sharply to $2.8bn, with non-monetary gold trade yet again adding considerable noise month-to-month. The most notable development was another exceptionally strong result for data-processing equipment imports, taking the Q3 total to $11.1bn. This is another clear marker of the scale of Australia's data-centre investment boom, which should feature prominently in both business investment and imports in the Q3 National Accounts.

"The RBA and Bank of England both tightened policy this week, in part due to price pressures emanating from the Middle East."

Offshore, the world has been focused on the US mid-term elections. In the House, Senate and a series of State Governor races, the Democrats experienced resounding victory. Come 2027, the Democrats will have a comfortable majority in both houses of Congress and are expected to make use of this strength to respond to voter concerns, particularly over cost-of-living pressures. The election result also limits President Trump's ability to fund an extended military action against Iran. Notably, both immediately before and after the election, President Trump and the administration have exhibited a greater interest in furthering negotiations with Iran. It is therefore not a surprise that Brent oil has backed off its most recent highs around USD118 last Friday, although the scale of the drop to near USD93 yesterday is arguably too optimistic. Brent has since traded back up to above USD99, still 16% below Friday's peak.

While the initial reaction to the US election result was a robust broad-based rally in major equity indexes, concerns over the potential for tighter regulation of AI and the related infrastructure buildout jolted US equities lower overnight – the Nasdaq falling 5.5% and S&P500 4.4%, both a multiple of the prior session's gains. That said, US term interest rates and FOMC rate expectations have also been scaled back; so, while tech may come under greater scrutiny, a foundation for better outcomes across the rest of the US economy may become evident in time. US data out this week continued to suggest their economy is in robust health overall. And, if tensions in the Middle East abate, the FOMC's concerns over US inflation should subside. Gaining enough comfort for the FOMC to not hike in December is a high bar, but the probability of further hikes in 2027 should continue to fall.

Turning then to the UK, the Bank of England raised Bank Rate by 25bps to 4.00% at their November meeting as expected. On the Bank's baseline expectation, UK inflation is forecast to rise from 3.5%yr at September to 5.00% by mid-2027. Activity data has also surprised to the upside in recent months, though "there remains limited evidence of knock-on effects on other prices and wages".

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In the press conference, Governor Bailey recognised the nascent improvement in energy price pressures over the past 48 hours and the effectiveness of monetary policy but also conveyed that "Unless progress towards resolving the conflict is made, or there is other news which softens the risk to inflationary pressures, a further increase in Bank Rate may be warranted". Governor Bailey's tone and comments made in the minutes by other Committee members did not suggest this was a decision that needs to be made in December, but rather a risk to be judged as additional information is received. This points to further tightening being more likely in early 2027 than before, and only if conditions / risks warrant.

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No deals are done

Michael Gordon
Senior Economist

This week's developments underscore our message that a rate hike at the RBNZ's December meeting is far from a done deal. New Zealand's labour market remains softer than expected, and that will be noted by those on the policy committee who question the extent of second-round inflation pressures. The rout in the US mid-term elections has also taken significant heat out of oil prices for now, although it's unclear whether that situation will hold through to next month. Our view on the endpoint for this OCR cycle remains unchanged, but there's a growing risk that the RBNZ could slow the pace of tightening in the new year.

The September quarter labour market surveys pointed to ongoing softness in the jobs market. The unemployment rate rose from 5.6% to 5.7%, continuing a four-year run of increases, and reaching its highest level since 2015. Employment was softer than expected, and wage growth remains subdued despite increasing cost-of-living pressures.

The Household Labour Force Survey (HLFS) showed a surprise 0.1% fall in employment in the September quarter, after a downwardly revised 0.3% increase in the June quarter. That went against the Monthly Employment Indicator (MEI) measure of filled jobs, which had suggested some upward momentum emerging in the jobs market (and notably, the HLFS measure had outpaced the MEI for the previous nine straight quarters).

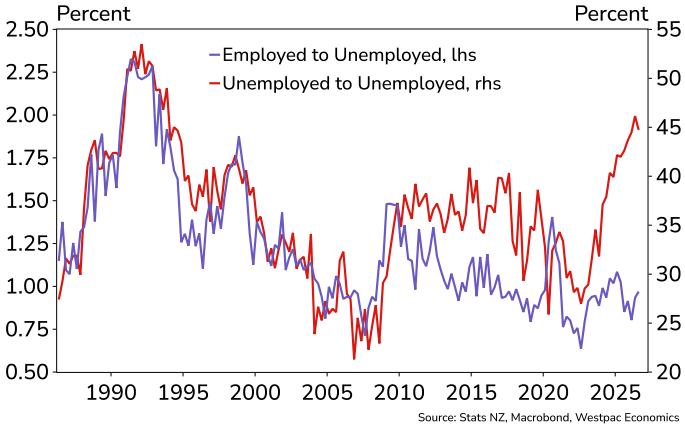
The fall in HLFS employment was accompanied by a fall in the labour force participation rate from 70.6% to 70.4%. These co-movements essentially reversed the surprisingly large increases that we saw in the June quarter, which we had suggested at the time were more likely due to sampling error in the survey rather than a genuine surge.

We generally recommend focusing on the unemployment rate, which is less vulnerable to sampling errors – and the message here is one of softness. Our best interpretation is that, to the extent that jobs are growing, it's not fast enough to absorb the growth in the population (which itself is a fairly low bar, as net migration remains at a low ebb).

Even with the economy returning to growth over the last year or so, hiring activity has remained weak. This may be an ongoing legacy of employment trends in previous years. Businesses have told us that they felt burned by the severe skill shortages that developed over 2021-23, and looked to hold on to workers to the extent they could during the 2024-25 downturn. The flipside of this is that they may now find themselves overstaffed even as activity picks up again.

This shows up most strikingly in labour force transition rates. The rise in unemployment over the last few years has not been driven by an increase in job losses, but by accumulation of people who, once out of work, are finding it increasingly difficult to get back in again. That also extends to young people trying to enter the workforce for the first time – youth unemployment of around 25% is the highest in the history of the survey going back to 1986.

Labour force transition rates



Source: Stats NZ, Macrobond, Westpac Economics

The Labour Cost Index (LCI) rose by 0.5% in the September quarter, in line with our expectations overall but a bit weaker in the details – private sector wages were up by 0.5%, while there was a surprisingly large 0.7% increase in public sector wages. There was a notable jump in the number of employers citing cost-of-living adjustments as a reason for increasing pay rates – although the size of those increases varied a great deal, with many substantially less than the headline inflation rate.

Potential RBNZ implications

The labour market data was unequivocally weaker than expected by either us or the RBNZ. While likely not a gamechanger for the cycle overall, it will add ammunition to the arguments of the doves on the Monetary Policy Committee that a pause in interest rate rises will make sense soon – perhaps in December or early next year. It's likely the case that interest rate markets were over-pricing the odds of a hike at the 9 December MPS, so the subsequent pullback in pricing makes sense.

The message from the RBNZ in the October meeting was to be careful about pricing in "done deals", and that the outlook

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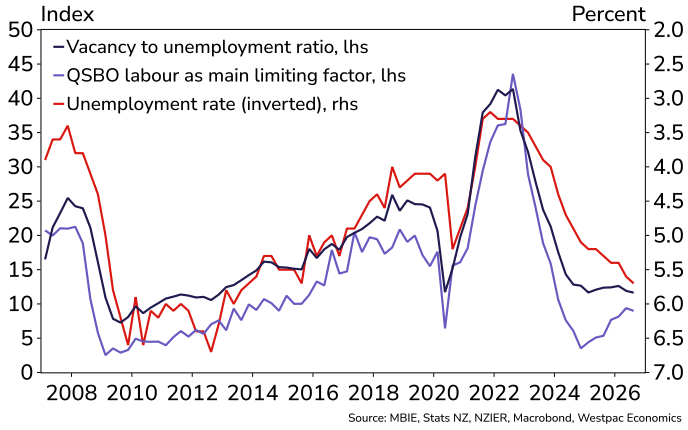
will be data-dependent. As we noted at the time, alongside measures of inflation expectations, the key domestic data to watch ahead of the RBNZ's 9 December meeting will be indicators of what is happening to excess capacity (the output gap), as this will be a key determinant of the Bank's assessment of the outlook for inflation over the coming year.

The RBNZ looks at a broad suite of indicators of labour market slack, although their research found that only four of them seem to have predictive power: the unemployment rate, the vacancy to unemployment ratio, the QSBO measure of labour as the main limiting factor to growth, and the rate of transition between jobs. The first three of these all pointed to a softening in the September quarter. (The fourth one is calculated from income tax data, so it's not publicly available and even the RBNZ receives it only with a lag.)

RBNZ measures of labour market tightness



Source: MBIE, Stats NZ, NZIER, Macrobond, Westpac Economics

In the eyes of the dovish MPC members, the softness in the labour market indicators will likely push in the direction of having greater comfort with the medium-term inflation outlook. The outcome of the election, with the possibility of a return to a dual inflation/employment mandate, could increase the prominence of these factors. This likely won't be an explicit factor in the RBNZ's reasoning at its December review, but it may be in the minds of individual MPC members.

That said, it's important to remember that in the RBNZ's forecasting framework, the GDP figures are the main determinant of excess capacity in the economy. The most recent GDP data tells us that the output gap probably narrowed a bit through the June quarter, mainly reflecting historical revisions. In light of the latest labour market figures, there may be some downside risk to the outlook for Q3 GDP – but there are conflicting indicators there, so it's not that clear.

At last month's surprise on-hold OCR decision, Governor Breman lamented that there was no protocol for the RBNZ to be able to signal how it was reading the economic data – in particular the softer than expected Q3 CPI print – ahead of the policy meeting. In that light, it will be interesting to see whether they use some already-scheduled speaking engagements to signal what they make of the labour market data. Top of mind is Chief Economist Conway's 10 November speech to the UBS Australasia Conference (pointedly titled "How is the NZ economy tracking"). Governor Breman is also speaking to the Institute of Directors on 19 November.

Our view remains that the December OCR hike is more likely than not. But there will be a clear debate to be had between the MPC hawks and doves, and it may again come down to a vote. We still expect a 4% peak in the OCR for this cycle, but the time taken to get there could be more flexible. Takes along the lines of "3% is the terminal rate" seem rather hasty on the basis of a single data release.

Aside from how the Committee interprets the labour market data, the key considerations in December will be: the RBNZ's surveys of inflation expectations by households and businesses; whether the US mid-term elections lead to a sustained de-escalation in the Middle East and a pullback in oil prices; and whether developments in the AI space exacerbate some MPC members' concerns about the global economic environment.

And then of course there's the result of the General Election, with voting closing on Saturday evening. The actual formation of a government is likely to take weeks of negotiation, so the outcome may not be known by the 9 December MPS but at least the range of possibilities should be clearer. We'll publish our initial thoughts on the election results early on Monday morning.

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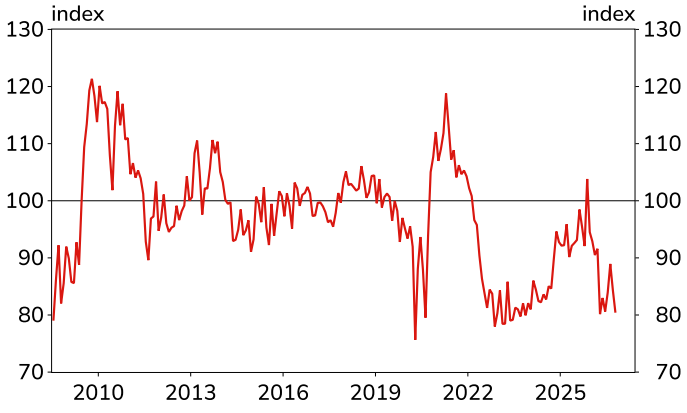
AUS: Nov Westpac-MI Consumer Sentiment (index)

Nov 10, Last: 84.4

Consumer sentiment fell 4.7% to 80.4 in Oct, returning to the deeply pessimistic levels seen earlier in the year. Responses over the course of the survey week showed a very sharp deterioration after the RBA rate hike.

The Nov survey is in the field over the week ended Nov 7. Interest rates will again factor with the RBA raising the cash rate by another 25bps to 4.85%, an 18yr high. Average pump prices also pushed higher, the national average just under $2.40/litre, while the housing market downturn has continued to broaden and deepen. The US mid-term election results may have some effects on sentiment locally as well.

Consumer Sentiment Index



Source: Melbourne Institute of Applied Economic & Social Research, Macrobond, Westpac Economics

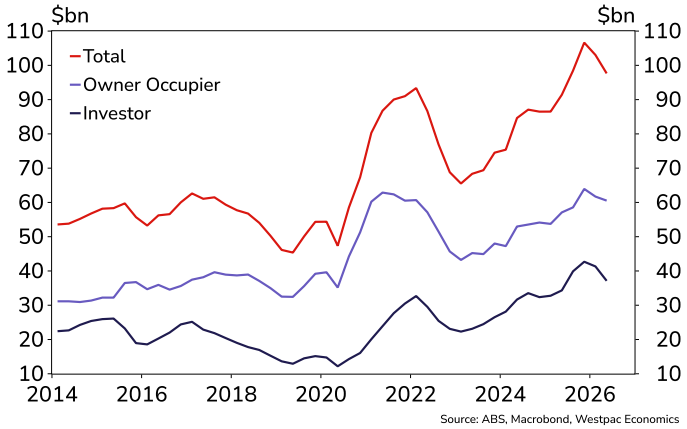
AUS: Q3 Housing Finance Approvals (%qtr)

Nov 11 Last: –5.2, Westpac f/c: –10
Market f/c: –8.5, Range: –15 to –5

The total value of housing finance approvals fell The value of new dwelling finance approvals excl. refinance fell 5.2%qtr, the largest quarterly drop in three years. Annual growth eased to 7.3%yr. The weakness was accounted for mainly by lower lending volumes: loan numbers were down 4.0%qtr (–0.6%yr), while average loan size also contributed negatively.

Q3 is expected to see an even bigger decline with the full impact of interest rate rises and tax policy changes showing through. The value of both loan enquiries and turnover fell by around 10% in the quarter. We expect total finance approvals to show a 10% drop as well, with investor loan approvals likely to be down 16%qtr and owner occupier approvals down 6%qtr.

Dwelling Finance Approvals



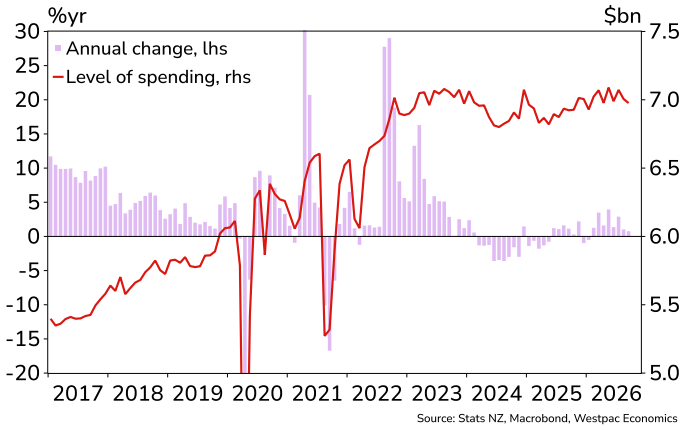
Source: ABS, Macrobond, Westpac Economics

NZ: Oct Retail Card Spending (%mth)

Nov 12, Last: –0.4, Westpac f/c: 1.4

We're forecasting a 1.4% rise in retail spending in October. While that would be a solid increase, it's in large part due to the 11% rise in petrol prices over the past month. Stripping out fuel spending, we're forecasting a 0.6% rise in core spending categories. Core spending has been very choppy recently, and the increase we're assuming follows falls in the past few months. A result in line with our expectations would leave the trend in core spending relatively flat since the start of this year with the rise in fuel prices weighing on spending in other areas.

NZ retail card spending



Source: Stats NZ, Macrobond, Westpac Economics

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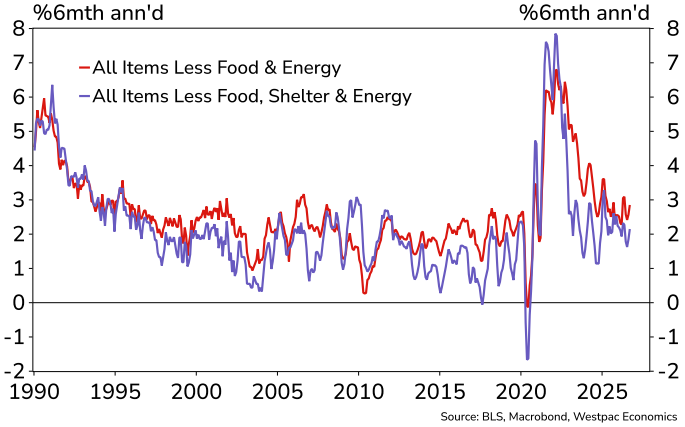
US: Oct CPI (%mth)

Nov 11, Headline, Last: 0.6, Market f/c: 0.3, Westpac f/c: 0.4

US consumer prices rose by 0.6% in September, although half of the gain was due to energy inflation, with core prices instead up 0.3%. Over the year, prices were reported to have risen 3.7%yr overall and 2.6%yr excluding food and energy. Constructively, ex food, energy and shelter, annual inflation met the FOMC's medium-term target of 2.0%yr.

Come October, energy price pressures are set to recede given the pre-election run higher in oil prices came late in the month. A softer print for shelter is also likely to moderate core momentum. We see a 0.4% gain for the headline measure and a 0.2% result for core inflation as most probable. Looking to 2027, disinflation is expected to continue at a measured pace towards the medium-term target.

Ex shelter, core inflation at target



Source: BLS, Macrobond, Westpac Economics

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What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 09							
Aus		RBA Chief Economist Hunter	–	–	–	–	Speaking at UBS Australasia Conference, 9:30am AEDT.
Chn	Oct	PPI	%ann	5.0	5.4	–	China's inflation remains supply–led ...
	Oct	CPI	%ann	0.9	0.8	–	... while consumer inflation is comparatively subdued.
	Oct	New Loans YTD	CNYbn	11520	11580	–	Credit growth continues to slow year–on–year ...
	Oct	M2 Money Supply	%ann	7.2	7.3	–	... note this data is due 9–14 November.
Eur	Nov	Sentix Investor Confidence	index	2.7	2.0	–	Has recovered from recent lows.
UK		BoE Governor Bailey	–	–	–	–	Speaking in Zurich.
US		Fedspeak	–	–	–	–	Goolsbee.
	Sep	Wholesale Inventories	%mth	0.6	0.6	–	Final estimate.
	Oct	NY Fed 1–Yr Inflation Expectations	%ann	3.9	3.8	–	Will test whether price concerns are easing.
Tues 10							
Aus	Nov	Westpac–MI Consumer Sentiment	index	80.4	–	–	Cost–of–living pressures bring about deep pessimism again.
	Oct	NAB Business Conditions	index	–1	–	–	Conditions are at their weakest since the pandemic.
NZ		RBNZ Chief Economist Conway	–	–	–	–	Speaking on the NZ economy at 11:15am AEDT.
Jpn	Sep	Household Spending	%ann	–3.1	–2.8	–	Household spending remains a weak link.
	Sep	Current Account Balance	¥bn	4062.0	3262.2	–	External accounts remain well supported.
Chn	Oct	Trade Balance	US$bn	133.5	127.0	–	Export growth has held up despite global headwinds.
US	Oct	NFIB Small Business Optimism	index	97.9	98.2	–	Small business confidence has struggled for momentum.
	Oct	CPI	%mth	0.6	0.3	0.4	Energy costs are driving headline inflation higher.
Wed 11							
Aus	Q3	Dwelling Finance Approvals	%qtr	–5.2	–8.5	–10	Even bigger decline in housing finance on the cards for Q3 ...
	Q3	Owner–Occupier Approvals	%qtr	–1.9	–	–6	... as interest rates and tax changes continue to impact ...
	Q3	Investor Approvals	%qtr	–10.2	–	–16	... investor loan approvals likely to fall more sharply.
US		Veterans Day	–	–	–	–	Stock markets open, bond markets closed.
Thu 12							
Aus	Nov	MI Inflation Expectations	%ann	5.3	–	–	Picking up once again.
		RBA MPB Member	–	–	–	–	Baker speaking at ARCA Credit Summit, 10:30am AEDT.
NZ	Oct	Retail Card Spending	%mth	–0.4	–	1.4	Higher fuel price boosting spending, core more moderate.
	Sep	Net Migration	no.	1530	–	–	Gradually trending higher with departures slowing.
Jpn		BoJ Board Member	–	–	–	–	Asada speaking in Nagasaki.
	Oct	PPI	%	–0.3	0.2	–	Upstream price pressures have moderated.
UK	Q3	GDP	%ann	0.5	0.7	–	The UK was the fastest–growing G7 economy in H1 2026.
US		Initial Jobless Claims	000s	189	195	–	Claims remain low and stable.
	Oct	Existing Home Sales	%mth	1.5	–3.3	–	Higher rates continue to weigh on housing demand.
		Fedspeak	–	–	–	–	Hammack, Goolsbee, Daly.
Fri 13							
NZ	Oct	Manufacturing PMI	index	56.5	–	–	Has remained firm in recent months.
Chn	Q3	Current Account Balance	US$bn	193.7	–	–	External strength remains an important growth support.
Eur	Q3	GDP	%qtr	0.4	0.4	–	Growth has proven resilient despite the energy shock.
	Sep	Trade Balance	€bn	–6.8	–	–	Higher imports from China are weighing on the trade balance.
US	Oct	PPI	%mth	1.3	0.4	–	Producer inflation is running at its fastest pace since 2022.
		Fedspeak	–	–	–	–	Williams, Daly, Jefferson.

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Economic & financial forecasts

Interest rate forecasts

Australia	Latest (6 Nov)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Cash	4.85	4.85	4.85	4.85	4.60	4.35	4.10	3.85	3.85	3.85
90 Day BBSW	4.93	4.95	4.95	4.80	4.55	4.30	4.10	3.95	3.95	3.95
3 Year Swap	4.71	4.90	4.85	4.75	4.65	4.55	4.45	4.35	4.30	4.25
3 Year Bond	4.69	4.90	4.85	4.75	4.65	4.55	4.45	4.35	4.30	4.25
10 Year Bond	5.02	5.20	5.15	5.10	5.05	5.05	5.00	5.00	5.00	5.00
10 Year Spread to US (bps)	17	15	15	15	15	10	0	–5	–10	–15
United States										
Fed Funds	3.875	4.125	4.125	4.125	4.125	4.125	3.875	3.625	3.625	3.625
US 10 Year Bond	4.85	5.05	5.00	4.95	4.90	4.95	5.00	5.05	5.10	5.15
New Zealand										
Cash	2.75	3.00	3.50	3.75	4.00	4.00	4.00	4.00	3.75	3.75
90 Day Bill	3.11	3.40	3.75	4.00	4.20	4.20	4.20	4.15	3.95	3.95
2 Year Swap	3.69	4.10	4.20	4.25	4.20	4.20	4.15	4.15	4.10	4.10
10 Year Bond	4.64	5.00	5.00	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US (bps)	–20	–5	0	5	15	10	5	0	–5	–10

Exchange rate forecasts

	Latest (6 Nov)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
AUD/USD	0.6902	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
NZD/USD	0.5566	0.56	0.58	0.61	0.63	0.64	0.64	0.64	0.65	0.65
USD/JPY	157.82	156	154	153	152	151	150	149	148	146
EUR/USD	1.1199	1.14	1.16	1.18	1.20	1.21	1.22	1.22	1.21	1.21
GBP/USD	1.3433	1.34	1.35	1.36	1.38	1.39	1.40	1.41	1.41	1.40
USD/CNY	6.6688	6.65	t6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
AUD/NZD	1.2399	1.27	1.24	1.20	1.16	1.15	1.13	1.12	1.12	1.11

Australian economic forecasts

	2026				2027				Calendar years			
% change	Q1	Q2	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.3	0.4	0.5	0.2	0.4	0.3	0.4	0.5	–	–	–	–
%yr end	2.5	2.1	2.2	1.5	1.6	1.5	1.4	1.6	2.6	1.5	1.6	2.4
Unemployment rate %	4.2	4.4	4.6	4.7	4.7	4.8	4.8	4.7	4.3	4.7	4.7	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	–	–	–	–
%yr end	3.2	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	0.6	1.3	1.3	0.4	0.5	1.0	0.5	–	–	–	–
%yr end	4.1	3.9	3.9	4.6	3.6	3.4	3.2	2.4	3.6	4.6	2.4	2.3
Trimmed Mean CPI %qtr	0.8	0.8	1.0	0.9	0.7	0.7	0.7	0.7	–	–	–	–
%yr end	3.5	3.6	3.7	3.5	3.3	3.3	3.1	2.9	3.3	3.5	2.9	2.4

New Zealand economic forecasts

	2026				2027				Calendar years			
% Change	Q1	Q2	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.9	0.2	0.6	0.7	0.9	0.5	0.6	0.7	–	–	–	–
Annual avg change	0.9	1.7	2.1	2.4	2.4	2.5	2.6	2.6	0.3	2.4	2.6	3.0
Unemployment rate %	5.4	5.6	5.7	5.7	5.6	5.5	5.3	5.1	5.4	5.7	5.1	4.5
CPI %qtr	0.9	1.5	0.7	1.2	0.3	0.4	0.5	0.2	–	–	–	–
Annual change	3.1	4.1	3.7	4.3	3.7	2.5	2.3	1.4	3.1	4.3	1.4	1.9

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RESERVE BANK OF AUSTRALIA

Statement on Monetary Policy

November 2026

The cut-off for data used to prepare this *Statement on Monetary Policy* was 28 October 2026.

Some graphs in this publication were generated using Mathematica.

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ISSN 1448–5141

November 2026

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Overview

Inflation in Australia remains well above target and a number of upside risks have crystallised since the August *Statement*. In particular, materially higher global energy prices as a result of the Middle East conflict have added to inflationary pressures. Government bond yields in advanced economies have risen to their highest levels in many years, reflecting a combination of higher term premia, higher neutral rates and expectations of higher policy rates for a time in response to global inflationary pressures. Domestically, housing market conditions have eased and the unemployment rate has risen further than anticipated. However, a range of data, including persistently strong inflation and growth in a broad range of costs, suggest that domestic capacity pressures have been a little greater than previously assessed.

The outlook for inflation has been revised materially higher and reflects a higher assumed path for energy prices amid the ongoing Middle East conflict and greater domestic capacity pressures. Headline and underlying inflation are expected to remain above 3 per cent until end-2027, some time later than forecast in August, and reach the midpoint of the 2–3 per cent range in mid-2028. The risks to the inflation outlook are judged to remain skewed to the upside reflecting risks posed by the Middle East conflict. Tighter monetary policy alongside a weaker outlook for the housing market is expected to keep GDP growth below trend. The unemployment rate is projected to reach a bit over 5 per cent at the end of 2028.

The Monetary Policy Board decided it was appropriate to increase the cash rate target by 25 basis points to 4.85 per cent. Inflation remains elevated and recent data indicate that it is broadly based. The Board noted the increasing risk that higher inflation expectations will become embedded and judged that a further tightening in financial conditions is warranted to support the return of inflation to target.

Globally, higher energy prices and resilient demand growth have added to inflationary pressures, and most advanced-economy central banks have either raised policy rates or are expected to.

The ongoing Middle East conflict has pushed up energy prices. As a result, headline inflation has increased across most economies. Prices for a range of base metals and agricultural commodities have also risen sharply in recent months, driven by the conflicts in the Middle East and Ukraine and adverse weather.

Global economic demand has also been more resilient than expected, supported by the AI boom overseas. GDP growth in Australia's major trading partners has trended higher over recent years. Recently, the boost to trading partner growth from AI-related demand and supportive fiscal measures in many economies has offset the adverse effects of the Middle East conflict. Market pricing implies that most advanced economy central banks are expected to increase policy rates at least twice by the end of 2027, in line with higher near-term inflationary pressures.

This in part explains why government bond yields have risen to multi-year highs.

Against the backdrop of stronger global inflationary pressures, government bond yields have risen since the August *Statement*, to their highest level in many years, including in Australia. This reflects a range of factors including expectations of tighter monetary policy in the near term given global capacity and inflationary pressures, as well as some combination of higher neutral interest rates and higher term premia. Long-term inflation expectations in financial markets remain consistent with central bank targets.

Growth in Australia's major trading partners is still expected to moderate over the next couple of years as the boost from AI-related activity slows and growth in China eases. Headline inflation is expected to remain above central bank targets into 2027 in many advanced economies, reflecting higher energy and other commodity prices, resilient demand and rapid growth in AI-related prices. Risks to global inflation are judged to remain skewed to the upside.

Domestically, growth in activity has slowed, housing market conditions have eased further, and the unemployment rate has risen by more than expected.

In Australia, GDP growth has slowed to a little below its estimated potential growth rate, largely reflecting softer growth in household consumption – consistent with the earlier easing in growth in household income and wealth – exports and public demand. Notwithstanding this slowing in growth, recent data suggest that activity growth this year has been a little stronger than anticipated in the August *Statement*, supported by rapid growth in data centre investment.

By contrast, conditions in the housing market have eased further. Housing prices in September were almost 5 per cent below their March peak, reflecting higher interest rates and tax changes announced in the federal budget. The unemployment rate rose by more than expected to average 4.6 per cent in the September quarter. That appears to largely reflect a stronger-than-expected pick-up in labour force participation amid cost-of-living pressures, while employment growth has held up.

But inflation has been higher than expected, cost pressures remain elevated, and capacity constraints are now assessed to have been a little tighter than previously thought.

Headline inflation was 3.9 per cent over the year to the September quarter and trimmed mean inflation was 3.7 per cent. While the price of fuel has increased significantly, inflation has been broad-based, with sizeable price increases for a range of market services. Liaison contacts across most industries continue to report sustained cost pressures.

The persistence of high inflation and cost pressures, despite the easing in GDP growth and the rise in unemployment, suggests that domestic capacity constraints have been tighter than previously assessed. Reflecting this, the staff's assessment of the unemployment rate consistent with low and stable inflation has increased a little, though this assessment remains highly uncertain.

Financial conditions appear to be restrictive, which is expected to weigh on domestic capacity pressures.

Financial conditions are judged to be restrictive. There is, however, significant uncertainty around the extent of this restrictiveness given conflicting evidence. Supporting this assessment, the current level of the cash rate is slightly above the top of the range of central estimates of the neutral rate, and the expected cash rate path is higher still. Housing prices have declined and new housing lending has fallen sharply. However, business credit growth remains strong and corporate risk premia remain low.

The Australian dollar has appreciated since the start of the year and is judged to be around estimates of its long-run equilibrium.

Ahead of the November meeting, market pricing was implying expectations of around one and a half further cash rate increases by mid-next year.

Inflation is expected to remain above 3 per cent until late 2027, reflecting recent increases in fuel and other conflict-related costs and greater domestic capacity pressures.

The outlook for inflation has been revised materially higher relative to the August *Statement*, particularly through to late 2027. Fuel and other conflict-related costs have increased by more than expected since August, owing to the ongoing conflict in the Middle East. Some of these additional costs are expected to be passed on to consumer prices, while elevated prices of petrol and diesel will also contribute directly to higher headline inflation in the near term. The stronger outlook for underlying inflation also reflects the staff's judgement that capacity pressures have been a little greater this year than thought in August. Headline and trimmed mean inflation are now expected to remain above 3 per cent until end-2027, some time later than forecast in August, and to return to 2.5 per cent in mid-2028.

The risks to the inflation outlook remain skewed to the upside.

Some of the upside risks identified in August have materialised and are now incorporated in the central forecast, including greater domestic capacity pressures and higher oil prices. But upside risks to inflation from the Middle East conflict and AI-related investment are judged to remain. Energy prices could stay at current elevated levels or rise further, rather than decline as assumed, if disruptions to shipping and refining persist. Combined with ongoing capacity pressures in the domestic economy and elevated inflation expectations, this would increase the risk of stronger pass-through to consumer prices. Strong AI-related investment activity could also push up input costs by more than expected, both directly and by adding to capacity pressures.

However, inflation could fall faster than forecast. For example, capacity pressures could ease sooner if higher interest rates, conflict-related cost pressures and uncertainty, and falling housing prices combine to weigh more heavily than expected on spending and investment.

In Australia, tighter monetary policy is expected to keep GDP growth below potential, with spare capacity emerging in the labour market in 2027.

Higher-than-expected global energy prices, a softer housing market and a higher assumed path for the cash rate than in the August forecasts are expected to constrain domestic GDP growth. The very strong expansion in data centre investment is expected to only partly offset these headwinds to growth.

Labour market conditions are expected to ease. The unemployment rate is forecast to rise to a bit over 5 per cent by end-2028. That is consistent with below-potential GDP growth but is around ¼ percentage point higher than previously expected, largely reflecting the judgement that more people than previously forecast will remain in or join the labour force. The economy is currently operating with excess demand and is judged to reach balance next year, slightly later than previously thought, with spare capacity emerging in 2027.

The Monetary Policy Board decided to increase the cash rate target.

Inflation remains elevated and data since the previous meeting have confirmed that underlying inflation remains broadly based. Capacity pressures appear a little tighter than previously estimated and there are indications that higher fuel prices are being passed through to prices of other goods and services. Inflation is now expected to remain above 3 per cent for the coming year and there is an increasing risk that higher inflation expectations will become embedded. Given the revised inflation outlook and the continuing upside risks, the Board judged that a further tightening in financial conditions is warranted to support the return of inflation to target. The Board stated that it will continue to do what it considers necessary to bring inflation sustainably back to target.

Table: Output Growth, Unemployment and Inflation Forecasts[a]

Per cent

	Year-ended					
	June 2026	Dec 2026	June 2027	Dec 2027	June 2028	Dec 2028
GDP growth	2.1	1.6	1.6	1.3	1.3	1.5
(previous)	(1.9)	(1.4)	(1.5)	(1.6)	(1.6)	(1.8)
Unemployment rate[b]	4.4	4.7	4.8	4.9	5.0	5.1
(previous)	(4.4)	(4.5)	(4.6)	(4.7)	(4.8)	(4.8)
CPI inflation	3.9	4.5	3.7	2.7	2.5	2.4
(previous)	(3.9)	(3.6)	(2.8)	(2.6)	(2.4)	(2.4)
Trimmed mean inflation	3.6	3.6	3.5	2.9	2.5	2.4
(previous)	(3.6)	(3.3)	(3.0)	(2.6)	(2.4)	(2.4)

	Year-average					
	2025/26	2026	2026/27	2027	2027/28	2028
GDP growth	2.3	2.1	1.8	1.5	1.3	1.4
(previous)	(2.2)	(1.9)	(1.5)	(1.5)	(1.6)	(1.7)

	Assumptions[c]					
Cash rate (%)	4.3	4.7	4.9	4.8	4.8	4.8
Trade-weighted index (index)	66.1	65.2	65.3	65.3	65.3	65.3

(a) Forecasts finalised on 28 October. Shading indicates historical data.

(b) Average rate in the quarter.

(c) The forecasts incorporate several technical assumptions. The cash rate is assumed to move in line with expectations derived from financial market pricing as per 28 October and the daily exchange rate (TWI) is assumed to be unchanged from its level at 28 October 2026 going forward. See notes to Table 3.1: Detailed Forecast Table in Chapter 3: Outlook for other forecast assumptions.

Sources: ABS; LSEG; RBA.

Chapter 1
Financial Conditions

Summary

- **Financial conditions are judged to be restrictive, but with various cross-currents making it difficult to determine the extent of this.** Over the course of this year, the rise in the cash rate target and the expected path of rates, along with higher term premia, have contributed to tighter financial conditions. And while some estimates of the neutral rate have also risen, the cash rate and market-implied path are still a little above the top of the range of central estimates of neutral. Also, housing prices have declined by more than expected and new housing lending has declined sharply in response to tighter monetary policy and recent tax changes. Meanwhile, the nominal exchange rate has appreciated since the start of the year but remains broadly in line with estimates of its long-run equilibrium relationship. By contrast, business credit growth remains very strong and corporate risk premia are very low. Moreover, funding remains readily available for banks and most household and business borrowers.
- **Overnight indexed swap (OIS) pricing implies market participants assign an 85 per cent probability to a cash rate increase in November, with around one and a half cash rate increases priced in by mid-2027.** Expectations for the cash rate have increased since the August *Statement*. This reflects stronger-than-expected domestic inflation data, higher oil prices, the September cash rate increase, and RBA communications that on balance were interpreted as hawkish. Almost all market economists tracked by the staff expect a cash rate increase in November.
- **Most advanced economy central banks are expected to raise policy rates further over the next year.** Since the August *Statement*, the US Federal Reserve (Fed), European Central Bank (ECB), Bank of Japan (BoJ), Bank of Canada (BoC), Reserve Bank of New Zealand (RBNZ), Norges Bank and Bank of Korea (BoK) increased their policy rates, while the Bank of England (BoE) left its policy rate unchanged but retained a tightening bias. These actions, and the increase in market-implied future policy paths since August, reflect the re-escalation of the Middle East conflict and, in some economies, persistent inflationary pressures stemming from capacity constraints. Market pricing implies that most advanced economy central banks are expected to increase policy rates at least twice by the end of 2027.

- **Government bond yields have increased notably across advanced economies in recent months, in many cases reaching their highest levels in many years, including in Australia.** Higher yields reflect expectations of tighter monetary policy in the near term, higher neutral interest rates and higher term premia. The increase in longer-term yields has occurred at a time of strong public and private sector debt issuance, and models suggest that roughly half of the rise in yields is due to term premia and half to perceptions of neutral (although there is considerable uncertainty around these estimates). Long-term inflation expectations remain consistent with central bank targets even though shorter-term expectations are elevated. While sovereign debt markets have continued to function well across major advanced economies, bond market volatility has increased in recent weeks and the rise in bond yields in some European countries has been large (particularly France, amid fiscal concerns).
- **In corporate funding markets, equity and credit risk premia remain low for higher-quality firms but have risen for lower-rated and more interest-rate-sensitive firms.** Spreads on investment-grade corporate bonds, including in Australia, remain around historical lows despite strong issuance, while sub-investment grade spreads have widened but remain very low in historical terms. In major equity markets, strong gains in energy stocks and some IT stocks since the August *Statement* have offset declines in most other sectors, though investors are differentiating more between AI-related firms. Australian equity prices have declined in response to the rise in interest rates and as the downturn in the housing market has lowered earnings expectations in some key sectors.

1.1 Assessment of financial conditions

Financial conditions in Australia are assessed to be restrictive, but with various cross-currents making it difficult to determine the extent of this.

The cash rate is slightly above the range of model-based and market economist estimates of neutral, and the expected cash rate path based on market pricing is higher still, suggesting that policy is restrictive. Other indicators paint a mixed picture. For example, housing market conditions have weakened by more than the tightening in monetary policy would suggest and funding conditions for property developers have tightened, suggesting that financial conditions are clearly restrictive. At the same time, however, funding conditions for most other businesses remain favourable and do not suggest that conditions are particularly restrictive. Table 1.1 summarises evidence contributing to this assessment.

Table 1.1: Various Measures of Financial Conditions[(a)]

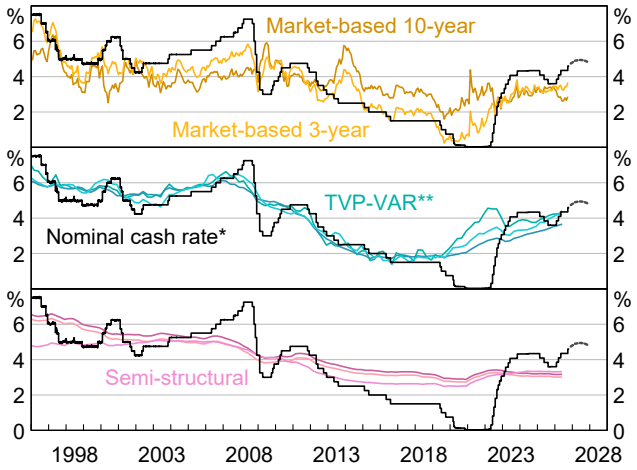
Measure	Implications for financial conditions	Notes supporting assessment
Cash rate path (as per market)	Restrictive (●)	Cash rate is slightly above the top of the range of model and market economists' estimates of neutral; the market path rises above that
Housing market indicators and household credit	Weakening, implies financial conditions are restrictive (●)	Tax changes amplifying the effects of monetary policy; prices and lending falling faster than expected (albeit after very strong growth)
Long-term Australian Government Securities (AGS) yields	May be adding to restrictiveness at the margin (○)	At least some of the recent increase is judged to be driven by term premia, raising longer-term borrowing costs and weighing on asset valuations; however, effects of longer-term yields are less than shorter-term yields in Australia
AUD trade-weighted index (TWI)	TWI judged to be in line with fundamentals, although there is uncertainty around this assessment	Broadly consistent with moves in interest rates
Bank lending rates	In line with the rise in the cash rate	Broadly consistent with moves in the cash rate
Business credit	Implies financial conditions are less restrictive (♦)	Growth remains strong and credit remains readily available for most borrowers
Corporate risk premia	Implies financial conditions are less restrictive (♦)	Credit and equity risk premia are low despite subdued Australian earnings expectations

(a) Red shading (● and ○) is used for measures that imply more restrictive financial conditions, while green shading (♦) is used for measures that imply less restrictive conditions.

Source: RBA.

There are some tentative signs that neutral rates may be rising, globally and in Australia. Since the pandemic, estimates of neutral rates in advanced economies have increased by 1–3 percentage points, and the recent sharp increase in long-term global bond yields is consistent with market participants revising their estimates of the global neutral rate higher still (see Box A: How Does an Increase in Longer-term Real Yields Affect Financial Conditions?). As a small open economy, Australia's neutral rate is likely to be significantly influenced by neutral rates globally (see Box B: Developments in the Neutral Rate of Interest). Consistent with that, some of our estimates of neutral and those of market economists have increased since the August *Statement*, though the average of all measures is not much changed (Graph 1.1).

Graph 1.1
Nominal Neutral Rate
Suite of models



* Dashed line shows cash rate expectations implied by overnight index swap rates.
** Time-varying parameter vector autoregression models (TVP-VAR).
Source: RBA.

By itself, a rising neutral rate would imply that any given path for policy rates is somewhat less restrictive than previously assessed. However, the cash rate and market path have also increased since the August *Statement*, and term premia estimates are higher. Long-term inflation expectations are little changed and consistent with the inflation target, suggesting that market participants expect policy will be set at a level that is sufficiently restrictive to contain inflationary pressures.

Other indicators of financial conditions provide a mixed picture. Bank lending rates and short-term bond yields have evolved broadly in line with increases in the cash rate and its expected path. Housing prices and new lending have declined by more than expected, indicating tight financial conditions for the housing sector in response to monetary policy tightening and tax changes. By contrast, strong business credit growth and generally very low corporate borrowing spreads and equity risk premia suggest that financial conditions are not overly restraining aggregate business funding (though conditions have tightened considerably in some sectors, most notably housing construction).

This assessment of financial conditions is subject to uncertainty. Elevated global borrowing by the public and private sector, including to fund AI investments – and the possibility of stronger AI-led productivity growth in future – could materially raise global and domestic neutral rates over time. Conversely, the strong response of the Australian housing market could indicate that the tax changes are amplifying the effects of tighter monetary policy by more than expected, while weaker-than-expected labour market outcomes suggest that policy is working to restrain economic activity. Term premia also appear to have risen, which would tighten financial conditions at the margin. However, there is considerable uncertainty around estimates of term premia, neutral rates and the lags with which changes in the cash rate affect financial conditions.

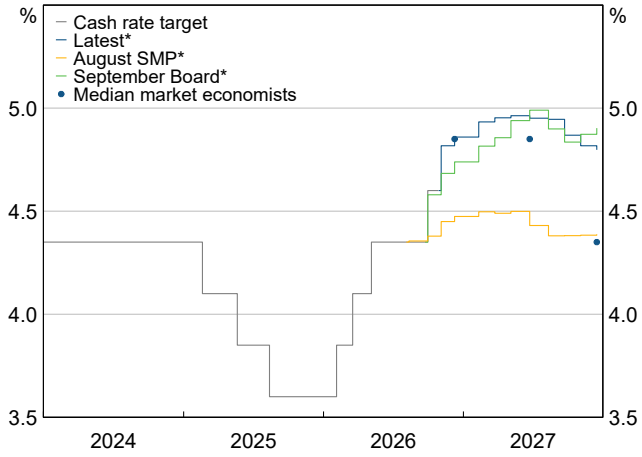
1.2 Interest rate markets

Expectations for the cash rate implied by market pricing have risen since the August *Statement*.

OIS pricing implies market participants assign an 85 per cent probability to a cash rate increase in November, and around one and a half cash rate increases are priced by mid-2027 (Graph 1.2). The rise in expectations reflects stronger-than-expected domestic inflation data, higher oil prices, the September cash rate increase, and RBA communications that on balance were interpreted as hawkish. Almost all market economists tracked by the staff expect a cash rate increase in November.

Graph 1.2

Cash Rate Expectations



* Cash rate expectations implied by overnight index swap rates, latest is at close 28 October.

Sources: LSEG; RBA.

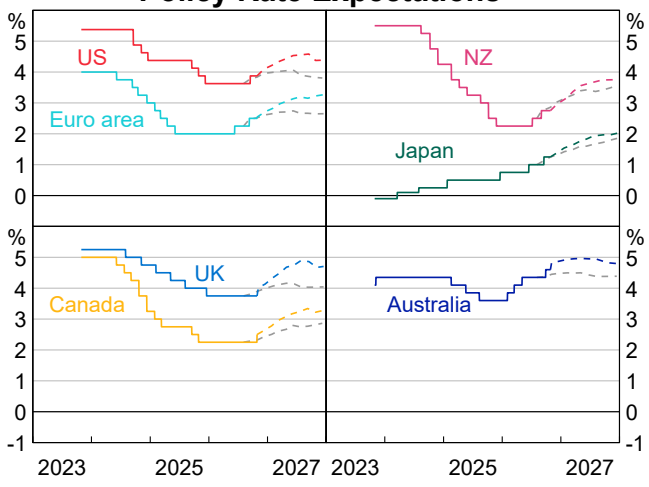
Most advanced economy central banks are expected to tighten policy further, reflecting inflationary pressures, including from the effects of the Middle East conflict.

Since the August *Statement*, the Fed, ECB, BoJ, BoC, RBNZ, Norges Bank and BoK all increased their policy rates. Many of these central banks highlighted the strength or resilience of economic growth and inflationary pressures from the re-escalation in the Middle East conflict, with inflation already persistently above target in some economies. By contrast, the BoE left its policy rates unchanged, citing a balance between downside risks to activity and upside risks to inflation. The BoE indicated that it would tighten policy further if upside inflation risks were to materialise.

Market-implied policy paths have shifted up in advanced economies since the August *Statement* (Graph 1.3). Market pricing implies policy rates are expected to increase by around 75 basis points and be at or above the range of estimates of neutral in many advanced economies by the end of next year (although central banks have expressed uncertainty about the level of neutral) (Graph 1.4). For most economies, much of the increase in policy rate paths occurred following the re-escalation in the Middle East conflict. Stronger-than-expected economic activity and central bank communication emphasising upside risks to inflation also contributed to the upward shift in some economies.

Graph 1.3

Policy Rate Expectations*

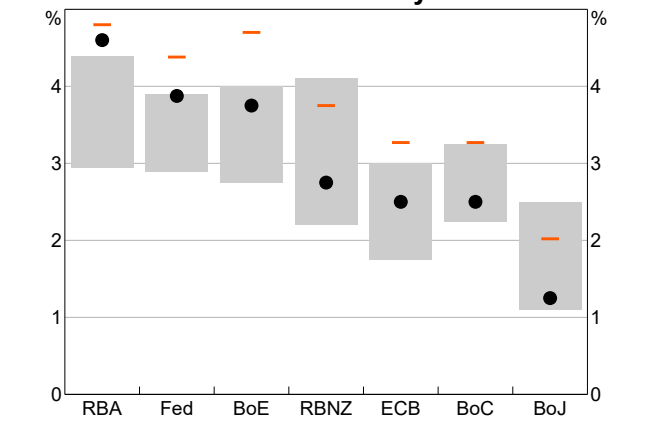


* Coloured dashed lines show expectations implied by current overnight index swap rates; grey dashed lines show the same expectations as of 5 August 2026.

Sources: Bloomberg; RBA.

Graph 1.4

Estimates of Central Bank Policy Restrictiveness*



* Range of estimates of nominal neutral rate are based on assessments by individual central banks and are not directly comparable across countries.

** Based on OIS pricing for policy rates at the end of 2027.

*** Ranges for the RBA, RBNZ, BoC, BoE, ECB and BoJ are based on the range of central estimates from a range of models; and for the Fed are the range of FOMC participants' longer-run Fed Funds rate projections.

Sources: Bloomberg; central banks; RBA.

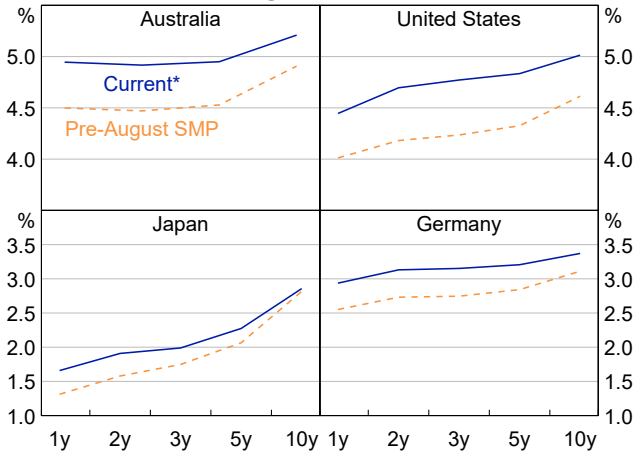
The People's Bank of China (PBC) has retained a slight easing bias amid low inflation, and incrementally eased policy in late September through structural policy tools. The tools direct lending to priority sectors, including infrastructure and manufacturing, and accompanied increased bond issuance quotas for local governments (see Chapter 2: Economic Conditions). Authorities have said that they are concerned that broader monetary easing through a lower policy rate would pressure bank profitability.

Advanced economy government bond yields have risen further to be around their highest level in many years.

Government bond yields have increased materially across advanced economies since the August *Statement*, notwithstanding some retracement over recent weeks alongside declines in equity prices. Shorter-term yields are around 40 basis points higher, reflecting expectations of monetary policy tightening in response to near-term inflationary pressure (Graph 1.5). Longer-term yields have increased by around 30 basis points for many economies, driven by an increase in real yields. Most recently, growing concerns about the sustainability and profitability of capital expenditure plans at some AI-related firms (see below) has seen yields decline somewhat as investors have switched into safer government bonds. Model-based decompositions attribute roughly half of the increase in the US 10-year nominal Treasury yield since the August *Statement* to higher expected future real policy rates, and the rest to higher term premia, but there is considerable uncertainty around these estimates. Box A: How Does an Increase in Longer-term Real Yields Affect Financial Conditions? discusses the recent increase in yields globally and the implications for financial conditions in Australia, while Box B: Developments in the Neutral Rate of Interest discusses the neutral rate and its longer-term drivers.

Graph 1.5

Sovereign Yield Curves

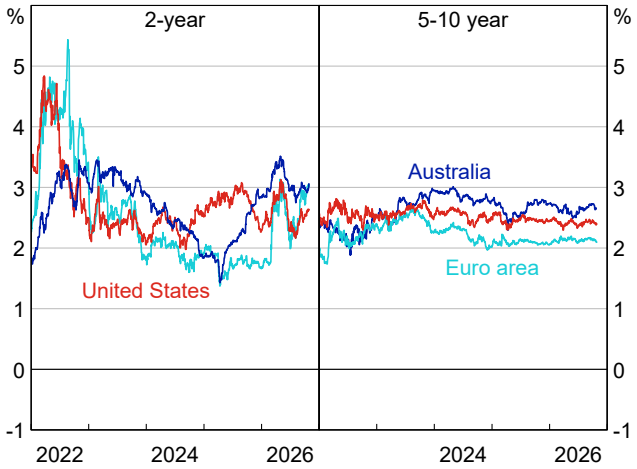


* At market close 28 October 2026.

Source: Bloomberg.

Longer-term inflation compensation is little changed and remains consistent with central bank targets, implying that market participants expect central banks to set policy rates to ensure that inflation is returned to target in a timely way (Graph 1.6).

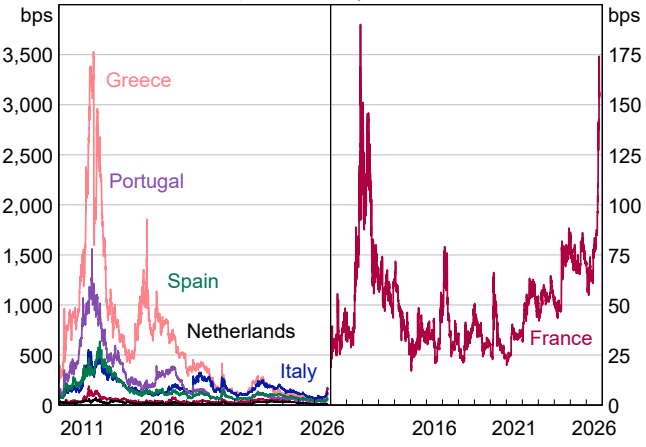
Graph 1.6
Measures of Inflation Compensation
Implied by market pricing*



* Inflation swap-implied rates, except for the Australian 2-year rate, which is the breakeven inflation rate implied by inflation-linked bonds.
Sources: Bloomberg; RBA.

Volatility has increased in many sovereign bond markets. Concerns about fiscal sustainability in France saw the spread between 10-year French and German government bonds rise to around the highest level since the eurozone crisis (Graph 1.7). However, outside Europe, market pricing provides little evidence of material concerns about sovereign credit risk: government bond auctions have generally remained well supported, long-term inflation compensation remains anchored and sovereign credit default swap premia remain low.

Graph 1.7
10-year Government Bond Yields
Euro area spreads to 10-year German Bund

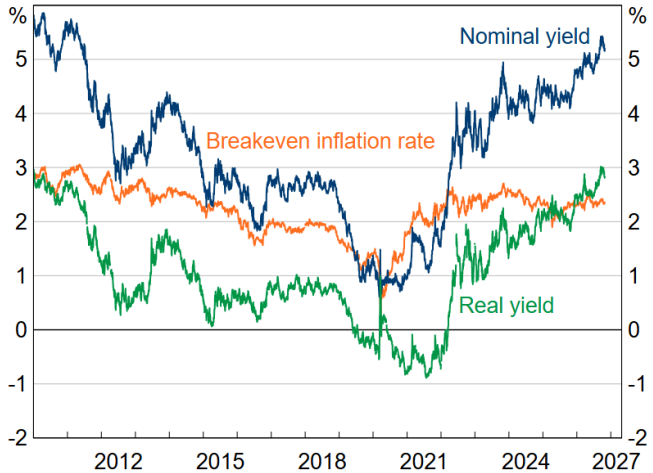


Source: Bloomberg.

In emerging markets, local-currency sovereign bond yields have risen since the August *Statement*, though in many cases by a little less than in advanced markets. Chinese bond yields remain little changed, underpinned by low inflation and low policy rates, and with capital controls reducing the sensitivity of Chinese yields to movements in global rates. In the rest of emerging Asia, lower debt-to-GDP ratios in many countries, compared with advanced economies, may be contributing to generally more modest yield increases.

Australian government bond yields have also increased since the August *Statement* to be around their highest levels in many years (Graph 1.8). As in other advanced economies, much of the increase in longer-term yields has been driven by a rise in real yields, while measures of longer-term inflation compensation have been little changed. Market contacts have attributed the rise in longer-term real yields to a combination of higher expected policy rates (including because of a potential rise in the neutral rate) and higher term premia, although views differ on the relative importance (the RBA's model estimates suggest a roughly even split between the two). In recent weeks, yields have declined a little alongside similar moves offshore. The increase in volatility in AGS has been smaller than in peer economies, and AGS market functioning remains good.

Graph 1.8
Components of the 10-year AGS Yield



Sources: Bloomberg; RBA.

1.3 Corporate funding markets

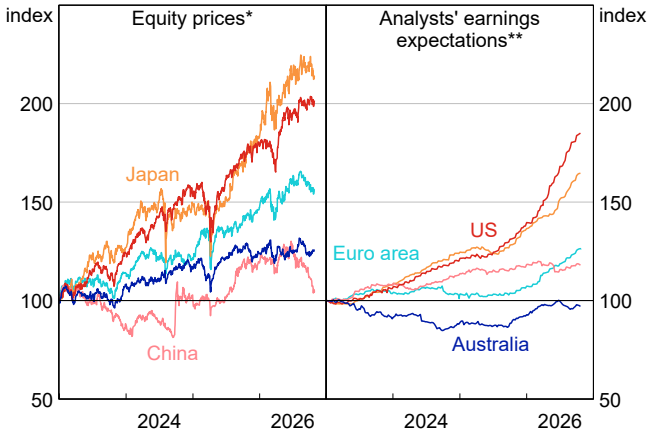
Risk premia for equities and investment-grade corporate bonds remain very low but have increased for lower-rated bonds.

Equity prices in advanced overseas economies have been overall little changed since the August *Statement*, masking significant divergences across sectors and economies (Graph 1.9). Higher interest rates and ongoing tensions in the Middle East have weighed on some sectors, with consumer discretionary and industrial stocks – which are more sensitive to higher yields and energy prices – declining the most (Graph 1.10). By contrast, energy stocks and some IT stocks have continued to rise, although investors are differentiating between technology firms more (see below). In China, equity prices have declined sharply, particularly for AI stocks affected by declining data centre investment sentiment. Meanwhile, earnings growth in the United States has remained broadly based, reflecting continued resilience in economic activity, with growth strongest in AI-related firms. Measures of equity risk premia remain around long-term lows.

Graph 1.9

Equity Prices and Analysts' Earnings Expectations

1 Jan 2023 = 100



* Series is of equity prices returns, rather than total (dividend-adjusted) returns, as price returns are more closely linked to expected future earnings. However, price returns will tend to understate the overall return from investing in Australian equities relative to other markets, given Australian firms typically pay out a greater share of earnings as dividends.

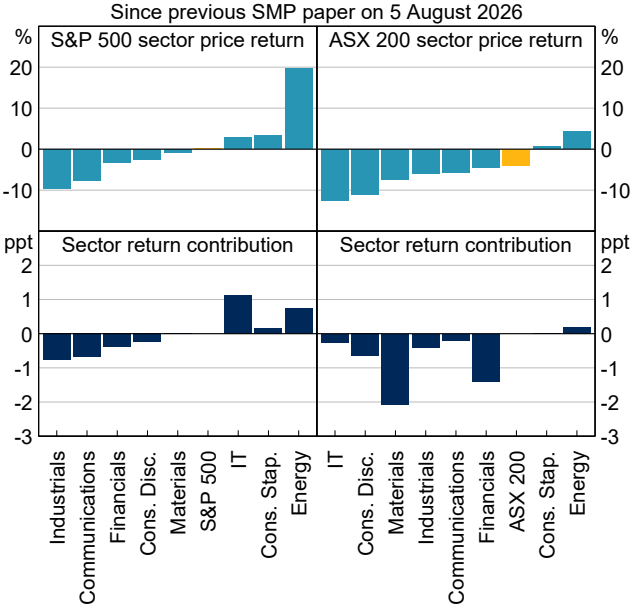
** 12-month forward earnings per share.

Sources: Bloomberg; LSEG; RBA.

Graph 1.10

Equity Sector Price Returns

Since previous SMP paper on 5 August 2026



Sources: Bloomberg; LSEG; RBA.

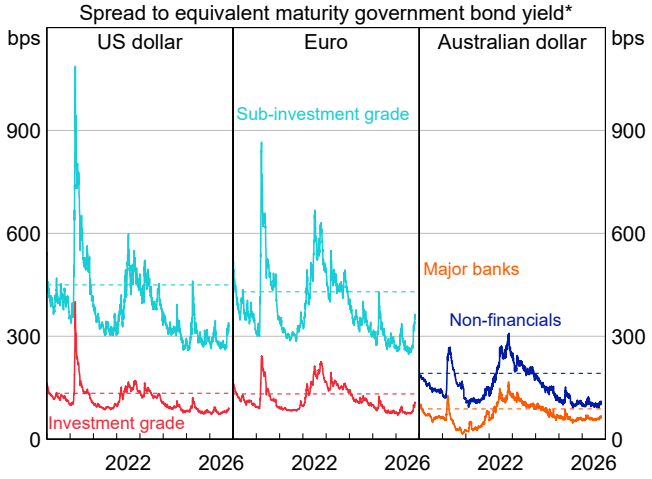
Australian equity prices have declined since the August *Statement*, owing to the effect of higher interest rates and weakness in sectors exposed to the downturn in the domestic housing market. Share prices for banks, consumer discretionary and real estate firms have declined alongside weaker earnings expectations and a higher expected path for the cash rate, and suggest that investors expect consumer spending to remain subdued. Consumer-facing firms continue to report that households remain value conscious and are trading down to lower-cost alternatives, weighing on profitability in discretionary sectors. Profits at consumer staples firms have been more resilient, while equity prices for Australian-listed energy companies have increased alongside higher oil prices. Overall, analysts' earnings expectations for Australian firms have declined recently, having trailed other advanced economies for some years including due to lower prices for key commodities and subdued economic growth.

Investment grade corporate bond spreads have increased slightly in advanced economies but remain around historically low levels (Graph 1.11). The rise in spreads for sub-investment grade firms has been more noticeable, in part because their creditworthiness is more sensitive to higher interest rates, although spreads remain low. The slight increase in Australian bond spreads has tightened funding conditions in Australia at the margin, though funding is readily available to investment grade firms. Borrowers reliant on private credit have seen a more significant tightening of funding conditions, discussed below.

Graph 1.11

Corporate Bond Spreads

Spread to equivalent maturity government bond yield*



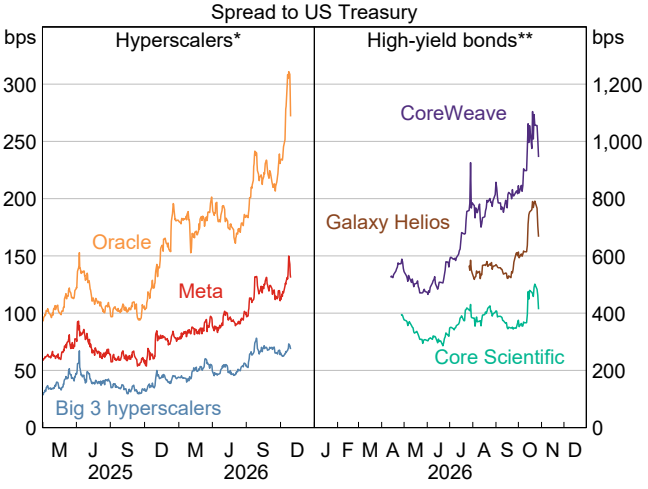
* Dashed lines show long-run averages since 2010.
Sources: Bloomberg; ICE Data used with permission; RBA.

Investors are differentiating between technology firms more. Large 'AI hyperscalers' reported very strong revenue growth in the latest quarter, but their share prices and bond spreads have become more sensitive to substantial upward revisions to planned capital expenditure and to concerns about whether this investment will earn adequate returns (Graph 1.12). Capital expenditure by these firms is now expected to be around US$800 billion this year and to approach US$1.4 trillion by the end of 2027 – around 5 per cent of US GDP and around twice what was expected in late 2025 – with a growing share financed through bond issuance. Korean equity prices have declined, driven by falls in the share prices of memory chip producers amid concerns about the scale and sustainability of the AI data centre build-out; these concerns have also affected Chinese AI stocks (Graph 1.13). By contrast, Taiwanese equities have outperformed those elsewhere in Asia, partly reflecting stronger earnings expectations for chip manufacturer TSMC.

Graph 1.12

Data Centre Corporate Bond Spreads

Spread to US Treasury

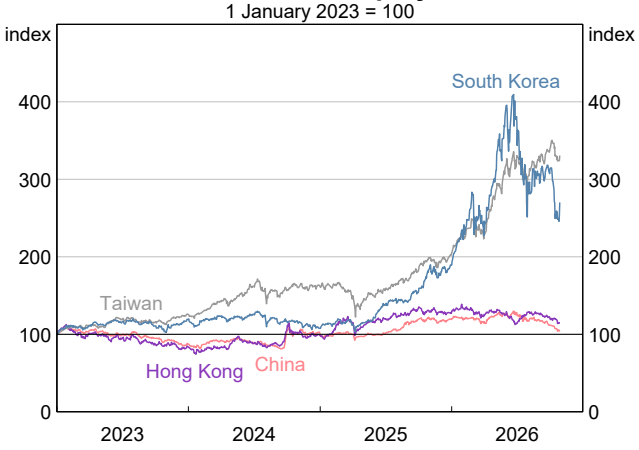


* The Big 3 hyperscalers are Amazon, Google and Microsoft, shown as a simple average. Hyperscaler spreads are interpolated 10-year spreads from LSEG.
** The high-yield data centre bonds are individual bonds that mature in 2031.
Sources: LSEG; RBA.

Graph 1.13

North-East Asian Equity Prices

1 January 2023 = 100



Sources: Bloomberg; LSEG; RBA.

Similarly, some Australian data centre firms have faced increased investor scrutiny. Most notably, AI data centre developer Firmus withdrew its planned initial public offering (IPO) in October following weak investor demand at the proposed valuation, and some other data centre operators have experienced equity price falls and a widening in credit spreads; commentators suggest that the IPO withdrawal may have been one factor contributing to weaker global sentiment towards AI-related firms. By contrast, a range of other Australian data centre operators have seen little change in their cost of capital.

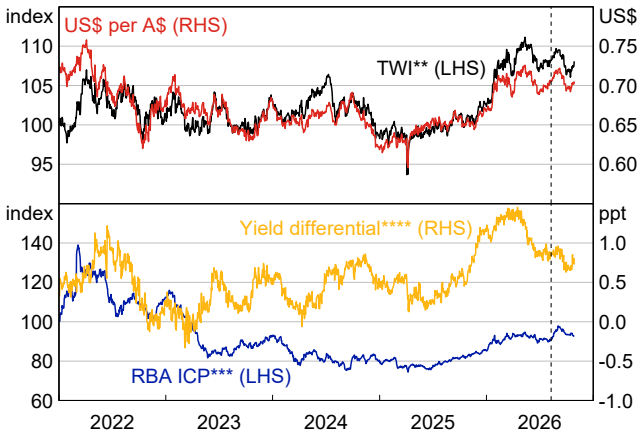
Low corporate credit and equity risk premia suggest that investors continue to expect the economic impact of the Middle East conflict to be limited and AI investment to ultimately be profitable, among other things. However, a material reassessment of the economic viability of AI-related investment, the effects of the Middle East conflict, US policy uncertainty following the midterm elections or concerns about fiscal sustainability globally could lead to a broader weakening in risk sentiment. This could spill over to Australian markets via higher risk premia and reduced access to funding.[1]

1.4 Foreign exchange markets

The Australian dollar is little changed since the August *Statement* and remains around 5 per cent higher than the start of the year.

The Australian dollar TWI is little changed since the August *Statement* (Graph 1.14). Australian government bond yields have risen since August, but major trading partner yields have risen by a similar, and in some cases greater, degree. This modest narrowing in yield differentials has been offset by support from the weaker euro following concerns regarding fiscal sustainability in France. Since the start of the year, the Australian dollar has appreciated by around 5 per cent in TWI terms and remains broadly consistent with estimates of its long-run equilibrium level, although there is a degree of uncertainty around this assessment.

Graph 1.14
Australian Dollar*



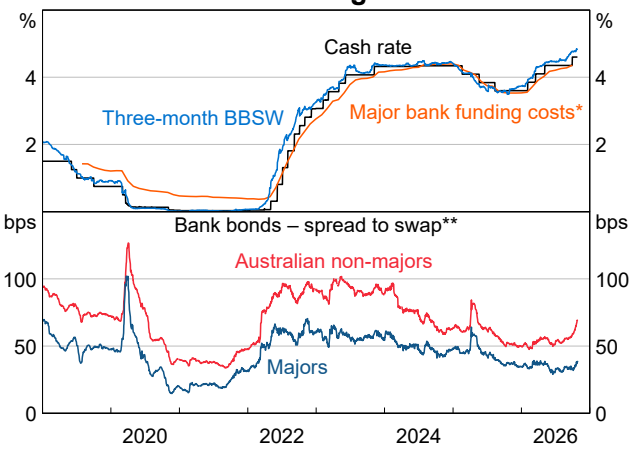
* Dotted vertical line indicates latest SMP publication.
** Trade-weighted index; 01 January 2022 = 100.
*** Index of Commodity Prices (USD terms); 01 January 2022 = 100.
**** Three-year Australian sovereign yield less yields of the United States, Japan and Germany, weighted by GDP.
Sources: Bloomberg; RBA.

1.5 Australian banks and credit markets

Banks' funding costs and lending rates have increased in line with the cash rate since the beginning of the year.

Banks' funding costs rose by around 80 basis points between January and September, and will rise further as September's increase in the cash rate continues to be passed through (Graph 1.15). Banks have increased average deposit rates broadly in line with increases in the cash rate this year. This contrasts with previous easing and tightening phases, when average deposit rates have tended to change by less than the cash rate because some deposits, such as transaction accounts, do not reprice fully when the cash rate changes. The stronger-than-usual pass-through this year is consistent with some banks highlighting strong competition for deposits over recent quarters. Wholesale funding conditions remain favourable, with spreads between bank bond yields and swap rates remaining low. Bank bond issuance has been a little above average in 2026.

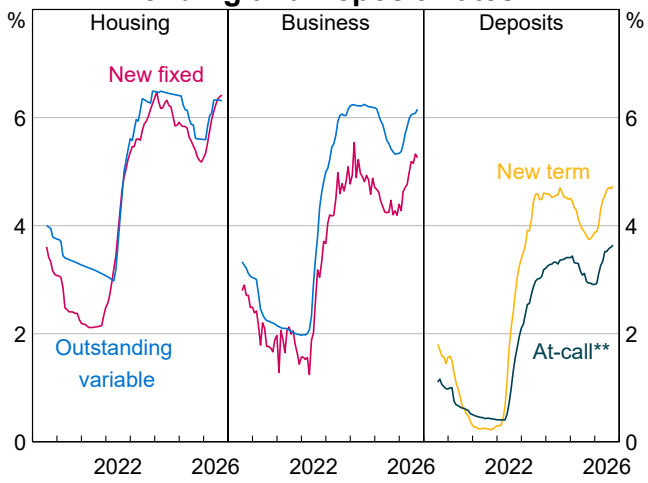
Graph 1.15
Bank Funding Costs



* RBA estimates of overall outstanding hedged debt and deposit costs for the major banks.
** Domestic secondary market; three-year target tenor.
Sources: APRA; ASX; Bloomberg; LSEG; major bank liaison; RBA.

Lending rates have increased broadly in line with the cash rate and other reference rates over 2026 (Graph 1.16). Variable mortgage rates rose by almost 75 basis points between January and September, and most banks have since increased their standard variable mortgage rates in line with the September cash rate increase. Prior to September, some lenders had reduced advertised mortgage rates slightly amid strong competition for mortgage customers, though this has had a negligible effect on average new and outstanding mortgage rates. Variable business rates have increased broadly in line with increases in bank bill rates (BBSW) and the cash rate this year.

Graph 1.16
Lending and Deposit Rates*

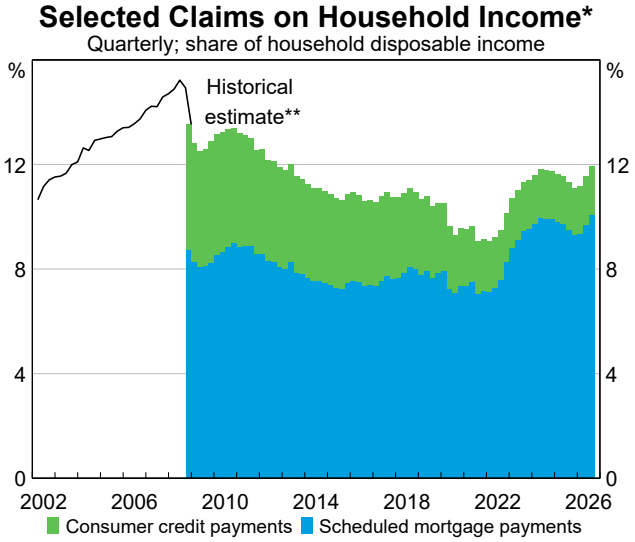


* Latest observation is September 2026.
** Includes deposits in housing loan offset accounts.
Sources: APRA; RBA.

Cash rate increases over 2026 have flowed through to higher scheduled mortgage payments.

Scheduled principal and interest mortgage payments increased to just over 10 per cent of household disposable income in the September quarter, around their 2024 peak (Graph 1.17). Scheduled mortgage payments will rise a little further as September's increase in the cash rate is passed through to mortgage payments (which can take up to three months). Nonetheless, total scheduled household debt payments (including estimated repayments on consumer credit) remain well below the 2008 peak, reflecting a long-run decline in consumer credit relative to household disposable income.[2]

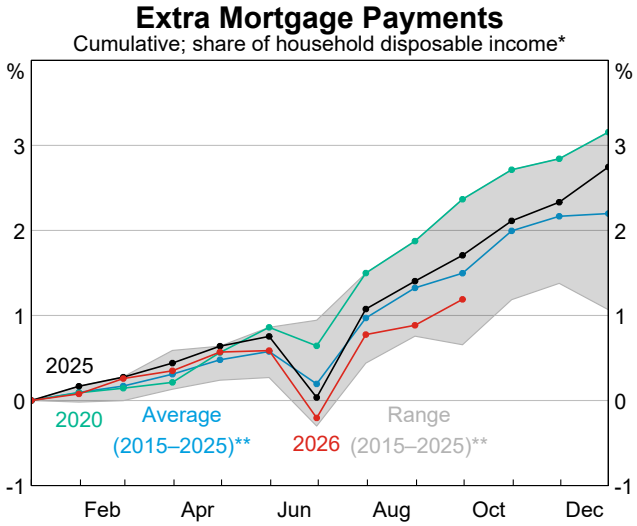
Graph 1.17



* Seasonally adjusted and break-adjusted. Latest observation is September 2026. September quarter 2026 data are based on forecasts for household disposable income.
** Estimated using credit foncier model.
Sources: ABS; APRA; RBA.

Extra mortgage payments have been a bit lower in 2026 compared with 2025 (Graph 1.18). By contrast, the overall household saving ratio has remained relatively stable (see Chapter 2: Economic Conditions). While higher interest rates provide an incentive to save, they also reduce borrowers' cash flows, which can lead to a reduction in extra mortgage payments. Nonetheless, extra payments are still positive and so adding to the significant mortgage buffers that most borrowers have. Indeed, the median borrower in the lowest income quartile has enough savings in offset and redraw accounts to cover around a year's worth of scheduled mortgage payments.[3]

Graph 1.18

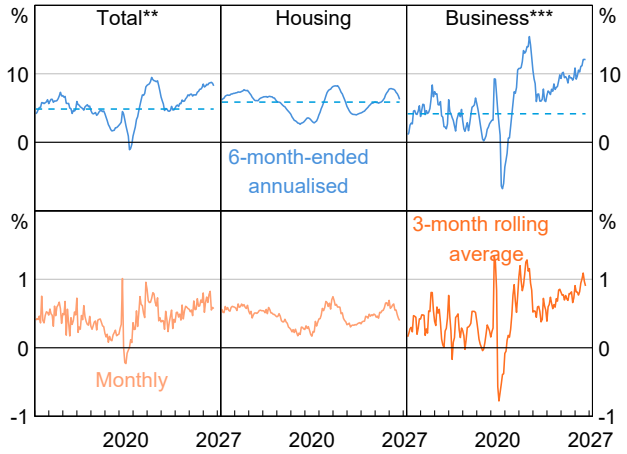


* Data are not seasonally adjusted. Series are calculated as the cumulative sum of extra payments divided by the total for household disposable income over that year. September quarter 2026 data are based on forecasts for household disposable income.
** Available data prior to 2020 are quarterly.
Sources: ABS; APRA; RBA.

Total credit growth has remained well above its post-global financial crisis (GFC) average over recent months.

Total credit growth has declined slightly since the August *Statement*, but remains strong at 8.2 per cent in six-month-ended annualised terms (Graph 1.19). A decline in housing credit growth, to around its post-GFC average, has been largely offset by an increase in business credit growth. These contrasting trends are discussed in more detail below.

Graph 1.19
Credit Growth by Sector*

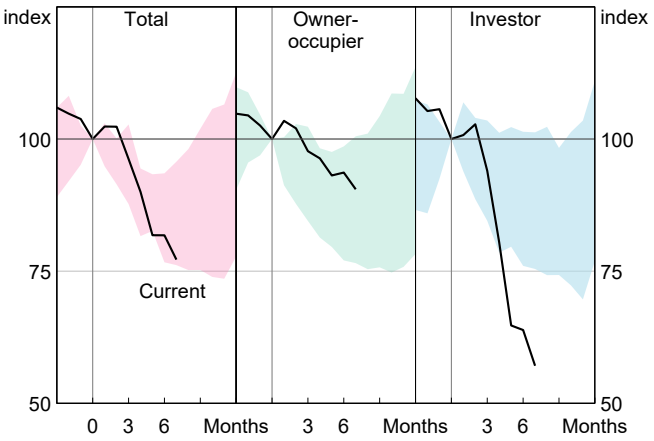


* Seasonally adjusted and break-adjusted. Dashed lines represent average growth rate.
** Includes housing, personal and business credit.
*** Excludes financial businesses.
Sources: APRA; RBA.

New housing loan commitments have declined sharply, particularly for investors, and housing credit growth has eased.

New housing loan commitments have declined further since the August *Statement* and are now 27 per cent below their peak in November 2025. The decline in overall housing loan commitments to date is larger than most tightening phases since 1990, though not as large as at the same point in the 2022 tightening phase (Graph 1.20).[4] While the increase in interest rates over 2026 has weighed on demand from all categories of borrowers, the decline in new lending has been most pronounced for investors and has been concentrated in loans to purchase established dwellings. This is consistent with the recent changes to negative gearing and capital gains tax decreasing the after-tax returns on investments in established housing.

Graph 1.20
New Housing Commitments over Tightening Phases*
Indexed to month of first rate increase

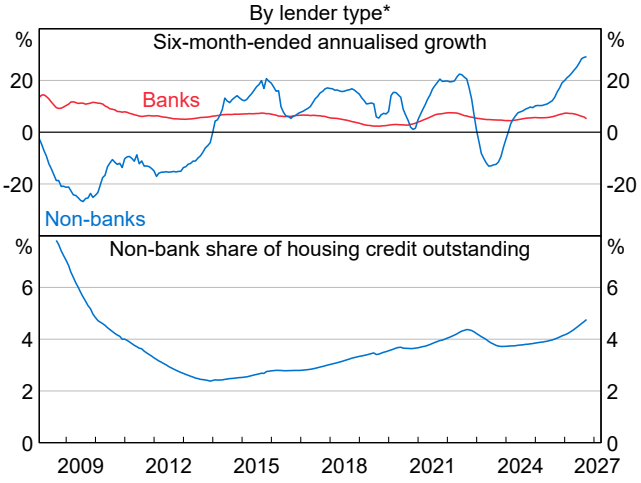


* Monthly data, excluding refinancing, seasonally adjusted and break-adjusted. Shaded areas represent historical range of cumulative changes in commitments during previous tightening phases since 1990.
Sources: ABS; APRA; RBA.

Housing credit growth is now 6.3 per cent in six-month-ended annualised terms, lower than at the time of the August *Statement* but still around its post-GFC average. The recent decline has reflected a fall in investor credit growth; owner-occupier credit growth has remained little changed in six-month-ended terms and has softened only slightly in monthly terms, in line with the more modest decline in owner-occupier commitments. Housing loan commitments and credit growth tend to lag housing price growth by up to three months, largely reflecting lags between the purchase and settlement of property. As a result, housing credit growth is expected to decline further over coming months as recent declines in housing prices and turnover continue to flow through to credit (see Chapter 2: Economic Conditions).

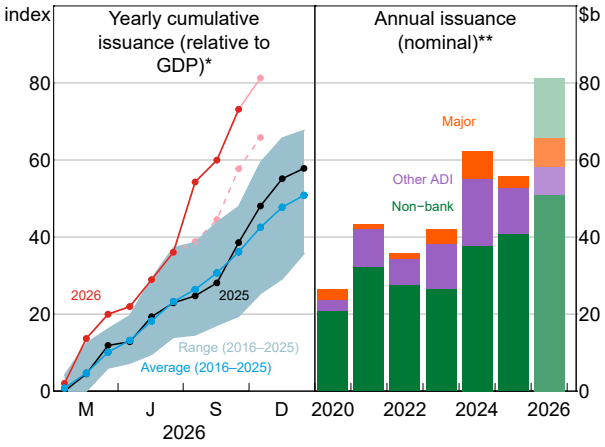
Non-bank housing credit is a small share of total housing credit but has been growing quickly (Graph 1.21). Growth in non-bank housing credit has accelerated considerably over the past 18 months, mainly reflecting new lending rather than refinancing of bank loans. In part, this growth is likely to reflect less stringent debt servicing tests at some non-banks compared with banks (which are required to assess serviceability at an interest rate that is three percentage points above the prevailing mortgage rate, reflecting the Australian Prudential Regulation Authority's (APRA) serviceability buffer). Non-bank credit growth has also been supported by generally favourable conditions in securitisation markets – a key funding source for these lenders – allowing non-banks to compete more readily with banks for customers. Issuance of residential mortgage-backed securities has been very strong, with cumulative issuance in the year-to-date (relative to GDP) exceeding the range seen in recent years (Graph 1.22). While spreads on residential mortgage-backed securities have increased recently they remained very narrow in historical terms.

Graph 1.21
Housing Credit
By lender type*



* Seasonally adjusted and break-adjusted.
Sources: APRA; RBA.

Graph 1.22
RMBS Issuance



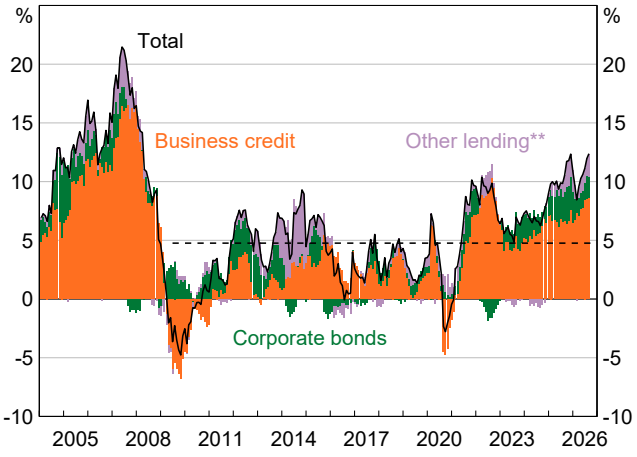
* For years before 2026, cumulative issuance is scaled by that year's nominal GDP relative to 2026. Dotted line shows issuance excluding non-bank Pepper Cashmere deal ($15b portfolio transfer RMBS) as the deal did not constitute new credit. Latest observation is 28 October 2026.

** Lighter green in 2026 partial data denotes Pepper Cashmere deal.
Sources: ABS; KangaNews; RBA.

Growth in business debt remains strong and has increased recently.

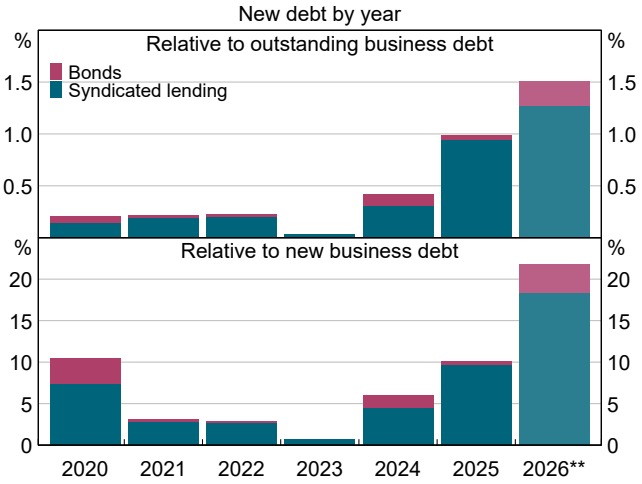
Business debt growth is well above its post-GFC average (Graph 1.23). Business credit growth has accelerated in recent months, supporting the strong growth in overall business debt. By contrast, corporate bond issuance has slowed, largely because high earnings have allowed some resource companies (which typically play a material role in debt issuance) to rely more heavily on internal funding. The largest contributors to business debt growth have been industrial businesses – including borrowing to fund data centre investment, discussed below – as well as consumer-facing industries and real estate businesses.

Graph 1.23
Business Debt Growth*



* Six-month-ended annualised, seasonally adjusted. Dashed line is average since 2009.
** Lending to large businesses by institutions that do not report to APRA.
Sources: APRA; Bloomberg; LSEG; RBA.

Graph 1.24
Australian Data Centre Debt Funding*



* Selected debt funding sources only, comprising syndicated loans and bond issuance; excludes other bank loans. Sample comprises NextDC, Infratil (CDC), Macquarie Technology, Goodman, AirTrunk, Firmus and local funding vehicles of Stack and Equinix.
** Data updated to 28 October 2026.
Sources: Bloomberg; LSEG; RBA.

As in some overseas jurisdictions, debt financing for Australian data centre operators has been an important contributor to strong business debt growth. In 2026 to date, operators have raised at least $30 billion in the bond and syndicated loans markets (domestically and offshore), including syndicates involving Australian banks. This is equivalent to around one-fifth of the increase in the stock of business debt so far this year (Graph 1.24). However, operators may also use other sources of debt funding such as bilateral bank loans and private credit. This suggests that the total volume of borrowing by operators is likely to be higher than the $30 billion quoted above (though it is unclear how much higher). So far, the decline in global and domestic investor sentiment towards some riskier AI-related firms (discussed above) is having only a limited effect on broader cost and availability of funding for most Australian data centre operators. Even so, this remains a risk if sentiment were to deteriorate further.

Funding conditions for private credit lenders have tightened recently, which could reduce the availability of credit for new residential construction. Media reports and liaison information have noted an increase in investors' redemption requests at some funds. At the same time, lenders have noted a less profitable outlook for new residential property developments due to higher construction costs and weaker housing market conditions, which is expected to weigh on both developers' demand for finance and lenders' appetite to supply finance. Available information suggests non-bank lenders (including private credit funds) comprise at least 40–50 per cent of lending for residential property construction.[5]

Endnotes

1 For further discussion, see RBA (2026), *Financial Stability Review*, October.

2 See Appendix A of Jennison S and M Miller (2025), 'An Update on the Household Cash-flow Channel of Monetary Policy', RBA *Bulletin*, January.

3 See Graph 2.4 in RBA (2026), 'Chapter 2: Resilience of Australian Households and Businesses', *Financial Stability Review*, October.

4 At the same point in the 2022 tightening phase the cash rate target was at 3.10 per cent, following 300 basis points of cash rate increases (with around 75 basis points of additional increases expected over the coming year).

5 For example, see Graph 12 in Jennison S, J Spiller and P Wallis (2026), 'Recent Changes in Credit Markets and Their Implications for Monetary Policy', RBA *Bulletin*, February.

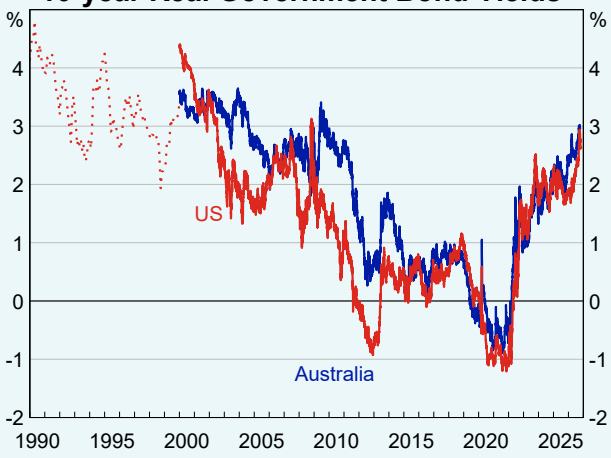
Box A: How Does an Increase in Longer-term Real Yields Affect Financial Conditions?

Longer-term real government yields have risen sharply across advanced economies in recent months. Whether this tightens financial conditions depends on why yields have risen. If yields have risen because markets expect stronger growth, the prospect of higher earnings and returns on investment can more than offset higher discount rates, thereby supporting asset prices and investment. If they have risen because markets expect more restrictive monetary policy or require a higher term premium, there is no such support and financial conditions are likely to have tightened. The recent rise in yields appears to reflect a mix of factors. In Australia, long-term yields have less direct influence on borrowing costs than in the United States because most borrowing here is at variable rates. However, this does not necessarily mean weak transmission overall: increases in foreign yields can still affect domestic financial conditions through asset prices and the exchange rate. This Box examines the drivers of longer-term real yields, places the recent increase in historical context, and considers how higher yields affect financial conditions in Australia.

Longer-term real government yields have risen by as much as 85 basis points over 2026, reaching their highest levels since the early 2000s (Graph A.1). Most of this increase reflects higher real yields rather than changes in longer-term inflation expectations, which have remained broadly stable. The current increase is part of a broader and more sustained rise in longer-term yields since 2021 (see Box B: Developments in the Neutral Rate of Interest). Higher real yields do not necessarily imply tighter financial conditions. Their effect on financial conditions depends on what is driving the increase and how changes in long-term rates are transmitted through the economy.

Graph A.1

10-year Real Government Bond Yields*



* US data before January 2000 (dotted red line) are the Federal Reserve Bank of Cleveland's model-based monthly 10-year real interest rate.

Sources: Bloomberg; Federal Reserve Bank of Cleveland; RBA.

What drives longer-term real yields?

Longer-term real yields reflect the expected path of future short-term real rates and a so-called 'term premium'. Increases in real yields can be grouped into three broad drivers, with the first two working through expected policy rates:

1. **stronger expected growth:** markets may expect stronger economic growth, which can raise expected real policy rates because the neutral rate is thought to have risen (e.g. because of higher productivity growth)
2. **other policy repricing:** markets could expect policy rates to stay higher for longer for reasons other than stronger growth, such as when inflationary pressures lead markets to expect policy to remain restrictive (i.e. above the neutral rate) for a time, such as during persistent adverse supply shocks
3. **higher term premium:** investors may demand greater compensation to hold longer-term bonds, above what they would demand to hold a series of equivalent shorter-term instruments, while expectations for growth and policy rates are little changed.

These drivers can have different implications for financial conditions. When higher yields reflect stronger expected growth, higher expected earnings and returns on investment can more than offset higher discount rates, thereby supporting asset prices. By contrast, when yields rise because of expectations of more restrictive monetary policy or a higher term premium, there is no comparable offset and financial conditions are more likely to tighten. In practice, yield movements can reflect a combination of these drivers.

Putting the recent increase in historical context.

The increase in real yields this year is notable, but not unprecedented. It is comparable in size with several previous episodes, including the dot-com boom, the pre-global financial crisis (GFC) expansion and the 2023 term premium sell-off (Graph A.2). The drivers of these episodes differed, however. Table A.1 classifies past episodes by our assessment of their predominant driver, based on contemporaneous market developments and revisions to consensus forecasts of activity, inflation and policy rates. Several episodes reflected more than one driver.

Table A.1: Historical Episodes of Increases in Real Rates
Grouped by predominant driver

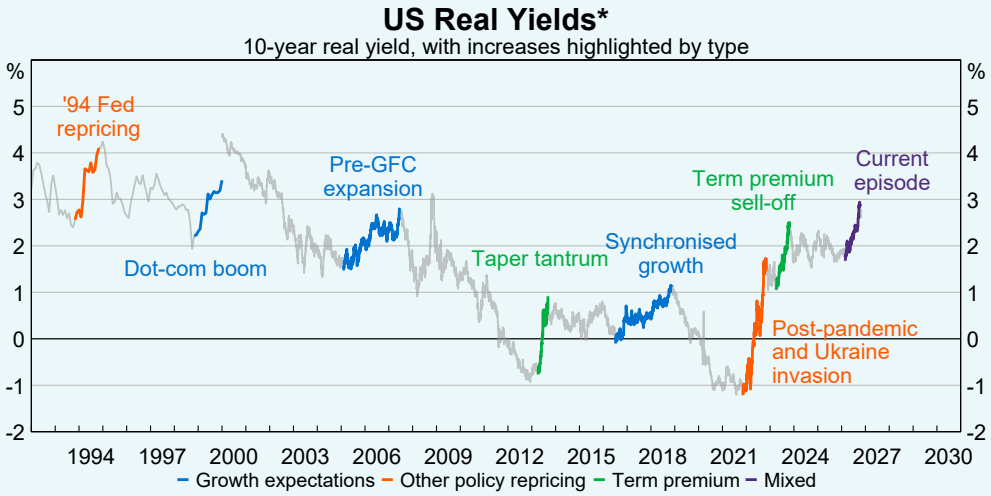
Episode	Period	Description
Growth expectations		
Dot-com boom	Oct 1998–Jan 2000	Optimism about technology and productivity supported a sharp rise in equity prices. Long-term growth forecasts rose substantially, while long-term inflation forecasts were broadly stable.
Pre-GFC expansion	Feb 2005–Jun 2007	Solid global growth, rising equity and housing prices and rapid credit growth pointed to optimism about future activity and returns.
Synchronised growth	Jul 2016–Nov 2018	A broad-based global upswing in economic activity, along with higher equity prices and compressed risk spreads.
Other policy repricing		
'94 Fed repricing	Oct 1993–Nov 1994	Stronger activity and concerns about prospective inflation, together with limited advance communication, left markets unprepared for the pace of monetary tightening, producing a sharp bond-market adjustment.
Post-pandemic reopening and Russian invasion of Ukraine	Nov 2021–Nov 2022	Reopening of economies, supply disruptions and the energy shock led markets to expect rapid monetary tightening; bond yields increased, equity prices declined, and growth forecasts were revised lower.
Term premium		
Taper tantrum	Apr–Sep 2013	The prospect of reduced asset purchases by the US Federal Reserve triggered a sharp bond sell-off and retrenchment from emerging-market assets.

Episode	Period	Description
Term premium sell-off	Apr–Oct 2023	Increased government bond supply raised term premia and risky asset prices weakened as yields rose.
Mixed		
Current episode	Feb 2026–	Stronger US earnings expectations, AI-related equity gains and modestly higher long-term growth forecasts point to a growth component. Increased bond issuance and quantitative tightening point to higher term premia, while expected policy rates have also risen.

Source: RBA.

The dot-com boom provides the clearest example of higher yields accompanying stronger expected longer-term growth. The pre-GFC and 2016–2018 synchronised growth periods were also associated with strong asset prices and economic activity, but forecasts at the time suggest that stronger growth was expected to be cyclical rather than structural. By contrast, the taper tantrum and 2023 term premium sell-off were associated with weaker asset prices and little change in long-term growth expectations, consistent with a larger role for term premia.

Graph A.2



* Grey line: US TIPS yield from January 2000; prior observations are Federal Reserve Bank of Cleveland model estimates (monthly). The series are not spliced due to differences in measurement and levels.

Sources: Bloomberg; Federal Reserve Bank of Cleveland.

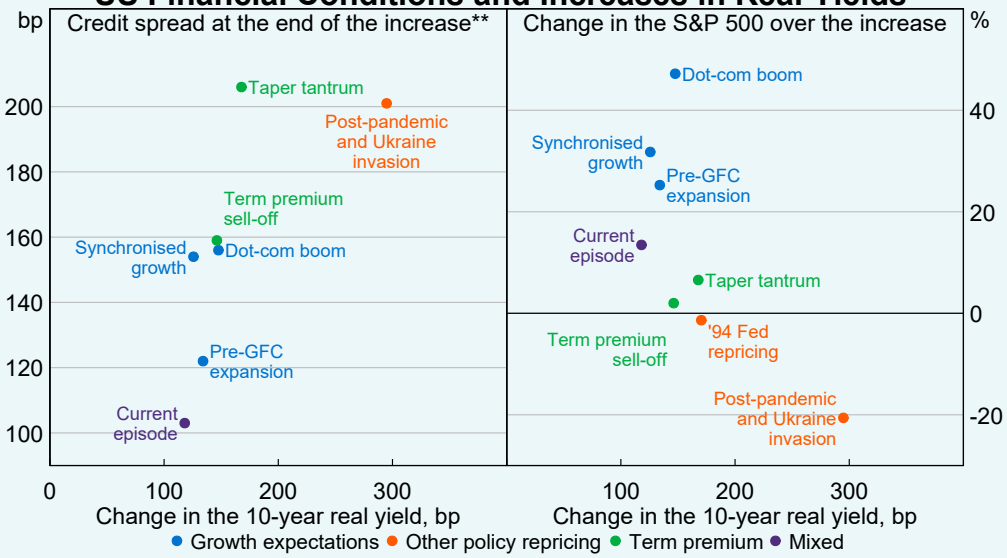
Historical experience also provides a useful reminder that the expectations underpinning market pricing are not always realised. In some cases, periods of strong optimism about future growth have given way to sharp falls in risk asset prices, notably following the dot-com boom and the expansion preceding the GFC. In others, interest rate markets may be slow to recognise lasting improvement in growth prospects.

The current episode appears to reflect a combination of these drivers. In the United States, higher growth expectations appear to have contributed: rising yields have coincided with stronger earnings expectations and higher equity prices, particularly in AI-sensitive sectors, while credit spreads have remained near historical lows (Graph A.3). Expectations of a higher path for policy rates have also contributed. Increased debt issuance and ongoing quantitative tightening, alongside an investor base that is becoming more sensitive to expected returns, also appear to be placing upward pressure on term premia.

In Australia, however, the rise in yields has not been accompanied by a comparable improvement in growth expectations priced into financial assets. That is consistent with the much smaller AI-related sector here, and the less pronounced reassessment of the broader domestic economic outlook. Instead, the rise in Australian yields appears to reflect expectations of a higher path for the cash rate and spillovers from global yields (see Chapter 1: Financial Conditions and Box B: Developments in the Neutral Rate of Interest). As a small open economy, Australia is affected by global movements in longer-term yields, including in neutral rates and term premia, even when domestic fundamentals have changed little.

Graph A.3

US Financial Conditions and Increases in Real Yields*



* Each dot is an episode of a material increase in US 10-year real yields (US TIPS yield; Cleveland Fed estimate for 1994 and 1998–2000).
** US BBB option-adjusted spread; '94 Fed repricing omitted (no spread data).
Sources: Bloomberg; Federal Reserve Bank of Cleveland; ICE Data.

How do longer-term real yields affect financial conditions in Australia?

An increase in longer-term real yields can be transmitted into broader financial conditions through borrowing costs, asset prices, investment and the exchange rate. The overall effect on financial conditions depends on why yields have risen, with the three drivers discussed above having different implications for Australia.

When higher global yields reflect stronger expected growth, the implications for Australian financial conditions are ambiguous. If stronger growth is also expected for Australia, higher expected earnings and returns on investment may offset the effects of higher discount rates. But if the improvement in growth expectations is concentrated abroad, such as from AI-related investments, Australia may import some of the rise in long-term yields without receiving the same benefit of higher expected growth. In that case, the increase in global yields could tighten Australian financial conditions. A persistent productivity or growth differential (in favour of the United States for example) would also be expected to put downward pressure on the real exchange rate, which would provide some offset to the tightening in domestic financial conditions. Similarly, stronger overseas activity could provide some offset by lifting domestic incomes (through trade and commodity-price channels).

When higher yields reflect expectations of more restrictive monetary policy, financial conditions are more likely to tighten. Expected borrowing costs rise, while higher discount rates weigh on asset prices and investment. If Australian policy rates are expected to rise relative to those abroad, a higher exchange rate could tighten domestic conditions further.

When higher yields reflect a higher term premium, the direct effect on broader financial conditions depends partly on the economy's exposure to longer-term rates. Differences in financing structures can therefore mean that the same rise in longer-term yields is transmitted differently across economies.

Australian household borrowing is concentrated in variable-rate mortgages, making borrowing costs less directly sensitive to term premia than in the United States (Table A.2). Thirty-year fixed-rate mortgages are common in the United States, which makes new borrowing rates sensitive to term premia but also means that changes in term premia can take a long time to affect average outstanding rates on mortgages. The differences are less clear-cut for business financing. Higher discount rates may have a larger direct effect on aggregate US equity indices because they are more heavily weighted towards technology companies, whose valuations depend heavily on earnings many years ahead.

Table A.2: Selected Financing Features in Australia and Other Advanced Economies

	Australia	United States	United Kingdom
Household borrowing			
Effective period before mortgage rates reprice[(a)]	<1 month	8.5 years (mostly 30-year fixed term)	3 years (mostly fixed terms of 2–5 years)
Business borrowing[(b)]			
Bank loan structure	89 per cent variable-rate	Mostly variable-rate for larger businesses; mostly fixed-rate for small businesses	Mostly variable-rate
Bond tenor[(c)]	6.0 years	8.4 years	8.3 years[(d)]
Bond/loan share	19 per cent bonds	39 per cent bonds	24 per cent bonds
Government borrowing			
Funding tenor[(e)]	6.5 years	5.9 years	13.4 years

(a) Effective period for which rates on outstanding mortgages are fixed. For Australia and the United Kingdom, this is calculated as a weighted (by amount outstanding) average of the fixed-rate period, with variable-rate mortgages treated as able to reprice immediately; the Australian figure uses the residual term of the fixed-rate period, while the UK figure uses original maturity due to data limitations. The US estimate uses average duration of agency mortgage-backed securities.

(b) Non-financial incorporated and unincorporated businesses.

(c) Residual tenor. Australian and US figures are for bonds only, while the UK figure includes bills but excludes commercial paper. Includes offshore issuance, where available.

(d) Average residual maturity of UK non-financial corporate fixed-rate, non-convertible bonds from 1997Q4 to 2024Q2, excluding those maturing in less than a year.

(e) Residual tenor on all debt including bills.

Sources: AOFM; APRA; Bank of England; Bloomberg; Federal Reserve; LSEG; Office for National Statistics; RBA; UK Debt Management Office; US Congress Joint Economic Committee.

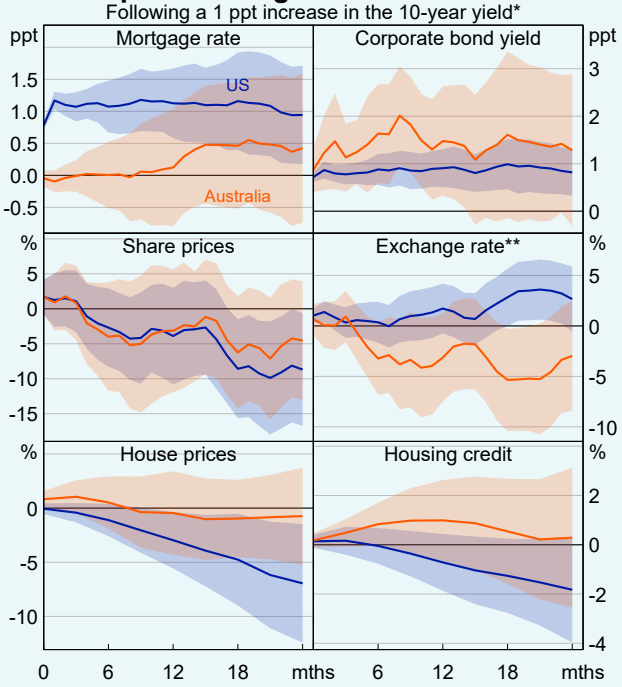
While differences in financial structures affect the direct transmission of higher yields to the economy, the overall effect on financial conditions also depends on broader responses in asset prices and other financial variables. Model-based estimates, using data from 1995 onwards, suggest that US term-premia-driven increases in longer-term yields have, on average, been associated with higher borrowing costs and lower equity and housing prices in both Australia and the United States (Graph A.4).[1]

As expected, these estimates show a larger impact on mortgage rates and housing prices in the United States than in Australia. By contrast, equity prices fall by at least as much in Australia as in the United States, illustrating that weaker direct pass-through to borrowing rates does not necessarily imply weaker transmission overall. Even so, the associated wealth effects from equity market holdings may be weaker in Australia than in the United States because a substantial share of Australian households' equity wealth is held indirectly through superannuation, which is less readily accessible for consumption.[2] The Australian dollar also tends to depreciate in such situations, partly offsetting the tightening in domestic financial conditions; this is consistent with a US term-premium shock raising US yields more than Australian yields.

Graph A.4

Response to Higher US Term Premia

Following a 1 ppt increase in the 10-year yield*



* Increase in each country's own 10-year yield, instrumented with the change in the US 10-year term premium (Kim-Wright); local projections, 1995-2026. Controls: lags of the outcome, the yield and the policy rate. Shaded areas are 95 per cent confidence intervals.

** Each country's trade-weighted exchange rate: the BIS broad nominal index of the US dollar for the US, the Australian dollar TWI for Australia.

Sources: BIS; Bloomberg; Federal Reserve; FRED; Kim and Wright (2005); RBA.

Endnotes

1 The responses in Graph A.4 are estimated using local projections (Jordà O (2005), 'Estimation and Inference of Impulse Responses by Local Projections', *American Economic Review*, 95(1), pp 161–182), with the change in the US 10-year term premium (Kim D and J Wright (2005), 'An Arbitrage-Free Three-Factor Term Structure Model and the Recent Behavior of Long-Term Yields and Distant-Horizon Forward Rates', FEDS No 2005-33) used as an instrument for each market's 10-year government bond yield. Because US term premium movements can reflect a range of underlying shocks, the estimates capture average historical associations rather than the effects of a specific structural shock. In addition, the term premium estimates we use are model-based decompositions that cannot always distinguish perfectly between increases in yields stemming from the term premium and those from other drivers such as growth expectations. For a small open economy like Australia, the instrumental variable approach nonetheless helps to separate movements in yields from developments affecting both yields and financial conditions (this interpretation is less straightforward for the United States). This means that some of the results in Graph A.4 – for instance, the slight increase in mortgage rates and housing credit – may reflect in part higher expected global growth instead of a 'pure' increase in the US term premium. The confidence intervals around these estimates are wide, particularly for Australia.

2 Equity ownership is more concentrated among wealthy households in the United States, which may reduce the aggregate consumption response because those households tend to have lower marginal propensities to consume out of stock market wealth. However, their large quantity of equity holdings means that they can still account for a substantial share of the aggregate consumption response to equity price movements (Mitra I and D Rapach (2026), 'Downside Risk to the Stock Market and Consumption', Federal Reserve Bank of Atlanta Policy Hub Series No 6-2026).

Box B: Developments in the Neutral Rate of Interest

Long-term bond yields in advanced economies have increased substantially recently, continuing their upward trend in the post-pandemic period (see Chapter 1: Financial Conditions). Part of this increase is likely to reflect a rise in the neutral rate of interest – the level of the short-term real interest rate that balances saving and investment and neither stimulates nor dampens demand once temporary influences on the economy have faded. The neutral rate can help inform assessments of the stance of monetary policy. All else equal, a higher neutral rate implies that a given level of the cash rate is less restrictive than otherwise. However, the neutral rate is not directly observed and estimates are subject to considerable uncertainty both about its level and underlying drivers. There is also uncertainty about estimates of other influences on long-term interest rates, notably term premia, which have also contributed to the increase in longer-term sovereign bond yields. This Box discusses the concept of the neutral rate, its possible drivers and the associated uncertainties.

What is the neutral interest rate?

The neutral rate of interest can refer to short-run or long-run concepts, each of which has different connections to forecasts and policy. The long-run neutral rate is the level of the cash rate that neither stimulates nor dampens demand once temporary shocks and structural forces have played out. At that point, demand and potential supply will be in balance, with full employment and inflation at target. It is also consistent with global saving and investment being in balance. Some of the RBA's Australian neutral rate models lend themselves more to this long-run concept of neutral.[1]

However, the long-run neutral rate may not correspond to the appropriate setting for the cash rate in the short term because monetary policy may need to respond to temporary influences on activity and inflation. The short-run neutral rate is a related concept that aims to capture these forces. This is the cash rate that neither stimulates nor dampens demand over the next few years, taking account of ongoing shocks and structural changes.[2] The short-run neutral rate is less commonly estimated in the literature, although some models in the RBA's suite provide signals about shorter-run developments, particularly those based on forward-looking financial market pricing. In practice, it is often unclear in real time whether developments are temporary or persistent, meaning that short-run and long-run concepts of neutral can overlap. Consequently, even models that are intended to represent a long-run forecast of the policy rate may partly capture shorter-run trends.

The RBA's forecasts set out our assessment of how shorter-run developments in financial and economic conditions are likely to affect inflation and unemployment, which helps inform the Monetary Policy Board's assessment of the appropriate stance of monetary policy. The forecasts also attempt to capture the direct impact on the economic outlook of structural change, for example by factoring in estimates of the non-accelerating inflation rate of unemployment and potential output. Estimates of neutral rates provide a useful cross-check of the forecasts. These estimates are shaped by many of the same developments but infer their effects from economic data and market prices using different techniques. This provides an additional perspective on developments in the economy but can also make it difficult to tell whether developments driving the neutral rate estimates are reflected in the forecasts. The value of the cross-check comes from understanding what the estimates imply about the stance of monetary policy and what is likely to be driving these estimates.

When examining the neutral rate and its drivers, it is important to consider both domestic and global factors. Australia is a small open economy, which means that we are price takers in global financial (and other) markets given the sizeable influence of capital flows on domestic financial conditions. Hence, shifts in the

global balance of saving and investment will have a large influence on the neutral rate in Australia, though they are not the only influence (see below). Global forces relevant to the neutral rate include productivity growth, demographic trends and government debt levels.

Estimates of neutral rates have increased in the post-pandemic period and there are a range of possible explanations.

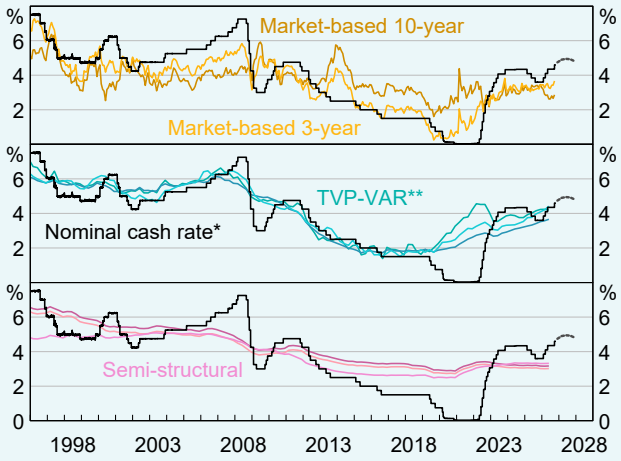
Estimates of the neutral rate in Australia have increased over recent years to be above their pre-pandemic levels, partly reversing a long-run decline (Graph B.1). A similar trend is evident in many advanced economies, including the United States.[3] Although the increase over recent years is relevant to the assessment of the current stance of monetary policy, understanding it requires considering why neutral rate estimates declined over the decades leading up to the pandemic. The research literature has put forward two competing explanations. First, the decline could reflect slow-moving structural factors, such as demographics, weak productivity growth and inequality, that caused 'secular stagnation'. Second, the particularly sharp decline in neutral rate estimates in the 2010s could be picking up more temporary factors, such as the need to repair balance sheets in the aftermath of the global financial crisis (GFC).[4]

The first explanation, secular stagnation, argues that households and businesses increasingly wished to save more, relative to firms' desired investment, placing downward pressure on interest rates.[5] Three possible causes identified in the literature are demographic change, weak productivity growth and rising inequality globally. Population ageing and rising inequality can increase desired saving, while weaker productivity growth can reduce desired investment. Together, these factors will put downward pressure on interest rates. At the same time, a number of governments globally ran substantial fiscal deficits, including because of increased social security expenditure to support ageing populations. The literature argues that the decline in neutral rates would probably have been even larger without these fiscal deficits.

Graph B.1

Nominal Neutral Rate

Suite of models



* Dashed line shows cash rate expectations implied by overnight index swap rates.
** Time-varying parameter vector autoregression models (TVP-VAR).
Source: RBA.

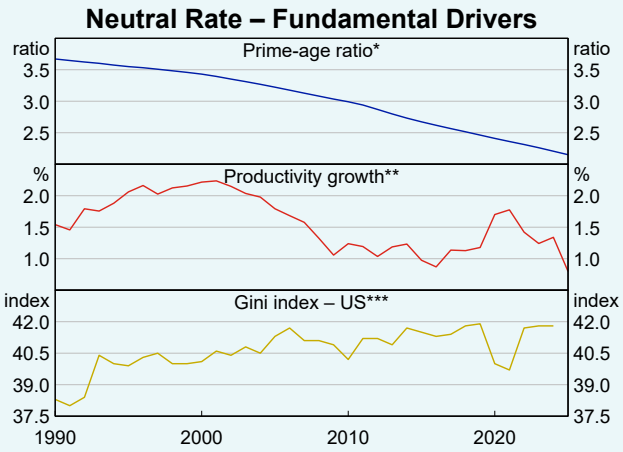
A second explanation is that the unsustainable credit boom in the 2000s and the balance sheet damage caused by the resulting GFC placed persistent, but ultimately temporary, downward pressure on interest rates.[6] This literature argues that many of the slow-moving structural factors associated with secular stagnation do not align with either the steep decline in estimated neutral rates during the 2010s or their subsequent increase. For example, the working-age population has declined relative to the old-age population in the OECD in a relatively steady way that does not match the sharper decline and then rebound in neutral rate estimates. Instead, this literature argues that high levels of household and business debt and large falls in asset prices led households, businesses and financial intermediaries to spend a prolonged period repairing their balance sheets. This desire to increase private saving and reduce private investment worked to lower neutral rates. As the effects of the GFC faded and balance sheets were repaired, this downward influence on neutral should have dissipated.

While the estimates presented above suggest that neutral interest rates have increased materially since the pandemic, the drivers of that increase remain uncertain. The increase over recent years is broadly consistent with explanations that emphasise the fading effects of the GFC, but it could also reflect

changes in longer-running structural factors (Graph B.2; Table B.1). For example, the post-pandemic rise in neutral rate estimates has coincided with a rapid expansion in AI-related investment and stronger US productivity growth than in the 2010s. Higher expected productivity can raise the expected return on investment and encourage businesses to invest more, placing upward pressure on neutral rates. Large and persistent fiscal deficits in advanced overseas economies could also be putting upward pressure on neutral rate estimates by reducing public saving. As a share of GDP, post-pandemic deficits in the United States and elsewhere have been larger than in the late 2010s or before the GFC.

The magnitude of these effects remains highly uncertain.[7] Structural changes, such as in expected future productivity, are hard to measure and do not necessarily occur gradually nor independently of other forces. Newer and ongoing structural changes are likely to be evolving in their effect on neutral rates. The effects of climate change, for example, are ambiguous: additional investment in renewables, including to meet the energy requirements of AI, could put upward pressure on neutral rates, whereas the higher returns required by investors to compensate for physical climate risks could work in the opposite direction.[8] Globally, government deficits have also continued to increase, and political and geopolitical factors could sustain this trend. At the same time, ageing populations and rising inequality continue to weigh on neutral rates.

Graph B.2



* Population aged 25-55 divided by population over 65 for available OECD countries.
** Rolling 5-year average growth in real GDP per hour worked for available OECD countries, weighted by GDP-PPP.
*** Gini index represents the distribution of income among households relative to a perfectly equal distribution. A higher Gini index represents greater income inequality.
Sources: OECD; RBA; World Bank.

Table B.1: Neutral Rate – Selected Potential Drivers(a)

Economic/financial development	Channel	Implication for r*	Persistence
Population ageing	Increases desired household saving	Lower	Structural
Rising inequality	Shifts income towards households with higher saving propensities	Lower	Structural
Stronger/weaker productivity growth	Increases/reduces expected returns to capital and desired investment	Higher/Lower	Structural
Post-GFC balance sheet repair	Raises private saving and reduces investment while households and firms deleverage	Lower	Persistent but temporary
Larger government deficits	Reduce public saving	Higher	Depends on fiscal persistence
Climate change and adaptation	Raises investment in energy transition, while greater physical climate risk can weigh on investment, among others	Ambiguous	Potentially structural

(a) Summary of potential macroeconomic drivers of the neutral rate discussed above and in International Monetary Fund (2023), 'The Natural Rate of Interest: Drivers and Implications for Policy', *World Economic Outlook*, April, Chapter 2. Other potential economic/financial drivers of neutral rates from IMF (2023) include scarcity of safe assets, risk aversion and financial stress.

Sources: IMF (2023); RBA.

The global neutral rate is not the only driver of the neutral rate in Australia.

As mentioned above, global forces have a strong influence on the Australian neutral rate because of Australia's role as a small open economy. However, they do not determine it completely. One study suggests that changes in US neutral rates explain around half of the variation in Australian neutral rate estimates.[9] In theory, once the economy is in balance, shocks have dissipated and monetary policy is therefore no longer responding to domestic or international shocks, the neutral rate in a small open economy should equal the global neutral rate plus a risk premium. This risk premium could reflect impediments to the free flow of capital or differences in the compensation that domestic and international investors require for risk.

There remain considerable uncertainties about both the level and drivers of the neutral rate, which are consequential for policy.

Although neutral interest rates are an important conceptual framework for considering the stance of policy, they cannot be observed directly and are difficult to measure. Different approaches to measuring neutral rates offer different perspectives. Some approaches infer neutral from financial market prices and some are estimated by examining the evolution of macroeconomic variables. The RBA accounts for this uncertainty by examining a range of models. Another source of uncertainty arises from how these statistical models are estimated, meaning that even a single model can produce a wide range of plausible estimates of the neutral rate.[10] And, as noted above, it is difficult to tell in real time how much each model reflects long-run trends rather than shorter-term developments.

Reflecting this uncertainty, policymakers are cautious when interpreting (small) short-term moves. Most models suggest that neutral rates have increased over recent years. However, the rise in long-term bond yields over the year to date could reflect a number of factors other than changes in neutral rates, such as expectations about future inflation and the additional compensation that investors require to hold longer-term bonds (see Box A: How Does an Increase in Longer-term Real Yields Affect Financial Conditions). An increase in long-term yields therefore does not, by itself, mean that the neutral rate has risen.

Even if neutral rates have increased, it is difficult to determine what has driven the increase. The relevance of the long-run neutral rate estimates to current policy is mainly the information they contain about underlying developments in the economy, and whether those are adequately reflected in the RBA's forecasts. The persistence and effects of these developments matter for the appropriate setting of policy over the next few years, as captured by the short-run concept of neutral.

As an example, suppose the emergence of AI technologies leads to a modest increase in global productivity in the long term. This could place some upward pressure on long-run neutral rate estimates without necessarily significantly affecting near-term inflation or the appropriate cash rate today. However, if AI also increased near-term aggregate demand by increasing investment in data centres and related infrastructure, then the appropriate policy response could be to increase the cash rate by more than the change in the long-run neutral rate. Given the uncertainty around both the extent of any increase in neutral rates and the forces driving it, the possibility of a higher neutral rate is partially embedded in the current forecasts and is otherwise being monitored as a source of uncertainty for the outlook (see Chapter 3: Outlook).

The RBA will continue to develop our understanding of the structural drivers of neutral rates and the degree to which they are likely to have implications over different horizons for the appropriate setting of monetary policy. Key areas for research include connecting movements in the neutral rate suite to fundamental economic drivers, including better understanding the 'wedge' between domestic and global neutral rates.

Endnotes

1 See, for example, Kent C (2026), 'Reassessing Australian Financial Conditions', Speech at the KangaNews Debt Capital Market Summit, Sydney, 26 March. Also see Smith P (2025), 'How Developments in International Financial Markets Shape Financial Conditions in Australia', Speech at Australian Securitisation Conference, Sydney, 26 November, on the role of global neutral.

2 See Kent, n 1. Also see Obstfeld M (2023), 'Natural and Neutral Real Interest Rates: Past and Future', NBER Working Paper No 31949.

3 See Federal Reserve Bank of New York (2026), 'Measuring the Natural Rate of Interest', available at <https://www.newyorkfed.org/research/policy/rstar/>.

4 This is not an exhaustive survey of possible drivers of the neutral interest rate; other explanations include changes in the demand for safe and liquid assets and associated convenience yields. See International Monetary Fund (2023), 'The Natural Rate of Interest: Drivers and Implications for Policy', *World Economic Outlook*, April, Chapter 2.

5 See Rachel L and L Summers (2019), 'On Secular Stagnation in the Industrialized World', Brooking Papers on Economic Activity No 26198.

6 Eggerston G and P Krugman (2012), 'Debt, Deleveraging, and the Liquidity Trap: A Fisher-Minsky-Koo Approach', *The Quarterly Journal of Economics*, 127(3), pp 1469–1513; and Rogoff K (2025), 'Debt Supercycle Versus Secular Stagnation', *Journal of Policy Modelling*, 47(4), pp 723–737.

7 See Korinek A *et al* (2026), 'Economic Scenarios for Transformative AI', Centre for Economic Policy Research Paper No 21939.

8 See Angeli M *et al* (2022), 'Climate Change: Possible Macroeconomic Implications', Bank of England *Quarterly Bulletin*, October.

9 Morley J and B Wong (2026), 'How Important is Global R-star for Open Economies?', *European Economic Review*, 188(August), No 105391.

10 For example, in one of the RBA's semi-structural models, the 90 per cent probability interval for the current neutral rate spans around 7 percentage points, indicating that the true neutral rate could be far from the central estimate.

Chapter 2
Economic Conditions

Summary

Global cost pressures from the Middle East conflict and AI boom have increased since August.

- **The re-escalation of the Middle East conflict has pushed up energy prices**, as global energy supply continues to be constrained by disruptions to shipping and damage to refineries. Crude oil and refined product prices have risen by 20–25 per cent and are materially higher than was assumed in the August forecasts. Prices of a range of base metals and agricultural commodities have also increased this year, including because of the conflicts in the Middle East and Ukraine and adverse weather.
- **Global economic activity has been more resilient than expected, underpinned by the AI boom and supportive fiscal measures.** GDP growth in Australia's major trading partners has trended higher over the past few years. Recently, the strength in global AI-related demand and fiscal measures in some major economies have more than offset the negative impacts of the Middle East conflict. The underlying strength in the global economy has added to global cost and price pressures, with the surge in data centre activity creating capacity constraints in related supply chains.
- **The extent to which global cost pressures will pass through to consumer prices is uncertain.** Headline inflation has increased in most economies following increases in energy prices, while core inflation is already above central bank targets in many advanced economies. Policy rate expectations implied by market pricing have increased in many advanced economies, in line with higher near-term inflationary pressures (see Chapter 1: Financial Conditions).

In Australia, GDP growth has slowed this year to a little below its potential growth rate.

- **This largely reflects softer growth in household consumption, consistent with the earlier easing in household income growth, as well as in exports and public demand.** The Middle East conflict is assessed to have had only modest effects on overall domestic activity so far. Notwithstanding the slowing in growth, recent data suggest that activity growth this year has been a bit stronger than anticipated in the August forecasts, supported by very strong investment in data centres.
- **Conditions in the housing market have eased and the unemployment rate has increased, both by more than expected in August.** Housing prices have declined further from their peak in March, primarily reflecting the effects of monetary policy and tax changes announced in the federal budget. The unemployment rate increased to 4.6 per cent in the September quarter. That appears largely to reflect stronger-than-expected labour supply; employment growth held up in the September quarter as expected and liaison and leading indicators suggest a stable near-term outlook for labour demand.

Domestic inflation is elevated and has been stronger than expected recently. We now assess that capacity constraints in the first half of the year were a little tighter than previously judged.

- **Headline inflation was 3.9 per cent over the year to the September quarter and trimmed mean inflation ticked up to 3.7 per cent.** The upside surprise in trimmed mean inflation – relative to the August forecasts – is judged to reflect that domestic capacity pressures this year have been stronger than previously assessed, with the indirect effects of cost pressures related to the Middle East conflict passing through to inflation broadly as anticipated. While the price of fuel has increased strongly, inflation has been broad-based, including significant price increases for a range of market services. This is consistent with elevated growth in unit labour costs. Liaison contacts across most industries continue to report sustained cost pressures.
- **Despite the easing in GDP growth and increase in the unemployment rate we continue to assess that there are some capacity pressures in the economy.** While below-trend GDP growth and rising unemployment by themselves imply that aggregate demand and potential supply are moving closer to balance, a range of data – including persistently high inflation and elevated growth in labour and non-labour input costs – suggest that domestic capacity constraints are greater than previously assessed and so capacity pressures remain. Accordingly, we have raised our estimate of the unemployment rate consistent with low and stable inflation a little, though this estimate remains very uncertain.
- **Some measures of short-term and longer-term inflation expectations have increased since August.** Elevated inflation expectations, including shorter-term expectations, may contribute to higher realised inflation if they influence wage- and price-setting decisions today.

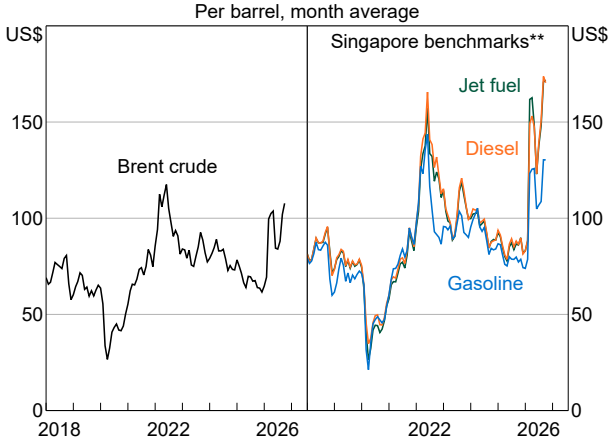
2.1 Commodity price developments

Some of the upside risks to global cost pressures identified in the August *Statement* have materialised. Global oil and refined product prices have increased sharply due to ongoing disruptions related to the Middle East conflict, and these prices are now expected to remain elevated for longer. More broadly, a range of supply disruptions caused by conflicts and adverse weather events, alongside strong AI-related demand, are boosting prices of a range of commodities and inflation in many economies.

Energy prices have increased since the August *Statement*.

Front-month Brent crude oil futures prices have increased by around 25 per cent since the August *Statement* and are currently around US$115 per barrel (Graph 2.1). A renewal of hostilities in the Middle East led to a sharp increase in global crude oil prices in September and October, to around their peak level from earlier this year. That is despite a recovery in crude oil exports from the Middle East owing to the rerouting of oil flows and use of ship-to-ship transfers to enable crude oil flows through the Strait of Hormuz. Elevated prices likely also reflect an increased geopolitical risk premium associated with the risk of further disruption to crude oil flows due to the conflict.

Graph 2.1
Oil and Refined Product Prices*
Per barrel, month average

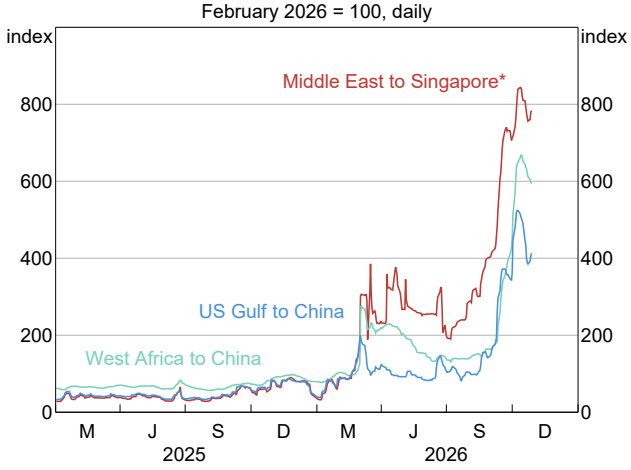


* The October 2026 observation for all series is an average to 28 October.
** Front-month forward prices.
Sources: Bloomberg; RBA.

There continues to be little sign of progress toward a resolution of the conflict and commodity analysts have revised their outlook for oil prices higher in 2026 and 2027. The downward slope of the futures curve has also steepened since the August *Statement*, reflecting tight physical oil supply and falling inventories as conflicts escalated over September and October (see Graph 3.1 in Chapter 3: Outlook).

Prices of refined oil products have increased substantially since the August *Statement*. The spreads between the prices of refined products and crude oil ('crack spreads') have been elevated for some time, reflecting supply constraints. Refined product exports from the Middle East have recovered by less than crude oil exports in recent months. In addition, global refining capacity remains constrained due to outages in Russia and the Middle East, further limiting supplies, particularly of diesel. Since August, gasoline, diesel and jet fuel prices have increased by around 20–25 per cent. That largely reflects increases in the cost of buying and shipping oil, as the rerouting of crude oil and the use of ship-to-ship transfers have caused congestion and raised shipping costs for refiners (Graph 2.2). Market reporting indicates that higher shipping costs have not been fully passed through to refined product prices, as profit margins for some Asian refiners have been squeezed. Compressed margins may discourage refiner production in the near term, helping maintain elevated refined product prices and crack spreads.

Graph 2.2
Crude Oil Shipping Cost Indexes
February 2026 = 100, daily



* Route begins in the Strait of Hormuz. Price formation for this index is likely disrupted.
Sources: LSEG; RBA.

Low inventory levels and a recovery in Chinese oil imports leave energy markets vulnerable to further supply disruptions and upward pressure on prices. A drawdown in global inventories and a reduction in Chinese demand for oil imports helped energy markets absorb the initial impact of the Middle East conflict. While increases in crude oil supply over August and early September allowed for a modest restocking of global crude oil inventories, market analysts estimate that inventories remain around historically low levels. Refined product inventories have continued to decline and are approaching historical minimum levels. Chinese oil imports have increased recently and a sustained recovery – for example, to support inventory restocking – presents an upside risk to global crude oil prices.

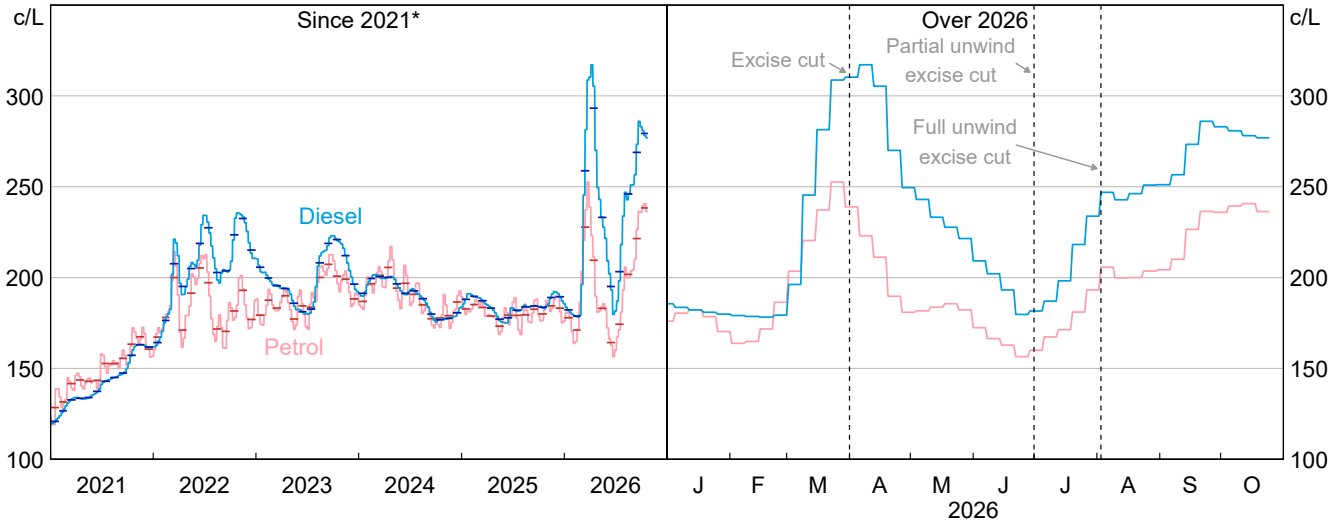
Retail petrol and diesel prices in Australia have increased substantially and are well above the August forecast assumption and their pre-conflict levels (Graph 2.3). The increase reflects both the rise in regional benchmark prices for refined fuel and the ending of the temporary fuel excise reduction in July and August. Nonetheless, refined fuel prices, especially for diesel, remain below the peaks observed earlier this year, which reflected severe dislocations in Asian refined product markets following the announcement of export bans in several exporting countries in the region.

Prices of natural gas have increased in line with other energy commodities. Asian liquefied natural gas (LNG) and European natural gas prices have increased by more than 50 per cent to be around the high levels observed during the early stages of the Middle East conflict, driven by restocking demand in Europe ahead of winter and concerns over future supply from the Middle East.

Graph 2.3

Fuel Prices by Type

Cents per litre, weekly



* Darker horizontal lines are monthly averages.

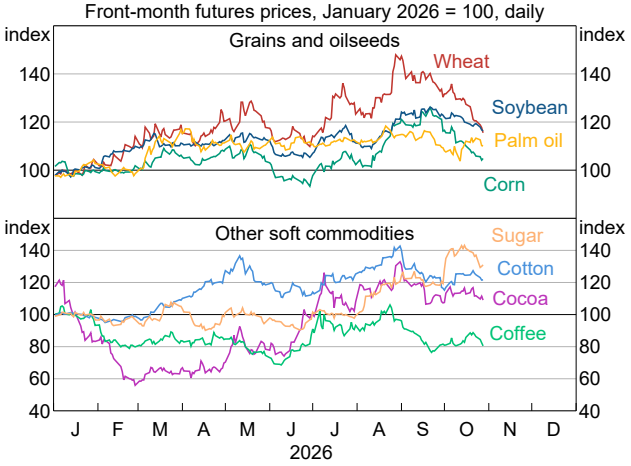
Sources: Australian Institute of Petroleum; RBA.

Supply disruptions continue to affect a range of other commodity prices.

Prices of some base metals have risen since August, while agricultural commodity prices remain elevated. Copper, zinc and aluminium prices remain elevated following mining and shipping disruptions, including due to the Middle East conflict, alongside continued demand pressure from the energy transition and AI-related investment. Prices for agricultural commodities, including wheat, have risen through 2026, following supply chain disruptions in the Middle East and Ukraine (Graph 2.4). The increase in fertiliser prices in March and April as a result of the Middle East conflict may now also be contributing to elevated agricultural commodity prices. Adverse weather conditions, including drought in parts of the United States and repeated heatwaves in Europe, have also affected harvests, pushing up grain prices earlier this year.

The internationally declared El Niño event is yet to materially affect commodity prices but poses risks to agricultural yields and prices over the year ahead. The estimated effects on agricultural output and prices in previous El Niño episodes have varied and tend to differ across both regions and commodities. El Niño can increase the likelihood of extreme weather events, which may exacerbate supply disruptions and contribute to periods of elevated commodity price volatility.

Graph 2.4
Agricultural Commodity Prices
Front-month futures prices, January 2026 = 100, daily



Sources: Bloomberg; RBA.

In terms of key Australian commodity exports, the price of iron ore has fallen slightly, while the price of coking coal has increased by 6 per cent since the August *Statement*. Iron ore price pressures remain subdued as supply remains abundant, while coking coal prices have been boosted by supply disruptions in China and Indonesia.

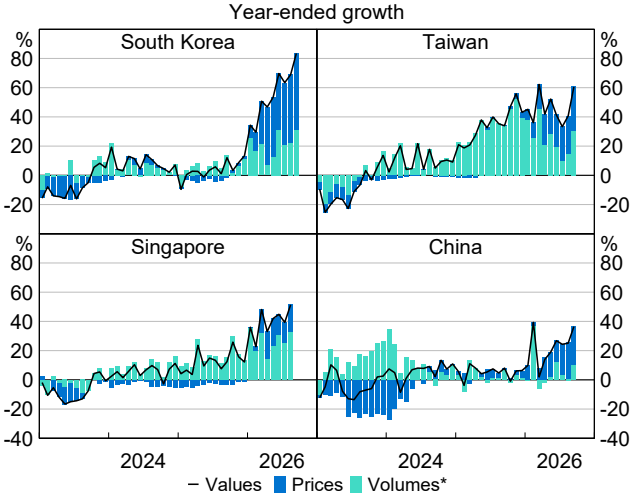
2.2 Global economic conditions

Economic growth in Australia's major trading partners (MTPs) has trended higher and been consistently stronger than expected over the past year or so. MTP growth has been resilient and slightly higher than some estimates of trend growth recently. Growth has been supported by the global surge in AI-related investment, fiscal policy measures targeted at households and business in many economies, and higher defence spending in some economies. Against a backdrop of higher public and private investment, government bond yields have increased across advanced economies; this reflects expectations that policy rates will remain higher for longer, as well as increases in term premia (see Chapter 1: Financial Conditions). Upstream cost pressures are intensifying as capacity in AI-related supply chains struggles to keep pace with soaring demand – particularly in high-income east Asia – and global energy prices have been persistently elevated. These pressures are passing through to some consumer goods prices. The rise in goods prices has occurred alongside a stalling in disinflation in services prices, leaving core measures of inflation elevated relative to central banks' targets. Central bank policy responses are discussed in Chapter 1: Financial Conditions.

MTP growth has been stronger than expected in the August *Statement*, supported by the boom in AI-related investment that has more than offset headwinds from the Middle East conflict.

Growth in Australia's trading partners remained resilient in the June and likely also the September quarters, partly reflecting the global investment boom, particularly for AI-enabling products. GDP growth was stronger than expected in economies with significant exposure to AI-related supply chains, such as South Korea and Singapore, reflecting robust net exports and an increase in construction activity. Timely trade data across several east Asian economies indicate that export prices continued to rise sharply in the September quarter – by around 40 per cent in year-ended terms in South Korea – consistent with manufacturing capacity being fully utilised, compounding cost pressures from higher energy prices (Graph 2.5). These upstream cost pressures have flowed through east Asian supply chains and into some consumer goods prices.

Graph 2.5
East Asia Goods Exports
Year-ended growth



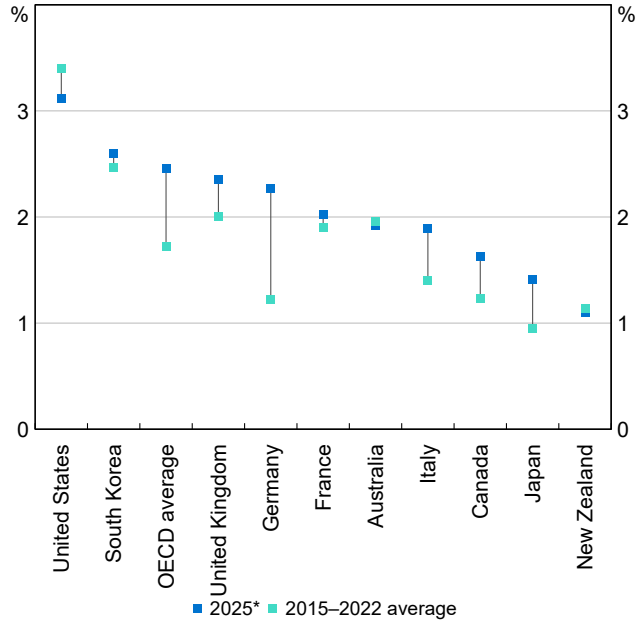
* Volumes are implied from US dollar export values and export price indices.
Sources: CEIC Data; LSEG; RBA.

Outside of east Asia, growth in advanced economies appears to have remained steady in the September quarter following stronger-than-expected growth in the June quarter. Timely indicators point to continued strength in manufacturing activity and investment in the September quarter, reflecting AI- and defence-related demand. Business surveys also suggest that services activity growth may have strengthened in the September quarter. In the United States, household consumption and private sector labour demand remain resilient despite higher energy prices; retail sales growth over August and September was strong, while employment growth has remained broadly in line with estimates of labour supply growth, leaving the unemployment rate little changed.

Growth in many trading partners has also been supported by fiscal policies shielding households and businesses from higher energy costs, as well as rising defence spending in some economies. In the first half of the year, many governments implemented tax cuts, subsidies and fiscal transfers to support households and businesses through the Middle East energy shock. While there had been a gradual shift away from subsidies and price caps for retail fuel, allowing

upstream cost increases to pass through to producer and consumer prices, some trading partners have extended or re-introduced these policies following more recent increases in refined product prices globally. Defence spending has also supported growth in some trading partners, particularly in the euro area where its share in GDP has increased since Russia's invasion of Ukraine in 2022 (Graph 2.6). The impact of higher government spending (and other factors) on government bond yields globally is discussed further in Box B: Developments in the Neutral Rate of Interest.

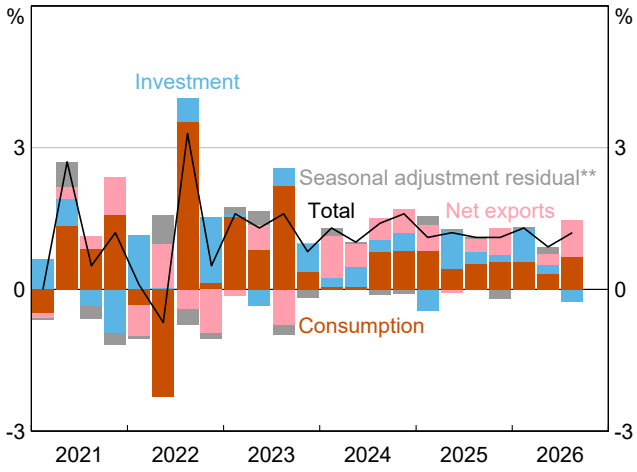
Graph 2.6
Defence Spending in Selected Major Trading Partners
Share of GDP



* Data are OECD estimates.
Sources: OECD; RBA.

consumption, lifting the savings ratio amid ongoing weakness in household sentiment and spending. Monthly indicators suggest that there was some improvement in momentum towards the end of the quarter, led by fixed asset investment and industrial production as authorities continue to prioritise development of advanced manufacturing and 'Six Networks' infrastructure projects.[1] Local government special bond issuance increased in August and September, which should support infrastructure investment further over the coming months. Property sector activity continued to decline. Developments in the Middle East conflict and the AI-investment boom have affected Chinese trade flows and contributed to large increases in Chinese export prices.

Graph 2.7
China – GDP Growth*
Quarterly with estimated contributions



* Components seasonally adjusted by the RBA and their contributions calculated by the RBA.
** Reflects the difference between RBA and NBS seasonal adjustment.
Sources: CEIC Data; RBA.

GDP growth in China rebounded in the September quarter which, alongside the announcement of additional policy support, means that growth is on track to achieve the annual GDP growth target.

Chinese economic activity strengthened over the September quarter, following a period of subdued activity. Growth was supported by a moderate increase in consumption and a large positive contribution from net exports, while investment declined (Graph 2.7). Household income growth continued to outpace

In response to subdued growth in the middle of the year, authorities shifted to a more supportive policy stance and reaffirmed their commitment to achieve the 2026 annual growth target. The new policy measures include expanding policy bank lending to cover infrastructure projects that are part of the 'Six Networks' construction initiative and allowing local governments to draw on unused special bond quotas from previous years. Alongside other adjustments to monetary policy settings and mortgage policies, the new measures signal that lifting economic growth to achieve the annual target has become more of a policy priority, which should support a strong increase in infrastructure investment over the remainder of 2026 and early 2027.

Core inflation remains elevated in many economies and energy and upstream AI cost pressures have intensified.

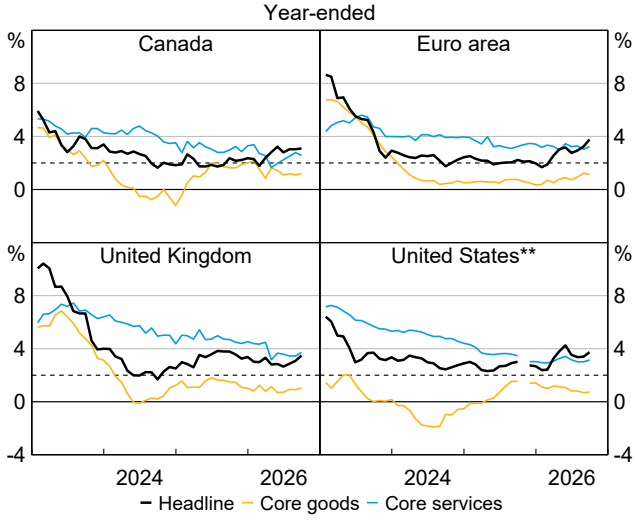
Headline inflation has risen across most economies, driven by higher energy prices following the re-escalation of hostilities in the Middle East (Graph 2.8). Most advanced economy central banks have revised their near-term headline inflation forecasts higher to reflect elevated energy prices, though most still expect inflation to return to target by 2028. Available measures of households' longer-term inflation expectations have risen in some advanced economies, in line with higher energy price inflation. Producer prices and a range of indicators from timely business surveys suggest that cost pressures for firms in all advanced economies remain elevated due to higher energy, materials and transport prices related to suply disruptions caused by the Middle East conflict. Some firms also report limited ability to pass cost increases on to price-sensitive consumers.

Upstream costs in AI-related supply chains are passing through to some core consumer goods prices, while disinflation in services prices has stalled, leaving core inflation elevated. Core goods inflation has picked up in many advanced economies this year and remains above its pre-pandemic averages in most economies. Prices of some consumer electronics have risen sharply as upstream costs in AI-related supply chains have been passed through to related consumer goods like personal computers. Impacts on aggregate headline and core measures of inflation have so far been limited because the affected goods tend to have small weights in consumer price baskets. Core services inflation remains above rates consistent with central bank targets and progress on disinflation in a number of advanced economies has stalled alongside upward pressure on transportation costs and signs of strengthening activity in their services sectors.

Graph 2.8

Goods and Services Consumer Price Inflation*

Year-ended

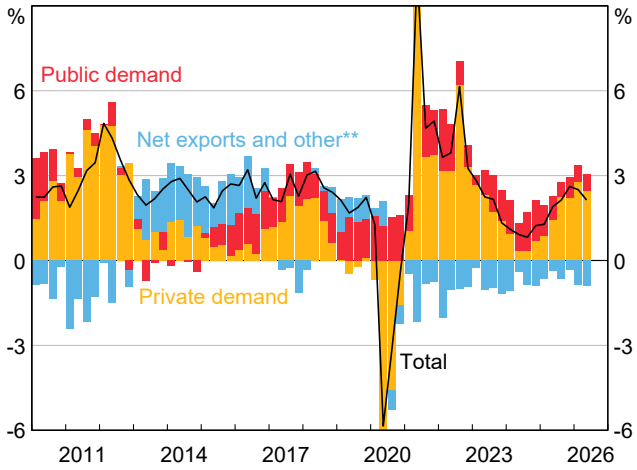


* Dashed line is the central bank headline inflation target or midpoint of central bank target range; PCE inflation target for the United States.
** CPI data not available for October 2025.
Sources: BLS; Eurostat; LSEG; RBA.

2.3 Domestic economic activity

GDP growth has slowed to below its potential growth rate in 2026, as some of the factors that supported above-trend growth in late 2025 (including strong growth in income) have waned. The initial phase of the Middle East conflict looks to have weighed only modestly on activity growth, as expected. However, the slowing has been a little more gradual than was expected in August, largely reflecting stronger-than-expected business investment related to data centres and the renewable energy transition. Household consumption growth has moderated broadly as expected, despite consumer sentiment being very low, supported by resilient household balance sheets and modest real income growth. By contrast, housing market conditions have eased by more than expected over recent months.

Graph 2.9
GDP Growth*
Year-ended with contributions



* Outliers during the COVID-19 pandemic have been truncated.
** Includes change in inventories and the statistical discrepancy.
Sources: ABS; RBA.

Growth in domestic activity has slowed in 2026 following strong growth over the second half of 2025.

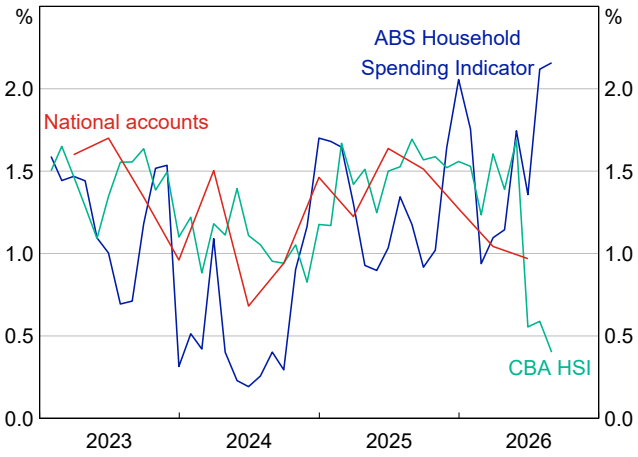
GDP grew by 0.4 per cent in the June quarter, below its potential growth rate but a little stronger than expected in the August forecasts (Graph 2.9). Growth eased in the first half of 2026. That reflected softer growth in household consumption, exports and public demand, which outweighed strong growth in dwelling investment and business investment. The strength in business investment was relatively broad-based, though spending related to data centres and renewable energy projects was particularly strong. Investment in data centres has mostly been met by stronger imports, which has limited the impact on overall GDP. Given the usual lags, the recent tightening in monetary policy and easing in conditions in the established housing market are assessed to have had only modest effects on GDP growth in the first half of the year.

Household consumption growth has slowed this year to be a little below trend, consistent with the earlier slowing in the growth of household income.

Consumption growth in the June quarter was as expected, with the net effects from the Middle East conflict appearing to be modest. Household consumption grew by 0.4 per cent in the quarter and year-ended growth slowed to 1.8 per cent alongside slowing growth in income. Australians' spending on overseas travel fell sharply in the quarter, and consumption of fuel and transport services declined. However, this was largely offset by stronger electric vehicle purchases and discretionary spending domestically.

We assess that consumption growth in the September quarter was little changed from the June quarter's below-trend rate, though given the mixed signals from the available timely indicators, this assessment is quite uncertain (Graph 2.10). The ABS Household Spending Indicator, which captures spending within Australia, was unchanged in August but points to strong quarterly growth in nominal spending. However, other indicators, including liaison and transaction data from some banks, suggest more modest growth. Vehicle purchases remained at very high levels in July and August but are not expected to contribute much to growth in the quarter. There appears to have been only a modest recovery in overseas travel so far, based on spending and departures data.

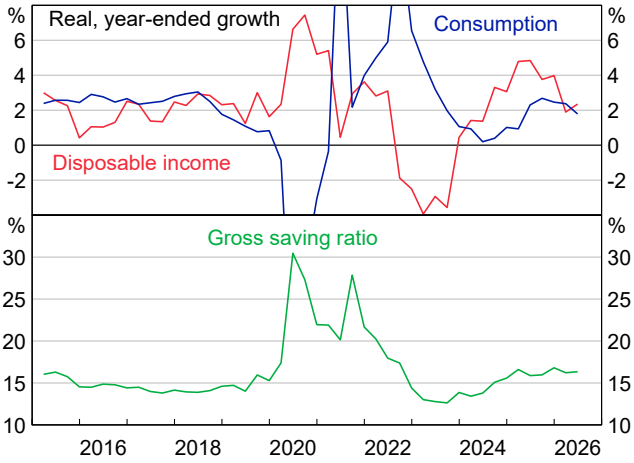
Graph 2.10
Household Consumption Indicators*
Nominal, quarterly growth



* CBA HSI and the ABS Household Spending Indicator are three-month-on-three-month growth rates as these series are monthly.
Sources: ABS; CBA; RBA.

The moderation in consumption growth this year, compared with the second half of last year, is consistent with the earlier slowing in growth in household income. Year-ended growth in real household disposable income has slowed materially as the earlier boost from the Stage 3 tax cuts has waned, alongside slower growth in labour and rental income and higher inflation (Graph 2.11). Despite consumer sentiment remaining near all-time lows (across all income levels and for both renters and homeowners, regardless of whether they have a mortgage), the household saving ratio has been relatively stable since the start of the year, suggesting little change in aggregate consumption or saving behaviour so far. This is consistent with the fact that household balance sheets remain quite resilient on average – real household net wealth remains around 37 per cent higher than its pre-pandemic level – and with the results of previous analysis that sentiment is typically not an independent driver of consumption over and above fundamentals such as income and wealth. However, there is a risk that the multiple headwinds affecting households and historically low sentiment have a greater bearing on household spending decisions than would normally be expected (see Chapter 3: Outlook).

Graph 2.11
Household Consumption and Income*

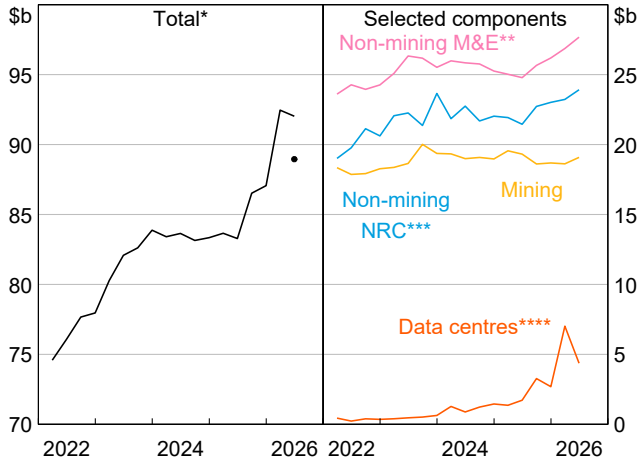


* Outliers during the COVID-19 pandemic have been truncated.
Sources: ABS; RBA.

Business investment grew strongly over the past year; while increased investment in data centres and renewable energy projects were key drivers, investment picked up across other industries too.

Business investment in the June quarter was significantly stronger than expected, increasing by 10.5 per cent over the year (Graph 2.12). While investment declined a little in the quarter, we had expected a larger decline following very strong growth in the March quarter related to data centres. Non-residential construction, particularly of lumpy renewable energy projects (unrelated to data centres), made the largest contribution to the upside surprise on investment. Data centre investment grew strongly over the past year but was volatile. Much of this spending was on imported equipment, which limited the boost to GDP. Strength in investment was also evident across a broad range of industries, consistent with the earlier easing in financial conditions and the upswing in domestic activity through 2025.

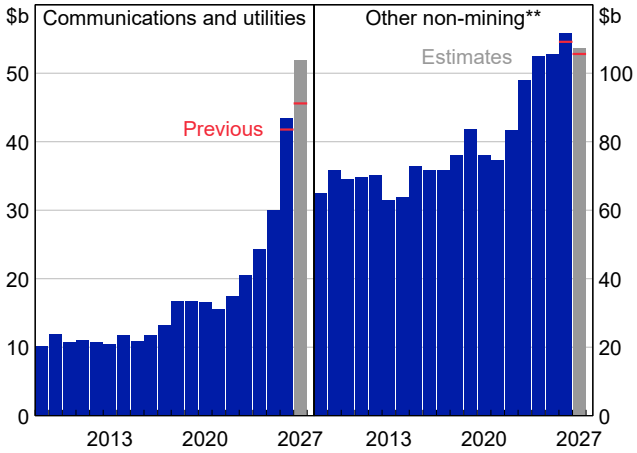
Graph 2.12
Business Investment
Chain volume, quarterly



* Dot represents nowcast at August 2026 SMP for comparison.
** Non-mining machinery & equipment; excluding investment in data centres.
*** Non-mining non-residential construction; excluding investment in data centres.
**** Estimate of data centre spending derived from information media & telecommunications capital expenditure and subject to assumptions.
Sources: ABS; RBA.

Firms' surveyed capital expenditure intentions for the year ahead have been revised higher, underpinned by strong growth in expected investment in data centres and renewables (Graph 2.13). Building approvals for these industries have risen persistently and firms in the liaison program note that buoyant conditions for data centre development could support renewable energy investment in the medium term. Timely trade data point to strong data centre investment in the September quarter; imports of equipment related to data centre fit outs increased sharply in July and August, while prices are also expected to have risen alongside surging global demand for AI-enabling products.

Graph 2.13
Non-mining Capital Expenditure*
Nominal, financial year



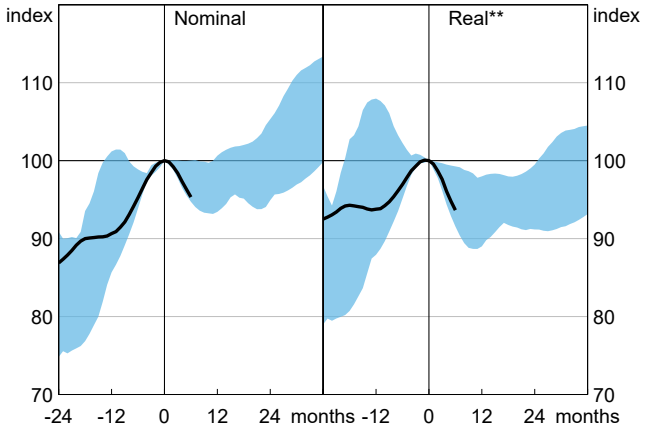
* Data from Capex survey. Estimates are firms' expected capital expenditure adjusted for the historical average difference between expected and realised spending. Survey estimates are typically below the level of business investment recorded in the National Accounts due to differences in coverage, definitions and sources.
** Excluding communications and utilities.
Sources: ABS; RBA.

Outside of data centres and renewables, capital expenditure intentions suggest investment will decline a little but remain around the average level of recent years. The effects of tighter monetary policy and cost pressures related to the Middle East conflict appear to be dampening capital expenditure intentions a little. Surveyed business conditions in the September quarter declined to their lowest level since 2020, consistent with continued input cost growth in recent months weighing on profitability, while business confidence also remains very low. However, there is only a moderate correlation between business conditions, business confidence and investment activity. Notwithstanding the modest decline expected over the year ahead, firms in the liaison program expect investment to remain a little above the long-term average.

Established housing market conditions have continued to weaken by more than expected, driven by a range of factors, including higher interest rates and tax changes for investors.

In September, national housing prices were 4.7 per cent below their recent peak (Graph 2.14). The current downturn is one of the steepest over the past 50 years, and price declines have broadened to most capital cities. Housing market activity has also continued to soften, with auction clearance rates remaining very low, time on market rising sharply to above long-run average levels and housing market turnover declining to low levels.

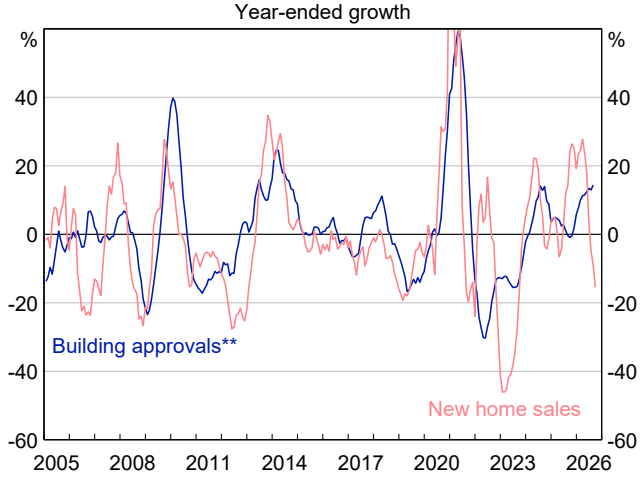
Graph 2.14
Housing Price Downturns*
Indexed to nominal pre-downturn peak



* Shaded area shows the range across previous downturns; the line is the current cycle.
** Deflated by quarterly trimmed mean CPI, interpolated to months.
Sources: ABS; Cotality; RBA.

Dwelling investment was much stronger than expected over the first half of 2026, although leading indicators of activity have started to soften, consistent with the ongoing housing market downturn (Graph 2.15). Activity was stronger than expected in the June quarter and there were also upward revisions to earlier periods, suggesting there is more capacity in the sector than previously assessed. Growth in higher density construction and renovation activity were particularly strong, but construction of detached housing also increased over the year. Elevated cost growth and trade availability measures remain consistent with ongoing capacity pressures. Consistent with the usual lags, early indications of a softening in residential construction activity have become visible in recent months following the declines in established housing prices. HIA new home sales, a leading indicator of dwelling demand, have declined materially, and many builders in the liaison program have reported a decline in enquiries, buyer conversion rates and sales.

Graph 2.15
Dwelling Investment Indicators*
Year-ended growth



* Three-month moving average of year-ended growth rates. Outliers during the COVID-19 pandemic have been truncated.
** Detached building approvals.
Sources: ABS; HIA; RBA.

Public demand growth has moderated over the past year.

Public demand was weaker than expected over the first half of the year, with growth moderating from elevated rates observed over recent years. An easing in public consumption growth reflected the ending of some temporary cost-of-living measures, alongside moderation in some categories of government spending such as defence and disability and aged care services. Public investment has moved around a broadly stable level since late 2024, and budget projections continue to suggest that there is a substantial pipeline of public infrastructure projects.

Exports supported GDP growth in the June quarter, though the strength largely reflected temporary supply factors and growth has slowed since late 2025.

Exports increased by 0.8 per cent in the quarter, in line with expectations and driven by resource and manufactured exports, though year-ended growth slowed further. A rebound in resource exports largely reflected a recovery from weather-related disruptions in the previous quarter, met by strong mining inventory drawdowns. As expected, the effect of the Middle East conflict on resource exports has largely operated through higher commodity prices and export earnings; production and export volumes are unlikely to respond materially to price movements unless higher prices are expected to persist, given the long lead times for new investments. Services exports have declined this year, reflecting declines in both education and tourism exports, with support from stronger global growth offset by changes to student visa settings, some disruption to international travel from the Middle East conflict, and the appreciation of the Australian dollar since late last year. The boom in AI-related activity globally does not appear to have had a material influence on Australia's exports, as production of critical minerals remains small and the expansion in data centre capacity has been to service domestic demand for computing capacity.

2.4 Labour market and wages

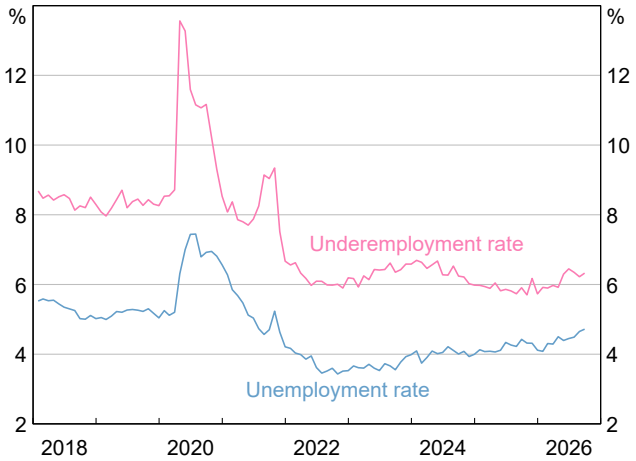
Labour market conditions have eased by more than expected recently. This easing is judged largely to reflect stronger-than-expected labour supply, rather than an unexpected weakening in labour demand. Elevated cost-of-living pressures may be leading some people to seek additional hours or enter the labour force, which may be contributing to the increase in labour supply. Timely indicators of labour demand, such as job advertisements, are generally consistent with stable growth in labour demand in the near term, though signals differ across the measures. Despite the recent easing in conditions, we continue to assess that the labour market remains a little tight (see section 2.5 Assessment of spare capacity). Wages growth was stable over the first half of 2026 and in line with expectations, though growth in unit labour costs picked up in the first half of the year to be further above average, and a little stronger than anticipated. Liaison contacts' expectations for wages growth over the year ahead remain elevated, driven by an expected continuation of cost-of-living pressures.

Labour market conditions have eased by more than expected in recent months.

The unemployment rate was 4.7 per cent in the month of September, and averaged 4.6 per cent in the September quarter (Graph 2.16).[2] This was higher than our August *Statement* forecast of 4.4 per cent for the quarter and was accounted for by stronger-than-expected labour force participation rather than weaker-than-expected employment. The underemployment rate increased to 6.3 per cent in September, though remained low by historical standards.

Over the year to the June quarter, employment growth was increasingly driven by the market sector, with construction making the largest contribution to growth. In the September quarter, the employment-to-population ratio was 63.8 per cent, in line with expectations in August (Graph 2.17). After declining for a few months, average hours per worker have partially recovered recently, to be near their levels at the beginning of the year (Graph 2.17).

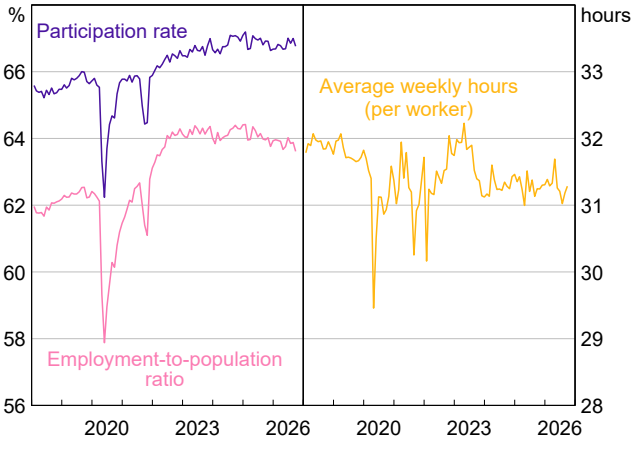
Graph 2.16
Labour Underutilisation



Source: ABS.

The participation rate increased to 66.9 per cent in the September quarter, above our expectations, reflecting ongoing resilience in labour supply (Graph 2.17). The participation rate remained around historically high levels, supported by long-run trends such as higher female participation, as well as cyclical pressures – such as elevated cost-of-living pressures – which may be encouraging people to enter or remain in the labour force. The share of employed persons holding multiple jobs also increased sharply from 6.5 per cent to 6.9 per cent in the June quarter.

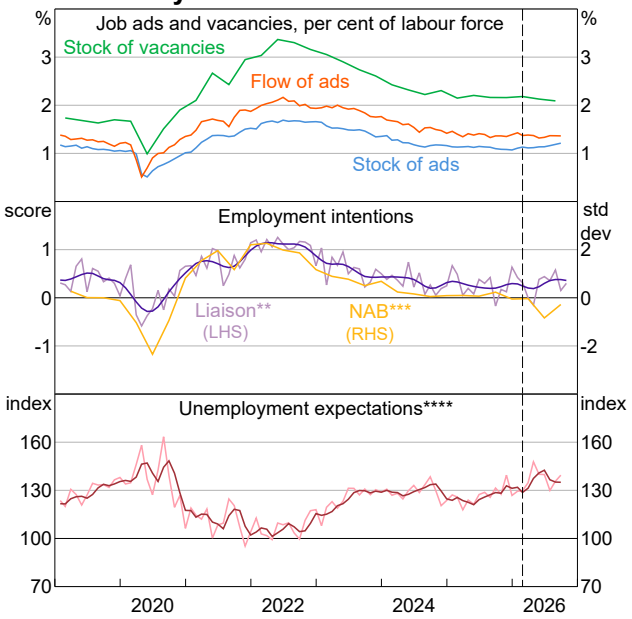
Graph 2.17
Labour Market Indicators



Sources: ABS; RBA.

Leading indicators generally point to stable growth in labour demand in the near term, although the signal differs somewhat across measures. Job advertisements have increased slightly or remained broadly stable over recent months, while vacancies (as a share of the labour force) declined in the past quarter (Graph 2.18). Employment intentions from business surveys partially rebounded in the quarter and the measure from the RBA's liaison program has also strengthened a little since earlier in the year. Households' unemployment expectations have ticked back up in August and September to be a little above their long-run average.

Graph 2.18
Timely Labour Market Indicators*

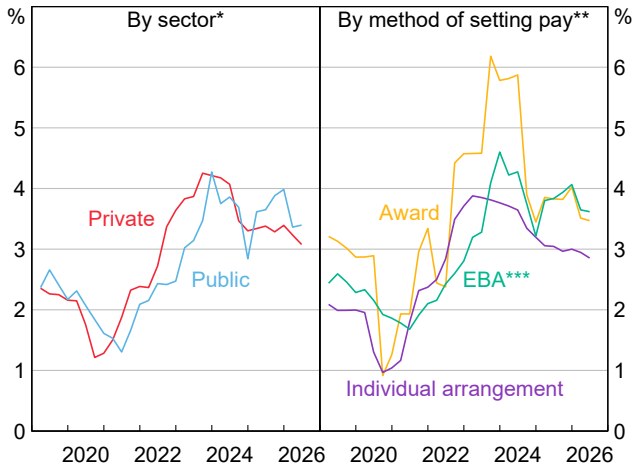


* Dashed line shows the start of the Middle East conflict.
** Score of 0 indicates a firm has reported no change; dark line shows Henderson trend.
*** 12 months ahead; standard deviations from mean.
**** Dark line shows three-month moving average.
Sources: ABS; ANZ–Indeed; JSA; NAB; RBA; Westpac–Melbourne Institute.

Aggregate wages growth remained stable (at a relatively elevated rate) in the June quarter, as expected, but liaison contacts report a noticeable increase in wages growth since July.

The June quarter Wage Price Index (WPI) affirmed our assessment in the August *Statement* that growth in base wages had remained broadly stable. The WPI increased by 3.2 per cent over the year; private sector WPI growth remained broadly stable at 0.7 per cent in the quarter and eased to 3.1 per cent over the year, as expected (Graph 2.19). Wages growth for workers on individual arrangements – which tends to be most responsive to current labour market conditions – remained at 2.9 per cent over the year but eased a little relative to its pace in 2025, consistent with an easing in labour market conditions since then. Public sector WPI growth remained stronger than private sector WPI growth. Overall, the June quarter data are consistent with our assessment that labour market conditions remain a little tight.

Graph 2.19
Wages Growth
Year-ended



* Seasonally adjusted.
** Non-seasonally adjusted.
*** Enterprise bargaining agreement.
Source: ABS.

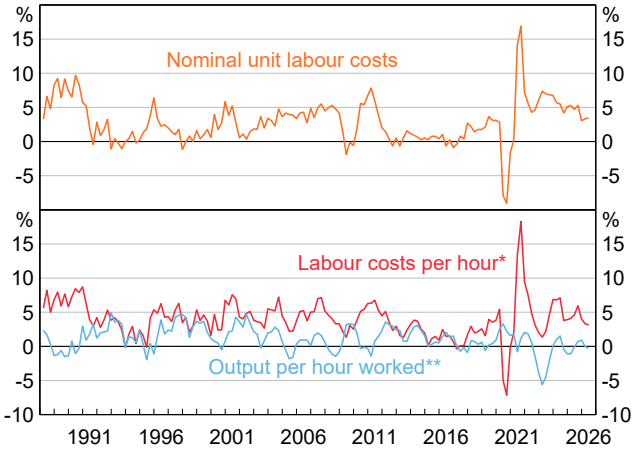
Wages growth is expected to have picked up in the September quarter, in part reflecting the recent Fair Work Commission (FWC) decision to increase all modern award wages by 4.75 per cent. Meanwhile, some pass-through from higher inflation to private enterprise bargaining agreements and individual arrangements is expected to have supported wages growth, as workers seek to preserve recent real wage gains. Consistent with this, liaison contacts have reported that wages growth has increased noticeably since July, including for firms that are not reliant on awards for setting wages. Liaison contacts' expectations for wages growth over the year ahead remain elevated, driven by an expected continuation of cost-of-living pressures.

Growth in the national accounts' measure of average earnings per hour (AENA) eased to 3.2 per cent over the year to the June quarter. AENA growth was stronger than forecast in the August *Statement*, suggesting there was a little more momentum in labour costs than previously expected. AENA is a broader measure of labour costs than the WPI but tends to be more volatile, and so provides a noisier read on wage pressures arising from conditions in the labour market. In real terms, AENA has grown by more than real WPI in recent years and is above its pre-pandemic level. Despite the easing in average earnings growth, it remained elevated relative to the current pace of productivity growth, and weaker productivity growth contributed to an increase in growth in unit labour costs (ULCs) in the first half of this year (Graph 2.20). At 3.5 per cent in year-ended terms, ULCs growth remained significantly above the rate that is consistent with inflation being at target, contributing to ongoing domestic cost pressures and pointing to some tightness in labour market conditions.

Graph 2.20

Nominal Unit Labour Cost Growth

Non-farm, year-ended



* Compensation of employees plus payroll taxes less employment subsidies, divided by employee hours worked.
** Includes self-employed.
Sources: ABS; RBA.

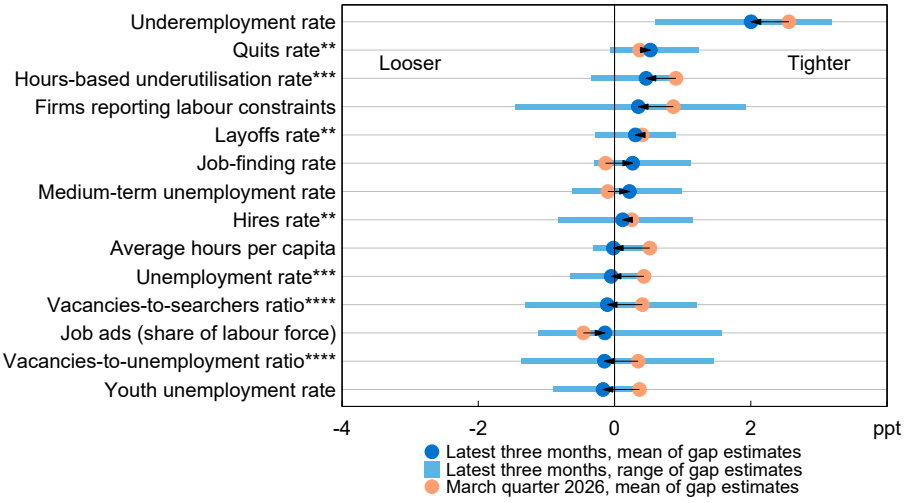
2.5 Assessment of spare capacity

Despite the recent slowing in demand growth and easing in labour market conditions, we continue to assess that there are some capacity pressures in the Australian economy. Further, those capacity pressures are now assessed to have been a little greater over the first half of the year than we thought at the time of the August *Statement*. A number of factors support this judgement, including: strong ongoing domestically generated cost and price pressures, particularly in components most sensitive to domestic capacity pressures; continued weak productivity outcomes; and survey evidence pointing to elevated capacity pressures. Consistent with that, we have raised our assessment of the non-accelerating inflation rate of unemployment (NAIRU) a little. A higher NAIRU implies tighter labour market conditions for a given unemployment rate. As a result, despite actual unemployment having increased recently, we assess that the labour market remains a little tight, broadly as anticipated in August.

Labour market conditions have eased over recent months, but are judged to remain a little tight.

Most of the labour market indicators we monitor suggest some easing in conditions over recent months. But a majority are close to or slightly tighter than their estimated trend levels (Graph 2.21).[3] The underemployment rate, hours-based underutilisation rate and quits rate in particular point to some tightness in the labour market.

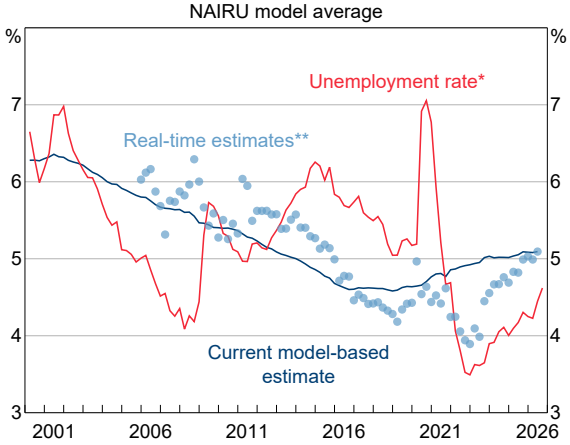
Graph 2.21
Indicators of Labour Market Tightness*
Gap between current conditions and estimated trends



* Indicators scaled to the units of the unemployment rate.
** Latest observations are for June quarter 2026.
*** Range includes model-based estimates.
**** Log-transformed.
Sources: ABS; ANZ–Indeed; NAB; RBA.

Model-based estimates of the NAIRU have gradually moved higher over recent years. The model average is now around 5 per cent (Graph 2.22), although these estimates are just one input to our overall assessment of the NAIRU (see below), alongside evidence from the broader suite of indicators and judgement. Model-based estimates have moved higher in response to persistently elevated unit labour cost growth and inflation over recent years.

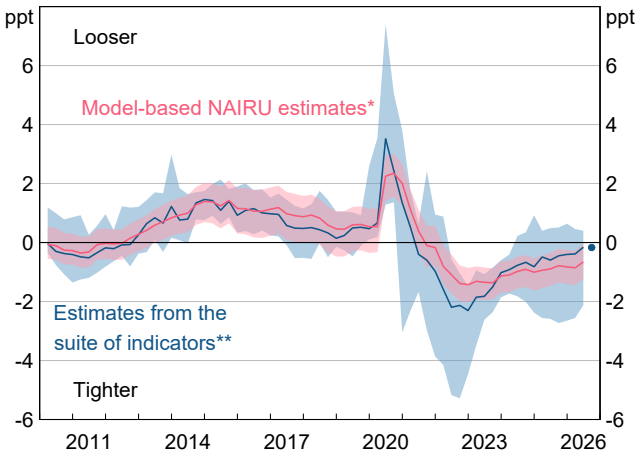
Graph 2.22
Model-based NAIRU Estimates
NAIRU model average



* Quarterly average of monthly data.
** Up to March quarter 2024, dots are model-based NAIRU endpoint reconstructions applying a consistent model framework to the data available at each point in time. See Sullivan and West (forthcoming). From June quarter 2024, dots are model-based NAIRU endpoint estimates as produced at the time, including any model framework changes. These do not reflect the RBA's overall assessment of the NAIRU at the time.
Sources: ABS; RBA.

We now assess the NAIRU to be slightly higher than was factored into the August forecasts. For some time we have noted that our model-based estimates have been pointing to a higher NAIRU – and therefore more capacity pressures – than the broader suite of labour market indicators (Graph 2.23). Our overall assessment has generally taken more signal from the broader set of indicators. However, underlying inflation and labour cost growth have been persistently elevated, and stronger than expected recently (see section 2.6 Inflation). These outcomes suggest putting a little more weight on the model-based estimates than we had been doing. Accordingly, we are increasing our assessment of the NAIRU to around 4¾ per cent. This is a modest adjustment when compared with the range of uncertainty around estimates from either the models or broader set of indicators.

Graph 2.23
Labour Market Spare Capacity



* Red line shows the model average and swathe shows the highest and lowest bounds of the one-standard-error confidence intervals across the selection of models.
** Blue line shows median indicator, swathe shows range of indicators and dot indicates partial estimate of median indicator for September quarter 2026.
Source: RBA.

Given this judgement, we continue to assess that the labour market is a little tight, despite the recent easing in a number of indicators. The revision to our NAIRU estimate implies that the labour market was a little tighter through the first half of this year than previously assessed. It also implies that there was a small amount of tightness remaining in the September quarter, despite the unemployment rate having increased by more than expected in recent months (because the unemployment rate remained a little below our upwardly revised assessment of the NAIRU). That is consistent with the signal from the broader suite of labour market indicators for the September quarter, which continue to suggest a little tightness in labour market conditions.

Economy-wide indicators continue to suggest that some capacity pressures remain in the broader economy, consistent with the signal from the labour market. The June quarter output gap is now estimated to have been a little larger than assessed in August.

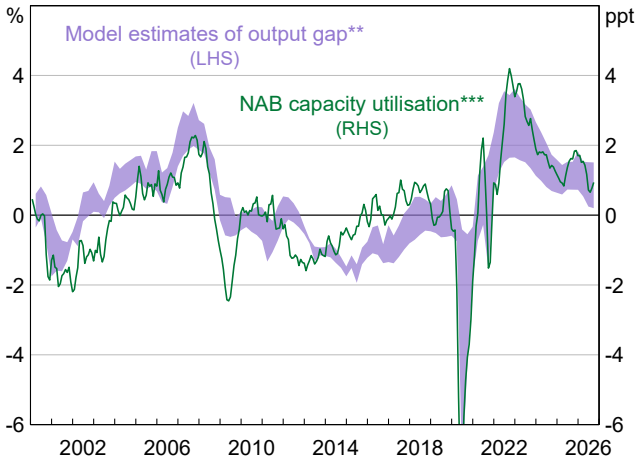
Slower productivity growth has lowered the economy's potential growth rate compared with previous decades. The level of productivity is broadly unchanged since the end of 2019. This has contributed to capacity pressures persisting despite relatively modest GDP growth in recent years. Combined with resilient wages growth and elevated growth in non-labour input costs, the lack of productivity improvement is likely to have limited firms' ability to absorb higher costs without raising output prices and to have contributed to inflation being above the target range.

Indicators of capacity utilisation continue to point to there being some capacity pressures in the economy. Signals across sectors are mixed, but the NAB measure of capacity utilisation remains above its historical average. There is also marked variation across states, with business liaison suggesting that parts of Queensland in particular continue to face capacity constraints, whereas conditions are less tight in Victoria.

Taking survey evidence together with model-based estimates of the output gap, we assess that the output gap was positive in the June and September quarters (Graph 2.24) and slightly larger than assessed in August. That reflects both stronger-than-expected real activity data and a small downward judgement applied to the level of potential output. This is consistent with our judgement on the NAIRU; other things equal, a higher NAIRU implies lower potential supply capacity. Our judgement on potential output and the output gap is relatively modest compared with the uncertainty around estimates of capacity pressures; the range of model estimates and responses to the RBA survey of market economists in August suggests the output gap could be between zero and 1½ per cent. An alternative rationale for downwardly adjusting the level of potential output would be to take greater signal from the weakness in actual productivity outcomes for the trend level of productivity. We have not changed our expectation of potential output growth and productivity growth in the medium term.

Graph 2.24

Estimates of Capacity Utilisation*



* Outliers during the COVID-19 pandemic have been truncated.
** Per cent of potential output; the shaded region shows an illustrative range of central gap estimates from a selection of RBA internal models with different measures and definitions of the output gap. The latest observation is an expectation for the September quarter.
*** Three-month moving average deviation from the long-run average capacity utilisation rate; the long-run average is calculated from March 1997 onwards; excludes mining; weighted by industry using share of gross value added.

Sources: ABS; NAB; RBA.

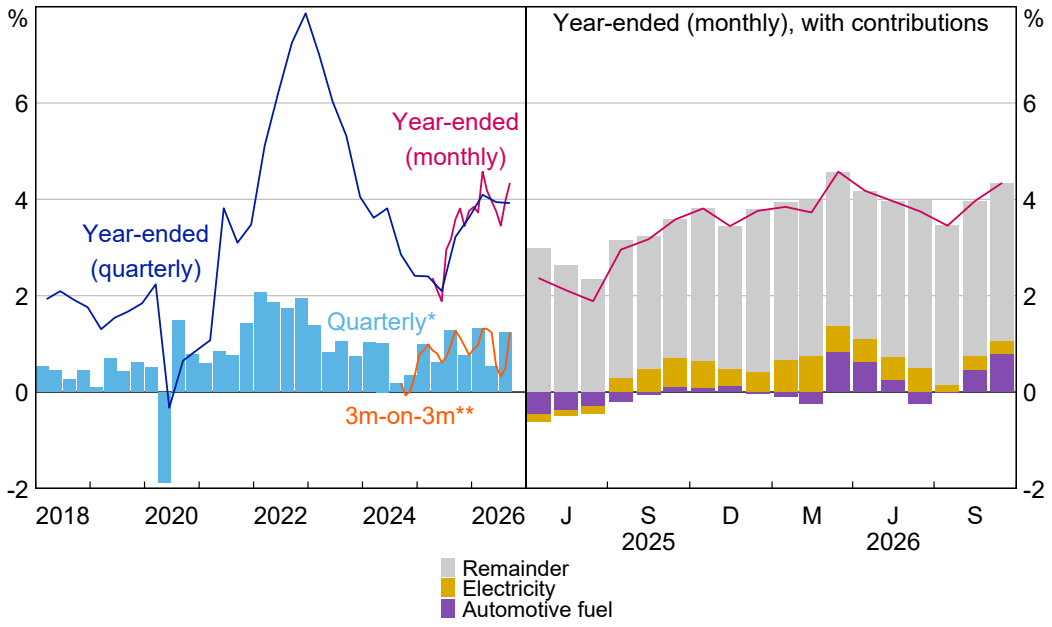
2.6 Inflation

Inflation in the September quarter was stronger than anticipated in the August forecasts and remained well above target, as some of the upside risks identified in August materialised. Retail fuel prices made the largest contribution to the upside surprise in headline inflation. We judge that domestic capacity pressures also made a stronger-than-expected contribution to both underlying and headline inflation in the quarter. Wider cost pressures related to the Middle East conflict have contributed to inflation, with the size of these effects having been broadly as anticipated so far (excluding the direct effect of retail fuel prices). Measures of cost growth remain elevated, with renewed pressure on fuel costs following the re-escalation of the conflict and ongoing cost pressures from wages, technology and services. Some measures of inflation expectations – including longer-term measures – have increased, and this may be contributing to inflation if it is influencing households' and firms' expectations for wages and cost growth. Households and firms have increasingly been paying greater attention to inflation, which may make their inflation expectations more sensitive to future shocks.

Headline inflation in the September quarter was stronger than anticipated in the August *Statement*.

In year-ended terms, headline inflation was unchanged at 3.9 per cent in the September quarter. This outcome reflected stronger-than-expected underlying inflation, as well as stronger-than-expected growth in automotive fuel prices because of a material increase in regional benchmark prices for refined fuel (see section 2.1 Commodity price developments) (Graph 2.3). Fuel contributed around 0.4 percentage points to year-ended headline inflation in the quarter, which was higher than expected at the time of the August *Statement*. Headline inflation in the month of September increased to 4.3 per cent, consistent with ongoing upward pressure from fuel prices (Graph 2.25).

Graph 2.25
Headline Inflation

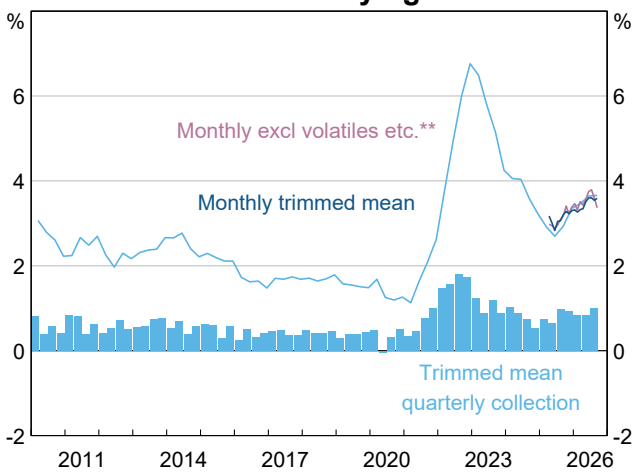


* Seasonally adjusted.
** Three-month-on-three-month percentage change; seasonally adjusted.
Sources: ABS; RBA.

Underlying inflation picked up in the September quarter by more than expected; we attribute this to stronger-than-expected domestic capacity pressures.

Trimmed mean inflation increased to 1.0 per cent in the September quarter, from 0.8 per cent in the June quarter, and picked up to 3.7 per cent in year-ended terms. Various measures of underlying inflation from the monthly CPI also picked up in the September quarter and remained elevated in year-ended terms (Graph 2.26). A majority of items in the CPI (by count and weight) recorded inflation above rates consistent with the inflation target, and this share has increased since the beginning of the year. We assess that the upward surprise in underlying inflation reflects stronger-than-expected domestic capacity pressures this year. Inflation for market services (excluding telecommunication and domestic travel), which is typically among the most sensitive to domestic conditions, increased and was materially stronger than expected in the August forecasts; some of this strength reflects the award wage increase.

Graph 2.26
Measures of Underlying Inflation*



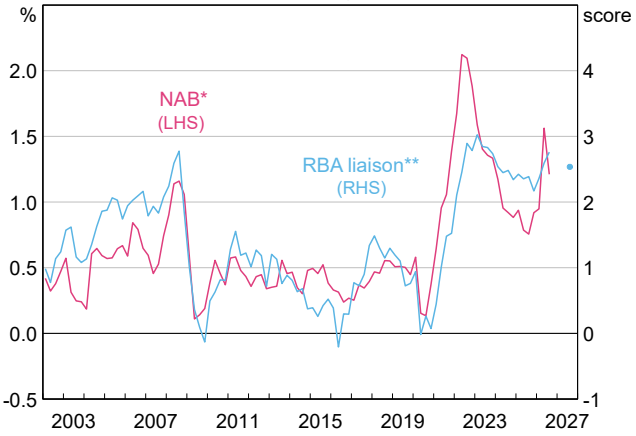
* Lines represent year-ended inflation and bars represent quarterly inflation.
** Monthly CPI excluding volatiles, holiday travel and electricity.
Sources: ABS; RBA.

Cost pressures related to the Middle East conflict are judged to have contributed to higher prices in the September quarter.

Conflict-related cost pressures are estimated to have contributed around 0.1 percentage points to quarterly trimmed mean inflation (excluding the direct effect of higher retail fuel prices), broadly as expected in the August *Statement*. However, these cost pressures appear to have affected a broader range of prices in the quarter than previously anticipated. Increases in building materials costs are judged to have had less effect on new dwellings inflation than expected. However, information from RBA liaison suggests conflict-related cost pressures contributed to price increases for other items, including some market services and durable goods. Many liaison contacts have continued to report higher fuel costs, while some have also continued to note ongoing concerns about higher costs for oil-derived products such as plastics following the re-escalation of tensions in the Middle East (see Box C: Insights from Liaison).

Broader measures of cost growth from business surveys and RBA liaison remain elevated (Graph 2.27). Liaison contacts report that a broad range of cost pressures – including for wages, technology and services – are contributing to expectations of continued elevated cost growth over the year ahead. AI-related cost pressures have had only a modest impact on consumer prices to date, but strong price growth for technology-related goods and services such as computers and software is contributing to firms' cost pressures. Firms are also noting potential future risks to food supply chains arising from El Niño and avian influenza, which could put further upward pressure on costs. Firms' expectations for aggregate inflation are also elevated, which may be reinforcing expectations of strong growth in their own costs.

Graph 2.27
Non-labour Costs
Current and expected



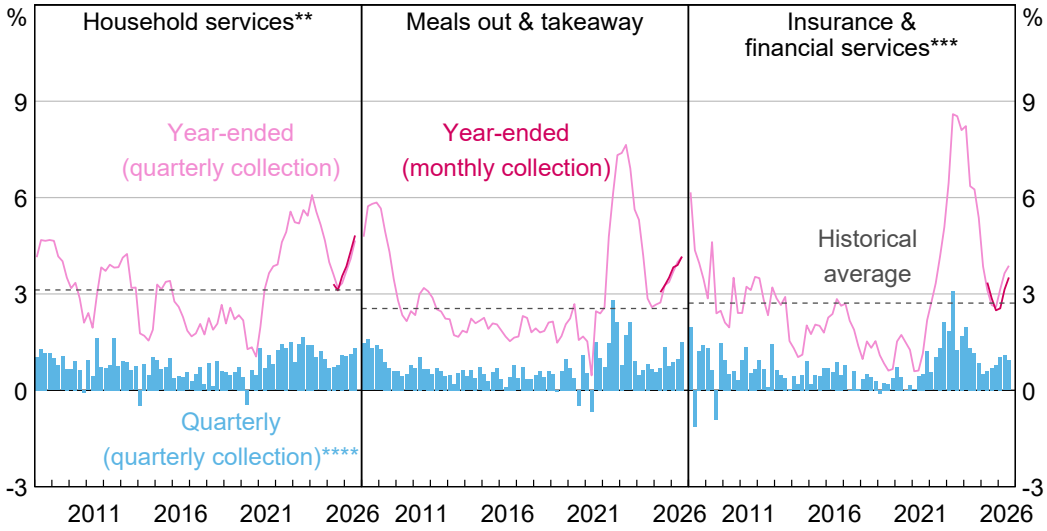
* Average of respondents' quarterly per cent changes.
** Quarterly average. Dot shows expectation for 12 months ahead.
Sources: NAB; RBA.

Survey and liaison data suggest that many firms have not yet been able to fully pass through increases in labour and non-labour costs to consumer prices, resulting in downward pressure on margins over the past few months. However, in the Business Outlook Scenario Survey (BOSS) in September, firms reported that they plan to continue to increase prices in response to past cost increases arising from the Middle East conflict, and that they plan to pass through a greater share of these future cost increases to prices than they had planned in April.[4] Moreover, firms that experienced larger changes in costs in response to the conflict have increased the frequency with which they adjust prices. Consistent with this, liaison contacts are not expecting growth in costs, wages and selling prices to ease much over the year ahead.

Inflation was elevated across most sectors in the September quarter and picked up for market services, rents and consumer durables.

Market services inflation (excluding telecommunications and domestic travel) increased to 1.3 per cent in the September quarter, from 1.1 per cent in the June quarter. In year-ended terms, it increased to 4.2 per cent (Graph 2.28). We assess that this strength primarily reflected domestic capacity pressures and, to a lesser extent, pass-through of conflict-related cost pressures (such as from food and fuel inputs). Some of the recent increase in inflation, for example in the prices of restaurant meals, likely reflected the impact of the FWC award wage decision (which came into effect on 1 July). While the effect of the award wage increase on inflation may be short-lived, firms' apparent ability to pass through this cost increase to prices is consistent with there being some remaining capacity pressures.

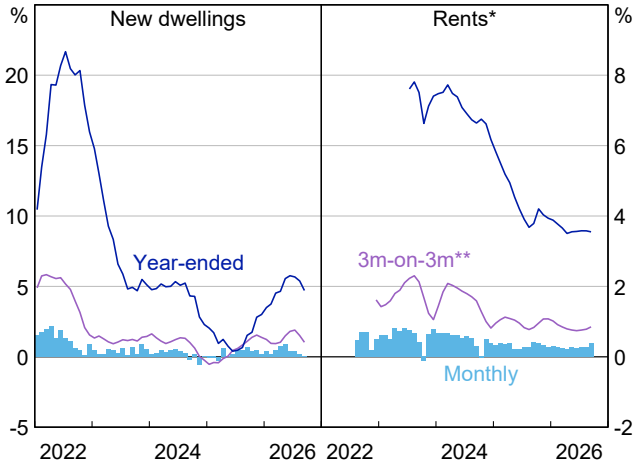
Graph 2.28
Market Services Inflation*



* Historical averages are for year-ended (quarterly collection) inflation. The average is calculated from 1993–2019 for household services as well as meals out & takeaway. The average is calculated from 2001–2019 for insurance & financial services.
** Includes home cleaning, vehicle repairs, hairdressing, veterinary services, sports and leisure services.
*** Excludes deposit & loans to June quarter of 2011.
**** Seasonally adjusted.
Sources: ABS; RBA.

New dwelling construction prices increased by 1.0 per cent in the September quarter to be 5.2 per cent higher over the year (Graph 2.29). This was weaker than expected in the August *Statement*, which we judge reflected smaller conflict-related cost effects than anticipated. Liaison information suggests that while homebuilders continue to experience elevated labour and materials costs, they have been less able to pass these costs through to prices recently in states where housing demand has weakened. New dwelling inflation tends to lag conditions in the established housing market, so this may be early evidence that the easing in housing market conditions that began late last year is beginning to weigh on new dwelling construction prices (see section 2.3 Domestic economic activity).

Graph 2.29
Housing Inflation

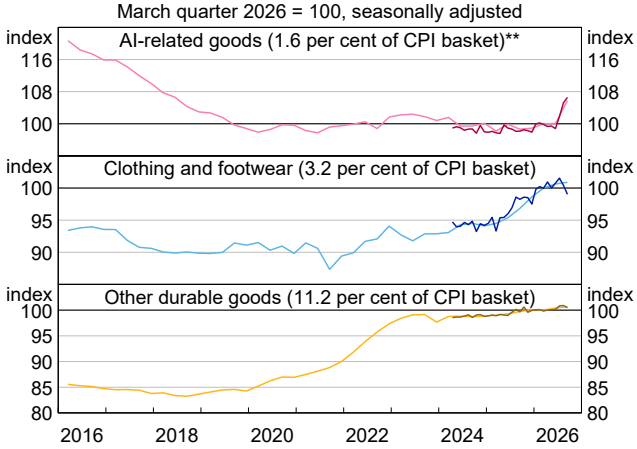


* Monthly and 3m-on-3m inflation rates are calculated using seasonally adjusted data.
** Three-month-on-three-month percentage change.
Sources: ABS; RBA.

CPI rent inflation increased to 0.9 per cent in the September quarter, from 0.6 per cent in the June quarter, and was 3.6 per cent in year-ended terms. The pick-up in the quarter was stronger than expected in the August *Statement*. This may be early evidence that the earlier strong growth in advertised rents – arising from an imbalance between housing supply and demand, as reflected in low vacancy rates – is beginning to pass through to CPI rents, following limited pass-through over the year to the June quarter. More recently, vacancy rates have increased modestly and growth in advertised rents has slowed.

Retail goods inflation was stronger than expected in the September quarter, largely driven by a pick-up in consumer durables inflation. This outcome reflected higher prices for some consumer electronics (such as computers, televisions and gaming consoles) driven by strong memory chip cost growth associated with demand for AI-enabling inputs (Graph 2.30). Although it is too early to judge the persistence of these price rises, similar price increases from AI-related cost pressures have been observed in other advanced economies (see section 2.2 Global economic conditions).

Graph 2.30
Components of Durables Prices*
March quarter 2026 = 100, seasonally adjusted

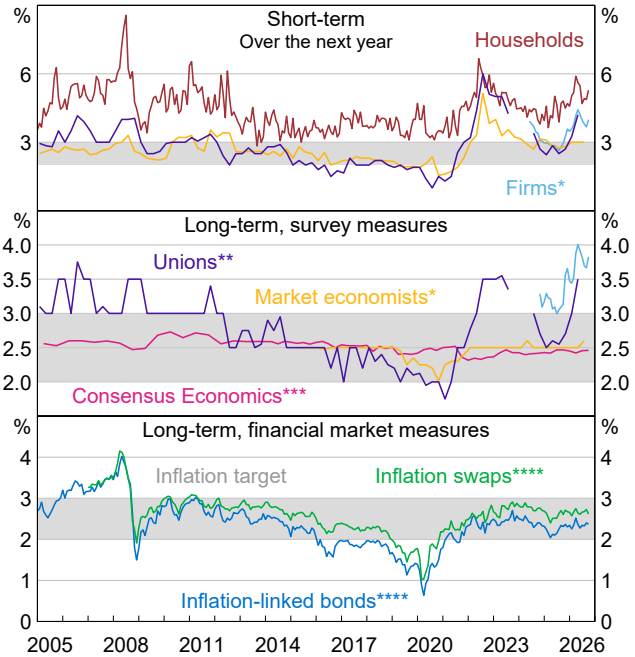


* Light coloured line is quarterly collection, dark coloured line is monthly collection.
** Includes audio, visual & computing equipment as well as games, toys & hobbies.
Sources: ABS; RBA.

Some measures of short-term inflation expectations have increased from already elevated levels. While most measures of longer-term inflation expectations remain consistent with achieving the inflation target, some have also increased.

Households' short-term inflation expectations have increased in recent months, and are above levels observed prior to the Middle East conflict (Graph 2.31). Expectations rose sharply following the onset of the conflict and associated increase in fuel prices, before easing as fuel prices declined from May. More recently, they have increased again alongside stronger fuel price inflation and the re-escalation of the conflict. Firms' short- and medium-term inflation expectations have also increased in recent months.

Graph 2.31
Inflation Expectations

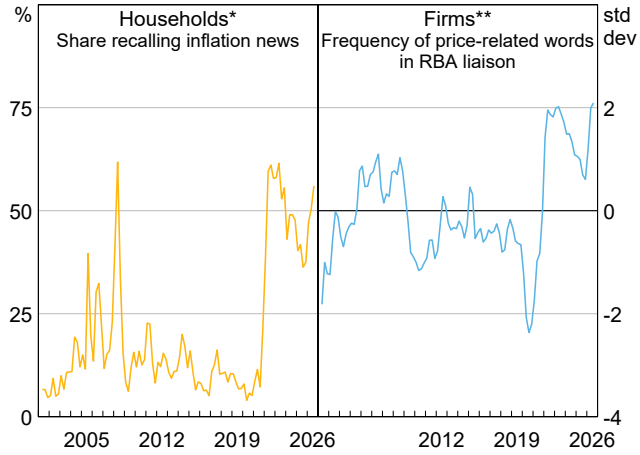


* Long-term expectations are the average expected annual rate of inflation over the next 5–10 years.
** Inflation expectations are unavailable between November 2023 and May 2024, and after May 2026. Long-term expectations are the average expected annual rate of inflation over the next 5–10 years.
*** Long-term expectations are the average expected annual rate of inflation over the 5 years starting from 5 years ahead.
**** Long-term expectations are the average expected annual rate of inflation over the next 10 years.
Sources: Australian Council of Trade Unions; Bloomberg; Consensus Economics; Employment Research Australia; Macquarie University; Melbourne Institute; RBA; Workplace Research Centre.

Longer-term inflation expectations are mostly consistent with the inflation target, although some measures have increased. Financial market measures of inflation expectations remain consistent with inflation at target over the longer term. However, other longer-term inflation expectations have increased. The median market economist now expects inflation to average 2.6 per cent over the next 5–10 years. Firms' longer-term inflation expectations have also increased since mid-2025, and the BOSS survey suggests firms have become less confident that inflation will return to target, a sentiment also shared by some contacts in the liaison program.

Elevated inflation expectations may be contributing to higher realised inflation if they are influencing households' and firms' expectations for wages and cost growth. Households and firms are increasingly paying more attention to inflation, which may make their inflation expectations more backward-looking and more sensitive to future shocks (Graph 2.32). The heightened attentiveness of households and firms to inflation – together with the re-escalation of the conflict – raises the likelihood that elevated inflation expectations feed into price- and wage-setting decisions, thereby posing a key upside risk to the outlook for wages growth and inflation (see Chapter 3: Outlook).

Graph 2.32
Inflation Awareness



* Share of respondents to quarterly Westpac–Melbourne Institute survey recalling inflation news.
** Frequency of price-related words in RBA liaison, based on an expert-selected dictionary; higher values indicate greater prominence. Standardised over full history; two-quarter rolling average.
Sources: RBA; Westpac–Melbourne Institute.

Endnotes

1 Authorities announced plans to invest around RMB7 trillion in the 'Six Networks' initiatives in 2026, as part of the 15th Five-Year Plan, with projects spanning water, energy, computing, communications, logistics and urban pipeline infrastructure.

2 Changes to the ABS Labour Force Survey in August may have introduced some additional volatility in seasonally adjusted employment and unemployment, although the ABS has said it expects these effects to be small relative to the normal month-to-month variation. For more information, see ABS (2026), 'Supplementary Survey Methodology Changes in the Labour Force Survey', September.

3 Some labour market indicators have been affected by changes to the Labour Force Survey from April 2026 onwards. See RBA (2026), 'Box B: Changes to the Labour Force Survey', *Statement on Monetary Policy*, May.

4 This is consistent with the pass-through of costs to prices and the role of expectations described in Georgiakakis F, J Hambur and C Ryan (2026), 'Digest: The Literature on Non-linear Phillips Curves', Insight 2026-01.

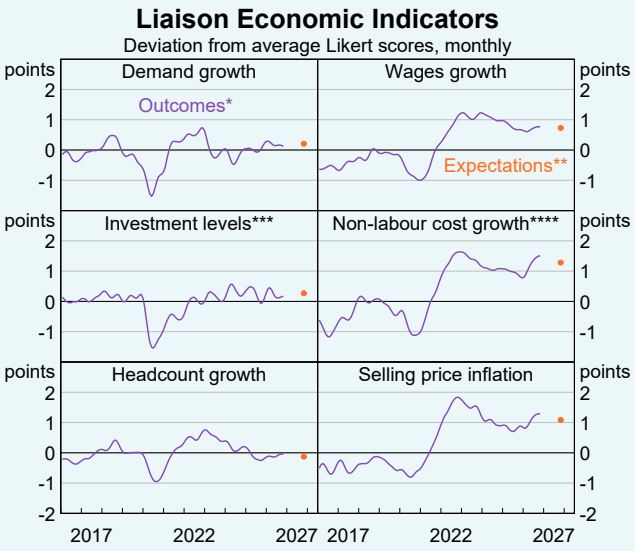
Box C: Insights From Liaison

This Box highlights key messages collected by the RBA's liaison teams based in New South Wales, Queensland, South Australia, Victoria and Western Australia during discussions with around 240 businesses, industry bodies, government agencies and community organisations from early-August to end-October 2026.

Liaison contacts report that cost and price pressures remain elevated and are expected to ease only moderately over the year ahead (Graph C.1). Wages growth outcomes and expectations have picked up since the middle of the year. Demand conditions generally remain around longer-run averages, with softening conditions in retail and dwelling investment being broadly offset by relatively stronger conditions in other areas of business activity. Expectations for growth in demand, investment and employment are also close to their longer-run averages, although with some variation across regions.

Businesses across most industries continue to report sustained labour and non-labour cost pressures, which are flowing through to prices. Most firms continue to expect above-average increases in their selling prices over the year ahead. Retail conditions are increasingly mixed; food retailers, for example, report fairly solid underlying growth, while more discretionary spending is softer than earlier in the year. Housing construction activity is currently being supported by existing pipelines of work in many regions, but a marked slowdown in forward sales suggests a weaker outlook. Nationally, non-residential construction and other business investment spending has been solid, and investment intentions are a bit above average at present. Employment intentions are close to average, having stabilised since earlier in the year.

Graph C.1



* Outcomes over the 12 months before each observation; smoothed with a 13-month Henderson trend.
** Expectations over the next 12 months from October 2026; smoothed with a 13-month Henderson trend.
*** Non-mining firms.
**** Expectations series adjusted by the mean of the current non-labour cost growth series because of short history.
Source: RBA.

Cost and price pressures remain broadly based and elevated and are expected to ease only a little over the year ahead.

Businesses continue to report widespread increases in operating costs. Higher fuel costs are flowing through in the form of surcharges and general transport-related expenses. While some firms are singling this out as a specific cost driver, others report that fuel-related costs are increasingly mingled into the broader elevated operating cost environment they are facing. Higher global costs for other oil-derived products are also flowing through to offshore and domestic supply chains and to consumer prices, though some contacts note that the appreciation of the Australian dollar is helping to moderate some of this impact.

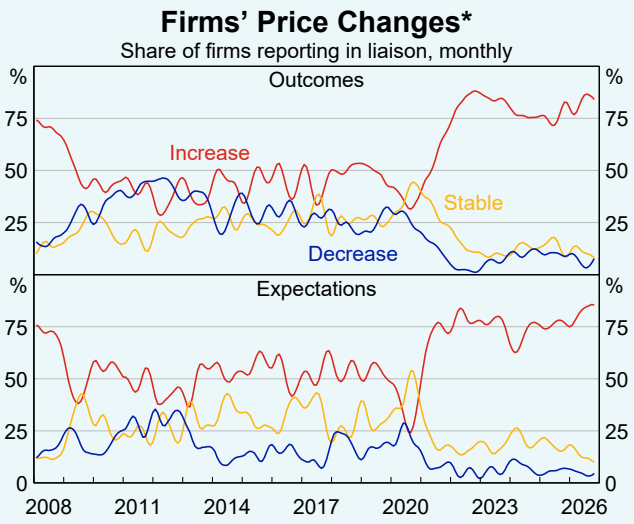
There is also ongoing upward pressure on other cost base components. Faster growth in IT costs, in part driven by global competition for memory chips, has been highlighted by many firms. Where firms are purchasing services from global and domestic IT vendors, these firms are passing through their own upstream costs into service and subscription prices. Other frequently cited components of operating cost increases include occupancy expenses, professional services, other labour-intensive third-party services, government

charges and regulatory compliance costs. Many contacts observe that these categories have experienced repeated increases over recent years. Firms are generally expecting cost growth to remain above longer-run averages over the year ahead.

Reflecting this cost environment, price increases – both business-to-business and consumer-facing – remain broadly based across firms in the liaison program (Graph C.2). Over three-quarters of firms reported increasing prices over the past year; this share had drifted a little lower through to 2025 but picked up again over the past year. In contrast to the experience pre-pandemic, very few firms reported that prices had been reduced or held steady over the past year.

Within this, the size of increases in consumer-facing prices has been mixed, in part reflecting different demand conditions. Price increases for household goods have been relatively modest in general, although an exception has been consumer electronics given global IT hardware cost developments. New detached dwelling price growth is increasingly uneven across states. Builders have generally been able to pass cost increases through to prices in markets where demand conditions are stronger and land supply relatively tight, whereas pass-through has been more limited in Victoria and New South Wales, with some contacts in those states reporting some discounting to support sales.

Graph C.2



* Over the past 12 months for outcomes and over the next 12 months for expectations; smoothed with a 13-month Henderson trend; data to October 2026 (partial).

Source: RBA.

Looking ahead, the share of firms expecting to increase prices is elevated and has increased further over recent months. Firms generally expect above-average increases in selling prices in the year ahead. Given firms generally see little prospect of moderating upstream cost pressures, in many cases contacts note that margins are under pressure and therefore they continue to look for ways to adjust their cost structures to manage this.

Household spending growth has been fairly steady overall, although discretionary spending is softer than earlier in the year.

Food retailers continue to report solid growth in consumption spending, broadly tracking trends in population and household income growth. In contrast, household goods retailers report that conditions are more challenging now than they were six months or so ago. Contacts attribute this to persistent household budget pressures, including from higher interest rates and the effects of the Middle East conflict on fuel prices. Consistent with this, some contacts have flagged an increase in consumers trading down and a greater focus on bargain hunting than was seen earlier in the year. Businesses in the tourism sector similarly report softer conditions than earlier in the year, although major sporting and cultural events continue to generate strong demand. Contacts generally expect that current softer conditions for consumer discretionary spending will continue into 2027.

Retailers with exposure to multiple states report better conditions in Queensland and Western Australia and relatively weaker conditions in Victoria. Higher fuel prices and general cost-of-living pressures are reported to be having a greater effect in remote areas and for lower-income households than in major urban centres and higher-income groups.

As has been the case for some time, community services organisations report elevated demand for their services, with a growing trend of more acute and complex needs. Over recent years there has been a larger cohort of people looking for support from these organisations to address housing stress and budget pressures, including dual-income households.

Housing construction activity is currently solid, but declining forward sales point to a weaker outlook …

Residential builders in most markets report solid activity levels at present, with earlier strength in sales supporting current work pipelines. This is expected to maintain momentum in construction activity into early 2027; contacts in Sydney and Melbourne report around six months of work compared with longer pipelines for those operating elsewhere. Softer activity is expected over the year ahead, given the decline in sales since earlier in 2026. Builders and developers variously attribute this to higher interest rates, tax reforms, and broader economic uncertainty. Several contacts have reported more buyers are adopting a 'wait-and-see' approach, reflected in longer decision-making timeframes and weaker sales, as well as some increase in contract cancellation rates over recent months.

Apartment builders continue to report affordability constraints and poor project feasibility as key factors weighing on development activity, with viable projects mainly concentrated in more premium segments of the market. Contacts note that demand fundamentals – strong population growth, low unemployment and ongoing housing shortages in many markets – are supportive, but there remains a significant gap between current market pricing and the price at which most apartments can be profitably built.

… while conditions for non-residential construction and other business investment are more resilient.

Firms' investment intentions have been resilient over recent months and remain a little above longer-run averages. Within this, a number of businesses have noted upward revisions to capex costs over recent months, in part due to increases in construction and technology costs, but this has not materially changed plans. Firms with above-average investment intentions are primarily spending on projects to expand their businesses and to slow growth in operating costs. Commonly cited project types include construction to expand sites and capacity, new machinery and equipment (including automation), and technology programs.

Consistent with this, firms in the non-residential construction sector report solid demand conditions; public and private sector spending is fairly strong at present, and contacts are anticipating a good pipeline of activity over the next year or so across many regions. Firms associated with data centre developments continue to report particularly buoyant conditions, although contacts have flagged some uncertainty from approval processes and constraints on construction resource availability, as well as fluidity in underlying client demand. Developers of renewable energy generation assets generally see the data centre pipeline as a positive for their sector, but note that these renewables projects are more difficult to progress than was the case a few years ago and also typically involve longer timelines than data centres. Challenges cited include approval delays, longer investment decision-making timetables and interdependencies with grid expansions. Revenue projections for some proposals could also be at risk if the relatively low and stable wholesale electricity prices seen over the past year were sustained.

Some contacts in the higher education sector note discretionary capex is being deferred or scaled back given reduced fee revenue from weaker international student enrolments; instead, capex is being increasingly concentrated in committed projects and essential maintenance. Current and expected spending across other categories of public investment remain solid, including in defence, transport infrastructure, water utilities and healthcare projects in many regions.

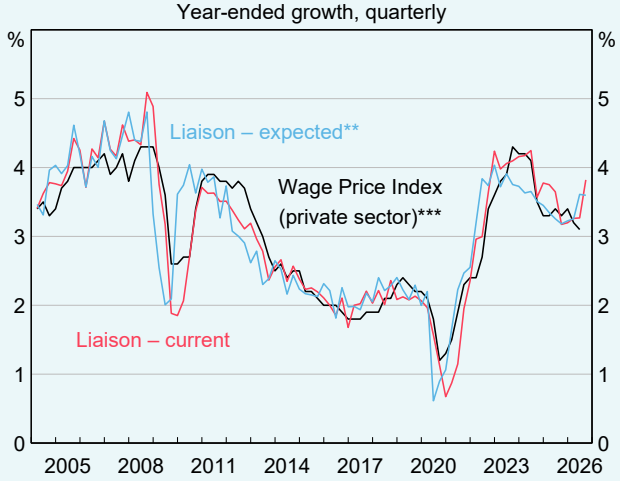
Firms report hiring intentions are around their long-run average and wages growth has strengthened.

Consistent with broadly steady demand conditions, firms' employment intentions are currently sitting close to their long-run average, having strengthened a little since earlier in the year (when some contacts noted uncertainty in hiring plans during the acute period of the Middle East conflict and oil price increases). Contacts expecting headcount growth report this as being supported by project work, expansion activity, ongoing growth in regulatory and compliance obligations, as well as underlying demand conditions. Firms' characterisations of labour market conditions have not changed materially over recent months. While recruiting and retaining staff is generally reported to be easier than a couple of years ago, some firms note competition for labour remains strong, particularly in sectors such as health care, mining, transport and construction trades, though with some variation across regions.

Labour costs remain a focus for firms, amid a recent pick-up in wages growth. Reported wages growth has lifted to be around 3¾ per cent over the September quarter, a marked move upwards from earlier in the year (Graph C.3). This is consistent with the flow-through since July of the Fair Work Commission's 4.75 per cent award wage increase decision. Firms also note general cost-of-living pressures and labour market tightness in some areas as factors influencing wage outcomes over recent months. Contacts expect these factors to also bear on outcomes over the year ahead and are generally not expecting wages growth to slow materially from the current pace.

Given this, many contacts have noted they are looking to drive efficiency gains from improved rostering, staff reallocations and technological improvements. For most firms, AI has not affected headcount and is not expected to do so over the next year. Many firms are hopeful that AI-driven productivity gains will support more efficient use of existing staff resources and may influence future hiring decisions. To date, though, firms have reported mixed productivity experiences; while some more routine tasks are being successfully automated, some contacts have noted the increased overhead associated with exploring and implementing AI as well as responding to AI-generated material from customers and other third parties.

Graph C.3
Private Sector Wages*
Year-ended growth, quarterly



* Liaison series are trimmed and rescaled by the mean of Wage Price Index (private sector).
** Data prior to 2019:Q3 is derived from Likert scores of firms' wage expectations.
*** Total hourly rates excluding bonuses.
Sources: ABS; RBA.

Chapter 3
Outlook

Summary

- **The outlook for inflation has been revised materially higher, especially in the earlier part of the forecast period; the forecasts assume that the cash rate follows the market path.** A number of upside risks flagged in the August *Statement* have since been incorporated into the central inflation forecast. Fuel and other commodity prices affected by the ongoing Middle East conflict are expected to contribute more to underlying and headline inflation than previously expected. Capacity constraints are also judged to have been somewhat greater throughout this year than we thought in August and inflation expectations have increased, adding to inflationary pressures. Underlying inflation is now expected to remain above 3 per cent until late 2027 and to reach 2½ per cent around mid-2028.
- **Headline inflation is expected to remain above 3 per cent until late 2027, around three quarters longer than in the August forecast.** Headline inflation is expected to peak at 4.5 per cent in the December 2026 quarter and reach the midpoint of the 2–3 per cent inflation target a bit later than was expected in August. The decline in inflation is expected to reflect conflict-related cost pressures easing and spare capacity emerging in the labour market and economy more broadly. Risks to the domestic inflation outlook are more balanced than they were in the August *Statement*, but still skewed to the upside. This reflects the incorporation in the central inflation forecast of some of the risks identified in August. However, inflation could be higher if global and domestic cost pressures are more persistent than assumed, or if inflation expectations rise further or exert greater influence on wage- and price-setting.
- **The outlook for growth in Australia's major trading partners has been revised higher, owing to a stronger outlook for AI-related activity and, more broadly, resilient demand.** Growth is still expected to moderate from its current strong pace over the next couple of years, as the boost from AI-related activity slows and growth in China continues to ease. The risks to the outlook are relatively balanced. AI-related activity could continue to be stronger than expected, while ongoing higher energy prices could weigh on growth by more than anticipated. The rise in global interest rates presents risks on both sides of the outlook: it may signal stronger demand and investment than currently expected, but may also result in tighter financial conditions than assumed.
- **The global inflation outlook has also been revised higher, reflecting renewed pressure from energy and other commodity prices, resilient demand and rapid growth in AI-related prices.** The oil price assumption underpinning the forecasts is much higher than in August, reflecting the re-escalation of tensions in the Middle East in recent months. Consensus forecasters expect headline inflation to remain above central bank targets into 2027 in many advanced economies as a result of higher energy costs. More broadly, increases in a range of commodity prices and strong AI-related demand are driving up input costs, which are expected to be passed through to inflation to some degree. The risks to global inflation are judged to remain skewed to the upside.

- **Australian GDP growth is expected to remain below estimates of potential growth over coming years.** Based on financial market pricing, the forecasts assume the cash rate will increase by around 35 basis points by mid-2027; this cash rate path is up to 50 basis points higher than was assumed in the August forecasts. Compared with August, the outlook for GDP growth over the year ahead has been revised higher, driven by a stronger outlook for data centre investment. From mid-2027, however, forecast growth has been revised lower because of the higher assumed cash rate path and a weaker outlook for the housing market. Higher-than-expected global energy prices is also expected to weigh a little on activity. Overall, the forecast level of GDP at end-2028 is broadly unchanged from the August forecasts. The risks to domestic growth appear to be broadly balanced. There are upside risks to global and domestic economic activity from AI-related demand, but economic activity could be weaker if the Middle East conflict and the decline in housing prices affect the economy by more than assumed in the central forecast.
- **Labour market conditions are expected to ease further, consistent with below-potential GDP growth.** The unemployment rate is forecast to increase to 5.1 per cent by end-2028. This is around ¼ percentage points higher than previously expected, largely reflecting the higher starting point for the unemployment rate and an expectation that more people will remain in or join the labour force.
- **Despite this, we assess that capacity constraints in the economy and labour market have been a little tighter than previously judged, contributing more to wage and inflationary pressures** (see Chapter 2: Economic Conditions). From this starting point, we judge that aggregate demand and potential supply in the economy are likely to reach balance next year (slightly later than previously thought), before spare capacity emerges. It is possible we have misjudged the supply capacity of the economy and labour market.

3.1 Key judgements in the forecast

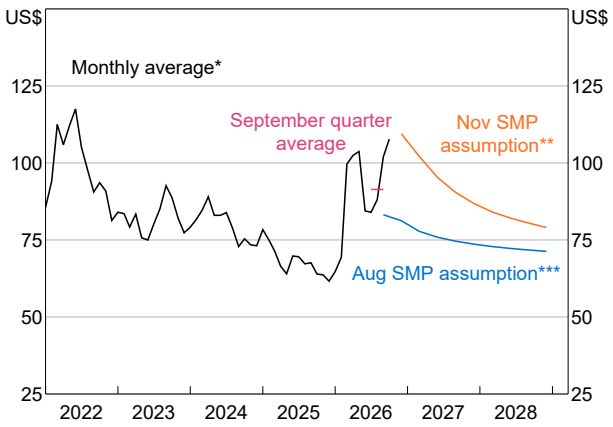
The central forecast incorporates many judgements, such as the choice of models used and whether to deviate from the models given the signal from recent data or information from liaison. These judgements are extensively considered and debated during the construction of the forecast. The three most important judgements for our current assessment of the economic outlook are discussed below.

The annual review of the staff's economic forecasts will be discussed at the December Board meeting (and the results will be published following the meeting). The review will assess what we have learned about the economy, how the judgements that underpin the forecasts have fared and how the risks around the outlook have evolved.

Key judgement #1 – Global oil and refined product prices decline gradually but remain above pre-conflict levels.

The assumption that global oil and related prices decline gradually but remain above levels prior to the Middle East conflict underpins the central forecasts (Graph 3.1). The assumed oil price in the December quarter is 35 per cent higher than assumed in August, following a re-escalation of the conflict in recent months. From this higher starting point, oil prices are assumed to be 11 per cent higher by end-2028 than assumed in August. This assumed decline is consistent with energy markets continuing to adjust to the conflict and/or progress towards resolution of the conflict, and is within the range of the latest Consensus forecasts. The spreads between prices for refined fuels and Brent crude oil, which have widened since the start of the conflict, are assumed to return to their historical averages by mid-2027 – around two quarters later than assumed in the August *Statement*. Oil and refined product prices could rise further or remain elevated for longer than assumed, which would drive up global and domestic inflation and could also weigh on activity (see Key risk #1 and Key risk #3).

Graph 3.1
Brent Oil Price
Per barrel



* Monthly average for October 2026 is average of daily prices to 28 October 2026.
** Based on Brent crude oil futures prices as at 28 October.
*** Based on Brent crude oil futures prices as at 5 August.
Sources: Bloomberg; LSEG; RBA.

Key judgement #2 – Restrictive financial conditions will contribute to the emergence of some spare capacity in the economy and the labour market, helping reduce inflationary pressures.

The forecasts are conditioned on a market path for the cash rate that increases by 35 basis points by mid-2027, before declining a little to stabilise at 4.8 per cent in 2028. This is up to 50 basis points higher than the path that underpinned the August forecasts. Conditioned on that path, the forecast is for a period of below-potential growth that is sufficient to generate some spare capacity in the economy and help return inflation to target. In other words, the assumed path for policy is judged to be restrictive.

One way to cross-check the plausibility of this judgement is to compare the market path with current estimates of the neutral cash rate derived from models and market economists. The assumed cash rate path lies above the top of the range of these estimates (see Chapter 1: Financial Conditions). These estimates are subject to considerable uncertainty, however, and it is common for them to be revised as more information becomes available. A key question is how to interpret

the recent material increase in longer-term real yields (see Box A: How Does an Increase in Longer-term Real Yields Affect Financial Conditions? and Box B: Developments in the Neutral Rate of Interest). To the extent that this reflects higher neutral policy rates globally (and for Australia), the assumed cash rate path would, by itself, be less restrictive and could weigh less on activity than projected. On the other hand, if the recent rise in global yields primarily reflects higher term premia, that would imply tighter financial conditions than assumed in the forecast, although this is less likely to materially change our assessment of restrictiveness, given the relatively short duration of household and business liabilities in Australia.

Key judgement #3 – Some of the current drivers of inflation are expected to persist and will take time to moderate.

Some of the upside risks to the inflation outlook identified in the August *Statement* have since materialised and are now incorporated in the central forecast for inflation. These factors have led to an upward revision to the inflation outlook over the next year or so and a delay in the expected timeframe for inflation to return to the target range. Higher fuel and other commodity prices from the Middle East conflict are expected to put sustained upward pressure on inflation over the coming year as these higher input costs are passed on to consumer prices to some degree over time. These cost pressures are expected to ease over the latter part of the forecast period, contributing to the decline in inflation. The change to the judgement around the degree of domestic capacity constraints implies more persistent inflationary pressures than in the August forecasts, all else equal (see Chapter 2: Economic Conditions). That is, we now assess that domestic capacity pressures have been contributing more to recent elevated inflation outcomes than we had previously judged, and from this higher starting point will contribute a bit more to inflation in the next year. The elevated level of inflation expectations is also projected to influence price- and wage-setting behaviour and boost inflation and wages growth a little more than previously expected.

We view the risks to the inflation outlook as still skewed to the upside. Alongside the potential for global cost pressures to be higher than assumed, it is also possible we have misjudged the extent of capacity pressures in the economy and the labour market, and the impact of the recent increase in inflation expectations in price- and wage-setting behaviour (see section 3.4 Key risks to the outlook).

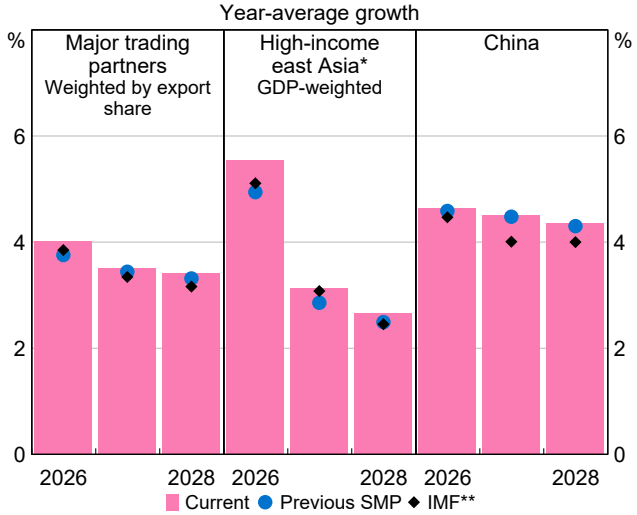
3.2 The global outlook

The outlook for growth in Australia's major trading partners (MTPs) has been revised higher over the next couple of years, but growth is expected to moderate from its current strong pace.

The MTP GDP growth forecast has been revised upwards to 4.0 per cent in 2026, before slowing to 3.5 per cent in 2027 and 3.4 per cent in 2028 as growth in global AI-related activity and China is expected to moderate (Graph 3.2). Growth has been above some estimates of potential and stronger than expected over the past year, reflecting strong AI-related activity and, in some economies, continued fiscal support. These have more than offset the headwinds from the Middle East conflict. MTP growth is expected to moderate to around potential over 2027 and 2028. Overall, we judge that the risks around this outlook for MTP growth are broadly balanced. The expansion in global AI-related investment and production may be more persistent than Consensus forecasters have factored in, but higher energy prices could also weigh on activity by more than currently assumed. The outlook for MTP growth as a whole is broadly in line with the International Monetary Fund's projections in the October 2026 *World Economic Outlook*.

The upward revision to MTP growth is concentrated in high-income east Asian economies, which are key exporters of AI-related goods. Strong demand for semiconductors and other AI-enabling technologies has supported activity in economies that are deeply integrated into regional technology supply chains, such as South Korea and Taiwan. While the outlook for growth in 2027 has been revised a little higher by external forecasters, it is still expected to moderate from the strong pace over the past year towards estimates of potential growth.

Graph 3.2
Major Trading Partner GDP Forecasts
Year-average growth



* High-income east Asia is a GDP-weighted average of South Korea, Taiwan, Hong Kong and Singapore.
** IMF forecasts from the October 2026 World Economic Outlook.
Sources: ABS; CEIC Data; Consensus Economics; IMF; LSEG; Oxford Economics Limited; RBA.

Growth in other advanced economies has also been more resilient than expected, prompting upward revisions to near-term forecasts. AI-related investment and stronger underlying momentum have supported activity in the United States, while defence spending and broader resilience across services and investment have contributed to growth in the euro area. Activity in the United Kingdom has also held up better than expected, supported by business investment. These tailwinds across advanced economies have so far offset some of the drag to activity from higher energy costs. However, external forecasters and central banks expect persistently elevated energy costs to reduce household purchasing power, raise firms' costs and increasingly weigh on consumption and investment. In some advanced economies, tighter financial conditions will also weigh on growth.

The outlook for GDP growth in China is broadly unchanged from the August *Statement*, though there have been some changes to the expected timing and composition of growth. GDP growth is forecast to be 4.6 per cent in 2026, before easing slightly to 4.5 per cent in 2027 and 4.4 per cent in 2028. The pick-up in growth in the September quarter is expected to continue in the near term, given the announcement of new policy support for infrastructure investment and signals from authorities that supporting economic activity will be elevated as a near-term policy priority. Infrastructure investment is now expected to recover from late 2026 as this support takes effect, while structural headwinds are expected to continue weighing on domestic demand more broadly. The timing and effectiveness of the policy support remain uncertain, particularly given high local government debt and a range of barriers to some local governments commencing infrastructure projects.

Longer-term government bond yields have risen across advanced economies, alongside resilient activity and persistent inflation. The increase appears to reflect a combination of higher expected near-term policy rates and higher longer-term real rates, reflecting a mix of higher term premia and potentially higher neutral rates. Market-based measures of long-term inflation expectations remain consistent with central bank targets. Strong investment and public demand may be placing upward pressure on real rates, and expectations of stronger future productivity growth – including from the adoption of AI – may also be contributing. Higher public and private debt issuance and uncertainty about inflation and fiscal trajectories may also be adding to the compensation investors require to hold longer-duration bonds (see Box A: How Does an Increase in Longer-term Real Yields Affect Financial Conditions? and Box B: Developments in the Neutral Rate of Interest).

The global inflation outlook has been revised higher, reflecting an increase in energy prices and continued resilience in global demand. Consensus forecasters expect headline inflation to remain above central bank targets into 2027 in many advanced economies. Services disinflation has stalled, while core goods inflation has picked up. The outlook for globally traded goods inflation has been revised higher, reflecting higher commodity prices and further strong increases in export prices for semiconductors and other AI-related goods across parts of Asia. AI-related price pressures have not broadened materially beyond electronics but could become more persistent or spread to other parts of global supply chains if strong demand continues to run ahead of the expansion in productive capacity (see Key risk #2). The further increase in energy prices since August could add to these upstream cost pressures, although the extent and timing of pass-through to consumer prices remains uncertain. Overall, we continue to judge that the risks to global inflation remain skewed to the upside.

3.3 Domestic outlook

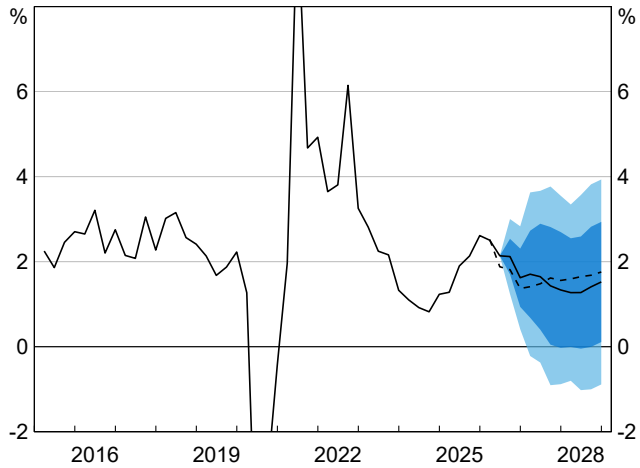
Australian GDP growth is expected to remain below our estimate of potential growth throughout the forecast period.

GDP growth has slowed since the end of 2025 and is expected to remain subdued over the next couple of years (Graph 3.3). The expected slowing in growth over 2026 reflects the effects of several headwinds weighing on private activity, including the reduction in household disposable incomes from higher inflation, weaker conditions in the established housing market, and the tightening in monetary policy, which more than offset very strong data centre-related investment. Growth is expected to remain below potential over the forecast period, reflecting an assumption that financial conditions remain restrictive (see Key judgement #2). Consistent with the latest state and federal budgets, public demand is expected to continue supporting growth over the forecast period.

The risks to activity appear to be broadly balanced. Stronger-than-expected global growth and further strength in AI and data centre-related activity pose upside risks to domestic growth (see Key risk #2). However, historically low consumer and business sentiment could be pointing to the risk that the combined effect on domestic activity of the Middle East conflict, the decline in housing prices and the tightening in monetary policy could be more than assumed (see Key risk #3).

The level of GDP at end-2028 is expected to be broadly unchanged from the August forecasts. Growth is projected to be slightly stronger than expected in the near term, reflecting a much stronger outlook for data centre-related investment compared with the August *Statement*. Weighing against that is the higher assumed market path for the cash rate, a weaker outlook for the housing market and higher oil prices. These pull growth in the latter part of the forecast period a little below that expected in the August *Statement*.

Graph 3.3
GDP Growth Forecast*
Year-ended



* Dashed line shows previous SMP forecast; confidence intervals reflect RBA forecast errors since 1993, with the 70 per cent interval shown in dark blue and the 90 per cent interval shown in light blue. Outliers during the COVID-19 pandemic have been truncated.

Sources: ABS; RBA.

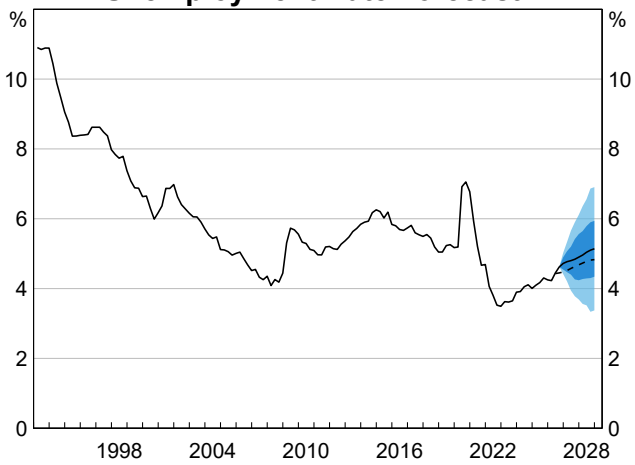
Business investment is expected to increase strongly and the outlook has been revised up significantly, largely driven by data centre-related investment. Business investment was stronger than expected in the June quarter and firms' surveyed expectations of future investment were again revised higher. External projections for the expected increase in Australia's data centre capacity through to 2030 have also continued to be revised up as the size of the development pipeline has increased. Our forecast for data centre investment is in line with recent baseline external projections, but below projections that assume Australia becomes a significant regional hub for data centres. There is considerable uncertainty around the extent of data centre investment over coming years. This will depend on a range of factors such as government policy, community expectations, future demand for AI services and grid capacity. We continue to expect that much of this additional investment will be imported (around 70 per cent), limiting the boost to GDP growth. However, data centre construction, as well as any potential spillovers to higher investment in energy and utilities infrastructure, will require domestically sourced labour and materials. At this stage, most of this investment pipeline is in New South Wales and Victoria where liaison information suggests capacity constraints in the construction sector are somewhat less binding.

At the same time, a higher assumed cash rate path, a more significant easing in the established housing market and higher global oil prices are expected to weigh more on activity than in the August forecasts. The forecasts are conditioned on a higher market path for interest rates relative to August. In addition, established housing prices have continued to fall more quickly than expected, with external forecasters now expecting a deeper downturn than assumed a few months ago. The outlook for oil prices is also much higher than assumed in August, which will weigh on real household incomes. Reflecting these factors, the outlook for household consumption and dwelling investment has been revised lower, as has the outlook for business investment unrelated to data centres.

The labour market is expected to continue easing over the forecast period, consistent with below-potential GDP growth.

The unemployment rate is forecast to increase to 5.1 per cent by the end of 2028, which is around ¼ percentage point higher than previously expected (Graph 3.4). The unemployment rate has risen by more than expected over recent months, and the upward revision to forecast relative to the August *Statement* largely reflects this higher starting point. Elevated cost-of-living pressures appear to have encouraged workers to enter or remain in the labour force to a greater extent in recent months than was expected at the time of the August *Statement*. These pressures are expected to continue to support participation for some time. The participation rate is expected to decline very modestly by the end of 2028 as easing cyclical pressures are expected to more than offset the longer-run upward trend in female participation. A slightly weaker outlook for demand later in the forecast period is also contributing a little to the upward revision to the unemployment rate profile by late 2028.

Graph 3.4
Unemployment Rate Forecast*



* Dashed line shows previous SMP forecast; confidence intervals reflect RBA forecast errors since 1993, with the 70 per cent interval shown in dark blue and the 90 per cent interval shown in light blue.
Sources: ABS; RBA.

As in previous forecasts, the employment-to-population ratio is expected to decline through to late 2028. Employment growth is expected to remain broadly stable over the next year, in line with the leading indicators of labour demand. From mid-2027, employment growth is expected to be a little weaker than in the August *Statement*, reflecting the weaker outlook for GDP growth later in the forecast period. The forecast employment-to-population ratio is similar to the August *Statement* in the near term, before declining more quickly to reach a lower level by the end of the forecast period.

The economy is expected to move into balance in 2027, with spare capacity then emerging in the economy over the rest of the forecast period.

Below-potential output growth and an easing in labour market conditions are expected to see the economy move from a position of excess demand to around balance in 2027, before some spare capacity emerges. The timing of the return to balance is slightly later than in the August *Statement*, as a result of the upgrade to near-term GDP growth.

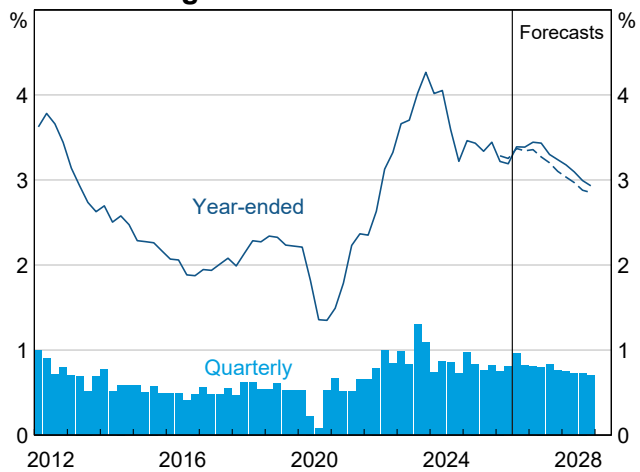
However, there is considerable uncertainty around the assessment of when the economy will return to balance and the extent of spare capacity that emerges. The impact of conflict-related costs on inflation over the period ahead will also make it more difficult to assess the degree of underlying capacity pressures in the domestic economy. Our assumption for potential output growth over the next couple of years assumes productivity growth will pick up gradually (see Key risk #4). However, with the level of labour productivity remaining around the same rate as prior to the pandemic – implying near-zero productivity growth on average over that period – continued weak productivity outcomes may be constraining the ability of firms to grow their supply capacity without generating inflationary pressure.

Wages growth is expected to pick up a little in the near term, then moderate gradually from 2027 as labour market conditions ease.

The forecast for year-ended wages growth has been revised a little higher across the forecast period. In the near term, nominal wages growth is expected to be supported by the effect of higher-than-expected capacity pressures in the first half of the year as well as the Fair Work Commission's award wage decision (which had already been incorporated in the August forecasts). The influence of both higher-than-expected inflation outcomes and inflation expectations on wage negotiations is expected to add further upward pressure on wages growth relative to the August forecast. Some large wage increases in enterprise bargaining agreements are expected to support wages growth in the near term, although the timing of pay increases for these agreements may contribute to volatility in quarterly outcomes, particularly for the public sector.

Wages growth expectations from firms in the RBA's liaison program are elevated and suggest little easing over the year ahead (see Box C: Insights from Liaison). This is consistent with the central forecast for wages growth. Growth is expected to moderate from mid-2027 onwards, reflecting easing labour market conditions and lower inflation outcomes. Wages growth is expected to have eased to 2.9 per cent in year-ended terms by end-2028 (Graph 3.5).

Graph 3.5
Wage Price Index Growth*



* Dashed line shows previous SMP forecast; seasonally adjusted.
Sources: ABS; RBA.

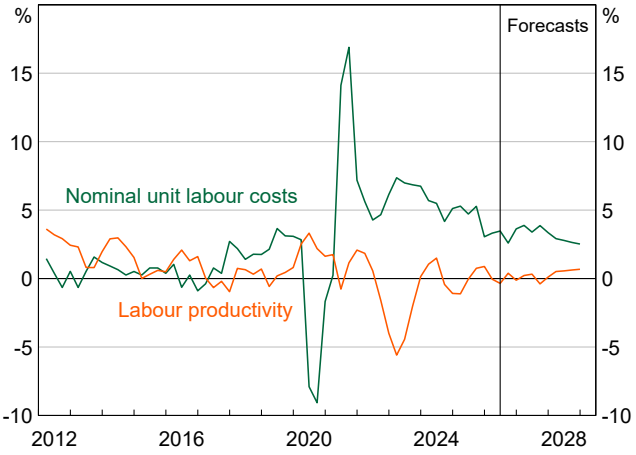
Unit labour cost growth is forecast to be elevated in the near term, before easing over the second half of the forecast period.

Year-ended growth in unit labour costs (ULCs) is expected to increase in coming quarters, reflecting weak productivity growth and higher wages growth. Year-ended growth in ULCs is then expected to moderate from late 2027 onwards, alongside slowing nominal wages growth and the pick-up in productivity growth to its assumed medium-term trend growth rate of 0.7 per cent per year (Graph 3.6). Nominal ULCs are the measure of labour costs most relevant for firms' cost of production and so for inflation outcomes. Year-ended ULCs growth is expected to remain above 2.5 per cent – the rate that is consistent with inflation being sustainably at target – until late in the forecast period.

Graph 3.6

Labour Cost and Productivity Growth

Non-farm, seasonally adjusted, year-ended



Sources: ABS; RBA.

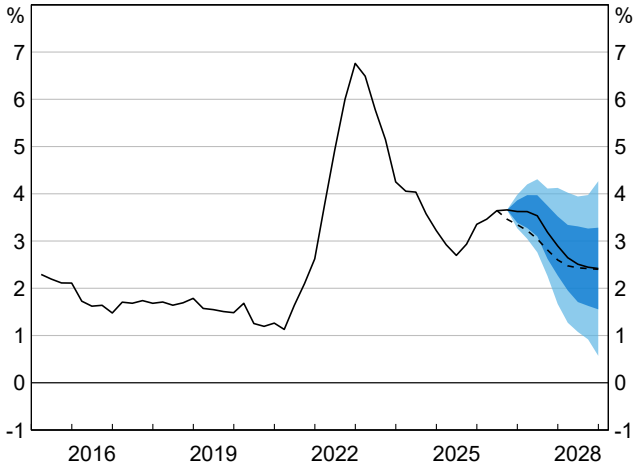
The forecast for underlying inflation has been revised higher over the next year, mainly owing to higher conflict-related cost pressures and higher-than-expected domestic capacity pressures.

Trimmed mean inflation is expected to remain above 3 per cent until the end of 2027, easing gradually to reach 2½ per cent around mid-2028 (Graph 3.7). Year-ended underlying inflation is expected to remain elevated at a little above 3½ per cent until mid-2027, reflecting existing capacity pressures in the economy and the pass-through of higher conflict-related costs to consumer prices. Elevated inflation expectations are also contributing to underlying inflation over the coming year or so. From mid-2027 onwards, inflation is expected to ease due to the emergence of spare capacity in the economy and labour market and as conflict-related cost effects begin to unwind.

Graph 3.7

Trimmed Mean Inflation Forecast*

Year-ended



* Dashed line shows previous SMP forecast; confidence intervals reflect RBA forecast errors since 1993, with the 70 per cent interval shown in dark blue and the 90 per cent interval shown in light blue.

Sources: ABS; RBA.

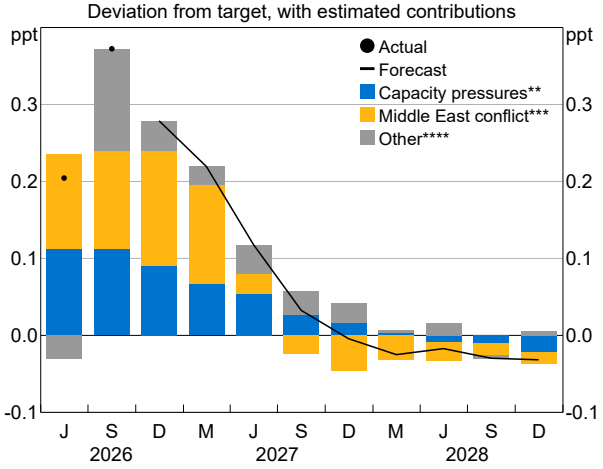
Cost pressures related to the Middle East conflict are expected to place more upward pressure on underlying inflation over the year ahead than previously assumed. A possible re-escalation in the conflict had been flagged as an upside risk to inflation in the August *Statement*. Since then, oil and fuel prices have increased by much more than had been assumed and are now assumed to remain at a higher level over the forecast period. We expect higher global energy prices will contribute to higher domestic inflationary pressures in late 2026 and early 2027, even as domestic activity slows and the labour market eases (Graph 3.8). The judgement around the degree of pass-through from global energy prices to domestic prices is broadly similar to what had been assumed in August. It is consistent with information from liaison and the Business Outlook Scenario Survey (BOSS) in September, where firms reported plans to continue raising prices in response to past cost increases arising partially from the conflict. From mid-2027 onwards, we expect cost effects to unwind in net terms, albeit to a lesser extent than assumed in the August *Statement* as oil prices are now assumed to remain at a higher level than previously expected and refined margins are assumed to remain elevated for longer (see Key judgement #1). The balance of risks to conflict-related inflationary pressures remains skewed to the upside, particularly as crude oil and refined fuel prices could remain elevated or rise further (see Key risk #1).

Relative to the August forecasts, domestic capacity pressures are also expected to exert a bit more upward pressure on inflation over the year ahead. We now judge that stronger-than-expected domestic capacity pressures explain more of the recent unexpected strength in underlying inflation (see Chapter 2: Economic Conditions). Those higher capacity pressures are also expected to contribute a little more to inflation over the year ahead. This upward pressure is expected to ease gradually over the forecast period, as spare capacity emerges in the economy and the labour market.

Graph 3.8

Quarterly Trimmed Mean Inflation Forecast*

Deviation from target, with estimated contributions



* Deviation from a quarterly rate of underlying inflation that is consistent with the midpoint of the target range.

** Includes contributions from the unemployment gap, output gap and nominal unit labour costs in a suite of trimmed mean inflation models.

*** Includes indirect cost effects from the conflict in the Middle East (excluding fuel) and short-term inflation expectations.

**** Includes contributions from some imported goods, automotive fuel and factors not otherwise specified.

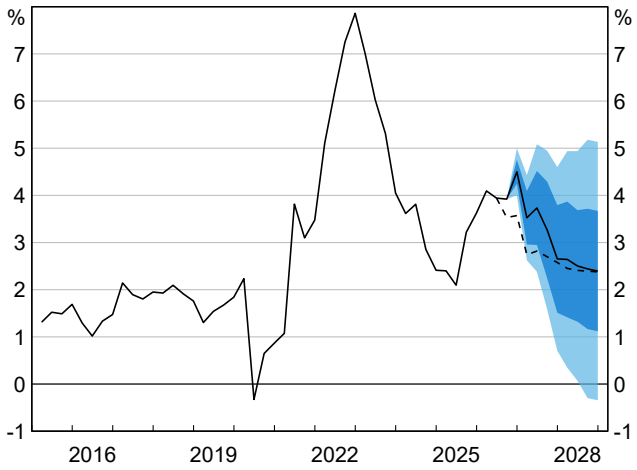
Sources: ABS; RBA.

Elevated inflation expectations are expected to contribute to inflationary pressure over the forecast period, supporting the pass-through of firms' costs to consumer prices. Several measures of short- and medium-term inflation expectations have increased alongside the recent increases in fuel prices, and some measures of longer-term expectations have also drifted higher (see Chapter 2: Economic Conditions). We judge that elevated expectations will contribute to higher realised inflation by supporting expected cost growth, making firms more willing to pass these higher costs through to prices, and placing upward pressure on wages growth. If the conflict in the Middle East is more protracted than assumed in our baseline forecasts, there is a risk that inflation expectations may increase further (see Key risk #1).

Headline inflation has been revised higher in the near term due to stronger growth in fuel prices and higher underlying inflation.

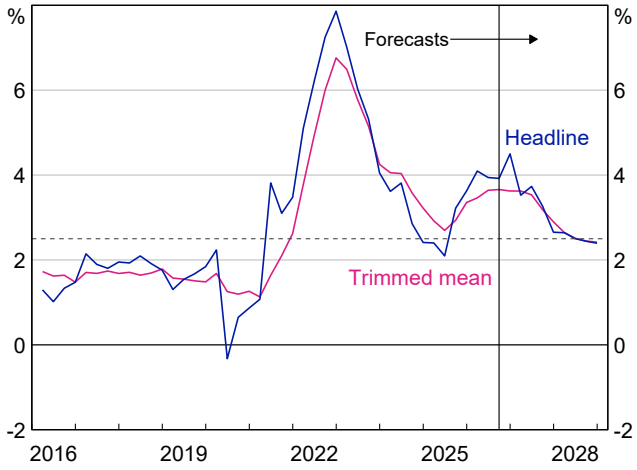
Headline inflation is expected to remain above 3 per cent until late 2027, which is around three quarters longer than in the August forecast, and reach the midpoint of the 2–3 per cent inflation target range a bit later than expected in August (Graph 3.9). Headline inflation is expected to peak at 4.5 per cent in the December quarter this year due to higher-than-expected fuel prices. The assumed decline in global oil prices is expected to put downward pressure on headline inflation from early 2027. Over the remainder of the forecast period, headline inflation has been revised higher relative to our August forecasts, reflecting higher underlying inflation (Graph 3.10). Headline inflation is expected to reach the midpoint of the target in mid-2028 as capacity pressures and conflict-related costs ease.

Graph 3.9
Headline Inflation Forecast*
Year-ended



* Dashed line shows previous SMP forecast; confidence intervals reflect RBA forecast errors since 1993, with the 70 per cent interval shown in dark blue and the 90 per cent interval shown in light blue.
Sources: ABS; RBA.

Graph 3.10
Inflation*
Year-ended



* Dashed line is midpoint of 2–3 per cent target range.
Sources: ABS; RBA.

3.4 Key risks to the outlook

The staff assess that the risks to the domestic inflation outlook are skewed to the upside, despite becoming more balanced since the August *Statement* as some of the risks identified then have been incorporated into the central forecast. In August, we identified three main sources of upside risk to the global and domestic inflation outlook: a re-escalation of the Middle East conflict; domestic capacity pressures being greater than assumed; and the global AI boom generating more of an inflationary impetus than assumed. Since then, the risk of a re-escalation of the Middle East conflict has crystallised and staff have re-evaluated the extent of domestic capacity constraints; both of which have led to upward revisions to the central inflation forecast over the next year. However, there is still uncertainty around the outlook for global energy prices, the role of inflation expectations in price and wage dynamics as well as the impact on inflation from AI activity.

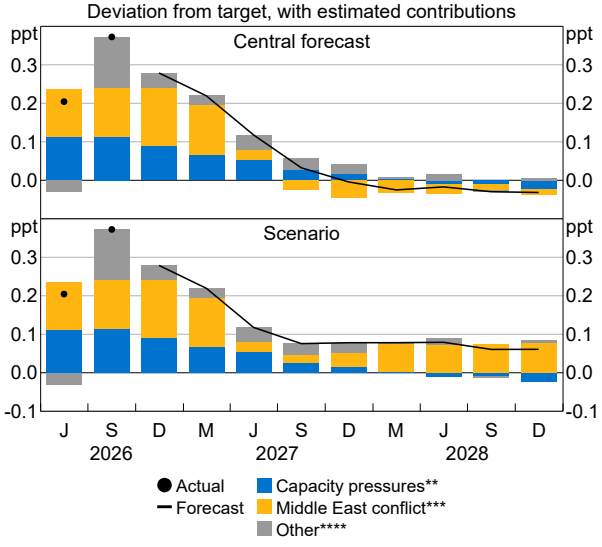
The staff also identified in August that there were upside risks to global and domestic economic activity from AI-related demand, but that domestic economic activity could be weaker if the Middle East conflict and the decline in housing prices affected the economy by more than assumed in the central forecast. These remain key risks to the outlook.

Key risk #1 – High inflation could be more persistent if energy prices remain elevated, or if inflation expectations increase or start to have a greater bearing on wage- and price-setting.

We have modelled a scenario where crude oil remains around US$100 per barrel and refined product prices remain at elevated levels over the forecast period. Many external forecasters are revising higher their outlook for crude oil and refined product prices, on concerns that some of the key margins of adjustment in global energy markets that have helped to cushion the impact of the disruption to oil supply and global activity are reaching their limits (see Chapter 2: Economic Conditions and Key judgement #1).

Persistently higher global oil prices would leave domestic inflation higher for a longer period than in the central forecast. Higher oil prices would directly increase fuel prices and firms' input costs, with the latter gradually passed through to consumer prices as firms adjust to persistently higher costs. By contrast, the central forecast assumes a decline in oil prices, which starts to ease cost pressures related to the Middle East conflict from mid-2027, contributing to lower inflation over time (Graph 3.11). Higher inflation also raises inflation expectations in the scenario, reinforcing inflationary pressures over the forecast period. Assuming that the cash rate and exchange rate follow the same path that underpins the central forecasts, underlying inflation would be around 2¾ per cent by end-2028 rather than being around the 2½ per cent.

Graph 3.11
Quarterly Trimmed Mean Inflation Forecast*
Deviation from target, with estimated contributions



* Deviation from a quarterly rate of underlying inflation that is consistent with the midpoint of the target range.
** Includes contributions from the unemployment gap, output gap and nominal unit labour costs in a suite of trimmed mean inflation models.
*** Includes indirect cost effects from the conflict in the Middle East (excluding fuel) and short-term inflation expectations.
**** Includes contributions from some imported goods, automotive fuel and factors not otherwise specified.
Sources: ABS; RBA.

It is possible that inflation expectations could rise even further or that inflation expectations provide greater impetus to wages growth and inflation through second-round effects. The central forecasts and scenario assume that the increase in households' and firms' inflation expectations do exert some upward pressure on inflation and wages growth. However, given households and firms are paying particularly close attention to inflation, it is possible that inflation expectations will influence price- and wage-setting decisions by more than assumed. This heightened attentiveness to inflation could also make expectations more persistent and more responsive to realised inflation. With headline inflation forecast to rise further in the near term, this increases the risk that inflation expectations remain higher for longer than assumed in our central forecast.

Key risk #2 – The global AI demand boom may continue to drive up global growth and inflation.

MTP growth may not moderate as expected over the next few years if AI-demand growth continues at the same pace. It is possible that growth forecasts could continue to be upwardly revised by Consensus forecasters if the current upswing in AI-related investment (and spillovers associated with the boom) is more persistent than currently assumed. The rise in interest rates across the yield curve in many advanced economies may reflect higher neutral rates – that is, expectations that demand will prove more resilient and inflation more persistent than currently assumed. Higher longer-term real rates may partly reflect expectations of stronger future productivity growth, including from the adoption of AI. Further investment in anticipation of higher productivity could also support demand and add to capacity pressures over the next few years, while most of the productivity gains are likely to manifest beyond the next two years (at least in Australia).

The ramp-up of investment in data centres may also contribute to capacity and pricing pressures domestically, particularly by drawing on resources in the construction industry. These price pressures could be stronger than currently expected as the forecast pipeline of investment is worked through, or if investment proves stronger than expected.

Key risk #3 – Domestic economic activity could be weaker than expected.

It is possible that the headwinds affecting households and businesses over the next year could have a larger adverse effect than assumed. The central forecasts assume that higher oil prices, higher interest rates and lower housing prices all weigh on domestic economic activity broadly in line with average historical relationships. Timely indicators of spending remain consistent with this assumption, with no evidence of a material slowing in consumption growth in recent months. However, the very weak levels of consumer and business sentiment could be pointing to a more pronounced slowing in household and business spending growth than assumed.

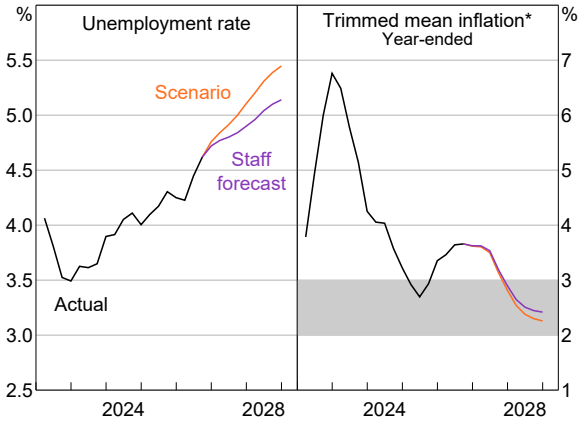
We have calibrated a downside domestic activity scenario where there is a larger response in household and business spending to these headwinds. There is a range of estimates for the effects of these headwinds in the literature, highlighting the uncertainty around their impact on economic activity. Drawing on this evidence, the scenario uses larger responses than assumed in the central forecast, thereby identifying a plausible downside outlook for domestic activity. In the scenario, firms feel forced to pass on the conflict-related costs to prices as in the central forecast; but households respond more cautiously to the resultant pressures on real income and wealth, reducing discretionary consumption by more than assumed in the central forecast. Such an effect on spending might be compounded by a tightening in borrowing constraints and incentives for housing investors. The scenario assumes firms respond to weaker demand and margin pressure with a sharper pullback on (non-data centre) investment and hiring. Overall, the level of GDP is around 1.0 per cent lower than the central forecasts by end-2028.

The larger pullback in household and business spending results in weaker activity and employment growth, but only modestly lower inflation than in the central forecast, assuming interest rates and the exchange rate follow the same path as the central forecast. The greater caution exhibited by households pushes the gross household saving ratio up gradually to a peak of around 17 per cent, where it remains over the remainder of the forecast period. The greater reduction

in hiring pushes the unemployment rate 0.3 percentage points higher by end-2028, creating more spare capacity in the domestic economy than in the central forecast (Graph 3.12). The additional spare capacity in the economy and the labour market reduces inflationary pressures somewhat, but the assumption of cost pass-through by firms limits this effect. Overall, trimmed mean inflation reaches 2½ per cent only one quarter earlier than in the central forecast.

Graph 3.12

Weaker Domestic Economic Activity – Labour Market and Inflation Outcomes



* Shaded area shows 2–3 per cent inflation target range.

Sources: ABS; RBA.

Key risk #4 – There remains considerable uncertainty about the degree of capacity pressures in the domestic economy and labour market.

Despite the recent reassessment, it is possible that we are still understating the extent of capacity pressures. While we assess that capacity constraints in the economy and labour market have been tighter than previously judged, model-based estimates of the unemployment rate that is consistent with low and stable inflation continue to point to greater tightness in labour market conditions than our central assessment. In addition, if productivity growth were to remain subdued over the forecast period, rather than pick up modestly as assumed, it may suggest that the economy's supply capacity would be lower than currently expected. The implications for inflation would depend on how households and businesses adjust their spending and expectations.

Conversely, capacity pressures may be weaker than expected. The broader suite of full employment indicators points to somewhat less labour market tightness than our central assessment. It is also possible that more of the recent strength in wages growth and inflation reflects factors other than excess demand, such as conflict-related cost effects or higher inflation expectations. In these cases, wages growth and inflation may moderate more quickly than in the central forecast. Productivity growth could also recover more quickly than assumed, including if the anticipated benefits of AI adoption and other technological developments are realised sooner.

There is also a risk that the unemployment rate increases by more than expected if labour supply remains stronger than assumed. There is a risk that elevated cost-of-living pressures could support labour force participation for longer, or to a greater extent, than assumed. If so, stronger labour supply could result in a higher unemployment rate than forecast, even if labour demand evolves broadly as expected.

3.5 Detailed forecast information

Table 3.1 provides additional detail on forecasts of key macroeconomic variables. The forecast table from current and previous *Statements* can be viewed, and data from these tables downloaded, via the Statement on Monetary Policy – Forecast Archive.

Table 3.1: Detailed Forecast Table[(a)]
Percentage change through the four quarters to quarter shown, unless otherwise specified[(b)]

	Jun 2026	Dec 2026	Jun 2027	Dec 2027	Jun 2028	Dec 2028
Activity						
Gross domestic product	2.1	1.6	1.6	1.3	1.3	1.5
Household consumption	1.8	1.4	1.4	1.8	1.7	1.6
Dwelling investment	5.8	5.1	1.3	−2.8	−3.5	−1.8
Business investment	10.5	12.0	7.8	2.2	0.2	−0.3
Public demand	2.1	2.1	3.8	3.0	2.7	2.3
Gross national expenditure	2.9	2.6	2.7	2.0	1.6	1.6
Major trading partner (export-weighted) GDP	4.1	3.8	3.5	3.6	3.4	3.3
Trade						
Imports	6.7	4.6	4.0	3.7	2.7	2.0
Exports	2.9	−0.3	0.3	0.9	1.3	1.8
Terms of trade	−0.5	−2.4	−4.9	−2.4	0.9	0.9
Labour market						
Employment	1.1	1.4	1.2	1.1	1.0	1.1
Unemployment rate (quarterly, %)	4.4	4.7	4.8	4.9	5.0	5.1
Hours-based underutilisation rate (quarterly, %)	5.5	5.8	5.9	6.0	6.2	6.4
Income						
Wage Price Index	3.2	3.4	3.4	3.2	3.1	2.9
Nominal average earnings per hour (non-farm)	3.2	3.5	3.7	3.5	3.4	3.2
Real household disposable income	2.3	1.0	1.6	1.5	1.3	1.3
Inflation						
Consumer Price Index	3.9	4.5	3.7	2.7	2.5	2.4
Trimmed mean inflation	3.6	3.6	3.5	2.9	2.5	2.4
Assumptions						
Cash rate (%)[(c)]	4.3	4.7	4.9	4.8	4.8	4.8
Trade-weighted index (index)[(d)]	66.1	65.2	65.3	65.3	65.3	65.3
Brent crude oil price (US$/bbl)[(e)]	94.9	109.5	95.3	86.9	82.1	79.1
Estimated resident population[(f)]	1.5	1.5	1.3	1.2	1.2	1.2
Memo items						
Labour productivity[(g)]	−0.4	−0.1	0.3	0.1	0.6	0.7
Household savings rate (%)[(h)]	6.5	6.6	6.7	6.3	6.3	6.0
Real Wage Price Index[(i)]	−0.8	−1.0	−0.3	0.6	0.6	0.5
Real average earnings per hour (non-farm)[(i)]	−0.8	−0.9	0.0	0.8	0.8	0.8

(a) Forecasts finalised on 28 October.

(b) Forecasts are rounded to the first decimal point. Shading indicates historical data.

(c) The cash rate is assumed to move in line with expectations derived from financial market pricing. Prior to the May 2024 *Statement*, the cash rate assumption also reflected information derived from surveys of professional economists. For more information, see A Change to the Cash Rate Assumption Method for the Forecasts.

(d) The daily exchange rate (TWI) is assumed to be unchanged at its current level going forward.

(e) For the current quarter, Brent crude oil prices are based on observed spot prices to date and market pricing for the remainder of the quarter. Thereafter, Brent crude oil prices are guided by market pricing.

(f) The population assumption draws on a range of sources, including partial indicators from the Australian Bureau of Statistics, migration policies, and estimates made by the Australian Government.

(g) GDP per hour worked (non-farm).

(h) Household savings ratio refers to the ratio of household saving (disposable income minus consumption) to household disposable income, net of depreciation.

(i) Real Wage Price Index and non-farm average earnings per hour worked are both deflated by Consumer Price Index.

Sources: ABS; Bloomberg; CEIC Data; Consensus Economics; LSEG; Oxford Economics Limited; RBA.

5 November 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

The Democrats swept the US mid-term elections, taking control of both houses of Congress, with Vice President Vance blaming the result on the war with Iran and President Trump stating that he currently has no plans to strike Iran again, raising hopes that a quicker end to the conflict could now be in sight.

Oil prices responded decisively to the election result and President Trump's comments, with Brent tumbling around 8% to US$95.4/bbl, its lowest level in around two months, as markets pared back some of the geopolitical risk premium built into crude.

The sharp fall in oil drove a rebound in risk sentiment, sending US and European equities markedly higher while Treasuries rallied, with the 2Y and 10Y yields falling 6bps and 8bps respectively as some of the inflation risk premium embedded in rates unwound.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.7	0.0%
AUD/USD	0.7008	0.6%
AUD/JPY	111.06	0.5%
AUD/GBP	0.5202	0.2%
AUD/NZD	1.2465	0.0%
AUD/EUR	0.6241	0.3%
AUD/CNH	4.6782	0.7%
AUD/SGD	0.8964	0.4%
AUD/HKD	5.4981	0.6%
AUD/CAD	0.9788	0.3%
EUR/USD	1.1229	0.3%
USD/JPY	158.48	-0.1%
USD Index	101.53	-0.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.85	0.05
90 day BBSY	4.98	0.02
180 day BBSY	5.32	0.01
1 year swap	4.95	-0.01
2 year swap	4.81	-0.05
3 year swap	4.73	-0.07
4 year swap	4.73	-0.07
5 year swap	4.75	-0.07
6 year swap	4.80	-0.08
7 year swap	4.84	-0.08
8 year swap	4.89	-0.08
9 year swap	4.94	-0.08
10 year swap	4.98	-0.08

Equities	Close	Change
S&P/ASX 200	8,834	-0.6%
S&P 500	7,698	1.7%
Japan Nikkei	62,189	-1.4%
Hang Seng	23,920	1.7%
Euro Stoxx 50	6,266	2.0%
UK FTSE100	10,829	1.8%
VIX Index	16.84	-19.2%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.75	0.00
10 year bond	5.08	0.00
United States		
3-month T Bill	4.02	0.00
2 year bond	4.57	-0.06
10 year bond	4.89	-0.08
Other (10 year yields)		
Germany	3.27	-0.06
Japan	2.82	0.04
UK	5.13	-0.13

Commodities	Current	Change
CRB Index	389.01	-2.3%
Gold	4063.51	3.4%
Copper	14011	-0.2%
Oil (WTI futures)	88.75	-7.6%
Coal (coking)	258.50	0.2%
Coal (thermal)	147.25	-1.1%
Iron Ore	91.85	1.3%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.04	-0.05
3 yr bond	4.69	-0.05
3 mth bill rate	4.77	0.00
SPI 200	9,025	1.9%

Data as at 7:30am AEDT. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

The Democrats swept the US mid-term elections, winning both houses of congress. Vice President Vance blamed the war with Iran for the result, and President Trump has stated he currently has no plans to strike Iran again. Oil responded decisively to these results and comments, driving a rebound in risk sentiment overnight.

- Share markets bounced significantly higher as oil prices dropped sharply in the wake of the Democratic sweep of congress. In the US, the S&P 500 (+1.7%), Dow Jones (+3.2%) and NASDAQ (+1.8%) all jumped. Moves were similar across the pond, the Euro Stoxx 50 (+2.0%) and London's FTSE 100 (+1.8%) both bouncing higher too. Stocks were mixed across Asia, given it pre-dated the sharp fall in oil overnight, with gains in Hong Kong (+1.7%), Shanghai (+2.3%) and Seoul (+0.6%) met with a decline in Tokyo (1.4%). The ASX 200 also fell 0.6% yesterday, but following the action overnight, futures markets are pointing to a strong open this morning.
- Treasuries rallied in response to the sharp drop in oil prices following the outcome of the US midterm elections, seeing the 2Y drop 6bps to 4.57%, while the 10Y fell 8bps to 4.89%. Given the timing and quantum of rate hikes expected by the market has not shifted materially – still around 20bps prices in for November, and another 1-2 rate hikes pencilled in by mid-2027 – the drop yields overnight appears to speak more to an unwind of an inflation risk premium rather than a curbing of interest rate hike expectations at this stage.
- Yields moved in a broadly similar direction offshore, the 10Y Bund and Gilt down 6bps and 13bps respectively, while the 10Y JGB rose 4bps as it pre-dating much of the price action overnight. ACGBs were steady during local trading but rallied in futures trading overnight, both the 3Y and 10Y down 5bps. Market pricing tentatively suggests that the RBA's rate hike earlier this week will be the last of the cycle, with no further moves more than 50% priced in through to late-2027.
- The USD slipped overnight, the DXY down 0.3% to around 101.5. Most G10 currencies appreciated versus the greenback, including the Euro (+0.3%), Yen (+0.1%), Sterling (+0.4%) and Loonie (+0.3%). The Aussie dollar rose by a stronger clip, up 0.6% to be back above the USD0.70 mark. The Kiwi dollar also jumped 0.6% to be back above USD0.56, recovering from the sell-off during local hours after the downside surprise on labour market data.
- Crude oil prices continued to drift lower through much of yesterday as early results trickled in, before dropping sharply overnight as markets digested the Democratic sweep in the mid-term elections and President Trump's comments that he does not have plans to strike Iran, both taken as signs that a quicker end to the conflict could now be in sight. Brent dropped 7.9% to US$95.4/bbl, the lowest level in about two months. Against the backdrop of a softer USD and lower real yields, gold prices managed to jump back above the US$4,000/oz mark overnight. Metals were much more stable meanwhile, LME copper and aluminium nudging 0.2% lower and 0.1% higher respectively.

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Trade Balance Sep	$1000m	$495m
11:30	JP S&P Global Services PMI Oct Final	-	52pts
21:00	EZ PPI Sep	2.6%	1.9%
23:00	GB BoE Policy Decision	4.00%	3.75%
0:30	US Productivity Q3 Prel.	2.6%	1.4%
0:30	US Initial Jobless Claims 31/10/2026	196k	194k

Times are AEDT. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

In the US, September's **trade balance** was slightly better than expected, holding to a deficit of US$105bn versus expectations for a modest deterioration. The result comes as exports rose 1.9% while imports gained 1.2%. Meanwhile, the **ISM services** index edged down from 54.9 to 54.5 in October. In the component detail, new orders deteriorated materially, the sub-index falling from 59.8 to 55.9; but employment strengthened at the margin, from 50.1 to 51.4. Prices paid were little changed in the month at an elevated 73.0.

In the Euro Area, October's **CPI** met expectations, rising 0.4% in the month and 4.0% over the year on a headline basis, versus 3.8%yr in September. On a core basis, inflation was unchanged at 2.5%yr.

Domestic Data

In Australia, **household spending** rose 0.6%mth in September on a nominal basis, though price gains look to have played a significant role, with real spending up 0.7%qtr in Q3 (see here).

In New Zealand, the Q3 **labour market statistics** came in weaker than Westpac and the RBNZ anticipated, as the unemployment rate rose to 5.7% (see here). Our NZ Chief Economist considers the impact of the data on the RBNZ here.

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Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.7	0.0%
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EUR/USD	1.1229	0.3%
USD/JPY	158.48	-0.1%
USD Index	101.53	-0.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.85	0.05
90 day BBSY	4.98	0.02
180 day BBSY	5.32	0.01
1 year swap	4.95	-0.01
2 year swap	4.81	-0.05
3 year swap	4.73	-0.07
4 year swap	4.73	-0.07
5 year swap	4.75	-0.07
6 year swap	4.80	-0.08
7 year swap	4.84	-0.08
8 year swap	4.89	-0.08
9 year swap	4.94	-0.08
10 year swap	4.98	-0.08

Equities	Close	Change
S&P/ASX 200	8,834	-0.6%
S&P 500	7,698	1.7%
Japan Nikkei	62,189	-1.4%
Hang Seng	23,920	1.7%
Euro Stoxx 50	6,266	2.0%
UK FTSE100	10,829	1.8%
VIX Index	16.84	-19.2%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.75	0.00
10 year bond	5.08	0.00
United States		
3-month T Bill	4.02	0.00
2 year bond	4.57	-0.06
10 year bond	4.89	-0.08
Other (10 year yields)		
Germany	3.27	-0.06
Japan	2.82	0.04
UK	5.13	-0.13

Commodities	Current	Change
CRB Index	389.01	-2.3%
Gold	4063.51	3.4%
Copper	14011	-0.2%
Oil (WTI futures)	88.75	-7.6%
Coal (coking)	258.50	0.2%
Coal (thermal)	147.25	-1.1%
Iron Ore	91.85	1.3%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.04	-0.05
3 yr bond	4.69	-0.05
3 mth bill rate	4.77	0.00
SPI 200	9,025	1.9%

Data as at 7:30am AEDT. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

The Democrats swept the US mid-term elections, winning both houses of congress. Vice President Vance blamed the war with Iran for the result, and President Trump has stated he currently has no plans to strike Iran again. Oil responded decisively to these results and comments, driving a rebound in risk sentiment overnight.

- Share markets bounced significantly higher as oil prices dropped sharply in the wake of the Democratic sweep of congress. In the US, the S&P 500 (+1.7%), Dow Jones (+3.2%) and NASDAQ (+1.8%) all jumped. Moves were similar across the pond, the Euro Stoxx 50 (+2.0%) and London's FTSE 100 (+1.8%) both bouncing higher too. Stocks were mixed across Asia, given it pre-dated the sharp fall in oil overnight, with gains in Hong Kong (+1.7%), Shanghai (+2.3%) and Seoul (+0.6%) met with a decline in Tokyo (1.4%). The ASX 200 also fell 0.6% yesterday, but following the action overnight, futures markets are pointing to a strong open this morning.
- Treasuries rallied in response to the sharp drop in oil prices following the outcome of the US midterm elections, seeing the 2Y drop 6bps to 4.57%, while the 10Y fell 8bps to 4.89%. Given the timing and quantum of rate hikes expected by the market has not shifted materially – still around 20bps prices in for November, and another 1-2 rate hikes pencilled in by mid-2027 – the drop yields overnight appears to speak more to an unwind of an inflation risk premium rather than a curbing of interest rate hike expectations at this stage.
- Yields moved in a broadly similar direction offshore, the 10Y Bund and Gilt down 6bps and 13bps respectively, while the 10Y JGB rose 4bps as it pre-dating much of the price action overnight. ACGBs were steady during local trading but rallied in futures trading overnight, both the 3Y and 10Y down 5bps. Market pricing tentatively suggests that the RBA's rate hike earlier this week will be the last of the cycle, with no further moves more than 50% priced in through to late-2027.
- The USD slipped overnight, the DXY down 0.3% to around 101.5. Most G10 currencies appreciated versus the greenback, including the Euro (+0.3%), Yen (+0.1%), Sterling (+0.4%) and Loonie (+0.3%). The Aussie dollar rose by a stronger clip, up 0.6% to be back above the USD0.70 mark. The Kiwi dollar also jumped 0.6% to be back above USD0.56, recovering from the sell-off during local hours after the downside surprise on labour market data.
- Crude oil prices continued to drift lower through much of yesterday as early results trickled in, before dropping sharply overnight as markets digested the Democratic sweep in the mid-term elections and President Trump's comments that he does not have plans to strike Iran, both taken as signs that a quicker end to the conflict could now be in sight. Brent dropped 7.9% to US$95.4/bbl, the lowest level in about two months. Against the backdrop of a softer USD and lower real yields, gold prices managed to jump back above the US$4,000/oz mark overnight. Metals were much more stable meanwhile, LME copper and aluminium nudging 0.2% lower and 0.1% higher respectively.

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Trade Balance Sep	$1000m	$495m
11:30	JP S&P Global Services PMI Oct Final	-	52pts
21:00	EZ PPI Sep	2.6%	1.9%
23:00	GB BoE Policy Decision	4.00%	3.75%
0:30	US Productivity Q3 Prel.	2.6%	1.4%
0:30	US Initial Jobless Claims 31/10/2026	196k	194k

Times are AEDT. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

In the US, September's **trade balance** was slightly better than expected, holding to a deficit of US$105bn versus expectations for a modest deterioration. The result comes as exports rose 1.9% while imports gained 1.2%. Meanwhile, the **ISM services** index edged down from 54.9 to 54.5 in October. In the component detail, new orders deteriorated materially, the sub-index falling from 59.8 to 55.9; but employment strengthened at the margin, from 50.1 to 51.4. Prices paid were little changed in the month at an elevated 73.0.

In the Euro Area, October's **CPI** met expectations, rising 0.4% in the month and 4.0% over the year on a headline basis, versus 3.8%yr in September. On a core basis, inflation was unchanged at 2.5%yr.

Domestic Data

In Australia, **household spending** rose 0.6%mth in September on a nominal basis, though price gains look to have played a significant role, with real spending up 0.7%qtr in Q3 (see here).

In New Zealand, the Q3 **labour market statistics** came in weaker than Westpac and the RBNZ anticipated, as the unemployment rate rose to 5.7% (see here). Our NZ Chief Economist considers the impact of the data on the RBNZ here.

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1 year swap	4.95	-0.01
2 year swap	4.81	-0.05
3 year swap	4.73	-0.07
4 year swap	4.73	-0.07
5 year swap	4.75	-0.07
6 year swap	4.80	-0.08
7 year swap	4.84	-0.08
8 year swap	4.89	-0.08
9 year swap	4.94	-0.08
10 year swap	4.98	-0.08

Equities	Close	Change
S&P/ASX 200	8,834	-0.6%
S&P 500	7,698	1.7%
Japan Nikkei	62,189	-1.4%
Hang Seng	23,920	1.7%
Euro Stoxx 50	6,266	2.0%
UK FTSE100	10,829	1.8%
VIX Index	16.84	-19.2%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.75	0.00
10 year bond	5.08	0.00
United States		
3-month T Bill	4.02	0.00
2 year bond	4.57	-0.06
10 year bond	4.89	-0.08
Other (10 year yields)		
Germany	3.27	-0.06
Japan	2.82	0.04
UK	5.13	-0.13

Commodities	Current	Change
CRB Index	389.01	-2.3%
Gold	4063.51	3.4%
Copper	14011	-0.2%
Oil (WTI futures)	88.75	-7.6%
Coal (coking)	258.50	0.2%
Coal (thermal)	147.25	-1.1%
Iron Ore	91.85	1.3%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.04	-0.05
3 yr bond	4.69	-0.05
3 mth bill rate	4.77	0.00
SPI 200	9,025	1.9%

Data as at 7:30am AEDT. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

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- Share markets bounced significantly higher as oil prices dropped sharply in the wake of the Democratic sweep of congress. In the US, the S&P 500 (+1.7%), Dow Jones (+3.2%) and NASDAQ (+1.8%) all jumped. Moves were similar across the pond, the Euro Stoxx 50 (+2.0%) and London's FTSE 100 (+1.8%) both bouncing higher too. Stocks were mixed across Asia, given it pre-dated the sharp fall in oil overnight, with gains in Hong Kong (+1.7%), Shanghai (+2.3%) and Seoul (+0.6%) met with a decline in Tokyo (1.4%). The ASX 200 also fell 0.6% yesterday, but following the action overnight, futures markets are pointing to a strong open this morning.
- Treasuries rallied in response to the sharp drop in oil prices following the outcome of the US midterm elections, seeing the 2Y drop 6bps to 4.57%, while the 10Y fell 8bps to 4.89%. Given the timing and quantum of rate hikes expected by the market has not shifted materially – still around 20bps prices in for November, and another 1-2 rate hikes pencilled in by mid-2027 – the drop yields overnight appears to speak more to an unwind of an inflation risk premium rather than a curbing of interest rate hike expectations at this stage.
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- The USD slipped overnight, the DXY down 0.3% to around 101.5. Most G10 currencies appreciated versus the greenback, including the Euro (+0.3%), Yen (+0.1%), Sterling (+0.4%) and Loonie (+0.3%). The Aussie dollar rose by a stronger clip, up 0.6% to be back above the USD0.70 mark. The Kiwi dollar also jumped 0.6% to be back above USD0.56, recovering from the sell-off during local hours after the downside surprise on labour market data.
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Today's key data and events

Time	Event	Exp	Prev
11:30	AU Trade Balance Sep	$1000m	$495m
11:30	JP S&P Global Services PMI Oct Final	-	52pts
21:00	EZ PPI Sep	2.6%	1.9%
23:00	GB BoE Policy Decision	4.00%	3.75%
0:30	US Productivity Q3 Prel.	2.6%	1.4%
0:30	US Initial Jobless Claims 31/10/2026	196k	194k

Times are AEDT. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

In the US, September's **trade balance** was slightly better than expected, holding to a deficit of US$105bn versus expectations for a modest deterioration. The result comes as exports rose 1.9% while imports gained 1.2%. Meanwhile, the **ISM services** index edged down from 54.9 to 54.5 in October. In the component detail, new orders deteriorated materially, the sub-index falling from 59.8 to 55.9; but employment strengthened at the margin, from 50.1 to 51.4. Prices paid were little changed in the month at an elevated 73.0.

In the Euro Area, October's **CPI** met expectations, rising 0.4% in the month and 4.0% over the year on a headline basis, versus 3.8%yr in September. On a core basis, inflation was unchanged at 2.5%yr.

Domestic Data

In Australia, **household spending** rose 0.6%mth in September on a nominal basis, though price gains look to have played a significant role, with real spending up 0.7%qtr in Q3 (see here).

In New Zealand, the Q3 **labour market statistics** came in weaker than Westpac and the RBNZ anticipated, as the unemployment rate rose to 5.7% (see here). Our NZ Chief Economist considers the impact of the data on the RBNZ here.

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5 November 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

The Democrats swept the US mid-term elections, taking control of both houses of Congress, with Vice President Vance blaming the result on the war with Iran and President Trump stating that he currently has no plans to strike Iran again, raising hopes that a quicker end to the conflict could now be in sight.

Oil prices responded decisively to the election result and President Trump's comments, with Brent tumbling around 8% to US$95.4/bbl, its lowest level in around two months, as markets pared back some of the geopolitical risk premium built into crude.

The sharp fall in oil drove a rebound in risk sentiment, sending US and European equities markedly higher while Treasuries rallied, with the 2Y and 10Y yields falling 6bps and 8bps respectively as some of the inflation risk premium embedded in rates unwound.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.7	0.0%
AUD/USD	0.7008	0.6%
AUD/JPY	111.06	0.5%
AUD/GBP	0.5202	0.2%
AUD/NZD	1.2465	0.0%
AUD/EUR	0.6241	0.3%
AUD/CNH	4.6782	0.7%
AUD/SGD	0.8964	0.4%
AUD/HKD	5.4981	0.6%
AUD/CAD	0.9788	0.3%
EUR/USD	1.1229	0.3%
USD/JPY	158.48	-0.1%
USD Index	101.53	-0.3%

AUS Interest Rate Swaps	Last	Change
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Today's key data and events

Time	Event	Exp	Prev
11:30	AU Trade Balance Sep	$1000m	$495m
11:30	JP S&P Global Services PMI Oct Final	-	52pts
21:00	EZ PPI Sep	2.6%	1.9%
23:00	GB BoE Policy Decision	4.00%	3.75%
0:30	US Productivity Q3 Prel.	2.6%	1.4%
0:30	US Initial Jobless Claims 31/10/2026	196k	194k

Times are AEDT. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

In the US, September's **trade balance** was slightly better than expected, holding to a deficit of US$105bn versus expectations for a modest deterioration. The result comes as exports rose 1.9% while imports gained 1.2%. Meanwhile, the **ISM services** index edged down from 54.9 to 54.5 in October. In the component detail, new orders deteriorated materially, the sub-index falling from 59.8 to 55.9; but employment strengthened at the margin, from 50.1 to 51.4. Prices paid were little changed in the month at an elevated 73.0.

In the Euro Area, October's **CPI** met expectations, rising 0.4% in the month and 4.0% over the year on a headline basis, versus 3.8%yr in September. On a core basis, inflation was unchanged at 2.5%yr.

Domestic Data

In Australia, **household spending** rose 0.6%mth in September on a nominal basis, though price gains look to have played a significant role, with real spending up 0.7%qtr in Q3 (see here).

In New Zealand, the Q3 **labour market statistics** came in weaker than Westpac and the RBNZ anticipated, as the unemployment rate rose to 5.7% (see here). Our NZ Chief Economist considers the impact of the data on the RBNZ here.

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19 October 2026

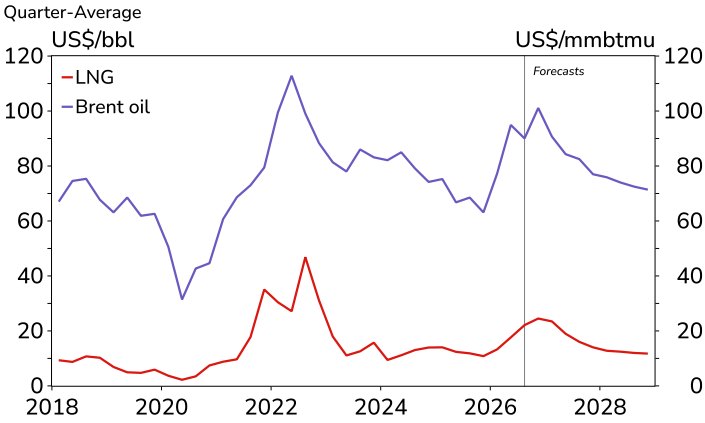
MIDDLE EAST BULLETIN

Persistent energy pressures have further to run

Key points

- Shipping disruptions, depleted inventories and elevated freight costs are keeping physical crude and fuel markets tight despite a reported recovery in Gulf exports.
- Brent is forecast to average US$101/bbl in Q4 before easing to US$77/bbl in Q4 2027.
- Refined product markets are expected to ease more slowly than crude, with elevated gasoil cracks, shipping and insurance costs slowing declines in petrol and diesel prices.
- Under an escalation scenario, renewed conflict and deeper supply disruptions could push Brent towards US$150/bbl in H1 2027, prolonging elevated fuel and LNG prices.
- Under an early resolution scenario, a durable US-Iran agreement accelerates supply recovery, taking Brent towards US$65/bbl by Q4 2027 and bringing fuel and LNG prices down faster.

Oil and LNG forecasts



Source: Bloomberg, Macrobond, Westpac Economics

Q4 2026 forecasts:

Brent crude US$101/bbl

Japanese LNG US$24.5/MMBtu

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Oil and fuel prices push higher ...

Sian Fenner, Head of Business & Industry Economics
Justin Smirk, Senior Economist
Luka Belobajdic, Economist

Low inventories and higher shipping costs will keep oil and fuel prices elevated, with Brent futures forecast to average US$101/bbl in Q4 before easing to US$77/bbl by Q4 2027 as supply recovers. Refined fuels and LNG prices should ease more slowly. Risks are two-sided: escalation could push Brent towards US$150/bbl, while an early US-Iran agreement could see a faster normalisation in supply with prices returning close to pre-conflict levels by end-2027.

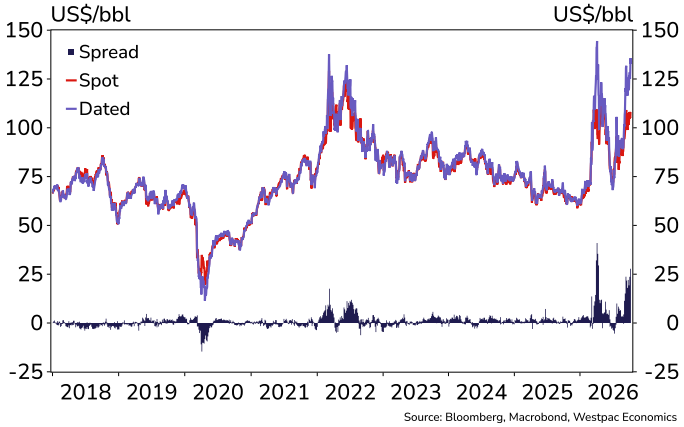
This article was first published in the October Market Outlook.

Brent crude is back above US$100/bbl on fading confidence in a lasting US-Iran agreement and intermittent attacks on shipping. Buffers remain depleted, with the IEA estimating global observed inventories were 507mb lower at the end of August than at the start of the conflict.

This comes despite reported crude exports through the Strait of Hormuz recovering to around 70% to 90% of pre-conflict levels in late September. Saudi and UAE exports through the Yanbu and Fujairah pipelines continue, with the East-West pipeline back to normal after the early September attacks. Tanker crossings have risen, although transponders remain switched off, leaving visible transit at 1% to 4% of pre-conflict levels, while cargo transfers in the Gulf of Oman have increased as an alternative route.

However, these workarounds are slower and more costly. Ship-to-ship transfers can take 5 to 10 days, US escorts through the Gulf via a route close to the Oman shoreline cause delays while some tankers are taking longer routes. Fewer ships are also available, with many redeployed to other markets. Higher insurance premiums are adding to costs, with Gulf-to-China tanker rates above US$0.9mn a day, around 15x higher than a year ago. With prompt barrels (available for physical delivery) scarce, the gap between physical and futures prices widened again, with Dated Brent around US$136/bbl in early October against US$101/bbl for front-month futures.

Spot and Dated Brent



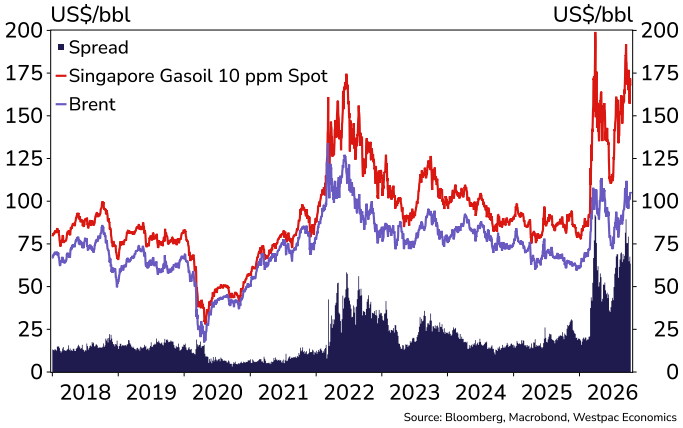
Source: Bloomberg, Macrobond, Westpac Economics

Refined prices have risen more than crude

Refined product markets were already tight going into the conflict. Reduced Gulf supply, exacerbated by Ukrainian strikes on Russian refineries, has added to that tightness. Together with higher shipping costs and rising Dated Brent prices, Singapore Gasoil 10ppm (diesel) has roughly doubled since the Strait closed, compared with around 40% for crude futures.

Consequently, Singapore gasoil crack spread widened to an average of around US$36.1/bbl in early October, from US$17.5/bbl across 2025. Alongside the Australian government's excise tax returning to normal, after it had been halved, this has lifted national diesel and petrol prices to around A$2.83/L and A$2.41/L.

Singapore gasoil crack remains elevated



Source: Bloomberg, Macrobond, Westpac Economics

Outlook

We do not see a lasting US-Iran agreement until at least mid-2027. In the meantime, we assume there will not be a return to full-scale military intervention. However, periodic Iranian attacks on ships and facilities are expected to continue, as will the US blockade of Iranian exports, keeping a supply risk premium in place. We look for Brent futures to average around US$101/bbl in Q4, then ease gradually as demand from refiners and governments to rebuild stocks partly offsets recovering supply. As the premium fades and the market moves into surplus in late 2027, we forecast Brent at around US$77/bbl in Q4 2027, easing towards US$70/bbl in 2028 as Middle East production fully recovers.

Oil balance to gradually improve over 2027

Global oil supply is expected to rise by 4.0mb/d (4.0%) to 103.7mb/d in 2027, following a 6.1% fall in 2026. Most of this reflects a gradual recovery in Gulf output, with Houthi

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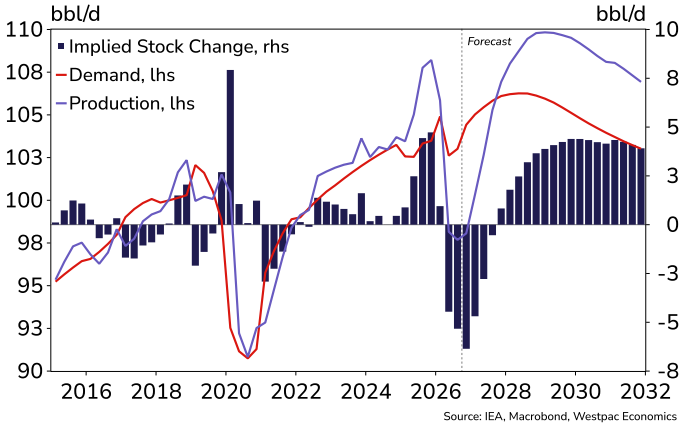
... and risks remain and while they are two sided ...

attacks on Red Sea shipping keeping Saudi production below its pre-conflict level until H2 2027. Meanwhile, we look for UAE production to continue to improve over 2027 and lift above pre-conflict levels from 2028, as it is no longer constrained by OPEC quotas. We do not expect a meaningful return of Iranian oil until an agreement is reached, and damage sustained during the conflict means production will take time to recover.

We expect global oil demand to be 103.7mb/d in 2026, 0.8mb/d (0.7%) higher than in 2025, and to rise a further 1.9mb/d (1.8%) to 105.6mb/d in 2027. Chinese crude imports will continue to recover over the coming months as refiners restock ahead of Lunar New Year, but we expect only a gradual return to pre-conflict levels, as the electrification of transport limits the recovery in Chinese demand. Globally, demand for diesel and jet fuel recovers as transport and aviation activity picks up, although some demand destruction and efficiency gains are expected to be permanent. The conflict has also highlighted strategic vulnerabilities, particularly across Asia, so we expect a push to rebuild reserves adding around 0.5% to demand over 2027.

Oil Production and Demand



Source: IEA, Macrobond, Westpac Economics

Fuel prices to ease more slowly than crude

Refined product supply is expected to recover more slowly than crude, with Gulf refinery runs not returning to pre-war levels until at least late 2027. Outside the Gulf, there has been some constructive news. The US has lifted sanctions on Russian diesel until April 2027, with Russia saying it will supply more than 4Mt over the coming months, while China has lifted its ban on refined product exports. However, we are cautious about how much this will add to the market in the short term. Much of the Russian supply is headed to the US and will depend on Russia's ability to restore refining and export capacity, while doubts remain over the Russia-Ukraine energy ceasefire announced by President Trump. China still manages exports through quotas, which are likely to increase only gradually as domestic stocks are rebuilt. Refinery runs should lift ahead of Lunar New Year, but any increase in exports will take time to reach regional markets.

With product supply recovering slowly and depleted inventories being rebuilt, Singapore gasoil crack is likely to stay above its long-run average even as Brent eases, narrowing from US$71/bbl in Q4 to US$27/bbl by Q4 2027. With Singapore Gas 10ppm prices, shipping and insurance costs to remain elevated and easing only gradually in 2027, we forecast Australian diesel to retail at an average of 274¢/L in Q4, easing to 200¢/L in Q4 2027, and petrol at 230¢/L and 187¢/L respectively.

LNG prices supported through 2027

Japanese LNG prices surged 15.2%mth in September, averaging US$25.4/MMBtu as supply disruptions in Qatar and its inability to divert exports around the Strait of Hormuz tightened markets and intensified competition between importers. While prices are now more than double pre-conflict levels, demand destruction across Asia is providing some offset to tight supply

Our Q4 forecast for Japanese LNG is now US$24.5/mmbtu and we expect the market to remain structurally tight, with supply recovery likely to be gradual and prices not returning to pre-conflict levels until around 2028. Still, Australia's domestic gas market should remain insulated, supported by the FY2027 Federal Budget's domestic gas reservation scheme, which requires exporters to supply the domestic market with the equivalent of up to 20% of gas exports. So far this year, despite the increase in LNG spot prices in Asia, Australian natural gas prices have remained under the $12 per GJ cap that has proposed by the Commonwealth government. We are expecting this to continue well into 2027.

Risks around our oil price outlook are two-sided

Talks are still ongoing in the background, with the US and Iran exchanging proposals to reopen the Strait, but the gap between them remains wide. The conflict has also expanded to the Red Sea and, with inventories sharply drawn down, there is a smaller buffer to absorb a further shock.

Using the Oxford Economics model, we assess an escalation scenario, where energy markets face a deeper and more persistent disruption as the conflict in the Middle East intensifies. In this case, Brent futures rise to around US$150/bbl in H1 2027, only dipping to below US$100/bbl in Q2 2028. We also consider an early resolution scenario, where shipping and Gulf supply normalise faster, returning Brent to near pre-conflict levels by end-2027.

Escalation scenario

In the escalation scenario we assume:

Talks stall and the conflict escalates: the gap between the US and Iran proves too wide and the US resumes strikes after the midterms. Iran responds with attacks on shipping and Gulf energy infrastructure, damaging export, storage and refining facilities. A lasting agreement is not reached until 2028.

Export routes are disrupted: more frequent attacks curtail dark crossings of the Strait and ship-to-ship transfers in the Gulf of Oman. Houthi attacks also cut off Saudi alternative routes, forcing Gulf producers to cut output and Middle East crude exports sharply lower. New routes and shipping arrangements eventually support a recovery in Gulf flows, but trade patterns take time to adjust.

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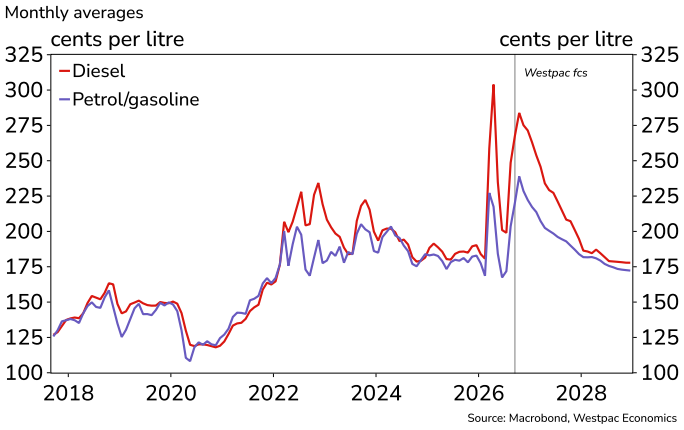
... the upside presents a more dramatic shift in prices

Product supply fails to recover: The Russia–Ukraine energy ceasefire does not hold and strikes on Russian refineries continue, limiting how much diesel Russia can export, even with the US sanctions waiver extended. China also reintroduces its export ban to protect domestic supply.

Oil prices lift to around US$150/bbl in H1 2027: With little buffer to absorb the supply loss, competition for physical delivery intensifies, with physical prices well above futures as prompt barrels remain scarce. Higher prices support supply growth outside OPEC and drive demand destruction, alongside further emergency stock releases, but a deeper and more prolonged global deficit remains. Brent stays above US$100/bbl until mid-2028 as governments rebuild reserves.

Australian pump prices for auto fuel



The Singapore gasoil crack widens and, with freight and insurance costs also higher, Australian diesel and petrol prices average around 247 cpl and 231 cpl at end 2027. Japanese LNG also remains elevated around US$23.2/MMBtu in Q4 2027, $9.1 above our baseline.

Early resolution scenario

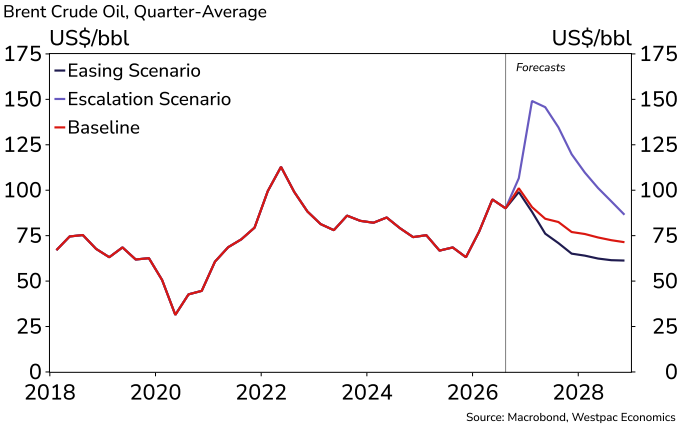
In the early resolution scenario we assume:

A durable agreement: The US and Iran agree terms to reopen the Strait by the end of year, and, unlike the June interim deal, the agreement holds, with progress towards a permanent settlement in early 2027. Attacks on shipping cease and the US blockade is lifted, allowing Iranian oil back into the market, initially from storage. Vessels are quickly repositioned to the Gulf, with freight and war-risk insurance easing from early 2027 rather than mid-year.

A faster recovery in supply: With export routes secure, Gulf production and damaged refinery and export capacity recover sooner than in the baseline. Outside the Gulf, the US extends its waiver on Russian diesel beyond April 2027 and China raises export quotas as domestic stocks are rebuilt.

Demand settles below pre-conflict trend: Some demand destruction and efficiency gains persist, particularly in China. With inventories rebuilding faster, government restocking is smaller and more gradual than in the baseline.

Oil Price Scenarios



Prices fall quickly, but restocking provides a floor: Brent Brent futures ease to around US$88/bbl in Q1 2027 as the premium for prompt physical barrels unwinds. As the market moves into balance, Brent eases to around US$65/bbl by Q4 2027, close to pre-conflict levels.

Refined product prices ease faster on lower freight costs with the Singapore gasoil crack narrowing. Australian diesel and petrol prices fall to around 182 cpl and 170 cpl by Q4 2027. Gas markets also ease, although damage to Qatar's gas facility means export capacity recovers gradually. Japanese LNG falls to around US$11.9/MMBtu by end-2027, $2.1 below our baseline.

Economic impact

In the escalation scenario, higher fuel costs flow through to transport, food and other energy-intensive goods such as plastics and fertilisers. Australian headline CPI remains above 4.5% for much of 2027, with underlying inflation remaining sticky at above 3% until late 2028. The RBA faces a difficult trade off between much higher inflation and a significant hit to activity, as households cut discretionary spending and businesses defer investment. Higher LNG export earnings provide only a moderate offset. In the early resolution scenario, headline inflation is around 0.1ppt below the baseline in 2027.

New Zealand is more exposed in both scenarios, with food and energy a larger share of its CPI and no offsetting energy exports. Headline inflation is around 1ppt higher in the escalation scenario in Q1 2027.

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Cliff Notes: whiplash

#cliffnotes #rba #australia #inflation #us #fomc #ecb #aud #usd

By Ryan Wells & Elliot Clarke

11:20 November 06 2026

Share

Key insights from the week that was.

In Australia, the RBA delivered another 25bp rate increase at its November meeting, taking the cash rate to 4.85%. The move was widely expected, reflecting the Board's continued concern around inflation following the recent run higher in global energy prices, firmer domestic capacity pressures and signs that inflation expectations have edged up. Inflation is now not expected to return to the mid-point of the target band until mid-2028. This is despite weaker growth expectations and the unemployment

rate trending up to 5.1% by end-2028 on the RBA's forecasts.

Importantly, though, the decision was not unanimous, with three members preferring to remain on hold given downside risks to activity and the restraining influence of slower growth. Governor Bullock's suggestion that it was time to "take stock" after five rate increases also struck a less hawkish note, while the statement dropped September's explicit reference to raising rates further "if needed". In our view, February represents the next plausible opportunity for another hike, but we see this only as a risk.

Policy's effect on housing is becoming increasingly visible. Cotality home prices fell a further 1.2% in October to now be 6.7% below March's peak. The cumulative price decline is approaching the scale of previous housing corrections but appears to have regained momentum after September's rate increase. Dwelling approvals saw a 5.1% headline gain in September, but this was driven by volatile unit approvals while detached house approvals fell sharply, suggesting higher rates and the established-market downturn are beginning to weigh on the construction pipeline.

Official data on nominal household spending meanwhile rose 0.6% in September and 2.1% for Q3; however, much of the recent acceleration looks to be price-driven, particularly for fuel. Real spending volumes expanded by a much more modest (but still solid) 0.7% in Q3.

The Westpac-DataX Consumer Panel provides a granular look at income, spending and saving flows. The latest update suggests that, beneath the resilient headline story, households are increasingly being squeezed, particularly those with low savings buffers. With another rate increase now delivered, housing wealth declining and sentiment weak, Q3 increasingly looks like the high-water mark for growth in consumer spending.

Lastly for Australia, in September the goods trade surplus widened sharply to $2.8bn, with non-monetary gold trade yet again adding considerable noise month-to-month. The most notable development was another exceptionally strong result for data-processing equipment imports, taking the Q3 total to $11.1bn. This is another clear marker of the scale of Australia's data-centre investment boom, which should feature prominently in both business investment and imports in the Q3 National Accounts.

Offshore, the world has been focused on the US mid-term elections. In the House, Senate and a series of State Governor races, the Democrats experienced resounding victory. Come 2027, the Democrats will have a comfortable majority in both houses of Congress and are expected to make use of this strength to respond to voter concerns, particularly over cost-of-living pressures. The election result also limits President Trump's ability to fund an extended military action against Iran. Notably, both immediately before and after the election, President Trump and the administration have exhibited a greater interest in furthering negotiations with Iran. It is therefore not a surprise that Brent oil has backed off its most recent highs around USD118 last Friday, although the scale of the drop to near USD93 yesterday is arguably too optimistic. Brent has since traded back up to above USD99, still 16% below Friday's peak.

While the initial reaction to the US election result was a robust broad-based rally in major equity indexes, concerns over the potential for tighter regulation of AI and the related infrastructure buildout

jolted US equities lower overnight – the Nasdaq falling 5.5% and S&P500 4.4%, both a multiple of the prior session's gains. That said, US term interest rates and FOMC rate expectations have also been scaled back; so, while tech may come under greater scrutiny, a foundation for better outcomes across the rest of the US economy may become evident in time. US data out this week continued to suggest their economy is in robust health overall. And, if tensions in the Middle East abate, the FOMC's concerns over US inflation should subside. Gaining enough comfort for the FOMC to not hike in December is a high bar, but the probability of further hikes in 2027 should continue to fall.

Turning then to the UK, the Bank of England raised Bank Rate by 25bps to 4.00% at their November meeting as expected. On the Bank's baseline expectation, UK inflation is forecast to rise from 3.5%yr at September to 5.00% by mid-2027. Activity data has also surprised to the upside in recent months, though "there remains limited evidence of knock-on effects on other prices and wages".

In the press conference, Governor Bailey recognised the nascent improvement in energy price pressures over the past 48 hours and the effectiveness of monetary policy but also conveyed that "Unless progress towards resolving the conflict is made, or there is other news which softens the risk to inflationary pressures, a further increase in Bank Rate may be warranted". Governor Bailey's tone and comments made in the minutes by other Committee members did not suggest this was a decision that needs to be made in December, but rather a risk to be judged as additional information is received. This points to further tightening being more likely in early 2027 than before, and only if conditions / risks warrant.

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5 November 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

The Democrats swept the US mid-term elections, taking control of both houses of Congress, with Vice President Vance blaming the result on the war with Iran and President Trump stating that he currently has no plans to strike Iran again, raising hopes that a quicker end to the conflict could now be in sight.

Oil prices responded decisively to the election result and President Trump's comments, with Brent tumbling around 8% to US$95.4/bbl, its lowest level in around two months, as markets pared back some of the geopolitical risk premium built into crude.

The sharp fall in oil drove a rebound in risk sentiment, sending US and European equities markedly higher while Treasuries rallied, with the 2Y and 10Y yields falling 6bps and 8bps respectively as some of the inflation risk premium embedded in rates unwound.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.7	0.0%
AUD/USD	0.7008	0.6%
AUD/JPY	111.06	0.5%
AUD/GBP	0.5202	0.2%
AUD/NZD	1.2465	0.0%
AUD/EUR	0.6241	0.3%
AUD/CNH	4.6782	0.7%
AUD/SGD	0.8964	0.4%
AUD/HKD	5.4981	0.6%
AUD/CAD	0.9788	0.3%
EUR/USD	1.1229	0.3%
USD/JPY	158.48	-0.1%
USD Index	101.53	-0.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.85	0.05
90 day BBSY	4.98	0.02
180 day BBSY	5.32	0.01
1 year swap	4.95	-0.01
2 year swap	4.81	-0.05
3 year swap	4.73	-0.07
4 year swap	4.73	-0.07
5 year swap	4.75	-0.07
6 year swap	4.80	-0.08
7 year swap	4.84	-0.08
8 year swap	4.89	-0.08
9 year swap	4.94	-0.08
10 year swap	4.98	-0.08

Equities	Close	Change
S&P/ASX 200	8,834	-0.6%
S&P 500	7,698	1.7%
Japan Nikkei	62,189	-1.4%
Hang Seng	23,920	1.7%
Euro Stoxx 50	6,266	2.0%
UK FTSE100	10,829	1.8%
VIX Index	16.84	-19.2%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.75	0.00
10 year bond	5.08	0.00
United States		
3-month T Bill	4.02	0.00
2 year bond	4.57	-0.06
10 year bond	4.89	-0.08
Other (10 year yields)		
Germany	3.27	-0.06
Japan	2.82	0.04
UK	5.13	-0.13

Commodities	Current	Change
CRB Index	389.01	-2.3%
Gold	4063.51	3.4%
Copper	14011	-0.2%
Oil (WTI futures)	88.75	-7.6%
Coal (coking)	258.50	0.2%
Coal (thermal)	147.25	-1.1%
Iron Ore	91.85	1.3%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.04	-0.05
3 yr bond	4.69	-0.05
3 mth bill rate	4.77	0.00
SPI 200	9,025	1.9%

Data as at 7:30am AEDT. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

The Democrats swept the US mid-term elections, winning both houses of congress. Vice President Vance blamed the war with Iran for the result, and President Trump has stated he currently has no plans to strike Iran again. Oil responded decisively to these results and comments, driving a rebound in risk sentiment overnight.

- Share markets bounced significantly higher as oil prices dropped sharply in the wake of the Democratic sweep of congress. In the US, the S&P 500 (+1.7%), Dow Jones (+3.2%) and NASDAQ (+1.8%) all jumped. Moves were similar across the pond, the Euro Stoxx 50 (+2.0%) and London's FTSE 100 (+1.8%) both bouncing higher too. Stocks were mixed across Asia, given it pre-dated the sharp fall in oil overnight, with gains in Hong Kong (+1.7%), Shanghai (+2.3%) and Seoul (+0.6%) met with a decline in Tokyo (1.4%). The ASX 200 also fell 0.6% yesterday, but following the action overnight, futures markets are pointing to a strong open this morning.
- Treasuries rallied in response to the sharp drop in oil prices following the outcome of the US midterm elections, seeing the 2Y drop 6bps to 4.57%, while the 10Y fell 8bps to 4.89%. Given the timing and quantum of rate hikes expected by the market has not shifted materially – still around 20bps prices in for November, and another 1-2 rate hikes pencilled in by mid-2027 – the drop yields overnight appears to speak more to an unwind of an inflation risk premium rather than a curbing of interest rate hike expectations at this stage.
- Yields moved in a broadly similar direction offshore, the 10Y Bund and Gilt down 6bps and 13bps respectively, while the 10Y JGB rose 4bps as it pre-dating much of the price action overnight. ACGBs were steady during local trading but rallied in futures trading overnight, both the 3Y and 10Y down 5bps. Market pricing tentatively suggests that the RBA's rate hike earlier this week will be the last of the cycle, with no further moves more than 50% priced in through to late-2027.
- The USD slipped overnight, the DXY down 0.3% to around 101.5. Most G10 currencies appreciated versus the greenback, including the Euro (+0.3%), Yen (+0.1%), Sterling (+0.4%) and Loonie (+0.3%). The Aussie dollar rose by a stronger clip, up 0.6% to be back above the USD0.70 mark. The Kiwi dollar also jumped 0.6% to be back above USD0.56, recovering from the sell-off during local hours after the downside surprise on labour market data.
- Crude oil prices continued to drift lower through much of yesterday as early results trickled in, before dropping sharply overnight as markets digested the Democratic sweep in the mid-term elections and President Trump's comments that he does not have plans to strike Iran, both taken as signs that a quicker end to the conflict could now be in sight. Brent dropped 7.9% to US$95.4/bbl, the lowest level in about two months. Against the backdrop of a softer USD and lower real yields, gold prices managed to jump back above the US$4,000/oz mark overnight. Metals were much more stable meanwhile, LME copper and aluminium nudging 0.2% lower and 0.1% higher respectively.

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Trade Balance Sep	$1000m	$495m
11:30	JP S&P Global Services PMI Oct Final	-	52pts
21:00	EZ PPI Sep	2.6%	1.9%
23:00	GB BoE Policy Decision	4.00%	3.75%
0:30	US Productivity Q3 Prel.	2.6%	1.4%
0:30	US Initial Jobless Claims 31/10/2026	196k	194k

Times are AEDT. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

In the US, September's **trade balance** was slightly better than expected, holding to a deficit of US$105bn versus expectations for a modest deterioration. The result comes as exports rose 1.9% while imports gained 1.2%. Meanwhile, the **ISM services** index edged down from 54.9 to 54.5 in October. In the component detail, new orders deteriorated materially, the sub-index falling from 59.8 to 55.9; but employment strengthened at the margin, from 50.1 to 51.4. Prices paid were little changed in the month at an elevated 73.0.

In the Euro Area, October's **CPI** met expectations, rising 0.4% in the month and 4.0% over the year on a headline basis, versus 3.8%yr in September. On a core basis, inflation was unchanged at 2.5%yr.

Domestic Data

In Australia, **household spending** rose 0.6%mth in September on a nominal basis, though price gains look to have played a significant role, with real spending up 0.7%qtr in Q3 (see here).

In New Zealand, the Q3 **labour market statistics** came in weaker than Westpac and the RBNZ anticipated, as the unemployment rate rose to 5.7% (see here). Our NZ Chief Economist considers the impact of the data on the RBNZ here.

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5 November 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

The Democrats swept the US mid-term elections, taking control of both houses of Congress, with Vice President Vance blaming the result on the war with Iran and President Trump stating that he currently has no plans to strike Iran again, raising hopes that a quicker end to the conflict could now be in sight.

Oil prices responded decisively to the election result and President Trump's comments, with Brent tumbling around 8% to US$95.4/bbl, its lowest level in around two months, as markets pared back some of the geopolitical risk premium built into crude.

The sharp fall in oil drove a rebound in risk sentiment, sending US and European equities markedly higher while Treasuries rallied, with the 2Y and 10Y yields falling 6bps and 8bps respectively as some of the inflation risk premium embedded in rates unwound.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.7	0.0%
AUD/USD	0.7008	0.6%
AUD/JPY	111.06	0.5%
AUD/GBP	0.5202	0.2%
AUD/NZD	1.2465	0.0%
AUD/EUR	0.6241	0.3%
AUD/CNH	4.6782	0.7%
AUD/SGD	0.8964	0.4%
AUD/HKD	5.4981	0.6%
AUD/CAD	0.9788	0.3%
EUR/USD	1.1229	0.3%
USD/JPY	158.48	-0.1%
USD Index	101.53	-0.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.85	0.05
90 day BBSY	4.98	0.02
180 day BBSY	5.32	0.01
1 year swap	4.95	-0.01
2 year swap	4.81	-0.05
3 year swap	4.73	-0.07
4 year swap	4.73	-0.07
5 year swap	4.75	-0.07
6 year swap	4.80	-0.08
7 year swap	4.84	-0.08
8 year swap	4.89	-0.08
9 year swap	4.94	-0.08
10 year swap	4.98	-0.08

Equities	Close	Change
S&P/ASX 200	8,834	-0.6%
S&P 500	7,698	1.7%
Japan Nikkei	62,189	-1.4%
Hang Seng	23,920	1.7%
Euro Stoxx 50	6,266	2.0%
UK FTSE100	10,829	1.8%
VIX Index	16.84	-19.2%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.75	0.00
10 year bond	5.08	0.00
United States		
3-month T Bill	4.02	0.00
2 year bond	4.57	-0.06
10 year bond	4.89	-0.08
Other (10 year yields)		
Germany	3.27	-0.06
Japan	2.82	0.04
UK	5.13	-0.13

Commodities	Current	Change
CRB Index	389.01	-2.3%
Gold	4063.51	3.4%
Copper	14011	-0.2%
Oil (WTI futures)	88.75	-7.6%
Coal (coking)	258.50	0.2%
Coal (thermal)	147.25	-1.1%
Iron Ore	91.85	1.3%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.04	-0.05
3 yr bond	4.69	-0.05
3 mth bill rate	4.77	0.00
SPI 200	9,025	1.9%

Data as at 7:30am AEDT. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

The Democrats swept the US mid-term elections, winning both houses of congress. Vice President Vance blamed the war with Iran for the result, and President Trump has stated he currently has no plans to strike Iran again. Oil responded decisively to these results and comments, driving a rebound in risk sentiment overnight.

- Share markets bounced significantly higher as oil prices dropped sharply in the wake of the Democratic sweep of congress. In the US, the S&P 500 (+1.7%), Dow Jones (+3.2%) and NASDAQ (+1.8%) all jumped. Moves were similar across the pond, the Euro Stoxx 50 (+2.0%) and London's FTSE 100 (+1.8%) both bouncing higher too. Stocks were mixed across Asia, given it pre-dated the sharp fall in oil overnight, with gains in Hong Kong (+1.7%), Shanghai (+2.3%) and Seoul (+0.6%) met with a decline in Tokyo (1.4%). The ASX 200 also fell 0.6% yesterday, but following the action overnight, futures markets are pointing to a strong open this morning.
- Treasuries rallied in response to the sharp drop in oil prices following the outcome of the US midterm elections, seeing the 2Y drop 6bps to 4.57%, while the 10Y fell 8bps to 4.89%. Given the timing and quantum of rate hikes expected by the market has not shifted materially – still around 20bps prices in for November, and another 1-2 rate hikes pencilled in by mid-2027 – the drop yields overnight appears to speak more to an unwind of an inflation risk premium rather than a curbing of interest rate hike expectations at this stage.
- Yields moved in a broadly similar direction offshore, the 10Y Bund and Gilt down 6bps and 13bps respectively, while the 10Y JGB rose 4bps as it pre-dating much of the price action overnight. ACGBs were steady during local trading but rallied in futures trading overnight, both the 3Y and 10Y down 5bps. Market pricing tentatively suggests that the RBA's rate hike earlier this week will be the last of the cycle, with no further moves more than 50% priced in through to late-2027.
- The USD slipped overnight, the DXY down 0.3% to around 101.5. Most G10 currencies appreciated versus the greenback, including the Euro (+0.3%), Yen (+0.1%), Sterling (+0.4%) and Loonie (+0.3%). The Aussie dollar rose by a stronger clip, up 0.6% to be back above the USD0.70 mark. The Kiwi dollar also jumped 0.6% to be back above USD0.56, recovering from the sell-off during local hours after the downside surprise on labour market data.
- Crude oil prices continued to drift lower through much of yesterday as early results trickled in, before dropping sharply overnight as markets digested the Democratic sweep in the mid-term elections and President Trump's comments that he does not have plans to strike Iran, both taken as signs that a quicker end to the conflict could now be in sight. Brent dropped 7.9% to US$95.4/bbl, the lowest level in about two months. Against the backdrop of a softer USD and lower real yields, gold prices managed to jump back above the US$4,000/oz mark overnight. Metals were much more stable meanwhile, LME copper and aluminium nudging 0.2% lower and 0.1% higher respectively.

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Trade Balance Sep	$1000m	$495m
11:30	JP S&P Global Services PMI Oct Final	-	52pts
21:00	EZ PPI Sep	2.6%	1.9%
23:00	GB BoE Policy Decision	4.00%	3.75%
0:30	US Productivity Q3 Prel.	2.6%	1.4%
0:30	US Initial Jobless Claims 31/10/2026	196k	194k

Times are AEDT. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

In the US, September's **trade balance** was slightly better than expected, holding to a deficit of US$105bn versus expectations for a modest deterioration. The result comes as exports rose 1.9% while imports gained 1.2%. Meanwhile, the **ISM services** index edged down from 54.9 to 54.5 in October. In the component detail, new orders deteriorated materially, the sub-index falling from 59.8 to 55.9; but employment strengthened at the margin, from 50.1 to 51.4. Prices paid were little changed in the month at an elevated 73.0.

In the Euro Area, October's **CPI** met expectations, rising 0.4% in the month and 4.0% over the year on a headline basis, versus 3.8%yr in September. On a core basis, inflation was unchanged at 2.5%yr.

Domestic Data

In Australia, **household spending** rose 0.6%mth in September on a nominal basis, though price gains look to have played a significant role, with real spending up 0.7%qtr in Q3 (see here).

In New Zealand, the Q3 **labour market statistics** came in weaker than Westpac and the RBNZ anticipated, as the unemployment rate rose to 5.7% (see here). Our NZ Chief Economist considers the impact of the data on the RBNZ here.

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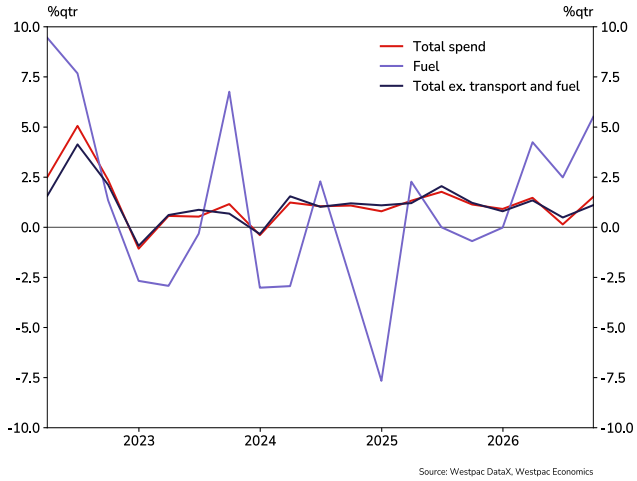
3 November 2026

CONSUMER PANEL Q3 2026
MORE RESILIENCE

Powered by DataX

- Average consumer spend across the **Westpac-DataX Consumer Panel** remained resilient, rising 1.5% in Q3 and 4.6%yr.
- While some of this reflected a price-driven surge in fuel spend (+0.3%qtr) discretionary categories also posted robust gains (contributing 0.9ppts to the headline rise) with non-fuel essential categories contributing positively as well (+0.5ptps).
- Households continued to add to savings and buffers. Savings rose 1.3%qtr, led by younger households and mortgagors, with average savings buffers increasing to 22.2 months of mortgage repayments.
- The detail shows financial pressures remain uneven but spending patterns appear to be converging across consumers with low, medium and high buffers. Much of this appears to relate to a reduction in fuel consumption.

Fuel and non-fuel spending lift



Source: Westpac DataX, Westpac Economics

Westpac–DataX Consumer Panel

The Westpac–DataX Consumer Panel is a large dataset that gives a timely and detailed picture of Australian consumer finances and behaviour. Developed by DataX, Westpac's data analytics team, the dataset links transaction activity with balance sheet information to give a complete view of income, spending, saving and borrowing flows.

All data is de-identified and aggregated to ensure privacy. The resulting sample of over one million customers gives an accurate representation of trends across the wider Australian consumer and is perfectly suited to quickly tracing responses to events like interest rate moves and energy price shocks.

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Solid rise in non-fuel spend and financial buffers

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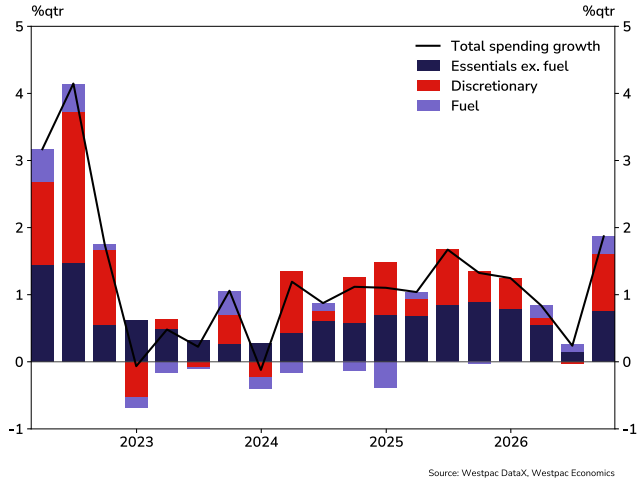
The Westpac DataX Consumer Panel shows average consumer spending remained resilient in Q3, rising 1.5% despite a further lift in fuel costs. Fuel contributed 0.3ppts to quarterly growth, but discretionary spending did more of the heavy lifting, contributing 0.9ppts as recreation and travel-related spending recovered. Households also continued to add to their financial buffers: savings up 1.3% in the quarter and average buffers across households with a mortgage increasing to 22.2 months of repayments. Beneath the aggregate picture, lower-buffer households remain more exposed to higher fuel costs and mortgage repayments, but their discretionary spending share is looking increasingly similar to other households.

Spending holds up despite higher fuel costs

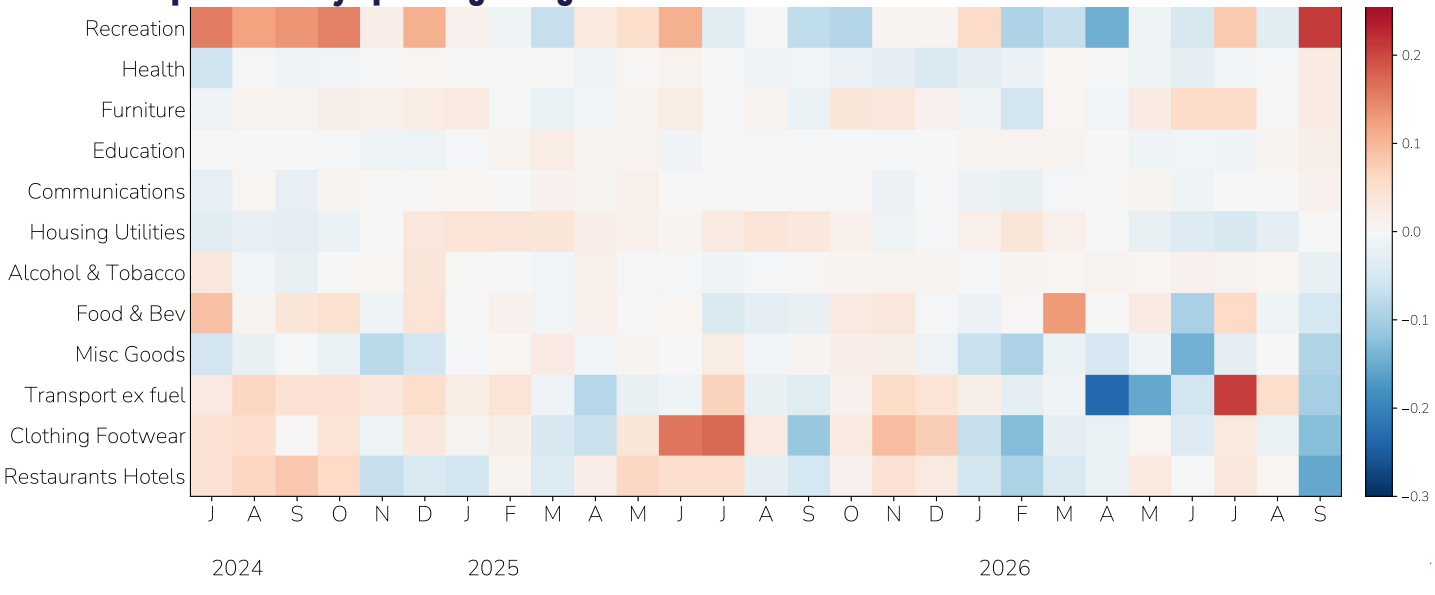
Average household spending increased 1.5% in Q3, with much of the strength again driven by transport-related spending. Fuel contributed 0.3ppts to quarterly growth, while transport excluding fuel contributed a further 0.4ppts. Excluding the direct effects of the price-driven lift in fuel, average spend was up 1.2%qtr. Importantly, stronger fuel spending did not come at the expense of discretionary purchases. Discretionary categories contributed 0.9ppts to quarterly spending growth, compared with 0.5ppts from non-fuel essentials.

Discretionary spending dominates



Recreation and culture contributed 0.3ppts to growth, reflecting stronger spending on sporting services, while restaurants and hotels added a further 0.2ppts. Transport spending was also boosted by a rebound in airline expenditure, which more than unwound the weakness recorded in Q2 when refunds relating to cancellations due to conflict in the Middle East weighed on the category. Discretionary spending rose 0.9%qtr, following a flat result and a 0.1% rise in the previous two quarters.

Heatmap of monthly spending categories



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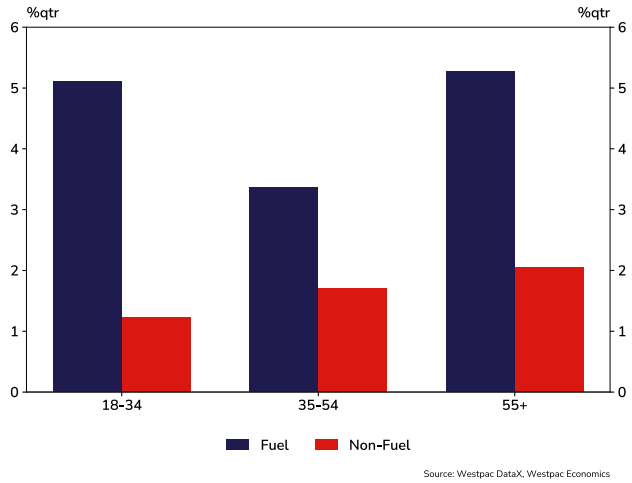
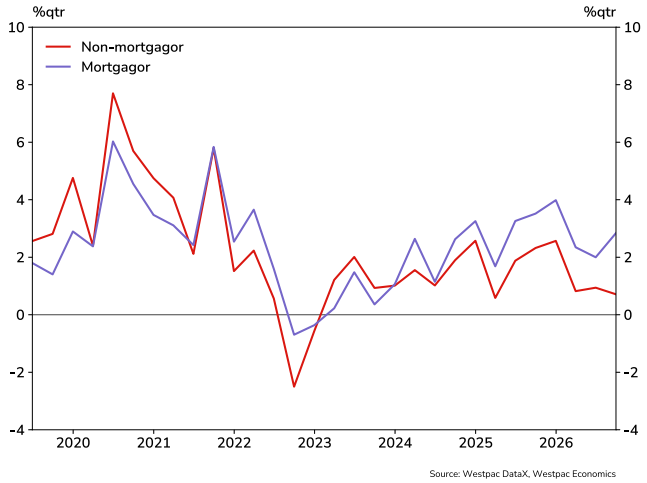
Fuel spending a clear drag on consumers



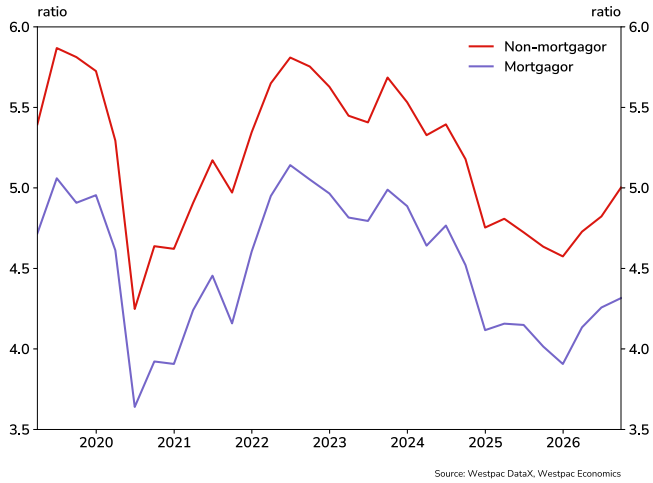
Source: Westpac DataX, Westpac Economics

Savings growth by mortgage status



Source: Westpac DataX, Westpac Economics

Fuel spending as a share of total spending



Source: Westpac DataX, Westpac Economics

Spending outcomes continued to vary across age groups.

The squeeze remains most apparent among younger households. Fuel spending rose 5.1%qtr for 18–34 year olds, against a 1.5%qtr increase in non-fuel spending. By contrast, non-fuel spending increased 2.1%qtr among households aged 55 and over.

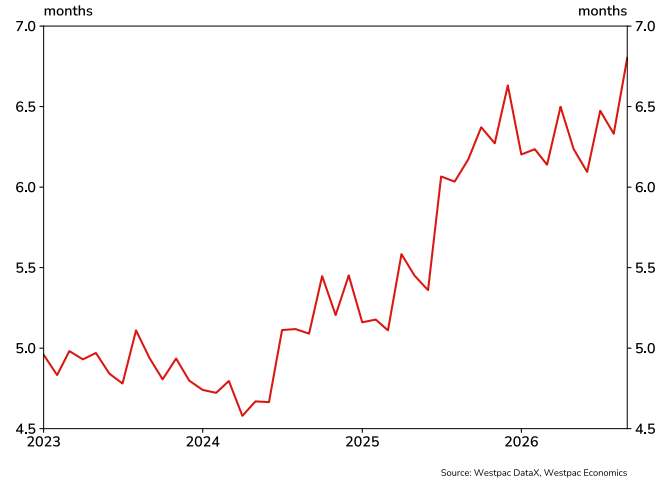
The gap between mortgagors and non-mortgagors was more modest. Spending rose 1.6%qtr among mortgagors and 1.9%qtr among those without a mortgage, suggesting mortgage status alone masks considerable variation in household financial positions – a divide that becomes clearer when households are grouped by the size of their mortgage buffers (see discussion further on in this note). Note that 'non mortgagors' covers a diverse range of consumers including those that are renting and those that own their homes without a mortgage.

Households continue to rebuild savings

Savings increased 1.3% in Q3, with the strongest gains again recorded among younger households. Savings balances for 18–34 year olds increased 2.0%qtr, compared with 0.7% for those aged 55 and over. Mortgagors also continued to accumulate savings more rapidly, recording a 2.8% increase compared with 0.7% among non-mortgagors. Savings growth among mortgagors has now outpaced non-mortgagors for three consecutive years.

Stronger savings have continued to lift mortgage buffers. Average buffers (savings divided by the sum of essential expenses and minimum mortgage repayments), increased to 22.2 months of repayments in September. Looking within the unit-record sample, median mortgage buffers jumped from 6.3 months in August to 6.8 months, its highest level since the series began in 2019.

Median mortgage buffers



Source: Westpac DataX, Westpac Economics

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This suggests that in aggregate, household balance sheets are looking healthy. The picture is a little at odds with the very weak reads on our **Westpac-Melbourne Index Consumer Sentiment Index** which suggests finances are coming under much more pressure. The fact that both average spending and saving both rose suggests incomes over the quarter were not overly stretched and that more of the weakness in sentiment may relate to concerns about the outlook (something that may also be encouraging consumers to build buffers now, while they still can).

Pressures intense for low-buffer households

Aggregate buffer measures mask sizeable differences across mortgagors. We can get a sense of these variations by combining mortgagors into three broad groups according to buffer size, i.e. low, middle and high buffer groups. This shows that households with the smallest buffers are also more exposed to both interest rates and fuel costs.

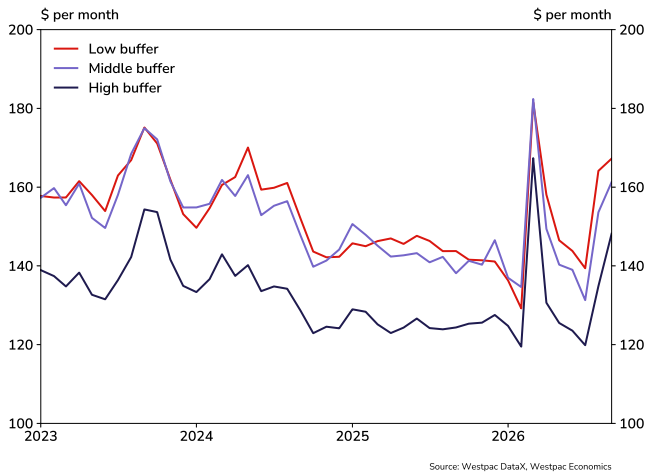
The buffer differences are relatively stark, the median savings of the low-buffer group just $2k compared to $15k for the middle-buffer group and $95k for the high buffer group.

Low buffer households face median minimum mortgage repayments of around $2,600 a month, compared with $2,400 for the middle buffer group and $2,200 for the highest-buffer group.

Low buffer households also spend more on fuel, at around $170 a month compared with $160 for the middle buffer group and $150 for the high buffer group.

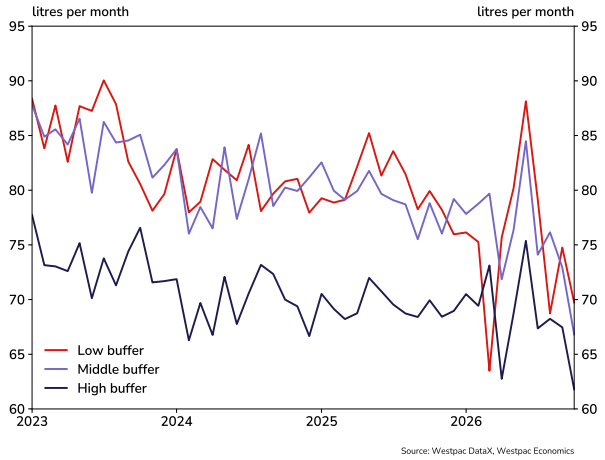
We can use average pump prices to estimate what this expenditure implies for fuel volumes. Low-buffer households consume around 70 litres a month, middle-buffer households 67 litres a month and the high-buffer group around 62 litres. This compares to an average of 81, 80 and 70 respectively through 2024-25.

Median fuel spend by customer



Source: Westpac DataX, Westpac Economics

Median litres of fuel consumed



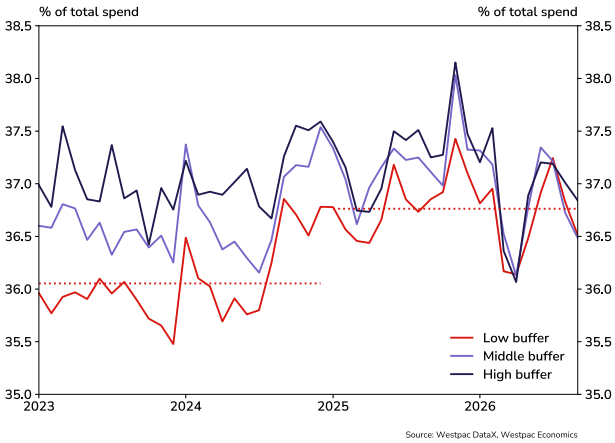
Source: Westpac DataX, Westpac Economics

More importantly, their consumption appears to be less responsive to price movements. During periods of cheaper fuel, high-buffer households show a noticeably larger lift in litres purchased, consistent with stockpiling when prices are favourable. Low-buffer households show much less of this response, while their fuel volumes have also adjusted less during the recent increase in fuel costs.

The spending data show the consequence. Fuel expenditure has risen sharply across all three groups recently, but remains highest among low-buffer households, where it also absorbs a larger share of total spending. Food spending has also declined since 2023. This may partly reflect households economising within the category, including switching towards cheaper or home-brand products, although further work is needed to test this.

Taken together, the households with the smallest savings cushions face higher mortgage repayments, spend more on fuel and appear to have less scope to adjust their fuel consumption when prices change.

Discretionary spend as a share of total



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Yet despite this greater exposure, the gap in broader spending behaviour has narrowed. High-buffer households continue to spend more on discretionary categories, averaging around $1,940 a month compared with $1,740 for low-buffer households. However, their discretionary share has been broadly stable since 2023, while the shares of low- and middle-buffer households have risen by close to a percentage point bringing them more in line with the high-buffer group.

Some of the convergence reflects a longer run down-trend in fuel spending that has been more pronounced amongst low and middle buffer households. This lowering in fuel spend lifts the share available for other categories.

Essential spending excluding fuel, meanwhile, has changed little across the three cohorts since 2023. The shift in spending patterns has largely occurred on the discretionary side.

The result is a somewhat mixed picture. Low-buffer households remain considerably more exposed to mortgage and fuel costs and have far smaller savings cushions. But their discretionary spending has nevertheless moved closer to that of better-buffered households, suggesting some recovery in spending flexibility despite these constraints.

Conclusion

Aggregate household finances remain resilient: spending and savings both increased in Q3 and mortgage buffers continued to rebuild. Discretionary spending has also held up despite the sharp increase in fuel costs.

But aggregate resilience masks a much more uneven distribution of pressure. Low-buffer households simultaneously face higher mortgage repayments, greater fuel exposure and much smaller savings cushions. While these households have so far maintained discretionary spending, their capacity to absorb further pressure is clearly more limited.

About the Westpac-DataX Consumer Panel

Developed by DataX, Westpac's data analytics service for institutional and business banking customers, the dataset links transaction activity with balance sheet information to give a complete view of income, spending, saving and borrowing flows.

The resulting sample of over one million customers provides an accurate representation of trends across the wider Australian consumer. Monthly observations are available back to January 2019 with timely updates provided a few weeks after the end of each month. As such, it is perfectly suited to quickly tracing the impact and responses to events like interest rate moves and energy price shocks.

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5 November 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

The Democrats swept the US mid-term elections, taking control of both houses of Congress, with Vice President Vance blaming the result on the war with Iran and President Trump stating that he currently has no plans to strike Iran again, raising hopes that a quicker end to the conflict could now be in sight.

Oil prices responded decisively to the election result and President Trump's comments, with Brent tumbling around 8% to US$95.4/bbl, its lowest level in around two months, as markets pared back some of the geopolitical risk premium built into crude.

The sharp fall in oil drove a rebound in risk sentiment, sending US and European equities markedly higher while Treasuries rallied, with the 2Y and 10Y yields falling 6bps and 8bps respectively as some of the inflation risk premium embedded in rates unwound.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.7	0.0%
AUD/USD	0.7008	0.6%
AUD/JPY	111.06	0.5%
AUD/GBP	0.5202	0.2%
AUD/NZD	1.2465	0.0%
AUD/EUR	0.6241	0.3%
AUD/CNH	4.6782	0.7%
AUD/SGD	0.8964	0.4%
AUD/HKD	5.4981	0.6%
AUD/CAD	0.9788	0.3%
EUR/USD	1.1229	0.3%
USD/JPY	158.48	-0.1%
USD Index	101.53	-0.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.85	0.05
90 day BBSY	4.98	0.02
180 day BBSY	5.32	0.01
1 year swap	4.95	-0.01
2 year swap	4.81	-0.05
3 year swap	4.73	-0.07
4 year swap	4.73	-0.07
5 year swap	4.75	-0.07
6 year swap	4.80	-0.08
7 year swap	4.84	-0.08
8 year swap	4.89	-0.08
9 year swap	4.94	-0.08
10 year swap	4.98	-0.08

Equities	Close	Change
S&P/ASX 200	8,834	-0.6%
S&P 500	7,698	1.7%
Japan Nikkei	62,189	-1.4%
Hang Seng	23,920	1.7%
Euro Stoxx 50	6,266	2.0%
UK FTSE100	10,829	1.8%
VIX Index	16.84	-19.2%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.75	0.00
10 year bond	5.08	0.00
United States		
3-month T Bill	4.02	0.00
2 year bond	4.57	-0.06
10 year bond	4.89	-0.08
Other (10 year yields)		
Germany	3.27	-0.06
Japan	2.82	0.04
UK	5.13	-0.13

Commodities	Current	Change
CRB Index	389.01	-2.3%
Gold	4063.51	3.4%
Copper	14011	-0.2%
Oil (WTI futures)	88.75	-7.6%
Coal (coking)	258.50	0.2%
Coal (thermal)	147.25	-1.1%
Iron Ore	91.85	1.3%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.04	-0.05
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3 mth bill rate	4.77	0.00
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Financial Markets

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- Share markets bounced significantly higher as oil prices dropped sharply in the wake of the Democratic sweep of congress. In the US, the S&P 500 (+1.7%), Dow Jones (+3.2%) and NASDAQ (+1.8%) all jumped. Moves were similar across the pond, the Euro Stoxx 50 (+2.0%) and London's FTSE 100 (+1.8%) both bouncing higher too. Stocks were mixed across Asia, given it pre-dated the sharp fall in oil overnight, with gains in Hong Kong (+1.7%), Shanghai (+2.3%) and Seoul (+0.6%) met with a decline in Tokyo (1.4%). The ASX 200 also fell 0.6% yesterday, but following the action overnight, futures markets are pointing to a strong open this morning.
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Today's key data and events

Time	Event	Exp	Prev
11:30	AU Trade Balance Sep	$1000m	$495m
11:30	JP S&P Global Services PMI Oct Final	-	52pts
21:00	EZ PPI Sep	2.6%	1.9%
23:00	GB BoE Policy Decision	4.00%	3.75%
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In the Euro Area, October's **CPI** met expectations, rising 0.4% in the month and 4.0% over the year on a headline basis, versus 3.8%yr in September. On a core basis, inflation was unchanged at 2.5%yr.

Domestic Data

In Australia, **household spending** rose 0.6%mth in September on a nominal basis, though price gains look to have played a significant role, with real spending up 0.7%qtr in Q3 (see here).

In New Zealand, the Q3 **labour market statistics** came in weaker than Westpac and the RBNZ anticipated, as the unemployment rate rose to 5.7% (see here). Our NZ Chief Economist considers the impact of the data on the RBNZ here.

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5 November 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

The Democrats swept the US mid-term elections, taking control of both houses of Congress, with Vice President Vance blaming the result on the war with Iran and President Trump stating that he currently has no plans to strike Iran again, raising hopes that a quicker end to the conflict could now be in sight.

Oil prices responded decisively to the election result and President Trump's comments, with Brent tumbling around 8% to US$95.4/bbl, its lowest level in around two months, as markets pared back some of the geopolitical risk premium built into crude.

The sharp fall in oil drove a rebound in risk sentiment, sending US and European equities markedly higher while Treasuries rallied, with the 2Y and 10Y yields falling 6bps and 8bps respectively as some of the inflation risk premium embedded in rates unwound.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.7	0.0%
AUD/USD	0.7008	0.6%
AUD/JPY	111.06	0.5%
AUD/GBP	0.5202	0.2%
AUD/NZD	1.2465	0.0%
AUD/EUR	0.6241	0.3%
AUD/CNH	4.6782	0.7%
AUD/SGD	0.8964	0.4%
AUD/HKD	5.4981	0.6%
AUD/CAD	0.9788	0.3%
EUR/USD	1.1229	0.3%
USD/JPY	158.48	-0.1%
USD Index	101.53	-0.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.85	0.05
90 day BBSY	4.98	0.02
180 day BBSY	5.32	0.01
1 year swap	4.95	-0.01
2 year swap	4.81	-0.05
3 year swap	4.73	-0.07
4 year swap	4.73	-0.07
5 year swap	4.75	-0.07
6 year swap	4.80	-0.08
7 year swap	4.84	-0.08
8 year swap	4.89	-0.08
9 year swap	4.94	-0.08
10 year swap	4.98	-0.08

Equities	Close	Change
S&P/ASX 200	8,834	-0.6%
S&P 500	7,698	1.7%
Japan Nikkei	62,189	-1.4%
Hang Seng	23,920	1.7%
Euro Stoxx 50	6,266	2.0%
UK FTSE100	10,829	1.8%
VIX Index	16.84	-19.2%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.75	0.00
10 year bond	5.08	0.00
United States		
3-month T Bill	4.02	0.00
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5 November 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

The Democrats swept the US mid-term elections, taking control of both houses of Congress, with Vice President Vance blaming the result on the war with Iran and President Trump stating that he currently has no plans to strike Iran again, raising hopes that a quicker end to the conflict could now be in sight.

Oil prices responded decisively to the election result and President Trump's comments, with Brent tumbling around 8% to US$95.4/bbl, its lowest level in around two months, as markets pared back some of the geopolitical risk premium built into crude.

The sharp fall in oil drove a rebound in risk sentiment, sending US and European equities markedly higher while Treasuries rallied, with the 2Y and 10Y yields falling 6bps and 8bps respectively as some of the inflation risk premium embedded in rates unwound.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.7	0.0%
AUD/USD	0.7008	0.6%
AUD/JPY	111.06	0.5%
AUD/GBP	0.5202	0.2%
AUD/NZD	1.2465	0.0%
AUD/EUR	0.6241	0.3%
AUD/CNH	4.6782	0.7%
AUD/SGD	0.8964	0.4%
AUD/HKD	5.4981	0.6%
AUD/CAD	0.9788	0.3%
EUR/USD	1.1229	0.3%
USD/JPY	158.48	-0.1%
USD Index	101.53	-0.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.85	0.05
90 day BBSY	4.98	0.02
180 day BBSY	5.32	0.01
1 year swap	4.95	-0.01
2 year swap	4.81	-0.05
3 year swap	4.73	-0.07
4 year swap	4.73	-0.07
5 year swap	4.75	-0.07
6 year swap	4.80	-0.08
7 year swap	4.84	-0.08
8 year swap	4.89	-0.08
9 year swap	4.94	-0.08
10 year swap	4.98	-0.08

Equities	Close	Change
S&P/ASX 200	8,834	-0.6%
S&P 500	7,698	1.7%
Japan Nikkei	62,189	-1.4%
Hang Seng	23,920	1.7%
Euro Stoxx 50	6,266	2.0%
UK FTSE100	10,829	1.8%
VIX Index	16.84	-19.2%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.75	0.00
10 year bond	5.08	0.00
United States		
3-month T Bill	4.02	0.00
2 year bond	4.57	-0.06
10 year bond	4.89	-0.08
Other (10 year yields)		
Germany	3.27	-0.06
Japan	2.82	0.04
UK	5.13	-0.13

Commodities	Current	Change
CRB Index	389.01	-2.3%
Gold	4063.51	3.4%
Copper	14011	-0.2%
Oil (WTI futures)	88.75	-7.6%
Coal (coking)	258.50	0.2%
Coal (thermal)	147.25	-1.1%
Iron Ore	91.85	1.3%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.04	-0.05
3 yr bond	4.69	-0.05
3 mth bill rate	4.77	0.00
SPI 200	9,025	1.9%

Data as at 7:30am AEDT. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

The Democrats swept the US mid-term elections, winning both houses of congress. Vice President Vance blamed the war with Iran for the result, and President Trump has stated he currently has no plans to strike Iran again. Oil responded decisively to these results and comments, driving a rebound in risk sentiment overnight.

- Share markets bounced significantly higher as oil prices dropped sharply in the wake of the Democratic sweep of congress. In the US, the S&P 500 (+1.7%), Dow Jones (+3.2%) and NASDAQ (+1.8%) all jumped. Moves were similar across the pond, the Euro Stoxx 50 (+2.0%) and London's FTSE 100 (+1.8%) both bouncing higher too. Stocks were mixed across Asia, given it pre-dated the sharp fall in oil overnight, with gains in Hong Kong (+1.7%), Shanghai (+2.3%) and Seoul (+0.6%) met with a decline in Tokyo (1.4%). The ASX 200 also fell 0.6% yesterday, but following the action overnight, futures markets are pointing to a strong open this morning.
- Treasuries rallied in response to the sharp drop in oil prices following the outcome of the US midterm elections, seeing the 2Y drop 6bps to 4.57%, while the 10Y fell 8bps to 4.89%. Given the timing and quantum of rate hikes expected by the market has not shifted materially – still around 20bps prices in for November, and another 1-2 rate hikes pencilled in by mid-2027 – the drop yields overnight appears to speak more to an unwind of an inflation risk premium rather than a curbing of interest rate hike expectations at this stage.
- Yields moved in a broadly similar direction offshore, the 10Y Bund and Gilt down 6bps and 13bps respectively, while the 10Y JGB rose 4bps as it pre-dating much of the price action overnight. ACGBs were steady during local trading but rallied in futures trading overnight, both the 3Y and 10Y down 5bps. Market pricing tentatively suggests that the RBA's rate hike earlier this week will be the last of the cycle, with no further moves more than 50% priced in through to late-2027.
- The USD slipped overnight, the DXY down 0.3% to around 101.5. Most G10 currencies appreciated versus the greenback, including the Euro (+0.3%), Yen (+0.1%), Sterling (+0.4%) and Loonie (+0.3%). The Aussie dollar rose by a stronger clip, up 0.6% to be back above the USD0.70 mark. The Kiwi dollar also jumped 0.6% to be back above USD0.56, recovering from the sell-off during local hours after the downside surprise on labour market data.
- Crude oil prices continued to drift lower through much of yesterday as early results trickled in, before dropping sharply overnight as markets digested the Democratic sweep in the mid-term elections and President Trump's comments that he does not have plans to strike Iran, both taken as signs that a quicker end to the conflict could now be in sight. Brent dropped 7.9% to US$95.4/bbl, the lowest level in about two months. Against the backdrop of a softer USD and lower real yields, gold prices managed to jump back above the US$4,000/oz mark overnight. Metals were much more stable meanwhile, LME copper and aluminium nudging 0.2% lower and 0.1% higher respectively.

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Trade Balance Sep	$1000m	$495m
11:30	JP S&P Global Services PMI Oct Final	-	52pts
21:00	EZ PPI Sep	2.6%	1.9%
23:00	GB BoE Policy Decision	4.00%	3.75%
0:30	US Productivity Q3 Prel.	2.6%	1.4%
0:30	US Initial Jobless Claims 31/10/2026	196k	194k

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Open mouth operations

#australia #luciellis #rba

By Luci Ellis
Chief Economist Westpac Group, Westpac

13:34 October 23 2026

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The RBA does not want to promise what it will do, but it is increasingly trying to tell us what it thinks.

- Central banks' communication is carefully scrutinised for every nuance. Lately, there seems to have been more RBA communication to pore over. The method of delivery has also evolved. This has

sometimes caused confusion when tone seems to vary. Different audiences call for different tone and varying complexity.

- The content has evolved, too. RBA officials are increasingly using speeches directed to professional audiences to discuss more technical estimates of inferred variables such as neutral rates and financial conditions. They are also highlighting that monetary policy combats inflation in more ways than just squeezing mortgage holders.
- One thing has not changed: the RBA is not in the business of providing 'forward guidance' promises about the future path of interest rates. It does, however, give more running commentary about how it is interpreting recent data. These interpretations are themselves useful signals about what the RBA thinks it might do.

Market participants pore over every utterance by central banks for clues to future rate moves. They will have plenty to pore over in the run-up to the November RBA decision. After the flurry of fireside chats this week, '60 Minutes' will run a pre-recorded interview with chief economist Sarah Hunter on Sunday. Next Wednesday, the whole senior policy team will appear before Senate Estimates, just as the quarterly CPI is released. (This timing will have been the Senate's choice, not the RBA's.) After the decision will come the *Statement on Monetary Policy*, a media release and press conference. More speeches will follow, including one by the Deputy Governor on the Thursday.

RBA communication does seem to have changed, not just following the RBA Review but also more recently. There may be fewer policy meetings each year, but the communication outside that certainly feels more frequent than a couple of years ago. Back in 2024, speaking engagements felt a little sparse outside the post-meeting media conference and parliamentary appearances. We have counted 58 public engagements so far this year on the Speeches page on the RBA's website. This compares with 58 for the whole of last year and 52 in 2024. Excluding the 'compulsory' press conferences and parliamentary appearances, fewer than half of the 2024 events were related to economics, markets and monetary policy.

The 'how' has changed

The way the RBA communicates with markets has changed as well. There are fewer set-piece speeches on policy and a lot more semi-scripted 'fireside chats'. Compared with a few years ago, there are more interviews across a wide range of media. This is a big change from the pre-Review world. It was a huge deal when the previous Governor appeared on the *7:30 Report*; it is hard to imagine him agreeing to an Assistant Governor appearing on *60 Minutes*.

Part of the change reflects increased efforts to reach a general audience. Central banks want to explain why they do what they do. This matters especially when interest rates are rising but the household sector is not the source of the inflation.

Speaking differently to different audiences can sometimes confuse markets. As the RBA's Chief Communication Officer highlighted in a recent panel discussion, the post-meeting media conference is designed to speak to the public. Market participants and economists certainly tune in, but we are not

the primary audience. So if you think that what the Governor said in the media conference sounded more ‘dovish’ than what another official says in a more market-oriented forum, it is partly because she is trying to convey that the RBA understands that its recent policy actions are making things harder for many Australians. But this is in much the same way that a doctor might say, “This might hurt a bit.” It does, but that will not stop the treatment.

A related issue is that it is easier to control tone in pre-drafted material such as the minutes and set-piece speeches than in unstructured Q&A. Senior central bankers are trained to be careful with their words in unscripted settings. If the tone differs, the minutes are still more likely to say what the Board really means than an off-the-cuff answer.

Greater communication with the broader public might have reduced the pressure to make the set-piece speeches more accessible. Research on central bank communication often uses measures such as the Flesch–Kincaid Grade Level and Flesch Reading Ease score. A comprehensive analysis was beyond the scope of this note. However, a spot comparison suggests four speeches from 2026 (1, 2, 3, 4) were harder to read than four from 2021 (1, 2, 3, 4). The 2021 speeches scored in the 11 to 12 range, which is high-school-level complexity. The 2026 speeches scored between 12 and 15, which is academic or technically dense text requiring university-level education. (Including two of my own 2021 speeches is an obvious caveat, but the two speeches by then-Governor Phil Lowe also scored better on these metrics than the sample from this year. It should be noted, though, that readability metrics do not necessarily imply better clarity if the concepts discussed are more abstract.)

The ‘what’ has changed

As noted above, the content of RBA communication has evolved, too. As its intellectual framework has begun to put more weight on the balance of supply and demand, and those invisible ‘star’ variables (NAIRUs, neutral real rates, ‘financial conditions’, etc.), the communication to professional audiences has increasingly focused on those topics.

More recently, the RBA has also placed more emphasis on the full range of transmission channels from interest rates to inflation (though not, as we have noted previously, the labour supply channel). This is understandable in a world of supply shocks. People need to understand that monetary policy is not simply an exercise in hitting mortgage borrowers. We doubt they would be comforted, though, by the Deputy Governor’s explanation this week that the ‘cashflow channel’ was the smallest of the transmission channels from interest rates to inflation, with the exchange rate much more prominent. That implies a lot of pain for a small group, for little effect on inflation. It raises the question of whether other policy tools or institutional arrangements might get the same effect on inflation through the other channels without hitting a minority of households disproportionately.

We have also seen a move away from using catchphrases to summarise the position. From ‘narrow path’ to ‘not ruling anything in or out’ to ‘cautious and predictable’, once entrenched, a phrase can outlast its usefulness.

One thing that has not changed is the way the minutes record the presentations to the Board and the members' discussion. The minutes rarely convey much new information beyond the post-meeting statements. Sometimes, though, the minutes reveal the Board's reaction to the staff's analysis. The August 2024 minutes were a good example: the discussion highlighted just how sensitive the forecasts were to key judgements by the staff.

The 'why' has not changed

Despite these changes, the underlying objectives of the RBA's communication have not changed. It wants to explain – and perhaps justify – its decisions. And it wants to describe how it interprets incoming data, especially inflation, the labour market and the balance of supply and demand.

The RBA, like any central bank, is not really in the business of providing 'forward guidance' about future moves. Circumstances change, so it can never guarantee a particular future path for interest rates. Some academic literature argues that promising to keep rates low for a long time (or high, for that matter) independently amplifies the transmission of monetary policy beyond the effect of current-period interest rates alone, by shifting the short end of the yield curve. Central banks including the RBA have certainly tried jawboning in this way from time to time. The prevailing view, though, is that the potential cost of reputational loss if things do not turn out as predicted outweighs the benefits of a slightly stronger transmission mechanism.

In this context, it is the interpretation of data that provides the signal about future policy directions. This is why it was noteworthy that the Governor still characterised the labour market as 'a little tight' after the September meeting, even though the Board's post-meeting communication did not. We have been noting for some time that the RBA staff have a downbeat view of supply capacity. Together with the RBA's oft-stated concerns about inflation, this is why the Deputy Governor's 'hawkishness' did not surprise us.

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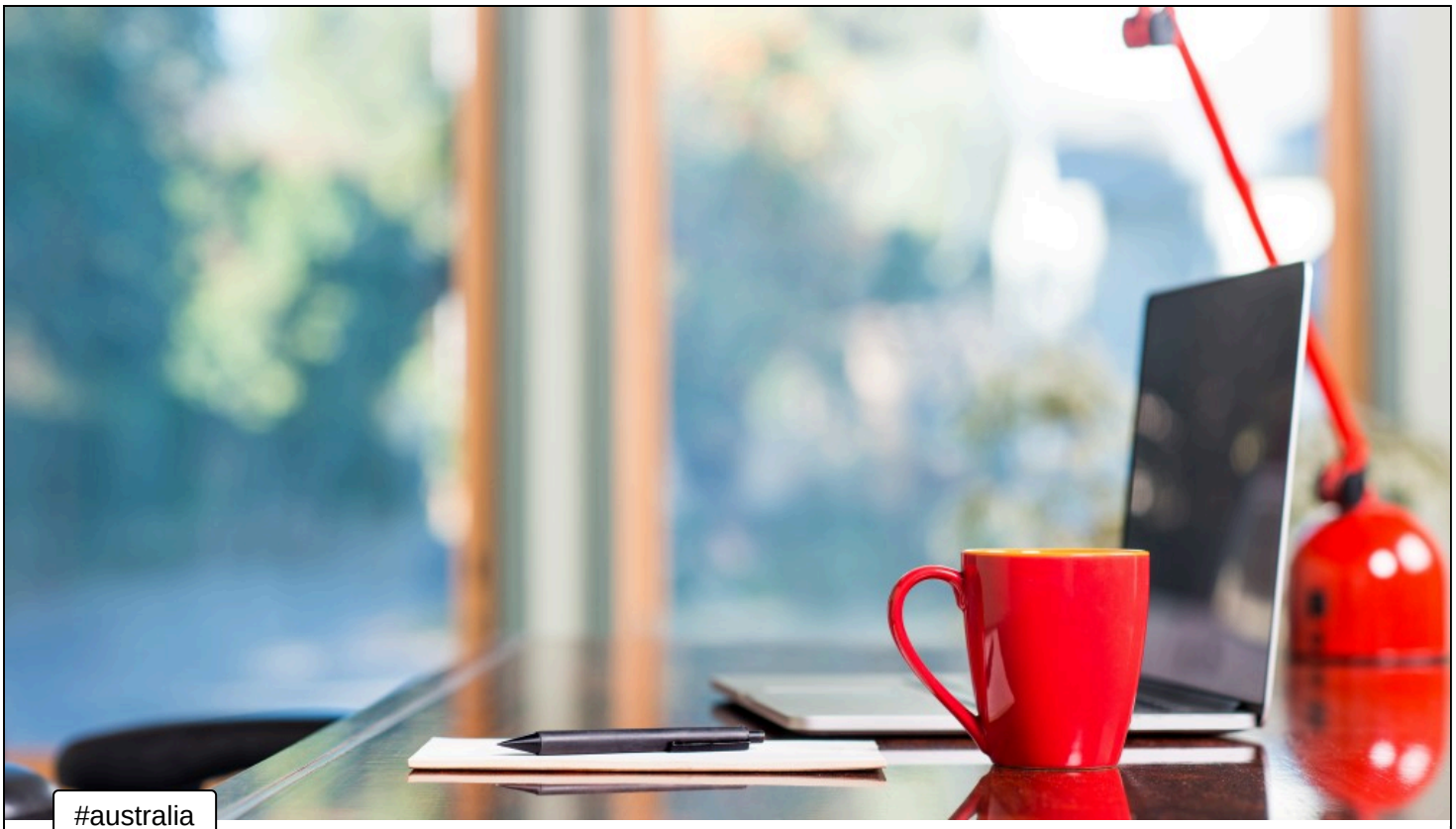

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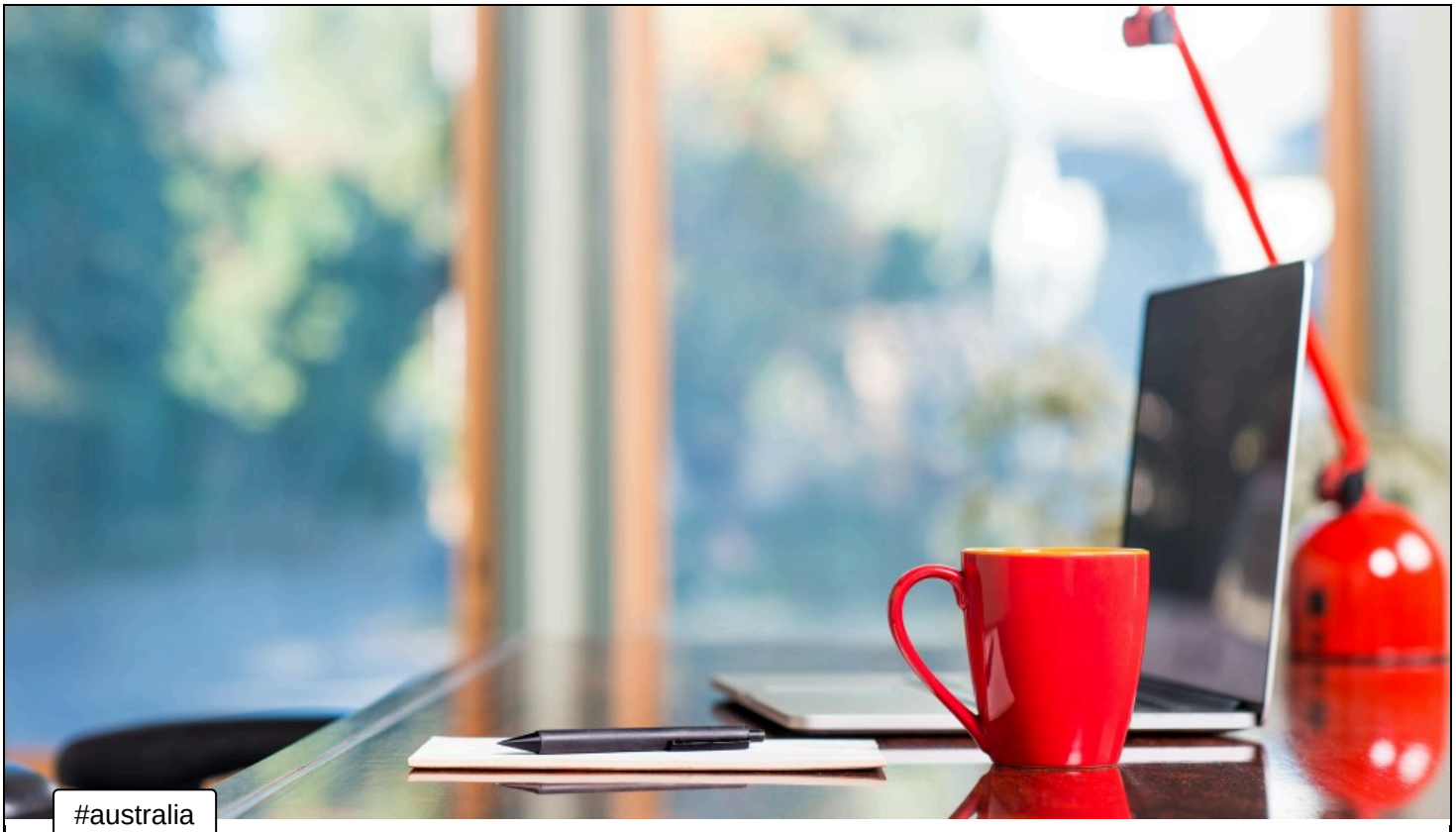

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19 October 2026

SEPTEMBER CPI PREVIEW

Setting the pace for the run into year end

Key points

- September CPI to rise 0.62%mth with the annual pace lifting to 4.1%yr from 4.0%yr. The seasonally adjusted CPI lifts 0.5%mth, a step down from the 0.7% increase in August.
- September Trimmed Mean (TM) is set to lift 0.26%mth holding the annual pace steady at 3.6%yr.
- As we noted in our review of the August CPI, our September quarter CPI estimate is unchanged at 1.3%qtr while the TM remained 0.9%qtr.
- Auto fuel surged ahead of our expectations so along with signs of increase pass-through we lifted our December quarter CPI to 1.3%qtr/3.9%yr and the TM estimate to 0.9%qtr/3.5%yr.
- This is a 0.8ppt increase to the CPI estimate, and a 0.2ppt increase to the TM estimate, highlighting inflation momentum meaningfully above the RBA's current expectations.

CPI Breakdown: Q3 and monthly profile

	Q3	Jul-26	Aug-26	Sep-26
	Qtr fcs	Mth	Mth	Mth fcs
Item	% qtr	% mth	% mth	% mth
Food	**0.5**	**0.3**	**–0.1**	**–0.5**
of which, bread & cereals	0.3	–0.3	0.0	0.2
of which, meat & seafood	–0.2	0.2	–0.9	0.0
of which, dairy & related prod.	1.9	0.2	–0.1	0.1
of which, fruit & vegetables	–1.8	–0.8	–1.1	–3.7
of which, food products nec	–0.2	0.0	0.3	0.0
of which, non–alcohol bev.	0.9	0.0	0.3	–1.5
Alcohol & tobacco	**1.9**	**1.2**	**0.5**	**1.1**
of which, alcohol	1.4	1.2	0.5	–0.3
of which, tobacco	2.9	1.2	0.5	4.0
Clothing & footwear	**0.3**	**2.6**	**–0.9**	**–0.2**
of which, garments	–2.0	3.2	–1.9	–2.0
Housing	**1.4**	**0.4**	**0.2**	**0.6**
of which, rents	1.0	0.4	0.3	0.3
of which, house purchases	1.1	0.4	0.2	0.2
of which, electricity	–0.9	–1.6	0.0	0.0
of which, gas & other fuels	4.0	2.8	0.0	1.3
H/hold contents & services	**1.3**	**2.0**	**0.2**	**–0.2**
Health	**0.0**	**0.1**	**0.1**	**–0.1**
Transportation	**3.1**	**2.6**	**4.2**	**2.0**
of which, auto fuel	7.4	7.5	14.8	8.3
Communication	**1.2**	**1.8**	**–0.2**	**–0.1**
Recreation	**1.7**	**1.8**	**–1.0**	**2.1**
of which, holiday travel	1.6	1.8	–3.3	4.4
Education	**0.1**	**0.0**	**0.1**	**0.0**
Financial & insurance services	**0.9**	**0.2**	**0.2**	**0.4**
CPI: All groups	**1.3**	**1.0**	**0.4**	**0.6**
CPI: Trimmed mean	**0.9**	**0.5**	**0.2**	**0.3**

Sources: ABS, Westpac Banking Corporation

- However, these factors can shift quickly and we see downside risk to our 2027 inflation profile should energy prices ease faster than expected.

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Sep quarter unrevised but Dec upgraded significantly

Justin Smirk, Senior Economist
Neha Sharma, Economist

August inflation came in soft...

Inflation moderated in August following July's strong outcome. The CPI rose 0.4% in the month, in line with our expectation but slightly below market consensus of 0.5%, taking the annual rate to 4.0%. On a seasonally adjusted basis, the CPI increased 0.7%mth, underscoring the impact of seasonal discounting in August and the start of the financial year repricing in July.

More closely watched are the measures of underlying inflation including the Trimmed Mean (TM) and market services. The TM rose 0.2% in August, in line with our expectations but again softer than the market, leaving the annual pace unchanged at 3.6% for a third consecutive month. Meanwhile, market services excluding volatiles & holiday travel increased 0.2%mth/4.1%yr. Notable strength (three-month annualised, seasonally adjusted) was seen in sports participation (10.9%), clothing repair (7.0%), restaurant meals (6.8%) and other household services (5.2%). For full analysis of the August CPI, see "August CPI – Came in on our expectations".

The expenditure-weighted share of the CPI basket experiencing positive price shocks eased to 11% in August from 15% in July, while the share experiencing negative price shocks declined from 17% to just below 13%. The majority of the positive shocks were concentrated in consumer durables On a three-month moving average basis, the net momentum share (positive minus negative) rose to –4.5% from –7.7% in July and a trough of –15.8% in May, suggesting the disinflationary impulse may be nearing exhaustion.

... with September due for a moderate pick-up

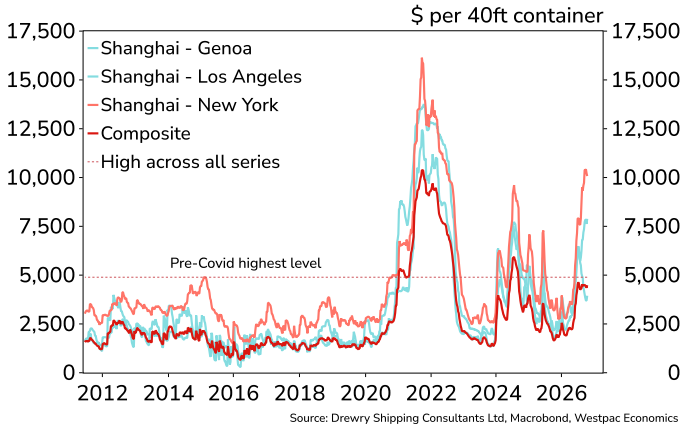
Looking ahead to September, early indicators painted a mixed picture. The NAB business survey showed retail price growth slowing to 0.9%qtr from 1.1%qtr in August, with labour cost growth easing to 1.7%qtr from 1.8%qtr, while purchase cost growth edged up to 2.4%qtr from 2.3%qtr. Nevertheless, all measures remain well above their long-run averages while the gap between purchase costs and final prices continues to widen, indicating businesses are facing margin compression (see here for further detail). Meanwhile, consumers' year-ahead inflation expectations held steady at 4.9% in September (easing slightly at 2dp) but surged to 5.3% in October likely reflecting higher fuel prices, with retail petrol and diesel averaging $2.20/l (+8.2%mth) and $2.68/l (+7.7%mth). We do believe the auto fuel prices are likely to see a near term peak in October. Meanwhile, global shipping costs have also surged recently amid renewed Middle East tensions.

Revision to the September quarter CPI estimate

	11-Sep-26		15-Oct-26	
Item	**% qtr**	**contrib**	**% qtr**	**contrib**
Food	**0.8**	**0.14**	**0.5**	**0.09**
of which, Fruit & vegetables	–0.7	–0.01	–1.8	–0.04
Alcohol & tobacco	**1.4**	**0.09**	**1.9**	**0.12**
of which, Tobacco	2.2	0.04	2.9	0.06
Clothing & footwear	**0.4**	**0.01**	**0.3**	**0.01**
Housing	**1.5**	**0.34**	**1.4**	**0.31**
of which, Rents	1.0	0.07	1.0	0.07
of which, House purchases	1.3	0.10	1.1	0.08
of which, Utilities	1.8	0.08	1.4	0.06
H/hold contents & services	**1.0**	**0.08**	**1.3**	**0.10**
Health	**–0.2**	**–0.01**	**0.0**	**0.00**
of which, Pharmaceuticals	–2.0	–0.02	–1.6	–0.01
Transportation	**2.6**	**0.30**	**3.1**	**0.35**
of which, Car prices	0.1	0.00	0.0	0.00
of which, Auto fuel	6.2	0.22	7.4	0.26
Communication	**1.3**	**0.03**	**1.2**	**0.03**
Recreation	**1.6**	**0.20**	**1.7**	**0.21**
of which, Audio visual & comp.	4.1	0.08	3.8	0.07
of which, Holiday travel	1.6	0.09	1.6	0.10
Education	**0.1**	**0.01**	**0.1**	**0.00**
Financial & insurance services	**0.8**	**0.04**	**0.9**	**0.05**
CPI: All groups	**1.25**	**–**	**1.29**	**–**
CPI: All groups % year	**3.9**	**–**	**3.9**	**–**
Trimmed Mean %qtr	**0.91**	**–**	**0.88**	**–**
Trimmed Mean %yr	**3.5**	**–**	**3.50**	**–**

Sources: ABS, Westpac Banking Corporation

Global container shipping costs



Source: Drewry Shipping Consultants Ltd, Macrobond, Westpac Economics

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The September CPI is expected to rise 0.6% (0.62% to 2dp) with the annual pace lifting to 4.1%yr. Our seasonally adjusted estimate increases 0.5% (0.48% to 2dp). For the monthly TM, we expect a 0.3% (0.26% to 2dp) lift, holding the annual pace steady at 3.6%. On a 3m/3m basis, the TM is tracking a 1.0% gain in September (noting that while this measure is conceptually different to the quarterly TM it still serves as a useful guide). For market services excluding volatiles & holiday travel we have pencilled in another 0.2% rise, slowing the annual pace slightly to 4.0% (a nine-month low).

The largest contributors are recreation & culture (+0.27ppt), driven wholly by holiday travel & accommodation. Transport (+0.23ppt) makes a solid contribution, with gains in fuel (+0.26ppt) partly offset by motor vehicles (–0.02ppt). Housing also contributes (+0.13ppt), with rents and new dwellings each adding 0.02ppt while property rates add 0.08ppt. The key detractors in the month are food & non-alcoholic beverages (–0.08ppt) and garments (–0.04ppt).

Key details for the month of September

Food & non-alcoholic beverages are expected to fall 0.5%mth, easing the annual pace to 2.8%yr. The weakness is concentrated in a 3.7%mth decline in fruit & vegetables, while non-alcoholic beverages are also expected to fall 1.5%mth. Meals out & takeaway is forecast to rise 0.1%mth, easing the annual rate to 3.9%.

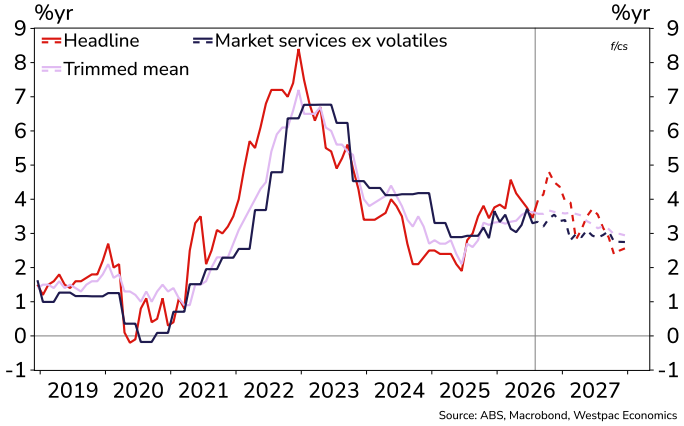
Housing is expected to rise 0.6% in September, slowing the annual pace to 5.5%yr. Component-wise:

- Rents are expected to rise 0.3%mth and 3.7%yr. CPI rent inflation is nearing its peak, consistent with the moderation in asking rent growth. We expect rent inflation to ease to 3.6%yr by end-2026 and 2.5%yr by end-2027.
- New dwelling prices, which capture only the building component of construction costs, are expected to rise 0.2%mth and 4.9%yr. Ongoing weakness in established housing markets would be increasing builders' difficulty in passing through higher costs to new builds. As a result, we expect new dwelling inflation to moderate to 4.5%yr by end-2026 and 2.1%yr by end-2027.

Transport inflation is expected to rise 2.0%mth in September, lifting the annual pace to 7.7%yr reflecting an 8.3%mth increase in fuel prices following higher oil prices through the month. Motor vehicle prices and spare parts are expected to fall 0.7%mth and 1.3%mth, respectively. In NSW, a one-year vehicle registration discount between $80-100 came into effect from 1 September, which is likely to weigh on the other services in respect of motor vehicles component.

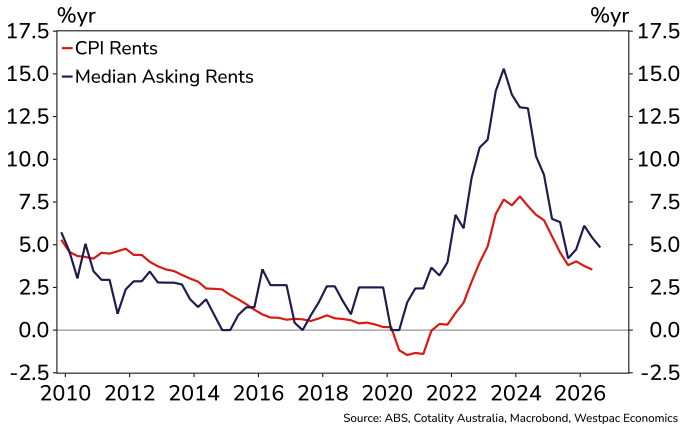
Recreation & culture is expected to rise 2.1%mth driven by a 4.4%mth increase in holiday travel, partly offset by a 0.4% decline in audio, visual & computing equipment & services and a 1.3% fall in sporting services.

Monthly inflation indicators



Source: ABS, Macrobond, Westpac Economics

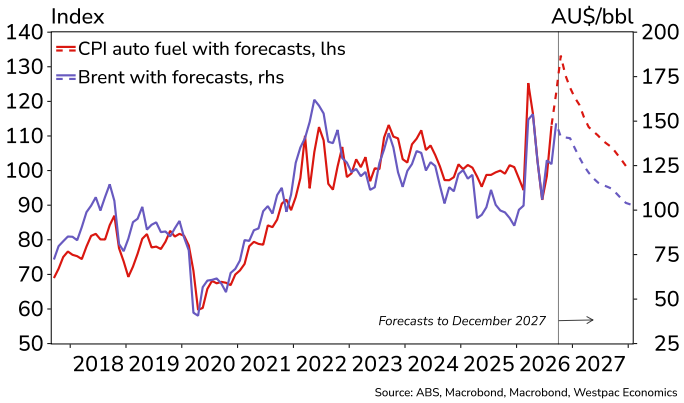
Asking rents vs CPI rents



Source: ABS, Cotality Australia, Macrobond, Westpac Economics

Australian fuels maintain a wide spread to crude

Average pump price for unleaded and diesel auto fuel



Source: ABS, Macrobond, Macrobond, Westpac Economics

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Risks to September baseline

We view the risks around the September CPI outcome as broadly balanced. Waning spending momentum outside of fuel may make it difficult for businesses to pass through higher costs in the near term. However, some of these pricing pressures may be deferred rather than forgone. The October ban on card surcharging may prompt a greater-than-usual degree of price resetting, allowing businesses to recover some of the margin pressures that have built up in recent months.

Risks to housing are mixed. Trade materials suppliers continued to announce above-average price increases through September (around 8%). While soft conditions in the established housing market may limit the extent to which these costs are passed through to new dwelling prices, they nevertheless present an upside risk to housing-related inflation, particularly maintenance & repair and insurance costs. Growth in advertised rents also continues to ease but these new leases take some time to flow through to average rents paid measured in the CPI.

A kick up in October ...

We have a solid preliminary estimate for the October CPI of 0.6%mth lifting the annual pace to 4.8%yr. It is true that the key driver is an 8.9% increase in auto fuel but we estimate the TM to lift 0.4%mth/3.7%yr highlighting broader inflationary pressures. We expect that the removal of credit charge surcharges and resulting increase in retail prices, at most, will contribute 0.1ppt but only just so see it as more of a rounding error. Nevertheless, these changes come at a time of a significant upstream price pressure, particularly for SMEs, so there is some risk of broader price adjustments. As such, we expect marginally larger than usual price adjustments in October particularly in hospitality and household services. Being the first month of the quarter the October lift sets a higher base for the quarterly average estimates resulting in an upgrade to our December quarter estimate.

We have included a table with a monthly profile for the CPI, seasonally adjusted CPI and the TM out to June 2027. At June 2027 we have an annual pace of 3.7%yr for the CPI and seasonally adjusted CPI and 3.3%yr for the TM. There is also a table breaking down the monthly components of the CPI through the December quarter.

... highlights stronger inflationary pressure ...

Our September quarter CPI estimate is unrevised at 1.3%qtr with the annual pace steady at 3.9%yr. At the margin there was a 0.04ppt increase due to a lift in auto fuel but this is 1.29%qtr at two decimal places so still rounds to 1.3%. The seasonally adjusted CPI gains 1.1% in the September quarter highlighting that part of the increase is due to usual seasonality. Our TM estimate for Q3 has a small downward revision of 0.03ppt to 0.88% at two decimal place so our published estimate is also unrevised at 0.9%qtr.

... resulting in an upward revision to Q4 2026

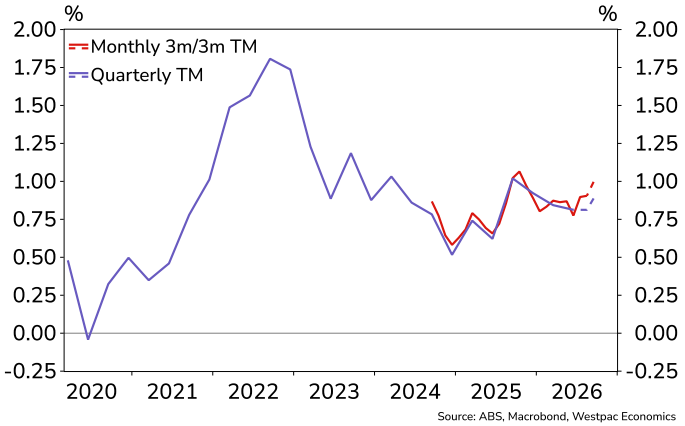
Westpac's December quarter CPI estimate has been boosted from a 0.5%qtr to 1.3%qtr. Driving most of this change from our previous estimate is the 15.3% increase in autofuel, it

Revision to the December quarter CPI estimate

	11-Sep-26		15-Oct-26	
Item	**% qtr**	**contrib**	**% qtr**	**contrib**
Food	**0.3**	**0.05**	**0.5**	**0.09**
of which, Fruit & vegetables	–0.5	–0.01	–0.8	–0.01
Alcohol & tobacco	**0.9**	**0.06**	**1.2**	**0.08**
of which, Tobacco	4.1	0.08	4.8	0.10
Clothing & footwear	**–1.5**	**–0.05**	**–0.9**	**–0.03**
Housing	**0.5**	**0.11**	**0.6**	**0.14**
of which, Rents	0.8	0.05	0.8	0.05
of which, House purchases	0.9	0.07	0.6	0.05
of which, Utilities	–0.4	–0.02	0.3	0.01
H/hold contents & services	**–0.1**	**–0.01**	**0.2**	**0.02**
Health	**–0.5**	**–0.03**	**–0.1**	**–0.01**
of which, Pharmaceuticals	–1.3	–0.01	–1.2	–0.01
Transportation	**0.5**	**0.06**	**4.7**	**0.56**
of which, Car prices	–0.8	–0.03	–0.7	–0.02
of which, Auto fuel	1.9	0.06	15.3	0.61
Communication	**–0.4**	**–0.01**	**0.3**	**0.01**
Recreation	**2.2**	**0.27**	**3.1**	**0.39**
of which, Audio visual & comp.	–0.4	–0.01	0.0	0.00
of which, Holiday travel	4.2	0.25	5.6	0.34
Education	**0.1**	**0.00**	**0.0**	**0.00**
Financial & insurance services	**0.5**	**0.03**	**0.9**	**0.05**
CPI: All groups %qtr	**0.5**	**–**	**1.3**	**–**
CPI: All groups %yr	**3.8**	**–**	**4.6**	**–**
CPI: Seasonall Adjusted %qtr	**0.6**	**–**	**1.4**	**–**
CPI: Seasonall Adjusted %yr	**3.7**	**–**	**4.6**	**–**
Trimmed Mean %qtr	**0.70**	**–**	**0.90**	**–**
Trimmed Mean %yr	**3.31**	**–**	**3.48**	**–**

Sources: ABS, Westpac Banking Corporation

Trimmed mean measures



Source: ABS, Macrobond, Westpac Economics

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was 1.9%, contributing 0.55ppt to the 0.8ppt increase in the quarterly estimate. Outside of a 0.09ppt contribution to the revision from holiday travel & accommodation (revised up from 4.2% to 5.6%) all else was via small contributions for a large number of expenditure categories. This is why there is a 0.2ppt increase in our September quarter TM estimate from 0.7%qtr to 0.9%qtr.

A disinflationary impulse kicks in for 2027

We now expect auto fuel prices to peak in October (240 cpl for petrol, 284 cpl for diesel) and then to trend lower through 2027 (184 cpl for petrol and 194 cpl for diesel by December 2027) leading to a 13.6% falling in auto fuel in the first half of 2027 subtracting 0.46ppt off the CPI over the same period of time. For a detailed description on how we constructed the auto fuels profile please see: "*Persistent energy pressures have further to run*"

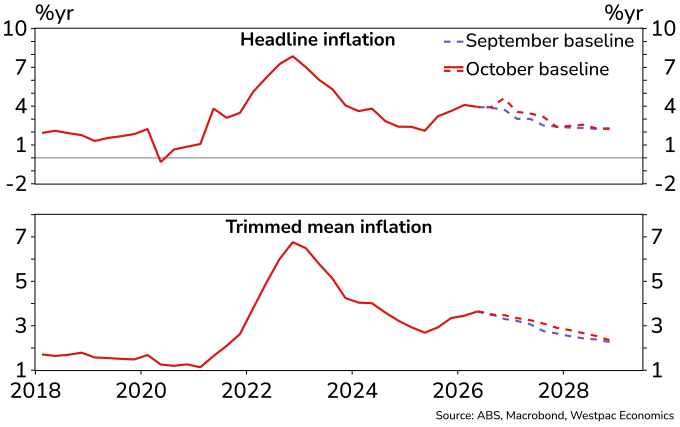
The first half of 2027 will also see an almost 5% decline in holiday travel & accommodation which will subtract a further 0.29ppt off the CPI. However, outside of that any broader moderation in inflation is expected to be more muted hence we have the TM printing 0.7%qtr for each quarter in 2027.

Critical to this moderation in core inflation is our expect step down in dwelling price inflation on the back of falling established home prices. From a 1.1%qtr increase in Q3 2026 we see dwelling price increasing by 0.7% in the Q4 2026, and then 0.6% in both Q1 and Q2 2027 before dropping to 0.5%qtr in Q3 and Q4 2027. This will see dwelling price inflation in the CPI drop from 5.4%yr at June 2026 to 3.0%yr by June 2027 then down to 2.2%yr by December 2027.

At least for the near term a key uncertainty remains the extent to which businesses are able to pass through ongoing labour and non-labour cost pressures and how this unwinds through 2027 as energy prices ease and the domestic economy slows under the weight of higher interest rates and falling established home prices. There is a risk that firms face greater resistance to price increases if discretionary household spending softens by more than expected. That said, these headwinds may be at least partially offset by the stronger starting point for household incomes, which has proven more resilient than previously anticipated, and by higher energy prices due to the ongoing conflict in the Middle East.

That said, there is also the risk that the disinflationary pulse by the second half of 2027 could be greater than what we anticipate. Another rate hike in November, along with a deeper than expected fall in established home prices, could be the proverbial "straw" resulting in a larger than expected fall in demand and thus a more significant moderation in price setting behaviour. It is also possible that our auto fuel prices fall by more than we anticipate. For while we have spot crude prices to fall to about pre-crisis levels by end 2027, a combination of a slow recovery in refining capacity, constrained return of physical supplies and higher shipping cost keep Australian fuel prices above their pre-conflict level. Should all these factors improve fast than we expect, and auto fuel prices return to pre-conflict level if not lower, then headline inflation could dip below 2%yr and the TM would be closer to 2.5%yr (the mid point if the RBA's inflation target), by end 2027.

Quarterly forecast revisions



Source: ABS, Macrobond, Westpac Economics

Quarterly forecast inflation profile

		Sep-26	Dec-26	Mar-27	Jun-27
CPI	Index	103.6	104.9	105.3	105.8
	(%qtr)	1.3	1.3	0.4	0.5
	(%yr)	3.9	4.6	3.6	3.4
Trimmed mean	(%qtr)	0.9	0.9	0.7	0.7
	(%yr)	3.5	3.5	3.3	3.3
	(6mth ann'd)	3.4	3.6	3.3	2.9

Source: ABS, Westpac Economics.

Monthly inflation profile

		Sep–26 (f)	Oct–26 (f)	Nov–26 (f)	Dec–26 (f)	Jan–27 (f)	Feb–27 (f)	Mar–27 (f)	Apr–27 (f)	May–27 (f)	Jun–27 (f)
CPI	Index	104.14	104.80	104.51	105.38	105.33	105.26	105.33	106.00	105.66	105.82
	(%mth)	0.62	0.6	–0.3	0.8	0.0	–0.1	0.1	0.6	–0.3	0.2
	(%yr)	4.1	4.8	4.5	4.4	3.9	3.9	2.8	3.1	3.5	3.7
Seasonally Adjusted	(%mth)	0.5	0.9	0.0	0.0	0.2	0.1	0.0	0.2	0.2	0.2
	(%yr)	4.2	4.9	4.6	4.4	4.0	3.9	2.8	3.1	3.5	3.7
Trimmed mean	(%mth)	0.26	0.4	0.2	0.2	0.3	0.2	0.2	0.3	0.2	0.2
	(%yr)	3.6	3.7	3.6	3.6	3.6	3.6	3.6	3.5	3.4	3.3
	(6mth ann'd)	4.0	4.2	3.8	3.7	3.3	3.3	3.2	2.8	2.9	2.9

Source: ABS, Westpac Economics.

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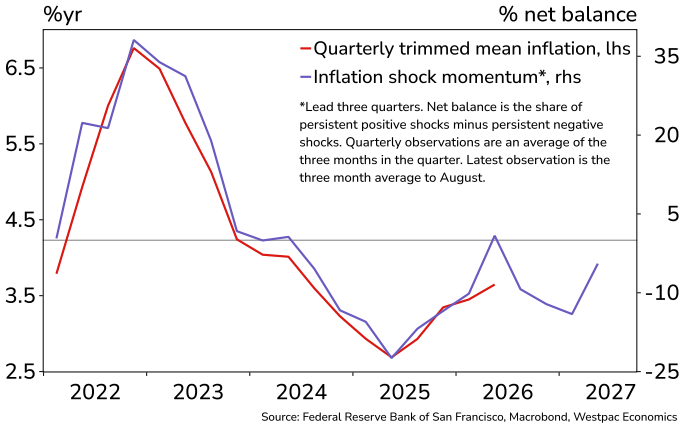
Breakdown Monthly CPI through Dec quarter

	Dec	Oct	Nov	Dec
	Qtr fcs	Mth fcs	Mth fcs	Mth fcs
Item	%qtr	%mth	%mth	%mth
Food	**0.5**	**0.3**	**–0.1**	**–0.5**
of which, bread & cereals	0.3	–0.3	0.0	0.2
of which, meat & seafood	–0.2	0.2	–0.9	0.0
of which, dairy prod.	1.9	0.2	–0.1	0.1
of which, fruit & vegetables	–1.8	–0.8	–1.1	–3.7
of which, food products	–0.2	0.0	0.3	0.0
of which, non–alcohol bev.	0.9	0.0	0.3	–1.5
Alcohol & tobacco	**1.9**	**1.2**	**0.5**	**1.1**
of which, alcohol	1.4	1.2	0.5	–0.3
of which, tobacco	2.9	1.2	0.5	4.0
Clothing & footwear	**0.3**	**2.6**	**–0.9**	**–0.2**
of which, garments	–2.0	3.2	–1.9	–2.0
Housing	**1.4**	**0.4**	**0.2**	**0.6**
of which, rents	1.0	0.4	0.3	0.3
of which, house purchases	1.1	0.4	0.2	0.2
of which, electricity	–0.9	–1.6	0.0	0.0
of which, gas & other fuels	4.0	2.8	0.0	1.3
H/hold contents & services	**1.3**	**2.0**	**0.2**	**–0.2**
Health	**0.0**	**0.1**	**0.1**	**–0.1**
Transportation	**3.1**	**2.6**	**4.2**	**2.0**
of which, auto fuel	7.4	7.5	14.8	8.3
Communication	**1.2**	**1.8**	**–0.2**	**–0.1**
Recreation	**1.7**	**1.8**	**–1.0**	**2.1**
of which, holiday travel	1.6	1.8	–3.3	4.4
Education	**0.1**	**0.0**	**0.1**	**0.0**
Financial & insurance	**0.9**	**0.2**	**0.2**	**0.4**
CPI: All groups	**1.3**	**0.6**	**–0.3**	**0.8**
CPI: Trimmed mean	**0.9**	**0.4**	**0.2**	**0.2**

Sources: ABS, Westpac Banking Corporation

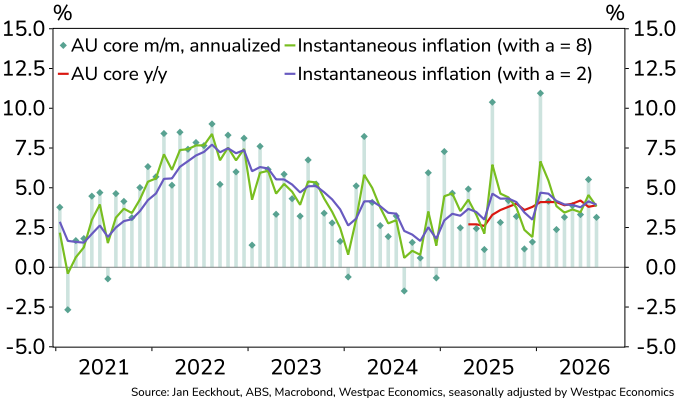
Inflation Shock Momentum



Source: Federal Reserve Bank of San Francisco, Macrobond, Westpac Economics

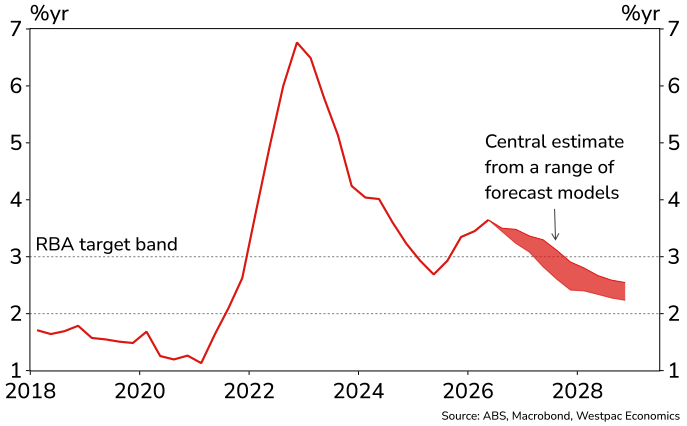
Conventional and instantaneous (s.a.)

Merged new CPI and old indicator



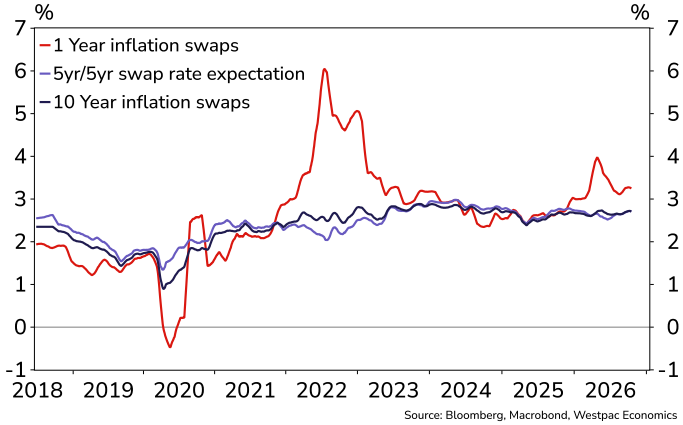
Source: Jan Eeckhout, ABS, Macrobond, Westpac Economics, seasonally adjusted by Westpac Economics

Trimmed mean inflation forecast profiles



Source: ABS, Macrobond, Westpac Economics

Inflation expectations



Source: Bloomberg, Macrobond, Westpac Economics

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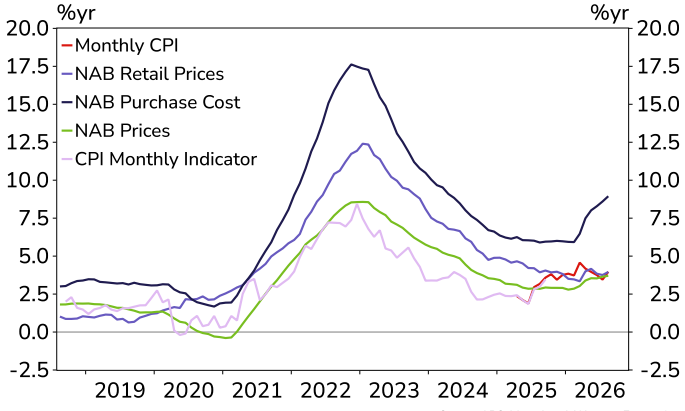
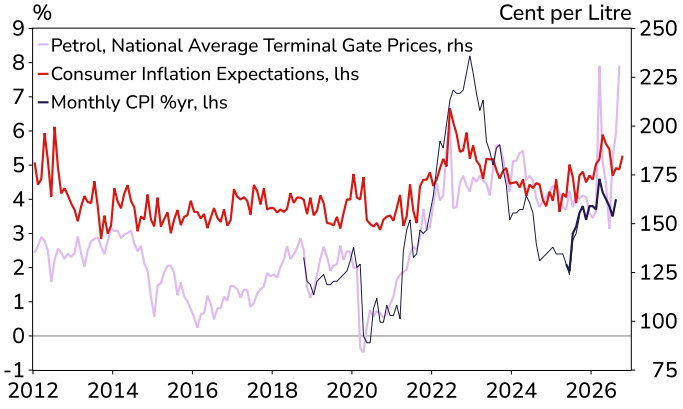
NAB Monthly Inflation Expectations



Source: ABS, Macrobond, Westpac Economics

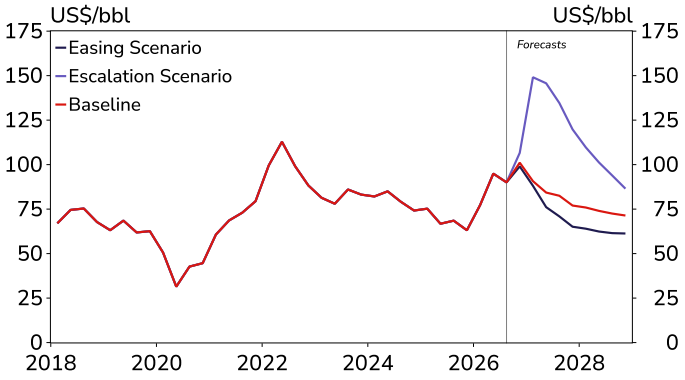
Consumer Inflation Expectations



Source: Melbourne Institute of Applied Economic & Social Research, AIP, ABS, Macrobond, Westpac Economics

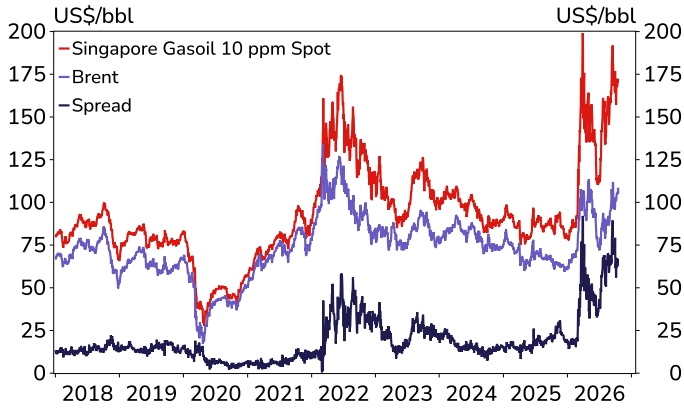
Oil Price Scenarios

Brent Crude Oil, Quarter-Average



Source: Bloomberg, Macrobond, Westpac Economics

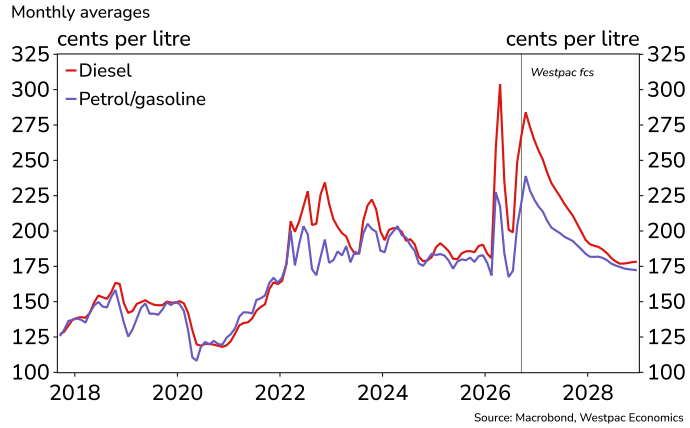
Singapore gasoil crack remains elevated



Source: Bloomberg, Macrobond, Westpac Economics

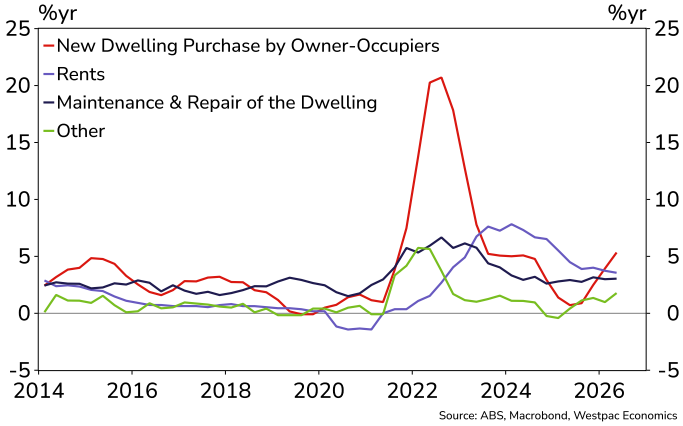
Australian pump prices for auto fuel

Monthly averages



Source: Macrobond, Westpac Economics

Housing-related Inflation



Source: ABS, Macrobond, Westpac Economics

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16 October 2026

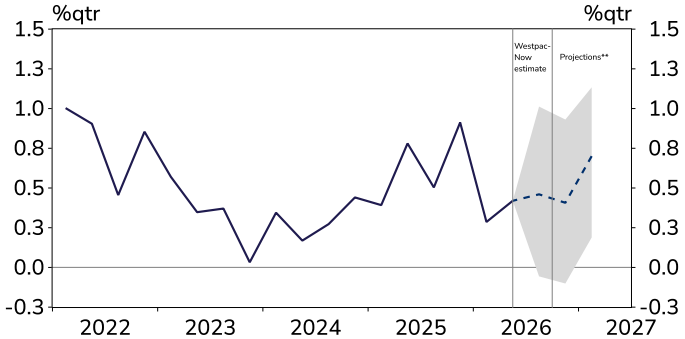
WESTPAC NOWCAST Q3 2026: SECOND ESTIMATE

Growth falters through the quarter

Key points

- The second estimate from Westpac-Now points to GDP growth of around +0.5%qtr in Q3 2026 and 2.1%yr. This is slightly lower than the first estimate of +0.6%qtr. This still represents a slight step up in growth from Q2 2026 but masks some loss of momentum over the course of the quarter.
- Our Monthly Activity Index deteriorated noticeably in August and September. Weakness has become increasingly broad-based, with labour and business condition indicators among the largest drags and relatively few areas providing a meaningful offset.
- The economy is coming under increasing pressure as the cumulative impact of higher interest rates combines with renewed disruptions in global energy markets and a deepening housing downturn. With another rate hike likely in November, these pressures are expected to build further heading into 2027.
- Overall, the economy is becoming increasingly reliant on the upswing in business investment to support growth. This narrow base of growth has left the balance of risks less favourable. Our central case remains one of slowing rather than stalling. Westpac-Now's current model dynamics point to growth moderating to around +0.4%qtr in Q4 2026. Our formal forecasts have growth slowing to a softer +0.2%qtr pace (see here).
- Our final Westpac-Now estimate for Q3 2026 will be published on 20 November.

GDP Growth*



Source: ABS, Macrobond, Westpac Economics
*Dotted line shows Westpac-Now central estimates. Quarter ahead (or Q3 2026) relies on the actual Westpac monthly activity index to September 2026.
**Beyond the quarter ahead, estimates rely on projections of the Westpac monthly activity index generated using internal model dynamics. Confidence intervals reflect empirical out of sample forecasting errors.

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Growth momentum on shaky ground

Neha Sharma
Economist

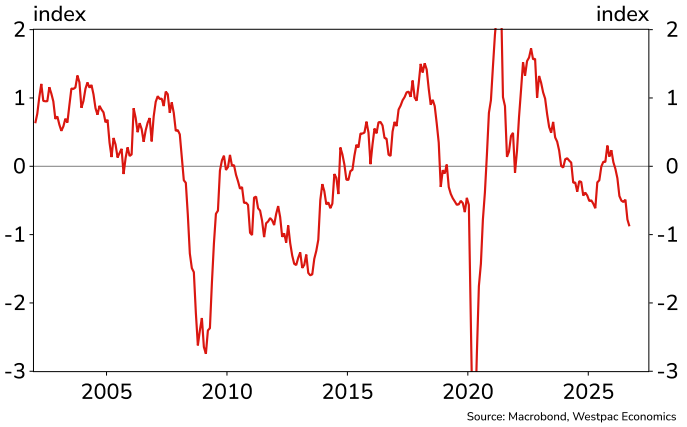
In November 2025, we introduced Westpac-Now (see here), a continuously-updated measure of current activity in the Australian economy. Westpac-Now draws on more than 60 high frequency economic and financial variables, using advanced statistical techniques to provide a timely pulse check on economic momentum. It is the first Australian model to incorporate internal banking data, enhancing its predictive power.

This note provides the second estimate of GDP growth for the September quarter 2026, using domestic and international data released up to and including the September Labour Force Survey (released 15 October 2026). Updates are published monthly (see Appendix A for the release schedule).

Westpac Monthly Activity Index: activity falters as headwinds mount

After showing tentative signs of improvement through the second half of 2025, the Westpac Monthly Activity Index has weakened markedly over 2026. The Index moved back into negative territory in February and has declined further since. While there were some signs of stabilisation around mid-year, this proved to be short lived with the Index falling to –0.88 in September, outside of the pandemic period, the weakest read since 2013.

Westpac Monthly Activity Index



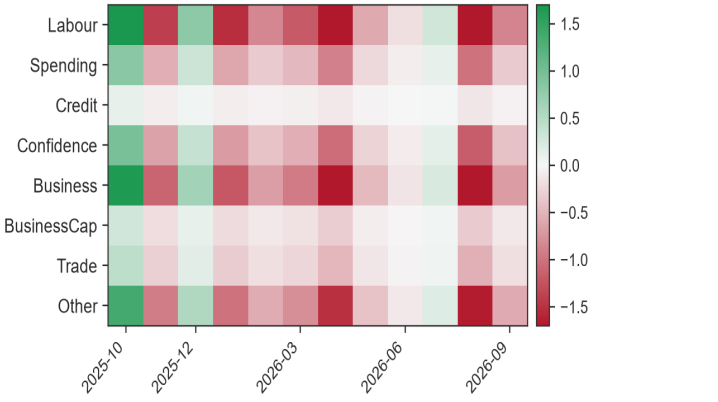
Source: Macrobond, Westpac Economics

The economy is coming under pressure from multiple fronts, with key headwinds coming from higher interest rates, renewed disruptions to global energy markets and a deepening in the housing downturn. Among households, spending held up surprisingly well through the first half of the year despite historically weak sentiment, but more recently spending outside of fuel has started to cool (see here). At the same time, the labour market has continued to soften, with unemployment reaching a cycle high of 4.7% (see here). Meanwhile, the business sector is also showing signs of softening, with sentiment deteriorating and conditions holding at weak levels (see here). Business credit growth remains a notable exception, although even here there are tentative signs of easing (see here).

This deterioration is particularly evident in our heatmap. Negative contributions have become both broader and more pronounced through 2026, with the weakness intensifying in August and September. Labour and business condition indicators are now the largest sources of weakness, while spending and confidence have also deteriorated materially. Credit and capacity utilisation indicators have been comparatively less negative, but there are currently few areas providing a meaningful offset to the broader softening.

Our indicator heatmap decomposes changes in the Monthly Activity Index into group-level contributions, allowing us to assess which components are driving movements in activity. For ease of interpretation, indicators are grouped into broad categories (see the Appendix for further details). For example, the labour market category includes both official ABS Labour Force Survey outcomes and timelier survey-based measures of labour demand and job advertisements.

The Common Activity Factor Heatmap by Groups



Westpac-Now: Resilient growth outlook slowing not stalling

Recall that Westpac-Now is a refined indicator that combines our Monthly Activity Index with advanced econometric techniques to estimate GDP growth. As previously noted, the fit is not expected to be exact. Measured GDP includes

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components that are not well captured by high-frequency activity indicators, such as imputed rents for owner-occupiers, housing-related ownership transfer costs, public and business inventories, and depreciation.

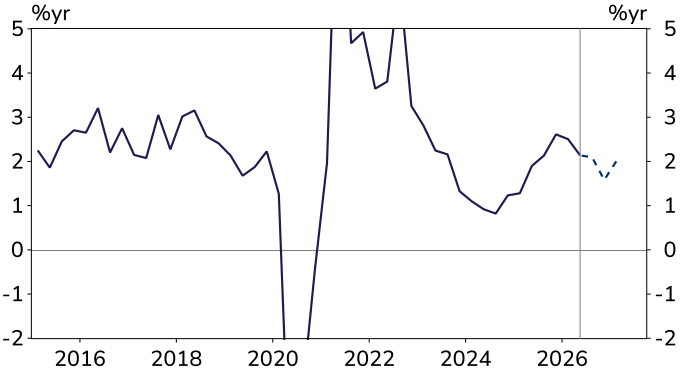
To bridge monthly and quarterly data, we use a MIDAS framework, allowing us to combine mixed-frequency inputs and incorporate partial information for the current quarter when producing GDP forecasts.

Based on current model estimates, Westpac-Now's second estimate for Q3 2026 points to GDP growth of 0.5%qtr (with a 70% confidence interval of –0.1%qtr to 1.0%qtr) and 2.1%yr, representing a slight downgrade from the first estimate of +0.6%qtr but still a step up from the 0.4%qtr (2.1%yr) outcome recorded in Q2 2026. While aggregate growth appears to have held up through Q3, the underlying picture became softer as the quarter progressed. At the second decimal place the estimate is 0.46%qtr, leaving it close to rounding down to 0.4%qtr.

With several headwinds now bearing on the economy simultaneously, there is a growing risk that the slowdown in activity becomes more pronounced than currently anticipated. At the same time, the strength of the business investment upswing provides an important counterweight that should help cushion the broader slowdown.

Looking ahead, model dynamics suggest growth will tick down to 0.4%qtr in Q4 2026 before picking up in Q1 2027. However, these projections remain much more tentative, given their reliance on projected inputs rather than realised data. In addition, heightened uncertainty, particularly around the renewed tensions in the Middle East conflict, means risks around these forward estimates are larger than usual.

Westpac-Now Estimates and Projections*



Source: ABS, Macrobond, Westpac Economics
*Dotted line show Westpac-Now central estimates. Quarter ahead (or Q3 2026) relies on actual Westpac-MAI to September 2026. Beyond the quarter ahead, estimates rely on projections of the Westpac-MAI generated using internal model dynamics.

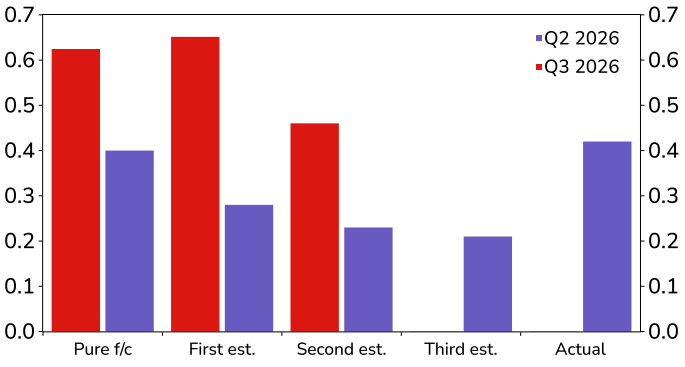
September Quarter data: a softer end to the quarter

Data released in the first month of the September quarter indicated that the economy has picked up momentum relative to the previous quarter, with our first nowcast estimating Q3 growth at 0.6%qtr, in line with the 0.6%qtr "pure forecast" based solely on data available up to June 2026.

However, the flow of data since then shows downside risks to growth have begun to materialise. Incorporating the August, followed by the September (to date), data both yielded nowcasts of 0.5%qtr (with a slight softening at the second decimal place). This contrasts with Q2 2026, when weakness emerged early in the quarter, in April, before subsequent data pointed to stabilisation.

Evolution of Westpac-Now

Within-quarter changes to Westpac-Now, quarterly % change



Source: ABS, Macrobond, Westpac Economics

Note that monthly activity estimates are more uncertain than normal when inflation is shifting. Faster price growth can cause nominal indicators, such as consumer spending, to rise more strongly even though 'real', inflation-adjusted spending may be softening (and vice versa). The inclusion of 'real' indicators, such as employment and banking transaction volumes, helps mitigate some – but not all – of this uncertainty.

Bottom line:

Westpac-Now points to GDP growth of around 0.5%qtr (2.1%yr) in Q3 2026, suggesting aggregate growth held up reasonably well through the quarter, although the flow of data points to softer momentum as the quarter progressed. The substantial upswing in business investment remains an important source of support, helping to offset mounting weakness elsewhere in the economy.

Looking ahead, the accumulation of headwinds is expected to see growth slow further towards year-end, with Westpac-Now currently pointing to growth of around 0.4%qtr in Q4 2026. Downside risks around the outlook have increased, but for now our central case remains one of slower growth rather than a material downturn.

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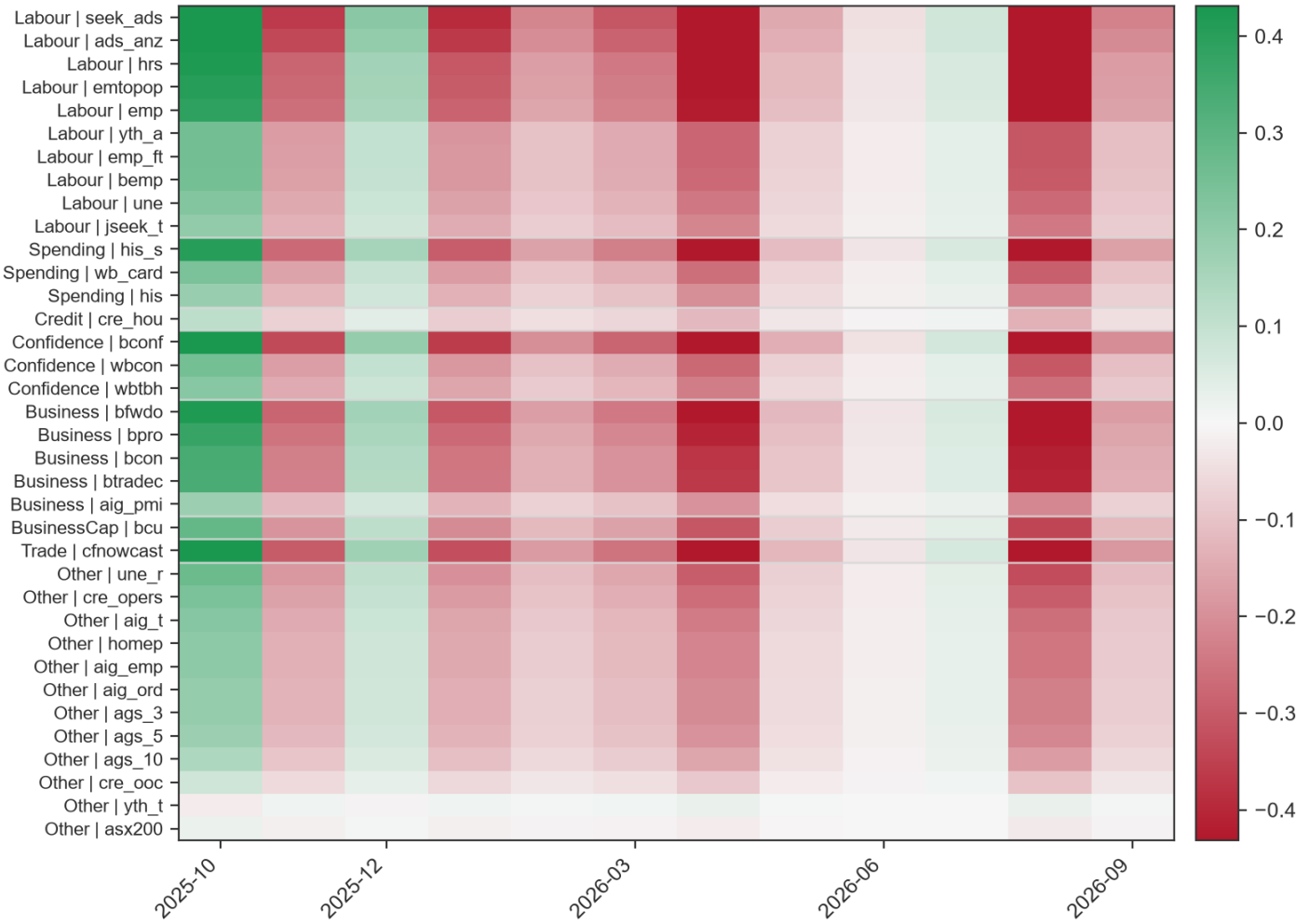
Appendix A: Westpac-Now Release Schedule (2026)

Going forward, Westpac Now will be published on the Friday following each ABS Labour Force Survey (LFS) release, at 11:30am AEDT/AEST (Canberra time). Each release incorporates the latest labour market data alongside other high frequency indicators and provides an updated nowcast for quarterly GDP growth. As the quarter progresses, each update should be interpreted as a progressively more complete estimate of that quarter's economic performance.

Release date (Friday)	LFS reference month	Quarter focus	Interpretation
20 November 2026	October 2026	Q3 2026 – final estimate	Near complete read on Q3 activity
18 December 2026	November 2026	Q4 2026 – first estimate	Initial assessment of Q4 momentum

Appendix B: The common activity factor heatmap by indicators



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5 November 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

The Democrats swept the US mid-term elections, taking control of both houses of Congress, with Vice President Vance blaming the result on the war with Iran and President Trump stating that he currently has no plans to strike Iran again, raising hopes that a quicker end to the conflict could now be in sight.

Oil prices responded decisively to the election result and President Trump's comments, with Brent tumbling around 8% to US$95.4/bbl, its lowest level in around two months, as markets pared back some of the geopolitical risk premium built into crude.

The sharp fall in oil drove a rebound in risk sentiment, sending US and European equities markedly higher while Treasuries rallied, with the 2Y and 10Y yields falling 6bps and 8bps respectively as some of the inflation risk premium embedded in rates unwound.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.7	0.0%
AUD/USD	0.7008	0.6%
AUD/JPY	111.06	0.5%
AUD/GBP	0.5202	0.2%
AUD/NZD	1.2465	0.0%
AUD/EUR	0.6241	0.3%
AUD/CNH	4.6782	0.7%
AUD/SGD	0.8964	0.4%
AUD/HKD	5.4981	0.6%
AUD/CAD	0.9788	0.3%
EUR/USD	1.1229	0.3%
USD/JPY	158.48	-0.1%
USD Index	101.53	-0.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.85	0.05
90 day BBSY	4.98	0.02
180 day BBSY	5.32	0.01
1 year swap	4.95	-0.01
2 year swap	4.81	-0.05
3 year swap	4.73	-0.07
4 year swap	4.73	-0.07
5 year swap	4.75	-0.07
6 year swap	4.80	-0.08
7 year swap	4.84	-0.08
8 year swap	4.89	-0.08
9 year swap	4.94	-0.08
10 year swap	4.98	-0.08

Equities	Close	Change
S&P/ASX 200	8,834	-0.6%
S&P 500	7,698	1.7%
Japan Nikkei	62,189	-1.4%
Hang Seng	23,920	1.7%
Euro Stoxx 50	6,266	2.0%
UK FTSE100	10,829	1.8%
VIX Index	16.84	-19.2%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.75	0.00
10 year bond	5.08	0.00
United States		
3-month T Bill	4.02	0.00
2 year bond	4.57	-0.06
10 year bond	4.89	-0.08
Other (10 year yields)		
Germany	3.27	-0.06
Japan	2.82	0.04
UK	5.13	-0.13

Commodities	Current	Change
CRB Index	389.01	-2.3%
Gold	4063.51	3.4%
Copper	14011	-0.2%
Oil (WTI futures)	88.75	-7.6%
Coal (coking)	258.50	0.2%
Coal (thermal)	147.25	-1.1%
Iron Ore	91.85	1.3%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.04	-0.05
3 yr bond	4.69	-0.05
3 mth bill rate	4.77	0.00
SPI 200	9,025	1.9%

Data as at 7:30am AEDT. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

The Democrats swept the US mid-term elections, winning both houses of congress. Vice President Vance blamed the war with Iran for the result, and President Trump has stated he currently has no plans to strike Iran again. Oil responded decisively to these results and comments, driving a rebound in risk sentiment overnight.

- Share markets bounced significantly higher as oil prices dropped sharply in the wake of the Democratic sweep of congress. In the US, the S&P 500 (+1.7%), Dow Jones (+3.2%) and NASDAQ (+1.8%) all jumped. Moves were similar across the pond, the Euro Stoxx 50 (+2.0%) and London's FTSE 100 (+1.8%) both bouncing higher too. Stocks were mixed across Asia, given it pre-dated the sharp fall in oil overnight, with gains in Hong Kong (+1.7%), Shanghai (+2.3%) and Seoul (+0.6%) met with a decline in Tokyo (1.4%). The ASX 200 also fell 0.6% yesterday, but following the action overnight, futures markets are pointing to a strong open this morning.
- Treasuries rallied in response to the sharp drop in oil prices following the outcome of the US midterm elections, seeing the 2Y drop 6bps to 4.57%, while the 10Y fell 8bps to 4.89%. Given the timing and quantum of rate hikes expected by the market has not shifted materially – still around 20bps prices in for November, and another 1-2 rate hikes pencilled in by mid-2027 – the drop yields overnight appears to speak more to an unwind of an inflation risk premium rather than a curbing of interest rate hike expectations at this stage.
- Yields moved in a broadly similar direction offshore, the 10Y Bund and Gilt down 6bps and 13bps respectively, while the 10Y JGB rose 4bps as it pre-dating much of the price action overnight. ACGBs were steady during local trading but rallied in futures trading overnight, both the 3Y and 10Y down 5bps. Market pricing tentatively suggests that the RBA's rate hike earlier this week will be the last of the cycle, with no further moves more than 50% priced in through to late-2027.
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5 November 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

The Democrats swept the US mid-term elections, taking control of both houses of Congress, with Vice President Vance blaming the result on the war with Iran and President Trump stating that he currently has no plans to strike Iran again, raising hopes that a quicker end to the conflict could now be in sight.

Oil prices responded decisively to the election result and President Trump's comments, with Brent tumbling around 8% to US$95.4/bbl, its lowest level in around two months, as markets pared back some of the geopolitical risk premium built into crude.

The sharp fall in oil drove a rebound in risk sentiment, sending US and European equities markedly higher while Treasuries rallied, with the 2Y and 10Y yields falling 6bps and 8bps respectively as some of the inflation risk premium embedded in rates unwound.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.7	0.0%
AUD/USD	0.7008	0.6%
AUD/JPY	111.06	0.5%
AUD/GBP	0.5202	0.2%
AUD/NZD	1.2465	0.0%
AUD/EUR	0.6241	0.3%
AUD/CNH	4.6782	0.7%
AUD/SGD	0.8964	0.4%
AUD/HKD	5.4981	0.6%
AUD/CAD	0.9788	0.3%
EUR/USD	1.1229	0.3%
USD/JPY	158.48	-0.1%
USD Index	101.53	-0.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.85	0.05
90 day BBSY	4.98	0.02
180 day BBSY	5.32	0.01
1 year swap	4.95	-0.01
2 year swap	4.81	-0.05
3 year swap	4.73	-0.07
4 year swap	4.73	-0.07
5 year swap	4.75	-0.07
6 year swap	4.80	-0.08
7 year swap	4.84	-0.08
8 year swap	4.89	-0.08
9 year swap	4.94	-0.08
10 year swap	4.98	-0.08

Equities	Close	Change
S&P/ASX 200	8,834	-0.6%
S&P 500	7,698	1.7%
Japan Nikkei	62,189	-1.4%
Hang Seng	23,920	1.7%
Euro Stoxx 50	6,266	2.0%
UK FTSE100	10,829	1.8%
VIX Index	16.84	-19.2%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.75	0.00
10 year bond	5.08	0.00
United States		
3-month T Bill	4.02	0.00
2 year bond	4.57	-0.06
10 year bond	4.89	-0.08
Other (10 year yields)		
Germany	3.27	-0.06
Japan	2.82	0.04
UK	5.13	-0.13

Commodities	Current	Change
CRB Index	389.01	-2.3%
Gold	4063.51	3.4%
Copper	14011	-0.2%
Oil (WTI futures)	88.75	-7.6%
Coal (coking)	258.50	0.2%
Coal (thermal)	147.25	-1.1%
Iron Ore	91.85	1.3%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.04	-0.05
3 yr bond	4.69	-0.05
3 mth bill rate	4.77	0.00
SPI 200	9,025	1.9%

Data as at 7:30am AEDT. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

The Democrats swept the US mid-term elections, winning both houses of congress. Vice President Vance blamed the war with Iran for the result, and President Trump has stated he currently has no plans to strike Iran again. Oil responded decisively to these results and comments, driving a rebound in risk sentiment overnight.

- Share markets bounced significantly higher as oil prices dropped sharply in the wake of the Democratic sweep of congress. In the US, the S&P 500 (+1.7%), Dow Jones (+3.2%) and NASDAQ (+1.8%) all jumped. Moves were similar across the pond, the Euro Stoxx 50 (+2.0%) and London's FTSE 100 (+1.8%) both bouncing higher too. Stocks were mixed across Asia, given it pre-dated the sharp fall in oil overnight, with gains in Hong Kong (+1.7%), Shanghai (+2.3%) and Seoul (+0.6%) met with a decline in Tokyo (1.4%). The ASX 200 also fell 0.6% yesterday, but following the action overnight, futures markets are pointing to a strong open this morning.
- Treasuries rallied in response to the sharp drop in oil prices following the outcome of the US midterm elections, seeing the 2Y drop 6bps to 4.57%, while the 10Y fell 8bps to 4.89%. Given the timing and quantum of rate hikes expected by the market has not shifted materially – still around 20bps prices in for November, and another 1-2 rate hikes pencilled in by mid-2027 – the drop yields overnight appears to speak more to an unwind of an inflation risk premium rather than a curbing of interest rate hike expectations at this stage.
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- The USD slipped overnight, the DXY down 0.3% to around 101.5. Most G10 currencies appreciated versus the greenback, including the Euro (+0.3%), Yen (+0.1%), Sterling (+0.4%) and Loonie (+0.3%). The Aussie dollar rose by a stronger clip, up 0.6% to be back above the USD0.70 mark. The Kiwi dollar also jumped 0.6% to be back above USD0.56, recovering from the sell-off during local hours after the downside surprise on labour market data.
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5 November 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

The Democrats swept the US mid-term elections, taking control of both houses of Congress, with Vice President Vance blaming the result on the war with Iran and President Trump stating that he currently has no plans to strike Iran again, raising hopes that a quicker end to the conflict could now be in sight.

Oil prices responded decisively to the election result and President Trump's comments, with Brent tumbling around 8% to US$95.4/bbl, its lowest level in around two months, as markets pared back some of the geopolitical risk premium built into crude.

The sharp fall in oil drove a rebound in risk sentiment, sending US and European equities markedly higher while Treasuries rallied, with the 2Y and 10Y yields falling 6bps and 8bps respectively as some of the inflation risk premium embedded in rates unwound.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.7	0.0%
AUD/USD	0.7008	0.6%
AUD/JPY	111.06	0.5%
AUD/GBP	0.5202	0.2%
AUD/NZD	1.2465	0.0%
AUD/EUR	0.6241	0.3%
AUD/CNH	4.6782	0.7%
AUD/SGD	0.8964	0.4%
AUD/HKD	5.4981	0.6%
AUD/CAD	0.9788	0.3%
EUR/USD	1.1229	0.3%
USD/JPY	158.48	-0.1%
USD Index	101.53	-0.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.85	0.05
90 day BBSY	4.98	0.02
180 day BBSY	5.32	0.01
1 year swap	4.95	-0.01
2 year swap	4.81	-0.05
3 year swap	4.73	-0.07
4 year swap	4.73	-0.07
5 year swap	4.75	-0.07
6 year swap	4.80	-0.08
7 year swap	4.84	-0.08
8 year swap	4.89	-0.08
9 year swap	4.94	-0.08
10 year swap	4.98	-0.08

Equities	Close	Change
S&P/ASX 200	8,834	-0.6%
S&P 500	7,698	1.7%
Japan Nikkei	62,189	-1.4%
Hang Seng	23,920	1.7%
Euro Stoxx 50	6,266	2.0%
UK FTSE100	10,829	1.8%
VIX Index	16.84	-19.2%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.75	0.00
10 year bond	5.08	0.00
United States		
3-month T Bill	4.02	0.00
2 year bond	4.57	-0.06
10 year bond	4.89	-0.08
Other (10 year yields)		
Germany	3.27	-0.06
Japan	2.82	0.04
UK	5.13	-0.13

Commodities	Current	Change
CRB Index	389.01	-2.3%
Gold	4063.51	3.4%
Copper	14011	-0.2%
Oil (WTI futures)	88.75	-7.6%
Coal (coking)	258.50	0.2%
Coal (thermal)	147.25	-1.1%
Iron Ore	91.85	1.3%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.04	-0.05
3 yr bond	4.69	-0.05
3 mth bill rate	4.77	0.00
SPI 200	9,025	1.9%

Data as at 7:30am AEDT. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

The Democrats swept the US mid-term elections, winning both houses of congress. Vice President Vance blamed the war with Iran for the result, and President Trump has stated he currently has no plans to strike Iran again. Oil responded decisively to these results and comments, driving a rebound in risk sentiment overnight.

- Share markets bounced significantly higher as oil prices dropped sharply in the wake of the Democratic sweep of congress. In the US, the S&P 500 (+1.7%), Dow Jones (+3.2%) and NASDAQ (+1.8%) all jumped. Moves were similar across the pond, the Euro Stoxx 50 (+2.0%) and London's FTSE 100 (+1.8%) both bouncing higher too. Stocks were mixed across Asia, given it pre-dated the sharp fall in oil overnight, with gains in Hong Kong (+1.7%), Shanghai (+2.3%) and Seoul (+0.6%) met with a decline in Tokyo (1.4%). The ASX 200 also fell 0.6% yesterday, but following the action overnight, futures markets are pointing to a strong open this morning.
- Treasuries rallied in response to the sharp drop in oil prices following the outcome of the US midterm elections, seeing the 2Y drop 6bps to 4.57%, while the 10Y fell 8bps to 4.89%. Given the timing and quantum of rate hikes expected by the market has not shifted materially – still around 20bps prices in for November, and another 1-2 rate hikes pencilled in by mid-2027 – the drop yields overnight appears to speak more to an unwind of an inflation risk premium rather than a curbing of interest rate hike expectations at this stage.
- Yields moved in a broadly similar direction offshore, the 10Y Bund and Gilt down 6bps and 13bps respectively, while the 10Y JGB rose 4bps as it pre-dating much of the price action overnight. ACGBs were steady during local trading but rallied in futures trading overnight, both the 3Y and 10Y down 5bps. Market pricing tentatively suggests that the RBA's rate hike earlier this week will be the last of the cycle, with no further moves more than 50% priced in through to late-2027.
- The USD slipped overnight, the DXY down 0.3% to around 101.5. Most G10 currencies appreciated versus the greenback, including the Euro (+0.3%), Yen (+0.1%), Sterling (+0.4%) and Loonie (+0.3%). The Aussie dollar rose by a stronger clip, up 0.6% to be back above the USD0.70 mark. The Kiwi dollar also jumped 0.6% to be back above USD0.56, recovering from the sell-off during local hours after the downside surprise on labour market data.
- Crude oil prices continued to drift lower through much of yesterday as early results trickled in, before dropping sharply overnight as markets digested the Democratic sweep in the mid-term elections and President Trump's comments that he does not have plans to strike Iran, both taken as signs that a quicker end to the conflict could now be in sight. Brent dropped 7.9% to US$95.4/bbl, the lowest level in about two months. Against the backdrop of a softer USD and lower real yields, gold prices managed to jump back above the US$4,000/oz mark overnight. Metals were much more stable meanwhile, LME copper and aluminium nudging 0.2% lower and 0.1% higher respectively.

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Trade Balance Sep	$1000m	$495m
11:30	JP S&P Global Services PMI Oct Final	-	52pts
21:00	EZ PPI Sep	2.6%	1.9%
23:00	GB BoE Policy Decision	4.00%	3.75%
0:30	US Productivity Q3 Prel.	2.6%	1.4%
0:30	US Initial Jobless Claims 31/10/2026	196k	194k

Times are AEDT. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

In the US, September's **trade balance** was slightly better than expected, holding to a deficit of US$105bn versus expectations for a modest deterioration. The result comes as exports rose 1.9% while imports gained 1.2%. Meanwhile, the **ISM services** index edged down from 54.9 to 54.5 in October. In the component detail, new orders deteriorated materially, the sub-index falling from 59.8 to 55.9; but employment strengthened at the margin, from 50.1 to 51.4. Prices paid were little changed in the month at an elevated 73.0.

In the Euro Area, October's **CPI** met expectations, rising 0.4% in the month and 4.0% over the year on a headline basis, versus 3.8%yr in September. On a core basis, inflation was unchanged at 2.5%yr.

Domestic Data

In Australia, **household spending** rose 0.6%mth in September on a nominal basis, though price gains look to have played a significant role, with real spending up 0.7%qtr in Q3 (see here).

In New Zealand, the Q3 **labour market statistics** came in weaker than Westpac and the RBNZ anticipated, as the unemployment rate rose to 5.7% (see here). Our NZ Chief Economist considers the impact of the data on the RBNZ here.

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Cliff Notes: the source and persistence of inflation

#cliffnotes #rba #australia #inflation #us #fomc #ecb #aud #usd

By Ryan Wells, Illiana Jain & Elliot Clarke

11:16 October 30 2026

Share

Key insights from the week that was.

In Australia this week, all eyes were on the September CPI. Headline inflation rose 0.8% (4.3%yr) in the month, largely owing to a 9.4% jump in fuel prices and a seasonal surge in domestic and international holiday travel & accommodation. The underlying inflation pulse also proved hotter than anticipated for Q3 overall, up 1.0% (3.7%yr).

While some parts of the basket are seeing disinflation – housing in particular looks to be cooling faster than expected as builders lure sales with discounts – other components are still showing persistence. Highlighting this is market services ex volatiles, which the RBA watches closely as an indicator of price pressures related to domestic capacity. In Q3, this metric rose 1.2% (3.2%yr), and the monthly detail points to momentum holding up – in line with our expectations for another chunky read in Q4.

With inflation running well above the RBA's August forecasts, and some of the energy risks flagged then materialising, we continue to expect the Monetary Policy Board will deliver a 25bp rate hike to 4.85% in November. Beyond November, another rate hike in February is a risk, but is not currently part of our base case.

Across the Tasman, the RBNZ this week surprised market expectations for a 25bp rate hike, deciding instead to wait for further information before taking the next step with policy. The decision was made 4:3, with the Governor in the 'on hold' camp. A 25bp hike in December to 3.00% and further tightening in 2027 (Westpac NZ forecasts a peak of 4.00% in September) seems probable; however, each decision will depend on fuel prices, inflation expectations and evidence of second-round pricing pressures, along with the evolution of global economic risks.

In the US, the FOMC also held rates steady at its October meeting. Based on prior comments by key members, the decision was not a surprise, and neither were Governor Cook and Cleveland Fed President Hammack's dissents in favour of a 25bp hike. The Committee remains positive on economic activity, characterising it in the statement as "expanding at a strong pace" (an upgrade from "solid" in September). Chair Warsh also subsequently emphasised the breadth of economic growth outside of tech-related investment (evinced by Q3 GDP the day after; see below).

The Committee refrained from spotlighting key price risks in the statement. However, inflation "remains elevated" and the FOMC are determined to achieve a "timely" and sustainable return of annual inflation to 2.0%yr after 6 years above target. This guidance and the "accumulation of more information will help the Committee determine the policy stance" suggests another 25bp hike is likely in December. Thereafter, the FOMC will remain attentive to any broadening in inflation and related risks through 2027; although, in the absence of another shock, we expect them to remain on hold.

The Q3 GDP report certainly supported Chair Warsh's view on the breadth of growth, the 3.4% annualised gain for GDP benefitting from a 3.8% annualised increase in household consumption, 12.7% growth in non-residential investment as well as a robust increase in government spending. Notably though, the contribution from business investment was effectively offset by net exports' drag given most of the componentry related to AI infrastructure investment is imported. This is not to say that US firms won't benefit from the investment once complete, but simply that much of the initial return goes to the foreign businesses who provide the necessary capital equipment.

On consumption, the monthly PCE data implies downside risks remain for the consumer, the increase in nominal spending seen in the month requiring dissaving and, on a real basis, consumption flat in the month following a 0.5% gain in August. Cost-of-living pressures and uncertainty over the outlook is

expected to see household consumption growth average around trend over the coming year, albeit with considerable volatility quarter to quarter. This should see PCE inflation slow back towards its 2.0%yr medium-term target as the FOMC desires, from 3.6%yr and 3.1%yr for the headline and core measures respectively as of September.

Across the Atlantic, the ECB also left its key policy rates unchanged in October. Of note from the meeting communications, energy prices continue to pose upside risks for inflation, but also downside risks for growth. "While the full effects of the energy shock are still unfolding, underlying inflation has remained broadly stable so far and wages do not show a material response". "Financing conditions have [also] tightened", "which is likely to weigh on inflation and growth". In the press conference, President Lagarde noted that, between the October and December meetings, a significant amount of new economic information will be released, allowing forecasts and risks assessments to be tested.

Based on the October meeting communications, we continue to expect a rate hike at the December meeting but believe this will be prove to be the last hike of the cycle. Note though, the spectrum of risks Europe faces is broad and skewed towards inflation in the near term, hence the Council’s guidance will remain hawkish. President Lagarde also announced today that she will step down as ECB President in February ahead of the scheduled conclusion of her term next October.

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September CPI: Inflation accelerating in the run up to Christmas

#inflation #australia #rba #economicbulletinsaustralia #inflation

By Justin Smirk & Neha Sharma

16:08 October 28 2026

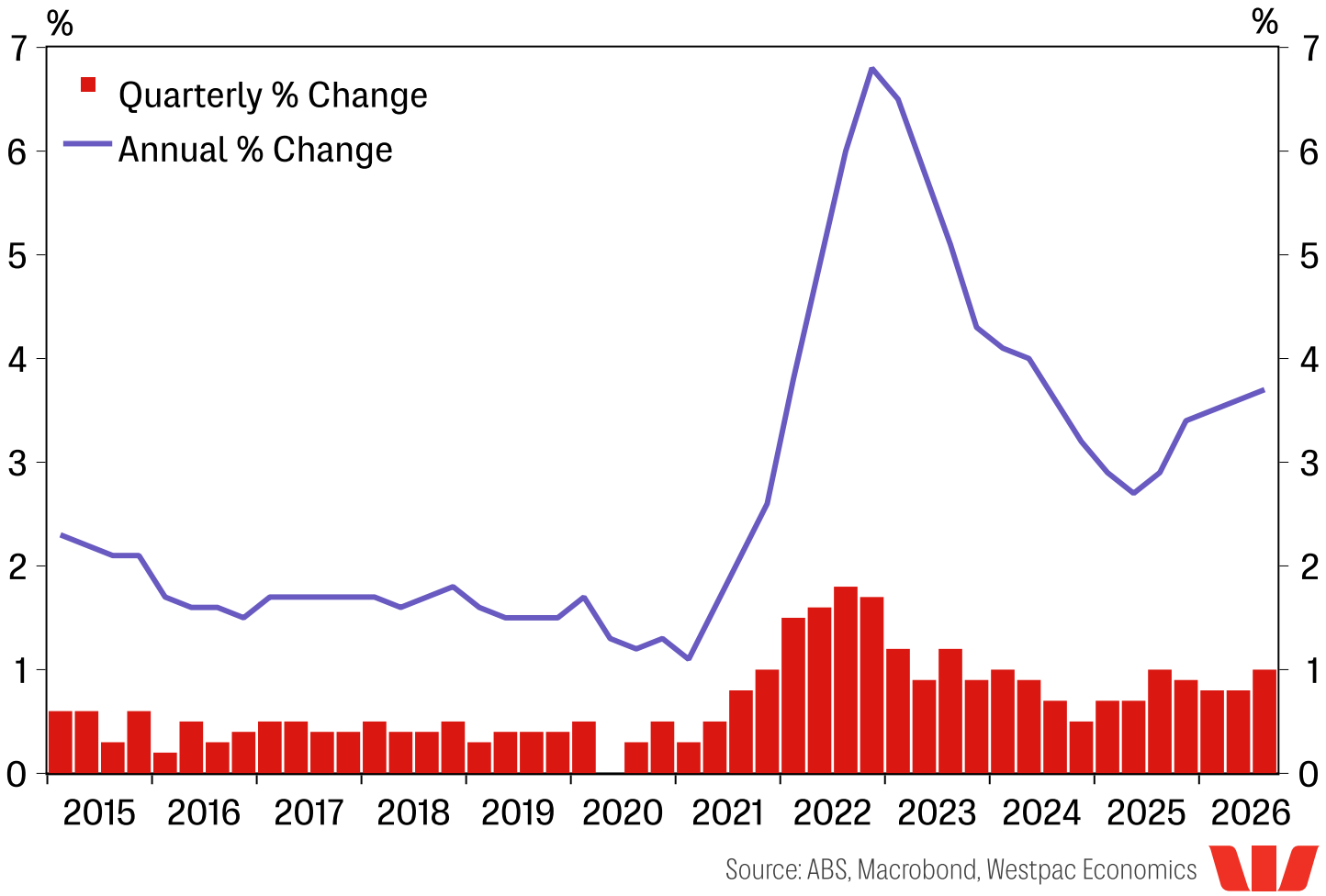
Share

September Monthly CPI: Headline 0.8%mth/4.3%yr, Trimmed Mean 0.3.%mth/3.6%yr. Market services ex volatile 1.6%mth/4.0%yr. September Quarter CPI: Headline 1.3%qtr/3.9%yr; Trimmed Mean 1.0%qtr/3.7%yr.

- The CPI rose 0.8% in the September month, stronger than Westpac's 0.6% estimate and the market's expectation of 0.7%. The annual pace picked up from 4.0%yr to 4.3%yr, The seasonally adjusted CPI rose 0.6% in September highlighting some positive seasonality in the month.

- Key factors driving the headline monthly result were: automotive fuels (9.4%mth); domestic holiday travel & accommodation (8.0%mth); international holiday travel & accommodation (7.2%mth); and property rates & charges (5.5%mth). There were modest offsets from: women's garments (–3.1%mth); household textiles (–6.6%mth); and accessories (–4.1%mth).
- The Trimmed Mean (TM) gained 0.3% in September, spot on both Westpac and market expectations with the annual pace lifting from 3.5%yr (revised from 3.6%yr) to 3.6%yr. The six-month annualised pace is now 4.0%yr the fastest in the short history of this series.
- Headline CPI lifted 1.3% in the September quarter compared to an expectation of 1.3% by Westpac and 1.2% by the market. This saw the annual pace hold at 3.9%yr.
- **The RBA's key underlying inflation measure, the quarterly TM, lifted 1.0% vs an expectation of 0.9% by Westpac and market estimate of 1.0%. The annual pace lifted from 3.6%yr to 3.7%yr with the six-month annualised pace accelerating to 3.7%yr from 3.4%yr.**
- Overall, the estimates come in broadly as expected so we see minimal risk to our current December quarter forecast of 1.3%qtr for the headline CPI. Softer housing inflation does present a very modest downside risk to our 0.9%qtr for the TM but there are offsetting gains elsewhere.
- The September CPI update revealed underlying inflationary pressures continuing even while a moderation in housing inflation (dwellings in particular) is unfolding slightly faster than we had anticipated. As such, the near-term risk for inflation remains to the upside. The RBA will remain alert to these near-term inflationary risks and as so, we hold to the view that the RBA will raise rates again at the November meeting.

Quarterly Trimmed Mean Inflation



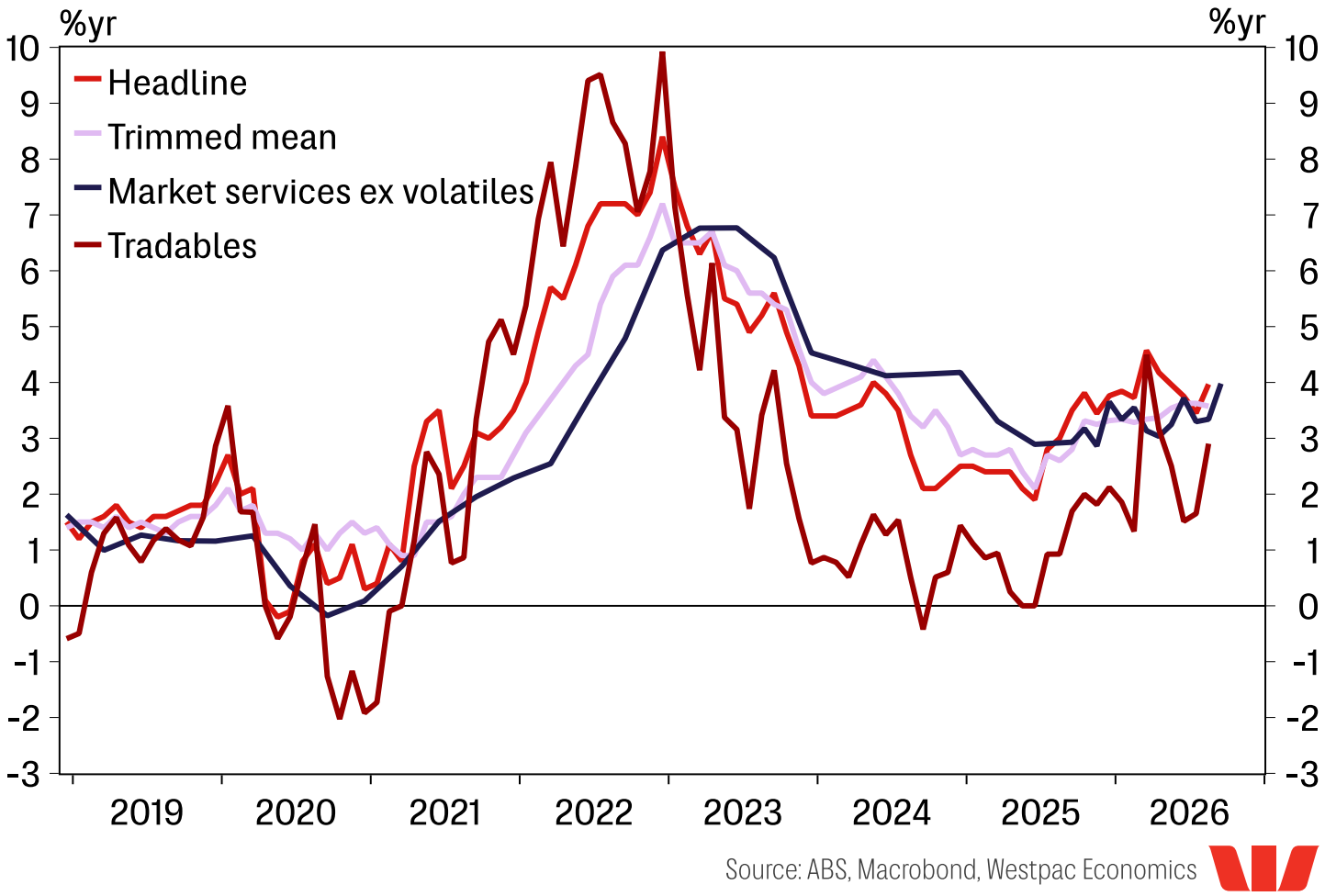
Month of September CPI

The monthly CPI rose 0.8%mth in September, above both our expectation of a 0.6%mth increase and the market forecast of 0.7%mth. This lifted the annual pace by 0.3ppts to 4.3%yr. On a seasonally adjusted basis, the CPI increased 0.6%mth.

The key contributors to the monthly increase were: automotive fuel (9.4%mth, +0.3ppts); and holiday travel & accommodation (7.6%mth, +0.5ppts), alongside a smaller contribution from the annual reset in property rates (5.5%mth, +0.1ppt). There was no single major offset. Instead, several components across household furnishings and clothing & footwear recorded modest declines, together subtracting a little over 0.1ppt from the monthly result.

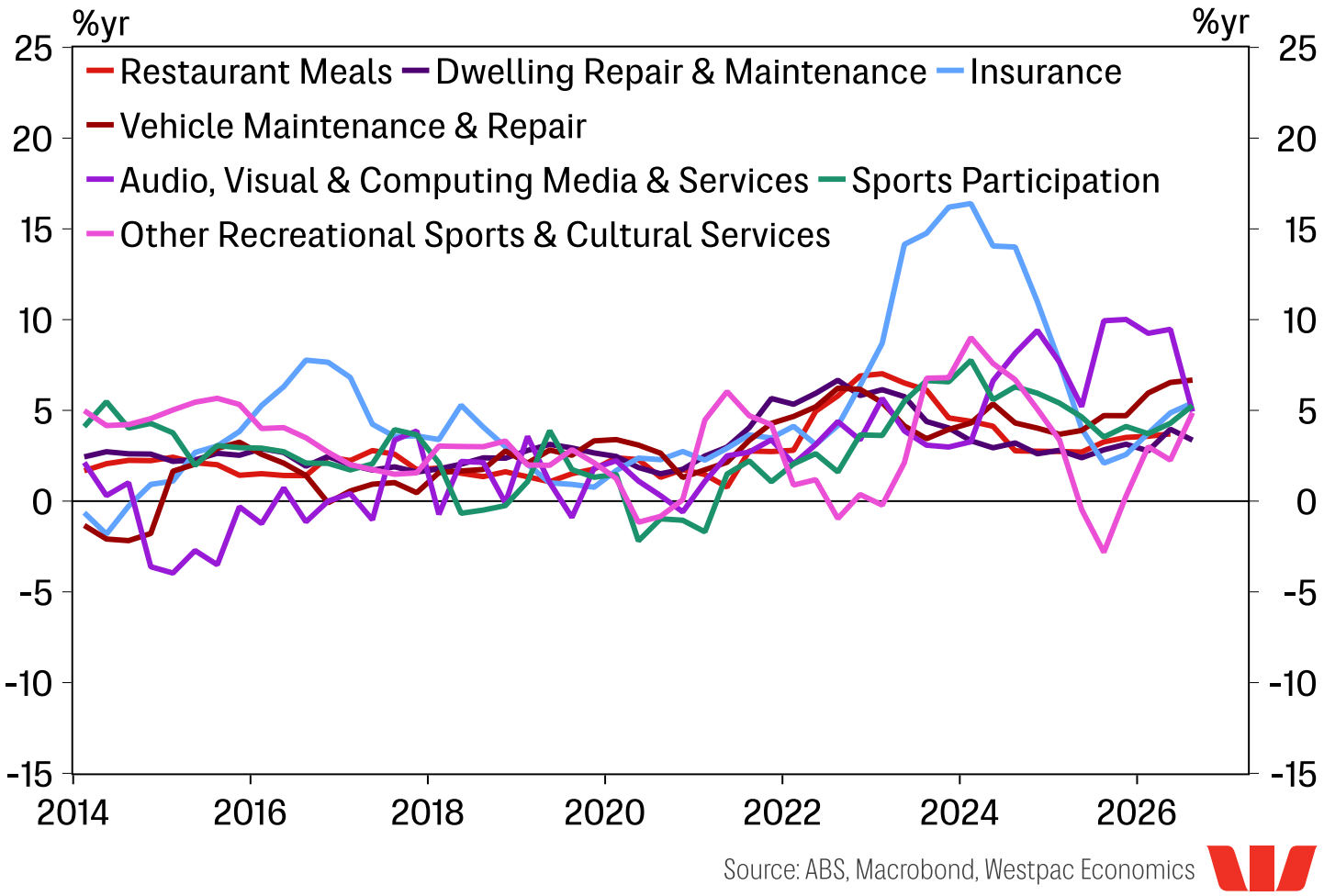
The monthly trimmed mean (TM) rose 0.3%mth, in line with both our and the market's expectations. The annual pace edged up to 3.6%yr, although the August outcome was revised down to 3.5%yr. Underlying inflation has remained broadly stuck in the 3.5–3.6%yr range since May. On a 3m/3m basis, the monthly TM was 1.1%.

Monthly Inflation Indicators



Market services excluding volatile items and holiday travel were flat in the month, with annual inflation easing to 3.8%yr, its softest pace since November 2025. On a seasonally adjusted basis, monthly inflation moderated across most components in this measure, with telecommunications services, rents and other financial services the key exceptions. However, all but two components are still recording annual price growth above 3%, suggesting that disinflation across market services remains slow and relatively narrow. The persistence of these underlying price pressures is likely to remain a concern for the RBA.

Selected Market Services



Source: ABS, Macrobond, Westpac Economics

Housing inflation was notably softer in the month, rising 0.3%mth to be 5.2% higher over the year. Rents increased 0.2%mth, slightly below our expectation for a 0.3%mth rise. The biannual indexation of Commonwealth Rent Assistance occurred late in the month, weighing on the September outcome, with the remainder of the impact expected to flow through in October. The ABS noted that rents would have risen 0.3%mth in the absence of the measure, while on a seasonally adjusted basis rents increased 0.4%mth.

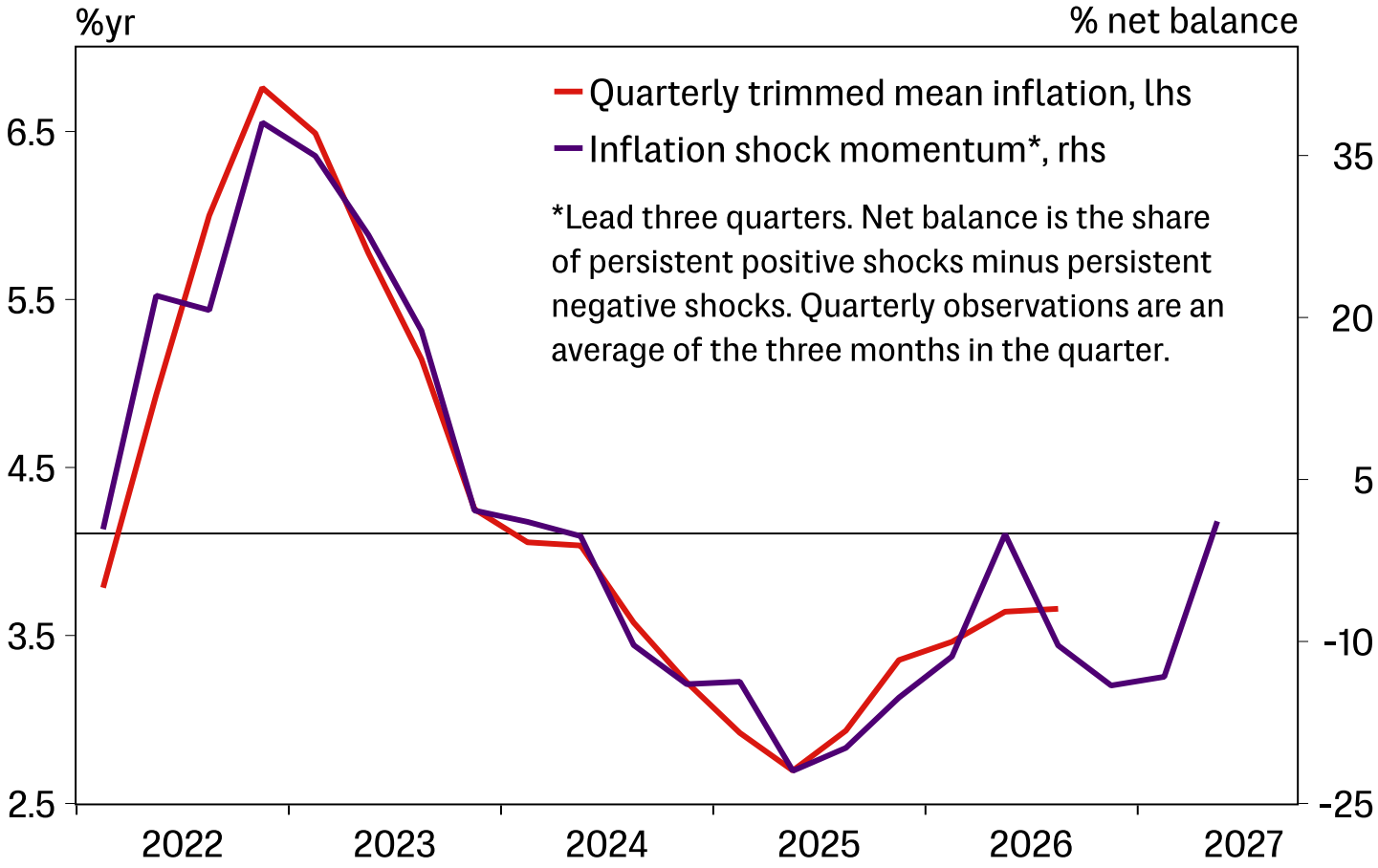
New dwelling inflation was flat in the month, the softest reading since May 2025. Monthly inflation has now slowed in each successive month since May 2026, suggesting homebuilders' pricing power is becoming increasingly constrained. The ABS noted that some project home builders raised base prices this month only to be offset by some builders increasing discounts and promotional offers in response to slowing demand. The annual pace eased to 4.7%yr. Dwelling repair costs were also a downside surprise, falling 0.1%mth, their first decline since February 2025, although prices remain 3.4% higher over the year. Some of this softness was offset by a firmer-than-expected increase in property rates and charges, which rose 5.6%mth.

Recently, we have also focused on audio, visual and computing given the potential for spillovers from strong global demand for semiconductors and other computing resources associated with the AI build out. Prices for both equipment and services came in weaker than August, with equipment prices falling 1.1%mth, while services rose 0.3%mth. Despite this, annual price growth remains relatively high for these categories, running at 4.6% and 4.9% respectively. Some of this pressure might also be showing

through in gaming, toys and hobbies, which is running at 5.2%mth/15.5%yr.

Overall, the breadth of inflation moderated for a second consecutive month. The share of the basket running above 3%yr fell from 40% to 35%, meanwhile the share below 2%yr lifted from 27% to 32%. Our replication of the San Francisco Fed's inflation shock momentum served as a good guide to the quarterly TM. With the full monthly reads in for the September quarter in, this measure does signal some persistence/upside pressures for the quarterly TM going into the coming quarters. It is worth cautioning that this measure will be impacted as the ABS refines its seasonal adjustment process for the monthly indexes.

Inflation Shock Momentum



Source: Federal Reserve Bank of San Francisco, Macrobond, Westpac Economics

Compared to our expectations, the key surprises were:

Upside surprises

- Fruit & vegetables was the key upside surprise, 0.6%mth against our expectations for 3.7%mth fall.
- Holiday travel & accommodation also surprised to the upside, following a run of downside surprises since early this year. It rose 7.6%mth against our expectations for a 4.4%mth lift.
- Automotive fuel rose 9.4%mth against expectations of an 8.3%mth lift.

Downside surprises

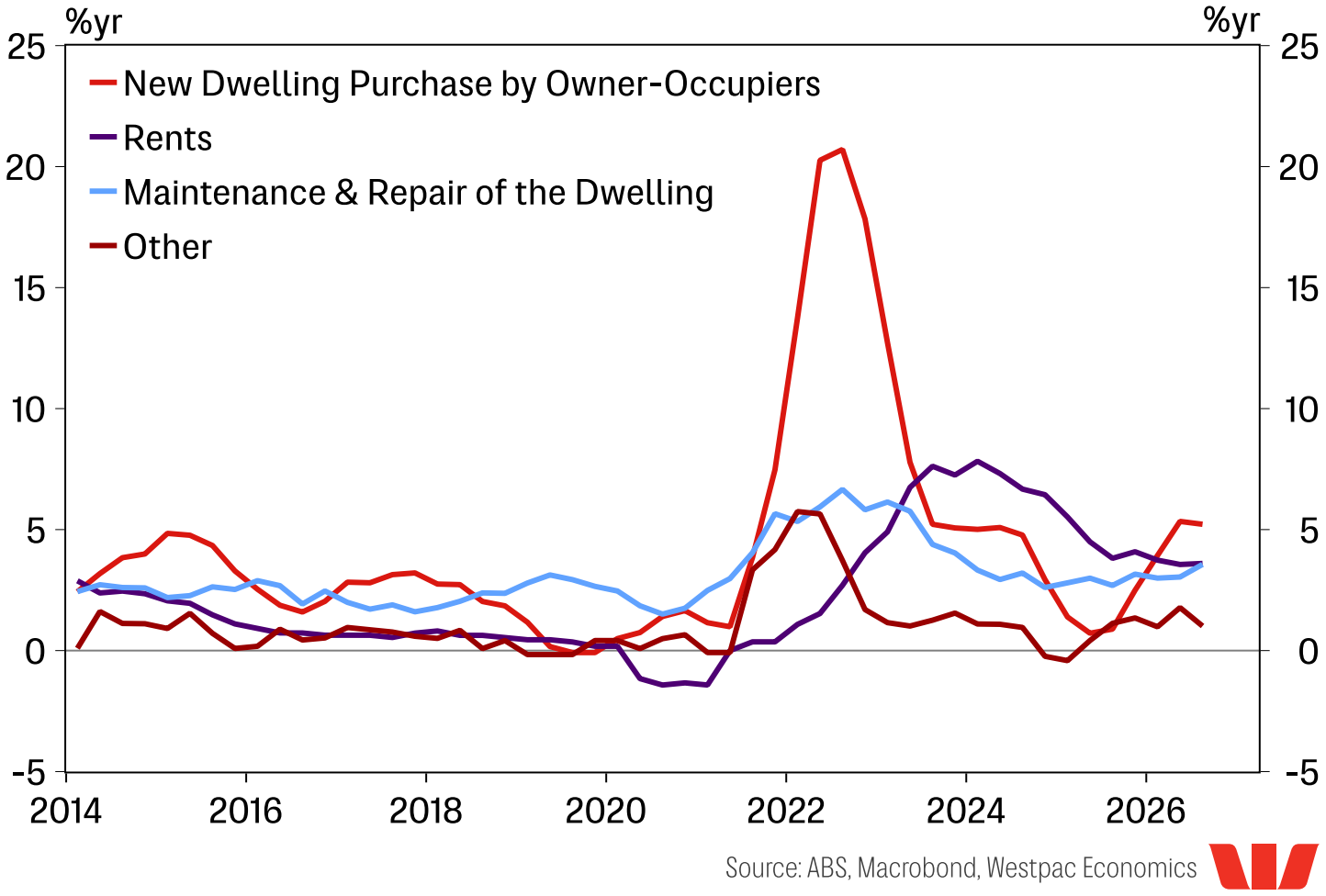
- Clothing & footwear was the key downside surprise with prices falling 2.7%mth against our expectations for a 0.2%mth fall. The misses were broad-based: garments (–2.3%mth vs –2.0%mth); footwear (–2.5%mth vs 1.8%mth); and accessories & clothing services (–4.1%mth vs 2.8%mth).
- Household textiles declined 6.6%mth against our expectations for a 3.2%mth fall. Furniture & furnishings rose by less-than-expected 0.4%mth vs 1.6%mth. Household appliances, utensils and tools also came in softer, –3.2%mth vs –2.4%mth.
- Dairy prices fell 1.2%mth against our expectations for a 0.1%mth lift.

	Qtr CPI	Monthly CPI			WBC fcs
CPI	Sep-26	Jul-26	Aug-26	Sep-26	Sep-26
Item	% qtr	% mth	% mth	% mth	% mth
Food	0.7	0.3	-0.1	0.0	-0.5
of which, bread & cereals	0.2	-0.3	0.0	-0.1	0.2
of which, meat & seafood	-0.4	0.2	-0.9	-0.7	0.0
of which, dairy & related products	1.4	0.2	-0.1	-1.2	0.1
of which, fruit & vegetables	-0.4	-0.8	-1.1	0.6	-3.7
of which, food products nec	0.0	0.0	0.3	0.5	0.0
of which, non-alcohol beverages	1.2	0.0	0.3	-0.4	-1.5
Alcohol & tobacco	1.7	1.2	0.5	0.7	1.1
of which, Alcohol	1.5	1.2	0.5	0.0	-0.3
of which, Tobacco	2.3	1.2	0.5	2.2	4.0
Clothing & footwear	-0.6	2.6	-0.9	-2.7	-0.2
of which, garments	-2.1	3.2	-1.9	-2.3	-2.0
Housing	1.1	0.4	0.2	0.3	0.6
of which, Rents	1.0	0.4	0.3	0.2	0.3
of which, House purchases	1.0	0.4	0.2	0.0	0.2
of which, Electricity	-1.2	-1.6	0.0	-0.8	0.0
of which, Gas & other fuels	3.5	2.8	0.0	-0.2	1.3
H/hold contents & services	1.2	4.4	-0.6	-0.6	-0.2
Health	-0.1	0.1	0.1	-0.3	-0.1
Transportation	3.3	2.6	4.2	3.0	2.0
of which, auto fuel	7.8	7.5	14.8	9.4	8.3
Communication	1.4	1.8	-0.2	0.5	-0.1
Recreation	2.5	1.8	-1.0	3.8	2.1
of which, holiday travel	2.7	1.8	-3.3	7.6	4.4
Education	0.1	0.0	0.1	0.0	0.0
Financial & insurance services	1.0	0.2	0.2	0.6	0.4
CPI: All groups %qtr/%mth	**1.3**	**1.0**	**0.4**	**0.8**	**0.6**
Trimmed Mean: %qtr/%mth	**1.0**	**0.5**	**0.2**	**0.3**	**0.3**

September Quarter CPI

The September quarter CPI printed spot on our expectation of 1.3%. The key factor driving this increase was the slightly stronger surge in auto fuel (7.8%, +0.27ppt) and holiday travel & accommodation (2.7%qtr, +0.16ppt) being offset by a slightly softer than expected increase in housing (1.1%qtr, +0.24ppt) with rents and dwellings both increasing 1.0% in the quarter and utilities lifting 1.2%. Food was also slightly stronger than expected (0.7%qtr, +0.12ppt) and while not significant to the overall result it is interesting to track the ongoing rise in motor vehicle prices (0.3%qtr) despite a very competitive market with Chinese manufacturers rapidly gaining market share over legacy brands.

Housing-related Inflation



It is worth noting that food was stronger than we expected (0.7% vs 0.5%) with a robust 1.7% increase in restaurant meals and a solid 1.2% increase in take away & fast foods outweighing the –0.4% decline in fresh fruit & vegetables and meat & seafoods. Overall, market services ex volatile prices increased a very solid 1.2%qtr but with the annual pace easing to 3.2%yr from 3.36%yr.

Outside of housing the other main downside surprise in the quarter was the –0.6% fall in clothing & footwear (+0.3% expected) with prices falling across just about all categories of garments, footwear and accessories.

September Quarter Trimmed Mean

Recall that the TM is calculated from seasonally adjust consumption expenditure classes so any numbers quoted here may not be the same as the original estimates quoted from the CPI. The TM gain of 1.0% in the quarter was slightly stronger than we had expected even though dwellings (which have a weight of almost 11% in the TM) was a touch softer at 1.0% compared to the 1.1% we had pencilled in. Rents (1.0%, 10% weight) also made a solid contribution as did restaurant meals (1.7%qr, 6% weight), take away & fast food (1.2%, 4% weight), other financial service (1.0%, 6% weight). Domestic travel was in the TM (1.0%, 4% weight) as was medical & hospital service (1.0%, weight 5%). The range of the TM was from 0.0% (motor vehicles) to 1.7% (beer).

What does this mean for our December quarter forecast and into 2027?

We are working though the monthly results to see what changes they may imply for individual component inflationary momentum. Our preliminary analysis suggests that the softer trend in dwellings is not enough, on its own, to change our Q4 CPI forecast of 1.3%. It does, however, suggest that if all else held equal (which is not the case as there is likely to be some offsetting stronger gains elsewhere) the moderation in dwelling inflation presents a very modest downside risk our Q4 TM estimate of 0.9%. We are still working the numbers and will publish an updated inflation profile as soon as we can. In addition, the overall momentum in underlying inflationary pressures suggest the downside risk to the TM from dwellings is more likely to appear in 2027 than in the last quarter of 2026.

CPI forecasts	Sep-26 Actual		Sep-26 14-Oct-26	
Item	% qtr	contrib	% qtr	contrib
Food	0.7	0.12	0.5	0.09
of which, fruit & vegetables	-0.4	-0.01	-1.8	-0.04
Alcohol & tobacco	1.7	0.11	1.9	0.12
of which, Tobacco	2.3	0.05	2.9	0.06
Clothing & footwear	-0.6	-0.02	0.3	0.01
Housing	1.1	0.24	1.4	0.31
of which, Rents	1.0	0.07	1.0	0.07
of which, House purchases	1.0	0.08	1.1	0.08
of which, Utilities	1.2	0.05	1.4	0.06
H/hold contents & services	1.2	0.09	1.3	0.10
Health	-0.1	-0.01	0.0	0.00
of which, Pharmaceuticals	-1.6	-0.01	-1.6	-0.01
Transportation	3.3	0.38	3.1	0.35
of which , car prices	0.3	0.01	0.0	0.00
of which, auto fuel	7.8	0.27	7.4	0.26
Communication	1.4	0.03	1.2	0.03
Recreation	2.5	0.31	1.7	0.21
of which, audio visual & computing	3.8	0.07	3.8	0.07
of which, holiday travel	2.7	0.16	1.6	0.10
Education	0.1	0.00	0.1	0.00
Financial & insurance services	1.0	0.05	0.9	0.05
CPI: All groups %qtr	**1.3**	–	**1.3**	–
CPI: All groups % year	**3.9**	–	**3.9**	–

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5 November 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

The Democrats swept the US mid-term elections, taking control of both houses of Congress, with Vice President Vance blaming the result on the war with Iran and President Trump stating that he currently has no plans to strike Iran again, raising hopes that a quicker end to the conflict could now be in sight.

Oil prices responded decisively to the election result and President Trump's comments, with Brent tumbling around 8% to US$95.4/bbl, its lowest level in around two months, as markets pared back some of the geopolitical risk premium built into crude.

The sharp fall in oil drove a rebound in risk sentiment, sending US and European equities markedly higher while Treasuries rallied, with the 2Y and 10Y yields falling 6bps and 8bps respectively as some of the inflation risk premium embedded in rates unwound.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.7	0.0%
AUD/USD	0.7008	0.6%
AUD/JPY	111.06	0.5%
AUD/GBP	0.5202	0.2%
AUD/NZD	1.2465	0.0%
AUD/EUR	0.6241	0.3%
AUD/CNH	4.6782	0.7%
AUD/SGD	0.8964	0.4%
AUD/HKD	5.4981	0.6%
AUD/CAD	0.9788	0.3%
EUR/USD	1.1229	0.3%
USD/JPY	158.48	-0.1%
USD Index	101.53	-0.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.85	0.05
90 day BBSY	4.98	0.02
180 day BBSY	5.32	0.01
1 year swap	4.95	-0.01
2 year swap	4.81	-0.05
3 year swap	4.73	-0.07
4 year swap	4.73	-0.07
5 year swap	4.75	-0.07
6 year swap	4.80	-0.08
7 year swap	4.84	-0.08
8 year swap	4.89	-0.08
9 year swap	4.94	-0.08
10 year swap	4.98	-0.08

Equities	Close	Change
S&P/ASX 200	8,834	-0.6%
S&P 500	7,698	1.7%
Japan Nikkei	62,189	-1.4%
Hang Seng	23,920	1.7%
Euro Stoxx 50	6,266	2.0%
UK FTSE100	10,829	1.8%
VIX Index	16.84	-19.2%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.75	0.00
10 year bond	5.08	0.00
United States		
3-month T Bill	4.02	0.00
2 year bond	4.57	-0.06
10 year bond	4.89	-0.08
Other (10 year yields)		
Germany	3.27	-0.06
Japan	2.82	0.04
UK	5.13	-0.13

Commodities	Current	Change
CRB Index	389.01	-2.3%
Gold	4063.51	3.4%
Copper	14011	-0.2%
Oil (WTI futures)	88.75	-7.6%
Coal (coking)	258.50	0.2%
Coal (thermal)	147.25	-1.1%
Iron Ore	91.85	1.3%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.04	-0.05
3 yr bond	4.69	-0.05
3 mth bill rate	4.77	0.00
SPI 200	9,025	1.9%

Data as at 7:30am AEDT. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

The Democrats swept the US mid-term elections, winning both houses of congress. Vice President Vance blamed the war with Iran for the result, and President Trump has stated he currently has no plans to strike Iran again. Oil responded decisively to these results and comments, driving a rebound in risk sentiment overnight.

- Share markets bounced significantly higher as oil prices dropped sharply in the wake of the Democratic sweep of congress. In the US, the S&P 500 (+1.7%), Dow Jones (+3.2%) and NASDAQ (+1.8%) all jumped. Moves were similar across the pond, the Euro Stoxx 50 (+2.0%) and London's FTSE 100 (+1.8%) both bouncing higher too. Stocks were mixed across Asia, given it pre-dated the sharp fall in oil overnight, with gains in Hong Kong (+1.7%), Shanghai (+2.3%) and Seoul (+0.6%) met with a decline in Tokyo (1.4%). The ASX 200 also fell 0.6% yesterday, but following the action overnight, futures markets are pointing to a strong open this morning.
- Treasuries rallied in response to the sharp drop in oil prices following the outcome of the US midterm elections, seeing the 2Y drop 6bps to 4.57%, while the 10Y fell 8bps to 4.89%. Given the timing and quantum of rate hikes expected by the market has not shifted materially – still around 20bps prices in for November, and another 1-2 rate hikes pencilled in by mid-2027 – the drop yields overnight appears to speak more to an unwind of an inflation risk premium rather than a curbing of interest rate hike expectations at this stage.
- Yields moved in a broadly similar direction offshore, the 10Y Bund and Gilt down 6bps and 13bps respectively, while the 10Y JGB rose 4bps as it pre-dating much of the price action overnight. ACGBs were steady during local trading but rallied in futures trading overnight, both the 3Y and 10Y down 5bps. Market pricing tentatively suggests that the RBA's rate hike earlier this week will be the last of the cycle, with no further moves more than 50% priced in through to late-2027.
- The USD slipped overnight, the DXY down 0.3% to around 101.5. Most G10 currencies appreciated versus the greenback, including the Euro (+0.3%), Yen (+0.1%), Sterling (+0.4%) and Loonie (+0.3%). The Aussie dollar rose by a stronger clip, up 0.6% to be back above the USD0.70 mark. The Kiwi dollar also jumped 0.6% to be back above USD0.56, recovering from the sell-off during local hours after the downside surprise on labour market data.
- Crude oil prices continued to drift lower through much of yesterday as early results trickled in, before dropping sharply overnight as markets digested the Democratic sweep in the mid-term elections and President Trump's comments that he does not have plans to strike Iran, both taken as signs that a quicker end to the conflict could now be in sight. Brent dropped 7.9% to US$95.4/bbl, the lowest level in about two months. Against the backdrop of a softer USD and lower real yields, gold prices managed to jump back above the US$4,000/oz mark overnight. Metals were much more stable meanwhile, LME copper and aluminium nudging 0.2% lower and 0.1% higher respectively.

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Trade Balance Sep	$1000m	$495m
11:30	JP S&P Global Services PMI Oct Final	-	52pts
21:00	EZ PPI Sep	2.6%	1.9%
23:00	GB BoE Policy Decision	4.00%	3.75%
0:30	US Productivity Q3 Prel.	2.6%	1.4%
0:30	US Initial Jobless Claims 31/10/2026	196k	194k

Times are AEDT. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

In the US, September's **trade balance** was slightly better than expected, holding to a deficit of US$105bn versus expectations for a modest deterioration. The result comes as exports rose 1.9% while imports gained 1.2%. Meanwhile, the **ISM services** index edged down from 54.9 to 54.5 in October. In the component detail, new orders deteriorated materially, the sub-index falling from 59.8 to 55.9; but employment strengthened at the margin, from 50.1 to 51.4. Prices paid were little changed in the month at an elevated 73.0.

In the Euro Area, October's **CPI** met expectations, rising 0.4% in the month and 4.0% over the year on a headline basis, versus 3.8%yr in September. On a core basis, inflation was unchanged at 2.5%yr.

Domestic Data

In Australia, **household spending** rose 0.6%mth in September on a nominal basis, though price gains look to have played a significant role, with real spending up 0.7%qtr in Q3 (see here).

In New Zealand, the Q3 **labour market statistics** came in weaker than Westpac and the RBNZ anticipated, as the unemployment rate rose to 5.7% (see here). Our NZ Chief Economist considers the impact of the data on the RBNZ here.

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Cliff Notes: managing expectations

#cliffnotes #rba #australia #inflation #us #fomc #ecb #aud #usd

By Ryan Wells, Illiana Jain & Elliot Clarke

11:04 October 23 2026

Share

Key insights from the week that was.

With little domestic data of significance, participants' attention focused on RBA Deputy Governor Hauser's fireside chat, which saw an abrupt shift in market expectations of a follow-up rate hike at the November meeting.

Hauser warned in his remarks that the current inflation outlook was "materially worse" than the RBA's

August forecasts. Three upside inflation risks were characterised as having "crystallised" ahead of the September meeting – the Middle East, the AI boom, and domestic supply constraints. Hauser noted the Middle East picture "looks worse" given oil prices are "about a third higher than [the RBA] assumed in August". He then positioned AI and data centre developments among an "extraordinary sequence of positive demand shocks around the world", with "higher AI prices, tech prices feeding through into CPI". Finally, on domestic capacity pressures, the Deputy Governor noted that "inflation's been coming in at or a little bit above expectations, despite an apparent easing in the labour market". He went on to state that the staff are currently assessing "whether [the RBA] need to change [its] judgement on capacity pressures in the labour market again" – in other words, revise up their assumption for the NAIRU.

Hauser's comments prompted a material reassessment of market pricing for a follow-up November hike, from just a 20% chance at the end of last week to a 50/50 proposition today ahead of next week's Q3 CPI. For that release, we are forecasting a 1.3% (4.1%yr) lift in headline inflation and a 0.9 (3.5%yr) increase in trimmed mean inflation. Our preview provides more detail behind the component mix for Q3 as well as our upward revisions to the preliminary Q4 forecast. Provided inflation prints broadly in line with our expectations, the RBA is likely to hike by 25bp at the November meeting.

Across in New Zealand, consumer prices rose 0.7% in Q3 and annual inflation eased from 4.1%yr to 3.7%yr. Under the surface of this 'as expected' read though, several closely watched measures of core inflation took a step higher to now be at or slightly above the top of the RBNZ's target band. Our NZ economics team consequently expect the RBNZ will raise the OCR 25bps to 3.00% at its October policy review, while retaining a 4.00% terminal OCR forecast for September 2027.

Earlier in the week, China's economy surprised to the upside in Q3, GDP growth accelerating from 0.9%qtr to 1.2%qtr, lifting annual growth from 4.3%yr to 4.5%yr – keeping authorities on track to achieve their 4.5-5.0% full-year growth objective.

While annual retail sales growth improved in September, rising from 0.4%yr to 1.1%yr, the current pace of growth is only a quarter of the gain seen just a year ago and very weak versus history. Consumer spending continues to be constrained by weak confidence, particularly with respect to employment prospects and wealth. On housing wealth, five years into the property downturn, house prices continue to decline month-on-month and investment remains in a deep downturn, -20.6%ytd.

Total fixed asset investment has been detracting from annual GDP growth since April owing to a lull in high-tech investment, a lack of confidence in future demand amongst domestically oriented businesses as well as property's malaise. For aggregate growth to hold up through 2027 and 2028 as the contribution from net exports moderates, broad-based stimulus in scale will prove necessary. Expect recent targeted support measures to be broadened and given much greater scale in coming months.

Finally, in the UK, inflation accelerated from 3.1%yr to 3.5%yr in September, exceeding both market expectations and the Bank of England's July forecast. The surprise was largely driven by energy, fuel prices rising 5.4%mth. However, core inflation also edged up from 2.6%yr to 2.8%yr as services inflation increased from 3.4%yr to 3.7%yr. While not an immediate concern inflation, the labour market showing resilience, the ILO unemployment rate falling from 4.9% to 4.7% in August, suggests demand

risks for inflation will need close monitoring as well as supply-side concerns.

Next week will see the focus once again return to the US as the FOMC meet and US Q3 GDP is released. For both events, the implications for risks to the outlook will be the focus. The week after, the US mid-term elections are due.

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5 November 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

The Democrats swept the US mid-term elections, taking control of both houses of Congress, with Vice President Vance blaming the result on the war with Iran and President Trump stating that he currently has no plans to strike Iran again, raising hopes that a quicker end to the conflict could now be in sight.

Oil prices responded decisively to the election result and President Trump's comments, with Brent tumbling around 8% to US$95.4/bbl, its lowest level in around two months, as markets pared back some of the geopolitical risk premium built into crude.

The sharp fall in oil drove a rebound in risk sentiment, sending US and European equities markedly higher while Treasuries rallied, with the 2Y and 10Y yields falling 6bps and 8bps respectively as some of the inflation risk premium embedded in rates unwound.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.7	0.0%
AUD/USD	0.7008	0.6%
AUD/JPY	111.06	0.5%
AUD/GBP	0.5202	0.2%
AUD/NZD	1.2465	0.0%
AUD/EUR	0.6241	0.3%
AUD/CNH	4.6782	0.7%
AUD/SGD	0.8964	0.4%
AUD/HKD	5.4981	0.6%
AUD/CAD	0.9788	0.3%
EUR/USD	1.1229	0.3%
USD/JPY	158.48	-0.1%
USD Index	101.53	-0.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.85	0.05
90 day BBSY	4.98	0.02
180 day BBSY	5.32	0.01
1 year swap	4.95	-0.01
2 year swap	4.81	-0.05
3 year swap	4.73	-0.07
4 year swap	4.73	-0.07
5 year swap	4.75	-0.07
6 year swap	4.80	-0.08
7 year swap	4.84	-0.08
8 year swap	4.89	-0.08
9 year swap	4.94	-0.08
10 year swap	4.98	-0.08

Equities	Close	Change
S&P/ASX 200	8,834	-0.6%
S&P 500	7,698	1.7%
Japan Nikkei	62,189	-1.4%
Hang Seng	23,920	1.7%
Euro Stoxx 50	6,266	2.0%
UK FTSE100	10,829	1.8%
VIX Index	16.84	-19.2%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.75	0.00
10 year bond	5.08	0.00
United States		
3-month T Bill	4.02	0.00
2 year bond	4.57	-0.06
10 year bond	4.89	-0.08
Other (10 year yields)		
Germany	3.27	-0.06
Japan	2.82	0.04
UK	5.13	-0.13

Commodities	Current	Change
CRB Index	389.01	-2.3%
Gold	4063.51	3.4%
Copper	14011	-0.2%
Oil (WTI futures)	88.75	-7.6%
Coal (coking)	258.50	0.2%
Coal (thermal)	147.25	-1.1%
Iron Ore	91.85	1.3%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.04	-0.05
3 yr bond	4.69	-0.05
3 mth bill rate	4.77	0.00
SPI 200	9,025	1.9%

Data as at 7:30am AEDT. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

The Democrats swept the US mid-term elections, winning both houses of congress. Vice President Vance blamed the war with Iran for the result, and President Trump has stated he currently has no plans to strike Iran again. Oil responded decisively to these results and comments, driving a rebound in risk sentiment overnight.

- Share markets bounced significantly higher as oil prices dropped sharply in the wake of the Democratic sweep of congress. In the US, the S&P 500 (+1.7%), Dow Jones (+3.2%) and NASDAQ (+1.8%) all jumped. Moves were similar across the pond, the Euro Stoxx 50 (+2.0%) and London's FTSE 100 (+1.8%) both bouncing higher too. Stocks were mixed across Asia, given it pre-dated the sharp fall in oil overnight, with gains in Hong Kong (+1.7%), Shanghai (+2.3%) and Seoul (+0.6%) met with a decline in Tokyo (1.4%). The ASX 200 also fell 0.6% yesterday, but following the action overnight, futures markets are pointing to a strong open this morning.
- Treasuries rallied in response to the sharp drop in oil prices following the outcome of the US midterm elections, seeing the 2Y drop 6bps to 4.57%, while the 10Y fell 8bps to 4.89%. Given the timing and quantum of rate hikes expected by the market has not shifted materially – still around 20bps prices in for November, and another 1-2 rate hikes pencilled in by mid-2027 – the drop yields overnight appears to speak more to an unwind of an inflation risk premium rather than a curbing of interest rate hike expectations at this stage.
- Yields moved in a broadly similar direction offshore, the 10Y Bund and Gilt down 6bps and 13bps respectively, while the 10Y JGB rose 4bps as it pre-dating much of the price action overnight. ACGBs were steady during local trading but rallied in futures trading overnight, both the 3Y and 10Y down 5bps. Market pricing tentatively suggests that the RBA's rate hike earlier this week will be the last of the cycle, with no further moves more than 50% priced in through to late-2027.
- The USD slipped overnight, the DXY down 0.3% to around 101.5. Most G10 currencies appreciated versus the greenback, including the Euro (+0.3%), Yen (+0.1%), Sterling (+0.4%) and Loonie (+0.3%). The Aussie dollar rose by a stronger clip, up 0.6% to be back above the USD0.70 mark. The Kiwi dollar also jumped 0.6% to be back above USD0.56, recovering from the sell-off during local hours after the downside surprise on labour market data.
- Crude oil prices continued to drift lower through much of yesterday as early results trickled in, before dropping sharply overnight as markets digested the Democratic sweep in the mid-term elections and President Trump's comments that he does not have plans to strike Iran, both taken as signs that a quicker end to the conflict could now be in sight. Brent dropped 7.9% to US$95.4/bbl, the lowest level in about two months. Against the backdrop of a softer USD and lower real yields, gold prices managed to jump back above the US$4,000/oz mark overnight. Metals were much more stable meanwhile, LME copper and aluminium nudging 0.2% lower and 0.1% higher respectively.

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Trade Balance Sep	$1000m	$495m
11:30	JP S&P Global Services PMI Oct Final	-	52pts
21:00	EZ PPI Sep	2.6%	1.9%
23:00	GB BoE Policy Decision	4.00%	3.75%
0:30	US Productivity Q3 Prel.	2.6%	1.4%
0:30	US Initial Jobless Claims 31/10/2026	196k	194k

Times are AEDT. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

In the US, September's **trade balance** was slightly better than expected, holding to a deficit of US$105bn versus expectations for a modest deterioration. The result comes as exports rose 1.9% while imports gained 1.2%. Meanwhile, the **ISM services** index edged down from 54.9 to 54.5 in October. In the component detail, new orders deteriorated materially, the sub-index falling from 59.8 to 55.9; but employment strengthened at the margin, from 50.1 to 51.4. Prices paid were little changed in the month at an elevated 73.0.

In the Euro Area, October's **CPI** met expectations, rising 0.4% in the month and 4.0% over the year on a headline basis, versus 3.8%yr in September. On a core basis, inflation was unchanged at 2.5%yr.

Domestic Data

In Australia, **household spending** rose 0.6%mth in September on a nominal basis, though price gains look to have played a significant role, with real spending up 0.7%qtr in Q3 (see here).

In New Zealand, the Q3 **labour market statistics** came in weaker than Westpac and the RBNZ anticipated, as the unemployment rate rose to 5.7% (see here). Our NZ Chief Economist considers the impact of the data on the RBNZ here.

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5 November 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

The Democrats swept the US mid-term elections, taking control of both houses of Congress, with Vice President Vance blaming the result on the war with Iran and President Trump stating that he currently has no plans to strike Iran again, raising hopes that a quicker end to the conflict could now be in sight.

Oil prices responded decisively to the election result and President Trump's comments, with Brent tumbling around 8% to US$95.4/bbl, its lowest level in around two months, as markets pared back some of the geopolitical risk premium built into crude.

The sharp fall in oil drove a rebound in risk sentiment, sending US and European equities markedly higher while Treasuries rallied, with the 2Y and 10Y yields falling 6bps and 8bps respectively as some of the inflation risk premium embedded in rates unwound.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.7	0.0%
AUD/USD	0.7008	0.6%
AUD/JPY	111.06	0.5%
AUD/GBP	0.5202	0.2%
AUD/NZD	1.2465	0.0%
AUD/EUR	0.6241	0.3%
AUD/CNH	4.6782	0.7%
AUD/SGD	0.8964	0.4%
AUD/HKD	5.4981	0.6%
AUD/CAD	0.9788	0.3%
EUR/USD	1.1229	0.3%
USD/JPY	158.48	-0.1%
USD Index	101.53	-0.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.85	0.05
90 day BBSY	4.98	0.02
180 day BBSY	5.32	0.01
1 year swap	4.95	-0.01
2 year swap	4.81	-0.05
3 year swap	4.73	-0.07
4 year swap	4.73	-0.07
5 year swap	4.75	-0.07
6 year swap	4.80	-0.08
7 year swap	4.84	-0.08
8 year swap	4.89	-0.08
9 year swap	4.94	-0.08
10 year swap	4.98	-0.08

Equities	Close	Change
S&P/ASX 200	8,834	-0.6%
S&P 500	7,698	1.7%
Japan Nikkei	62,189	-1.4%
Hang Seng	23,920	1.7%
Euro Stoxx 50	6,266	2.0%
UK FTSE100	10,829	1.8%
VIX Index	16.84	-19.2%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.75	0.00
10 year bond	5.08	0.00
United States		
3-month T Bill	4.02	0.00
2 year bond	4.57	-0.06
10 year bond	4.89	-0.08
Other (10 year yields)		
Germany	3.27	-0.06
Japan	2.82	0.04
UK	5.13	-0.13

Commodities	Current	Change
CRB Index	389.01	-2.3%
Gold	4063.51	3.4%
Copper	14011	-0.2%
Oil (WTI futures)	88.75	-7.6%
Coal (coking)	258.50	0.2%
Coal (thermal)	147.25	-1.1%
Iron Ore	91.85	1.3%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.04	-0.05
3 yr bond	4.69	-0.05
3 mth bill rate	4.77	0.00
SPI 200	9,025	1.9%

Data as at 7:30am AEDT. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

The Democrats swept the US mid-term elections, winning both houses of congress. Vice President Vance blamed the war with Iran for the result, and President Trump has stated he currently has no plans to strike Iran again. Oil responded decisively to these results and comments, driving a rebound in risk sentiment overnight.

- Share markets bounced significantly higher as oil prices dropped sharply in the wake of the Democratic sweep of congress. In the US, the S&P 500 (+1.7%), Dow Jones (+3.2%) and NASDAQ (+1.8%) all jumped. Moves were similar across the pond, the Euro Stoxx 50 (+2.0%) and London's FTSE 100 (+1.8%) both bouncing higher too. Stocks were mixed across Asia, given it pre-dated the sharp fall in oil overnight, with gains in Hong Kong (+1.7%), Shanghai (+2.3%) and Seoul (+0.6%) met with a decline in Tokyo (1.4%). The ASX 200 also fell 0.6% yesterday, but following the action overnight, futures markets are pointing to a strong open this morning.
- Treasuries rallied in response to the sharp drop in oil prices following the outcome of the US midterm elections, seeing the 2Y drop 6bps to 4.57%, while the 10Y fell 8bps to 4.89%. Given the timing and quantum of rate hikes expected by the market has not shifted materially – still around 20bps prices in for November, and another 1-2 rate hikes pencilled in by mid-2027 – the drop yields overnight appears to speak more to an unwind of an inflation risk premium rather than a curbing of interest rate hike expectations at this stage.
- Yields moved in a broadly similar direction offshore, the 10Y Bund and Gilt down 6bps and 13bps respectively, while the 10Y JGB rose 4bps as it pre-dating much of the price action overnight. ACGBs were steady during local trading but rallied in futures trading overnight, both the 3Y and 10Y down 5bps. Market pricing tentatively suggests that the RBA's rate hike earlier this week will be the last of the cycle, with no further moves more than 50% priced in through to late-2027.
- The USD slipped overnight, the DXY down 0.3% to around 101.5. Most G10 currencies appreciated versus the greenback, including the Euro (+0.3%), Yen (+0.1%), Sterling (+0.4%) and Loonie (+0.3%). The Aussie dollar rose by a stronger clip, up 0.6% to be back above the USD0.70 mark. The Kiwi dollar also jumped 0.6% to be back above USD0.56, recovering from the sell-off during local hours after the downside surprise on labour market data.
- Crude oil prices continued to drift lower through much of yesterday as early results trickled in, before dropping sharply overnight as markets digested the Democratic sweep in the mid-term elections and President Trump's comments that he does not have plans to strike Iran, both taken as signs that a quicker end to the conflict could now be in sight. Brent dropped 7.9% to US$95.4/bbl, the lowest level in about two months. Against the backdrop of a softer USD and lower real yields, gold prices managed to jump back above the US$4,000/oz mark overnight. Metals were much more stable meanwhile, LME copper and aluminium nudging 0.2% lower and 0.1% higher respectively.

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Trade Balance Sep	$1000m	$495m
11:30	JP S&P Global Services PMI Oct Final	-	52pts
21:00	EZ PPI Sep	2.6%	1.9%
23:00	GB BoE Policy Decision	4.00%	3.75%
0:30	US Productivity Q3 Prel.	2.6%	1.4%
0:30	US Initial Jobless Claims 31/10/2026	196k	194k

Times are AEDT. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

In the US, September's **trade balance** was slightly better than expected, holding to a deficit of US$105bn versus expectations for a modest deterioration. The result comes as exports rose 1.9% while imports gained 1.2%. Meanwhile, the **ISM services** index edged down from 54.9 to 54.5 in October. In the component detail, new orders deteriorated materially, the sub-index falling from 59.8 to 55.9; but employment strengthened at the margin, from 50.1 to 51.4. Prices paid were little changed in the month at an elevated 73.0.

In the Euro Area, October's **CPI** met expectations, rising 0.4% in the month and 4.0% over the year on a headline basis, versus 3.8%yr in September. On a core basis, inflation was unchanged at 2.5%yr.

Domestic Data

In Australia, **household spending** rose 0.6%mth in September on a nominal basis, though price gains look to have played a significant role, with real spending up 0.7%qtr in Q3 (see here).

In New Zealand, the Q3 **labour market statistics** came in weaker than Westpac and the RBNZ anticipated, as the unemployment rate rose to 5.7% (see here). Our NZ Chief Economist considers the impact of the data on the RBNZ here.

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LABOUR MARKET CHARTPACK

4 Nov 2026

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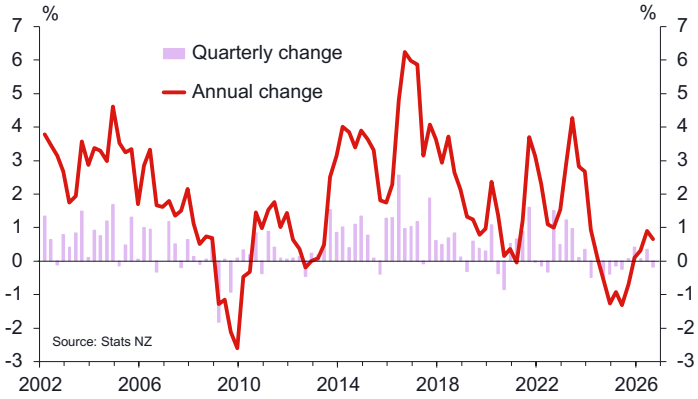
Key points – September quarter 2026

- The September quarter surveys pointed to ongoing softness in labour market conditions. The unemployment rate rose from 5.6% to 5.7%, continuing an almost five-year run of increases. The unemployment rate is now at its highest level since September 2015.
- There were mixed messages in terms of jobs growth: the Household Labour Force Survey reported a 0.1% fall in employment, while the employer-focused Quarterly Employment Survey suggested a modest rise. The Monthly Employment Indicator had also pointed to a small rise in jobs.
- The fall in HLFS employment was accompanied by a fall in the participation rate. These co-movements essentially reversed the surprisingly large increases that we saw in the June quarter, which we had suggested at the time were more likely due to sampling error in the survey rather than a genuine surge.
- We generally recommend focusing on the unemployment rate, which is less vulnerable to sampling errors – and the message here is one of softness. Our best interpretation is that, to the extent that jobs are growing, it's not fast enough to absorb the growth in the population.
- While the economy has returned to growth over the last year or so, hiring activity remains weak. This may be an ongoing legacy of employment trends in previous years, when firms were relatively reluctant to lay people off during the slowdown, which then potentially left them overstaffed even as activity started to pick up again. It's not clear how long this effect can persist, though.
- Wage growth remains muted. Although cost-of-living pressures have increased on workers, the existing degree of spare capacity in the labour market doesn't give them much leverage to negotiate larger pay increases.
- Overall, we judge these results to be weaker than the RBNZ expected, in particular the rise in the unemployment rate. This data supports the views of those on the policy committee who were less convinced in October about the potential for second-round inflation pressures in the economy.

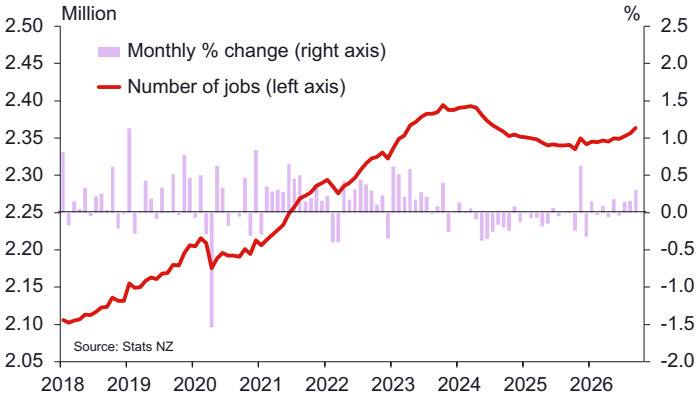
Employment

- The number of people employed fell by 0.1% in the September quarter, according to the Household Labour Force Survey (HLFS). Previous quarters were revised down a little, reflecting downward revisions to the working-age population estimates. Annual employment growth slowed from 0.9% to 0.7%.
- This was substantially softer than our forecast of a 0.5% rise for the quarter. Our forecast was based on the Monthly Employment Indicator (MEI), a comprehensive measure that is drawn from income tax data. While there are some differences in coverage for these two measures, any significant divergence between the two is most likely to reflect sampling error in the HLFS.
- Meanwhile, the employer-focused Quarterly Employment Survey (QES) recorded a 0.1% rise in the number of filled jobs and a 0.6% rise in hours paid. (This survey is of course vulnerable to sampling error as well.)
- We're most inclined towards the MEI measure of employment, given the breadth of its coverage. But our best interpretation is that, to the extent that jobs are growing, it's not yet fast enough to absorb the growth in the adult population – hence the further rise in the unemployment rate.

HLFS number of people employed



Monthly Employment Indicator filled jobs



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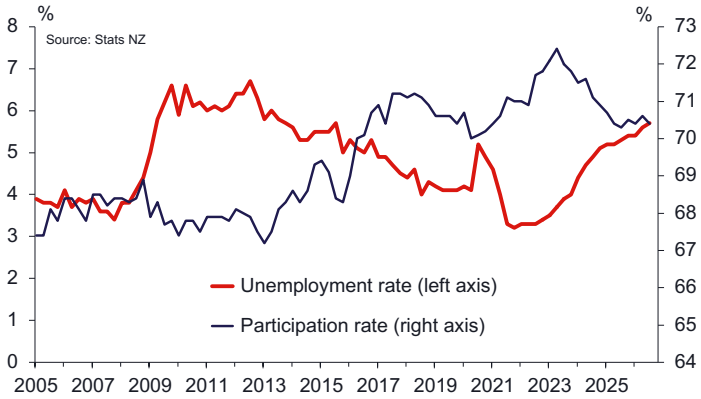
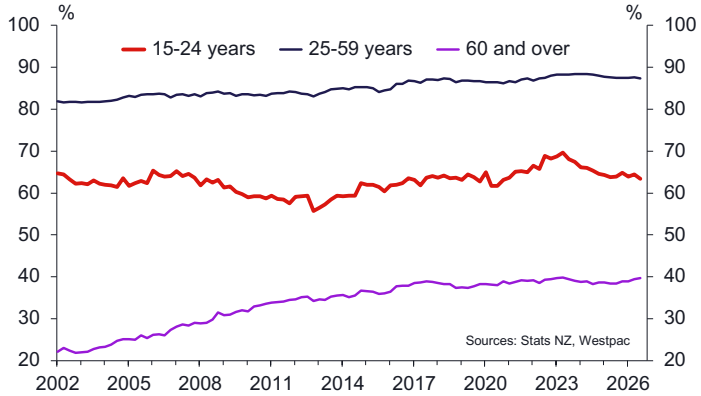
Labour force participation

- The surprising fall in HLFS employment was accompanied by a drop in the participation rate from 70.6% to 70.4%.
- These co-movements are effectively a reversal of the surprisingly large increases that we saw in the June quarter, which we noted at the time were suggestive of sampling error in the survey. Any such errors largely wash out when it comes to the unemployment rate, however, which is why we recommend focusing on this measure.
- Setting aside the usual quarterly volatility, labour force participation remains caught between two competing forces. One is cyclical weakness, especially among younger people, who are finding it difficult to break into a "low-fire, low-hire" labour market. The teen unemployment rate of around 25% is a record high going back to the start of the survey in 1986.
- The other force is rising participation among the over-60s (who also make up a growing share of the population). Kiwis have had a growing propensity to work beyond the NZ Super age, as there is no penalty for doing so. It's unclear to what extent this can be considered an increase in the pool of available workers: older workers tend to have low mobility between jobs, and if they find themselves out of work are more likely to leave the labour force altogether.

Unemployment and participation rates



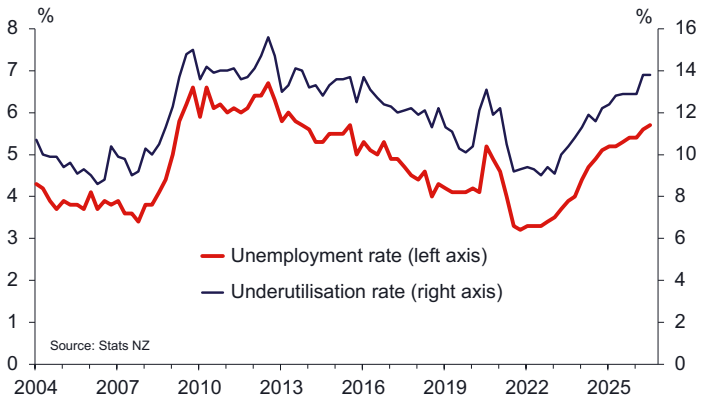
Participation by age group



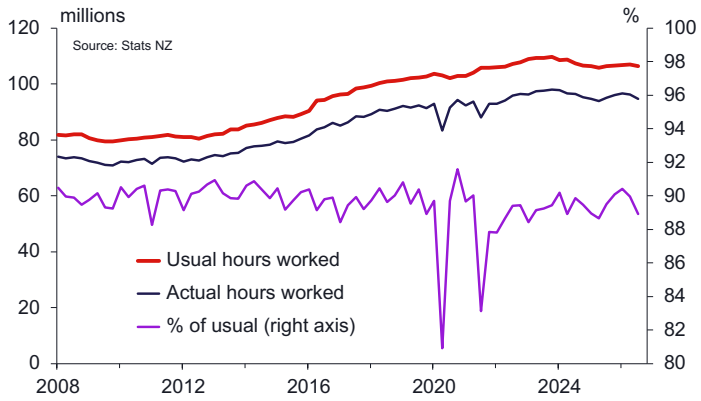
Unemployment and underutilisation

- The unemployment rate rose from 5.6% to 5.7% in the September quarter. This was the highest rate since September 2015.
- While there are other indicators of spare capacity in the labour market, we're not convinced that there is additional information to draw from them this time.
- The broader underutilisation measure, which includes discouraged jobseekers and part-time workers wanting more hours, was steady at 13.8% after having risen sharply from 12.9% last quarter. This measure is both higher (by definition) and more variable than the unemployment rate, but tells a similar story in that it's around an 11-year high.
- There was a marked 1.6% fall in the number of hours worked (although 'usual' hours were down just 0.4%). However, we suspect this was largely driven by Matariki – a floating holiday that won't be captured in the seasonal adjustment.
- This may also account for the 2.5% rise in part-time employment, against a 0.7% fall in full-time employment. Some workers may have been pushed into the part-time category (less than 30 hours a week) simply by virtue of only working four days during the survey week.

Unemployment and underutilisation rates



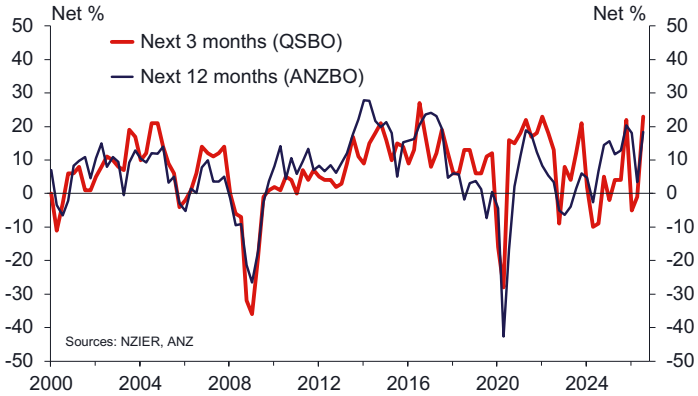
Usual vs actual hours worked



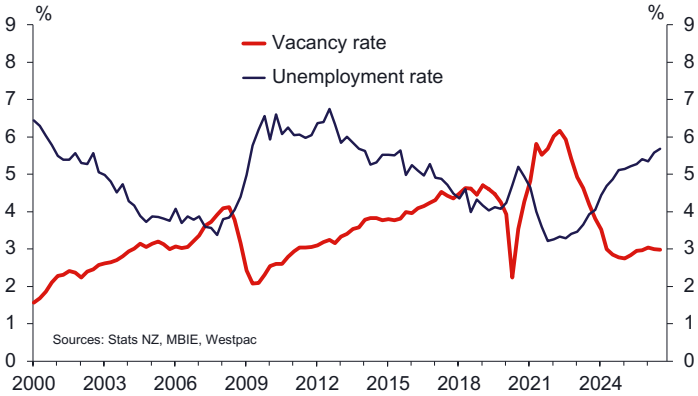
Hiring

- Business confidence surveys have shown a lift in hiring intentions in recent months, as firms have shaken off the initial shock of the Iran conflict and the surge in fuel prices.
- However, those stated intentions aren't obviously turning into reality yet. Job advertisements were down about 1% for the September quarter in seasonally adjusted terms, and they remain well below pre-Covid levels. Job ads will capture 'churn' within existing roles as well as new job creation, but both of these would be associated with a strong labour market.
- With the working-age population growing at the same time, the result was a modest fall in the vacancy rate, one of the RBNZ's highest-ranked measures of labour market tightness.
- We estimate that there are around 1.9 people unemployed for every job vacancy, up from around 1.8 people this time last year.
- Firms have told us that they were reluctant to lay off workers during the economic downturn in 2023-24, as they were wary of the extreme labour shortages that had developed in the previous boom years. As a result, they may find themselves still overstaffed even as demand has started to pick up again, and haven't needed to return to hiring yet.

Business employment intentions



Job vacancies as a % of the labour force

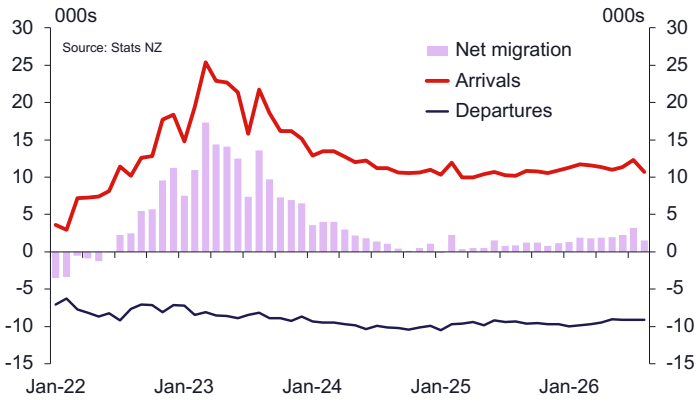


Population and migration

- The working-age population grew by around 1.0% over the last year, compared to a peak of 3.3% growth over 2023. Jobs growth (based on the less volatile MEI measure) is still lagging behind population growth on an annual basis.
- The pool of potential workers is generally becoming older, with the Baby Boomers increasingly reaching pension age and beyond, and with migrant arrivals tending to be an older cohort than we saw pre-Covid – more in their 30s and 40s than their 20s.
- Net migration flows have started to pick up from their lows since late 2025. Departures of New Zealanders have come down from their highs, though they remain above pre-Covid levels, as the relative appeal of the Australian jobs market has narrowed.
- Foreign arrivals have picked up to some degree, although the growth appears to have been mostly driven by students rather than those on work visas.

Employment and working-age population

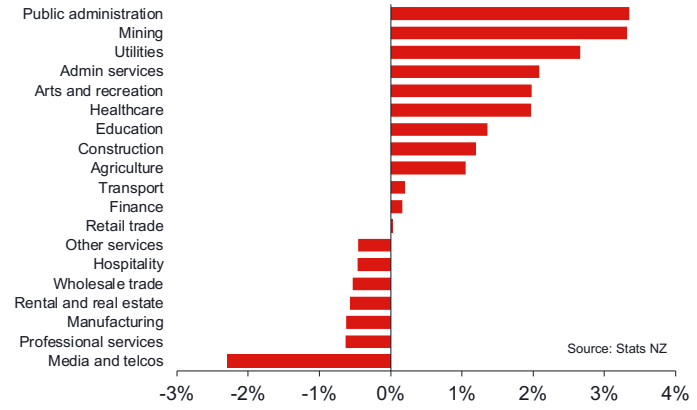
Monthly migration flows



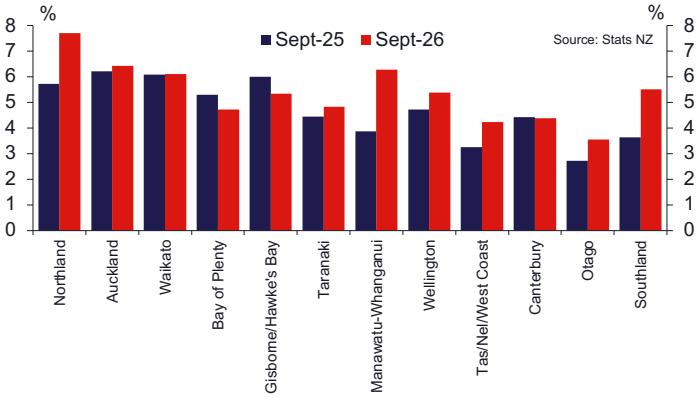
Sectoral and regional trends

- Jobs growth has been relatively strong in government-connected sectors such as healthcare and education, as well as in local and central government administration.
- Mining and utilities have seen strong growth in percentage terms, but neither of these sectors are big employers in absolute terms.
- The construction sector is now starting to see a lift in employment, after a steep decline over 2024-25. Residential building consents have risen strongly over the last year or so, pointing to a growing pipeline of work for the homebuilding industry.
- Sectors that are connected to international tourism, such as transport and recreational services, had previously seen strong employment growth, but this appears to have flattened out in recent months.
- Employment trends have generally been more positive in the South Island than the North, which likely reflects the greater influence of the agricultural sector – while not a large employer in itself, farmers have benefited from high export prices and their spending has flowed into other sectors.

Filled jobs by sector, annual % change



Regional unemployment rates



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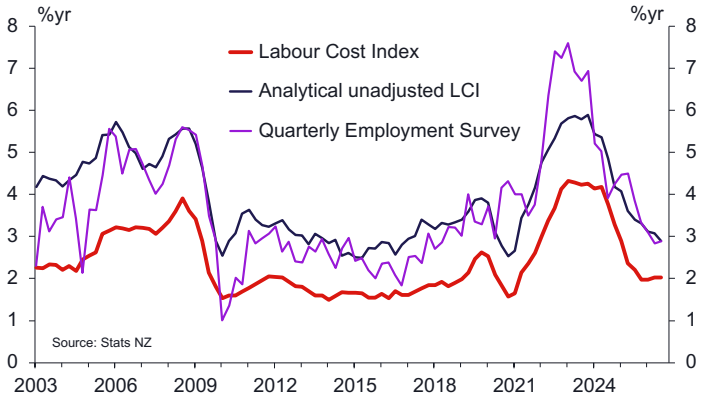
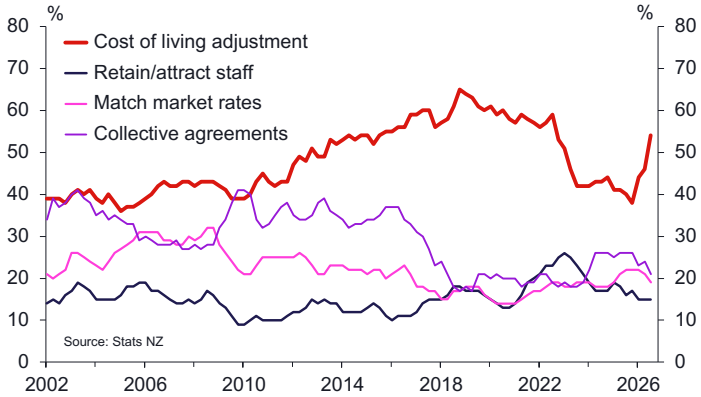
Wages

- The Labour Cost Index (LCI) rose by 0.5% in the September quarter. Annual growth remained around the lowest since 2021.
- While the overall result was in line with our forecast, the details were a little weaker than we expected, with less contribution from private sector wages (up 0.5%) and a surprisingly large 0.7% increase in the public sector.
- The distribution of pay rates has returned to pre-Covid trends. Only 44% of roles saw a pay rise over the last year; of those roles that did see an increase, the average size has converged on the 2-3% range.
- The LCI is not a measure of what workers actually receive – it reflects the cost to businesses for a given unit of labour – and hence shouldn't be compared to the inflation rate. A more suitable measure is the analytical unadjusted LCI, which includes pay rises that are related to productivity gains. This measure slowed from 3.1% to 2.9% on an annual basis, the lowest since March 2021.
- There was a marked pickup in the proportion of firms reporting cost-of-living adjustments as the main reason for pay increases. However, the size of those increases varied greatly, with many of them below the rate of CPI inflation.
- This seems to reflect a shift in the justification for pay rises, rather than an overall increase in wage pressures – firms are more likely to cite cost-of-living adjustments because they're less likely to cite demand-side pressures.

Measures of wage growth



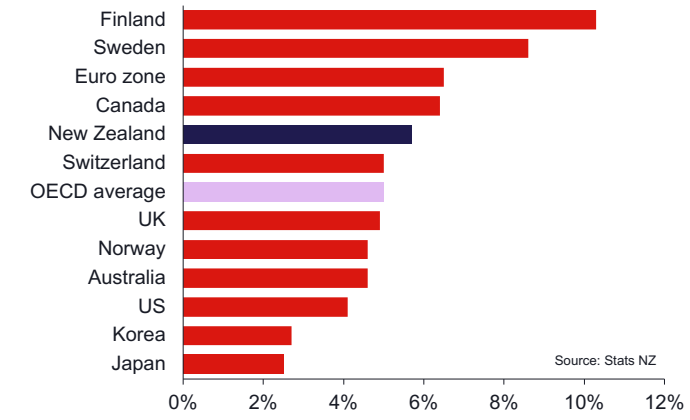
Reasons given for pay increase



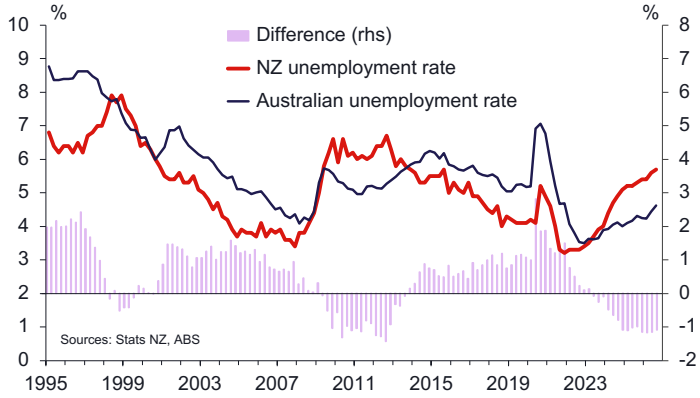
International comparisons

- New Zealand's unemployment rate is the 18th lowest in the OECD (out of 38 countries). This ranking has been broadly unchanged over the last year or so.
- Notably, New Zealand's unemployment rate is substantially above Australia's, whereas historically it has been lower on average. This shift in relative job opportunities has been a key attractor for New Zealanders over the last couple of years – as it was in the early 2010s when the Australian economy was benefiting from a boom in mining construction.
- However, that gap between unemployment rates is no longer widening, with the Australian jobs market starting to soften this year as the RBA has raised interest rates to rein in inflation (which was already running too high before the Iran conflict and the surge in oil prices). We expect Australia's unemployment to rise further over the year ahead.
- New Zealand has the 7th highest employment rate in the OECD (down from 6th last quarter). We tend to have high rates of labour force participation for 15-64 year olds, and particularly high participation for the over-65s, as the lack of means testing for NZ Superannuation means there is no financial disincentive to working beyond pension age.

Selected unemployment rates



NZ vs Australian labour markets



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Westpac Banking Corporation.

1 October 2026

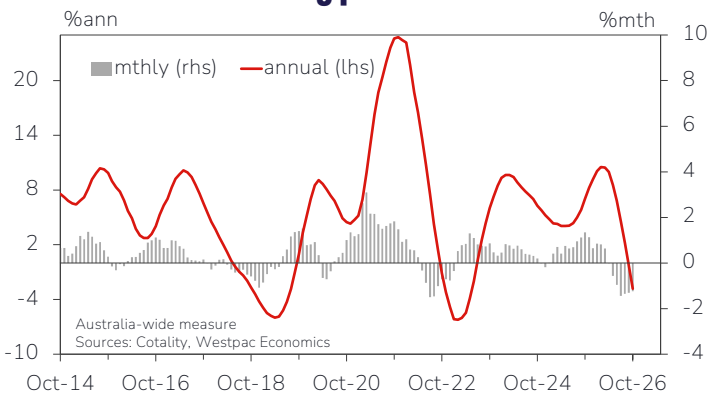
AUSTRALIAN DWELLING PRICES BULLETIN

Sea of red

Key points

- The Cotality home value index – covering all of Australia – fell 1.2% in October following a 1.3% decline in September and 1.4% falls in August and July. Annual growth has turned negative, running at –2.8%yr with prices down 6.7% from their peak in March.
- Across the major cities, Brisbane and Perth led the declines in the October month, recording falls of 2.0% and 1.7% respectively, but the correction remains more pronounced in Sydney (prices down a further 1.6%mth to be off 9.4%yr) with Melbourne also off more sharply over the year (–7.6%yr) but recording a milder October (–0.8%mth). Adelaide remains relatively resilient, recording a 1.2% decline in the month but prices still up 3.7%yr.
- Preliminary estimates show the number of sales, in rolling 3mth terms, down 5.6%qtr and 22.5%yr.

Australian dwelling prices



Oct Cotality home value index: –1.2%mth; –2.8%yr

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Housing downturn deepens

Matthew Hassan
Head of Australian Macro–Forecasting

The Cotality home value index, covering all of Australia, fell 1.2% in October with slight revisions to previous months again shaving a further 0.3% off prices. The correction has now seen prices decline 6.7% from their March peak with annual growth firmly in negative at –2.8%yr. Turnover continues fall as well, down 22.5%yr. Housing-related tax policy changes, interest rate rises and heightened uncertainty have triggered a sharp contraction in markets.

The downturn is now comparable to the previous two housing market corrections. Nationally, the downturn in 2022-23 saw prices decline 7.5% and turnover fall 29% peak to trough. The 2017-18 correction saw prices fall 8.6% and turnover by 24%, with larger falls in Sydney and Melbourne.

Note that unless specified, figures in titles, tables and commentary are in non-seasonally adjusted terms, consistent with the 'headline' figures reported by Cotality. However, figures shown in charts are in seasonally adjusted terms.

Preliminary estimates of turnover show rolling 3mth volumes down 5.6%qtr in October, previous estimates again revised lower. The monthly pattern suggests declines re-accelerated through September-October after stabilising somewhat in July-August. The RBA's interest rate rise in late September and a further expected tightening likely contributed to the shift.

The detail shows Brisbane and Perth are now leading the way in terms of monthly price declines although corrections to date remain significantly larger in Sydney and Melbourne while smaller capitals and regional areas continue to see much milder downturns. Across price tiers, all segments are now showing similar rates of decline after top price tiers had seen a more pronounced and earlier downturn. 'Top tier' segments have tended to lead recent price cycles.

Looking across jurisdictions,

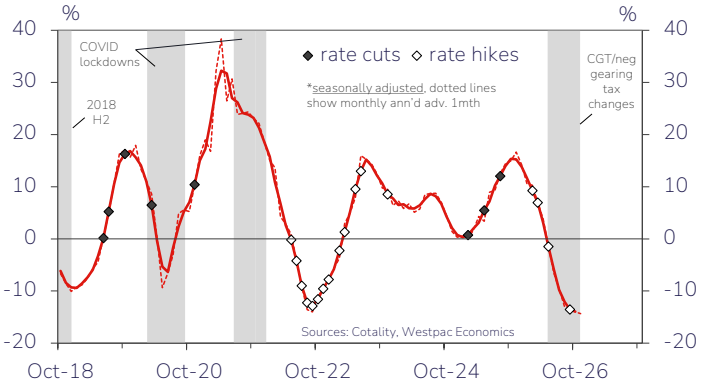
- **Sydney** prices dropped 1.6% in October having averaged similar-sized declines over the previous five months. While all segments and tiers continue to record falls, the last few months has seen the pace of decline moderate a touch in the top tier segments that have led cycles in the past, although they are still a long way from stabilisation.
- **Melbourne** prices declined 0.8%mth, in line with September's move and continuing the slower pace of retreat. As noted, this likely reflects the weaker starting point coming into the correction, prices already at 5½ year lows. Interestingly, the detail shows the moderation in price declines in recent months has been more pronounced for 'top tier' units where prices are back where they were in 2016.

Cotality home value index: October 2026

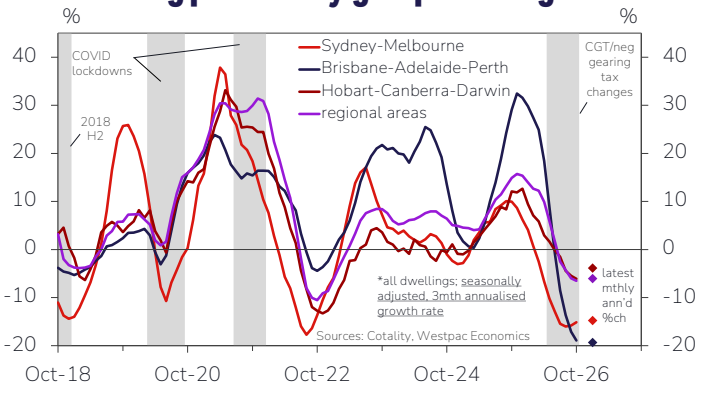
	%mth				%ann			
	Jul	Aug	Sep	Oct	Jul	Aug	Sep	Oct
Australia*	**–1.4**	**–1.4**	**–1.3**	**–1.2**	**4.6**	**2.2**	**–0.3**	**–2.8**
seas. adjusted	–1.2	–1.2	–1.2	–1.3	4.6	2.2	–0.2	–2.8
– houses	–1.5	–1.5	–1.4	–1.4	5.0	2.4	–0.3	–3.0
– units	–1.2	–0.9	–1.1	–0.8	3.0	1.4	–0.4	–2.2
Major capital cities								
Sydney	–1.9	–1.6	–1.5	–1.6	–2.3	–4.8	–7.1	–9.4
Melbourne	–1.5	–1.2	–0.8	–0.8	–2.9	–4.6	–6.1	–7.6
Brisbane	–1.8	–2.1	–2.1	–2.0	13.0	8.9	4.7	0.4
Adelaide	–0.3	–1.0	–1.7	–1.2	10.9	9.1	6.3	3.7
Perth	–1.9	–2.0	–2.1	–1.7	17.9	13.8	8.8	3.9
Turnover^	**–8.4**	**–8.9**	**–5.8**	**–5.6**	**–18.2**	**–19.6**	**–20.2**	**–22.5**

* Australia–wide measure, covering both capital cities and regional areas.
Sources: Cotality, Westpac Economics.
^ rolling 3mth total, %3mth and %ann ch, seasonally adjusted by Westpac.

Australian dwelling prices: 3mth ann'd



Dwelling prices: city groups and regional areas



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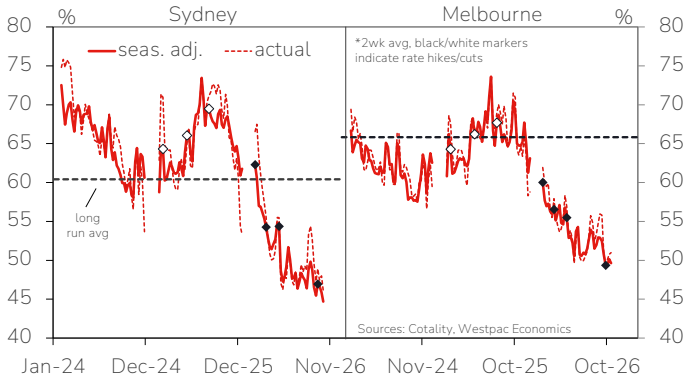
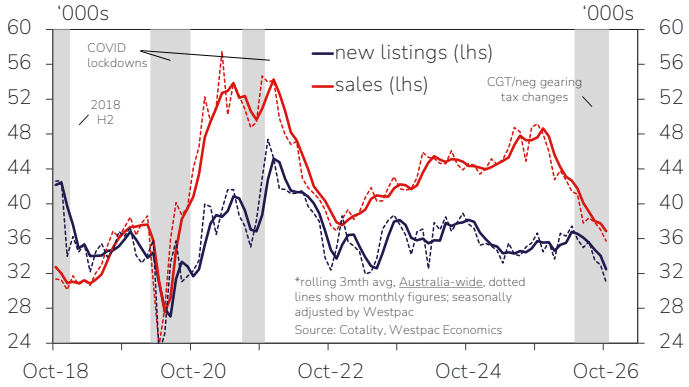
- **Brisbane** prices are tracking a very fast rate of decline that is also seeing large downward revisions. Prices fall 2% in October with September and August now both showing 2.1% falls, revised down from 1.5% and 1.6% respectively (August having previously been estimated at just 1%, July's move having seen a similar series of revisions –1.2% to –1.8%). The combined effect has taken the rolling 3mth change to –6.1%qtr from –4.7%qtr last months and –2.7%qtr in August and –0.6%qtr in July. At 0.4%yr, annual price growth has virtually stalled flat having run at 18%yr as recently as May. All tiers and segments are recording similar rates of decline.
- **Perth** is seeing something very similar, prices dropping a further 1.7% in October, with September's decline revised down to 2.1% from –1.2% and August's to 2.0% from –1.7%. At 3.9%yr, annual growth is still positive but off steeply from the 24% pace back in May. As with Brisbane, all tiers and segments are recording similar rates of decline.
- **Adelaide** dwelling prices posted a somewhat milder 1.2% decline in October, , September's –1.3% decline marked down to –1.7%. Annual price growth slowed to 3.7%yr, similar to Perth's but with less of a whiplash from strong gains to large declines. Turnover has also been much steadier, sales holding flat over the last three months and down just 12.4%yr.
- The smaller capitals were again more mixed, price growth still positive in Darwin (0.6%mth, 9.7%yr), relatively resilient in Hobart (+0.5%mth, 5.5%yr) but weaker in Canberra (–0.7%mth, –3.7%yr).
- **Regional markets** showed a 0.9% decline in Qld but slightly milder declines in NSW (–0.7%) and Victoria (0.6%). Annual prices growth is in the 1.4-3.5%yr range.

All up, the October updates make for bleak reading. With the RBA widely expected to raise interest rates again, the near term outlook remains very challenging. Next week's consumer sentiment update will show how this is shaping housing-related sentiment – so far, consumer price expectations have weakened but stopped short of swinging to the clear negative consensus that emerged in the 2022-23 correction. That now looks to be at risk. Either way, momentum looks set to remain weak into year-end and, barring a significantly improved inflation and interest rate outlook, well into 2027.

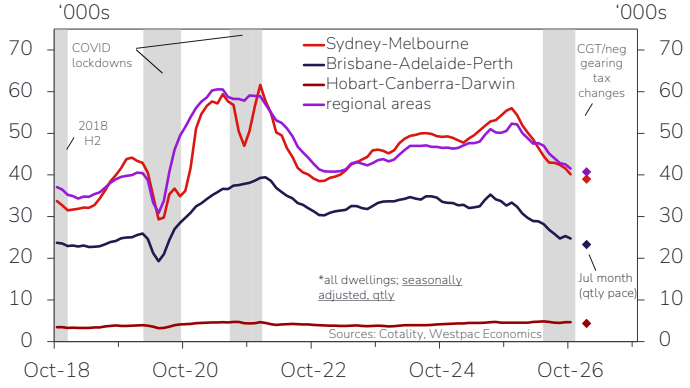
Auction clearance rates



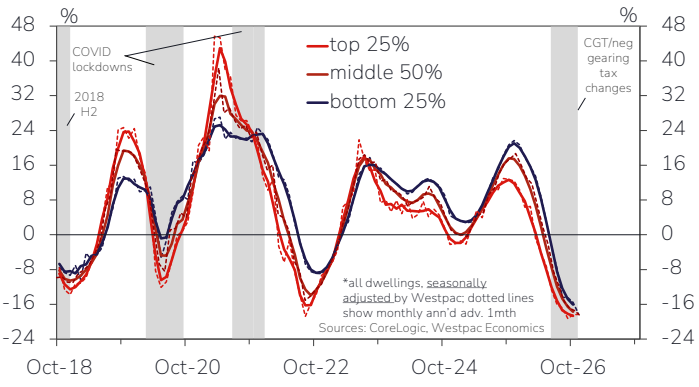
Australian dwellings: sales and listings



Dwelling sales: city groups and regional areas



Australian dwelling prices: price tiers



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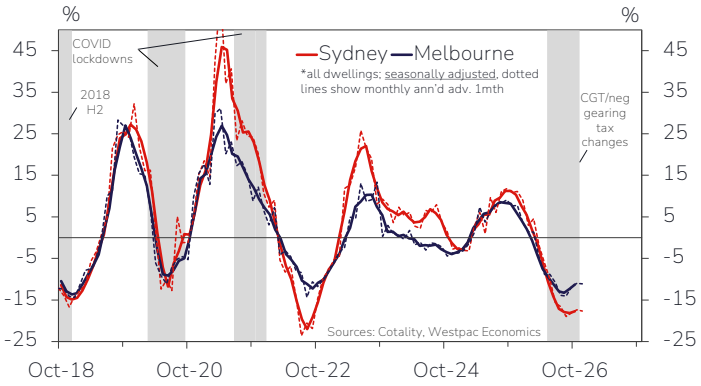
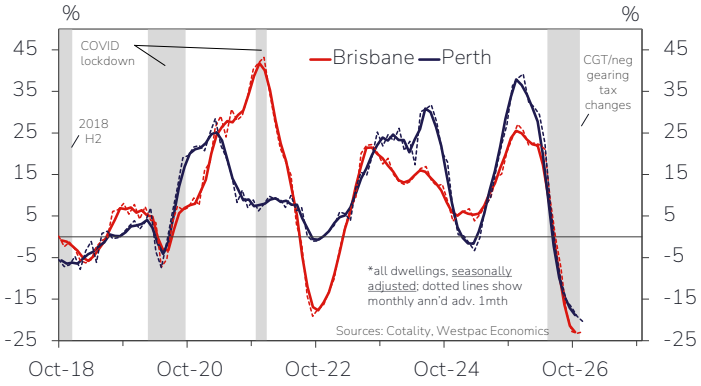
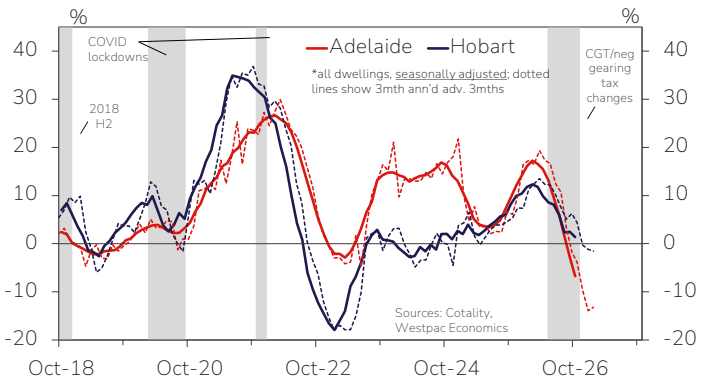
Sydney, Melbourne dwelling prices: 3mth ann'd



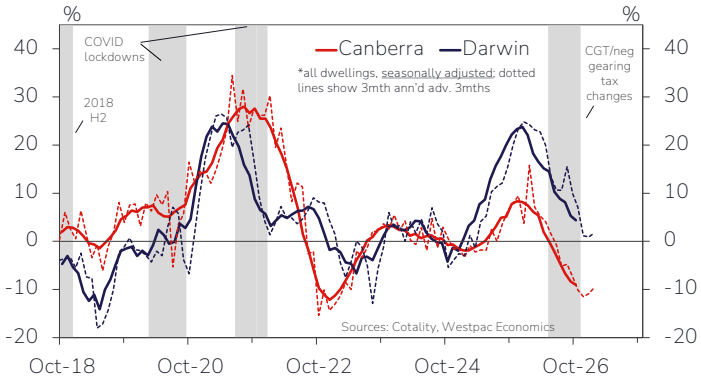
Brisbane, Perth dwelling prices: 3mth ann'd



Adelaide, Hobart dwelling prices: 6mth ann'd



Canberra, Darwin dwelling prices: 6mth ann'd



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NZ Q3 Labour market data - Potential RBNZ implications

#labour #newzealand

By Kelly Eckhold
Chief Economist, Westpac New Zealand

13:16 November 04 2026

Share

The Q3 labour market statistics were weaker than expected. We discuss potential implications for the RBNZ noting that a December hike remains more likely than not at this point.

Q3 Labour market data: potential RBNZ implications

- The Q3 labour market data were weaker than RBNZ and our expectations.

- A December hike remains more likely than not, but there will be a clear debate to be had between the MPC hawks and doves.
- The forecast peak OCR is likely less impacted than the time to reach that peak. Further pauses in the tightening cycle could come earlier than currently forecast.
- The outlook for the exchange rate is especially clouded by this data should it take a longer time for NZ rates to move closer to global norms.
- Watch for updated RBNZ commentary on 10 and 19 November. The Governor's observation that it would have been useful to update markets ahead of the October meeting could imply a greater willingness to comment in the coming weeks.

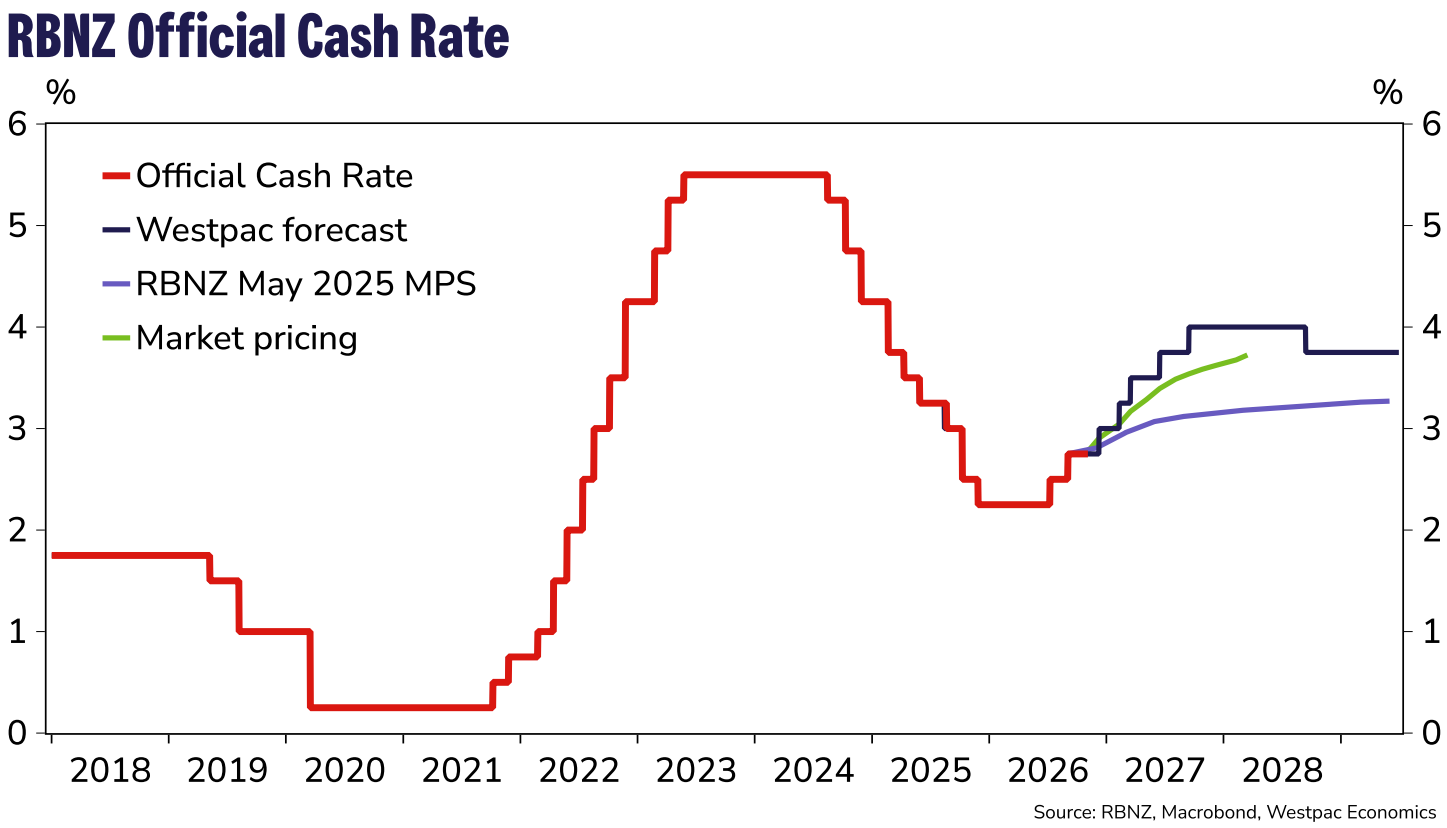
Today's labour market data seem unequivocally weaker than expected by either us or the RBNZ. While likely not a gamechanger for the cycle overall, it will add ammunition to the arguments of the MPC doves that a pause in interest rate rises will make sense soon - perhaps in December or in the New Year. It's likely the case that a bit much was priced into December, so the change in market probabilities in the wake of today's data makes sense - although my base case remains that a December rate rise remains more likely than not.

The message from the RBNZ in the October meeting though was to be careful about pricing in "done deals" and that the outlook will be data-dependent. As we noted at the time, alongside measures of inflation expectations, the key domestic data to watch ahead of the RBNZ's 9 December meeting will be indicators of what is happening to excess capacity (the output gap) as this will be a key determinant of the Bank's assessment of the outlook for inflation over the coming year.

It's useful to remember in the RBNZ's forecasting framework that GDP figures are the main determinant of excess capacity in the economy (i.e., the output gap). The Q2 GDP data told us that the output gap probably narrowed a bit through Q2, mainly reflecting historical revisions. In light of today's labour market numbers, the forecast for growth in Q3 may have some downside risk - but there are conflicting indicators there, so it's not that clear. However, it's probably hard to argue that the level of excess capacity reduced further in Q3 given today's data.

In the eyes of dovish MPC members, the rise in the unemployment rate and other measures important for the RBNZ's labour market dashboard likely push in the direction of having greater comfort with the medium-term inflation outlook. The vacancy to unemployment ratio increased a bit, labour constraints eased a bit, and the unemployment rate has increased. Hence from a labour market perspective it could be argued that policy could have more time all else equal. The outcome of the election, with the possibility of a new RBNZ mandate, could increase the prominence of these factors - although this won't likely be an explicit factor in the RBNZ's thinking in December even though it may be in the minds of individual MPC members.

It could be the case that the argument for increases in the OCR track through 2027 could be undermined with this data. It's important to note (probably self-evidently) that there are other data that will also be relevant. Hence the risk of a pause earlier in the New Year has probably increased with this data, all else equal. I don't think our forecast peak OCR is really at issue here, but the time taken to get there could be more flexible. Takes along the lines of "3% is the terminal rate" are very premature and misplaced, in our view.



The outlook for the exchange rate is undermined by this data. I feel very happy about our year-end target of 79c for the NZD/AUD rate with the risk that a recovery in the NZD takes longer than currently assumed.

Looking ahead, there are some opportunities for the RBNZ to update markets on their views. Top of mind is Paul Conway's 10 November speech to the UBS Australasia Conference. The Governor is also speaking to the Institute of Directors on 19 November. If the RBNZ has something to say, then it might happen in conjunction with these events (the 10 November speech is titled “How is the NZ economy tracking”, so it will be difficult for Conway to avoid saying something about how he is interpreting today’s data). We also note the Governor's comments in the October MPR that it could have been useful to have been more flexible about updating markets on emerging views of new economic data. This might increase the likelihood that these events could be used to provide guidance on the RBNZ’s views of this data (and other emerging events), especially if it feels that the market’s interpretation is at odds with its own.

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2 November 2026

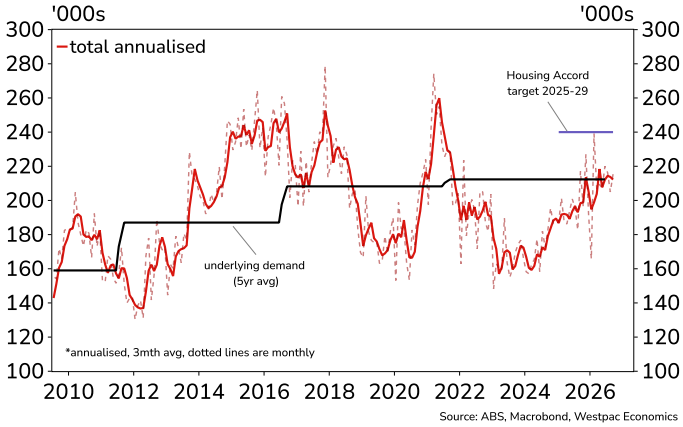
AUSTRALIAN DWELLING APPROVALS BULLETIN

Units lift the headline

Key points

- Total dwelling approvals rose 5.1%mth in September, although the annual pace moved into contraction at –0.8%yr with the detail suggesting the underlying cycle is starting to turn down.
- The headline increase was driven by another volatile rise in private unit approvals (+16.6%) which more than offset a significant decline in private detached house approvals (–5.3%).
- Units drove gains in NSW and Queensland. WA, SA and Victoria all recorded declines. Detached dwelling approvals fell across all states.
- The total value of residential approvals fell 2.8%mth but a sharp rise in non-residential approvals – led by the data centres – saw the total value of building approvals rise 13%mth.
- Interest rate increases, weakness in established housing markets, rising costs and pessimistic consumer sentiment are likely to remain headwinds.

Dwelling approvals



Source: ABS, Macrobond, Westpac Economics

Total dwelling approvals +5.1%mth, –0.8%yr

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Detached approvals point to softer momentum

Luka Belobrajdic
Economist

Total dwelling approvals rose 5.1%mth in September, while the annual pace moved into contraction at –0.8%yr. The result was well above both Westpac's expectation for a 7.0%mth decline and the market expectation for a 2.0%mth rise. Unit approvals continued to drive headline volatility, surging in September, while detached dwellings, which provide a better read on the underlying trend, recorded a sizeable decline.

Note that most figures in the charts and table are presented on a rolling-three month basis to smooth out monthly volatility.

Private detached dwelling approvals fell 5.3%mth in September, unwinding August's upwardly-revised 5.4%mth rise (+1.7ppts). Recent resilience has kept the segment elevated, with approvals remaining above 10,000 and the annual pace at 9.6%yr. However, the quarterly profile provides a clearer read on the underlying trend and suggests detached dwelling approvals are beginning to respond to recent interest rate increases (see here). Approvals rose just 0.9%qtr in September vs 3.1%qtr in June and 5.9%qtr in March.

Private unit approvals remained volatile, rising 16.6%mth in September following 21.7%mth decline in August. Strength was led by high-rise approvals, while low-mid-rise approvals recorded a more modest increase. Despite the monthly rise, the annual pace fell further into contraction at –20.5%yr.

Among the states, NSW recorded the strongest result, with private approvals rising 35.3%mth led by a surge in private unit approvals. Queensland also recorded an increase (+9.3%mth), while WA (–2.9%mth), SA (–3.5%mth) and Victoria (–29.0%mth) all declined.

In value terms, residential building approvals fell 2.8%mth, driven by a 3.3%mth decline in new residential approvals, partially offset by a 0.8%mth rise in renovation activity. Non-residential approvals once again reversed sharply, rising 45.9%mth, as the data centre-dominated 'other commercial' segment recorded an 8-fold increase on a non-seasonally adjusted basis. The total value of building approvals rose 13.0%mth in September. On a non-seasonally adjusted basis, the value of building approvals rose 8.3%mth overall, but declined 3.0%mth when excluding the 'other commercial' segment.

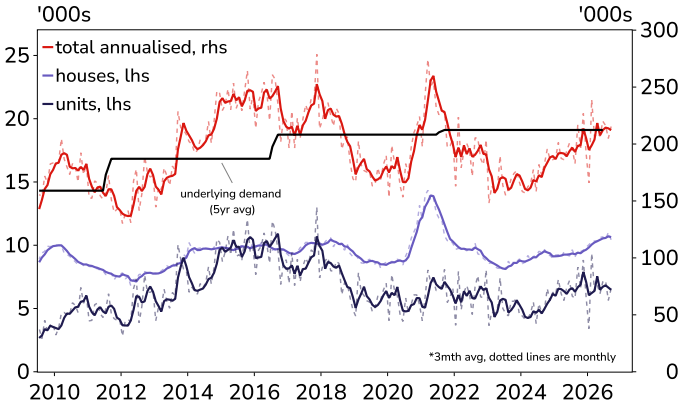
September's result reinforces the importance of looking through headline volatility in unit approvals. While total approvals rose in the month, detached dwelling approvals slowed on a quarterly basis and fell across all states, pointing to softer underlying momentum. The annual pace of total approvals also moved into contraction for the first time since January. Interest rate increases, the sharp downturn in established housing markets and rising costs are likely to weigh on further growth, with pessimistic consumer sentiment an additional headwind (see here).

Building approvals – September 2026

		3mth %chg*		%yr	
3mth avg	latest	Aug	Sep	Aug	Sep
Private houses	10,633	2.7	0.9	15.3	12.9
Private units	6,478	2.8	-3.6	5.3	-3.1
Public dwellings	574	12.3	35.4	-5.3	30.1
Total dwellings	17,684	2.9	flat	10.7	6.9
Total dwellings, mthly*	17,948	-5.2	5.1	12.1	-0.8
– units in 'high rise'^	3,748	11.1	0.1	16.3	4.9
– units in 'low rise'^	3,185	-2.7	3.7	-7.7	-1.4
Renovations, $bn	1.314	-3.4	-3.5	8.3	9.1
Non–res., $bn	7.805	-5.0	-12.8	9.1	10.3

*figures for 'total dwellings mthly' are monthly and mthly%ch, all others are rolling 3mth avg and 3mth%ch; ^all sectors, Westpac estimates
Sources: ABS, Westpac Economics

Dwelling approvals: major segment



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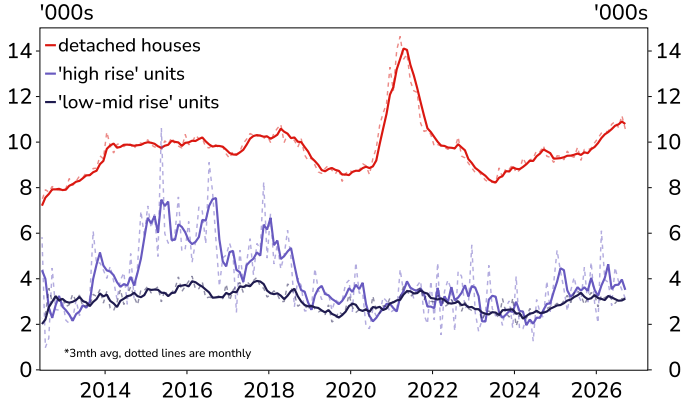
Dwelling approvals: detailed segment



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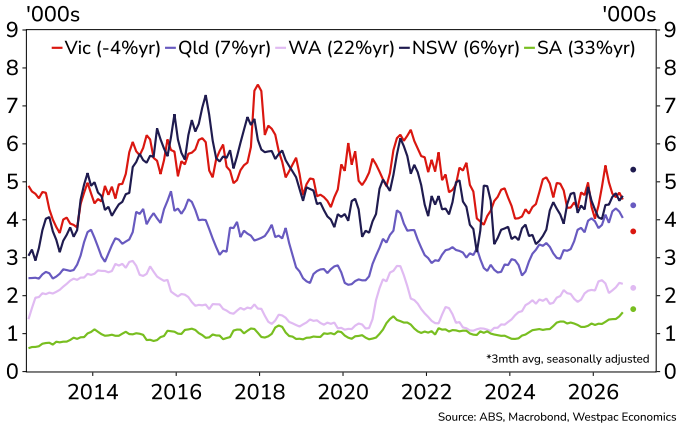
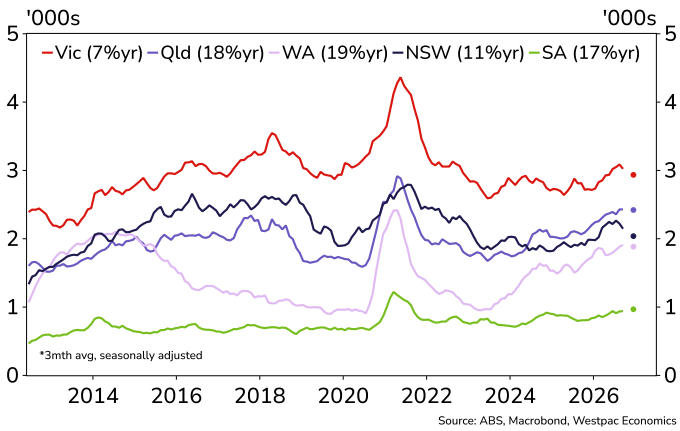
Total dwelling approvals: by state



Source: ABS, Macrobond, Westpac Economics

Detached house approvals: by state



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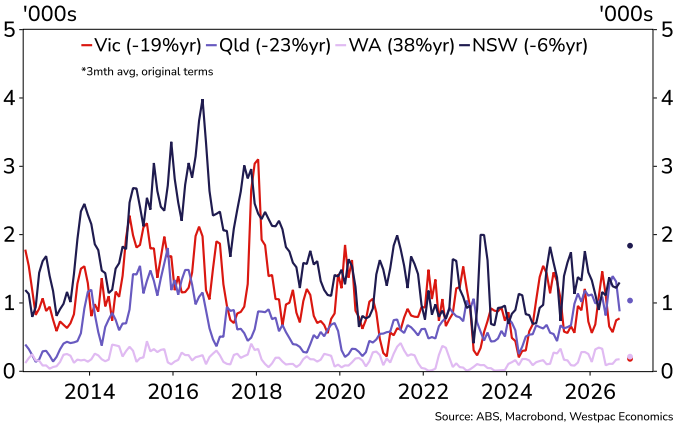
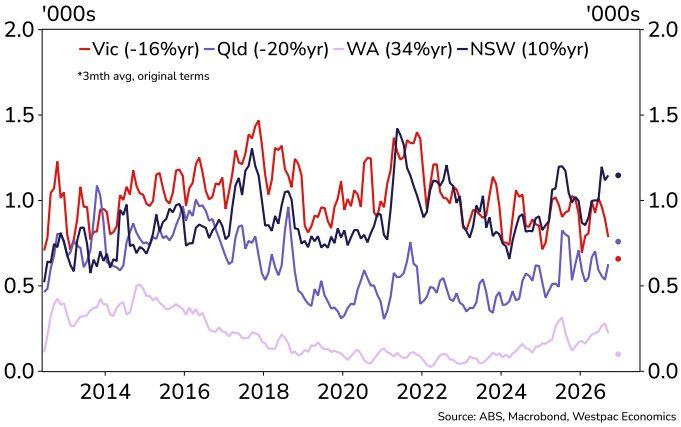
'High rise' approvals: by state



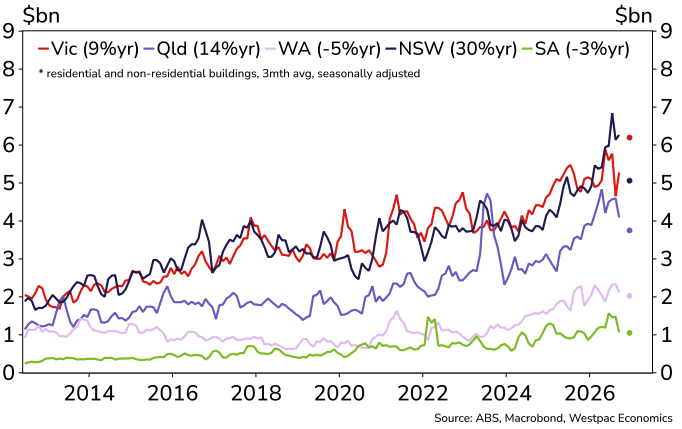
Source: ABS, Macrobond, Westpac Economics

'Low-mid rise' approvals: by state



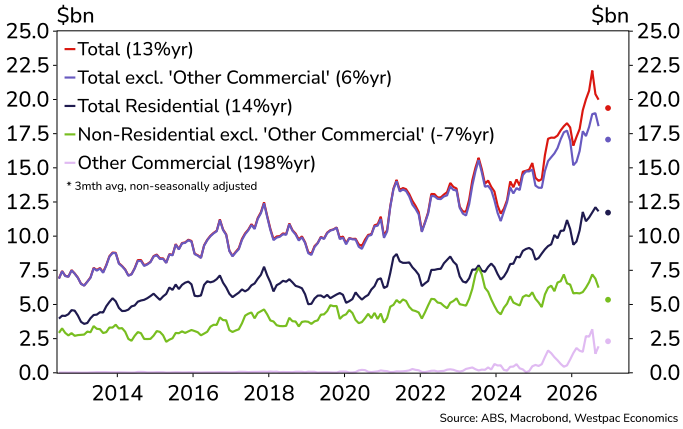
Source: ABS, Macrobond, Westpac Economics

Total building approvals: by state



Source: ABS, Macrobond, Westpac Economics

Total building approvals: by segment



Source: ABS, Macrobond, Westpac Economics

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The FOMC pause to reflect

#fomc #usd #us

By Elliot Clarke
Head of International Economics, Westpac

08:14 October 29 2026

Share

No change in October, though confidence in the economy's strength and two dissents point to a hike in December.

The FOMC held at their October meeting, albeit with two dissents, Governor Cook and Cleveland Fed President Hammack preferring to hike by 25bps at this meeting. The statement was short and, in the press conference, Chair Warsh again declined to provide definitive guidance on the near-term policy

outlook.

The Committee remains positive on economic activity, characterising it in the statement as “expanding at a strong pace” (an upgrade from “solid” in September). Despite elevated uncertainty, “domestic spending has been resilient”, underpinned by “strong” productivity growth and “robust” capital investment. Chair Warsh subsequently also emphasised the breadth of economic growth outside of tech-related investment. Labour demand and supply were represented as balanced and resilient in both the statement and press conference.

The Committee refrained from spotlighting key price risks in the statement. However, inflation “remains elevated” and the FOMC are determined to achieve a “timely” and sustainable return of annual consumer inflation to 2.0%yr after 6 years above target.

Along with the two dissents, this guidance and the “accumulation of more information will help the Committee determine the policy stance” suggests another 25bp hike is likely in December. Thereafter, the FOMC will remain attentive to any broadening in inflation and related risks through 2027.

Towards the end of the press conference, Chair Warsh also announced a structural change in the FOMC schedule. While there will still be 8 meetings in 2027, a meeting in the fall will focus on monetary policy strategy versus the current stance of monetary policy. Chair Warsh then intends for 2 of the 8 meetings in 2028 to have this strategy focus. If realised, this will see the FOMC review and vote on the current stance of monetary policy just 6 times per calendar year from 2028.

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ECONOMIC BULLETIN

Preview of 2026 General Election.

27 Oct 2026 | **Westpac Economics Team** | **westpac.co.nz/economics** | economics@westpac.co.nz
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- **Polling points to a very close and unusually fragmented election, with the outcome likely to depend on the performance of the Opportunity Party and whether any party achieves "overhang" seats.**
- **While either Labour or National will lead the next government, minor parties are likely to have unprecedented representation in the next government. This makes it harder to assess the mix of policies that will emerge from coalition negotiations.**
- **Compared to the status quo, a returned National-led government with stronger ACT and NZ First representation may be more aggressive on some combination of expenditure restraint, welfare and immigration, resource development and deregulation.**
- **A Labour-Green-Opportunity administration would probably deliver more public-service and social investment, a broader tax base, stronger climate and labour regulation and likely greater borrowing for infrastructure. A centre-left government may find it hard to resist pressure to lift public service salaries and the minimum wage in response to fuel-driven inflation.**
- **The fiscal starting point acts as a constraint: the PREFU projects that OBEGALx will remain in deficit until 2028/29 and achieving that outcome will require exceptional spending control in the current environment.**
- **Whichever government is elected will need to make hard trade-offs, or raise additional revenue or debt. The latter will be costly with global investors requiring higher interest rates to fund government (and other) debt.**
- **A key non-fiscal outcome of a change in government would likely be the implementation of the Labour Party's proposal to restore the RBNZ's dual inflation-employment mandate.**

The election appears close, but the bigger story is fragmentation.

New Zealand goes to the ballot box on 7 November (although advance voting started on 26 October). The campaign is taking place against a mixed economic backdrop: activity has recovered somewhat, but households remain sensitive to high living costs and a weak housing market; the fiscal accounts have improved relative to the Budget but still show deficits until 2028/29. That combination gives the various parties room to argue about priorities, but little room to avoid difficult trade-offs. Additional spending – which may be difficult to avoid in the current environment – will require either additional revenue or a willingness to accept additional debt issuance at a time when international investors are seeking greater compensation to fund government debt (and other).

The striking feature of this campaign is the reduced dominance of the two major parties. Across the major polls, neither traditional centre-left or centre-right blocs can be confident of governing alone, and the composition of the minor-party vote will determine both who governs and how. Because the Opportunity Party sits near the threshold, a movement of only a few tenths of a percentage point could alter the allocation of several seats. In addition, any "overhang" created by Te Pāti Māori or the National Party winning more electorates than their party vote entitlement could also move the majority line above the usual 61 seats.

Together with uncertainty about voter turnout – especially considering changes in voter registration rules – the outcome of this General Election is difficult to call. With major-party support unusually low and the minor parties offering distinct, sometimes internally conflicting programmes, the shape of the next government will be determined not only at the ballot box on 7 November, but at the negotiating table afterwards. Moreover, if the results are especially tight, the outcome may not be clear until sometime after the official results are declared on 27 November. And a hung parliament – where neither the centre-left nor centre-right bloc can command a majority – cannot be entirely ruled out either.

How New Zealand's electoral system works.

New Zealand's electoral system uses Mixed Member Proportional representation (or MMP). Voters receive two votes: an electorate vote for a local candidate and a party vote for a political party. The electorate candidate with the most votes wins the local seat. The party vote is the main determinant of each qualifying party's overall representation in Parliament.

Parliament normally has 120 seats. For the 2026 election there are 71 electorates, comprising 64 general electorates and seven Māori electorates, with the remaining seats ordinarily filled from party lists. A party qualifies for proportional representation by receiving at least 5% of the nationwide party vote or winning an electorate seat. List MPs are then added to electorate MPs so that each qualifying party's total representation broadly matches its party-vote share.

An overhang arises when a party wins more electorate seats than its party vote would otherwise entitle it to. The party keeps those seats and Parliament expands, which can raise the number required for a majority. Government formation is separate from the allocation of seats: a grouping must demonstrate that it can command confidence in the House and pass supply. That can be achieved through a formal coalition, a confidence-and-supply agreement, or other support arrangements. The largest party is not automatically guaranteed office and minority governments are possible (e.g. although the National Party secured more than 44% of the vote in the 2017 election, a minority Labour Party-NZ First coalition was formed, supported by a confidence-and-supply arrangement with the Green Party).

The overhang risk is unusually important in 2026 because current polling leaves both blocs close to, but often short of, a majority. In addition, the fragmentation of the electorate increases the risk that one of the major parties wins more electorates than implied by its party-vote entitlement. This is in addition to the likelihood that Te Pāti Māori will achieve an overhang given that it is running an "electorate vote only" campaign and so asking its supporters to cast their party votes for other left-leaning parties. Each additional overhang seat expands Parliament and so lifts the threshold needed to command a majority.

The direction of the effect depends on which party creates the overhang. Extra Te Pāti Māori electorate seats would add MPs aligned more naturally with a Labour-Green administration and could make Te Pāti Māori support or abstention more consequential. A National overhang would add seats on the right and could improve the arithmetic for a National-ACT-NZ First government. Under the latest RNZ-Reid Research projection, for example, an overhang would arise if National won more than 32 electorates or Te Pāti Māori won more than two.

This makes the party vote strategically important and explains the focus on Opportunity's threshold position. A vote share just below 5% would produce no list seats unless the party won an electorate (which based on limited polling presently seems unlikely). A result just above 5% would give it a parliamentary caucus large enough, on current polling, to become the "kingmaker" and decide which side can form a government. While the Opportunity Party says that it could work with either a centre-left or centre-right government, as detailed in the appendix its broad policy platform might imply that it more naturally aligns with the centre-left.

What the polls imply.

Kiwipoll's six-poll tracker, last updated on 20 October, put Labour on 27.9% and National on 28.7% - a gap of just 0.8 percentage points. More strikingly, the two major parties together attracted only 56.6%. The central message across all polls is therefore fragmentation: neither major party is close to governing alone, and almost half of the represented vote is distributed among parties that would shape the terms of any governing arrangement.

On that average, the balance between the established blocs is also extremely narrow. The model associated with the tracker assigned 56 seats to Labour, the Greens and Te Pāti Māori, and 61 to National, ACT and New Zealand First. Neither side reached a majority in a presumed 124-seat parliament. Opportunity's average support of 6.2% translated into seven seats, enough to take either bloc to the 63-seat threshold needed for a majority. The average therefore implies that the identity of the largest party may matter less than whether Opportunity remains above 5% and which grouping it is prepared to support.

This is not simply a close two-bloc contest. The polling average also suggests that the minor parties would enter negotiations with unusually large leverage. The Greens, ACT and New Zealand First would consequently have more scope than usual to influence tax, expenditure, regulation, immigration and resource policy, or the allocation of Cabinet positions, making it harder to determine the likely form of a final coalition agreement.

That said, the leverage that these parties can apply on their major party coalition partner is limited. The Green Party cannot credibly threaten that it would form an alternative coalition with the National Party. And neither could ACT or NZ First credibly threaten to form an alternative coalition with the Labour Party (while NZ First has worked with the Labour Party in the past, it has ruled out doing so on this occasion). Moreover, it is possible that minor parties would be punished by the electorate if a failure to form a government necessitated a second general election, especially if the minor parties were perceived to have made unreasonable demands or if the electorate simply refocused on establishing a workable parliamentary majority.

The Opportunity Party is the pivotal uncertainty because its average position is above the threshold, but not far above it. A result modestly below 5%, without an electorate victory, would remove its votes from the seat allocation and substantially change the arithmetic, favouring the centre-right bloc. A result around its recent 6% polling average (or higher) would make the party central to government formation.

Formally, National has ruled out working with Opportunity, due to its objection to the latter's tax policy. For its part, Opportunity has said that it would talk first to the party with the most seats, which on present polling could be either Labour or National. However, as noted previously, given Opportunity's policy orientation, it seems more likely that it would ultimately join a centre-left coalition than a centre-right coalition.

To summarise, the bloc contest is close, and the route to a majority depends on threshold and electorate outcomes that remain uncertain. With that in mind, we think that the following two scenarios are the most likely outcomes of the election.

Scenario one: a returned centre-right government, with greater minor party representation.

The first scenario is that the existing coalition is returned, albeit with the minor parties gaining strength and thus additional leeway to pursue their policy agendas. We assume that the coalition is not dependent on the Opportunity Party to govern, which would be more likely to occur if the latter fell marginally short of the party vote 5% threshold needed to enter parliament in the first place.

A renewed National-led government would begin with considerable continuity. National's fiscal plan retains the current coalition's focus on restoring surplus, reducing debt as a share of GDP, keeping new spending constrained and making greater use of planning reform and private capital. It projects an OBEGALx surplus of $4 billion in 2028/29, with net core Crown debt peaking at 43.9% of GDP in 2027/28 and falling to 39.5% by 2030/31. National has ruled out new tax cuts during the next term, saying tax relief should wait until the books are back in surplus and surpluses are growing. But a coalition in which ACT and New Zealand First held a larger share of seats would be different from the current more National-dominated administration. Unless its vote share is particularly low, National would almost certainly still provide the Prime Minister (sharing the role with NZ First and ACT in the context of a three-year electoral term seems quite unlikely – the latter will likely share the Deputy role as they have in the current term). The three parties share a common fiscal framework at the macro level. However, National would have less ability to defer or dilute its partners' priorities.

Fiscal policy and the size of government.

ACT would press for a faster and deeper reduction in the state's footprint. Its fiscal plan proposes cutting $9.5bn across the forecast horizon from spending outside welfare and protected frontline services, reducing future operating allowances by $400m a year to $2.0bn, and moving non-welfare spending back towards 2017 real per-capita levels. ACT says this would lower debt by $12.4bn by 2031 relative to current forecasts. It also proposes consolidating government into 19 departments and 18 ministers.

On its own, that agenda would pull a renewed government beyond National's more incremental expenditure control. Coalition negotiations would likely turn on the pace of implementation and the definition of protected frontline services. The economic effect would depend on whether savings represented genuine efficiency gains or reductions in service capacity and transfers. In the near term, a faster consolidation could subtract from demand, while lower debt issuance and a smaller structural deficit would strengthen the fiscal buffer.

However, New Zealand First would push in a different direction. Its programme combines selective tax relief with active government intervention, regional grants and strategic ownership. The tension within the coalition would therefore not simply be between 'more' and 'less' government. ACT would seek a smaller and more market-oriented state; New Zealand First would accept a larger role where it supported national ownership, regions, families or strategic industries. New Zealand First's proposal to reduce the corporate tax rate for SME's to 20% (from 28%) may well be accepted by its coalition partners during coalition negotiations – possibly phased in over time – and would certainly be much cheaper than the fiscal cost of some other policies promoted by the party (notably compensating employees for higher compulsory Kiwisaver contributions and the nationalisation of the Bank of New Zealand).

Tax, welfare and retirement.

ACT's longer-run objective is a lower and flatter tax system. Its immediate plan removes tax on qualifying KiwiSaver investment earnings, ends the government KiwiSaver contribution and returns net Emissions Trading Scheme auction revenue to households through a carbon-tax refund. Broader tax relief is deferred until the books are balanced. ACT would raise the NZ Super eligibility age by three months a year to 67 by 2035, while allowing compassionate early access for people with long careers in physically demanding work. It would also pause contributions to the NZ Super Fund.

On welfare, ACT proposes tighter medical certification and reassessment for disability-related benefits, a five-year stand-down before migrants can access welfare, and lower spending outside protected services. NZ First would add its own eligibility restrictions, including limiting NZ Super to citizens from 2029, while proposing compulsory KiwiSaver enrolment from birth and a Crown contribution. These policies would create difficult design questions around transitional arrangements, hardship and administration, but the broad direction would be towards tighter eligibility and stronger conditionality.

Regulation, resources and labour markets.

A stronger ACT-NZ First presence would reinforce deregulation in planning, employment and resource development. ACT would seek property-rights-based planning law, easier dismissal, a three-year minimum wage freeze, a lower training wage for workers under 20 and removal of Te Mana o te Wai from consenting. It would repeal the Zero Carbon Act. National's own RMA replacement and fast-track agenda would provide substantial common ground.

NZ First would push more directly for regional and strategic development: a special economic zone at Marsden Point, offshore oil and gas surveying, expanded mineral development, and the return of 50% of mining royalties to producing regions. It also proposes breaking up the power gentailers and has advocated bringing a major bank back into New Zealand public ownership. Both the National Party and NZ First have policies that aim to force additional competition in the supermarket sector, but these are opposed by the ACT Party. Nonetheless, the result could be a government that is simultaneously more deregulatory in consenting and more interventionist in ownership and competition policy.

Immigration would also tighten. ACT proposes annually reviewed work-visa categories, a Rural Workforce Visa, stronger overstayer enforcement and physical-presence requirements for permanent residents. NZ First proposes replacing the Accredited Employer Work Visa with a shortage-led Skilled Work Visa and holding a referendum on a 20,000 annual cap on resident visas. National's more skills-focused approach would be under pressure from both partners to place greater weight on enforcement, settlement obligations and lower aggregate inflows.

Scenario two: Labour and the Greens, supported by Opportunity.

The second main scenario that we view as likely is a Labour Party-led coalition with the Green Party, with the Opportunity Party supporting either inside the coalition or via a confidence-and-supply arrangement. Depending on precise outcome of the election, a confidence-and-supply arrangement may also be required with Te Pāti Māori to secure the necessary parliamentary majority.

A Labour-led alternative would represent a clearer break with the current policy direction, but the size of that break would depend on the success of the minor partners in embedding their policies in the coalition agreement.

For its part, the Labour Party would aim to restore and expand selected public services while remaining inside its published fiscal framework. Its plan retains a $2.4 billion operating allowance for each Budget, targets an OBEGAL surplus in 2028/29 and seeks to reduce net debt below 20% of GDP over time. It would introduce a 28% capital gains tax on post-1 July 2027 gains from investment residential and commercial property, with major exemptions, and use the revenue to help fund health initiatives.

Labour's central commitments include free prescriptions, three free doctors' visits, additional screening and maternity services, 6,000 additional state houses, public-transport fare caps, expanded apprenticeships, a care-worker pay increase and partial reversal of planned public-service cuts.

It would also restore the Reserve Bank's dual price-stability and maximum-sustainable-employment mandate. As we have **discussed in detail in a previous note**, in the current environment – dominated by supply shocks – the return of the dual mandate could mean that the RBNZ is prepared to accommodate a slower return of inflation to target to reduce the impact on employment.

The Greens would shift the centre of gravity.

A strong representation of Green Party ministers in the Cabinet would seek to move a coalition further on redistribution, public ownership, housing and climate policy. The party's tax programme includes a 2.5% wealth tax on net assets above $10 million excluding the family home, a capital-acquisitions tax above $1 million with exemptions, a 45% top personal rate, a higher company tax rate for the largest firms, and a levy on large banks. The stated objective is to raise about $5.1 billion net and shift the tax burden from wages towards wealth and large corporations.

These taxes are needed to finance the Green Party's extensive promises on spending (see below). Formally, the Labour Party has explicitly ruled out supporting the Green Party's tax policies to secure a Labour Party-led coalition. Whether that pre-election commitment would be reversed after the election is a matter of conjecture.

On spending and ownership, the Green Party proposes free dental care and public transport, stronger income support, expanded school lunches, more public housing, a publicly owned renewable-energy entity and the acquisition of supermarket stores to establish KiwiMart. A centre-left government, especially with strong Green Party representation, may find it harder to resist pressure to lift public service salaries and the minimum wage in response to fuel-driven inflation. Relative to PREFU forecasts, this would imply additional expenditure that would need to be met with either additional sources of revenue or additional debt issuance.

Labour would resist parts of this agenda on cost, implementation risk and fiscal credibility. The most likely coalition bargain would therefore be a narrower set of high-priority Green Party reforms, financed by some combination of new revenue, reprioritisation and the available Budget allowances.

The regulatory direction would be unambiguously stronger. Labour and the Greens overlap on restoring pay equity (which was not explicitly budgeted for in Labour's fiscal plan), strengthening worker protections, improving rental standards, expanding public housing and using government more actively in markets with weak competition. Climate, freshwater and biodiversity rules would tighten relative to the current government, and mining on conservation land would face much greater barriers.

Opportunity's role, potentially outside Cabinet.

Opportunity could support a Labour-Green government, either directly joining the coalition or through a confidence-and-supply agreement. While the former would give Opportunity seats at the Cabinet table, the latter arrangement would let the party retain a distinct identity, trading reliable support on confidence and budgets for a defined policy programme. It may also provide more scope for the party to "learn the ropes" with less public scrutiny, given that none of its prospective MPs have ever been in Parliament, let alone held Cabinet positions.

Regardless of what form the arrangement takes, Opportunity's landmark policies are neither a simple extension of Labour nor of the Greens. Opportunity proposes a "tax reset", including a land value tax, with a lower rate for rural land, alongside personal income tax rates of 28%, 34% and 39%. The revenue raised would be used to fund a "Citizen's Income" payment to almost all people, which would also replace several current social welfare benefits. That said, Opportunity has conceded that the land tax and Citizen's Income are unlikely to be implemented in the next Parliament given that it will probably be the smallest of the coalition partners.

In negotiations, Opportunity would press for the inclusion of its five bottom lines. These are (1) giving the Commerce Commission more teeth and greater independence to tackle excessive market power in supermarkets and other uncompetitive sectors, (2) regulating lobbying and capping political donations, (3) developing a 10-year plan to "fix the health system" alongside health professionals, with clear commitments on funding, workforce and infrastructure, (4) phasing out bottom trawling, working with industry, iwi and coastal communities to fairly manage the transition, (5) recommitting to Paris Agreement emissions reduction obligations and protecting the Climate Change Commission's independence. Opportunity's other policies include allowing net debt to exceed 50% of GDP if the additional borrowing finances productive infrastructure. It also proposes compulsory KiwiSaver contributions rising to 6% for employees and employers (a policy it shares with National), free public transport, stronger competition enforcement, higher R&D spending and a ten-year cross-party education plan. In a confidence and supply arrangement Opportunity could reserve the right to oppose other legislation it disagrees with, but the arrangement would need sufficiently clear fiscal guardrails to avoid repeated uncertainty over Budgets and concerns about the stability of the Government.

The economic stakes.

The two scenarios imply meaningfully different policy mixes, but neither government would operate without constraints. The current fiscal forecasts already assume a return to surplus and a declining debt ratio later in the forecast period. Delivery depends on tight expenditure control, revenue growth and an economic outlook exposed to oil prices, global interest rates and domestic productivity. Coalition agreements that materially add to operating spending or reduce revenue would need offsetting measures if the party heading the coalition wished to preserve its stated fiscal track.

For monetary policy, the direct institutional contrast is Labour's proposal to restore the Reserve Bank's dual mandate. In practice, the larger near-term influence may come through fiscal demand, labour market regulation, migration and energy policy. A faster fiscal consolidation on the right would tend to reduce demand pressure, while a larger operating spending programme on the left would increase demand pressure. Infrastructure investment is somewhat different: if well selected and delivered, it can lift productive capacity over the medium term, but it can also add to near-term capacity pressure before supply benefits arrive. And given the current interest rate environment, the hurdle that must be crossed to justify raising debt is higher than it has been for years.

Appendix: Selected 2026 election policies.

Policy area	National	Labour
Government spending	Core Crown expenses towards 30% of GDP. Election commitments average $470m a year net outside health cost pressures; $7.5bn of operating funding remains unallocated over four years.	$13.517bn net new operating spending over 2026/27–2030/31; Budget 2027 and subsequent operating allowances held at $2.4bn; almost $10.5bn of future operating allowances unallocated.
Taxation	No new taxes or additional tax cuts during the next term. Retain Investment Boost. Tax relief would be considered only after the books return to surplus and surpluses are growing.	28% CGT on gains accruing after 1 July 2027 from investment residential and commercial property, with stated exemptions; repeal Investment Boost; reverse tobacco-tax reduction; lift GST-registration threshold and introduce a $10,000 instant asset write-off.
Fiscal objectives	OBEGALx surplus of $4bn in 2028/29; net core Crown debt peaks at 43.9% of GDP in 2027/28 and falls to 39.5% by 2030/31; expenses towards 30% of GDP.	Return OBEGAL to surplus in 2028/29; reduce net debt below 20% of GDP over time; keep government spending and revenue sustainable.
Superannuation/ KiwiSaver	Compulsory KiwiSaver; employee and employer contributions rising to 6%+6% by 2032; $1,500 Baby Boost; paid-parental-leave top-up and employer contributions for workers over 65.	No change to NZ Super. Employer KiwiSaver contributions rise to 6% by 2032; 4% default rate; ban total-remuneration contracts and continue employer contributions during employee pauses.
Labour market	47-point small-business plan to reduce compliance costs around hiring, employment disputes and regulation; random drug testing for Jobseeker recipients.	Restore pay-equity legislation; $4/hour care-and-support-worker increase; extend Apprenticeship Boost; $21m a year for Māori-led trades training; reverse part of planned public-service cuts.
Social policy	Extend paid parental leave to 30 weeks; widen First Home Loan access; reduce domestic student-loan repayment rate to 10%; health screening and Pharmac initiatives.	Three free GP visits; free prescriptions, cervical screening and maternity scans; graduate nurse job guarantee; $4/hour care-and-support-worker pay rise; public-transport fare cap and school lunches.
Monetary policy	Retain the Reserve Bank's sole statutory price-stability objective.	Restore the dual mandate: price stability and supporting maximum sustainable employment; retain the operational inflation target.
Education	Require students to remain at school through Year 11; ban screens in early-childhood centres and limit use in Years 1–3; reduce student-loan repayment rate to 10% from April 2027.	Freeze the curriculum and NCEA overhaul; reinstate the former school-lunch model; reduce uniform costs; extend Apprenticeship Boost and Māori trades training; eligible student-loan write-off.
Housing	Widen First Home Loan access to 5% deposits; planning and RMA reform intended to unlock land, infrastructure and housing supply.	6,000 additional state houses; $2.9bn of Kāinga Ora capital funding over four years; investment-property CGT; oppose Kāinga Ora asset sales.
Climate/ environment	Greater emphasis on affordability, energy security and development; targeted conservation funding from the visitor levy; selected fisheries and marine protections.	Solar subsidies and low-interest loan schemes and more public investment in the climate transition; tighter environmental settings than the current government.
Regional development	City and Regional Deals, infrastructure and water-storage investment; regional growth through planning reform and tourism/conservation funding.	Future Fund and capital allowances for housing, hospitals, schools and infrastructure; Māori employment and procurement initiatives.
Minerals	Support mining and quarrying through fast-track consenting and resource-development policy, subject to current environmental settings.	More cautious approach than the current government, with tighter environmental safeguards; no detailed standalone mining package identified.
Agriculture	Up to $300m in low-cost loans for on-farm water storage; easier consenting and support for irrigation, fertiliser production and rural investment.	Support farm exports while tightening selected environmental settings; Māori trades and procurement support; no detailed standalone agriculture package identified.
Regulation	Replace the RMA with Planning and Natural Environment legislation; fewer consent categories, 17 regional plans, national standards and faster dispute resolution; reduce small-business compliance.	Stronger consumer, labour and environmental rules; restore pay equity; ban price gouging and hidden fees; partial reversal of planned public-service cuts.
Infrastructure	$14.2bn remains unallocated from future capital allowances; planning reform, private capital, Regional Deals, water-storage loans and the Home Energy Fund.	$4.1bn of announced capital commitments within $12bn of future capital allowances, leaving almost $8bn unallocated; includes housing, hospitals, schools and the Future Fund.
Immigration	Continue skills-focused settings and new skilled-residence pathways; tougher enforcement for serious offending and migrant exploitation.	Double the qualifying period for permanent residence from two to four years; civic/orientation programme; three-month NZeTA access for Pacific Islands Forum countries.

Policy area	ACT	NZ First
Government spending	Cut $9.5bn from spending outside welfare and protected frontline services once fully implemented; reduce future operating allowances by $400m a year; return non-welfare spending towards 2017 real per-capita levels.	More interventionist and regionally targeted spending, including family grants and strategic state ownership.
Taxation	No new taxes; remove tax on qualifying KiwiSaver investment earnings; discontinue the government contribution; return net ETS auction revenue through a carbon refund; broad lower/flatter taxes deferred until the books are balanced.	20% SME company tax rate for firms with turnover under $30m; lowest personal tax bracket tax-free from April 2027; possible tax and levy concessions in the Marsden Point special economic zone.
Fiscal objectives	Balance the books sooner and lower debt by $12.4bn by 2031 versus current forecasts; fund tax relief through lasting spending control rather than borrowing.	No fully costed surplus, debt or spending anchor identified; policy mix combines tax relief, regional development and selective state ownership.
Superannuation/ KiwiSaver	Raise NZ Super age by three months a year to 67 by 2035, with compassionate early access for long careers in physically demanding work; pause NZ Super Fund contributions; remove tax on qualifying KiwiSaver earnings.	NZ Super eligibility restricted to citizens from 2029; no change to entitlement age. KiwiSaver enrolment from birth with a $1,000 Crown contribution; compulsory workforce enrolment and higher contributions.
Labour market	Freeze the adult minimum wage for three years; lower training wage for workers under 20; make termination easier; retain broad 90-day trials; tighter health-related benefit certification.	Replace the Accredited Employer Work Visa with a shortage-led Skilled Work Visa; lower immigration emphasis; policies to strengthen regional employment and domestic ownership.
Social policy	Tighter welfare tests and reassessment of disability-related benefits, targeting $653m of savings over four years; five-year migrant welfare stand-down; expand pharmacist care.	Universal $5,000 annual Kiwi Kids Grant for each of the first three children during their first three years; Working for Families changes; citizens-only NZ Super.
Monetary policy	n/a	n/a
Education	Give teachers legal power to remove seriously or persistently disruptive students; limit compulsory branded uniform items to three and allow generic alternatives.	n/a
Housing	Property-rights planning reform; remove development barriers and rely more on market supply and council-funded infrastructure.	Prioritise citizens for social housing; lower immigration pressure; support a Housing Commission and seniors' housing.
Climate/ environment	Repeal the Zero Carbon Act; remove Te Mana o te Wai from consenting; lighter environmental regulation and stronger property rights.	Expand oil and gas exploration and domestic energy development; split the power gentailers; return resource royalties to regions.
Regional development	Decentralisation and lower regulation; allow local growth through property rights and infrastructure, with limited targeted subsidies.	Marsden Point special economic zone; 50% of mining royalties retained in producing regions; regional investment and lower immigration pressure.
Minerals	Strongly pro-development; streamline consenting and property-rights rules for mining and other resource projects.	Expand mineral and petroleum development; return 50% of mining royalties to producing regions; offshore basin surveying for oil and gas.
Agriculture	Remove Te Mana o te Wai from consenting, repeal the Zero Carbon Act and reduce compliance costs for farmers.	Water storage, resource development, lower immigration emphasis and regional royalties; protect domestic ownership and primary production.
Regulation	Major deregulation: property-rights planning law, smaller public service, easier dismissal, less employment regulation and fast-track market entry.	Strategic intervention against market concentration while creating special-economic-zone relief at Marsden Point; tighter immigration and ownership rules.
Infrastructure	PPPs, partial privatisation and property-rights reform; about $2bn contingency for a National Cancer Centre; less Crown ownership and greater private delivery.	Marsden Point special economic zone, regional resource development, proposed BNZ buy-back and targeted regional projects; no consolidated national pipeline identified.
Immigration	Annual review and expiry of work-visa skill categories; Rural Workforce Visa; five-year welfare stand-down; permanent-residence presence requirements; stronger overstayer and deportation enforcement.	Replace AEWV with a shortage-led Skilled Work Visa; referendum on a 20,000 annual resident-visa cap; tighten citizenship, residence and deportation rules.

Policy area	Opportunity	Greens
Government spending	Citizen's Income and free public transport would substantially redesign programmes; more willingness to borrow for productive infrastructure; no consolidated expenditure total identified.	Large expansion in public services and public ownership, including free dental care and public transport, expanded welfare, housing and supermarket acquisition. Annual operating allowances to be doubled to between $4.5-4.7bn a year.
Taxation	Land-value tax at 1.75% on urban land and 0.5% on rural land, with specified exemptions and deferrals; personal income-tax rates of 28%, 34% and 39%.	2.5% annual wealth tax on net assets above $10m excluding the family home; capital-acquisitions tax above $1m with exemptions; 45% top income rate; higher company tax for the largest firms; large-bank levy.
Fiscal objectives	Separate operating and investment disciplines; willing to allow debt above 50% of GDP where borrowing funds productive infrastructure.	Raise about $5.1bn net revenue and shift taxation from wages towards wealth and large corporations. Achieve a small operating surplus of $0.4bn in 2029/30, one year later than the PREFU track.
Superannuation/ KiwiSaver	KiwiSaver 2.0 with compulsory employee and employer contributions rising to 6% each; tax-exempt contributions once compulsory and investment-income exemption after 20 years; Citizen's Income plus superannuitant top-ups.	n/a
Labour market	Citizen's Income replaces several main benefits and reduces abatement complexity; R&D and technology-investment incentives; student-loan interest relief to attract returning New Zealanders.	Restore the pay-equity framework, costed at $4.5bn over four years; default union membership with opt-out; stronger worker rights and support for unpaid care work.
Social policy	Citizen's Income for adult citizens/residents replaces several benefits; Child Support Income replaces Working for Families, paid parental leave and Best Start; free public transport.	Free dental care and public transport; expanded school lunches, food grants and food-security funding; stronger welfare protections and major Māori-led investment programmes.
Monetary policy	n/a	n/a
Education	Establish a ten-year cross-party education plan focused on stability, teacher support and modernising learning.	Restore and expand Ka Ora, Ka Ako school lunches to 400 more schools; stronger inclusive public-education and student support.
Housing	Land-value tax and infrastructure borrowing intended to improve land use and housing supply; detailed standalone housing package not identified.	Renters' Rights Bill including a 2% annual rent-rise cap, end no-cause evictions and introduce a rental WOF; more public housing and Home for Life rent-to-buy.
Climate/ environment	Healthy Oceans: move towards ecosystem-based fisheries management, phase out bottom trawling and expand marine protection areas.	Stronger emissions, freshwater and biodiversity rules; publicly owned renewable-energy entity; phase out bottom trawling and protect conservation land from commercial exploitation.
Regional development	Borrow for infrastructure and lift R&D spending to at least 2% of GDP; technology-investment tax credits.	Te Rangatiratanga Trust and community/public investment in housing, energy and ecological restoration; stronger locally led development.
Minerals	n/a	Oppose mining concessions on conservation land and prioritise nature protection, with tighter extraction safeguards.
Agriculture	Lower rural land-value-tax rate; R&D and innovation incentives.	Lower nitrate limits, stronger freshwater and biodiversity protections; family farms exempt from the acquisitions tax; support regenerative and community models.
Regulation	Strengthen competition enforcement, establish lobbying rules and an anti-corruption body, and reform tax and benefit administration.	Stronger labour, rental, environmental and competition regulation; public ownership where markets are judged inadequate.
Infrastructure	Borrow more for productive infrastructure; separate operating and investment rules; free public transport and R&D investment.	Public and community energy, KiwiMart, public housing and major Māori/community funds; stronger public ownership and climate alignment.
Immigration	Pro-immigration settings including a lower skilled-visa salary threshold and regional visas; detailed current package not fully identified.	Residence routes for long-settled migrants; easier employer switching; progressively lift the refugee quota to 5,000 by 2029; stronger family and humanitarian pathways.

Policy area	Te Pāti Māori
Government spending	Substantial expansion of Māori-led health, housing, education and social supports; no consolidated costed spending path identified.
Taxation	Wealth tax and more progressive personal income tax, including a high-income rate in prior policy.
Fiscal objectives	Use the Crown balance sheet and progressive taxation to advance tino rangatiratanga and reduce inequities.
Superannuation/ KiwiSaver	n/a
Labour market	Support Māori-led employment and training, stronger worker protections and equity-focused procurement.
Social policy	Binding Waitangi Tribunal recommendations and an independent Te Tiriti Commission; Māori-led services, food sovereignty and expanded whānau support; Takatāpui Commission backed by $200m over three years.
Monetary policy	n/a
Education	Create a Māori Education Authority and Kōhanga Reo Act; $250m annual kōhanga-refurbishment fund and 20 new kōhanga over three years; expand lunches, student transport and counselling; make te reo Māori core through Year 10.
Housing	Whānau Build: increase Māori share of social housing, make papakāinga development easier and tax persistently vacant homes.
Climate/ environment	$1bn Energy Sovereignty Fund for Māori and community renewable ownership; Māori-led environmental governance and food sovereignty.
Regional development	Devolve funding and decision-making to iwi and hapū; Māori-led housing, energy, agriculture and community infrastructure.
Minerals	Emphasise rangatiratanga, environmental protection and Māori benefit and decision rights over natural resources.
Agriculture	Māori food sovereignty, reject gene editing, and support Māori-led agriculture, land development and procurement.
Regulation	Te Tiriti-based regulation, binding Tribunal recommendations, Māori authorities and equity procurement; stronger worker and environmental protections.
Infrastructure	Māori-led housing, renewable energy, agriculture and community infrastructure; greater iwi and hapū control over funding and delivery.
Immigration	Prioritise local training and Te Tiriti-based immigration settings.

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Westpac Banking Corporation.

WESTPAC WAVE

FIJI ECONOMIC UPDATE AND OUTLOOK

October 2026

HERE FOR GENERATIONS

Fiji's resilience is being tested...

Shamal Chand
Senior Economist, Westpac Pacific Economics

Fiji's economy entered 2026 with growth already normalising from the post-pandemic recovery. Real GDP growth slowed from 3.6% in 2024 to 2.5% in 2025. Foreign reserves started the year around $3.7bn, banking-system liquidity remained high and the RBF maintained its Overnight Policy Rate at 0.25%.

Activity so far into 2026 has been somewhat stronger than what we feared. Visitor arrivals reached 762,352 during January–September, up 3.7%yr, while construction, investment lending, cement sales, remittances and private-sector credit remained firm. Nevertheless, Westpac Fiji has kept its 2026 growth forecast unchanged at 2.0%. Stronger headline indicators are not translating one-for-one into real economic growth because higher prices and intermediate costs are absorbing a growing share of nominal activity.

The outlook changed materially in March as the Middle East conflict disrupted global energy markets. Fiji remains heavily dependent on imported petroleum products, so higher refined-fuel, freight and insurance costs flowed through transport, electricity, food distribution and wider business expenses. By June, motor spirit price reached $3.93/litre and diesel at a record $4.58/litre, while automotive-fuel sales value rose 24.4%yr in the June quarter.

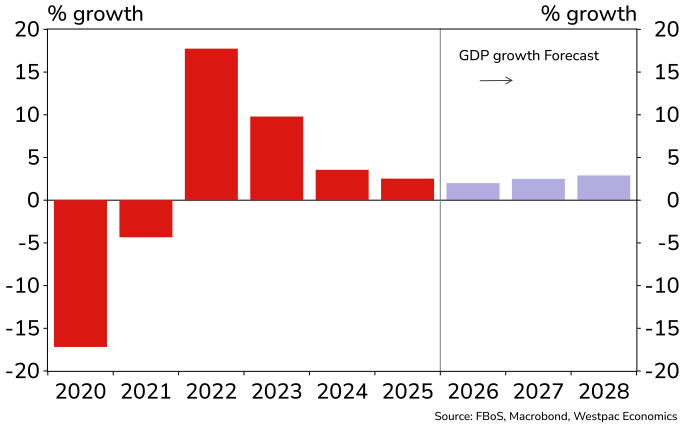
As this report goes out, the Middle East conflict remains a key external downside risk. At least 12 vessels were attacked in the week ending 16 October and yet it is reported that oil flows through Hormuz averaged 11.6mn barrels per day to 13 October, about 68% of pre-war levels through alternative and costly routes. Iran says a seven-day reopening proposal remains available, but US-Iran negotiations remain unresolved.

Westpac Economics' most recent scenario analysis "Persistent energy pressures have further to run" indicates that relief will be gradual. Brent crude is forecast to average US$101/bbl in Q4 2026 before easing through 2027. Refined products are expected to normalise more slowly because refinery capacity, inventories, freight and insurance remain constrained. Under Westpac's escalation scenario, in a return to open conflict Brent could reach around US$150/bbl in H1 2027.

Domestic tourism sector demonstrates the nominal-versus-real growth tension. June-quarter visitor arrivals increased to 287,588, yet earnings fell 4.9%yr to $708.1mn. First-half tourism earnings declined 1.7%yr despite higher arrivals, even though hotel takings increased 9.5%yr.

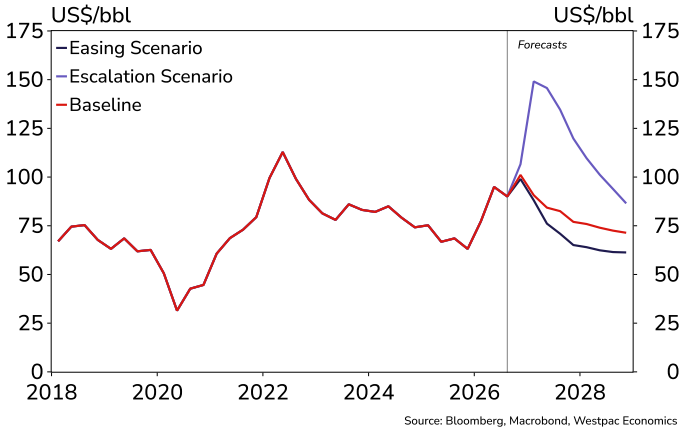
Australia and New Zealand remain critical, together contributing around 71% of September arrivals. Westpac expects Australian growth to slow from 2.1% in 2026 to 1.5% in 2027, while New Zealand strengthens from 1.9% to 2.6%. Tourism therefore increasingly needs to focus on yield rather than visitor numbers alone.

Fiji stays resilient



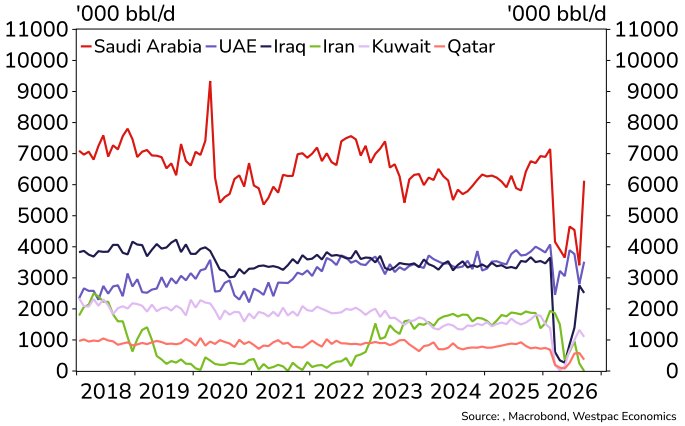
Source: FBoS, Macrobond, Westpac Economics

Oil Price Scenarios



Source: Bloomberg, Macrobond, Westpac Economics

Monthly Oil Exports



Source: , Macrobond, Westpac Economics

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...but the buffers are still doing the heavy lifting...

There are good reasons why growth held up despite these shocks. Construction work put in place reached $155.9mn in the June quarter, up 8.6%yr, while investment lending, cement sales and construction-related imports subsequently remained strong. Industrial production increased 1.5%yr, although performance remained uneven across industries.

Inward personal remittances have been particularly impressive, reaching $1.2bn during January–August, up 32.7%yr. We expect remittances to reach $1.55bn this year. These inflows, with strong diaspora support, are helping households absorb higher living costs while simultaneously supporting Fiji's external position.

However, the external accounts show the cost of this resilience. Fiji's merchandise trade deficit widened to $2.9bn in the first half, with imports reaching $4.3bn against exports of $1.4bn. Mineral-fuel imports alone reached around $1.2bn, up 57%yr. Foreign reserves nevertheless recovered to approximately $4.09bn **by end-September, equivalent to 5.7 months of retained imports**, also supported by Government's external loan draw-down.

Our in-house import-demand indicator is signalling softer domestic momentum. Import activity over the three months to September was down 21.3%yr and fell 39.8% compared with the preceding three months. The broader six-month measure declined at a more moderate 16.1% annualised pace. While volatile, the trend adds to our view that higher prices are weighing on real activity, despite continued strength across tourism, remittances, credit and construction.

Headline inflation reached 7.6%yr in August before easing to 6.8% in September, with transport prices up 12.2%yr and food prices up 7.6%. Our latest forecast has November inflation around 8.0%yr, average inflation around 4.3% for 2026 and December (year-end) inflation at 7.4%.

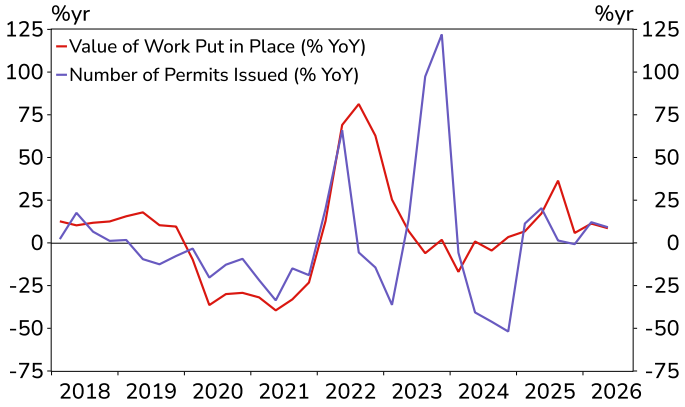
Higher fuel prices are no longer affecting only households. The shock is moving through freight, electricity, agriculture, construction materials and wider supply chains. For instance, we note recent increases in taxi and bus fares. These higher intermediate costs compress business margins and reduce household purchasing power.

This also informs our 2027 view. Westpac Fiji has downgraded its 2027 growth forecast to 2.5%, reflecting the prevailing effects of the energy crisis, elevated refined-fuel prices and the broader transmission of higher intermediate costs into next year. Westpac's global outlook supports this caution: crude prices are expected to ease gradually, but refined products could remain comparatively expensive for longer.

Renewable energy is increasingly important because the fuel crisis has put a clear economic price on Fiji's imported-energy dependence. The faster Fiji prioritises a shift to renewable energy, the sooner it can establish a more stable energy foundation.

El Niño creates an additional risk through agriculture, hydro generation and food prices. The buffers remain meaningful, but they are being asked to work significantly harder.

Fiji's construction sector stays positive



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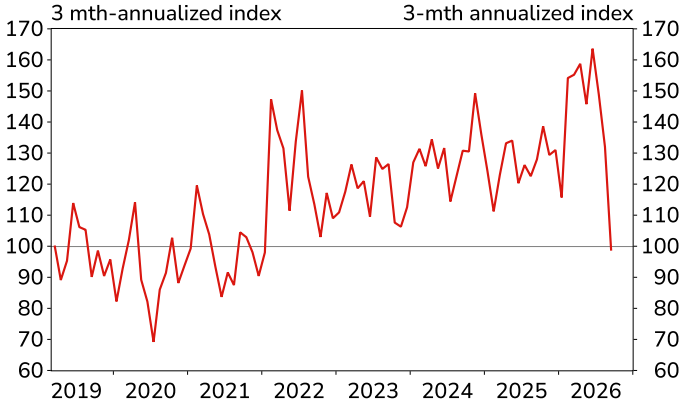
Fiji's import demand activity



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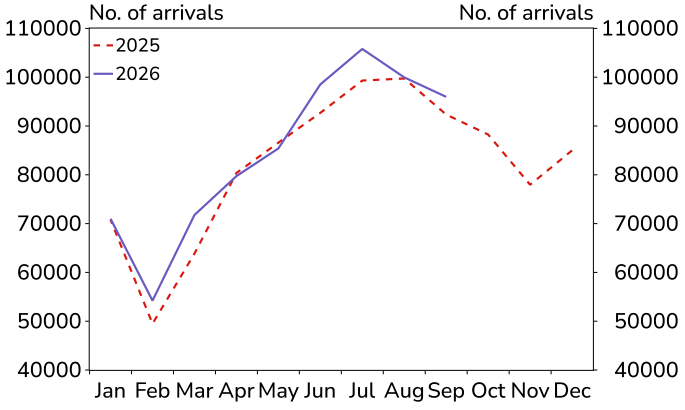
Visitor arrivals up 3.7%



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...as risks converge

Government finances add another dimension to the outlook. The FY2025/26 deficit came in at $597.9mn, or 4.3% of GDP, substantially better than originally budgeted.

Nevertheless, financing requirements are substantial. Government plans to raise $1.48bn in FY2026/27, comprising $1.046bn in deficit financing and $436.3mn refinancing. Around $853.9mn to be domestically sourced and $627.95mn externally, including a $444mn ADB policy-based loan in November.

Domestic yields therefore deserve closer attention. Fiji's government yield curve has steepened considerably, with the adjustment concentrated beyond 10 years. While the 10-year yield remained at 3.90%, the 20-year yield rose by 80 basis points between July 2025 and September 2026 to 5.80%. The 25-year yield increased even more sharply, climbing from 5.94% to 7.19% after peaking at 7.25% in mid-2026.

Pressure is also emerging at the short end. The Government's 20 October Treasury Bill tender offered $50mn across three-, six- and 12-month maturities. Investors bid for the full amount, but sought yields of 0.35%, 0.60% and 1.30%, respectively, above the listed yields of 0.30%, 0.55% and 1.25%. Government did not accept the higher yields, leaving the entire $50mn offer unallocated. This suggests investors are increasingly seeking better returns even on shorter-dated Government securities.

The financial system still provides considerable protection. Banking-system liquidity stood around $2.28bn at end-September and the RBF maintained its OPR at 0.25%. In August, the weighted-average lending rate was 4.51%, the savings-deposit rate 0.31% and the time-deposit rate 2.01%.

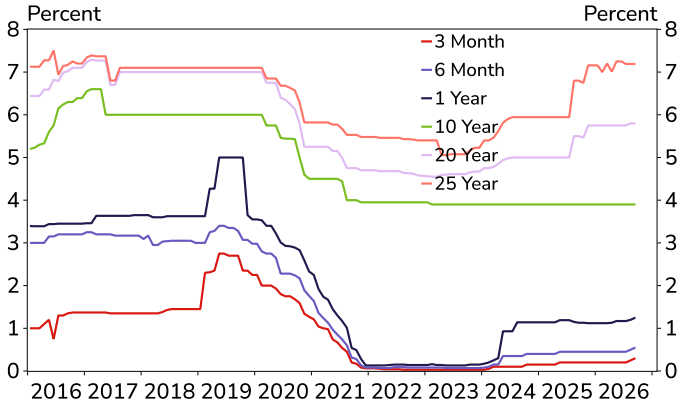
For now, high liquidity limits immediate crowding-out risks. Higher government yields may encourage banks and institutional investors to allocate more funds towards government securities. If liquidity subsequently tightens, deposit rates may need to rise to retain savings, adding pressure to bank funding costs and eventually lending rates.

S&P's decision to maintain Fiji's B+/B ratings but revise the outlook from stable to negative reinforces the importance of debt sustainability, investor confidence and credible medium-term fiscal consolidation.

Political uncertainty adds another layer, with ongoing public debate on constitutional amendments and the general election due by 6 February 2027.

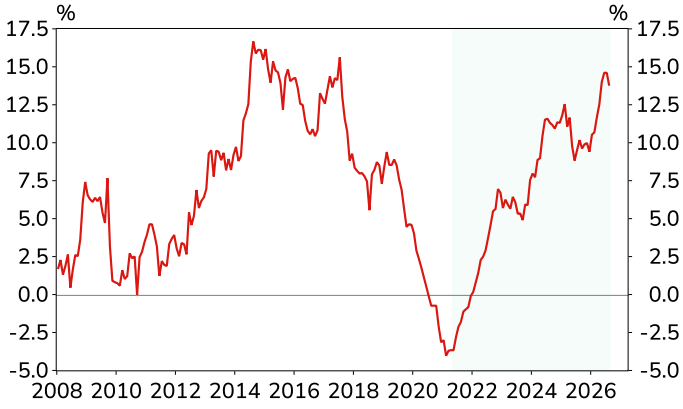
This brings us back to the growth story. We have maintained 2026 growth at 2.0% because resilient tourism, remittances, construction and investment are being offset by unexpectedly high inflation and intermediate costs. Our downgrade of 2027 growth to 2.5% recognises that this adjustment will take longer than previously expected, while fiscal, financial, energy, climate and political risks increasingly overlap.

Fiji Government yields



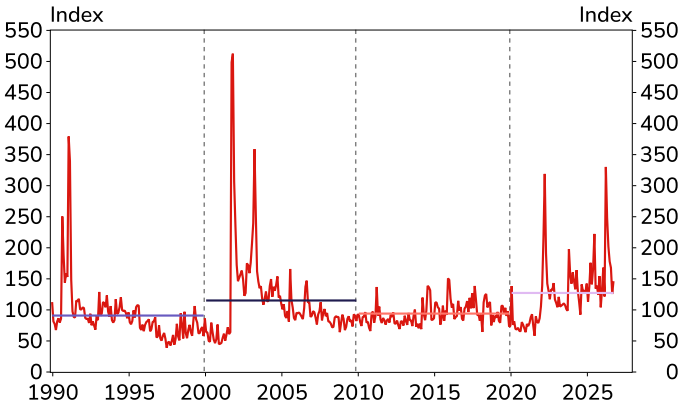
Source: RBF, Macrobond, Westpac Economics

Private sector credit growth



Source: RBF, Macrobond, Westpac Economics

Geopolitical Risk Index



Source: Matteo Iacoviello, Macrobond, Westpac Economics

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Fiji medium-term outlook

Sector growth (%)	2021	2022	2023	2024	2025	2026f	2027f	2028f
Primary	9.1	3.0	3.8	4.7	0.7	2.5	2.3	2.7
Industry	-8.8	10.2	2.9	3.5	1.5	0.8	1.2	2.3
Services	-6.9	25.1	13.3	3.3	3.2	2.1	2.9	3.0
Net taxes	-4.3	17.7	9.8	3.6	2.5	2.0	2.5	2.9
Real GDP	**-4.3**	**17.7**	**9.8**	**3.6**	**2.5**	**2.0**	**2.5**	**2.9**
Other key indicators								
Inflation (average)	1.5	6.1	3.0	3.9	-1.4	4.3	5.5	3.0
Inflation (year-end)	5.6	4.3	4.8	-0.2	0.0	7.4	3.0	3.0
Visitor Arrivals	31,618	636,312	929,740	982,938	986,367	1,023,291	1,043,757	1,064,632
Inward Remittances ($ million)	846	1,041	1,253	1,329	1,323	1,550	1,716	1,900

Source: Westpac Pacific Economics

Exchange rate forecasts (FJD majors)

FJD vs	Latest	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
DXY index	102.55	100.4	98.9	97.5	96	95.2	94.3	94.1	94.6	94.5
USD	0.4426	0.45	0.45	0.46	0.46	0.46	0.46	0.46	0.46	0.46
AUD	0.6356	0.62	0.62	0.63	0.63	0.63	0.63	0.64	0.64	0.64
EUR	0.3952	0.39	0.39	0.39	0.38	0.38	0.38	0.38	0.38	0.38
JPY	69.94	70	69	70	70	70	69	69	68	68
NZD	0.7818	0.80	0.78	0.75	0.73	0.72	0.72	0.72	0.71	0.71
PGK	1.9777	2.01	2.09	2.11	2.07	2.04	1.99	1.94	1.91	1.87
GBP	0.3320	0.33	0.33	0.33	0.33	0.33	0.33	0.33	0.33	0.33
TOP	1.0637	1.06	1.05	1.06	1.06	1.06	1.06	1.05	1.05	1.05
VUV	51.70	51	51	52	52	52	52	52	52	52
WST	1.2129	1.21	1.21	1.21	1.22	1.22	1.22	1.22	1.22	1.22

Source: Westpac Economics Market Outlook

Commodity forecasts (quarter average)

Commodities	Latest	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
crude oil (US$bbl) Brent	103	101	91	84	83	77	76	74	73	71
LNG in Japan US$mmbtu	25.9	24.5	23.5	19.0	16.0	14.0	12.8	12.4	12.0	11.7
gold (US$/oz)	4,149	4,350	4,250	4,100	4,050	4,000	4,010	4,040	4,070	4,090
Softs										
NZ dairy price index	319	324	329	331	334	339	342	344	345	347
NZ forestry price index	168	159	160	160	160	161	161	162	163	164
Sugar#11 c/lb	20.45	19.50	18.50	18.88	18.23	18.00	17.75	17.50	17.25	17.00

Source: Westpac Economics October Market Outlook

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Cost pressures move beyond the pump

Inflation has emerged as a key pressure point for Fiji, threatening to erode gains from otherwise resilient domestic activity. Headline inflation accelerated to 6.8%yr in September, driven by essentials: food prices rose 7.6%yr, transport increased 12.2%yr and housing and utilities were 4.9% higher. The underlying picture remains less severe, with prices declining 0.4%mth in September and annual-average inflation at 1.9%. Nevertheless, the acceleration suggests the global fuel shock is increasingly working its way through the domestic economy.

The import-price pipeline reinforces this view. Import prices increased 4.9%qtr and 4.4%yr in the June quarter, including a 15.4%yr rise in mineral-product prices as petrol, diesel and aviation-fuel costs increased. Export prices rose 6.2%yr, although the terms of trade eased 0.6%qtr. Elevated energy costs are also spreading beyond the pump. Transport-services producer prices increased 2.7%qtr in June, while building-material prices rose 1.5%qtr in September, signalling broader pressure across distribution, construction and services.

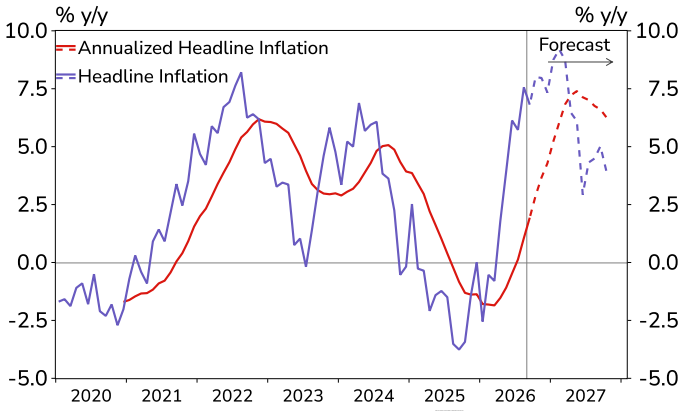
Fuel-price pressures intensified again in October, when regulated unleaded prices in Viti Levu increased to $3.15/litre and diesel rose by 21 cents to $3.41/litre. Prices nevertheless remain below their June peaks. Our indicative estimates point to further increases in fuel prices over the coming months.

The global outlook offers little immediate relief. Westpac Economics expects Brent to average US$101/bbl in Q4 2026 before easing to US$77/bbl by Q4 2027, but refined fuels are expected to ease more slowly as refinery supply remains more constrained, while shipping, insurance and inventory pressures gradually normalise. Westpac's Australian forecasts provide some regional context, with diesel and petrol expected to average 274c/l and 230c/l, respectively, in Q4 before declining through 2027.

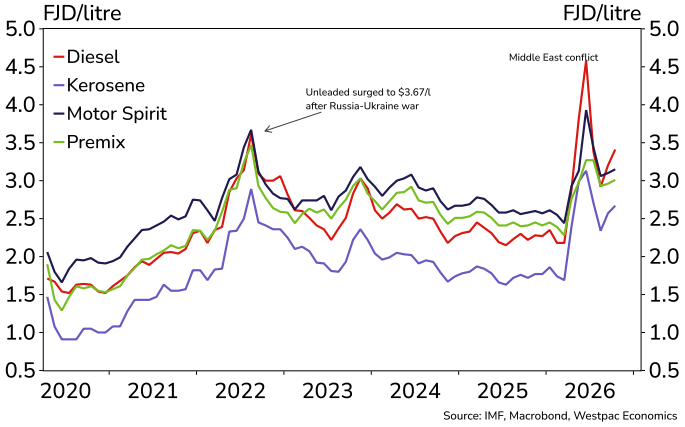
For Fiji, the distinction between crude and refined-product prices is important. Singapore gasoil prices, freight and insurance costs are expected to remain elevated and ease only gradually through 2027, meaning lower Brent prices may not translate immediately into cheaper imported fuel. Higher diesel costs feed into freight, construction, agriculture and distribution, while aviation-fuel pressures add to airline operating costs and tourism-sector margins. Repeated shocks increase the likelihood that businesses eventually pass more of these costs on to consumers, particularly through food and other essentials.

We consequently expect inflation to remain elevated through year-end, rising towards 8.0% in November before easing to 7.4% in December, taking annual-average inflation to around 4.3%. The concern is increasingly that an imported fuel shock develops into broader cost-push inflation into next year. The squeeze on real purchasing power makes inflation an increasingly important downside risk to Fiji's growth outlook heading into 2027.

Headline inflation surges to 6.8% in Sept

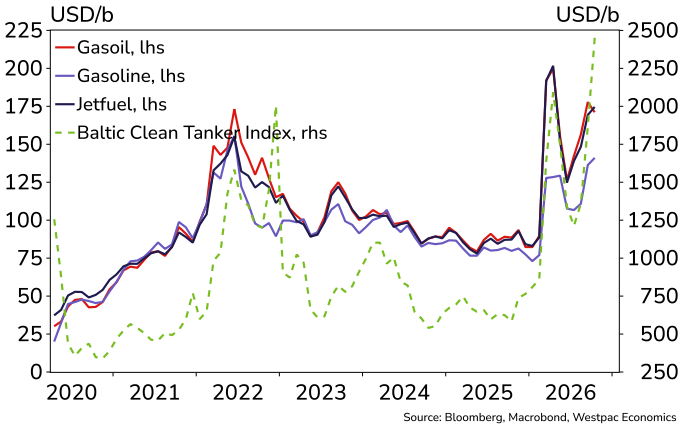


Fiji domestic fuel price



Source: IMF, Macrobond, Westpac Economics

Global Refined Fuel Price



Source: Bloomberg, Macrobond, Westpac Economics

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S&P negative outlook is concerning

Fiji's sovereign credit profile has come under renewed pressure recently, adding another layer of caution to an economy already navigating softer real growth and elevated external risks.

S&P maintained Fiji's long-term rating at B+ and short-term rating at B but revised the outlook from Stable to Negative. While not a downgrade, it signals increased risk if fiscal and debt metrics deteriorate. Historically, four of Fiji's six negative outlooks since 2006 have resulted in downgrades, typically during periods of major economic or fiscal stress. Similar vulnerabilities are resurfacing, with rising government expenditure and guarantees, alongside Middle East tensions and inflationary pressures.

The key concern is fiscal. S&P viewed the 2026/27 Budget as more expansionary than previously expected, effectively slowing the fiscal consolidation achieved in previous years. It projects the fiscal deficit to average 4.6% of GDP over 2027–29, including 4.9% in FY2027, with net government debt moving above 70% of GDP. Once contingent liabilities are incorporated, the broader public-sector exposure approaches 80% of GDP. This leaves considerably less fiscal space to absorb another major domestic or external shock.

In S&P's latest assessment, contingent liabilities are becoming increasingly important to the sovereign risk story. Government exposure through guarantees and other contingent liabilities adds to the broader fiscal risk, while a widening current account deficit, elevated imports and rising external debt reinforce the risks surrounding the outlook. For Fiji, this matters because the next phase of growth will require substantial investment in infrastructure, climate resilience and productive capacity.

The negative outlook therefore strengthens the case for a more credible medium-term fiscal consolidation path by the Fiji Government. S&P indicated that the outlook could return to Stable if economic growth and tourism outperform its forecasts, resulting in narrower fiscal deficits and lower debt ratios, or if improvements in institutional and policy settings sustainably strengthen fiscal outcomes and debt levels.

Importantly, the assessment across rating agencies is not uniformly negative. Moody's maintained Fiji's B1 long-term issuer rating with a Stable outlook, suggesting that despite significant structural and fiscal challenges, the overall credit profile remains broadly unchanged and risks remain balanced.

A future downgrade would likely reinforce perceptions of higher sovereign risk just as Fiji requires greater private and foreign investment. Maintaining fiscal credibility, containing contingent liabilities and ensuring that new borrowing supports productivity-enhancing investment will be increasingly important. With elevated uncertainty, climate vulnerability and external shocks remaining additional downside risks, the room for further fiscal slippage is becoming increasingly limited for the Fijian Government.

S&P negative outlooks have often preceded downgrades

Four of six historical negative-outlook observations were followed by a lower rating at the next recorded S&P action

4 of 6
ended in downgrade

NEGATIVE OUTLOOK / WATCH	NEXT RECORDED S&P ACTION	OUTCOME
2 Nov 2006 BB– • Negative watch	7 Nov 2006 Rating: B+	DOWNGRADE
7 Nov 2006 B+ • Negative watch	15 Mar 2007 Rating: B	DOWNGRADE
15 Mar 2007 B • Negative	12 Nov 2007 Rating: B	NO DOWNGRADE
26 Feb 2009 B • Negative	15 Apr 2009 Rating: B–	DOWNGRADE
15 Apr 2009 B– • Negative	15 Dec 2009 Rating: B–	NO DOWNGRADE
18 Jun 2020 BB– • Negative	22 Sep 2021 Rating: B+	DOWNGRADE
14 Sep 2026 B+ rating affirmed • Outlook changed Stable → Negative		?

The message
S&P could affirm the current rating if the economy performs better than expected, supported by clearer fiscal and public debt evidence.

Source: S&P Global Ratings and Westpac Pacific Economics

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The threat of a "very strong" El Niño

It is the year of the 'very strong' El Niño, and for Fiji the risk is no longer just on the horizon. Dry conditions are already affecting parts of the country, while the Government has stepped up preparations for a potentially more difficult period ahead.

History suggests this matters for the broader economy because prolonged drought can simultaneously affect agriculture, water supply and electricity generation before flowing through food prices, imports, rural incomes and ultimately growth.

Our rainfall analysis covering 1981–2025 shows that rainfall during El Niño periods was 24.7% lower than under neutral conditions nationally, with all four regions recording historical deficits above 20%.

During the 1982–83 El Niño, severe drought coincided with Cyclone Oscar and a weak global economy. Historical estimates highlight that Fiji's economy contracted by 4.0%, against a pre-disaster forecast of 2.7% growth during the super El Niño period then. The 1997–98 episode was more severe. By 1998 the cane crop was forecast at just 1.88mn tonnes, producing around 150,000 tonnes of sugar. Historical estimates used here indicate cane production fell around 26%, contributing to an aggregate GDP contraction of at least 1.3%. Fiji also devalued the dollar by 20% in January 1998 amid the overlapping Asian Financial Crisis.

The social cost was significant. In 1998, around 27,562 households needed food relief and 47,592 were already receiving emergency water supplies according to some surveys. The 2015–16 episode again brought crop losses and drying water supplies.

The effects are beginning to show

The current event is already leaving a footprint. September rainfall was drier than usual across the Western, Central and Eastern divisions and most of the Northern Division, while several Western Division stations recorded less than 100mm.

More recent monitoring points to serious or very dry conditions across parts of Vanua Levu, Taveuni, Lomaiviti, Yasawa, Lau and other areas. Local effects are becoming tangible. Taveuni had already required assistance with water carting in September, while NDRMO reported that Fiji was experiencing meteorological drought and warned it could progress towards hydrological and agricultural drought if conditions continued.

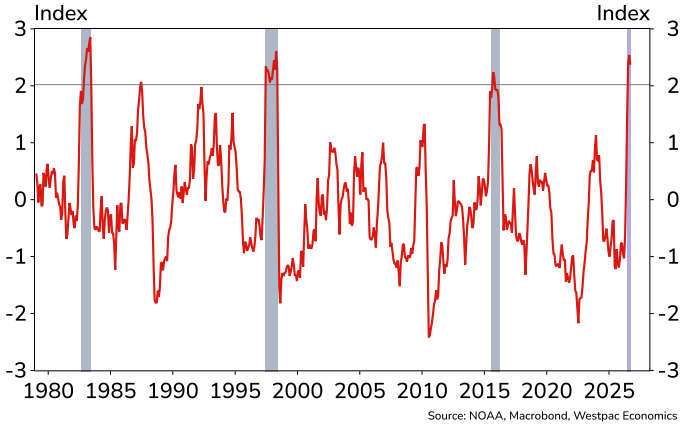
The Government's response has consequently shifted towards preparedness. The National Disaster Risk Management Council is reviewing the National El Niño Preparedness and Response Plan. Humanitarian clusters were also instructed to prepare contingency plans for consolidation and presentation to Cabinet, while NDRMO has been working with Energy Fiji Limited and the Water Authority of Fiji to assess emerging risks.

This marks a progression from earlier in the year. In August, our assessment was that the FY2026–27 Budget contained no explicit El Niño preparedness measure, implying much of the initial response would need to occur through existing institutional arrangements.

The economic transmission remains important. Agriculture feels reduced rainfall first through weaker soil moisture and water availability. Lower domestic food production can then lift prices and import requirements. Electricity provides another channel as weaker hydro generation could require increased thermal generation and imported fuel, adding to higher production costs and foreign-exchange outflows. And Fiji has less room for another supply-side shock.

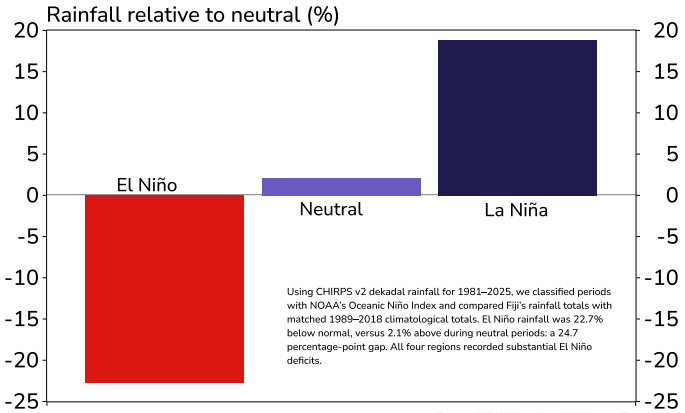
Fiji is more diversified than during the droughts of the 1980s and 1990s, while its reserve position provides an important buffer. But financial buffers cannot replace rainfall, agricultural production or water supplies.

Super El Niño



Source: NOAA, Macrobond, Westpac Economics

El Niño leads to severe loss of rainfall



Source: HDX, Macrobond, Westpac Economics

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Why is 'foreign reserves' so important for Fiji?

Foreign reserves remain one of the most closely watched indicators of Fiji's economic health. At the end of September, reserves stood at around $4.1 billion, equivalent to 5.7 months of retained imports. The figure features prominently in Reserve Bank reporting, and for good reason.

For a small, import-dependent economy operating a managed exchange-rate regime, reserves provide an important buffer against external shocks.

In simple terms, foreign reserves can be thought of as Fiji's foreign-currency savings account. Fiji earns foreign exchange through tourism, remittances, exports, foreign investment and external borrowing. At the same time, foreign currency is required to pay for imports, service external debt and meet other overseas obligations. When foreign-currency inflows exceed outflows, reserves generally rise. When the reverse occurs, reserves come under pressure.

The analogy is not perfect, but it highlights why reserves matter. Unlike some larger economies, Fiji cannot simply rely on its exchange rate to absorb external shocks. The Fiji dollar is managed against a basket comprising the Australian, US and New Zealand dollars, the euro and the Japanese yen. This provides a degree of exchange-rate stability and predictability for households and businesses, but it also means that foreign reserves are needed to effectively provide a shock absorber for the economy.

There is also an important connection with domestic financial conditions. Our analysis suggests that before July 2020, every $1 million increase in reserves was associated with around $0.31 million in additional banking-system liquidity. Since then, the relationship has strengthened substantially to around $0.83 million. Following the pandemic, external borrowing, grants, remittances and the recovery in tourism helped lift foreign-exchange inflows and thus banking liquidity, while government expenditure and limited sterilisation further contributed to abundant domestic liquidity.

This highlights an important policy trade-off. Economists refer to the "impossible trinity", where an economy cannot simultaneously maintain a fixed or tightly managed exchange rate, completely free capital movement and fully independent monetary policy. Fiji's framework therefore relies on a combination of foreign reserves, monetary-policy settings, exchange controls and broader market management to maintain stability.

Those controls, however, are not without cost. Restrictions on moving capital offshore limit the flexibility available to households, foreign investors and Fiji-based businesses.

A deeper question is therefore whether Fiji could eventually move towards a more flexible exchange-rate framework.

Probably, but not yet. Greater exchange-rate flexibility could theoretically allow the currency itself to absorb more of an external shock. But that requires considerably deeper financial markets than what Fiji presently has. Foreign-exchange trading remains relatively shallow, secondary-market activity in government securities is limited, while instruments that allow businesses to hedge currency risk are significantly underdeveloped.

There is also an important transmission issue. A weaker Fiji dollar could theoretically improve export competitiveness, but the benefits would take time. Merchandise exports remain constrained by domestic production capacity, while tourism is also influenced by available capacity and advance bookings. Higher import prices, by contrast, would flow through much faster. Given Fiji's heavy reliance on imported fuel, food, machinery and other goods, currency depreciation would quickly add to inflation and business costs.

The experiences of Australia and Singapore offer two useful perspectives.

Australia floated its dollar in 1983 alongside broader financial-sector liberalisation and market development. Singapore followed a different path. Despite possessing a highly developed financial system, it continues to manage its currency against a basket, with the exchange rate occupying a central role in monetary policy.

For Fiji, the lesson is not that one exchange-rate regime is necessarily superior to another. Rather, greater flexibility requires deeper markets and stronger transmission mechanisms. Developing the foreign-exchange market, domestic capital markets and currency-risk management instruments therefore needs to precede any significant shift in the present regime.

Until then, foreign reserves will remain much more than another number in the RBF's monthly statistics. It acts as a buffer against external shocks, help underpin confidence in the Fiji dollar and provide the economy with room to continue paying for essential imports when foreign-currency inflows weaken. At $4.1 billion, the reserve position remains comfortable, but maintaining that buffer remains fundamental to Fiji's macroeconomic stability.

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Interest rate forecast

Economies	Latest	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
Australia										
Cash	4.60	4.85	4.85	4.85	4.60	4.35	4.10	3.85	3.85	3.85
10-year Bond	5.16	5.20	5.15	5.10	5.05	5.05	5.00	5.00	5.00	5.00
United States										
Fed Funds	3.875	4.125	4.125	4.125	4.125	4.125	3.875	3.625	3.625	3.625
10-year Bond	4.97	5.05	5.00	4.95	4.90	4.95	5.00	5.05	5.10	5.15
New Zealand										
Cash	2.75	3.00	3.50	3.75	4.00	4.00	4.00	4.00	3.75	3.75
10-year Bond	4.90	5.00	5.00	5.00	5.05	5.05	5.05	5.05	5.05	5.05

Source: Westpac Economics Market Outlook

Exchange rate forecasts (majors)

Majors	Latest	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
DXY index	102.55	100.4	98.9	97.5	96	95.2	94.3	94.1	94.6	94.5
AUD/USD	0.6946	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
NZD/USD	0.5653	0.56	0.58	0.61	0.63	0.64	0.64	0.64	0.65	0.65
USD/JPY	157.83	156	154	153	152	151	150	149	148	146
EUR/USD	1.1230	1.14	1.16	1.18	1.20	1.21	1.22	1.22	1.21	1.21
GBP/USD	1.3303	1.34	1.35	1.36	1.38	1.39	1.40	1.41	1.41	1.40
USD/CNY	6.6891	6.65	6.60	6.50	6.45	6.4	6.35	6.35	6.30	6.30
AUD/NZD	1.2288	1.27	1.24	1.20	1.16	1.15	1.13	1.12	1.12	1.11

Source: Westpac Economics Market Outlook

Economic growth forecasts (year average)

Country	2021	2022	2023	2024	2025f	2026f	2027f	2028f
World	6.7	3.8	3.3	3.4	3.4	3.4	3.3	3.3
United States	6.2	2.5	2.9	2.8	2.1	2.3	1.9	1.9
China	8.4	3.1	5.4	5.0	5.0	4.7	4.6	4.4
Japan	3.6	1.3	0.7	-0.2	1.1	0.7	0.8	0.9
India	9.7	7.6	7.2	7.1	7.6	7.1	7.0	6.6
Europe	6.4	3.7	0.5	0.9	1.3	0.9	1.2	1.5
Australia	5.4	4.2	2.1	1.0	2.0	2.1	1.5	2.1
New Zealand	5.5	2.6	2.2	-0.3	0.3	1.9	2.6	3.2

Source: Westpac Economics Market Outlook

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4 November 2026

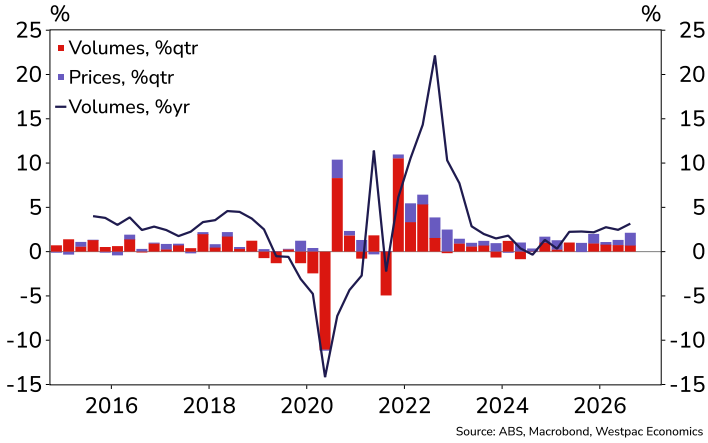
HOUSEHOLD SPENDING INDICATOR BULLETIN

Spending resilient despite headwinds

Key points

- Household spending rose 0.6%mth in September, returning to growth after August's brief decline. Q3 spending increased 2.1%qtr, while volumes rose a more subdued 0.7%qtr, pointing to a sharp acceleration in price growth through the quarter.
- Services spending rebounded and goods spending remained supportive. Non-discretionary spending outperformed discretionary categories, with higher fuel spending providing significant support.
- In real terms, spending growth over the quarter was led by transport but with most other categories also recording gains. All states except Tasmania recorded positive volume growth in Q3, led by WA and Victoria.
- Today's volumes outcome was broadly in line with expectations and consistent with our consumption outlook ahead of the Q3 National Accounts (due 2 December).

Quarterly spending volumes and prices



Source: ABS, Macrobond, Westpac Economics

Q3 real household spending: 0.7%qtr, 3.2%yr

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Spending returns to growth in September

Luka Belobrajdic
Economist

The monthly household spending indicator rose 0.6%mth in September (nominal), exceeding both Westpac and market expectations. We had anticipated a 0.5%mth contraction (on the basis of a softer read on vehicle sales in the month), while the market had pencilled in a 0.2%mth rise. Today's result instead marks a return to growth following August's brief contraction (revised down 0.1ppt to –0.1%mth), with annual growth strengthening to 6.8%yr. For Q3 as a whole, nominal spending rose 2.1%qtr, the strongest quarterly result since the December quarter of 2022. In real terms, volumes increased a more subdued 0.7%qtr, pointing to a sharp acceleration in price growth through the quarter.

Non-discretionary spending outperforms

By broad category, services spending more than reversed last month's decline, rising a solid 1.1%mth (+6.8%yr). Goods spending held around its recent pace, increasing 0.3%mth (+6.7%yr). Discretionary spending returned to growth in September, rising 0.3%mth (+6.9%yr), although this failed to fully unwind August's decline.

The relative strength in non-discretionary spending observed last month continued into September, with the category rising 1.2%mth (+6.5%yr). While the headline result was stronger, the breakdown aligns with findings from our **Westpac–DataX Card Tracker**, and **Westpac-DataX Consumer Panel** which show discretionary goods continuing to underperform other categories (see here and here).

At the detailed level, transport and health led the gains, both rising 1.5%mth. The increase in transport spending was largely attributable to higher fuel spending, up 5.4%mth, reflecting elevated fuel prices, with volumes down 2.2%mth. The ABS also noted higher spending on vehicle repairs and maintenance, while domestic air travel increased as households travelled to attend major sporting events. Recreation & culture rose 0.8%mth, while miscellaneous goods & services (+0.6%mth), hotels, cafes & restaurants (+0.5%mth), and clothing & footwear (+0.1%mth) also recorded gains.

Partially offsetting these increases, food spending declined 0.1%mth, while furnishings & household equipment fell 0.2%mth, likely reflecting the ongoing weakness in housing turnover (see here). Alcoholic beverages & tobacco recorded the largest decline, falling 0.7%mth.

State outcomes were positive across the board in September. WA led the gains, rising 1.1%mth and reversing last month's decline. Victoria also rebounded (+1.0%mth), while Queensland (+0.6%mth), SA (+0.6%mth), Tasmania (+0.5%mth) and NSW (+0.3%mth) all recorded increases.

Household spending indicator – September 2026

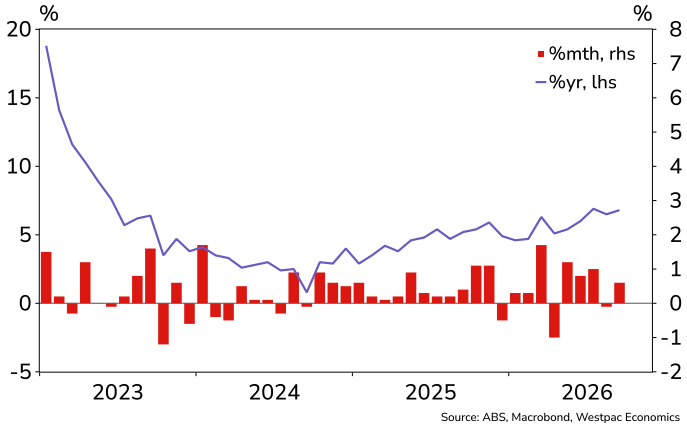
	$bn	% chg mth		% chg yr	
	Sep-25	Jun-25	Sep-25	Jun-25	Sep-25
sa	82.61	-0.1	0.6	6.5	6.8
trend	82.37	0.5	0.4	6.2	6.0

Chained volumes – Q3 2026

	real $bn	% chg qtr		% chg yr	
	Q3	Q2	Q3	Q2	Q3
sa	234.56	0.7	0.7	2.5	3.2

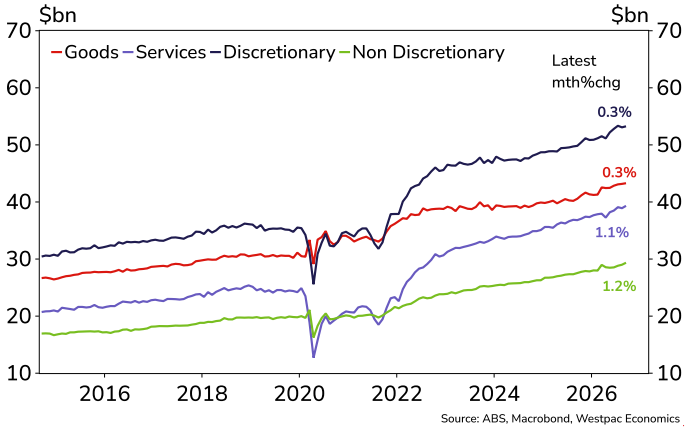
Source: ABS, Macrobond, Westpac Economics.

Monthly Household Spending Indicator Growth



Source: ABS, Macrobond, Westpac Economics

Goods, services, discretionary & non-discret.



Source: ABS, Macrobond, Westpac Economics

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Volume growth remains firm

Nominal spending rose a firm 2.1%qtr in Q3, while volumes increased a more subdued 0.7%qtr, matching the pace recorded in Q2. This implies a sharp acceleration in price growth to 1.4%qtr, from 0.6%qtr in Q2, and marks the strongest quarterly increase in prices since the December quarter of 2022. Through the year, volume growth strengthened to 3.2%yr, remaining well above the 1.8%yr average recorded through 2025.

Transport led gains in volume terms, rising 1.6%qtr, likely partly reflecting base effects in air travel following disruptions associated with the Middle East conflict in the June quarter. Clothing & footwear (+1.2%qtr), health (+1.1%qtr), miscellaneous goods & services (+1.1%qtr), food (+0.5%qtr), recreation & culture (+0.5%qtr), and furnishings & household equipment (+0.1%qtr) also recorded increases. Hotels, cafes & restaurants spending declined 0.1%qtr in volume terms, while alcoholic beverages & tobacco was the main drag, falling 1.2%qtr.

Most states recorded real spending growth over the quarter, led by WA (+1.4%qtr), Victoria (+0.9%qtr), NSW (+0.5%qtr), Queensland (+0.5%qtr) and SA (+0.4%qtr). Tasmania lagged its state peers, recording a 0.1%qtr decline.

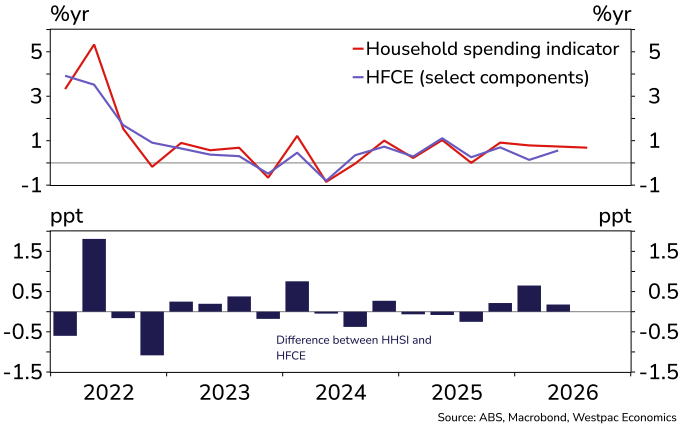
Conclusion

The household spending indicator provides a useful guide to around two-thirds of total consumer expenditure. Importantly, it excludes several major categories included in the National Accounts measure of real household consumption, including rents and utilities.

Today's volumes outcome was broadly in line with our expectations, with Westpac anticipating around a 0.6%qtr rise in Q3, and remains consistent with our view on consumption ahead of the Q3 National Accounts (due 2 December). However, this will likely be the high water mark for spending. The renewed deterioration in global energy markets and the cumulative effect of four rate increases over the first three quarters of the year are likely to weigh more heaveily on household spending in Q4.

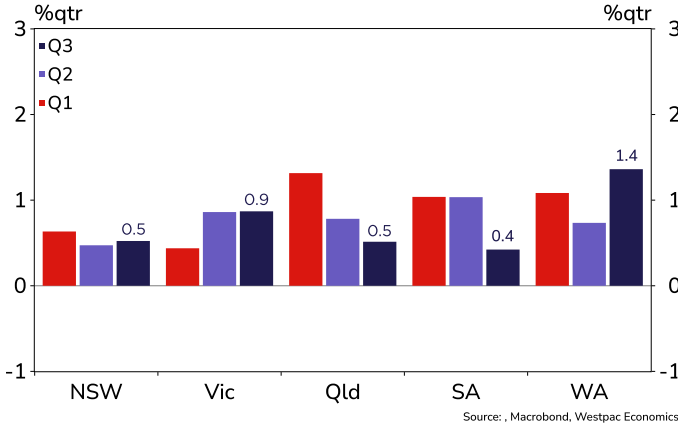
Looking further ahead, households will continue to face a restrictive monetary policy environment, with the RBA delivering an additional rate increase at yesterday's November meeting (see here). Combined with persistent consumer pessimism, ongoing cost-of-living pressures (see here) and a housing downturn impacting household wealth, spending looks set to slow further in 2027.

Household spending indications vs nat accs



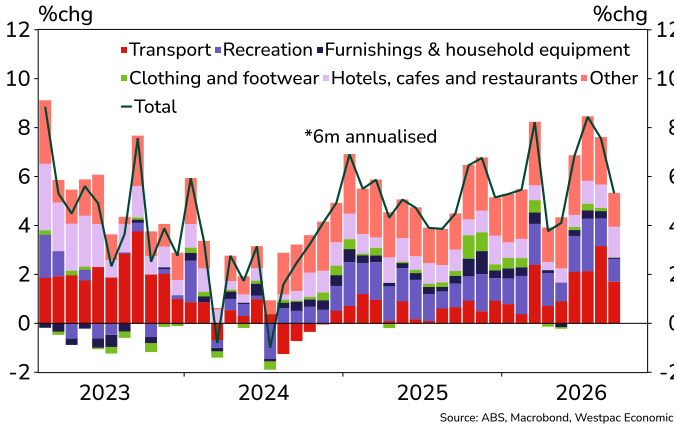
Source: ABS, Macrobond, Westpac Economics

Household spending volumes



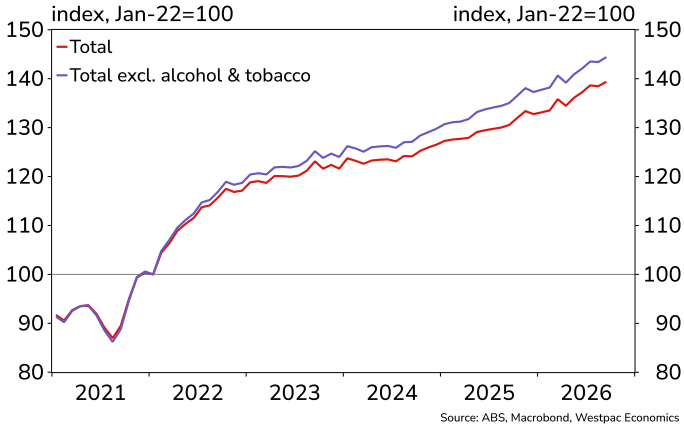
Source: , Macrobond, Westpac Economics

Contribution to growth by category: nominal



Source: ABS, Macrobond, Westpac Economic

Nominal spending excluding alch & tobacco



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First Impressions: NZ labour market surveys, September quarter 2026

#labour #newzealand

By Michael Gordon
Senior Economist, Westpac NZ

09:01 November 04 2026

Share

The unemployment rate rose to 5.7% in the September quarter, against expectations for a small decline. Spare capacity in the labour market is keeping wage pressures subdued.

Unemployment rate: 5.7% (prev: 5.6%, Westpac: 5.5%, RBNZ: 5.5%, mkt: 5.5%)

Employment change: -0.1% (prev: +0.3%, Westpac: +0.5%, RBNZ: +0.3%, mkt: +0.4%)

Participation rate: 70.4% (prev: 70.6%, Westpac: 70.8%, RBNZ: 70.6%, mkt: 70.7%)

Labour costs (private sector): +0.5% (prev: +0.7%, Westpac: +0.5%, RBNZ: +0.4%, mkt: +0.5%)

The September quarter surveys pointed to ongoing softness in New Zealand's labour market. The unemployment rate rose from 5.6% to 5.7%, continuing an almost five-year run of increases. Employment was softer than expected, and wage growth remains subdued despite increasing cost-of-living pressures.

The Household Labour Force Survey (HLFS) showed a surprise 0.1% fall in employment in the September quarter, after a downwardly revised 0.3% increase in the June quarter. That went against the Monthly Employment Indicator (MEI) measure of filled jobs, which had suggested some upward momentum emerging in the jobs market (and notably, the HLFS measure had outpaced the MEI for the previous nine quarters). It was also softer than suggested by the business-focused Quarterly Employment Survey (QES), which recorded a 0.2% rise in full-time equivalent employees, a 0.1% rise in filled jobs and a 0.6% rise in hours paid.

The fall in HLFS employment was accompanied by a fall in labour force participation rate, from 70.6% to 70.4%. These co-movements are effectively a reversal of the surprisingly large increases that we saw in the June quarter, which we noted at the time were indicative of sampling error in the survey.

This is why we generally recommend focusing on the unemployment rate, as it's less vulnerable to sampling error. And in that respect, the message on the jobs market remains weak: to the extent that employment may be rising, it's still not fast enough to absorb the growth in the population (which is itself a fairly low bar, as net migration remains at a relatively low ebb).

The HLFS also recorded a sharp 1.6% fall in hours worked (although usual hours worked were down just 0.4%). This seems to have been influenced by Matariki – a floating holiday that was only introduced a few years ago, so will not be picked up by the seasonal adjustment. This may have also been responsible for a marked shift from full-time to part-time employment, as some people may have been pushed into the part-time category simply by virtue of only working four days during the survey week.

The Labour Cost Index (LCI) rose by 0.5% in the September quarter, in line with our expectations overall but a bit weaker in the details – private sector wages were up by 0.5%, while there was a surprisingly large 0.7% increase in public sector wages. There was a notable jump in the number of employers citing cost-of-living adjustments as a reason for increasing pay rates, although the size of those increases varied a great deal, with many substantially less than the headline inflation rate.

Overall, we think the details are soft from the RBNZ's perspective – an important consideration ahead of the 9 December Monetary Policy Statement, as there are few other major data releases between now and then. The unemployment rate is a more reliable signal than the employment measures, and the ongoing rise in unemployment points to more slack in the labour market than the RBNZ was hoping to see in an economy that has been growing for over a year now. The doves on the policy committee will be encouraged in their view that there is limited scope for headline inflation shocks to pass through into second-round effects.

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ECONOMIC BULLETIN

Preview of Q3 labour market surveys: 4 November, 10:45am.

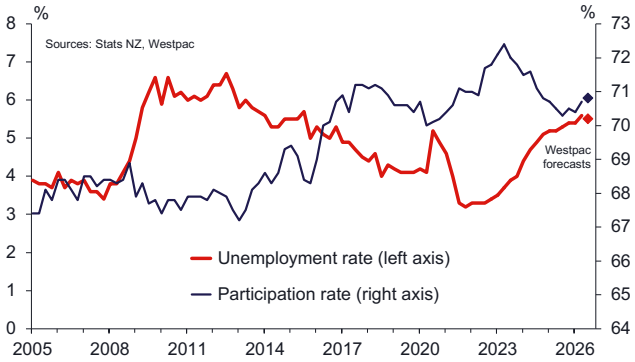
28 Oct 2026 | **Michael Gordon**, Senior Economist | +64 9 336 5670 | michael.gordon@westpac.co.nz

Turning point?

- We expect the unemployment rate to edge down to 5.5% for the September quarter.
- Job numbers have been gaining momentum in recent months, and now look to be enough to outstrip population growth. However, the participation rate will be the deciding factor.
- Despite cost-of-living pressures on workers, the existing slack in the labour market is likely to keep wage growth subdued.
- Our forecasts are a little more positive than what the RBNZ assumed in their September policy statement. Assuming they deliver on an OCR hike this afternoon, the labour market surveys could have an important bearing on whether they follow up with another hike in December.

	Q2 actual	Q3 forecast	
	Quarter	Westpac	RBNZ
Household Labour Force Survey			
Unemployment rate	5.6	5.5	5.5
Employment growth	0.5	0.5	0.3
Participation rate	70.7	70.8	70.6
Labour Cost Index			
All sectors, ordinary time	0.6	0.5	-
Private sector, ordinary time	0.7	0.5	0.4

Unemployment and participation rates



The New Zealand economy has returned to growth over the last year, despite a number of headwinds. That's been accompanied by some modest growth in jobs, though to date it hasn't been enough to prevent a further rise in the unemployment rate. However, we think that next Wednesday's labour market reports could show the jobs market reaching a turning point.

We expect the unemployment rate to ease from 5.6% to 5.5% in the September quarter, which would mark the first fall in almost five years. That's not a firmly held view, given the usual margin of uncertainty around this

measure. But we're now seeing consistent evidence that jobs growth is outstripping the modest pace of population growth. We also note that the previous result was 5.56% in unrounded terms, so it wouldn't take much to tip the rounded rate down to 5.5% this time.

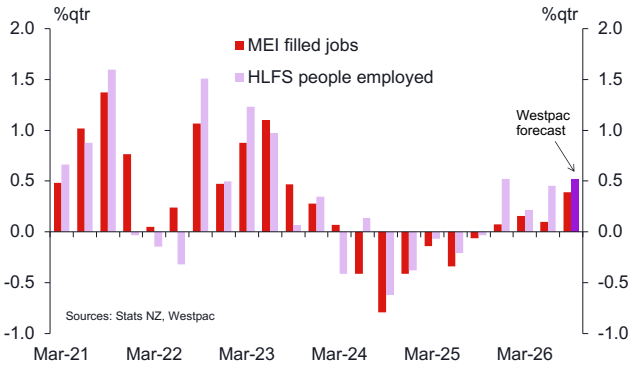
On the whole, our forecasts are a little stronger than what the RBNZ assumed in its September *Monetary Policy Statement*. While our unemployment rate forecast is identical, we're more positive on both employment and labour force participation. Meanwhile, our pick of a 0.5% rise in the Labour Cost Index is slightly ahead of the RBNZ's estimate of 0.4%.

Assuming that the RBNZ delivers the OCR hike that we expect this afternoon, we think they will be noncommittal about the chances of another hike at the 9 December *Monetary Policy Statement*. In that respect, the labour market surveys could be important in setting market expectations for the December review, as there aren't that many major data releases between now and then.

Forecast details.

We expect the Household Labour Force Survey (HLFS) to show a 0.5% rise in employment for the September quarter. That's broadly in line with the Monthly Employment Indicator (MEI), with the September release this morning showing a third straight month of growth in filled jobs. We note that employment growth in the HLFS has actually outstripped the MEI for the last nine quarters, but it's not clear why this has been the case and we're wary of extrapolating it too far into the next quarter.

Quarterly employment change



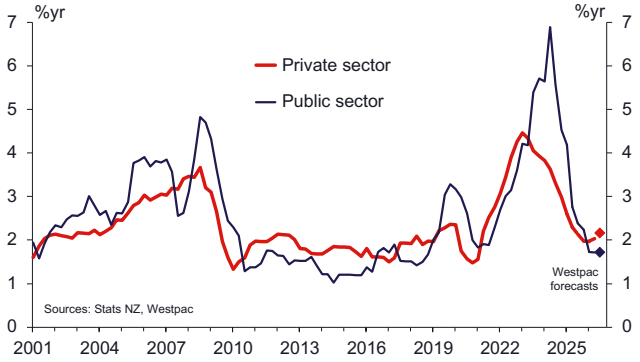
Employment growth of around 0.5% would be more than enough to absorb the modest 0.3% rise in the working-age population, and on its own would suggest a fall in the unemployment rate. But it also comes down to the rate of labour force participation, which we don't really have much guidance on. The participation rate has been choppy over recent quarters, and in the June quarter we saw an unusually large 0.3pt rise to 70.7%; we're assuming some payback this time with a more modest 0.1pt rise to 70.8%.

We'll also be keeping an eye on the broader indicators of slack in the labour market, although we don't formally use these in our forecasts. The June quarter saw a sharp rise in the underutilisation rate from 12.9% to 13.8%. However, we think there's some residual seasonality in this series, relating to one component in particular: people who are available for work but not actively looking. In that case, we could see a substantial pullback in the underutilisation measure this time.

Previously we've characterised the labour market as a "low-fire, low-hire" environment, with much of the rise in unemployment reflecting the difficulty of breaking into the workforce, rather than job losses. There are some signs of a thaw emerging, with job vacancies picking up from their lows over the last year and business surveys pointing to a lift in hiring intentions. But we still expect that it will be a long road to recovery – our current forecasts see the unemployment rate at 5% by the end of next year.

While cost-of-living pressures are again rearing their head as a major concern for workers, the existing degree of slack in the labour market will continue to make it difficult for them to push for bigger pay increases. We expect a 0.5% rise in the Labour Cost Index (LCI) for the September quarter, which would nudge the annual growth rate up slightly to 2.1%. That said, we don't have a lot to go on for this forecast. The MEI includes a measure of median weekly earnings, which has shown no sign of acceleration so far – but this is only a very loose indicator of wage pressures, as it will also reflect any changes in the composition of jobs and pay rates.

Labour Cost Index



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Westpac Banking Corporation.

Week beginning 2 November 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: RBA to hike in November, as inflation remains too high.

The Week That Was: Cliff Notes: the source and persistence of inflation.

Focus on New Zealand: A lesson to be learned.

For the week ahead:

Australia: RBA policy decision, Cotality home value index, household spending indicator, goods trade balance, dwelling approvals.

New Zealand: Q3 labour market surveys, building permits, LCI wage inflation.

China: Ratingdog manufacturing and services PMIs.

Euro Area: CPI, PPI, retail sales.

United Kingdom: BoE policy decision.

United States: nonfarm payrolls, enemployment rate, ISMs, UoM consumer Sentiment, trade balance.

Global: S&P Global manufacturing and services PMIs.

Information contained in this report current as at 30 October 2026.

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RBA to hike in November, as inflation remains too high

Luci Ellis
Chief Economist, Westpac Group

We reaffirm our expectation that the RBA Monetary Policy Board will again increase the cash rate at the November meeting. Today's inflation data and Senate testimony are the final pieces of information before the RBA Monetary Policy Board (MPB) meets next week. Recent data and communication have consistently pointed to the staff recommending an increase in the cash rate. We expect a majority of the external members to agree, though some members might dissent.

Inflation is above target, and above what the RBA's August forecasts implied. Some upside risks identified in August have partially materialised, particularly energy prices. The RBA is especially worried that above-target inflation will become embedded in people's expectations and pricing decisions. It will therefore deem that further policy tightening is needed.

The RBA has made it clear that it is down-weighting the recent easing in the labour market, even though this was more than it forecast. In today's opening statement to the Senate hearing, the Governor said, "Despite the unemployment rate recently rising a little more than we had expected, the labour market seems a little tighter than we had previously judged. The evidence for this is elevated underlying inflationary pressures. That is, when we exclude some of the large volatile price movements such as fuel we see inflationary pressure in areas that reflect domestic demand for goods and services." In the Senate, the Governor also said that they were not worried about the current pace of increase in unemployment.

Of course, this takes no account of the lagged relationship between the labour market and inflation. The argument is that if that measure of inflation last quarter was too high, it must therefore be that the labour market is too tight. Nor does it allow sufficiently for non-labour cost shocks, which business surveys indicate are the real issue. But whether this judgement by the RBA turns out to be right or not will not be revealed for some time, certainly not soon enough to change its mind before next week. And while some MPB members might have a more optimistic view about labour supply trends than the RBA staff, they are likely to be a minority.

The RBA is also relatively sanguine about the current downturn in the housing market. The Governor and other RBA officials are at pains to highlight that they do not target housing prices; nor should they. The RBA considers that most, though not all, of the current downswing is an expected effect of tighter monetary policy.

The question then turns to the future beyond November. While we still expect a hawkish tone in the RBA's communication until inflation has clearly turned down, further hikes beyond next week are not currently our base case. Clearly, though, the risks of another hike – most likely in February – have increased. Our current forecast for Q4 inflation would seem to give them cover for such a move. We note, however, that home-building costs in the CPI have undershot expectations in the past couple of months. This might imply a different view of the extent of domestic demand pressures than the RBA currently believes.

> **"We reaffirm our expectation that the RBA Monetary Policy Board will again increase the cash rate at the November meeting"**

However, a lot can happen in three months, as we have just seen. The conflict in the Middle East could escalate further, lifting energy prices beyond our current base case. It could also go the other way, though, if the US and Iran manage to strike a post-midterm-election deal. And as their counterparts in New Zealand highlighted today, one risk is that the global economy weakens suddenly. In the post-meeting statement, the RBNZ Monetary Policy Committee said, "the world economy could tip abruptly into a downturn causing weaker inflation over the medium term." This risk was something the RBNZ MPC thought could crystallise in the next six weeks. Whether on this timetable or something more drawn out, this possibility does not appear to be on the RBA's radar. Nor is it our base case, though we have previously worried that the AI financing boom could hit a wall quite suddenly.

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Cliff Notes: the source and persistence of inflation

Elliot Clarke, Head of International Economics
Ryan Wells, Economist
Illiana Jain, Economist

In Australia this week, all eyes were on the September CPI. Headline inflation rose 0.8% (4.3%yr) in the month, largely owing to a 9.4% jump in fuel prices and a seasonal surge in domestic and international holiday travel & accommodation. The underlying inflation pulse also proved hotter than anticipated for Q3 overall, up 1.0% (3.7%yr).

While some parts of the basket are seeing disinflation – housing in particular looks to be cooling faster than expected as builders lure sales with discounts – other components are still showing persistence. Highlighting this is market services ex volatiles, which the RBA watches closely as an indicator of price pressures related to domestic capacity. In Q3, this metric rose 1.2% (3.2%yr), and the monthly detail points to momentum holding up – in line with our expectations for another chunky read in Q4.

With inflation running well above the RBA's August forecasts, and some of the energy risks flagged then materialising, we continue to expect the Monetary Policy Board will deliver a 25bp rate hike to 4.85% in November. Beyond November, another rate hike in February is a risk, but is not currently part of our base case.

Across the Tasman, the RBNZ this week surprised market expectations for a 25bp rate hike, deciding instead to wait for further information before taking the next step with policy. The decision was made 4:3, with the Governor in the 'on hold' camp. A 25bp hike in December to 3.00% and further tightening in 2027 (Westpac NZ forecasts a peak of 4.00% in September) seems probable; however, each decision will depend on fuel prices, inflation expectations and evidence of second-round pricing pressures, along with the evolution of global economic risks.

In the US, the FOMC also held rates steady at its October meeting. Based on prior comments by key members, the decision was not a surprise, and neither were Governor Cook and Cleveland Fed President Hammack's dissents in favour of a 25bp hike. The Committee remains positive on economic activity, characterising it in the statement as "expanding at a strong pace" (an upgrade from "solid" in September). Chair Warsh also subsequently emphasised the breadth of economic growth outside of tech-related investment (evinced by Q3 GDP the day after; see below).

The Committee refrained from spotlighting key price risks in the statement. However, inflation "remains elevated" and the FOMC are determined to achieve a "timely" and sustainable return of annual inflation to 2.0%yr after 6 years above target. This guidance and the "accumulation of more information will help the Committee determine the policy stance" suggests another 25bp hike is likely in December. Thereafter, the FOMC will remain attentive to any broadening in inflation and related risks through 2027; although, in the absence of another shock, we expect them to remain on hold.

The Q3 GDP report certainly supported Chair Warsh's view on the breadth of growth, the 3.4% annualised gain for GDP benefitting from a 3.8% annualised increase in household consumption, 12.7% growth in non-residential investment as well as a robust increase in government spending. Notably though, the contribution from business investment was effectively offset by net exports' drag given most of the componentry related to AI infrastructure investment is imported. This is not to say that US firms won't benefit from the investment once complete, but simply that much of the initial return goes to the foreign businesses who provide the necessary capital equipment.

On consumption, the monthly PCE data implies downside risks remain for the consumer, the increase in nominal spending seen in the month requiring dissaving and, on a real basis, consumption flat in the month following a 0.5% gain in August. Cost-of-living pressures and uncertainty over the outlook is expected to see household consumption growth average around trend over the coming year, albeit with considerable volatility quarter to quarter. This should see PCE inflation slow back towards its 2.0%yr medium-term target as the FOMC desires, from 3.6%yr and 3.1%yr for the headline and core measures respectively as of September.

Across the Atlantic, the ECB also left its key policy rates unchanged in October. Of note from the meeting communications, energy prices continue to pose upside risks for inflation, but also downside risks for growth. "While the full effects of the energy shock are still unfolding, underlying inflation has remained broadly stable so far and wages do not show a material response". "Financing conditions have [also] tightened", "which is likely to weigh on inflation and growth". In the press conference, President Lagarde noted that, between the October and December meetings, a significant amount of new economic information will be released, allowing forecasts and risks assessments to be tested.

Based on the October meeting communications, we continue to expect a rate hike at the December meeting but believe this will be prove to be the last hike of the cycle. Note though, the spectrum of risks Europe faces is broad and skewed towards inflation in the near term, hence the Council's guidance will remain hawkish. President Lagarde also announced today that she will step down as ECB President in February ahead of the scheduled conclusion of her term next October.

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A lesson to be learned

Kelly Eckhold
Chief Economist NZ

The RBNZ delivered the biggest shock to markets outside of a crisis period in over 20 years this week by leaving the OCR unchanged. Markets had priced around a 98% probability of a 25bp increase, and all major domestic analysts concurred. After the CPI data the week earlier, we belatedly shifted our call to a hike despite plenty of good arguments in favour of the RBNZ sticking to its plan to pause. With the benefit of hindsight, too much weight was put on market pricing and short-term inflation drivers and not enough on the medium term. That's an important lesson to be learned.

The highlight of an action-packed week of central banking news was the unexpected decision of the RBNZ to leave the OCR at 2.75%, despite near unanimous analyst expectations and market pricing in favour of a 25bp hike. We had shifted sides from a hold to a hike just a week earlier, in the wake of a CPI outcome that was weaker than RBNZ expectations on the surface, but with some evidence of firm core inflation undertones.

While we clearly cannot claim to have gotten this call right, we always thought that the outcome was not the "done deal" that markets had priced in. For example, in our preview of the meeting we noted:

"We still think a more measured tightening approach is appropriate from here. Raising the OCR at every meeting until something 'breaks' could be a risky strategy if downside growth concerns crystalise."

And we saw a vote on the decision as very possible:

"A vote seems very possible as differences in view will likely remain among the MPC about how much the medium-term inflation outlook has really shifted in recent weeks."

The 4:3 vote that was ultimately required to bring the MPC to a decision is a testament to just how finely balanced the decision was. We had thought that the hike was perhaps around a 60-70% probability whereas the Record of Meeting implies something more like a 50:50 call.

In the final analysis, the RBNZ has merely followed through on the pause it signalled for this meeting back in the September Monetary Policy Statement. All MPC members continue to see a case for a higher OCR in time, but there are different views around the timing of those increases. Governor Breman noted that further interest rate increases remain likely in coming meetings but are conditional on the whether the outlook evolves in line with expectations. Indeed, the Governor noted in later comments to press that a December hike was a "high" probability and that the outlook remains for OCR "hikes" as the base case. This suggests that the RBNZ's view on the terminal OCR hasn't really shifted down from the 3.25% level presented back in September. And it may be reasonable to speculate, subject to data evolving as the RBNZ expects, that a modest upgrade in those forward OCR forecasts could be in the offing.

So how did we all get this so wrong? This outcome was a real shock given the historical record shows that over the history of the OCR the market has without exception correctly predicted a 25bp hike when the implied probability built into markets was as high as it was. Clearly some recalibration of the model is required. We can identify two key areas where lessons should be learned: too much weight on market pricing; and not enough on drivers of medium-term inflation.

Market pricing did not adequately reflect the MPC's desire to shift strategy.

Firstly, and most importantly, we put too much weight on market pricing and too little on the RBNZ's clearly stated strategy of preferring a pause at the October meeting to assess the impact of interest rate increases already done. In our Preview we incorrectly surmised that silence equated to assent and that market pricing of a hike would make an OCR hike the less disruptive option – especially given the sense that a hike to 3% was still likely in December as implied by the RBNZ's September forecasts. From a macroeconomic perspective, raising rates six weeks early is of little consequence.

This logic, as sound as it was, was wrong, as market pricing did not reflect a large enough change in the medium-term inflation outlook to justify a change in RBNZ strategy. Markets at least partially held the view, based on a long history of revealed RBNZ preference, that the RBNZ keeps moving the OCR in the same direction until confronted with compelling evidence that a halt to the cycle is in prospect. That operating approach may be under review now.

It's not uncommon for other central banks to take breaks while amid an interest rate cycle to gather information on the impact of work already done before moving forward. This week's pause by the FOMC in the face of a fierce set of monthly inflation readings in the last month is an example. Pausing does not need to imply stopping or reversing. Indeed, taking a more measured approach could prove to be solid risk management – as we identified in our MPR preview note. Risk management concerns probably should have greater prominence in this cycle given we are seeing a measure of

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supply side cost shocks that might not be persistent. The Statement of Record contains a wealth of material related to these sorts of uncertainties and concerns. Markets were not listening to these concerns, however.

An insufficient focus on drivers of medium-term inflation

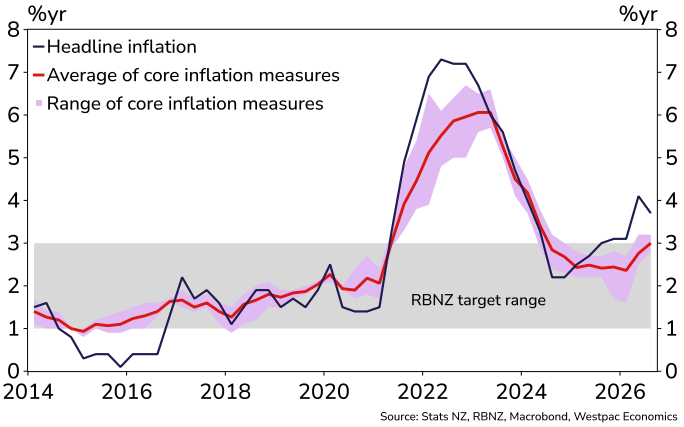
Markets were not listening to the alarm bells because there was a heavy focus on factors that may be more relevant to the short-term inflation outlook than medium-term inflation. Top of mind were the rise in energy prices and fall in the exchange rate. Both factors look set to significantly boost the short-term inflation outlook – for example we currently forecast December quarter annual inflation of 4.3%, with upside risks from there if fuel prices do not fall over the balance of the quarter. However, our analysis of the data surprises suggested no significant shift to the implied RBNZ OCR track one year ahead. Upward pressure on the future OCR projection from the lower exchange rate and stronger GDP was balanced by higher long term interest rates and the lower Q3 CPI outcome. Higher energy prices were not seen as a key factor as they don't impact medium term inflation unless inflation expectations are dislodged (no evidence was found of that since September) or if the increase in energy prices is viewed as persistent (futures markets continue to imply lower forward energy prices, although MPC hawks clearly see risks of persistent inflation coming from supply shocks).

The RBNZ's communications at the MPR and in its aftermath are directing markets to pay more attention to medium-term inflation drivers in the future. Hence the references to the strength of demand and inflation expectations. The risk to the RBNZ's inflation forecasts are to the upside, and hence we might reasonably expect some upgrade of the OCR profile when we see new forecasts in December. But it's not a done deal by any means as data and events between now and then will dictate what stance the RBNZ takes. This week's business and consumer confidence reports do not seem to present many smoking guns of imminent second-round inflation pressures, even though business and consumer sentiment seems to be taking the higher oil price in its stride.

Is core inflation high enough yet to shift the strategy?

Another interesting point made by the Governor was that the markets (and analysts) misinterpreted how the September quarter CPI was read by the RBNZ, which evidently took greater comfort from the outcome. Governor Breman has noted she wished the RBNZ has protocols in place to communicate with markets the RBNZ's view on that CPI data given that it seems to have been a factor that figured importantly in at least some MPC member's thinking. Headline inflation was lower than the RBNZ expected and importantly the core inflation measures, that we had thought might have been of concern to the MPC, do not yet seem to have been at a level sufficient to shift the RBNZ from its pause-then-hike strategy. We remain sceptical that a 3.25% OCR will prove sufficient to bring core inflation down significantly. But core inflation appears to need to lift for the MPC to become more agitated. It likely will lift, but we won't get more data on that until January 2027.

Headline and core inflation measures



Source: Stats NZ, RBNZ, Macrobond, Westpac Economics

December hike likely but not a done deal

We expect a further 25bp hike at this year's final meeting on 9 December and then 25bp increases in the February and March 2027 meetings, followed by a slower pace of increases at the June and September Monetary Policy Statement meetings. Our forecast of a peak OCR of 4% from September 2027 has remained unchanged throughout, as has our assessment of a 3.75% neutral OCR.

That said, in the current uncertain environment, it goes without saying that the evolution of monetary policy will depend on how both global events and key data evolve. Therefore, as the RBNZ noted itself, the exact timing of the tightening profile is highly uncertain and even the tightening we forecast at the December meeting should not be regarded as a done deal.

Looking ahead, the 'hardest' data to come will be the Q3 labour market surveys where we anticipate a small fall in the unemployment rate to 5.5% but still moderate wage pressures. The December quarter RBNZ inflation expectations surveys will be of significant interest (17, 20 and 24 November) for MPC members looking for persistent inflation impacts. The usual run of monthly activity and selected prices indicators will be useful in narrowing down Q4 growth and inflation momentum. And finally, the MPC's focus on external risks will imply keeping an eye on global fixed income, equity and credit markets for signs of imminent calamity.

Finally, November 7 is the general election. A close race is envisaged that could impact on the RBNZ's mandate. We will be offering client briefings on Monday 9 November and Tuesday 10 November to outline the immediate implications of the election outcome for markets and the economy. Contact your relationship manager for details.

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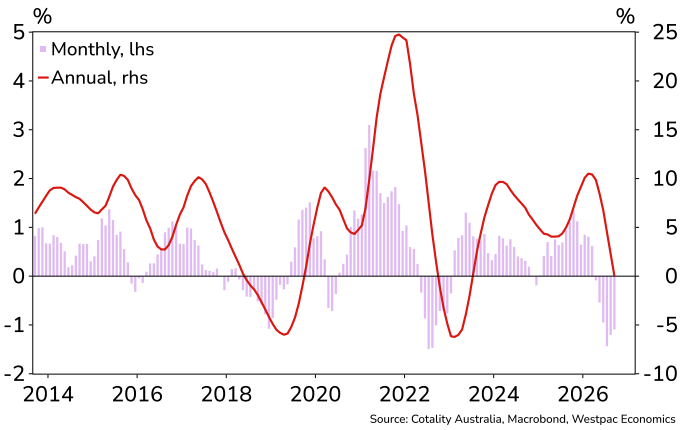
AUS: Oct Cotality Home Value Index (%mth)

Nov 2, Last: –1.1, Westpac f/c: –1.3

The Cotality home value index – covering all of Australia – fell 1.1% in Sep with downward revisions shaving a further 0.4% off prices. The correction has now seen prices decline 5.2% from their March peak, annual growth stalling flat. Cotality reported 97% of capital city suburbs experienced falls over the three months to September.

The October update is set to be another weak one with an added hit coming from the RBA's interest rate rise in late September. The daily measure (covering the five major capital cities rather than all of Australia) is tracking a 1.5% decline vs 1.3% in September. The detail points to slightly bigger falls in Sydney, Brisbane and Perth with Melbourne continuing to record more moderate declines. Note that seasonality is usually a slight positive in the October month.

Dwelling price correction deepening



Source: Cotality Australia, Macrobond, Westpac Economics

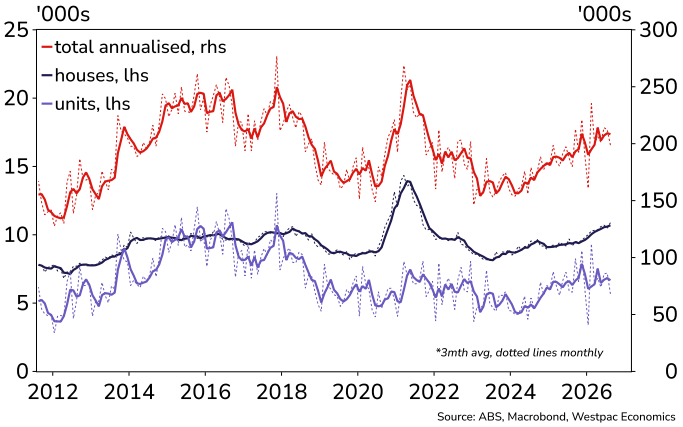
AUS: Sep Dwelling Approvals (%mth)

Nov 2, Last: –6.1, Westpac f/c: –7.0
Market f/c: 2.0, Range: –7.0 to 5.0

Dwelling approvals fell 6.1%mth in August, with the annual pace easing slightly to 10.3%yr. Weakness centred on unit approvals with private detached house approvals actually posting a solid rebound from a July month fall, touching a new cycle high (up 18.4%yr).

We expect the September update to show a much clearer weakening. New construction is coming under pressure from multiple fronts: interest rate rises; a sharp downturn in established markets; and rising costs – with a great deal of uncertainty around each of these. New home sales have fell sharply through the September quarter and we expect to see detached house approvals show something similar. Unit approvals are coming off a weak read and should be more stable. Total approvals are expected to print 7% lower.

Building approvals



Source: ABS, Macrobond, Westpac Economics

AUS: RBA Policy Decision (%)

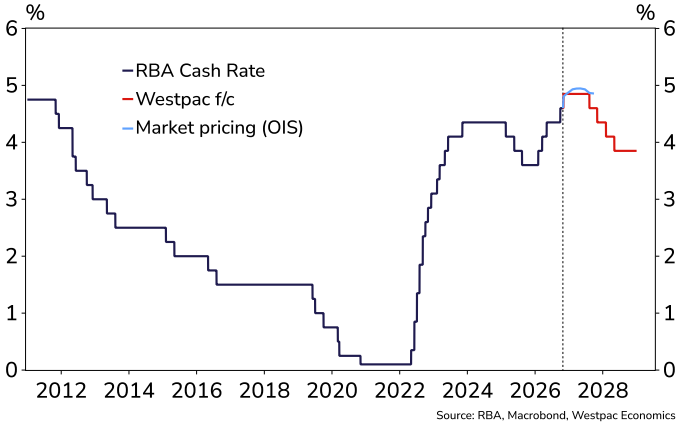
Nov 3, Last: 4.60, Westpac f/c: 4.85
Market f/c: 4.85, Range: 4.60 to 4.85

We reaffirm our expectation that the RBA Monetary Policy Board (MPB) will decide to raise the cash rate by 25bps to 4.85% at the November meeting.

Inflation is above target, and above what the RBA's August forecasts implied. Some upside risks identified in August have partially materialised, particularly energy prices. The RBA is especially worried that above-target inflation will become embedded in people's expectations and pricing decisions.

Recent data and communication have consistently pointed to the RBA staff recommending an increase in the cash rate. We expect a majority of the external board members to agree, though some members might dissent.

RBA to raise cash rate by 25bps in November



Source: RBA, Macrobond, Westpac Economics

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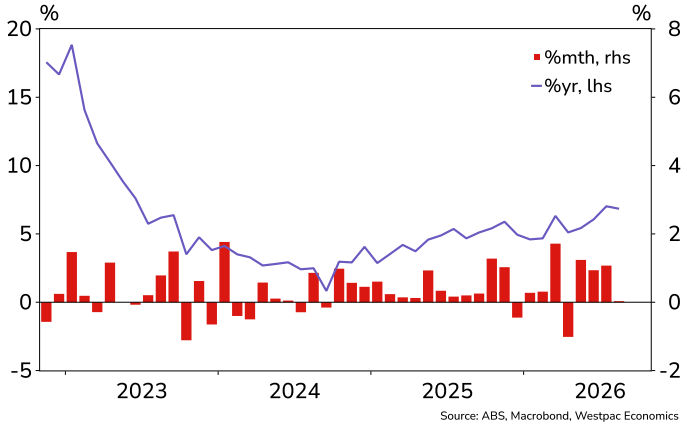
AUS: Sep Household Spending Indicator (%mth)

Nov 4, Last: flat, Westpac f/c: –0.5
Market f/c: 0.2, Range: –0.5 to 0.8

The household spending indicator was unchanged in August, annual growth easing to 6.8%yr. The detail showed a modest rotation away from discretionary categories towards non-discretionary.

Our **Westpac-DataX Card Tracker** showed a decent rise in the September month although new vehicle sales (which are not covered by the tracker but are in scope for the spending indicator) look to have posted a decline. Overall we expect the indicator to show a 0.5% decline in the September month. Note that the update with also include Q3 estimates of real spending – we expect this to show a 0.6%qtr gain with prices up 1.2%qtr and nominal spend up 1.8%qtr.

Monthly household spending indicator



Source: ABS, Macrobond, Westpac Economics

AUS: Sep Goods Trade Balance ($bn)

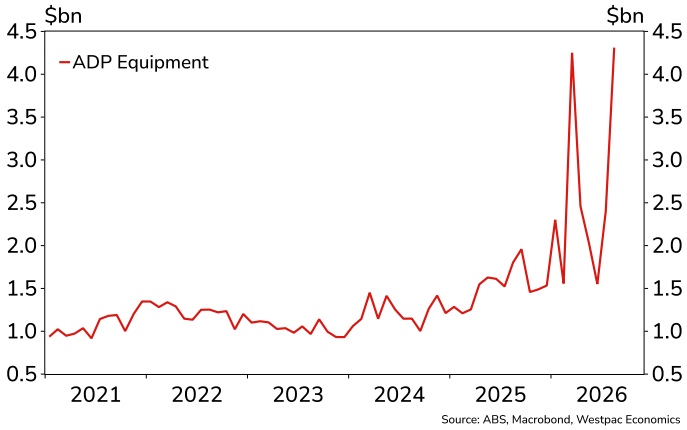
Nov 5, Last: 0.5, Westpac f/c: 2.0
Market f/c: 1.0, Range: –1.0 to 2.5

Australia's goods trade surplus narrowed to $0.5bn in August. Recently, the trade balance has been oscillating between small deficits and surpluses with significant volatility in the underlying trade mix.

Swings in non-monetary gold, fuel and cars have all played a large role, but the most eye-catching result from Aug was the 79% surge in automatic data processing equipment (ADP) imports, which captures the investment upswing related to data centres.

For September, we expect an increase in the surplus as the ADP import surge unwinds, though we are likely in store for ongoing monthly volatility in trade for some time.

ADP equipment imports



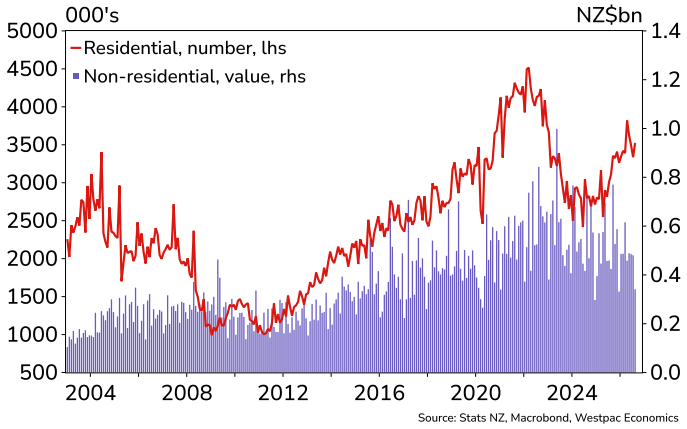
Source: ABS, Macrobond, Westpac Economics

NZ: Sep Building Consents (%mth)

Nov 3, Last: +5.6%, Westpac f/c: Flat

Annual residential building consent numbers are currently at a three year high, and we expect that they will remain firm in the September update. However, monthly consent numbers are showing signs of peaking, with falls in three of the last four months. We're watching to see if that trend has continued, particularly given the ongoing softness in the housing market. In the non-residential space, we've seen softness in the number of retail and office developments, but greater resilience in the industrial and storage segment.

NZ building consents



Source: Stats NZ, Macrobond, Westpac Economics

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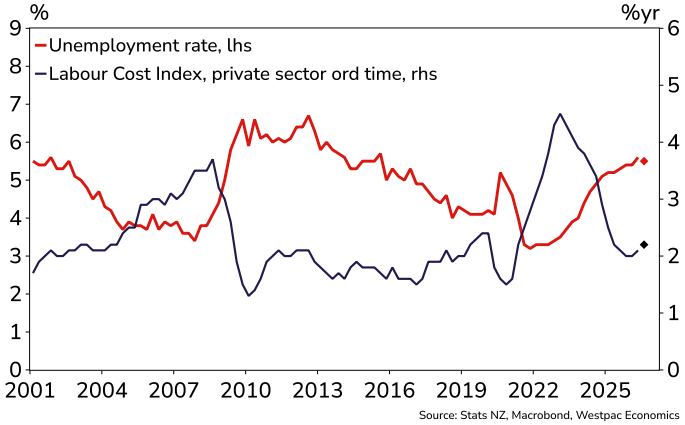
NZ: Q3 Labour Market Surveys (%)

Nov 4, Unemployment Rate, Last: 5.6, Westpac f/c: 5.5
LCI Private Sector, Last: 0.7, Westpac f/c: 0.5

We expect the unemployment rate to edge down to 5.5% for the September quarter. Job numbers have been gaining momentum in recent months, and now look to be enough to outstrip population growth. However, the existing slack in the labour market is likely to be keeping wage growth subdued, despite cost-of-living pressures on workers. Our forecasts are a little more positive overall than what the RBNZ assumed in its September MPS forecasts.

Labour market surveys



Source: Stats NZ, Macrobond, Westpac Economics

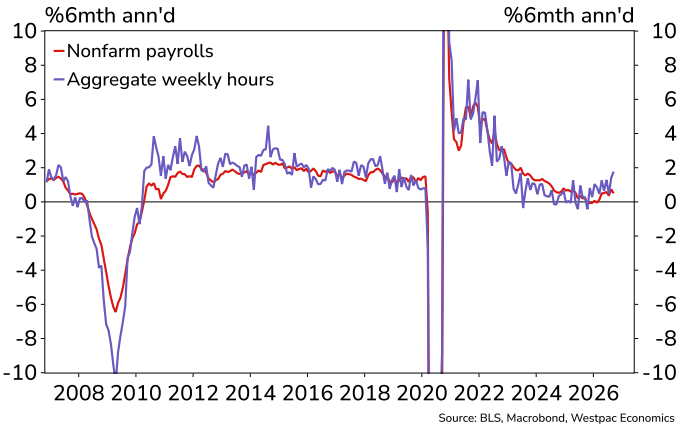
US: Oct Employment Report

Nov 6, Payrolls, Last: 29k, Market f/c: 55k, WBC f/c: 75k
Nov 6, U/E rate, Last: 4.2%, Market f/c: 4.2%, WBC f/c: 4.3%

Nonfarm payrolls have shown considerable volatility of late, July's -10k followed by a 133k gain in August then a 29k increase in September. However, the 3-month average of 51k is likely a good guide on underlying momentum. In October, we look for a 75k gain, although we expect some of that increase to be offset by a modest reduction to the prior two months, keeping the 3-month average around 50k.

While the participation rate has lifted in recent months, it remains well below the average of 2025. Month-to-month, a change either way is not guaranteed, but it seems likely that the participation rate will trend higher in coming months. We therefore expect the unemployment rate to edge up.

Labour demand resilient



Source: BLS, Macrobond, Westpac Economics

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What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 02							
Aus	Oct	Cotality Home Value Index	%mth	–1.1	–	–1.3	Interest rate rises are adding downward pressure.
	Oct	MI Inflation Gauge	%ann	4.8	–	–	Provides a reliable directional signal for monthly inflation.
	Sep	Dwelling Approvals	%mth	–6.1	2.0	–7.0	New construction is under pressure from mutlipel fronts.
Chn	Oct	RatingDog Manufacturing PMI	index	52.1	52.0	–	A bright spot as low borrowing rates support manufacturers.
US	Oct	ISM Manufacturing	index	54.5	54.7	–	Underlying momentum solid despite brewing cost pressures.
	Sep	Construction Spending	%mth	0.9	0.5	–	Data centres supporting as higher rates hit housing demand.
		Fedspeak	–	–	–	–	Goolsbee.
World	Oct	S&P Global Manufacturing PMI	index	–	–	–	Final estimate for Japan, Europe, UK and US.
Tues 03							
Aus	Nov	RBA Policy Decision	%	4.60	4.85	4.85	RBA worried above–target inflation could become entrenched.
NZ	Sep	Building Permits	%mth	5.6	–	Flat	Annual total elevated, maybe close to a peak.
US	Sep	JOLTS Job Openings	000s	7079	7100	–	Vacancies to unemployed almost in balance.
	Sep	Factory Orders	%mth	0.1	1.1	–	Core orders running stronger than the headline figure.
	Sep	Durable Goods Orders	%mth	1.8	–	–	Final estimate.
Wed 04							
Aus	Sep	Household Spending Indicator	%mth	0.0	0.2	–0.5	Softer new vehicles sales to act as a drag.
NZ	Q3	Employment	%qtr	0.5	0.4	0.5	Jobs growth is gradually picking up momentum...
	Q3	Unemployment Rate	%	5.6	5.5	5.5	...potentially enough to tip the unemployment rate lower..
	Q3	LCI Wage Inflation (Pvte, Ord Time)	%qtr	0.7	0.5	0.5	...though existing slack will keep wage pressures subdued.
	Oct	ANZ Commodity Prices	%mth	0.6	–	–1.0	Pullback in beef prices, some gains in dairy.
Chn	Oct	RatingDog Services PMI	index	51.6	51.4	–	Growth accelerated for second consecutive month.
Eur	Oct	CPI	%ann	3.8	3.9	3.9	The ECB sees effects of the energy shock as still unfolding.
US	Sep	Trade Balance	US$bn	–105.6	–107.9	–	Capital goods imports driving the widening deficit.
	Oct	ISM Services	index	54.9	54.7	–	Higher costs the key pressure point among surveyed firms.
World	Oct	S&P Global Services PMI	index	–	–	–	Final estimate for Europe, UK and US.
Thur 05							
Aus	Sep	Goods Trade Balance	$bn	0.5	1.0	2.0	Unwind in data centre–related equipment import surge.
		RBA Deputy Governor	–	–	–	–	Hauser speaking in Canberra, 5:45pm AEDT.
Eur	Sep	PPI	%ann	8.2	–	–	Energy accounting for near 60% of the annual increase.
UK	Nov	BoE Policy Decision	%	3.75	4.00	–	Economic activity proving resilient, price pressures mount.
US		Initial Jobless Claims	000s	194	–	–	Trending lower.
		Fedspeak	–	–	–	–	Hammack, Barkin.
Fri 06							
Eur	Sep	Retail Sales	%mth	0.1	–	–	Weak demand for consumer credit a headwind.
US	Oct	Nonfarm Payrolls	000s	29	55	–	The FOMC views the labour market as both resilient and ...
	Oct	Average Hourly Earnings	%mth	0.1	0.3	–	... broadly in balance. Continued gains in tech infrastructure ...
	Oct	Unemployment Rate	%	4.2	4.2	–	... is likely to support outcomes over the coming year and ...
	Nov	Uni. Of Michigan Sentiment	index	48.0	47.3	–	... precluding a broadening of weakness in consumer spending.
	Sep	Consumer Credit	%bn	8.3	12.0	–	Softer–than–expected in September; some firming anticipated.
		Fedspeak	–	–	–	–	Logan, Williams.

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Economic & financial forecasts

Interest rate forecasts

Australia	Latest (30 Oct)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Cash	4.60	4.85	4.85	4.85	4.60	4.35	4.10	3.85	3.85	3.85
90 Day BBSW	4.90	4.95	4.95	4.80	4.55	4.30	4.10	3.95	3.95	3.95
3 Year Swap	4.82	4.90	4.85	4.75	4.65	4.55	4.45	4.35	4.30	4.25
3 Year Bond	4.81	4.90	4.85	4.75	4.65	4.55	4.45	4.35	4.30	4.25
10 Year Bond	5.13	5.20	5.15	5.10	5.05	5.05	5.00	5.00	5.00	5.00
10 Year Spread to US (bps)	20	15	15	15	15	10	0	–5	–10	–15
United States										
Fed Funds	3.875	4.125	4.125	4.125	4.125	4.125	3.875	3.625	3.625	3.625
US 10 Year Bond	4.92	5.05	5.00	4.95	4.90	4.95	5.00	5.05	5.10	5.15
New Zealand										
Cash	2.75	3.00	3.50	3.75	4.00	4.00	4.00	4.00	3.75	3.75
90 Day Bill	3.16	3.40	3.75	4.00	4.20	4.20	4.20	4.15	3.95	3.95
2 Year Swap	3.96	4.10	4.20	4.25	4.20	4.20	4.15	4.15	4.10	4.10
10 Year Bond	4.85	5.00	5.00	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US (bps)	–10	–5	0	5	15	10	5	0	–5	–10

Exchange rate forecasts

	Latest (30 Oct)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
AUD/USD	0.7039	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
NZD/USD	0.5633	0.56	0.58	0.61	0.63	0.64	0.64	0.64	0.65	0.65
USD/JPY	157.47	156	154	153	152	151	150	149	148	146
EUR/USD	1.1187	1.14	1.16	1.18	1.20	1.21	1.22	1.22	1.21	1.21
GBP/USD	1.3386	1.34	1.35	1.36	1.38	1.39	1.40	1.41	1.41	1.40
USD/CNY	6.6587	6.65	t6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
AUD/NZD	1.2479	1.27	1.24	1.20	1.16	1.15	1.13	1.12	1.12	1.11

Australian economic forecasts

	2026				2027				Calendar years			
% change	Q1	Q2	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.3	0.4	0.5	0.2	0.4	0.3	0.4	0.5	–	–	–	–
%yr end	2.5	2.1	2.2	1.5	1.6	1.5	1.4	1.6	2.6	1.5	1.6	2.4
Unemployment rate %	4.2	4.4	4.6	4.7	4.7	4.8	4.8	4.7	4.3	4.7	4.7	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	–	–	–	–
%yr end	3.2	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	0.6	1.3	1.3	0.4	0.5	1.0	0.5	–	–	–	–
%yr end	4.1	3.9	3.9	4.6	3.6	3.4	3.2	2.4	3.6	4.6	2.4	2.3
Trimmed Mean CPI %qtr	0.8	0.8	1.0	0.9	0.7	0.7	0.7	0.7	–	–	–	–
%yr end	3.5	3.6	3.7	3.5	3.3	3.3	3.1	2.9	3.3	3.5	2.9	2.4

New Zealand economic forecasts

	2026				2027				Calendar years			
% Change	Q1	Q2	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.9	0.2	0.6	0.7	0.9	0.5	0.6	0.7	–	–	–	–
Annual avg change	0.9	1.7	2.1	2.4	2.4	2.5	2.6	2.6	0.3	2.4	2.6	3.0
Unemployment rate %	5.4	5.6	5.5	5.5	5.4	5.3	5.2	5.0	5.4	5.5	5.0	4.4
CPI %qtr	0.9	1.5	0.7	1.2	0.3	0.4	0.5	0.2	–	–	–	–
Annual change	3.1	4.1	3.7	4.3	3.7	2.5	2.3	1.4	3.1	4.3	1.4	1.9

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Economic Calendar

November 2026

MON	TUE	WED	THU	FRI
2	**3**	**4**	**5**	**6**
AUSTRALIA Cotality Home Value Index Oct exp –1.3% prev –1.1% (12:01am) MI Inflation Gauge Oct y/y prev 4.8% (11:00am) Dwelling Approvals Sep exp –7.0% prev –6.1% (11:30am) **CHINA** RatingDog Manufacturing PMI Oct prev 52.1 (12:45pm) **UNITED STATES** ISM Manufacturing Oct exp 54.7 prev 54.5 (2:00am) Construction Spending Sep exp 0.5% prev 0.9% (2:00am) Fedspeak – Goolsbee (3:15am) **GLOBAL** S&P Global Manufacturing PMI Oct (F)	**AUSTRALIA** RBA Policy Decision exp 4.85% prev 4.60% (2:30pm) **NEW ZEALAND** Building Permits Sep prev 5.6% (8:45am) **UNITED STATES** JOLTS Job Openings Sep exp 7129k prev 7079k (2:00am) Factory Orders Sep exp 1.1% prev 0.1% (2:00am) Durable Goods Orders Sep (F) prev 1.8% (2:00am)	**AUSTRALIA** Household Spending Indicator Sep exp –0.5% prev 0.0% (11:30am) **CHINA** RatingDog Services PMI Oct prev 51.6 (12:45pm) **EURO ZONE** CPI Oct y/y (P) exp 3.9% prev 3.8% (9:00pm) **NEW ZEALAND** Labour Force Survey Q3 (8:45am) Employment prev 0.5% Unemployment Rate prev 5.6% Private Wages Ex. Overtime prev 0.7% **UNITED STATES** ADP Employment Change Oct exp 68k prev 90k (12:15am) Trade Balance Sep exp –US$107.9bn prev –US$105.6bn (12:30am) ISM Services Oct exp 54.6 prev 54.9 (2:00am) **GLOBAL** S&P Global Services PMI Oct (F)	**AUSTRALIA** Goods Trade Balance Sep exp $2.0bn prev $0.5bn (11:30am) RBA's Hauser – Speech (5:45pm) **EURO ZONE** Ger. Factory Orders Sep prev –10.6% (6:00pm) PPI Sep y/y prev 8.2% (9:00pm) **UNITED KINGDOM** BoE Policy Decision exp 4.00% prev 3.75% (11:00pm) **UNITED STATES** Fedspeak – Hammack (12:50am) Fedspeak – Barkin (1:10am)	**EURO ZONE** Ger. Industrial Production Sep prev 2.0% (6:00pm) Retail Sales Sep prev 0.1% (9:00pm) **JAPAN** BoJ's Ueda – Speech (Sat 7 Nov) **UNITED STATES** Fedspeak – Logan (11:00am) Fedspeak – Williams (8:30pm) Employment Report Oct (12:30am) Nonfarm Payrolls Chg exp 55k prev 29k Unemployment Rate exp 4.2% prev 4.2% Avg Hourly Earnings exp 0.3% prev 0.1% UoM Consumer Sentiment Nov (P) exp 47.5 prev 48.0 (2:00am) Consumer Credit Sep exp US$12.0bn prev US$8.3bn (7:00am)
9	**10**	**11**	**12**	**13**
AUSTRALIA RBA's Hunter – Speech (9:30am) **CHINA** CPI Oct y/y prev 0.9% (12:30pm) PPI Oct y/y prev 5.0% (12:30pm) **EURO ZONE** Sentix Investor Confidence Nov prev 2.7 (8:30pm) **UNITED STATES** Fedspeak – Goolsbee (2:00am) Wholesale Inventories Sep (F) prev 0.6% (2:00am) NY Fed 1-Yr Inflation Expectations Oct y/y prev 3.9% (3:00am)	**AUSTRALIA** Westpac–MI Consumer Sentiment Nov prev 80.4 (10:30am) NAB Business Survey Oct (11:30am) Conditions prev –1 Confidence prev –13 **CHINA** Exports Oct y/y prev 36.3% Imports Oct y/y prev 31.0% Trade Balance Oct prev US$133.5bn **JAPAN** Household Spending Sep y/y prev –3.1% (10:30am) Current Account Sep prev ¥4062.0bn (10:50am) **UNITED STATES** NFIB Small Business Optimism Oct prev 97.9 (10:00pm) CPI Oct prev 0.6% (12:30am)	**AUSTRALIA** Dwelling Finance Approvals Q3 (11:30am) Total exp –10.0% prev –5.2% Owner-Occupier exp –6.0% prev –1.9% Investor exp –16.0% prev –10.2%	**AUSTRALIA** MI Inflation Expectations Nov y/y prev 5.3% (11:00am) RBA's Baker (MPB Member) – Speech (10:30am) **NEW ZEALAND** Retail Card Spending Oct prev –0.4% (8:45am) Net Migration Sep prev 1530.0 (8:45am) **UNITED KINGDOM** GDP Q3 (P) prev 0.5% (6:00pm) **UNITED STATES** Fedspeak – Hammack (1:30am) Existing Home Sales Oct prev 1.5% (2:00am) Fedspeak – Daly (5:10am)	**CHINA** Current Account Q3 (P) prev US$193.7bn **EURO ZONE** GDP Q3 (S) (9:00pm) Trade Balance Sep prev –€6.8bn (9:00pm) **NEW ZEALAND** BusinessNZ Mfg PMI Oct prev 56.5 (8:30am) **UNITED STATES** PPI Oct y/y prev 1.3% (12:30am) Fedspeak – Daly (4:00am) Fedspeak – Jefferson (11:00am)

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Economic Calendar

November 2026

MON	TUE	WED	THU	FRI
16	**17**	**18**	**19**	**20**
CHINA Activity Data Oct ytd y/y (1:00pm) Retail Sales prev 1.1% Industrial Production prev 5.3% Fixed Asset Investment prev –7.2% **EURO ZONE** Industrial Production Sep prev –0.5% (9:00pm) **JAPAN** GDP Q3 (P) prev 0.4% (10:50am) Industrial Production Sep (F) prev 2.2% (3:30pm) **UNITED KINGDOM** Rightmove House Prices Nov prev 1.0% (11:01am) **UNITED STATES** NY Fed Empire Manufacturing Nov prev 25.5 (12:30am)	**AUSTRALIA** RBA's Bullock – Panel (10:00am) RBA Minutes (11:30am) **EURO ZONE** EU ZEW Expectations Nov prev 18.5 (9:00pm) **UNITED KINGDOM** ILO Unemployment Rate Sep prev 4.7% (6:00pm) **UNITED STATES** Retail Sales Oct prev 0.8% (12:30am) Import Price Index Oct prev 1.1% (12:30am) Industrial Production Oct prev 0.7% (1:15am) Fedspeak – Hammack (1:30am) Business Inventories Sep prev 0.4% (2:00am) NAHB Housing Market Index Nov prev 29.0 (2:00am)	**AUSTRALIA** Westpac–MI Leading Index Oct ann'd prev –0.03% (10:30am) Wage Price Index Q3 (11:30am) q/q exp 1.0% prev 0.8% y/y exp 3.4% prev 3.2% **EURO ZONE** CPI Oct (F) (9:00pm) **NEW ZEALAND** PPI Q3 prev 1.6% (8:45am) **UNITED KINGDOM** CPI Oct y/y prev 3.5% (6:00pm) **UNITED STATES** Housing Starts Oct prev –5.2% (12:30am) Building Permits Oct (P) prev –0.4% (12:30am) Pending Home Sales Oct prev –7.3% (2:00am) FOMC Minutes (6:00am)	**AUSTRALIA** Labour Force Survey Oct (11:30am) Employment Change exp 40k prev –39.3k Unemployment Rate exp 4.7% prev 4.7% Participation Rate exp 66.8% prev 66.8% **JAPAN** Core Machinery Orders Sep prev 5.2% (10:50am) **NEW ZEALAND** RBNZ's Breman – Speech (5:00am) RBNZ's Conway – Speech (7:00am) Trade Balance Oct prev –NZ$2.0bn (8:45am) RBNZ's Conway – Speech (1:00pm) **UNITED STATES** Phily Fed Manufacturing Index Nov prev 20.9 (12:30am) Fedspeak – Hammack (12:50am) Leading Index Oct prev 0.0% (2:00am) Kansas City Fed Manufacturing Index Nov prev 11.0 (3:00am) Fedspeak – Goolsbee (4:30am)	**EURO ZONE** EC Consumer Confidence Nov (P) prev –17.9 (2:00am) **JAPAN** CPI Oct y/y prev 2.1% (10:30am) **UNITED KINGDOM** GfK Consumer Sentiment Nov prev –24 (11:01am) Retail Sales Oct prev –0.4% (6:00pm) **UNITED STATES** UoM Consumer Sentiment Nov (F) (2:00am)
23	**24**	**25**	**26**	**27**
EURO ZONE S&P Global PMIs Nov (P) (8:00pm) **NEW ZEALAND** Retail Sales Volumes Q3 prev –0.5% (8:45am) **UNITED KINGDOM** S&P Global PMIs Nov (P) (8:30pm) **UNITED STATES** Chicago Fed Nat Act Index Oct prev 0.07 (12:30am) S&P Global PMIs Nov (P) (1:45am)	**EURO ZONE** IFO Business Climate Survey Nov prev 90.2 (8:00pm) **JAPAN** S&P Global Manufacturing PMI Nov (P) (11:30am) S&P Global Services PMI Nov (P) (11:30am) **UNITED STATES** FHFA House Prices Sep prev 0.3% (1:00am) S&P CoreLogic CS House Prices Sep prev 0.27% (1:00am) Conf. Board Consumer Confidence Index Nov prev 91.7 (2:00am) Richmond Fed Manufacturing Index Nov prev –2 (2:00am)	**AUSTRALIA** CPI Oct (11:30am) Headline m/m prev 0.8% Headline y/y prev 4.3% Trimmed Mean m/m prev 0.3% Trimmed Mean y/y prev 3.6% Construction Work Done Q3 exp 1.0% prev –2.1% (11:30am) RBA's Jacobs – Speech (10:50am) **UNITED STATES** GDP Q3 (S) prev 3.4% (12:30am) Personal Income Oct prev 0.2% (12:30am) Personal Spending Oct prev 0.5% (12:30am) PCE Deflator Oct prev 0.5% (12:30am) Durable Goods Orders Oct (P) (12:30am) New Home Sales Oct prev –0.6% (2:00am) Federal Reserve's Beige Book (6:00am)	**AUSTRALIA** Private Capital Expenditure Q3 exp 2.0% prev –3.6% (11:30am) **EURO ZONE** M3 Money Supply Oct y/y prev 3.5% (8:00pm) **UNITED STATES** Building Permits Oct (F)	**CHINA** Industrial Profits Oct y/y prev 14.4% (12:30pm) **EURO ZONE** EC Economic Confidence Nov prev 96.9 (9:00pm) EC Consumer Confidence Nov (F) (9:00pm) **JAPAN** Tokyo CPI Nov y/y prev 2.8% (10:30am) **NEW ZEALAND** ANZ Consumer Confidence Nov prev 96.2 (8:00am) **UNITED STATES** Wholesale Inventories Oct (P) (12:30am)

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Economic Calendar

November 2026

MON	TUE	WED	THU	FRI
30				
AUSTRALIA MI Inflation Gauge Nov y/y (11:00am) Company Profits Q3 prev 1.8% (11:30am) Inventories Q3 prev –0.2% (11:30am) Private Sector Credit Oct prev 0.6% (11:30am) **CHINA** NBS PMIs Nov (12:30pm) Manufacturing Non–Manufacturing **JAPAN** Industrial Production Oct (P) (10:50am) **NEW ZEALAND** Filled Jobs Oct prev 0.3% (8:45am) ANZ Business Confidence Nov prev 52.5 (11:00am) **UNITED STATES** Chicago PMI Nov (1:45am) Dallas Fed Manufacturing Index Nov prev 13.4 (2:30am)				

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28 OCTOBER 2026

WESTPAC–DATAX CARD TRACKER

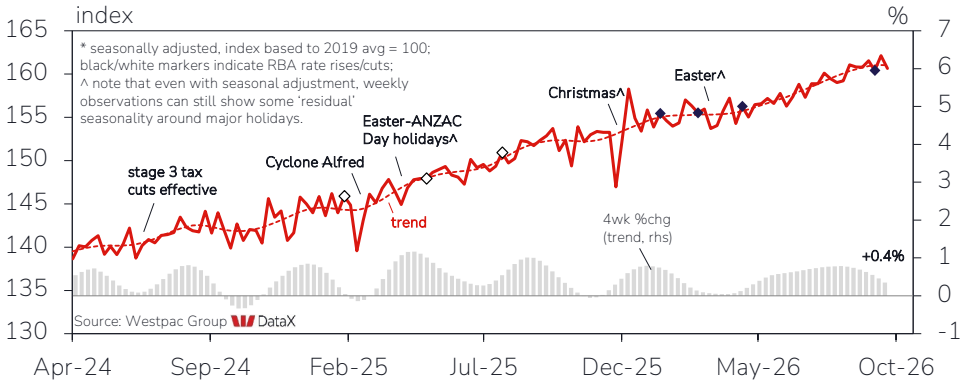
Powered by DataX

Card activity showing robust growth but with a mixed start to October

- The **Westpac–DataX Card Tracker Index*** has edged down slightly since late September, slipping 0.9pts to 160.6 in the week ended October 17. Despite this, growth in activity continues to track a robust pace with quarterly momentum running at close to 2%qtr and annual growth at 6%yr.
- Some of this reflects revisions. Initial figures on card activity can see changes in subsequent weeks due to information lags. While these are usually small, the cumulative impact can sometimes be material. In this case, revisions have lifted the index in late September by 2.5pts and the 4wk trend growth rate at the time from 0.2% to 0.6%. We will be back-testing regular revisions to assess whether there is a systematic bias that can be adjusted for in future.
- The revised profile shows quarterly growth accelerating steadily since June, posting a 1.9%qtr gain for the September quarter and tracking a 2.1%qtr pace in the latest week. This is back near the robust pace seen in late 2024 and early 2025.
- The monthly and weekly reads show a softer 0.2%mth rise in August was followed by a solid 0.8%mth gain in September that has largely carried into the first two weeks of October (the latest observation tracking a 0.4%mth pace).
- The detail shows gains are not just due to higher fuel prices with strong growth in discretionary services and international transactions over the last quarter and steady growth in essential services as well. To the extent that the weekly and monthly data is showing some renewed squeeze from higher fuel prices, this is showing through most clearly in discretionary goods, which have seen activity decline over the last six weeks, with discretionary services still posting positive, albeit slower growth. Quarterly growth in non-fuel card activity is tracking around 1.4%qtr.
- Official September quarter figures on inflation and household spending due in the coming weeks should confirm the spending momentum and shed more light on the extent to which it is due to prices or volumes.

"... quarterly momentum running at close to 2%qtr ..."

1. Westpac–DataX Card Tracker Index*



The **Westpac–DataX Card Tracker** presents indicators based on the millions of credit and debit card transactions processed by Westpac every day. The measures are a timely guide to shifts in spending. See p10 for a detailed explanation.

This report is produced by Westpac Economics.
Matthew Hassan, Head of Australian Macro-Forecasting
Email: economics@westpac.com.au
This issue was finalised on 28 October 2026.

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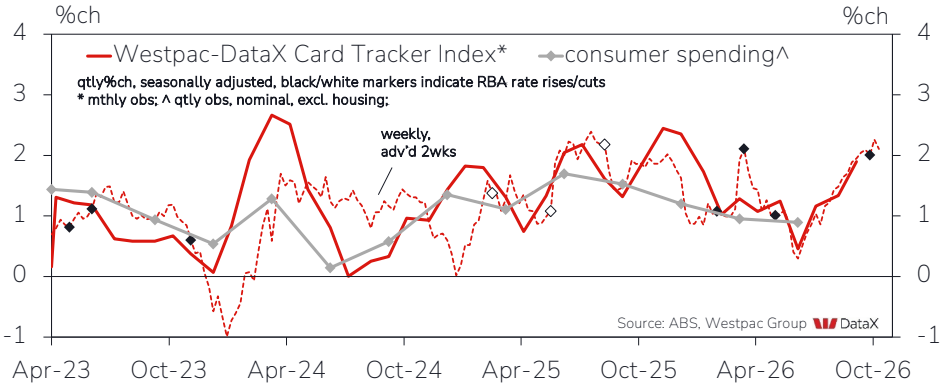
Quarterly momentum softening ex fuel, about flat since July

- Chart 2 shows how quarterly growth in the **Westpac–DataX Card Tracker Index** compares to growth in nominal consumption as reported in the national accounts. Growth has shown a clear acceleration since late June, lifting to 1.9%qtr in the September quarter and running at 2.1%qtr in the latest week. Weekly reads in early October have been the strongest since July 2025.
- Only some of this reflects a price-driven rise in fuel spend. The unwind of temporary fuel excise tax cuts in August and more recent surge in global energy prices has seen local pump prices push back above $2.40/litre locally, up from $1.56/litre in late June.
- Excluding fuel, quarterly growth in card activity has moderated, but only slightly, from 1.9%qtr in August to 1.8% in September with the latest week tracking a 1.4% quarterly pace. The impact is more pronounced in monthly terms with a –0.4%mth decline in August, muted +0.2% gain in September and subdued +0.1% monthly pace in the latest week (c.f. total: –0.4%; +0.2% and +0.1%).
- The 1.9%qtr rise in nominal terms and an expected price rise of 1.1%qtr point to a real, inflation-adjusted gain of 0.8%qtr, in line with Westpac's forecasts. ABS Q3 CPI figures are due shortly after we go to press with the Q3 household spending indicator due Nov 4 and GDP due Dec 2.

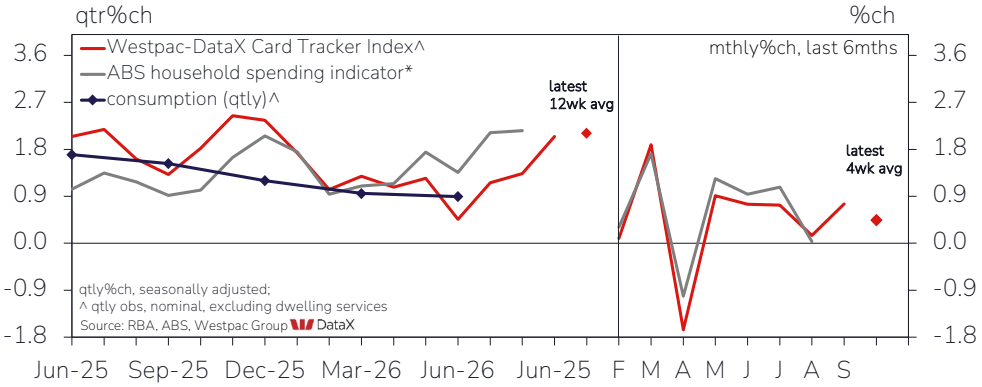
qtly%ch	Q1	Q2	Q3	latest^
Westpac–DataX Card Tracker	**1.3**	**0.5**	**1.9**	**2.1**
ABS monthly household spending indicator*				
Nominal	1.1	1.4	n.a.	2.2
Real*	0.8	0.7	n.a.	n.a.
ABS consumer spending (qtly)#				
Nominal	1.0	0.9	n.a.	n.a.
Real	0.4	0.4	n.a.	n.a.

All series seasonally adjusted. Latest is either the latest weekly obs (12wks %ch on previous 12wks) or latest monthly obs (3mths %ch on previous 3mths). See p10 for more details.
* ABS monthly household spending indicator based on domestic card transaction and new vehicle sales data. Real estimates are quarterly.
# Consumer spending excludes housing costs.
Sources: ABS, Westpac Group

2. Card activity and spending: growth momentum



3. Consumer spending: selected indicators



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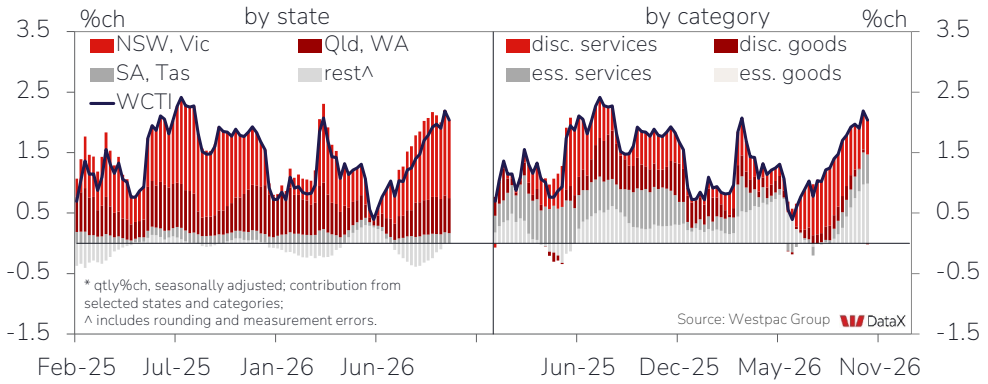
Services still relatively strong; discretionary goods flat-lining

- Chart 4 shows quarterly growth in card activity broken down by contributions from major state and category groups.
- The contribution from essential goods captures the effect of fuel price swings. Outside of this, discretionary services have been the main driver of growth with solid support coming from essential services. Discretionary goods activity has essentially stalled flat. In quarterly growth terms, essential goods is now leading, running at 3.6%qtr (+0.9%qtr ex fuel), with essential services tracking at 2.5%qtr, discretionary services running at 2.0%qtr and discretionary goods much weaker at –0.1%qtr (down materially in per capita terms).
- By state, the large south eastern states of NSW and Vic account for nearly two thirds of the growth.
- As noted, the latest update includes significant revisions. Data lags and cleaning often result in shifts to historical estimates. These are typically small but can be have a material cumulative effect. Chart 5 shows the impact of the latest revision: for the last week of September, it lifts the WCTI 2.5pts and the 4wk trend growth rate from 0.2% to 0.6%, removing what looked to be a slowing in momentum at the time. We will be investigating this issue more closely in coming weeks to see whether there is a systematic bias that can be adjusted for in the future.

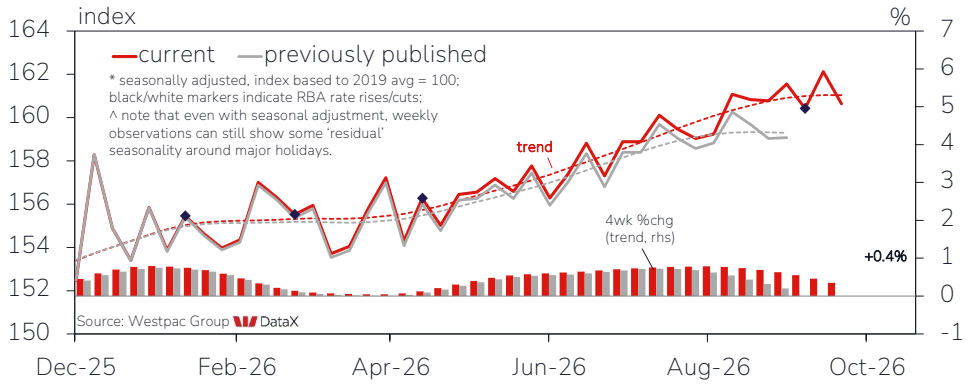
	Jul	Aug	Sep	17/10
Westpac–DataX Card Tracker	**158.3**	**158.6**	**159.8**	**160.6**
By category				
– discretionary*	160.6	159.9	160.6	160.7
– essential*	153.0	153.9	155.7	158.0
By state				
– NSW	151.4	151.4	153.8	154.6
– Vic	149.1	150.0	150.7	154.9
– Qld	173.5	173.8	174.8	178.7
– WA	175.8	177.1	179.5	181.7
– SA	165.3	166.7	168.5	168.6

All indexes based on the value of spending–related transactions, seasonally adjusted, 2019 avg=100, see p10 for more details including classifications.
* indexes revised due to re-classification.
Sources: ABS, Westpac Group

4. Card activity: contributions by state and category



5. Westpac–DataX Card Tracker Index: revision



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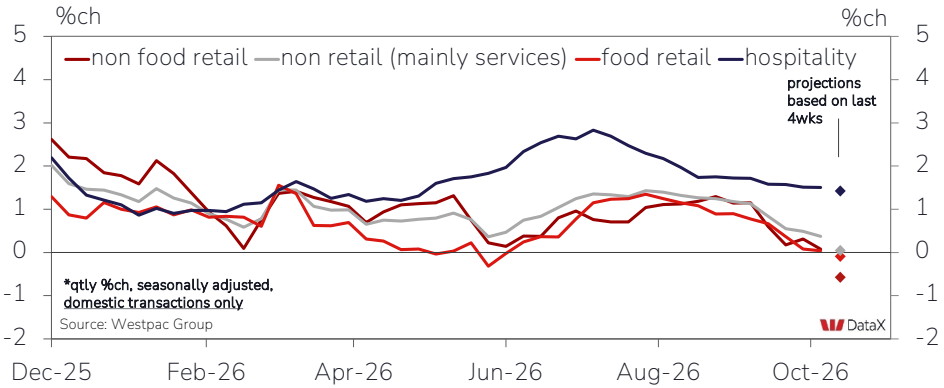
Retail more exposed to softer consumer segments

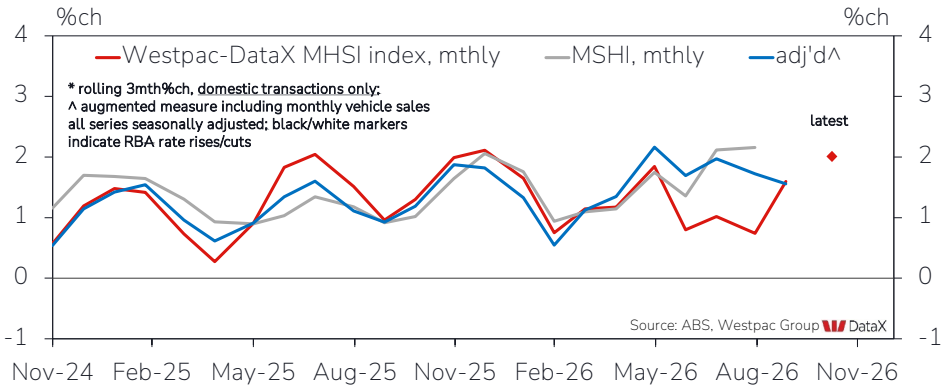
- Our MHSI and retail card indexes are composite measures based on transactions in categories that are in scope for the ABS monthly household spending indicator (MHSI) and retail sales estimates (which have been based on the MHSI detail since the ABS retail survey was discontinued in June 2025).
- After under-performing the broader WCTI in Q2, the MHSI index has moved more in line in Q3, posting growth of 1.6%qtr with the latest week running at 2%qtr. The retail card index has been more subdued, up 1.1%qtr in Q3, growth running at just 0.4%qtr in the latest week.
- The ABS MHSI has been firmer than our index since June, mainly reflecting strong gains in vehicle sales which are not incorporated into our index. Vehicle sales appear to have been relatively flat in recent months, our estimates suggesting the official measure, due Nov 4, should show quarterly growth more in line with our indicator (Chart 7).
- The more granular detail on the retail card index shows non-food retail contracting materially over the last four weeks, consistent with the weakness being observed across discretionary goods categories.

	Jul	Aug	Sep	17/10
MHSI card index	**155.3**	**155.3**	**157.0**	**158.6**
– qtly%ch	1.0	0.7	1.6	2.0
– qtly, ann%ch	5.2	5.4	5.8	5.7
ABS MHSI				
– %ch	1.1	0.0	n.a.	n.a.
– qtly%ch	2.1	2.2	n.a.	n.a.
– qtly ann%ch	6.2	7.0	n.a.	n.a.
Retail card index	**155.7**	**155.1**	**155.4**	**155.1**
– qtly%ch	1.8	1.3	1.1	0.4
– qtly, ann%ch	5.6	5.3	5.0	4.2
ABS retail sales				
– %ch	1.0	-0.2	n.a.	n.a.
– qtly%ch	1.8	1.5	n.a.	n.a.
– qtly ann%ch	5.5	5.6	n.a.	n.a.

6. Card activity: retail segments and non-retail



7. Card activity: ABS MHSI index vs WCTI measures



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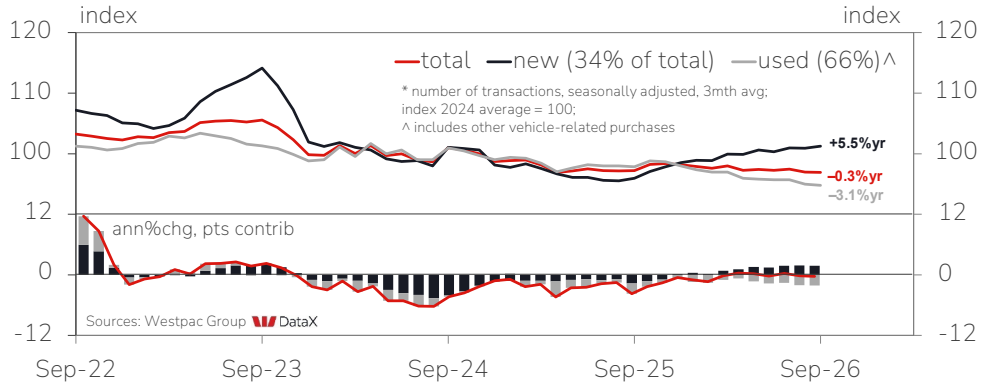
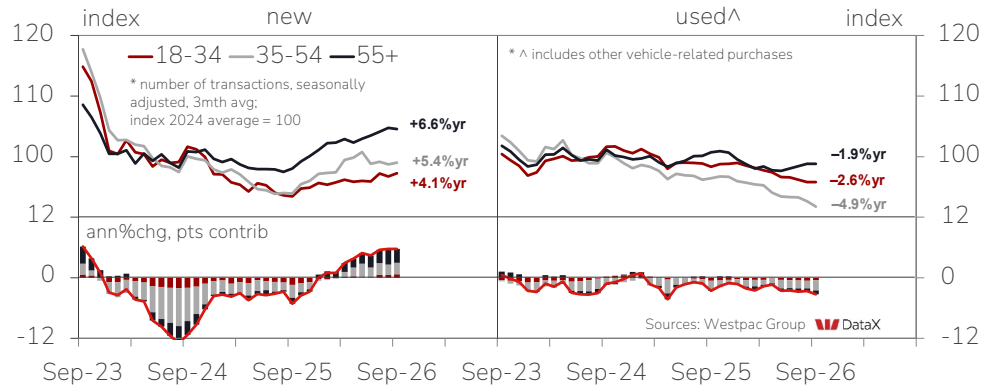
Vehicle-related card activity highlights diverging trends

- The **Westpac Card Tracker** draws on a rich dataset that sheds light on many aspects of consumer demand. In some cases, it can also reveal some nuances about the way spend is captured – in official statistics, industry measures and the card data itself. Vehicles provide a particularly good example of this.
- Vehicle spend has long been a bellwether for the wider consumer cycle. As a large discretionary expenditure, it is more sensitive to interest rate changes, 'wealth effects' and sentiment shifts, particularly around job security. Given this, ABS measures and industry figures on vehicle sales have delivered material upside surprises over the last year. Vehicle purchases recorded a remarkable 10.3%qtr surge in the June quarter to be up 7.3%yr with industry figures showing vehicle sales holding around these levels in the September quarter. Even allowing 'extenuating circumstances' driving strong demand for EVs, the results seem to fly in the face of wider interest rate, cost-of-living and sentiment narratives.
- The card tracker data allows for a deeper dive. Note that credit and debit cards are not often used to purchase vehicles with account transfers or financing typically used for the main purchase instead.
- However, cards are used for up-front payments. This shows through in payment sizes, which are in the hundreds of dollars (average $750) not the tens of thousands. As such, card activity should still give some guide, particularly around sales volumes.
- Chart 8 shows how transactions have tracked and highlight another important point. Most of the data in this space focuses on new vehicles (for the ABS this is because used sales are a transfer between households that 'cancels out' for the sector as a whole). However, industry estimates show used sales are both more common and have been tracking a weaker profile – the card data suggests used sales are down at least 3%yr (finer estimates putting the figure closer to 8%yr).
- Age-groups offer another insightful lens. Activity has been much firmer across older age groups, particularly in the 'new vehicle' segment where they are more prominent (accounting for 42% of all activity) and activity is up on a year ago. This group has notably stronger balance sheets and is low exposure to interest rate rises. In contrast, vehicle spend has been contracting materially across other age-groups, particularly used car spend by the 'mortgage belt' 35-54 year olds.

8. Card activity: vehicles



9. Card activity: new, used vehicles by age group



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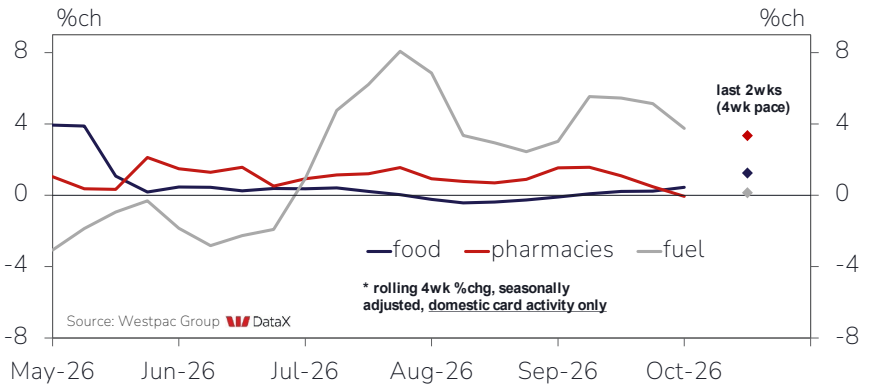
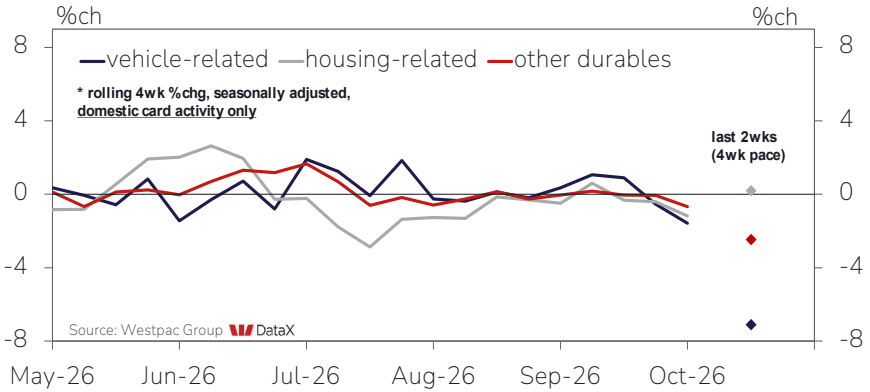
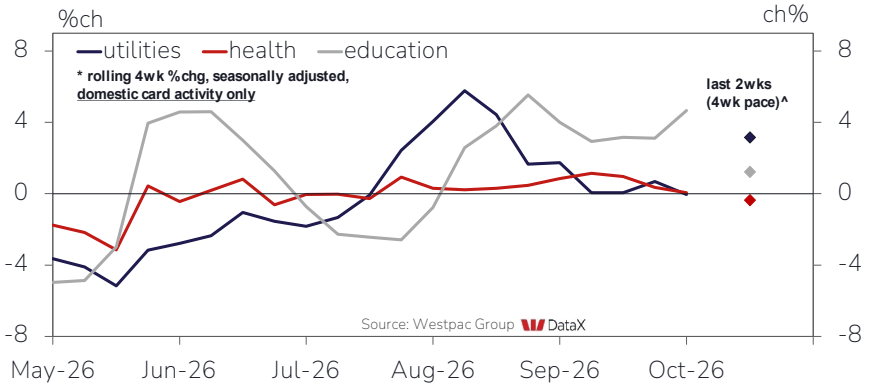
10. Card activity: essential goods



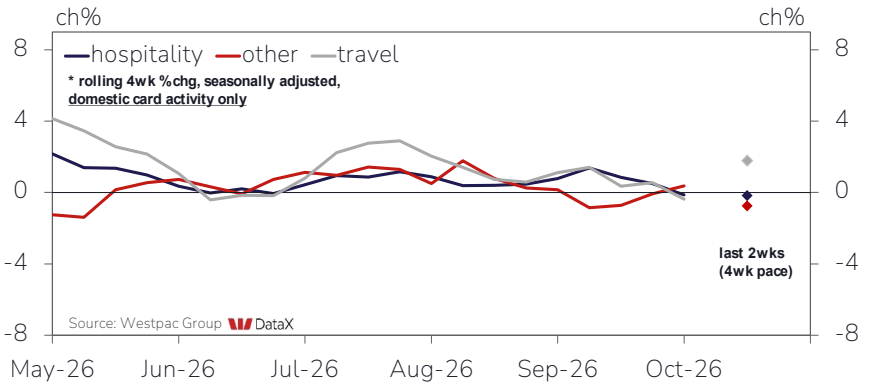
11. Card activity: discretionary goods



12. Card activity: essential services



13. Card activity: discretionary services



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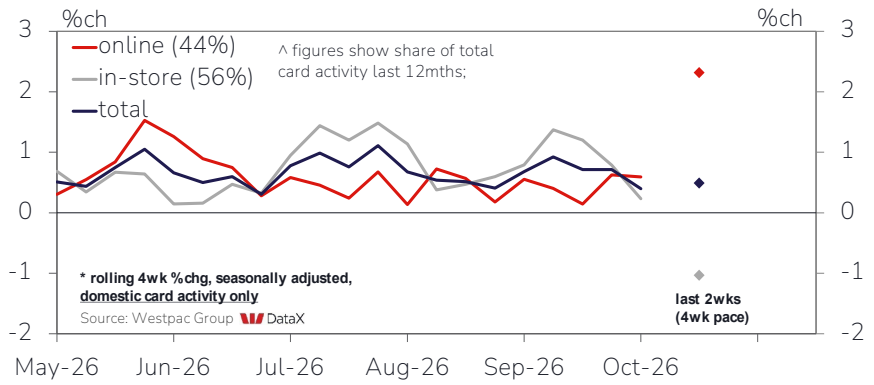
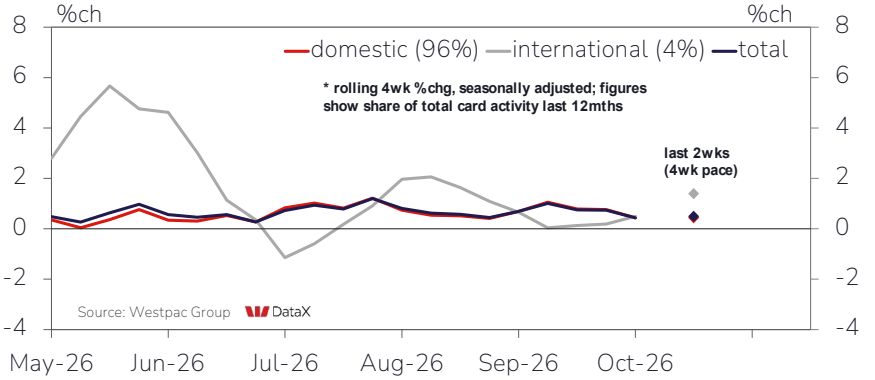
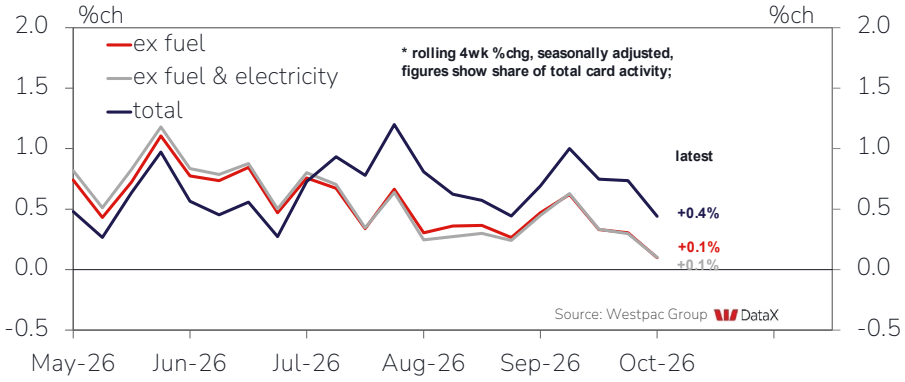
14. Card activity: online and in-store



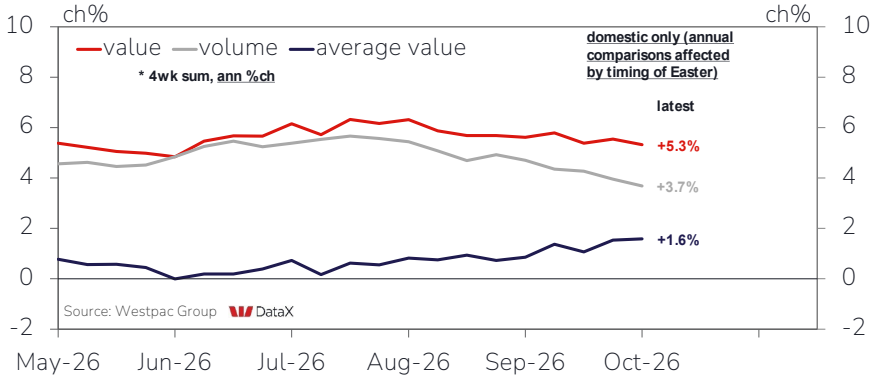
15. Card activity: food and non-food



16. Card activity: total, ex fuel and electricity



17. Card activity: value and volume



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WESTPAC CARD INDICATORS*

	2024		2025			2026					week ending:				
	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Jul	Aug	Sep	26/9	3/10	10/10	17/10
Westpac–DataX Card Tracker Index	**143.0**	**144.8**	**147.8**	**149.7**	**153.3**	**155.2**	**155.9**	**158.9**	**158.3**	**158.6**	**159.8**	**161.6**	**160.4**	**162.1**	**160.6**
qtly%ch	1.4	1.3	2.0	1.3	2.4	1.3	0.5	1.9	1.2	1.3	1.9	2.1	2.0	2.3	2.1
qtly, ann%ch	5.3	3.9	5.2	6.2	7.2	7.2	5.5	6.1	5.9	6.2	6.1	6.1	6.0	6.0	6.0
By category															
– discretionary	145.7	146.1	149.3	151.3	155.2	155.9	157.2	160.4	160.6	159.9	160.6	162.3	161.7	163.4	160.7
– essential	138.4	141.4	144.0	145.9	148.2	151.4	151.9	154.2	153.0	153.9	155.7	158.6	156.7	158.4	158.0
services	150.5	152.8	156.6	159.6	163.3	164.9	165.5	169.5	169.4	169.4	169.8	172.9	170.9	173.3	172.2
– discretionary services	154.5	155.1	158.8	160.3	164.8	165.6	167.1	171.8	171.9	171.2	172.3	174.7	173.4	175.9	174.3
– essential services	144.8	149.4	153.5	158.5	161.0	164.0	163.2	166.2	165.8	166.7	166.2	170.3	167.2	169.5	169.1
goods	135.3	136.5	138.5	139.7	142.4	144.4	145.6	147.4	146.6	146.8	148.7	150.3	149.8	151.0	149.0
– discretionary goods	136.3	136.5	139.1	141.8	144.9	145.5	146.6	148.2	148.7	147.9	148.1	148.9	149.0	149.9	146.0
– essential goods	134.4	136.4	138.1	137.9	140.2	143.5	144.8	146.7	144.9	145.9	149.2	151.5	150.5	152.0	151.6
MHSI card index*	142.3	143.3	145.9	147.3	150.5	152.2	153.4	155.8	155.3	155.3	157.0	159.5	158.7	160.1	158.6
qtly%ch	1.2	0.7	1.8	1.0	2.1	1.1	0.8	1.6	1.0	0.7	1.6	1.9	1.8	2.1	2.0
qtly, ann%ch	4.6	2.6	4.1	4.8	5.7	6.2	5.1	5.8	5.2	5.4	5.8	5.7	5.7	5.7	5.7
retail card index*	142.8	143.3	146.0	148.0	151.2	152.0	153.8	155.4	155.7	155.1	155.4	156.4	156.6	157.4	155.1
qtly%ch	1.2	0.4	1.9	1.4	2.2	0.5	1.2	1.1	1.8	1.3	1.1	0.8	0.6	0.5	0.4
qtly, ann%ch	4.2	1.8	4.3	4.9	5.9	6.0	5.3	5.0	5.6	5.3	5.0	4.9	4.7	4.5	4.2
By state															
– NSW	138.3	139.8	142.5	144.2	148.0	148.7	149.2	152.2	151.4	151.4	153.8	156.6	155.8	157.9	154.6
– Vic	136.7	138.6	140.4	142.4	144.9	146.1	147.1	149.9	149.1	150.0	150.7	154.1	153.7	154.9	154.9
– Qld	152.5	155.5	159.2	161.8	167.1	169.8	169.6	174.1	173.5	173.8	174.8	178.1	176.9	178.2	178.7
– WA	153.6	156.7	159.5	163.0	167.7	170.8	171.7	177.5	175.8	177.1	179.5	182.1	181.6	182.7	181.7
– SA	150.1	152.2	154.6	157.0	160.4	162.2	163.0	166.8	165.3	166.7	168.5	168.9	168.6	169.1	168.6

All indexes based on the value of spending–related transactions, seasonally adjusted by Westpac, 2019 avg=100. See p10 for more details.
* composite based on transactions in categories in scope for ABS monthly spending indicator and ABS retail sales surveys respectively.

Sources: ABS, Westpac Group

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About the Westpac card data indicators

The indicators presented in this report are based on the millions of credit and debit card transactions processed every day. Transactions covering over ten million merchants are classified into over 700 categories. These are in turn grouped into higher level aggregates that provide a timely guide to wider economic trends.

The main focus of these indicators is consumer spending. Where possible, we have sought to exclude 'non spending' transactions such as: money transfers; tax payments; loan repayments; charitable donations; and superannuation contributions.

It should also be noted that these indicators will also be affected by shifts between card and non-card transactions. This was a significant factor during the COVID–19 pandemic – health concerns about the use of physical cash leading to significantly higher use of cards vs cash, particularly where contact–less transactions are available. Transaction flows also include reversals/refunds which were also a significant phenomenon during the onset of COVID, especially in areas such as travel.

All transaction data is compiled at a highly aggregated level so that individual customer or merchant data is never revealed.

Index construction

The key metrics used in this report are indexes of spending–related card activity where the base of 100 is average activity in 2019. As an example, if transaction flows are 5% above their average level in 2019, the index read for the period is 105. If flows in a subsequent period are 8% above the average level in 2019, the index read for this period is 108. Growth between the two periods can be calculated simply as the change between the two index reads, i.e. 2.9%.

All measures are adjusted for regular seasonality. Weekly estimates are generated using the US Bureau of Labor's MoveReg weekly seasonal adjustment program. Note that in some cases, high levels of volatility during the COVID period mean it is not possible to produce seasonally adjusted estimates for some historical periods.

Also, note that previous versions of this report used different approaches to seasonal adjustment and measurement more generally. This means Index reads are sometimes not directly comparable. See the 'About the Westpac card data indicators' sections from earlier reports to more detail.

Classifications

Note that the measures used for card data and in this report do not align completely with the those used in official ABS statistics, including the ABS household spending indicator, ABS retail trade survey and ABS estimate of consumer spending published in the national accounts. There are a range of differences including around both coverage and classification. As such, the card data should be treated as broadly indicative.

The transaction data is grouped into 26 categories that are then combined into four main as follows:

Discretionary goods: alcoholic beverages, tobacco, clothing & footwear, furnishings & household equipment, household appliances, vehicle–related, recreational & cultural goods, newspaper, books & stationery, and other personal effects.

Discretionary services: transport services (part), recreational & cultural services, gambling, catering services, accommodation services, other personal care, insurance & financial services, other services.

Essential goods: food & non alcoholic beverages, medical products, appliances & equipment, and operation of personal transport equipment.

Essential services: electricity, gas & other fuels, health services, transport services (part), communications and education.

The report also uses two additional classifications:

MHSI/Retail: based on the extent to which categories cover activity that is in scope for the ABS monthly household spending indicator and ABS retail trade survey.

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Week beginning 26 October 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: Open mouth operations.

The Week That Was: Managing Expectations.

Focus on New Zealand: RBNZ now expected to hike in October.

For the week ahead:

Australia: CPI, RBA senate appearance, private sector credit, PPI, export and import price index.

New Zealand: RBNZ policy decision, employment indicators, business confidence, consumer confidence.

China: NBS manufacturing and Non-manufacturing PMIs, industrial profits.

Japan: BoJ policy decision, Tokyo CPI, jobless rate, industrial production.

Euro Area: ECB policy decision, Q3 GDP, unemployment rate, economic confidence.

Canada: BoC policy decision.

United States: FOMC policy decision, Q3 GDP, PCE deflator, personal income and spending.

Information contained in this report current as at 23 October 2026.

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Open mouth operations

Luci Ellis
Chief Economist, Westpac Group

- **Central banks' communication is carefully scrutinised for every nuance. Lately, there seems to have been more RBA communication to pore over. The method of delivery has also evolved. This has sometimes caused confusion when tone seems to vary. Different audiences call for different tone and varying complexity.**
- **The content has evolved, too. RBA officials are increasingly using speeches directed to professional audiences to discuss more technical estimates of inferred variables such as neutral rates and financial conditions. They are also highlighting that monetary policy combats inflation in more ways than just squeezing mortgage holders.**
- **One thing has not changed: the RBA is not in the business of providing 'forward guidance' promises about the future path of interest rates. It does, however, give more running commentary about how it is interpreting recent data. These interpretations are themselves useful signals about what the RBA thinks it might do.**

Market participants pore over every utterance by central banks for clues to future rate moves. They will have plenty to pore over in the run-up to the November RBA decision. After the flurry of fireside chats this week, '60 Minutes' will run a pre-recorded interview with chief economist Sarah Hunter on Sunday. Next Wednesday, the whole senior policy team will appear before Senate Estimates, just as the quarterly CPI is released. (This timing will have been the Senate's choice, not the RBA's.) After the decision will come the *Statement on Monetary Policy*, a media release and press conference. More speeches will follow, including one by the Deputy Governor on the Thursday.

RBA communication does seem to have changed, not just following the RBA Review but also more recently. There may be fewer policy meetings each year, but the communication outside that certainly feels more frequent than a couple of years ago. Back in 2024, speaking engagements felt a little sparse outside the post-meeting media conference and parliamentary appearances. We have counted 58 public engagements so far this year on the Speeches page on the RBA's website. This compares with 58 for the whole of last year and 52 in 2024. Excluding the 'compulsory' press conferences and parliamentary appearances, fewer than half of the 2024 events were related to economics, markets and monetary policy.

The 'how' has changed

The way the RBA communicates with markets has changed as well. There are fewer set-piece speeches on policy and a lot more semi-scripted 'fireside chats'. Compared with a few years ago, there are more interviews across a wide range of media. This is a big change from the pre-Review world. It was a huge deal when the previous Governor appeared on the *7:30 Report*; it is hard to imagine him agreeing to an Assistant Governor appearing on *60 Minutes*.

Part of the change reflects increased efforts to reach a general audience. Central banks want to explain why they do what they do. This matters especially when interest rates are rising but the household sector is not the source of the inflation.

Speaking differently to different audiences can sometimes confuse markets. As the RBA's Chief Communication Officer highlighted in a recent panel discussion, the post-meeting media conference is designed to speak to the public. Market participants and economists certainly tune in, but we are not the primary audience. So, if you think that what the Governor said in the media conference sounded more 'dovish' than what another official says in a more market-oriented forum, it is partly because she is trying to convey that the RBA understands that its recent policy actions are making things harder for many Australians. But this is in much the same way that a doctor might say, "This might hurt a bit." It does, but that will not stop the treatment.

A related issue is that it is easier to control tone in pre-drafted material such as the minutes and set-piece speeches than in unstructured Q&A. Senior central bankers are trained to be careful with their words in unscripted settings. If the tone differs, the minutes are still more likely to say what the Board really means than an off-the-cuff answer.

> **"The RBA does not want to promise what it will do, but it is increasingly trying to tell us what it thinks. "**

Greater communication with the broader public might have reduced the pressure to make the set-piece speeches more accessible. Research on central bank communication often uses measures such as the Flesch–Kincaid Grade Level and Flesch Reading Ease score. A comprehensive analysis was beyond the scope of this note. However, a spot comparison suggests four speeches from 2026 (1, 2, 3, 4) were harder to read than four from 2021 (1, 2, 3, 4). The 2021 speeches scored in the 11 to 12 range, which is high-school-level

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complexity. The 2026 speeches scored between 12 and 15, which is academic or technically dense text requiring university-level education. (Including two of my own 2021 speeches is an obvious caveat, but the two speeches by then-Governor Phil Lowe also scored better on these metrics than the sample from this year. It should be noted, though, that readability metrics do not necessarily imply better clarity if the concepts discussed are more abstract.)

The 'what' has changed

As noted above, the content of RBA communication has evolved, too. As its intellectual framework has begun to put more weight on the balance of supply and demand, and those invisible 'star' variables (NAIRUs, neutral real rates, 'financial conditions', etc.), the communication to professional audiences has increasingly focused on those topics.

More recently, the RBA has also placed more emphasis on the full range of transmission channels from interest rates to inflation (though not, as we have noted previously, the labour supply channel). This is understandable in a world of supply shocks. People need to understand that monetary policy is not simply an exercise in hitting mortgage borrowers. We doubt they would be comforted, though, by the Deputy Governor's explanation this week that the 'cashflow channel' was the smallest of the transmission channels from interest rates to inflation, with the exchange rate much more prominent. That implies a lot of pain for a small group, for little effect on inflation. It raises the question of whether other policy tools or institutional arrangements might get the same effect on inflation through the other channels without hitting a minority of households disproportionately.

We have also seen a move away from using catchphrases to summarise the position. From 'narrow path' to 'not ruling anything in or out' to 'cautious and predictable', once entrenched, a phrase can outlast its usefulness.

One thing that has not changed is the way the minutes record the presentations to the Board and the members' discussion. The minutes rarely convey much new information beyond the post-meeting statements. Sometimes, though, the minutes reveal the Board's reaction to the staff's analysis. The August 2024 minutes were a good example: the discussion highlighted just how sensitive the forecasts were to key judgements by the staff.

The 'why' has not changed

Despite these changes, the underlying objectives of the RBA's communication have not changed. It wants to explain – and perhaps justify – its decisions. And it wants to describe how it interprets incoming data, especially inflation, the labour market and the balance of supply and demand.

The RBA, like any central bank, is not really in the business of providing 'forward guidance' about future moves. Circumstances change, so it can never guarantee a particular future path for interest rates. Some academic literature argues that promising to keep rates low for a long time (or high, for that matter) independently amplifies the transmission of monetary policy beyond the effect of current-period interest rates alone, by shifting the short end of the yield curve. Central banks including the RBA have certainly tried jawboning in this way from time to time. The prevailing view, though, is that the potential cost of reputational loss if things do not turn out as predicted outweighs the benefits of a slightly stronger transmission mechanism.

In this context, it is the interpretation of data that provides the signal about future policy directions. This is why it was noteworthy that the Governor still characterised the labour market as 'a little tight' after the September meeting, even though the Board's post-meeting communication did not. We have been noting for some time that the RBA staff have a downbeat view of supply capacity. Together with the RBA's oft-stated concerns about inflation, this is why the Deputy Governor's 'hawkishness' did not surprise us.

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Cliff Notes: managing expectations

Elliot Clarke, Head of International Economics
Ryan Wells, Economist
Illiana Jain, Economist

With little domestic data of significance, participants' attention focused on RBA Deputy Governor Hauser's fireside chat, which saw an abrupt shift in market expectations of a follow-up rate hike at the November meeting.

Hauser warned in his remarks that the current inflation outlook was "materially worse" than the RBA's August forecasts. Three upside inflation risks were characterised as having "crystallised" ahead of the September meeting – the Middle East, the AI boom, and domestic supply constraints. Hauser noted the Middle East picture "looks worse" given oil prices are "about a third higher than [the RBA] assumed in August". He then positioned AI and data centre developments among an "extraordinary sequence of positive demand shocks around the world", with "higher AI prices, tech prices feeding through into CPI". Finally, on domestic capacity pressures, the Deputy Governor noted that "inflation's been coming in at or a little bit above expectations, despite an apparent easing in the labour market". He went on to state that the staff are currently assessing "whether [the RBA] need to change [its] judgement on capacity pressures in the labour market again" – in other words, revise up their assumption for the NAIRU.

Hauser's comments prompted a material reassessment of market pricing for a follow-up November hike, from just a 20% chance at the end of last week to a 50/50 proposition today ahead of next week's Q3 CPI. For that release, we are forecasting a 1.3% (4.1%yr) lift in headline inflation and a 0.9 (3.5%yr) increase in trimmed mean inflation. Our preview provides more detail behind the component mix for Q3 as well as our upward revisions to the preliminary Q4 forecast. Provided inflation prints broadly in line with our expectations, the RBA is likely to hike by 25bp at the November meeting.

Across in New Zealand, consumer prices rose 0.7% in Q3 and annual inflation eased from 4.1%yr to 3.7%yr. Under the surface of this 'as expected' read though, several closely watched measures of core inflation took a step higher to now be at or slightly above the top of the RBNZ's target band. Our NZ economics team consequently expect the RBNZ will raise the OCR 25bps to 3.00% at its October policy review, while retaining a 4.00% terminal OCR forecast for September 2027.

Earlier in the week, China's economy surprised to the upside in Q3, GDP growth accelerating from 0.9%qtr to 1.2%qtr, lifting annual growth from 4.3%yr to 4.5%yr – keeping authorities on track to achieve their 4.5–5.0% full-year growth objective.

While annual retail sales growth improved in September, rising from 0.4%yr to 1.1%yr, the current pace of growth is only a quarter of the gain seen just a year ago and very weak versus history. Consumer spending continues to be constrained by weak confidence, particularly with respect to employment prospects and wealth. On housing wealth, five years into the property downturn, house prices continue to decline month-on-month and investment remains in a deep downturn, –20.6%ytd.

"With little domestic data of significance, participants' attention focused on RBA Deputy Governor Hauser's fireside chat. Offshore, China GDP was the key release. "

Total fixed asset investment has been detracting from annual GDP growth since April owing to a lull in high-tech investment, a lack of confidence in future demand amongst domestically oriented businesses as well as property's malaise. For aggregate growth to hold up through 2027 and 2028 as the contribution from net exports moderates, broad-based stimulus in scale will prove necessary. Expect recent targeted support measures to be broadened and given much greater scale in coming months.

Finally, in the UK, inflation accelerated from 3.1%yr to 3.5%yr in September, exceeding both market expectations and the Bank of England's July forecast. The surprise was largely driven by energy, fuel prices rising 5.4%mth. However, core inflation also edged up from 2.6%yr to 2.8%yr as services inflation increased from 3.4%yr to 3.7%yr. While not an immediate concern inflation, the labour market showing resilience, the ILO unemployment rate falling from 4.9% to 4.7% in August, suggests demand risks for inflation will need close monitoring as well as supply-side concerns.

Next week will see the focus once again return to the US as the FOMC meet and US Q3 GDP is released. For both events, the implications for risks to the outlook will be the focus. The week after, the US mid-term elections are due.

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RBNZ now expected to hike in October

Satish Ranchhod
Senior Economist

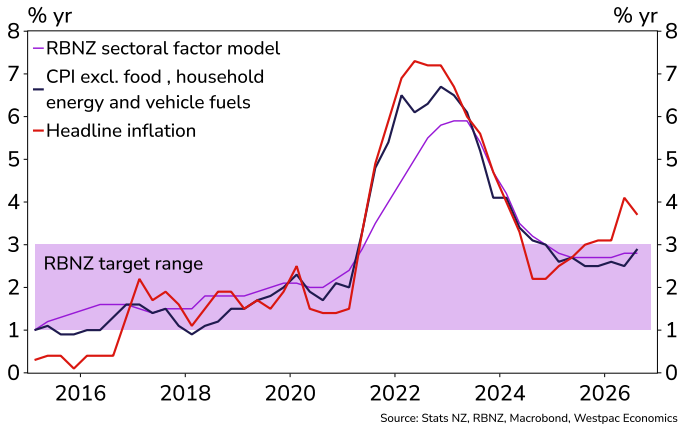
We now expect the RBNZ will deliver a 25bp hike at its policy review on 28 October. While September quarter inflation was slightly below the RBNZ's forecast, the underlying detail was firm. More recently, increases in fuel prices point to a material lift in inflation by year-end. We expect further interest rate increases over the coming months, with the OCR reaching a peak of 4% next year.

Softer headline inflation but firm core pressures leave RBNZ on course to hike in October

We now expect the RBNZ to raise the Official Cash Rate by 25bp at its October policy review (previously, we had expected a pause at this meeting). This change in view reflects significant upside risks to near-term inflation relative to the RBNZ's previous forecast.

While in line with our forecast, the September quarter inflation figures were slightly softer than the RBNZ expected, with prices rising 3.7% over the past year (compared with the RBNZ's forecast of 3.9%). However, the details were less reassuring. Excluding volatile items such as food and fuel, underlying inflation pressures remained firm. Closely watched measures of core inflation moved higher and now sit close to, or a little above, the top of the RBNZ's target band. We also saw an increase in the number of goods recording price rises, taking that measure back to levels seen in the wake of the pandemic.

New Zealand headline and core inflation



Source: Stats NZ, RBNZ, Macrobond, Westpac Economics

Alongside the existing firmness in underlying inflation, the risks for inflation over the coming quarters are firmly tilted to the upside. That near-term upside risk has also been noted by the Governor. Following a sharp rise in global fuel costs, we expect inflation to reach 4.3% by the end of this year (above the RBNZ's September MPS forecast for +3.9%). While that is mainly due to higher prices at the pump, businesses in sectors such as construction are also reporting related increases in transport and materials costs. Consistent with those trends, we expect core inflation to remain in the upper part of the RBNZ's target band through 2027.

Reinforcing the case for an OCR hike at the October meeting, the New Zealand dollar is notably weaker than the RBNZ assumed: on a trade-weighted basis, the NZD is currently 3.6% below the RBNZ's September projections. If sustained, that would add to inflation pressures over the next few quarters. We suspect this will not have shifted the RBNZ's medium-term outlook for inflation.

Several other developments need to be weighed against that firmer inflation outlook. First, wholesale long-term interest rates have risen markedly, and there has also been a more moderate rise in some mortgage rates. The RBNZ is likely to note the role of those increases in managing medium-term inflation risks.

In addition, the RBNZ is likely to continue to emphasise that there is little evidence of a lift in businesses' longer-term plans for price setting at this stage in response to the rise in energy prices (sometimes referred to as "second-round inflation effects"). We expect the RBNZ to highlight the risk that more persistent inflation pressures could emerge, depending on the duration of the oil price shock.

We also expect the RBNZ to note that the labour market remains cyclically weak and is not a significant driver of inflation. Employment growth that remains weak relative to labour force growth, subdued growth in job vacancies and low labour market turnover are consistent with this view and could be emphasised.

Finally, the RBNZ is likely to acknowledge that while the global growth outlook remains solid, there are significant downside risks from the Iran war and concerns about the sustainability of the AI investment cycle.

Balancing those concerns, we think the MPC will lift the cash rate next week. However, a vote seems very possible as differences in view will likely remain among the MPC about how much the medium-term inflation outlook has really shifted in recent weeks.

In September, the bulk of the MPC saw upside risks to the inflation outlook while two members (Conway and Hansen) thought the risks were balanced. Recent developments will not have made those seeing upside risks to inflation more

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comfortable, while the more dovish MPC members will likely focus on the ongoing downside risks for growth given continued softness in house prices and the mounting pressure on real incomes. Indeed, all MPC members saw some degree of downside risks to growth which likely remain relevant. All these messages should remain in the RBNZ's updated views.

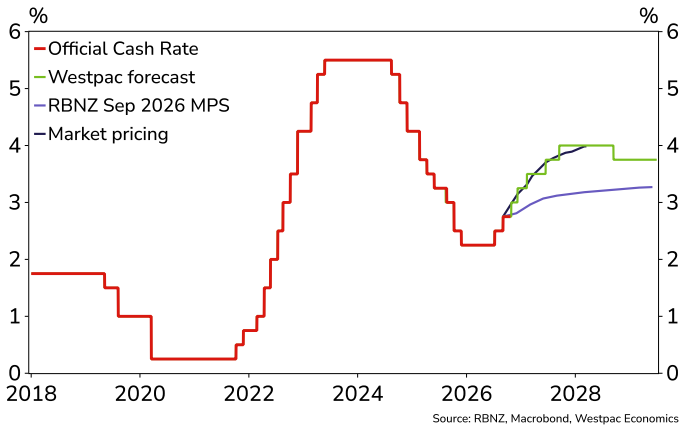
The MPC is likely to continue to present its decision as a gradual evolution of the approach taken since July: a higher OCR now provides insurance against the need for a much higher OCR later if upside risks to medium-term inflation materialise. We doubt the aim will be to push market interest rates materially higher.

RBNZ to leave door open for further hikes, OCR still expected to peak at 4% in 2027

In its forward guidance, the RBNZ is likely to leave open the option of raising the OCR further at the December Monetary Policy Statement, without presenting an increase as certain. While the RBNZ will not publish an updated OCR projection at this review, the press statement is likely to note that further increases may be needed, depending on economic conditions. The September projection showed the OCR eventually rising to 3.25%.

We expect the RBNZ will end up delivering another 25bp hike in December, followed by a further hike in February. That would take the OCR to 3.5%, roughly where the RBNZ estimates the neutral rate to be. At that point, we expect the RBNZ to slow the pace of rate increases (previously, we had expected that point to be reached a little later).

RBNZ Official Cash Rate



Source: RBNZ, Macrobond, Westpac Economics

We continue to expect further 25bp hikes at the June and September 2027 meetings, taking the OCR to a peak of 4.0%. While oil prices are generating significant swings in inflation, underlying pressures remain firm. More restrictive conditions are likely to be needed to bring core inflation sustainably back to 2%.

Scenarios

Our central scenario, with a probability of around 60%, is that the RBNZ increases the OCR by 25bp and signals that a further increase in December remains an option, without committing to a markedly tighter future stance than it outlined in September.

Alternative scenarios include:

- A hawkish scenario (around a 20% probability) would see the OCR increase to 3%, with the RBNZ placing greater emphasis on upside risks to core and medium-term inflation. That would suggest an upward revision to the RBNZ's projected OCR path in December. Downside risks to the exchange rate could also be emphasised.
- A dovish scenario (around a 20% probability) would see the RBNZ leave the OCR unchanged and signal that the medium-term inflation outlook has not changed meaningfully from its September forecast, despite higher near-term inflation. In this scenario, the RBNZ would reiterate its previous forecast: a 25bp increase in December and one further hike during 2027.

How might the election play into the decision?

While next week's meeting is close to the General Election on 7 November, the decision taken by the MPC will not be politically motivated. However, the election outcome is close. And should it result in a Labour Party-led coalition, it seems likely the new government would adopt the Labour Party's promise to restore the RBNZ's dual mandate. That would require the MPC to weigh the degree of labour market slack more highly in its deliberations. As the degree of labour market slack currently seems high, a new mandate might justify the MPC taking more time to return inflation to the middle of the target range (our earlier note discusses this issue). This could figure into the deliberations of some MPC members if the decision between leaving the OCR unchanged and raising it now is viewed as finely balanced.

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AUS: Q3/Sep CPI (%qtr/%mth)

Oct 28, Quarter, Last: 0.6%, Westpac f/c: 1.3%, Market f/c: 1.3%, Range: 0.6 to 1.4.

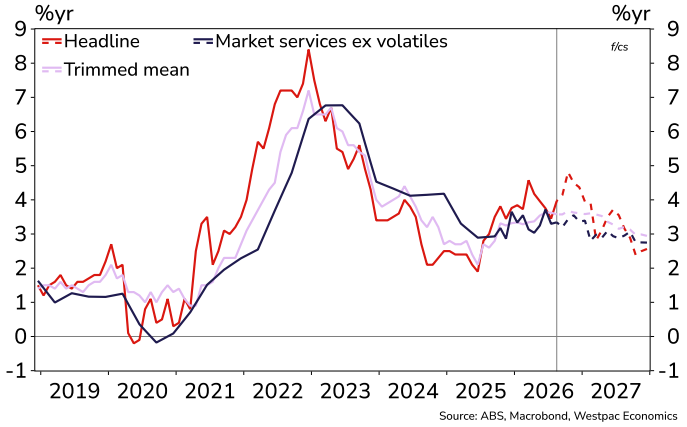
Oct 28, Month, Last: 0.4%, Westpac f/c: 0.6%, Market f/c: 0.6 Range: 0.3 to 0.8

As noted in the review of the August CPI, our September quarter CPI estimate is unchanged at 1.3%qtr holding the annual pace flat at 3.9%yr. At the margin there was a 0.04ppt increase due to a lift in auto fuel but it still rounds to 1.3%. The seasonally adjusted CPI gains 1.1% highlighting that part of the increase is due to usual seasonality.

In the month, the September CPI is expected to rise 0.6% with the annual pace lifting to 4.1%yr. Recreation & culture make the largest contribution but transport is not far behind. Our seasonally adjusted estimate increases 0.5%.

For more details please see "September CPI Preview".

Monthly inflation indicators



Source: ABS, Macrobond, Westpac Economics

AUS: Q3/Sep Trimmed Mean (%qtr/mth)

Oct 28, Quarter, Last: 0.8%, Westpac f/c: 0.9%, Market f/c: 1.0%, Range: 0.9 to 1.0.

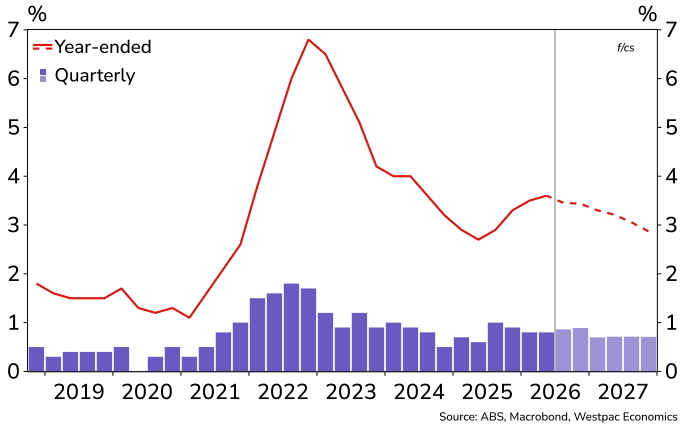
Oct 28, Month, Last: 0.2%, Westpac f/c: 0.3%, Market f/c: 0.3%, Range: 0.2 to 0.4

Our September quarter Trimmed Mean estimate is unchanged at 0.9%qtr with the annual pace dipping a touch from 3.6%yr to 3.5%yr. There was a small downward revision of 0.03ppt to 0.88% compared to our original published estimate but it still rounds to 0.9%qtr.

In the month of September we are looking for a 0.3% in the Trimmed Mean holding the annual pace steady at 3.6% which will be the fourth consecutive month at this pace. The distribution of the September Trimmed Mean ranges from –0.3% to 0.7%.

For more details please see "September CPI Preview".

Trimmed Mean Inflation



Source: ABS, Macrobond, Westpac Economics

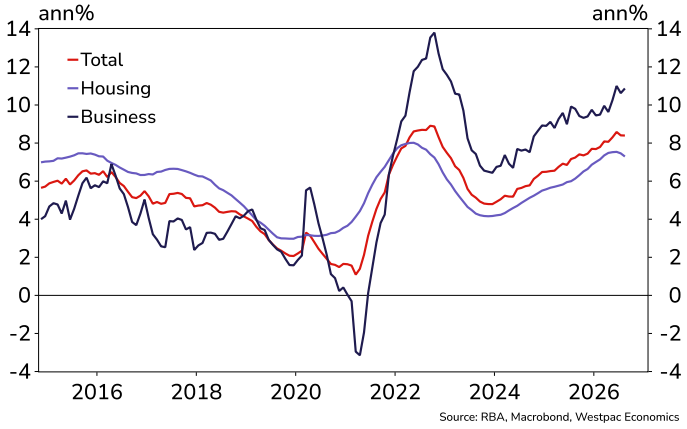
AUS: Sep Private Sector Credit (%mth)

Oct 30, Last: 0.6, Westpac f/c: 0.5
Market f/c: 0.5, Range: 0.4 to 0.6

Private sector credit growth came in slightly firmer than expected at 0.6%mth in August, above Westpac's and the market's forecast for a 0.5%mth gain, leaving credit growth running at 8.4%yr. Growth in housing credit continued to ease, as we expected, though the mix highlights that the waning in momentum is uneven, centred on investors rather than owner-occupiers. Business credit meanwhile remains a source of strength, notwithstanding some slowing recently.

For September, we expect credit growth to nudge to 0.5%mth, with the divergence between housing credit and business credit persisting.

Private sector credit growth



Source: RBA, Macrobond, Westpac Economics

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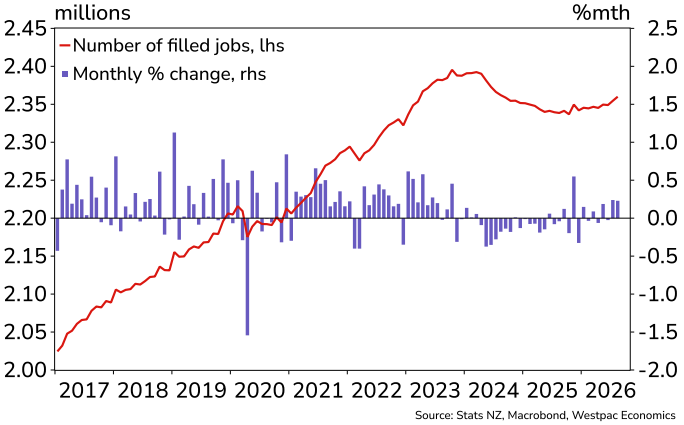
NZ: Sep Monthly Employment Indicator (%mth)

Oct 28, Last: 0.2, Westpac f/c: 0.3

The MEI has been gradually ticking higher in recent months, showing that the jobs market has held its ground through the Iran conflict and the consequent surge in fuel prices. The weekly snapshots provided by Stats NZ have been running ahead of year-ago levels and suggest another solid result for September – we've pencilled in a 0.3% increase. Given the history of this measure, however, both this month and the previous month are likely to be revised down a little from their initial release.

Monthly Employment Indicator



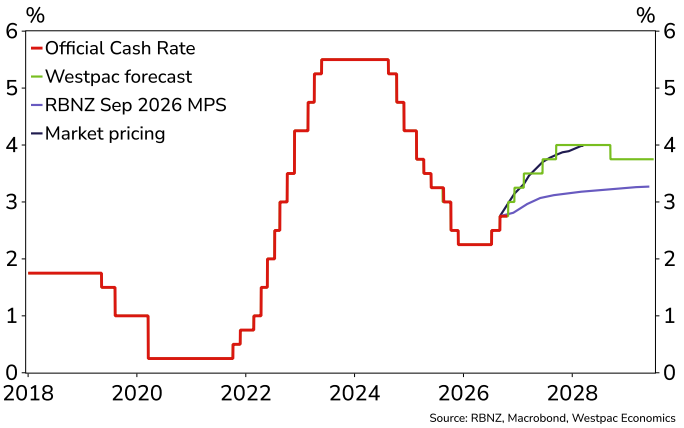
Source: Stats NZ, Macrobond, Westpac Economics

NZ: RBNZ Official Cash Rate Review (%)

Oct 28, Last: 2.75, Westpac f/c: 3.00, Mkt f/c: 3.00

We expect the RBNZ to raise the OCR by 25bps to 3% at the 28 October Review. Data since September show a higher outlook for year-end inflation and a stronger GDP starting point, but increased risks to domestic consumption and residential investment. On balance, the medium-term inflation picture will probably be judged to have worsened slightly given recent movements in energy prices and the exchange rate. A vote seems very possible as differences in view will likely remain among the MPC about how much the medium-term inflation outlook has really shifted in recent weeks. Forward guidance will likely leave open the option to raise the OCR further at the December Monetary Policy Statement without presenting it as a sure thing.

RBNZ Official Cash Rate



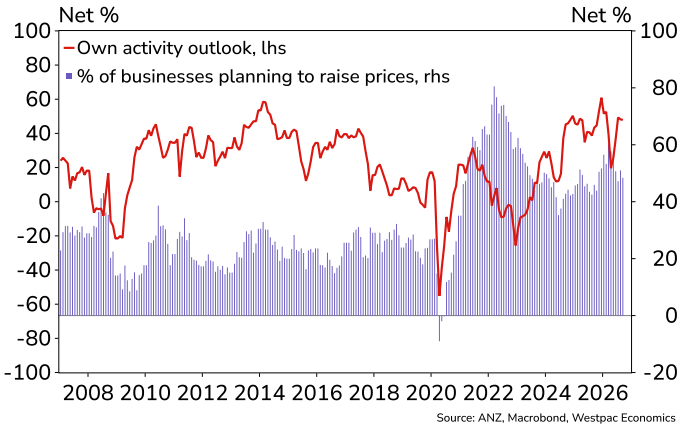
Source: RBNZ, Macrobond, Westpac Economics

NZ: Oct ANZ Business Confidence (index)

Oct 29, Last: 51.9

Firms remained optimistic in the September survey of business confidence, with both the activity and inflation measures broadly holding steady. However, it's likely that most responses were submitted in the early part of the month, while fuel prices took a sharp step higher from the second half of September. The survey comes too late for the RBNZ's October policy review, but evidence about the breadth of cost and price pressures could have a bearing on the RBNZ's thinking about the total amount of policy tightening needed in the months ahead.

ANZ Business Outlook survey



Source: ANZ, Macrobond, Westpac Economics

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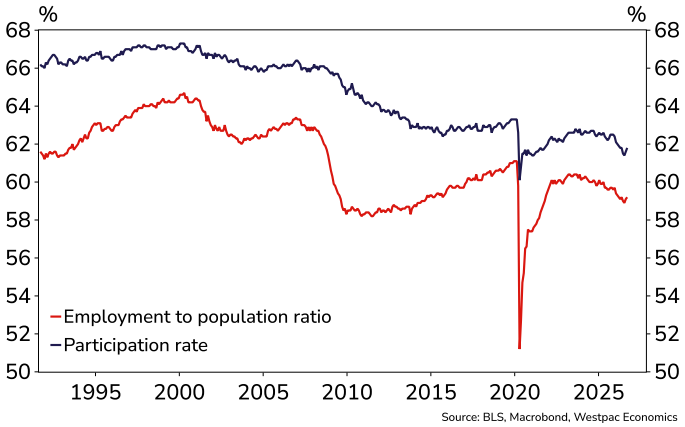
Oct FOMC meeting

Oct 27-28, Last: 3.875%, Mkt f/c: 3.875%, WBC f/c: 3.875%

Core CPI inflation and producer price inflation both surprised to the upside in September, and the price of Brent oil has risen back to around USD110. Underlying momentum in the economy also remains robust, although employment disappointed in the latest update. Given the concerns shown by Committee members over price risks and their collective resolve to return annual inflation to target, the above data could easily justify a follow-up hike at the October meeting.

That said, Committee members who have spoken recently have shown patience with respect to assessing the economy and positioing policy. The market has responded, effectively pricing out the chance of an October hike in favour of a December move, which is also our expectation.

Labour market is not a concern for inflation



Source: BLS, Macrobond, Westpac Economics

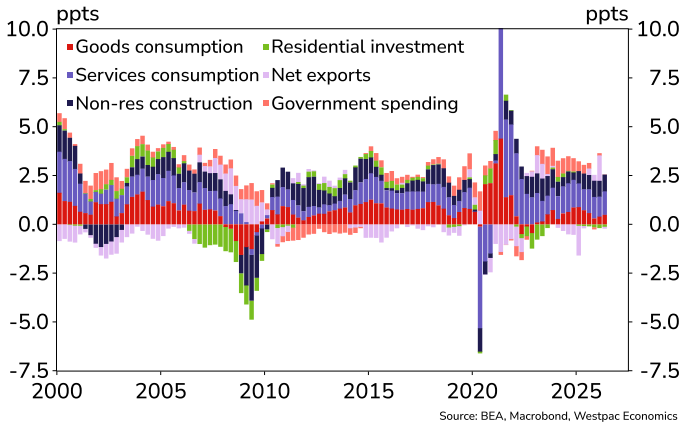
US Q3 GDP

Oct 29, %ann'd, Last: 2.2%, Mkt f/c: 3.0%, WBC f/c: 3.1%

The US economy continues to grow at a pace well above trend. This outperformance is almost entirely due to the strength of investment in data centres and other AI related assets. The pipeline for this activity remains strong, limiting near-term risks to the downside.

Abstracting from AI investment's contribution, other business investment and residential investment is weak, weighed down by high term interest rates and uncertainty related to trade policy. Household consumption growth is volatile month-to-month, but the trend is solid. Absent a marked deterioration in the labour market, which is not our expectation, this momentum is likely to persist, as wealth continues to grow and household income gains neutralises inflation. Come 2027 and 2028, growth is expected to slow to trend, but not below.

Growth supported by AI and consumer



Source: BEA, Macrobond, Westpac Economics

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What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Sun 25							
Aus		RBA Assist' Governor (Economic)	–	–	–	–	Hunter interviewed on 60 Minutes, 8:30pm AEDT.
Mon 26							
Aus		RBA Assist' Governor (Fin System)	–	–	–	–	Jones panel participation at AFR Summit, 8:40am AEDT.
Ger	Oct	IFO Business Climate Survey	index	89.9	90.0	–	Recovered from initial Iran war shock, but delicately poised.
US	Sep	Chicago Fed Activity	index	–0.04	–0.10	–	Suggests growth is around trend, but likely underestimating.
	Oct	Dallas Fed Manufacturing	index	9.8	–	–	Solid recovery, even in the face of higher fuel costs.
Tue 27							
Chn	Sep	Industrial Profits	%ann	4.2	–	–	Profit growth narrowly based; consumer-facing sluggish.
US	Sep	Durable Goods Orders	%mth	–0.1	1.4	–	Points to a solid underlying investment pulse.
	Aug	S&P/CS Home Price Index	%mth	0.32	0.30	–	Prices continue to edge higher despite record long-term rates.
	Oct	Richmond Fed Manufacturing	index	–2	–	–	Momentum fading over recent months.
	Sep	New Home Sales	%mth	6.4	–6.4	–	Affordability limits number of buyers and available homes ...
	Oct	Conf. Board Consumer Confidence	index	81.9	80.4	–	... which among other factors, is weighing heavily on confidence.
Wed 28							
Aus		RBA Senate Appearnce	–	–	–	–	RBA's top brass appear before Senate, 11:15am AEDT.
	Sep	Headline CPI	%mth	0.4	0.6	0.6	Uptick in headline inflation anticipated in September month ...
	Sep	Trimmed Mean CPI	%mth	0.2	0.3	0.3	... broad-based enough to see trimmed mean lift also.
	Q3	Headline CPI	%qtr	0.6	1.3	1.3	Chunky increase in Q3 headline inflation given fuel prices ...
	Q3	Trimmed Mean CPI	%qtr	0.8	1.0	0.9	... RBA will closely watch the quarterly trimmed mean.
NZ	Sep	Employment Indicator	%mth	0.2	–	0.3	August likely to be revised down from previous print.
		RBNZ Policy Decision	%	2.75	3.00	3.00	Near term inflation pressures have been mounting.
US	Sep	Wholesale Inventories	%mth	0.5	–	–	Business working hard to build inventory buffers.
	Oct	FOMC Policy Decision	%	3.875	3.875	3.875	Committee members have advocated for patience near-term.
Can	Oct	BoC Policy Decision	%	2.25	2.25	–	Markets split on whether to BoC will hold or hike.
Thur 29							
Aus	Q3	Export Price Index	%qtr	1.1	–	–	Mixed price action among Australia's key resource exports ...
	Q3	Import Price Index	%qtr	5.7	–	–	... while fuel prices remain a clear driver on the import side.
NZ	Oct	ANZ Business Confidence	index	51.9	–	–	Resilient in recent months, price pressures will be a key focus.
Eur	Oct	EC Economic Confidence	index	97.9	–	–	Sensitive to consumer sentiment, which remains sluggish.
	Oct	ECB Policy Decision (Deposit Rate)	%	2.50	2.50	2.50	Will remain on hold, but one final rate hike due by year-end.
US	Sep	Personal Income	%mth	0.2	0.3	–	Nominal incomes rising at a slower pace than inflation ...
	Sep	Personal Spending	%mth	0.9	0.6	–	... but consumer spending continues to charge ahead.
	Sep	PCE Deflator	%mth	0.3	0.5	–	Fed's preferred inflation gauge to remain elevated.
		Initial Jobless Claims	000s	194	–	–	Still at a low level versus history.
	Q3	GDP	%ann'd	2.2	3.0	3.1	Growth well above trend, thanks to data centres and AI.
Fri 30							
Aus	Q3	PPI	%qtr	1.3	–	–	Elevated fuel costs at the core of upstream price pressures.
	Sep	Private Sector Credit	%mth	0.6	0.5	0.5	Investor credit growth continues to slow.
NZ	Oct	ANZ Consumer Confidence	index	97.6	–	–	Continued increases in fuel costs likely to weigh on sentiment.
Jpn	Oct	Tokyo CPI	%ann	2.7	2.7	–	Elevated core inflation gives green light for another rate hike.
	Sep	Jobless Rate	%	2.5	2.5	–	Low, stable unemployment reflects a fairly tight labour market.
	Sep	Industrial Production	%mth	–2.4	1.3	–	Factory output starting lift, albeit off a weak base.
	Oct	BoJ Policy Decision	%	1.25	1.25	1.25	Expected to hold steady for now, hike in Dec looks likely.
Eur	Q3	GDP	%qtr	0.6	0.2	–	Should still eke out some growth amid significant headwinds ...
	Sep	Unemployment Rate	%	6.4	6.4	–	... low unemployment a positive sign of the region's health.
US	Q3	Employment Cost Index	%qtr	0.9	0.8	–	Wages growth expected to tick slightly lower in Q3.
Sat 31							
Chn	Oct	NBS Manufacturing PMI	index	50.1	50.1	–	Bumping around broadly neutral so far this year ...
	Oct	NBS Non–Manufacturing PMI	index	50.2	–	–	... policy stimulus should support services activity, in time.

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Economic & financial forecasts

Interest rate forecasts

Australia	Latest (23 Oct)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Cash	4.60	4.85	4.85	4.85	4.60	4.35	4.10	3.85	3.85	3.85
90 Day BBSW	4.82	4.95	4.95	4.80	4.55	4.30	4.10	3.95	3.95	3.95
3 Year Swap	4.85	4.90	4.85	4.75	4.65	4.55	4.45	4.35	4.30	4.25
3 Year Bond	4.83	4.90	4.85	4.75	4.65	4.55	4.45	4.35	4.30	4.25
10 Year Bond	5.16	5.20	5.15	5.10	5.05	5.05	5.00	5.00	5.00	5.00
10 Year Spread to US (bps)	20	15	15	15	15	10	0	–5	–10	–15
United States										
Fed Funds	3.875	4.125	4.125	4.125	4.125	4.125	3.875	3.625	3.625	3.625
US 10 Year Bond	4.97	5.05	5.00	4.95	4.90	4.95	5.00	5.05	5.10	5.15
New Zealand										
Cash	2.75	3.25	3.50	3.75	4.00	4.00	4.00	4.00	3.75	3.75
90 Day Bill	3.31	3.60	3.75	4.00	4.20	4.20	4.20	4.15	3.95	3.95
2 Year Swap	4.04	3.95	4.10	4.25	4.20	4.20	4.15	4.15	4.10	4.10
10 Year Bond	4.90	5.00	5.00	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US (bps)	–6	–5	0	5	15	10	5	0	–5	–10

Exchange rate forecasts

	Latest (23 Oct)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
AUD/USD	0.7014	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
NZD/USD	0.5693	0.56	0.58	0.61	0.63	0.64	0.64	0.64	0.65	0.65
USD/JPY	156.94	156	154	153	152	151	150	149	148	146
EUR/USD	1.1213	1.14	1.16	1.18	1.20	1.21	1.22	1.22	1.21	1.21
GBP/USD	1.3394	1.34	1.35	1.36	1.38	1.39	1.40	1.41	1.41	1.40
USD/CNY	6.6729	6.65	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
AUD/NZD	1.2312	1.27	1.24	1.20	1.16	1.15	1.13	1.12	1.12	1.11

Australian economic forecasts

	2026				2027				Calendar years			
% change	Q1	Q2	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.3	0.4	0.5	0.2	0.4	0.3	0.4	0.5	–	–	–	–
%yr end	2.5	2.1	2.2	1.5	1.6	1.5	1.4	1.6	2.6	1.5	1.6	2.4
Unemployment rate %	4.2	4.4	4.6	4.7	4.7	4.8	4.8	4.7	4.3	4.7	4.7	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	–	–	–	–
%yr end	3.2	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	0.6	1.3	1.3	0.4	0.5	1.0	0.5	–	–	–	–
%yr end	4.1	3.9	3.9	4.6	3.6	3.4	3.2	2.4	3.6	4.6	2.4	2.3
Trimmed Mean CPI %qtr	0.8	0.8	0.9	0.9	0.7	0.7	0.7	0.7	–	–	–	–
%yr end	3.5	3.6	3.5	3.5	3.3	3.3	3.1	2.9	3.3	3.5	2.9	2.4

New Zealand economic forecasts

	2026				2027				Calendar years			
% Change	Q1	Q2	Q3f	Q4f	Q1f	Q2f	Q3f	Q4f	2025	2026f	2027f	2028f
GDP %qtr	0.9	0.2	0.6	0.7	0.9	0.5	0.6	0.7	–	–	–	–
Annual avg change	0.9	1.7	2.1	2.4	2.4	2.5	2.6	2.6	0.3	2.4	2.6	3.0
Unemployment rate %	5.4	5.6	5.5	5.5	5.4	5.3	5.2	5.0	5.4	5.5	5.0	4.4
CPI %qtr	0.9	1.5	0.7	1.2	0.3	0.4	0.5	0.2	–	–	–	–
Annual change	3.1	4.1	3.7	4.3	3.7	2.5	2.3	1.4	3.1	4.3	1.4	1.9

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Week beginning 19 October 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: 'Cost-Plus' costs.

The Week That Was: Getting the balance right.

Focus on New Zealand: Downward revisions to 2027 outlook.

For the week ahead:

Australia: 2025-26 national accounts, RBA's Hauser and Kent speaking.

New Zealand: Q3 CPI, performance services index, trade balance.

China: Q3 GDP, retail sales, industrial production, fixed asset investment.

Japan: CPI, PMIs.

Euro Area: ZEW survey, consumer confidence, PMIs.

United Kingdom: CPI, unemployment rate, consumer sentiment, retail sales, PMIs.

United States: Housing market data, leading index, Kansas City Fed manufacturing, PMIs.

Information contained in this report current as at 16 October 2026.

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'Cost-Plus' costs

Luci Ellis
Chief Economist, Westpac Group

Forecast changes

- **A full update to our forecasts was published in our October Market Outlook on Thursday 15 October.**

- **The recent tendency of some firms to bundle into prices card-acceptance costs that had previously been surcharged – and then some, in some cases – demonstrates a 'cost-plus' approach to pricing. To the extent they can pass on these costs through to prices, it suggests that demand was strong enough to bear it. The RBA will take this as a signal that demand is still outstripping supply.**
- **This is mostly a story about non-labour costs. Base wages growth has been moderate for some years, though the above-average increase in award wages this year will add a little. Not all firms will seek to pass these cost increases on, but some will, including because they have limited scope to absorb the cost increase into margins.**
- **A cost-plus mentality has drawbacks, including that it limits the imagination away from finding alternative, efficiency-improving responses. It also accords with recent academic research suggesting that firms form expectations and set prices according to what is happening in their own industry and experience, while putting little weight on economy-wide inflation or central bank credibility. This is an unpleasant message for many consumers or anyone in an interest-sensitive sector when supply shocks abound.**

The recent banning of card surcharges has caused considerable upset this month, even though it is a reversion to historical and international practice. The card schemes used to impose "no-surcharge" rules, until the RBA banned these in 2003, and many other countries still have them. The turnaround represents the RBA throwing in the towel on its longstanding effort to use price incentives to get people to choose low-cost payment methods. Surcharges no longer made sense in a largely cashless economy. In any case, least-cost routing puts the power to choose lower-cost methods in the hands of the merchants who actually bear the cost.

In most cases, firms will simply roll the surcharge into the sticker price, leaving the total cost to the consumer unchanged, just more transparent. We also understand that some large retailers have absorbed the cost – if they were surcharging in the first place, which many did not. (The RBA estimated that around 16% of businesses imposed surcharges.) Inevitably, though, some firms have lifted their prices by more than any reasonable estimate of the merchant service fee that the surcharge was meant to cover. And because this is Australia, of course takeaway coffee has been the centre of consumer discontent.

Higher prices for one's caffeine fix was unlikely to be the main instigator of this month's slump in consumer sentiment. Petrol prices are typically more salient for cost-of-living concerns, and the before-and-after picture on the RBA announcement that week shows that higher interest rates also contributed to the decline.

In some senses, though, the post-surcharge prices and the RBA's decisions are linked: businesses passing on increased costs into their own prices – and expecting to be able to make that increase stick – is exactly the kind of inflationary environment the RBA is leaning against. Firms have been subjected to an array of non-labour cost escalations, from pandemic-era supply chain issues to electricity to fuel to water to building supplies. And IT equipment prices, which for decades were a reliable source of cost reductions, are nowadays flat to up. Passing these costs on, leaving margins intact, demonstrates that demand is not weak enough to prevent this, and signals that firms' inflationary expectations might be higher than the RBA desires. The RBA will take this as a sign that demand is still outstripping supply.

> **"Entrenched expectations that cost increases can and should be passed on are precisely what tight monetary policy is leaning against, but only indirectly."**

This is mostly a story about non-labour costs. While the Fair Work Commission did hand down an above-average increase in award wages this year and this was probably passed through to prices in hospitality and other labour-intensive sectors, base wages growth has been moderate for some years. Business surveys point to non-labour cost escalation being the real issue lately. This is why we were puzzled by the passage in the RBA minutes this week suggesting that cost pressures reported in business surveys might imply that the unemployment rate consistent with inflation at target (the NAIRU) has risen. It is a convenient belief, though, if unemployment is starting to overshoot your forecasts, as the latest labour market data have done compared with the RBA's August forecasts.

Not all firms can pass on cost increases. Most small firms do not have the market power, though coffee may be an exception because convenience induces a kind of local market power. And as noted above, large firms with everyday-low-price strategies will instead try to find savings elsewhere in the supply chain.

Still, some firms will seek to pass these cost increases on. Some observers might see this as corporate greed, but another way to frame this strategy is simply as a 'cost-plus' mentality.

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It turns out that cost-plus pricing is especially common in areas where regulators determine the price – water and other utilities being examples where costs and prices have escalated a lot in recent years.

There are limits to firms' ability to absorb costs, too. The failures of so many building firms a few years ago, squeezed between post-pandemic cost escalation, delivery delays and fixed-price contracts, were a case in point. Normally, there is a contractual response, and it need not end in insolvency. The episode does illustrate, however, that it is unrealistic to expect firms never to pass cost increases through to prices.

The cost-plus mentality does have its drawbacks. It limits the imagination away from finding responses that might save costs elsewhere to absorb the cost hike, and in so doing, boost efficiency. It was equally limiting in times of soft demand: in the years before the pandemic, many firms professed a belief that, because they couldn't get price increases to stick, they could not possibly accept cost increases, including in wages. Thus, Australia ended up with wages growth too low to be consistent with inflation at target, and the peculiar spectacle of a central bank governor complaining that wages growth was too low. And if labour remains cheap, why invest to economise on it and thereby boost productivity?

A cost-plus mentality also amplifies the pass-through of supply shocks. This is not quite the same thing as the 'inflation expectations' seen in standard economic models of inflation, but it is related. The stronger the tendency towards cost-plus pricing, the worse the inflation response to a supply shock. This is also true when inflation expectations are high, but the distinction matters. The recent academic literature includes some fascinating empirical evidence from New Zealand that suggests that beliefs about current and future overall inflation have little bearing on many firms' pricing decisions. As related work using French data shows, firms' pricing choices are shaped less by economy-wide inflation developments than by what is happening to their costs and in their industry.

That adds up to economy-wide behaviour that looks a lot like firms (in aggregate) setting prices according to expected inflation (in aggregate), but under the hood something quite different is going on. If firms' beliefs about future economy-wide inflation do not matter much in their pricing decisions, then neither does the credibility of a central bank's commitment to return inflation to target. The mechanism to get inflation down then must be simply to weaken demand enough to convince firms that cost-plus will not fly in the market. This is an unpleasant message for many consumers or anyone in an interest-sensitive sector when supply shocks abound. It does, however, imply that if supply shocks fade or even self-correct, so will high inflation. If and when that happens, tight monetary policy can be unwound.

The deeper question is whether cost-plus price dynamics can be reduced. That is more likely to be a question for regulators than for central banks.

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Cliff Notes: getting the balance right

Elliot Clarke, Head of International Economics
Ryan Wells, Economist
Illiana Jain, Economist

Australia's key data release this week was the September Labour Force Survey. Employment surprised to the downside, –39.3k. However, a 0.2ppt decline in labour force participation from August's near-historic high largely offset. The unemployment rate therefore held at 4.7% after August was revised up.

Residual seasonality may be in the mix. Regardless, the take home point from the update is that the labour market is continuing to ease as employment growth runs below working-age population growth. We expect the unemployment rate to grind higher into 2027 as tighter financial conditions and cost-of-living pressures restrict activity growth to a below-trend pace. Although, our forecast peak is near at 4.8%, due by Q2 2027.

This update on the labour market complicates the communication challenge for the RBA. The September minutes were firmly on the hawkish side, with the discussion focussing on materialising upside risks to inflation. But, with the unemployment rate now through the RBA's NAIRU assumption of 4.6%, Governor Bullock's "a little tight" descriptor for the labour market is becoming harder to defend. Still, with a clear focus on inflation risks – which also led us to revise up our near-term CPI forecasts in the October Market Outlook – we still expect a 25bp rate hike at the November meeting.

Over in the US, the headline CPI rose 0.6% as expected in September, taking the annual rate up to 3.7%yr. Energy prices were a key contributor (5.2%, 20.4%yr), while core inflation was a touch above consensus in the month at 0.3% (2.6%yr). Within the core components, core goods prices gained 0.3% after being broadly unchanged over the past 6 months (0.7%yr). Core services meanwhile rose 0.4% (3.1%yr) on a 0.4% increase in shelter (3.2%yr), a 0.6% gain for transport services and a 0.3% increase in medical care services (2.7%yr and 2.5%yr respectively). Further, the subsequent release of the PPI pointed to continued upstream price pressures, with the headline and core measures up 6.3%yr and 5.0%yr respectively. The latest Beige Book provided colour on these developments, firms across multiple districts citing tariffs, insurance and commodity prices as ongoing sources of cost pressure. Guiding on the risks, many respondents expect further price increases as contracts/hedges roll off.

Given their telegraphed concerns over inflation, there is enough signal in these reports to warrant a follow-up hike at the October FOMC meeting. Though it seems Committee members believe they are near the end of the tightening cycle and so have time on their side. This week, Daly and Bowman both showed patience in assessing the trend, with no clear bias towards an October or December decision. Williams stated he believes one more hike would prove sufficient in this cycle given known information. And Waller also showed confidence, highlighting that elevated long-term yields are doing some of the FOMC's work, restricting demand in interest rate sensitive sectors. We hold a similar view, anticipating that one more hike by year end and a little time will bring inflation near the 2.0%yr medium-term target. However, as discussed in this month's Market Outlook, capacity pressures are likely to see inflation consistently above target, rather than below, in coming years – particularly if, as we suspect, capacity in the housing sector remains tight. This will mean the FOMC have to remain modestly restrictive over the forecast horizon and will also bias up long-term yields.

In Asia, there was one release that stood out, China's trade account. At USD133.5bn, the September result was a whisker inside January 2025's record high of USD137.9bn. More impressively, throughout 2025 and 2026 year-to-date the surplus has now averaged USD100.9bn, almost 3 times the average of 2019, prior to the pandemic. The geographic breadth of export growth is as impressive as the headline annual gain of 36.3%yr, even more so given the ongoing strength in Chinese investment in neighbouring nations' production chains. In time, both trade and income receipts from offshore investment should buoy the renminbi, although for now continued outbound foreign investment should moderate the pace of gains against other nations in the region, and likely versus the US dollar.

Another key trend assessed in October's Market Outlook is the evolution of producer prices across Asia, and the likelihood of the disinflationary benefit the west has received in recent decades continuing. Historically, labour cost arbitrage was one of the key drivers of declining goods prices. While still possible, we expect the next phase of manufacturing development to instead be driven by capital, technology and energy. Many end users and the manufacturers undertaking production are also increasingly prioritising resilience, security and specialisation over cost minimisation. It is therefore more probably future supply-chain developments will help contain rising costs through productivity than drive sustained price declines for the goods bought by consumers and businesses.

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Downward revisions to 2027 outlook

Darren Gibbs
Senior Economist

This week we have updated our New Zealand economic outlook for the next year, in particular reflecting the latest developments in the energy market and key financial variables (long-term interest rates and the exchange rate).

After last week's marking down of our forecast for through-year GDP growth in 2026 to 2.5%yr, this week we have reduced our forecast of growth in 2027 by 0.3ppts to 2.7%yr. This downward revision reflects a less positive assessment of the outlooks for consumption and investment (including residential investment) considering the more elevated path assumed for energy prices and a higher near-term track for long-term interest rates (as discussed in our updated Market Outlook, published earlier this week).

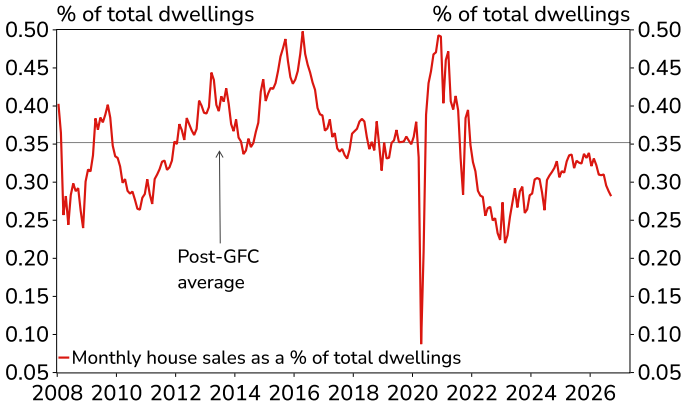
A partial offset to weaker growth in domestic demand is provided by a slightly more positive outlook for exports (particularly exports of manufactured goods and tourism inflows) because of a downward revision to our expectations for the NZ dollar. We now expect NZD/USD to end this year around current levels at 0.56 – 3c lower than expected previously – before appreciating to around 0.64 over the course of 2027 as interest rate differentials with the US gradually close and as the USD appreciates. We think that the low value of the NZ dollar – in trade-weighted terms now at a 17-year low – helps to explain the recent strong performance in the previously moribund manufacturing sector, as well as tourist inflows from key markets such as Australia.

Last week we raised our forecast for CPI inflation at year end to 4.3%yr, largely on account of recent developments in global energy prices (although the weak NZ dollar has compounded the effect). This week we have slightly revised up our forecast for inflation for the first half of 2027. But because energy prices are assumed to decline in 2027 from what is now a higher starting level, our 2027 year-end forecast for inflation has nudged down 0.1ppts to 1.6%yr. Needless to say, forecasts of headline inflation, in particular, are subject to significant revision given the uncertain outlook for the Middle East conflict and uncertainty about how that will be reflected in global energy prices.

Ahead of next week's very important Q3 CPI report – which could prove decisive – we have made no changes to our forecast for the RBNZ's policy settings. So, for now we continue to think that despite the higher near-term inflation outlook the RBNZ will stick with the strategy communicated in the September Monetary Policy Statement, i.e. that at the vv28 October meeting it will pause to assess the impact of this year's 50bps of policy tightening, before considering a further upward adjustment in December.

Turning to this week's data, the news from the housing market remained decidedly downbeat. House sales fell a further 4% in September – the seventh consecutive month of decline – to be 12% lower than a year earlier. With the stock of listings at an 11-year high, the median selling time remains elevated. And so unsurprisingly, house prices fell for a fourth consecutive month and are now down 1.6%yr. Prices remain especially soft in the North Island, with prices down more than 3%yr in Auckland and more than 4%yr in Wellington. Given upward pressures on mortgage rates, broader strength in the economy – including a stronger labour market – will likely be required to reverse this trend. On that score, MBIE's measure of online job advertisements was little changed in September, continuing the flat trend since the beginning of this year.

Monthly house sales



Source: REINZ, Stats NZ, Macrobond, Westpac Economics

In other news, retail spending, as measured by electronic card payments, decreased 0.4%m/m in September following an unrevised 0.9% decline in August. This was a weaker result than we had expected based on the recent sawtooth pattern and our own internal data. We should treat these data with some suspicion given that for quite a while now the Stats NZ series seems not to have reflected the spending seen through banks' own card spending networks, perhaps suggesting changes in the payments arena may be leaving the official sector data behind.

Even so, unsurprisingly, with petrol prices rebounding late in the month, spending on fuel increased 2.9%mth. However, core spending, which excludes spending on fuel and vehicles, fell 0.7%m/m. While spending on consumables (groceries) increased modestly in September, this was at the expense of spending on 'nice to haves'. Spending on hospitality suffered a

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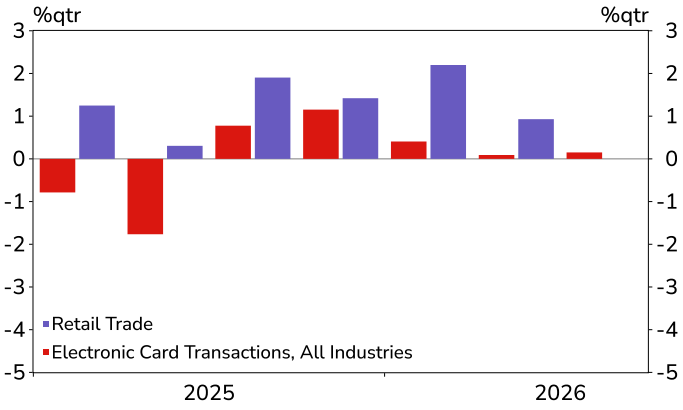
further 2.3%mth fall following a 1.9%mth decline in August, and spending on apparel replicated the 2.0%mth decline reported in August. Spending on durable goods also fell slightly in September (-0.4%mth).

Despite the weak outcome for the August and September months, retail spending over the September quarter still eked out a minor 0.1% gain, while core spending increased 0.4%. Given higher prices, at face value this points to a weak quarter for volumes (next week's CPI report will cast more light on pricing behaviour during the quarter). It is worth noting that total retail spending, as will be depicted in the official quarterly retail sales survey released next month, could point to somewhat stronger growth. Purchases of big-ticket items that often are bought on credit – such as cars, furniture and appliances – are underrepresented in the electronic card spending survey.

Electronic card transactions vs retail trade survey

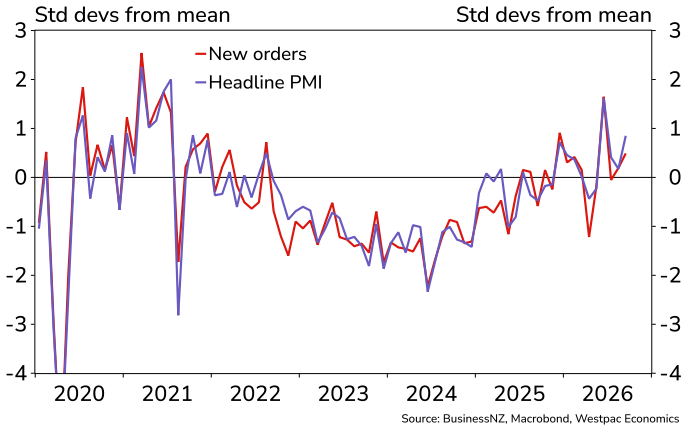


Source: Stats NZ, Macrobond, Westpac Economics

Given subdued domestic demand, local hospitality businesses have relied on foreign visitors to drive growth in spending. And the good news is that visitor arrivals increased to a new post-Covid high in August to be up 8%yr. Arrivals of Chinese citizens have grown by almost a third to sit near pre-Covid levels in recent months, while arrivals of US citizens grew 17%yr. However, the Middle East conflict has impacted long-haul arrivals from Europe (UK arrivals are down 8%yr). Meanwhile, inflows of migrants remain at modest levels, totalling around 20,000 in the year to August – about half what might be expected on average over the cycle.

News from the manufacturing sector remained positive in September, with the BusinessNZ Manufacturing PMI rising to a 3-month high of 56.5 in September. Improvement was seen across all subcomponents of the index, with the new orders index rising 1.8pts to 57.0. We think that the recovery in manufacturing this year owes much to the weakness of the NZ dollar – especially against the Australian dollar – and activity associated with a strong domestic primary sector and an emerging recovery in domestic residential construction activity.

BusinessNZ manufacturing index



Source: BusinessNZ, Macrobond, Westpac Economics

Last but certainly not least, ahead of next week's all-important Q3 CPI, the Selected Prices report for September was firmer than expected. That was mainly due to larger than expected increases in airfares and holiday accommodation costs, which offset softer than expected food prices.

Accounting for the September prices data, we've left our forecast for Q3 inflation at 0.7%. That would see the annual inflation rate dropping back to 3.7%, down from 4.1% in the year to June. Underlying that move has been a moderation in fuel prices after they rocketed higher in the wake of the Middle East war. That's balanced against increases in council rates, building costs and food prices.

Our forecast is lower than the RBNZ's September MPS forecast for a 0.8% rise (+3.9%yr). However, with some large swings in volatile items like fuel, the RBNZ will likely focus on measures of core inflation. Core inflation was already at firm levels in the June quarter, with key measures sitting in the upper part of the RBNZ's target band. We expect that they will take another step higher in September, to sit around 3%. Upside surprises in core inflation would be an important development for the RBNZ ahead of the October OCR review, as this could suggest that the lower NZD and higher oil prices are boosting underlying price pressures by more and sooner than they may have expected.

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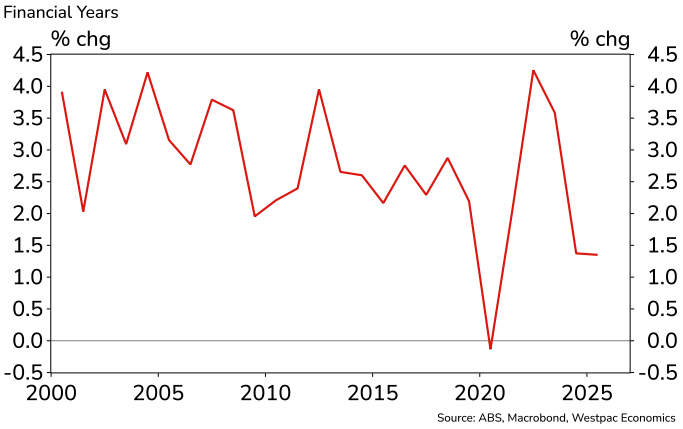
AUS: 2025-26 National Accounts

Oct 23, Current Estimate: 2.3%

The Q2 national accounts showed GDP growth slowing in the first half of 2026 but still coming in at a respectable 2.3%yr in annual average terms (i.e. year to June 2026 vs the year to June 2025), up from 1.4% in 2024-25.

The annual national accounts will provide new 'benchmark' estimates of income, expenditure, production and balance sheets and additional detail on sectors, industries, net additions to the capital stock and productivity growth. The incorporation of new information sources can also result in significant revisions to previously-published estimates with these changing flowing through to quarterly GDP estimates when the Q3 figures are released on Dec 2.

Gross Domestic Product



NZ: Q3 Consumer Prices Index (%)

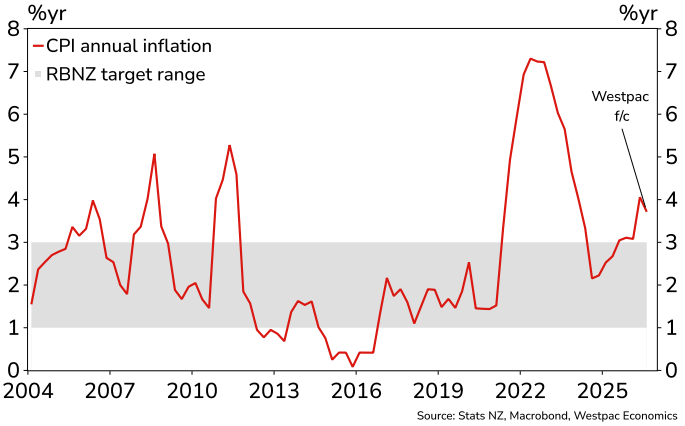
Oct 22, Quarterly, Last: 1.5, Westpac f/c: 0.7
Oct 22, Annual, Last: 4.1, Westpac f/c: 3.7, RBNZ f/c: 3.9

We estimate that New Zealand consumer prices rose by 0.7% in the September quarter, with a moderation in fuel costs balanced against increases in council rates, building costs and food prices.

The annual inflation rate is expected to drop back to 3.7% (down from 4.1% in the year to June). Measures of core inflation are expected to remain firm, with some closely watched measures expected to rise to the top of the RBNZ's target band.

Our forecast is a little below the RBNZ's last published forecast for 3.9% annual inflation. Read our full CPI preview.

NZ consumer prices



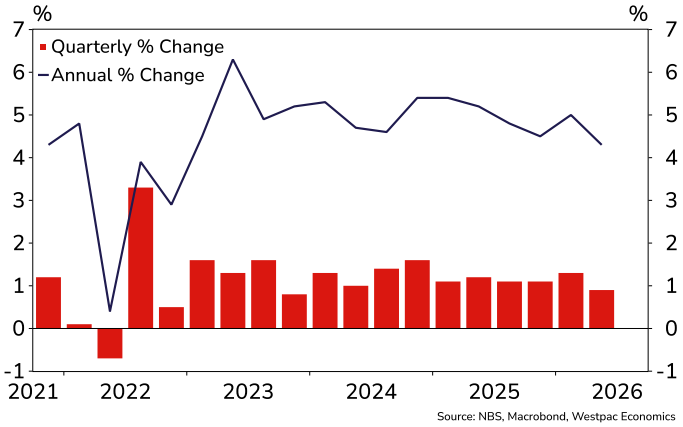
China Q3 GDP (%yr)

Oct 19, Last: 4.3, Westpac f/c: 4.3
Market f/c: 4.4, Range: 4.0 to 4.5

Q3 is likely to produce a very similar outcome to Q2, with quarterly growth of around 1.0% holding the annual rate at 4.3%yr. Year-to-date, growth will remain around 4.7%ytd thanks to the Q1 result.

The detail and partial data for September will again highlight the weak state of the consumer and domestic-oriented businesses, but also the incredible strength of exports. With the trade surplus back at record highs, there are limits to the contribution possible from net exports hence, necessitating a strengthening of domestic demand if aggregate growth is to continue at the rate authorities intend into 2027. Expect additional stimulus through the turn of the year.

Growth needs support



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What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Sun 18							
US		Fedspeak	–	–	–	–	Fed's External Communications Blackout
Aus		RBA Speak	–	–	–	–	Interview with RBA's Kent (pre–recorded), 11:00am AEDT.
Mon 19							
Aus		RBA Speak	–	–	–	–	Fireside chat with RBA's Kent, 10:05am AEDT.
NZ	Sep	Performance Services Index	index	51.2	–	–	Improving, but has underperformed the manufacturing sector.
	Sep	Trade Balance	$m	–1349	–	–1955	Off–season export lull; import volumes and prices rising.
Chn	Q3	GDP	%ann	4.3	4.4	4.3	Growth remains below authorities' ambitions ...
	Sep	Retail Sales	ytd %yr	1.1	–	–	... as household demand remains the missing ingredient ...
	Sep	Industrial Production	ytd %yr	5.3	–	–	... though export demand is supporting output ...
	Sep	Fixed Asset Investment	ytd %yr	–7.2	–7.3	–	... while confidence weighs on investment.
UK	Oct	Rightmove House Prices	%mth	0.7	–	–	Housing demand remains rate sensitive.
US	Oct	NAHB Housing Market	index	32.0	31.0	–	Builders remain cautious on affordability pressures.
Tue 20							
Eur	Oct	ZEW Survey Of Expectations	index	25.8	–	–	Confidence will test Europe's resilience narrative.
UK	Aug	ILO Unemployment Rate	%	4.9	5.0	–	Labour market conditions have eased gradually.
US	Sep	Housing Starts	%mth	–2.6	2.3	–	Housing affordability continues to constrain demand..
	Sep	Building Permits	%mth	–2.1	–1.7	–	... with new supply yet to keep pace...
	Sep	Pending Home Sales	%mth	0.3	0.0	–	... leaving turnover under pressure.
Wed 21							
Aus		RBA Speak	–	–	–	–	Appearance by RBA's Hauser, 9:30am AEDT.
UK	Sep	CPI	%ann	3.1	3.3	–	Inflation pressures are stoking expectations for a BoE hike.
	Sep	Public Sector Borrowing	£bn	18.3	–	–	Fiscal pressures remain in focus.
Thur 22							
NZ	Q3	CPI	%qtr	1.5	0.8	0.7	Fuel prices eased from earlier highs, dampening overall inflation.
	Q3	CPI	%ann	4.1	3.9	3.7	Headline inflation to ease in Q3, core measures firm around 3%.
Kor		Bank Of Korea Policy Decision	%	3.0	3.0	–	Tech is creating excess capacity in the economy.
Eur	Oct	Consumer Confidence	index	–16.5	–	–	Household demand has yet to show clear downside risks.
US		Initial Jobless Claims	000s	199	200	–	Labour market resilience remains a key support ...
	Sep	Leading Index	pts	–0.1	–0.2	–	... though growth momentum is moderating.
	Oct	Kansas City Fed Manufacturing	index	14	–	–	Manufacturing conditions remain uneven
Fri 23							
Aus	FY26	2025–26 National Accounts	%ann avg	1.4	–	–	Will provide new 'benchmark' estimates.
Jpn	Sep	CPI	%ann	1.9	2.1	–	Inflation has re–accelerated in recent months.
	Oct	S&P Global Manufacturing PMI	index	54.1	–	–	Factory activity continues to lack conviction ...
	Oct	S&P Global Services PMI	index	51.3	–	–	... while services provide the main support.
Eur	Oct	S&P Global Manufacturing PMI	index	52.9	–	–	Activity continues to show surprising resilience ...
	Oct	S&P Global Services PMI	index	53.0	–	–	... despite ongoing energy market uncertainty.
UK	Oct	GfK Consumer Sentiment	index	–13	–	–	Confidence has struggled to sustain improvement.
	Sep	Retail Sales	%mth	0.5	–	–	Spending has yet to materially weaken.
	Oct	S&P Global Manufacturing PMI	index	51.9	–	–	Activity remains constrained by higher energy costs ...
	Oct	S&P Global Services PMI	index	52.1	–	–	... though consumers have proven more resilient.
US	Oct	S&P Global Manufacturing PMI	index	55.9	55.5	–	Tech infrastructure investment continues to offset weakness.
	Oct	S&P Global Services PMI	index	58.8	57.9	–	Consumption growth is slowing into 2027
	Oct	Uni. Of Michigan Sentiment	index	46.3	46.3	–	Final estimate.

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Economic & financial forecasts

Interest rate forecasts

Australia	Latest (16 Oct)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Cash	4.60	4.85	4.85	4.85	4.60	4.35	4.10	3.85	3.85	3.85
90 Day BBSW	4.76	4.95	4.95	4.80	4.55	4.30	4.10	3.95	3.95	3.95
3 Year Swap	4.86	4.90	4.85	4.75	4.65	4.55	4.45	4.35	4.30	4.25
3 Year Bond	4.85	4.90	4.85	4.75	4.65	4.55	4.45	4.35	4.30	4.25
10 Year Bond	5.23	5.20	5.15	5.10	5.05	5.05	5.00	5.00	5.00	5.00
10 Year Spread to US (bps)	14	15	15	15	15	10	0	–5	–10	–15
United States										
Fed Funds	3.875	4.125	4.125	4.125	4.125	4.125	3.875	3.625	3.625	3.625
US 10 Year Bond	5.09	5.05	5.00	4.95	4.90	4.95	5.00	5.05	5.10	5.15
New Zealand										
Cash	2.75	3.00	3.50	3.75	4.00	4.00	4.00	4.00	3.75	3.75
90 Day Bill	3.26	3.40	3.75	4.00	4.20	4.20	4.20	4.15	3.95	3.95
2 Year Swap	4.07	3.95	4.10	4.25	4.20	4.20	4.15	4.15	4.10	4.10
10 Year Bond	4.99	5.00	5.00	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US (bps)	–9	–5	0	5	15	10	5	0	–5	–10

Exchange rate forecasts

	Latest (16 Oct)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
AUD/USD	0.6946	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
NZD/USD	0.5653	0.56	0.58	0.61	0.63	0.64	0.64	0.64	0.65	0.65
USD/JPY	157.83	156	154	153	152	151	150	149	148	146
EUR/USD	1.1230	1.14	1.16	1.18	1.20	1.21	1.22	1.22	1.21	1.21
GBP/USD	1.3303	1.34	1.35	1.36	1.38	1.39	1.40	1.41	1.41	1.40
USD/CNY	6.6891	6.65	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
AUD/NZD	1.2288	1.27	1.24	1.20	1.16	1.15	1.13	1.12	1.12	1.11

Australian economic forecasts

	2026				2027				Calendar years			
% change	Q1	Q2	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.3	0.4	0.5	0.2	0.4	0.3	0.4	0.5	–	–	–	–
%yr end	2.5	2.1	2.2	1.5	1.6	1.5	1.4	1.6	2.6	1.5	1.6	2.4
Unemployment rate %	4.2	4.4	4.6	4.7	4.7	4.8	4.8	4.7	4.3	4.7	4.7	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	–	–	–	–
%yr end	3.2	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	0.6	1.3	1.3	0.4	0.5	1.0	0.5	–	–	–	–
%yr end	4.1	3.9	3.9	4.6	3.6	3.4	3.2	2.4	3.6	4.6	2.4	2.3
Trimmed Mean CPI %qtr	0.8	0.8	0.9	0.9	0.7	0.7	0.7	0.7	–	–	–	–
%yr end	3.5	3.6	3.5	3.5	3.3	3.3	3.1	2.9	3.3	3.5	2.9	2.4

New Zealand economic forecasts

	2026				2027				Calendar years			
% Change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.9	0.2	0.6	0.7	0.9	0.5	0.6	0.7	–	–	–	–
Annual avg change	0.9	1.7	2.1	2.4	2.4	2.5	2.6	2.6	0.3	2.4	2.6	3.0
Unemployment rate %	5.4	5.6	5.5	5.5	5.4	5.3	5.2	5.0	5.4	5.5	5.0	4.4
CPI %qtr	0.9	1.5	0.7	1.2	0.5	0.4	0.5	0.2	–	–	–	–
Annual change	3.1	4.1	3.7	4.3	3.9	2.7	2.6	1.6	3.1	4.3	1.6	1.9

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October 2026

THE RED BOOK

Quarterly update on the Australian consumer

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The **Westpac Red Book** report is produced by Westpac Economics.

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This issue was finalised on 6 November 2026.

The next issue will be published 16 October 2026.

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Staggering into year end

Coming into the home strait for 2026, the Australian consumer has again got the staggers. Spending has held up surprisingly well given the intense headwinds that have buffeted household budgets over the year. But the same cannot be said for sentiment which has fallen off badly in the face of more shocks.

Our October **Red Book** surveys the scene. Psychologically, consumers has seen a return to the 'cost of living nightmare' they struggled with through much of 2022, 2023 and 2024. Global forces and domestic factors are again having pervasive negative impacts on budgets.

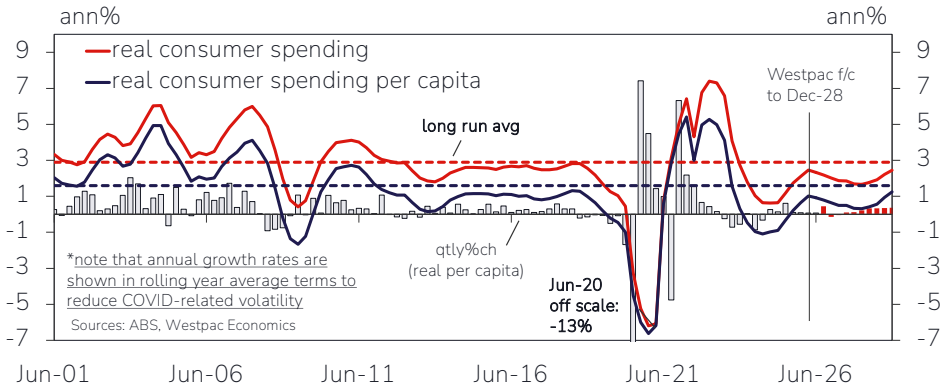
The scale may not be as severe as the previous episode – inflation is running in the 3-4% range not the 7-8% and interest rates have risen 1ppt not 4 – but the feeling is similar. In part this because there has was very little reprieve in between – despite tax cuts and a partial unwind of the interest rate tightening in 2025, household incomes never got a chance to regain the lost ground.

The inflation 'relapse', and the difficulty the RBA and governments seem to be having in managing the situation, is likely feeding into fears about the outlook for the wider economy as well.

Exactly what this means for spending is not entirely clear. As discussed in our last report, sentiment reads have been much weaker than actual spending in recent years. The apparent disconnect is likely due to a mix of legacy effects from COVID, and the specific challenges posed by high inflation (including the lingering effects of high prices even once inflation has subsided).

On balance we expect the spending side to slow materially, particularly as we head into year end. Indeed, the seven weeks between now and Christmas could prove decisive for the consumer outlook, beginning with another important sentiment survey update and then the high season for retail. How spending performs **outside** of key sales windows will be most telling.

1. Consumer spending: slowdown ahead



"... sentiment ... has fallen off badly in the face of more shocks"

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Quick run-down

The **Westpac–Melbourne Institute Consumer Sentiment Index** declined 4.2% over the three months to Oct, unwinding a mini-rally through the middle of the year. At 80.4 the average read over the Oct survey implies that pessimists outnumber optimists by nearly 20%, a deeply pessimistic level by historical standards that is amongst the forty worst reads since the survey began in the 1973.

The survey detail shows concerns are still primarily about the cost-of-living and high interest rates than the more acute job and insolvency problems that arise during a recession. The RBA's Sep rate hike, mid-way through the survey week looks to have badly rattled consumers.

The component detail shows a broad pull-back but with bigger declines in assessments of family finances and buyer sentiment and milder declines in assessments of the economic outlook.

Consumers remain intensely risk averse. The **Westpac Risk Aversion Index** held near historical highs in Sep, readings still only a touch of the 52-year high of 60.8 recorded in June 2023. Recall that the index is based on responses to questions on the 'wisest place for savings'. Responses show 'safe options' remain very heavily favoured.

The sentiment mix points to a significant weakening in spending momentum is weakening. **CSI±,** a modified indicator that shows a better correlation with per capita spending, points to a shift back to significant outright contractions in per capita spending. That said, spending in 2026 has held up better than these indicators have suggested so far.

Consumers are on high alert for interest rate. The **Westpac–Melbourne Institute Mortgage Rate Expectations Index** rose 5.5% to 179 over the three months to Oct, just shy of May's cycle peak of 181. The RBA has raised interest rates 25bps since then. The Nov survey update due Nov 10 will be an important update on how expectations have evolved.

The **'time to buy a major item'** index dropped 4.3% over the last three months, taking it back near the lows seen earlier in the year and a full 40pts below the long run avg. Durables spend has been mixed over the first half of 2026, posting a surprisingly solid gain in Q2 but with most of this centred on new vehicle spend where 'extenuating circumstances' were at play.

Homebuyer sentiment has been understandably unsettled in recent months given heightened uncertainty around interest rate and tax policy changes amid evidence of a broadening downturn in established markets.

The **'time to buy a dwelling'** index actually lifted 3.6% over the three months to Oct but is still at firmly pessimistic levels. Both monthly reads and sub-group detail have been very unsettled.

The broadening and deepening downturn in Australia's housing markets is seeing an equally rapid shift in consumer house price expectations although these have not turned as negative as they did during the 2022-23 correction.

The **Westpac–Melbourne Institute Consumer House Price Expectations Index** declined a further 2.4% over the 3mths to Oct, following a steep 25% drop over the previous 3mths. At 115.6, the Oct index read is miles below the 15yr high of 174 at the start of the year and below the long run avg of 130. That said, the read is still above 100, meaning more consumers expect prices to rise than fall.

The labour market remains an island of relative calm for consumers. The **Westpac–Melbourne Institute Unemployment Expectations Index** rose 9.3% over the three months to Oct, reversing most of the 12.1% improvement over the previous three months (recall that higher reads mean more consumers expect unemployment to rise over the year ahead). At 142.2, the Oct index read is now decisively above the long run avg of 129 again but still well below the levels that would sound more worrying alarms.

As noted, the Nov survey, currently in the field and due to be released on Nov 10, will provide critical updates on many of these themes.

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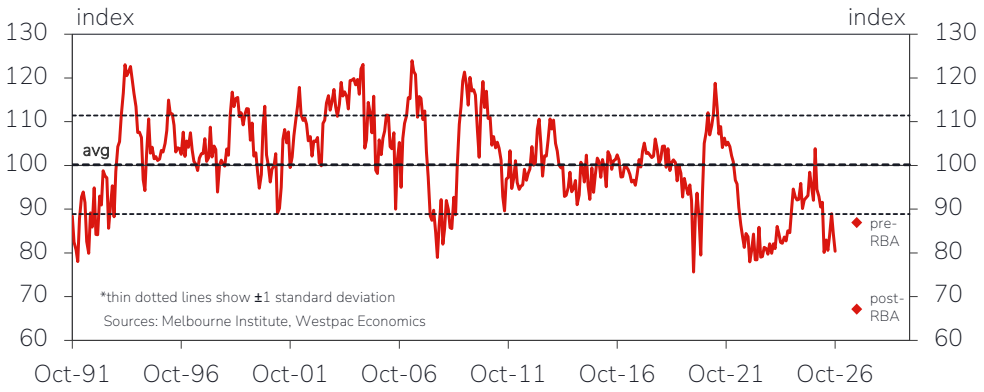
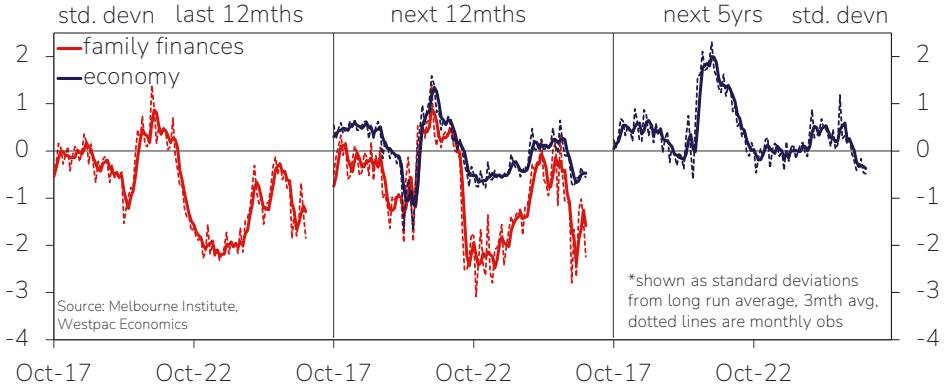
Cost-of-living nightmare continues

- Consumers remain stuck in a cost-of-living nightmare that seems to have not end in sight. Sentiment remains deeply pessimistic, weighed down by continued uncertainty about the path for inflation and interest rates, the latter providing a clear negative 'jolt' midway through the Oct survey week.
- The **Westpac Melbourne Institute Index of Consumer Sentiment** declined 4.2% over the three months to Oct, unwinding a mini-rally through the middle of the year. At 80.4 the average read over the Oct survey implies that pessimists outnumber optimists by nearly 20%, a deeply pessimistic level by historical standards. It is amongst the forty worst reads since the survey began in the 1973. We have had two others in this unfortunate group already this year (in Apr and Jun) with another eight in 2022–23. Altogether this marks the worst period of recurring extremely weak sentiment since the disastrous recession in the early 1990s.
- The survey detail shows consumer concerns are still primarily about the cost-of-living and high interest rates than the more acute job and insolvency problems that arise during a recession.
- Average weekly pump prices pushed back over $2.30/litre nationally in early Oct, rising to over $2.35/litre since. This is near the peaks seen back in April and up nearly 25% since the start of the year. Meanwhile the RBA interest rate rise in late Sep took the cash rate to 4.6%, the highest since 2011, with the standard variable mortgage interest rate pushing above 9% for the first time since 2008.
- The RBA's Sep move badly rattled consumers. Sentiment amongst the 60% of the sample surveyed prior came in at 86.9, up slightly from the Sep read. The sentiment read across the 40% surveyed after the RBA decision came in at just 67.2, an alarmingly weak read that, for complete surveys, has only been registered during the depths of the early 1990s recession. The nearly 20% drop between pre and post RBA samples is also the largest negative swing we have seen since we started tracking daily responses in 2019.
- The RBA has delivered another hike as we go to press, meaning Nov is likely to see yet another interest rate hike to sentiment (the survey result will be released on Nov 10).

2. Consumer sentiment: rate rise jolt



3. Consumer sentiment: finances, economic conditions



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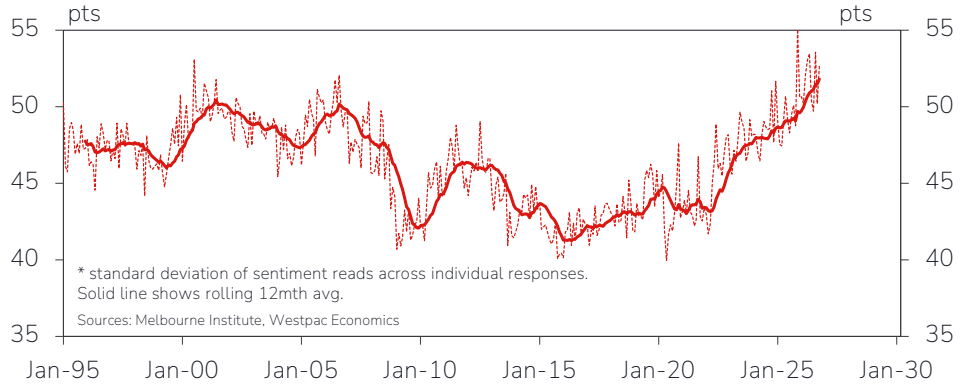
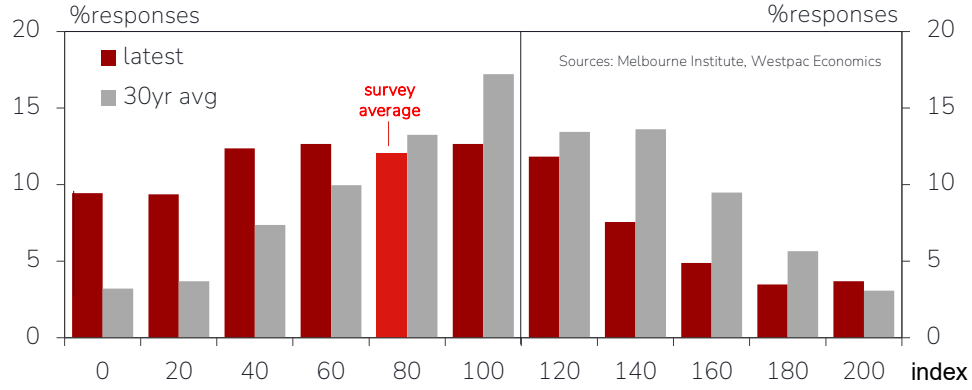
- The component detail shows a broad pull-back but with bigger declines in assessments of family finances and buyer sentiment. The 'finances vs a year ago' sub-index dropped 6% over the 3mths to Oct to just 66.9, on a par with April's extreme low. The pressure is not expected to ease up any time soon, the 'finances, next 12 months' sub-index also down 8.3% to 88.4, in the bottom 10% of reads for this sub-index since the survey began.
- Consumer views on the economy recorded milder declines, the 'economy, next 12 months' sub-index unchanged on Jul, holding at 78.3 and the 'economy, next 5 years' sub-index down 1.8% to 85.5. However, the latter is now back near the lows seen in Aug 2020. This was a dark time during the COVID crisis when Melbourne had entered its second lockdown and just prior to the Federal government significantly expanding its JobKeeper supports. The readings suggest there are shades of COVID now with a similar sense of helplessness – that Australia is unable to avoid a global inflation problem and that there is relatively little authorities can do to help the situation that does not add to pressures on consumers.
- The cost of living and interest rate pressures are both broad and intense. Pessimists outnumber optimists in 102 of the 106 sub-groups we track, and by over 20% in nearly two thirds of these. This speaks to the pervasive influence of higher fuel costs in particular.
- That said, sentiment is becoming more dispersed. It is possible to compute sentiment index scores for each individual respondent. Chart 4 shows how the spread across these scores has evolved since 1995. The average standard deviation over the full history is 46pts. It was about 4pts lower over the decade prior to COVID but has risen steadily since to over 52pts in Oct, the average spread over the last 12mths marking a record high. Chart 5 shows the full distribution of individual scores in the last 3mths compared to history.
- We noted in our last report that the widening spread has been accompanied by a notable divergence in sentiment across major and minor party voters. There are likely multiple underlying reasons for the shift which the voter group split may be picking up indirectly rather than directly due to the way these skew across different demographics.

4. Consumer sentiment: spread across individual respondents



5. Consumer sentiment: distribution



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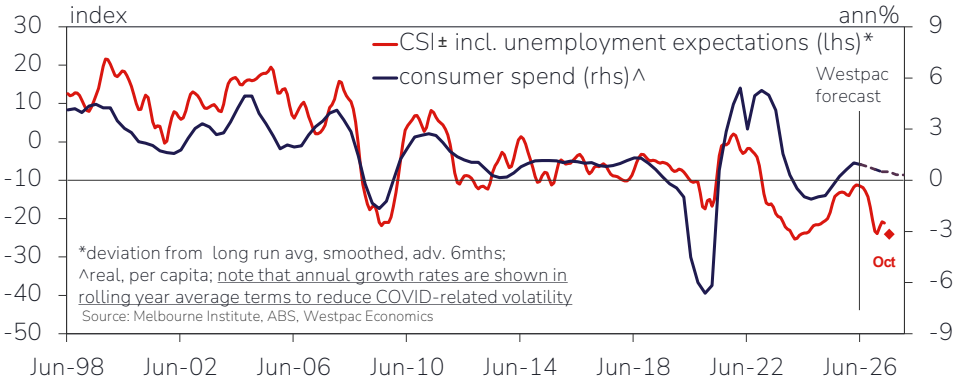
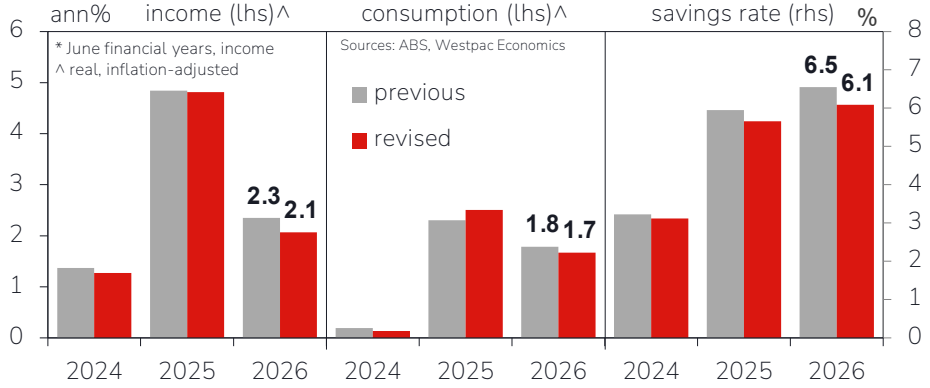
Spending: squeeze ahead

- Our **CSI±** composite combines sub-indexes tracking views on 'family finances' and 'time to buy a major item' with the **Westpac Consumer Risk Aversion Index** and usually provides a good guide to trends in spending over the next 3–6mths.
- However, as discussed in detail in our last report the composite has been of more limited use in recent years due to both the volatile spending around COVID lock-downs and the nature of the post-COVID cost-of-living shock to sentiment. Analysis shows adding the **WestpacMelbourne Institute Index of Unemployment Expectations** (p15) to the composite goes some way to redressing these issues. Accordingly, our **CSI±** indicator will now include this additional component going forward. As Chart 6 highlights, the composite should still mainly be viewed as a directional guide to where per capita spending growth momentum is heading rather than a point estimate.
- Unsurprisingly, the **CSI±** indicator fell steeply over the 3mths to Oct, dropping from 75.6 to 67.6, putting the measure over 26pts below its long run avg of 93.8.
- The move reflected the more marked falls in assessments of finances and 'time to buy' with a significant deterioration in unemployment expectations as well. Risk aversion remained unchanged at very high levels.
- Chart 6 shows the current read is consistent with a large contraction in real per capita consumer spending, even allowing for the wedge that has opened up between observed spending growth and the **CSI±** indicator over the last few years.
- The Q2 national accounts showed some slowing in consumer spending although it was more resilient than feared to the combined effect of higher fuel prices and interest rates while incomes posted a robust rise. More generally a range of shocks and shifts made for a messy quarter (see here for more).
- Real consumption rose 0.4%qtr taking annual growth to 1.8%yr, down from a peak of 2.7%yr in Q3 last year. The detail showed declines in fuel spend and transport services (including air travel) were more than offset by a 10% surge in vehicle sales, led by a big rise in EVs and hybrids.

6. CSI± vs consumer spending



7. Annual national accounts: benchmark revisions



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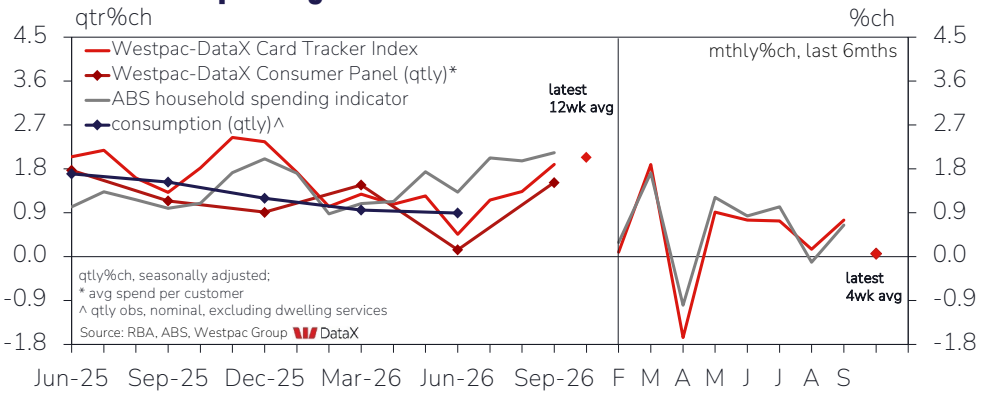
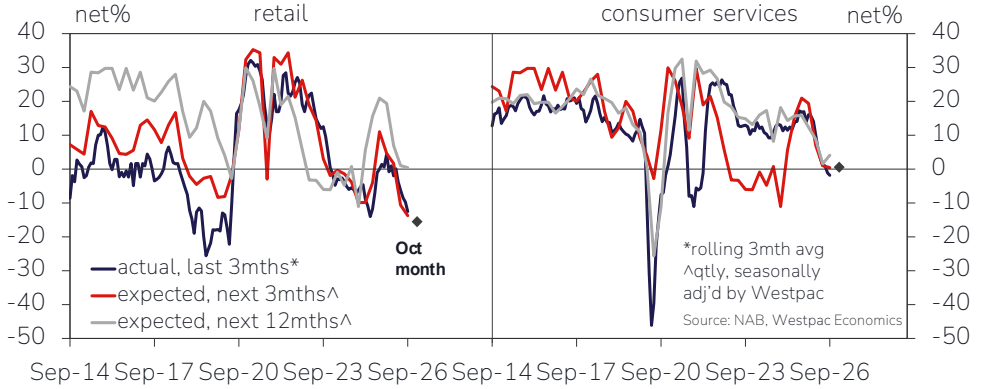
- Household disposable incomes rose 0.6%qtr, lifting annual growth to 2.3%yr, supported by a continued robust rise in labour income (more due to average compensation than head count in the latest quarter). This in turn meant the household savings rate ticked up slightly from 6.4% to 6.5%.
- New annual benchmarks released by the ABS since the Q2 accounts were published showed relatively minor revisions (Chart 7). For the full financial year, annual growth in disposable income was nudged 0.2pts lower to 2.1%yr with real spending shaved back from 1.8%yr to 1.7%yr and the savings rate lowered from 6.5% to 6.1%. These changes will be rolled into the quarterly estimates when the Q3 national accounts are released on Dec 2.
- Partial data suggests Q3 has seen a lift in nominal spend although most of this is a price effect. The ABS household spending indicator, which covers around two thirds of the total consumption basket, showed a 2.1%qtr rise in nominal terms in Q3 up from 1.3%qtr in Q2. However, all of that was due to stronger price growth with volumes posting a 0.7% rise in line with Q2 (see here).
- Our **Westpac-DataX Card Tracker Index** foreshadowed the spending indicator result and suggests quarterly growth momentum is still tracking at around 2% in mid-Oct in nominal terms. That said, quarterly growth rate is likely slowing in real terms given our estimates that Oct saw a further step-up in price growth. The latest monthly pace of gains also looks to be about flat in nominal terms (see Chart 8).
- Private sector business surveys point to weak conditions for retail (consistent with under-performing discretionary goods segments) and stalling activity for consumer services. Near term expectations are at similar levels for both but with year-weak expectations flat rather than negative for retail.
- The ABS will publish full spending estimates with the Q3 national accounts on Dec 2. Based on partials we expect these to show a solid +0.8%qtr gain, lifting annual growth to 2.1%yr, an upgrade on the +0.4%qtr, 1.5%yr forecast in or last report. However, that's expected to be the high water mark for growth with forecast to slow abruptly into year end and early 2027, growth tracking back to 1.4%yr by Q3 2027.

8. Consumer spending: selected indicators



9. Business conditions: retail and consumer services



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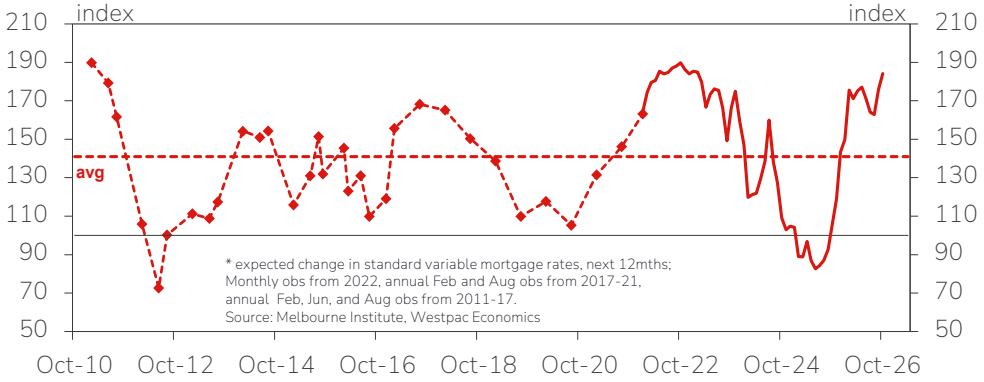
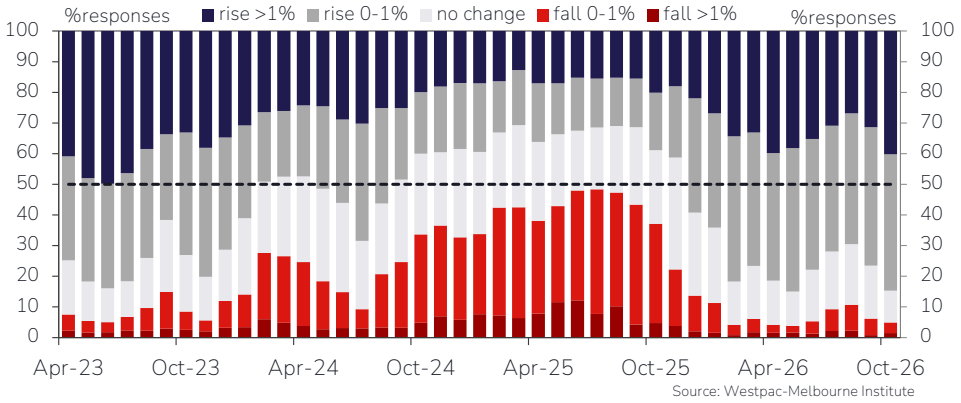
Interest rates: hike fears realised

- Consumers have been on high alert for interest rate rises for some time. Those fears materialised in late Sep and again in early Nov. The Oct survey was in the field during the week of the Sep move. Not surprisingly, the **Westpac–Melbourne Institute Mortgage Rate Expectations Index**, which tracks consumer interest rate expectations, rose 5.5% to 179, just shy of May's cycle peak of 181.
- Amongst those surveyed after the RBA decision, just over 80%, an overwhelming majority, expect mortgage rates to increase further over the next 12mths. This compares to 64% in Sep. Across the mortgage belt, the share is closer to 90%, with over 40% of this sub-group expecting rates to rise by more than a percentage point over the next twelve months.
- While the Sep and Nov interest rate increases were widely expected, the scale of the rise over the last 12mths, a full 1.25%, has come as a surprise. This time last year, consumers were in two minds, 39% of those with a view expecting interest rates to rise and 37% expecting them to fall. Only 20% of consumers expected mortgage rates to rise by over 1ppt.
- As at Oct, just over 40% of consumers with a view expected mortgage interest rates to rise by more than 1ppt. While some hawkishness is clearly warranted, this is extreme – it would take the standard variable mortgage rate well above 10%, to levels not seen since the mid-1990s, thirty years ago.
- Overall, Oct responses suggest consumers were broadly expecting another three 25bp rate hikes from the RBA. The Nov survey, currently in the field, will capture how expectations have shifted after the RBA's more recent move. While this may have amplified rate rise fears, the split vote and some indications from the Governor that there may be a pause to assess things in Dec could work the other way (see here for more).
- The near term inflation outlook clearly remains challenging. However, Westpac expects the RBA to leave rates on hold through the remainder of 2026. And while there are risks of a further tightening in early 2027 we think rates will more likely be maintained at current levels with an eventual gradual relaxation in policy beginning in the second half of 2027.

10. Mortgage interest rate expectations



11. Consumer expectations for mortgage rates



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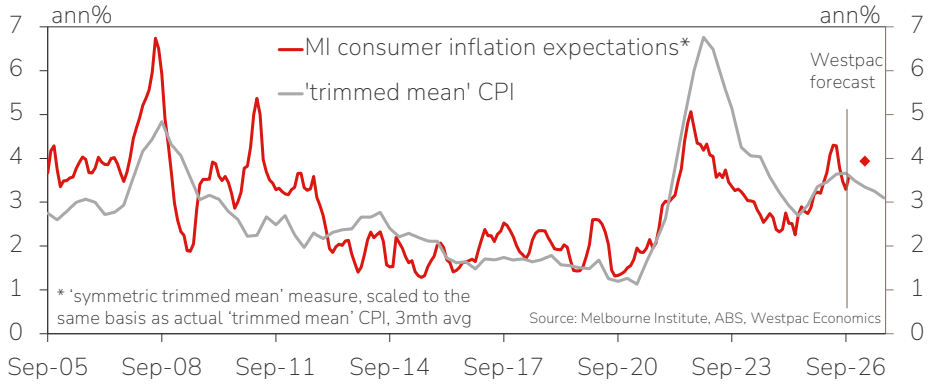
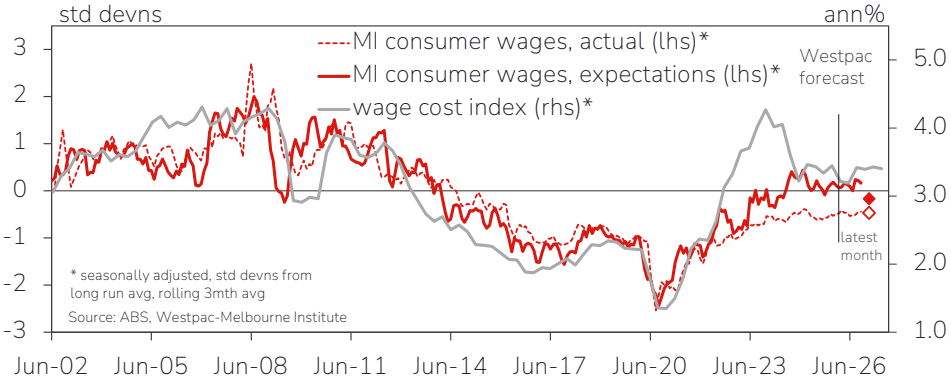
Inflation: still too hot but wages flat

- Inflation has kicked up again over the last 3mths, led by a resurgence in global energy prices. Near term consumer inflation expectations have risen sharply again as well although consumer wage expectations have not moved, if anything moving marginally lower in the latest month.
- The Sep CPI report showed headline up 1.3%qtr, the annual pace holding at the Jun qtr pace of 3.9%yr. The key 'trimmed mean' measure lifted 1.0%qtr, the annual pace ticking up from 3.6%yr to 3.7%yr. The detail revealed underlying inflationary pressures continuing even while a moderation in housing inflation (dwellings in particular) is unfolding slightly faster than anticipated. Near-term risks for inflation are to the upside but more balanced further out (see here)
- Consumer inflation expectations have moved higher again. After peaking at 5.9% in Apr, the Melbourne Institute's 'symmetric mean' measure of consumers' year-ahead inflation expectations eased back to 4.7% in Jul, ticking up slightly to 4.9% in Aug and Sep but jumped again back to 5.3% in Jul. Expectations are likely being skewed by the jump in fuel prices.
- Scaling according to historical inflation outcomes suggests current expectations are consistent with inflation of around 4%yr. It is difficult to look through the effects of fuel price volatility, which amplified expectations in Mar and Apr but dampened them again when the temporary halving in fuel excise tax came into effect through Apr-May.
- From the RBA's perspective, it will be important for inflation expectations to track back towards historical levels in a timely manner as a sign that expectations more generally remain firmly anchored at low inflation rates.
- Certainly there are no signs that the latest lift in inflation is becoming embedded into expectations for wages. Consumer assessments of actual wages lifted a little when the new Award decision came into effect but have settled back to 1.4%, a touch above the Jun qtr avg of 1.2% but below the long run avg of 1.8%. Expectations have tracked a slightly softer path, dipping to 1.2% in Oct, down from a Jun qtr avg of 1.3% and long run avg of 1.3%. At face value, expectations are consistent with a significant deterioration in real wages.

12. CPI Inflation: actual vs expected



13. Wages growth: actual vs expected



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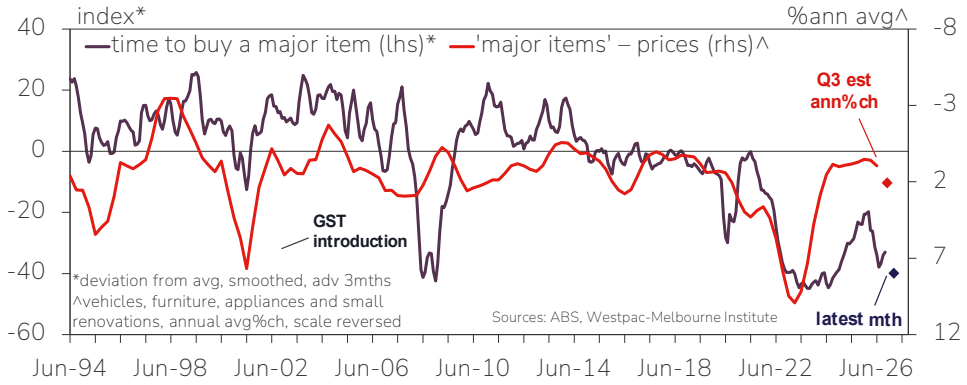
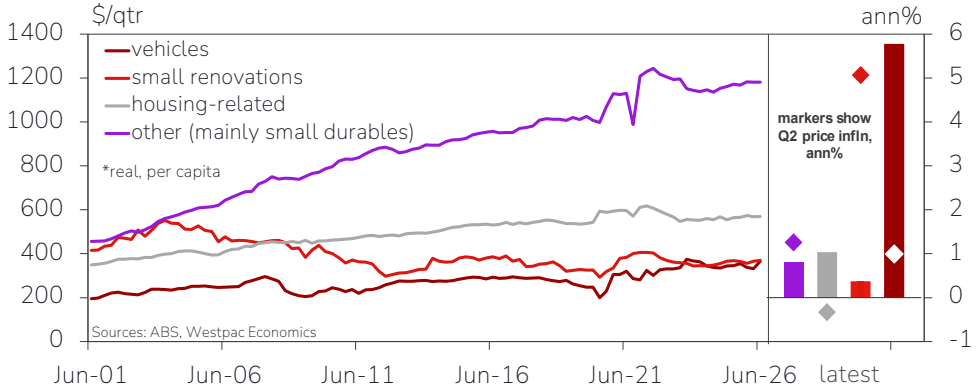
Durables: soft spend, dire sentiment

- Durables spend has been mixed over the first half of 2026, posting a surprisingly solid gain in Q2 but with most of this centred on new vehicle spend where 'extenuating circumstances' were at play. Even excluding this, the flat underlying trend is not nearly as weak as the dire reads on the 'time to buy a major item' sub-index would suggest. The last 3mths has seen the sub-index drop back again, a 4.3% decline taking it to 83, near the lows seen earlier in the year and a full 40pts below the long-run avg of 123.
- As discussed regularly over the last four years, the extreme weakness appears to relate to the collapse in purchasing power since 2022. While prices have stabilised somewhat, their still high level is casting a dark shadow over buyer sentiment.
- As Chart 18 shows, durable goods prices have been more stable since 2024 but look to have posted a bigger rise in the Sep quarter, our estimates based on the CPI detail pointing to annual price growth lifting back above 2.1%yr.
- There are a range factors at play here for prices. Construction costs have fed into the renovation segment of our measure. Some major durable items also have higher transport costs components. However, a notable medium term trend has been the absence of trend price declines for audio-visual and computing equipment, which make up a large part of the 'small durables' segment.
- As chart 15 shows, growth in real per capita spend on the 'major item' segments centred on a 10%qtr jump in vehicles in Q2, led by strong take-up of EVs that was partly in response to the sharp move higher in fuel prices this year. Excluding vehicles, per capita spend was up just 0.3%qtr, 0.8%yr.
- Partial data suggests Q3 is softer with the industry data pointing to a much slower 1%qtr gain for vehicle sales and the ABS Household Spending Indicator detail showing flat volumes for furnishings and household equipment. Our card data also suggests there has been a further shift to outright weakness in discretionary goods in the Oct month.

14. 'Time to buy a major item' vs prices



15. Consumer spending: 'big ticket' items



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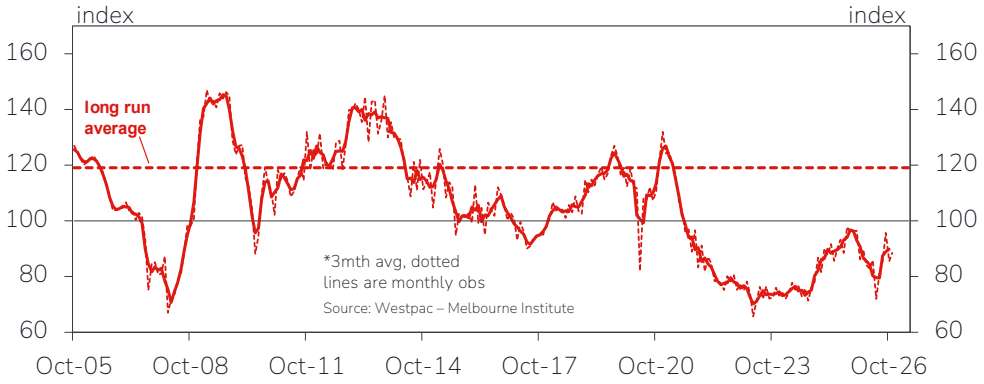
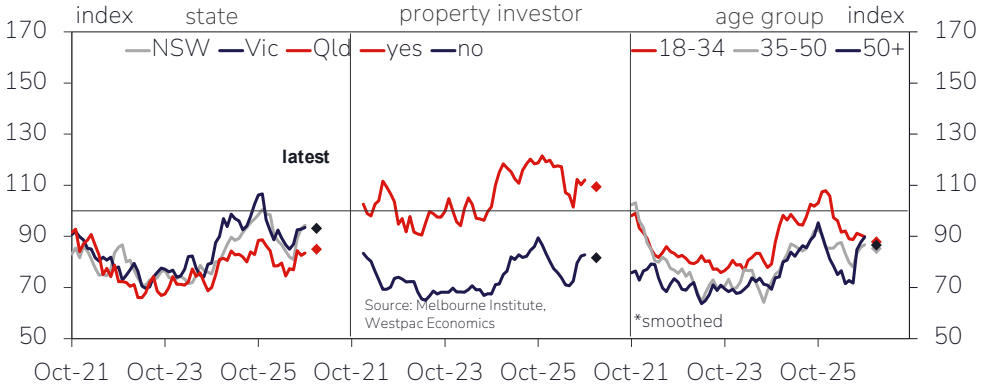
Dwellings: pessimistic and uncertain

- Housing-related sentiment has been understandably unsettled in recent months, reflecting the heightened uncertainty around interest rate and tax policy changes amid evidence of a broadening downturn in established markets.
- Assessments of 'time to buy' – generally seen as being from the perspective of owner occupiers rather than investors – have been choppy month to month but still in firmly pessimistic territory, albeit off the extreme lows seen in previous years.
- The **'time to buy a dwelling'** index actually lifted 3.6% over the 3mths to Oct sharply in May (–16%) but tracked a volatile monthly path, up 12% at one stage but unwinding most of that as inflation and rate rise fears returned.
- At 88.4, the Oct index read is still far from positive, over 30pts below the long run avg of 119.
- The sub-group detail is also quite unsettled. The Oct month improvement was more pronounced for outright homeowners, retirees, 25–34-year-olds and those earning over $80k a year. But on a quarterly basis the biggest improvement has been amongst those aged 50+ and earning over $100k.
- Interestingly, existing owners of residential property investments (25% of all respondents) continue to be outright positive on 'time to buy'.
- By state, buyer sentiment is still a little less downbeat in NSW and Vic (both state indexes at 93), where dwelling prices have seen bigger moves lower, but more pessimistic in Qld (85) and deeply pessimistic in WA (71) and SA (70).
- The overarching question is whether improving affordability – reflecting a mix of lower prices and higher interest rates – will be sufficient to offset unease about the pace of price declines.

16. 'Time to buy a dwelling'



17. 'Time to buy a dwelling': selected sub-groups



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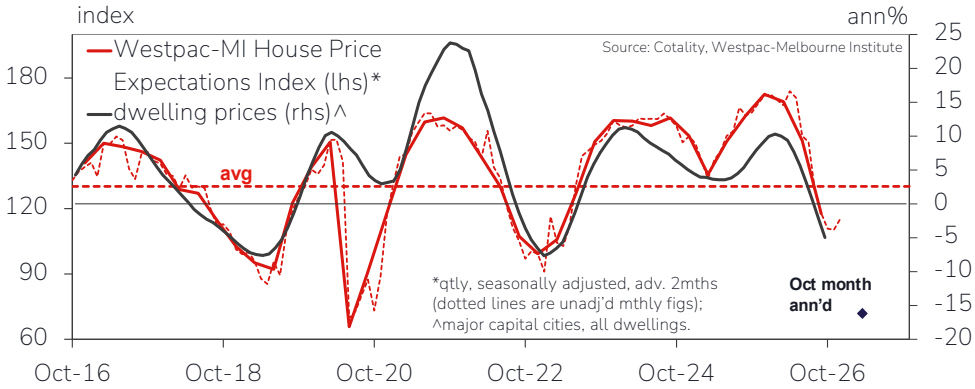
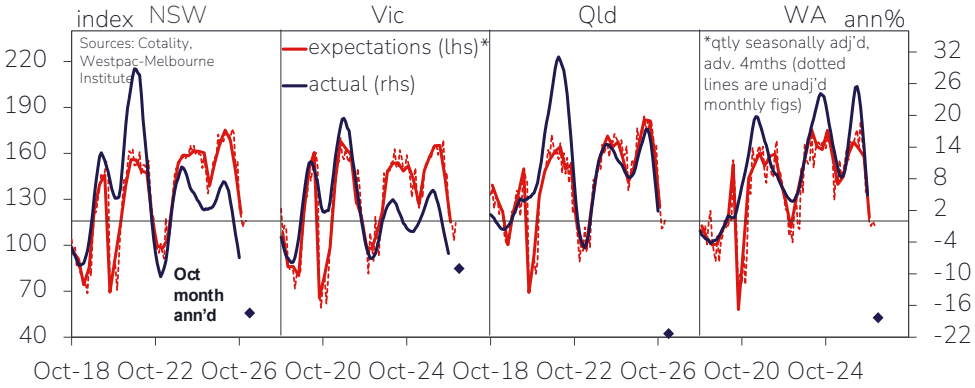
House prices: uncertain vs downbeat

- The broadening and deepening downturn in Australia's housing markets is seeing an equally rapid shift in consumer house price expectations although these have not turned as negative as they did during the 2022-23 correction.
- The **Westpac Melbourne Institute House Price Expectations Index** declined a further 2.4% over the 3mths to Oct, following a steep 25% drop over the previous 3mths. At 115.6, the Oct index read is miles below the 15yr high of 174 at the start of the year and below the long run avg of 130.
- That said, the read is still above 100, meaning more consumers expect prices to rise than fall. This compares to the low of 91 during the 2022-23 correction when the consensus view was for continued declines. The Nov survey update will be an important gauge of whether a negative consensus has again emerged about the house price outlook. If it does, price momentum is likely to remain weak as buyers will be more inclined to hold off and sellers more willing to accept low prices now.
- The detailed responses in Oct were a picture of uncertainty, 46% of those surveyed expecting prices to rise, 18% expecting no change, 31% expecting prices to decline and 5% reporting "don't know". This was a similar mix to Jul.
- That said, there is little doubt that the downturn is deepening. The Cotality home value index – covering all of Australia – fell 1.2% in Oct, annual growth dropping into negative (–2.8%yr) for the first time and prices down 6.7% from their peak in Mar (see here for a full run down).
- Actual price growth has been broadly comparable to consumer house price expectations overall (see Chart 18), although the latest monthly result suggests the latter is set to move materially lower. By state, expectations have overshot outcomes in NSW and Vic, been very closely aligned in Qld but undershot to date in WA.
- Notably, the sub-group detail shows price expectations have outright pessimistic (sub-100) for older age groups.

18. Westpac-MI House Price Expectations Index



19. Dwelling prices: actual vs expected by state



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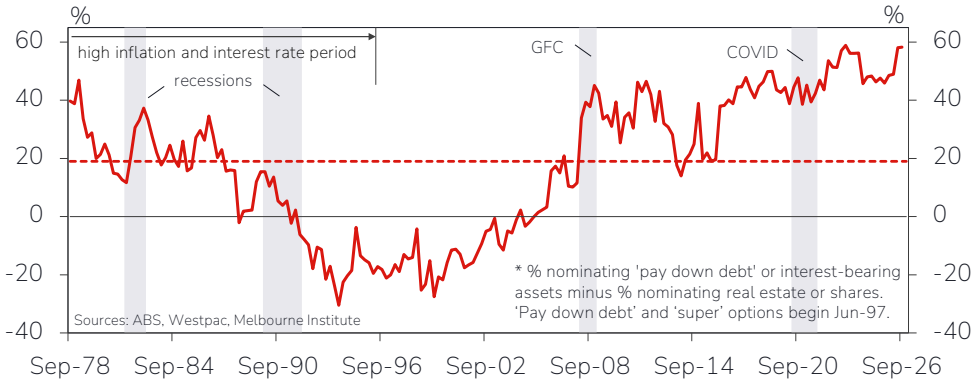
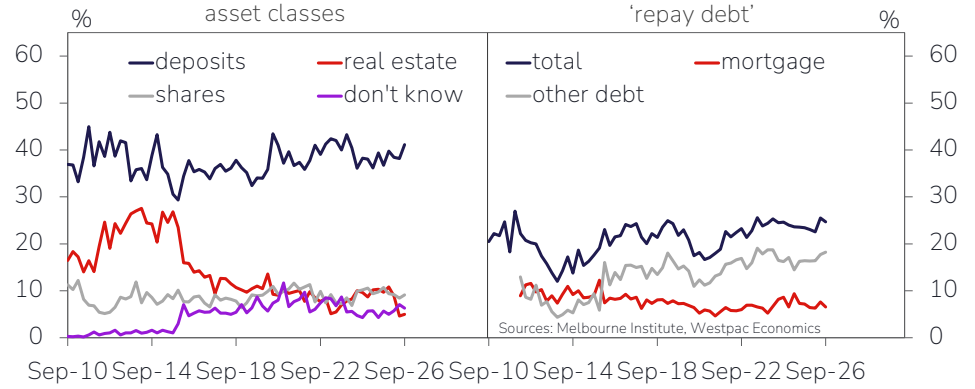
Risk aversion: bracing

- Consumers remain intensely risk averse. The **Westpac Consumer Risk Aversion Index** remained near historical extreme highs in Sep, dipping slightly from 60.1 to 57.5, but unchanged in seasonally adjusted terms (as shown on Chart 20). Readings are just a touch of the 52-year high of 60.8 recorded in June 2023.
- Recall that the index is based on responses to questions on the 'wisest place for savings'. These ask consumers to nominate from a range of options, the risk index being the difference between the share nominating 'safe' options such as 'deposits' and 'repay debt' and the share nominating 'risky' options such as 'shares' and 'real estate'.
- 'Safe options' remain very heavily favoured: 33% of consumers nominating 'bank deposits'; 24% nominating 'pay down debt' and 7% nominating 'superannuation'. The share nominating 'real estate' hold near historic lows at just 4.7%.
- As noted previously, the mix of high inflation, interest rate rises, tax policy changes, a housing downturn, and numerous other factors – including conflict in the Middle East, tariffs, and a range of disruptions from AI – is creating an extremely uncertain environment for consumers when it comes to financial decisions.
- This 'safety first' mode is typically associated with more elevated savings rates, increased voluntary debt repayments and an aversion to new borrowing that drives debt to income ratios lower over time. Notably, mix of responses on 'repay debt' suggests the focus is primarily on non mortgage rather than mortgage debt.
- The survey detail showed a fair bit of variation across sub-groups, with material declines in Vic and SA, 35-44 year olds, retirees and males but rises in NSW and amongst 45-54 year olds. Note that all of these reads were taken from the Sep survey and so pre-date the RBA's rate rise in late Sep.

20. Westpac Consumer Risk Aversion Index



21. Consumer: 'wisest place for savings'



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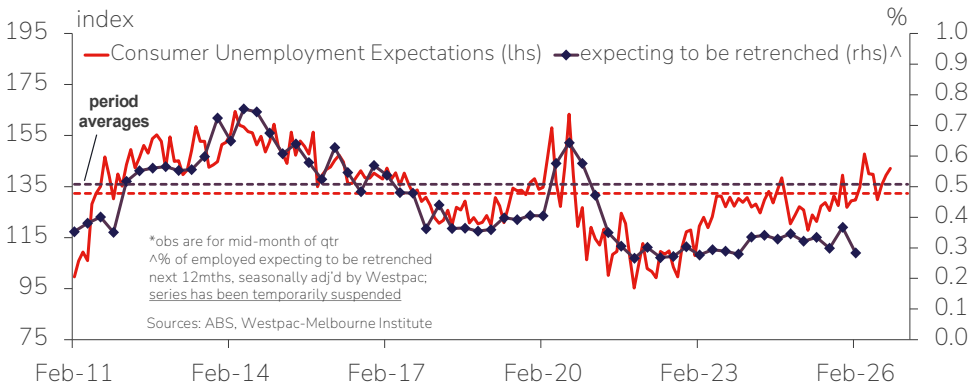
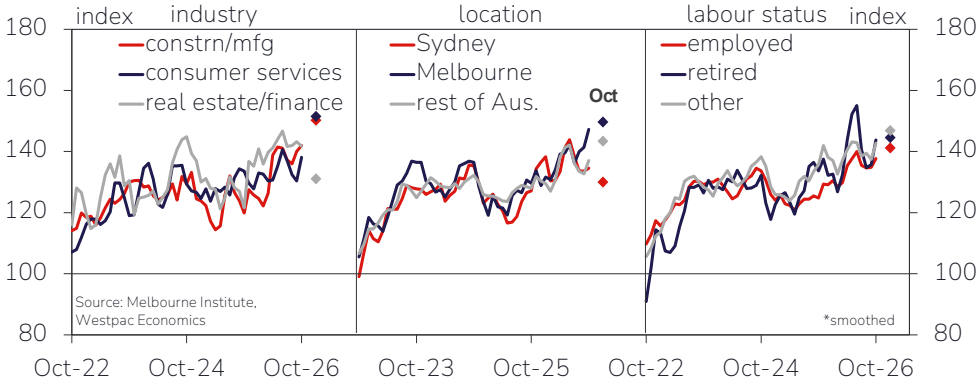
Job security: a wind shift?

- For Australian consumers, the labour market remains an island of relative calm amid the swirling mix of cost-of-living stresses, rate rise and housing downturns. Job-loss fears have moved around, most recently rising again over the last three months, but the moves have been mild compared to wider sentiment swings and the overall level of concern still relatively mild.
- The **Westpac-Melbourne Institute Index of Unemployment Expectations** rose 9.3% over the three months to Oct, reversing most of the 12.1% improvement over the previous three months (recall that higher reads mean more consumers expect unemployment to rise over the year ahead). At 142.2, the Oct index read is now decisively above the long run avg of 129 again but still well below the levels that would sound more worrying alarms.
- The latest ABS labour force figures show employment gains have been lumpy month to month but have averaged +34k/mth through May-Aug, a tick up from the +22k/mth average over the six months prior.
- Annual employment growth has been slower, holding within the 1.0-1.5%yr range over the past year or so. With the working age population expanding 1.7%yr, the mix has seen the unemployment rate drift higher, reaching 4.7% in Aug vs 4.4% in May (see here for more). While there is evidence of a little more slack emerging in labour markets this appears to be mainly coming from a combination of increased supply and more moderate growth in hiring rather than retrenchments. Unfortunately changes to the ABS survey mean official estimates of both retrenchments and expected retrenchment (as shown in Chart 26) are unavailable.
- Based on historical outcomes and adjusting for biases, the latest index read is roughly consistent with a 0.4-0.6ppt rise in the unemployment rate, which would take it into the 5.2-5.3% range by this time next year.
- The sub-group detail shows real estate and construction workers led the deterioration in Oct, suggesting it is linked to interest rate and housing market developments.

22. Unemployment expectations



23. Unemployment expectations: selected sub-groups



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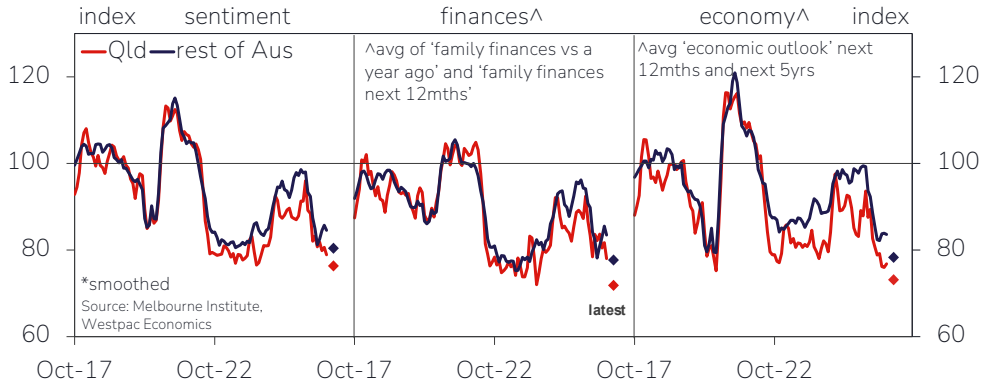
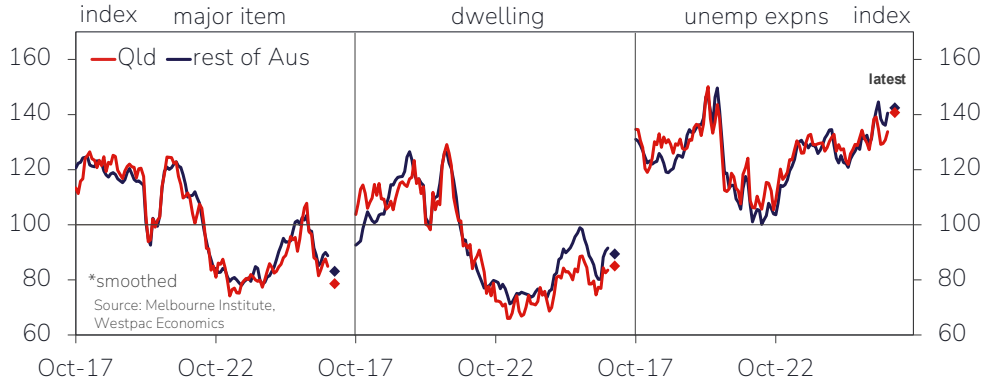
Queensland

- The last time we profiled consumer sentiment in Qld, a year ago, it was seeing a marked divergence with the rest of Aus with Qlders much more pessimistic. Some of that shift appeared to be linked to the withdrawal of what were more material cost-of-living supports provided by the Qld state government, and an associated sharper rise in headline inflation. That in turn suggested the negative wedge on sentiment could close up a little. And for a time this was the case: Qld more-or-less re-converged sentiment-wise with the rest of Aus around the start of 2026. However, since then, sentiment amongst the state's consumers has deteriorated more sharply again. At just 76.3 in Oct, the 'Sunshine state' is the gloomiest of the big 3 eastern states and plumbing 2022-23 lows.
- Component-wise, the 6pt gap with the rest of Aus in recent months has mainly centred on differing assessments of the economic outlook where there has been a 7-8pt wedge. However, assessments of finances deteriorated particularly sharply in the Oct month suggesting the housing downturn, which came on later in Qld, may be a factor now as well.
- Qld'ers are also more pessimistic on time to buy questions (especially dwellings) but interestingly are less troubled about unemployment.
- The latter may speak to a different take on the wider economic and inflation challenges: as a state, Qld has tended to see stronger demand growth (including an expected lift in infrastructure and Olympics-related build) that it putting more pressure on capacity, particularly across its labour market. Qld's unemployment rate is sitting at 4.5% a touch below the national rate which is unusual for a state that has tended to see unemployment track slightly above the national rate for most of its history (not because of labour demand issues but because the strength and composition of its population growth has tended to see more ample supply. This excessive fear factor may be a view in Qld that Australia's capacity and inflation problems may be more substantive and enduring.
- Looking ahead, housing may be the next area to weigh more heavily on sentiment with prices in the state now showing a very abrupt slowing (p13).

24. Consumer sentiment, finances, economy: Qld vs rest of Aus



25. Consumer sentiment: 'time to buy', unemp expns: Qld vs rest of Aus



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Economic and financial forecasts

Interest rate forecasts

Australia	Latest (6 Nov)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28	Dec–28
Cash	4.85	4.85	4.85	4.85	4.60	4.35	4.10	3.85	3.85	3.85	3.60
90 Day BBSW	4.93	4.95	4.95	4.80	4.55	4.30	4.10	3.95	3.95	3.95	3.70
3 Year Bond	4.71	4.90	4.85	4.75	4.65	4.55	4.45	4.35	4.30	4.25	3.90
3 Year Swap	4.69	4.90	4.85	4.75	4.65	4.55	4.45	4.35	4.30	4.25	3.90
10 Year Bond	5.02	5.20	5.15	5.10	5.05	5.05	5.00	5.00	5.00	5.00	4.65
10 Year Spread to US (bps)	17	15	15	15	15	10	0	–5	–10	–15	–20
US											
Fed Funds	3.875	4.125	4.125	4.125	4.125	4.125	3.875	3.625	3.625	3.625	3.625
US 10 Year Bond	4.85	5.05	5.00	4.95	4.90	4.95	5.00	5.05	5.10	5.15	4.85

Exchange rate forecasts

	Latest (6 Nov)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28	Dec–28
AUD/USD	0.6902	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72	0.72
NZD/USD	0.5566	0.56	0.58	0.61	0.63	0.64	0.64	0.64	0.65	0.65	0.66
USD/JPY	157.82	156	154	153	152	151	150	149	148	146	146
EUR/USD	1.1199	1.14	1.16	1.18	1.20	1.21	1.22	1.22	1.21	1.21	1.21
GBP/USD	1.3433	1.34	1.35	1.36	1.38	1.39	1.40	1.41	1.41	1.40	1.40
USD/CNY	6.6688	6.65	t6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30	6.30
AUD/NZD	1.2399	1.27	1.24	1.20	1.16	1.15	1.13	1.12	1.12	1.11	1.10

Sources: Bloomberg, Westpac Economics.

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Economic and financial forecasts

Australian economic growth forecasts

	2026				2027			
	Q1	Q2f	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)
GDP %qtr	0.3	0.4	0.5	0.2	0.4	0.3	0.4	0.5
%yr end	2.5	2.1	2.2	1.5	1.6	1.5	1.4	1.6
Unemployment rate % *	4.2	4.4	4.6	4.7	4.7	4.8	4.8	4.7
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8
%yr end	3.2	3.2	3.4	3.4	3.4	3.4	3.2	3.2
Headline CPI %qtr	1.4	0.6	1.3	1.3	0.4	0.5	1.0	0.5
%yr end	4.1	3.9	3.9	4.6	3.6	3.4	3.2	2.4
Trimmed Mean CPI %qtr	0.8	0.8	1.0	0.9	0.7	0.7	0.7	0.7
%yr end	3.5	3.6	3.7	3.5	3.3	3.3	3.1	2.9

	Calendar years			
	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	–	–	–	–
%yr end	2.6	1.5	1.6	2.4
Unemployment rate % *	4.3	4.7	4.7	4.5
Wages (WPI) (sa) %qtr	–	–	–	–
%yr end	3.4	3.4	3.2	3.4
Headline CPI %qtr	–	–	–	–
%yr end	3.6	4.6	2.4	2.3
Trimmed Mean CPI %qtr	–	–	–	–
%yr end	3.3	3.5	2.9	2.4

* Quarter–average.

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Consumer demand

	2026				2027			
% change	**Q1**	**Q2f**	**Q3f**	**Q4f**	**Q1f**	**Q2f**	**Q3f**	**Q4f**
Total private consumption*	0.4	0.4	0.8	0.2	0.3	0.5	0.5	0.6
annual chg	2.4	1.8	2.1	1.8	1.7	1.8	1.4	1.8
Real labour income, ann chg	2.8	3.0	2.3	1.0	1.3	1.2	1.8	3.2
Real disposable income, ann chg**	1.9	2.3	3.1	0.2	1.1	1.5	1.3	2.8
Household savings ratio, %	6.4	6.5	7.2	5.1	5.8	6.4	7.1	6.1
Motor vehicle sales ('000s)***	846	928	939	907	912	916	921	925
annual chg	-1.9	10.3	10.9	8.0	7.8	-1.3	-2.0	2.0

	Calendar years			
	2025	**2026f**	**2027f**	**2028f**
Total private consumption, ann chg*	2.1	2.0	1.7	2.4
Real labour income, ann chg	3.4	2.3	1.9	3.3
Real disposable income, ann chg**	4.3	1.9	1.7	3.1
Household savings ratio, %	6.5	6.3	6.4	7.0
Motor vehicle sales ('000s)	848	905	918	948
annual chg	-3.9	6.8	1.5	3.3

Notes to pages 23 and 24:
* National accounts definition.
** Labour and non–labour income after tax and interest payments.
*** Passenger vehicles and SUVs, annualised (includes EVs).
^ Average over entire history of survey.
^^Seasonally adjusted. # Net % expected rise next 12 months minus % expecting fall (wage expectations is net of % expecting wages to rise and % expecting flat/decline).
Note that questions on mortgage rate and house price expectations have only been surveyed since May 2009.

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Consumer sentiment

		2026									
% change	avg^	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct
Westpac–MI Consumer Sentiment Index	100.2	92.9	90.5	91.6	80.1	83.0	80.6	83.9	88.9	84.4	80.4
family finances vs a year ago	87.7	82.7	78.8	80.2	66.8	72.8	67.3	71.1	80.0	72.6	66.9
family finances next 12 months	106.4	97.8	97.7	97.6	84.0	93.0	85.1	96.5	98.2	94.5	88.4
economic conditions next 12 months	90.5	88.4	88.5	85.9	75.3	74.2	77.8	78.3	82.8	79.5	78.3
economic conditions next 5 years	92.1	96.5	94.1	96.3	91.4	89.3	86.5	87.1	89.8	85.8	85.5
time to buy major household item	123.0	99.1	93.5	98.0	83.3	85.6	86.4	86.8	93.8	89.3	83.0
time to buy a dwelling	119.1	89.6	84.0	82.9	85.8	72.0	81.1	85.4	95.7	85.5	88.4
Westpac–MI Consumer Risk Aversion Index^^	19.3	–	–	49.0	–	–	58.0	–	–	58.3	–
CSI±	93.7	80.3	78.3	78.4	66.9	71.3	68.2	73.3	75.6	71.7	67.6
Westpac–MI House Price Expectations Index#	130.2	167.5	173.9	171.0	153.5	150.6	128.2	118.0	110.8	110.3	115.1
consumer mortgage rate expectations#	40.5	52.8	77.5	70.5	77.2	81.2	72.6	62.6	58.8	70.4	79.7
Westpac–MI Unemployment Expectations	129.3	129.4	129.8	134.7	147.8	140.0	139.8	129.9	135.7	139.4	142.1
MI inflation expectations (trimmed mean)	4.4	4.6	5.0	5.2	5.9	5.6	5.5	4.7	4.9	4.9	5.3
MI wage expectations (trimmed mean)	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.6	1.2	1.2

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First Impressions: RBNZ Monetary Policy Review October 2026

#rbnz #newzealand

By Kelly Eckhold & Westpac New Zealand Economics

12:30 October 28 2026

Share

The RBNZ left the OCR unchanged at 2.75% (in contrast to market expectation for a hike, including ourselves).

The MPC has stuck to its strategy of pausing to assess the impact of tightening already done. There is a clear split among the MPC members on where the risks lie although it seems clear enough that higher interest rates are in the future the data evolves as the Committee expects. Key factors to focus on are data on inflation expectations, the global economy (and potential downside risks there) and the

path of fuel prices. We expect a 25 bp increase in the OCR in December to 3% and are reverting to the OCR profile we had up until mid last week. We don't think the December hike is a done deal as the data will inform the next move. We will revert with more detail after the press conference.

Key takeouts from the minutes below.

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Key takeouts

Category	2 September 2026 meeting	28 October 2026 meeting
The next policy decision	Future policy decisions will depend on the Committee's judgement of the balance of risks to medium-term inflation.	Members discussed that information arriving over the next six weeks could meaningfully change the appropriate policy stance in either direction.
	Conditional on the central economic outlook, members judged that the OCR may need to increase further.	All members agreed that tighter monetary policy is likely to be required, but remains conditional on the economic outlook.
	However, the future OCR path is not pre-determined.	
The medium term direction for the OCR	The Committee judges that gradually removing monetary stimulus is appropriate to return inflation to the 2 percent target mid-point while supporting growth and employment.	Further OCR increases likely, but are conditional on the outlook

Category	2 September 2026 meeting	28 October 2026 meeting
	All members agreed that gradually removing monetary stimulus is consistent with achieving the medium-term inflation target, conditional on the outlook.	If domestic pricing pressures fail to moderate sufficiently or broaden beyond what costs and normal pass-through can explain, this could warrant further tightening.
	Conditional on the central economic outlook, members judged that the OCR may need to increase further.	On the other hand, subdued pricing pressures could require holding at future meetings.
		And if the global economy turns sharply down, materially weakening demand and the inflation outlook, this could alter the desired stance, including leading to monetary easing.
The neutral OCR		The Committee acknowledged that the neutral interest rate has a wide range of plausible estimates.
		Members noted that the increase in global long-term yields may partly signal a higher global neutral interest rate, due to higher inflation expectations, war destruction and demand for capital to support AI investment.
		Higher global interest rates could bring forward a potential global downturn, and the neutral interest rate could decline rapidly in the event of an abrupt global adjustment.

Category	2 September 2026 meeting	28 October 2026 meeting
The strength of economic activity	After lacklustre growth in the June quarter, New Zealand's economic recovery has most likely resumed but remains uneven.	The New Zealand economy continues to recover, although conditions remain uneven.
	The recovery is expected to strengthen and broaden.	The Committee noted that GDP growth was more than expected through the first half of 2026.
	The Committee assessed that growth was lacklustre in the second quarter of 2026.	Business survey measures point to continued expansion in economic activity.
	The economic recovery is expected to have resumed in the third quarter, while remaining uneven across sectors and regions.	Household consumption has been weak and the aggregate saving rate is estimated to be 3.7 percent, above the 10-year average of 1 percent.
The global economic outlook	The global economy is facing significant risks that could affect commodity prices and demand for exports.	Global growth has been resilient but is increasingly fragile given geopolitical tensions, high energy prices, financial stresses, and surging AI-related investment.
	Despite recent geopolitical events, economic growth in New Zealand’s trading partners has remained resilient and the outlook has improved.	The Committee assessed that there are significant risks to the global economic outlook.

Category	2 September 2026 meeting	28 October 2026 meeting
	Although risks to the global economy remain heightened, the Committee expects global economic conditions to remain favourable for New Zealand’s export facing businesses over the medium term.	The Committee noted that a global downturn could occur abruptly.
The labour market	Conditions in the labour market should improve as the recovery gathers pace.	Employment growth remains subdued and higher prices will further reduce real incomes and purchasing power.
	Employment growth has not been sufficient to fully absorb new entrants into the labour market and unemployment is elevated, particularly in Auckland and Wellington and for youth and the long-term unemployed.	Employment intentions remain weak, pointing to continued slow recovery in the labour market.
	The labour market is expected to slowly improve, with employment growing and unemployment falling as the economy recovers.	To date, wage growth has been subdued, and medium-term inflation expectations have remained stable.
	On balance, the Committee assesses that spare capacity remains in the economy, particularly in the labour market.	

Category	2 September 2026 meeting	28 October 2026 meeting
The short term inflation outlook	Inflation increased to 4.1 percent in the June quarter because of higher fuel prices arising from the conflict in the Middle East.	Annual inflation is expected to increase to 4.4 percent in the December quarter, largely reflecting current futures prices for fuel.
	The Committee expects inflation to remain elevated this year before returning to the target band by mid-2027 and reaching the 2 percent mid-point later next year.	Near-term inflation forecasts are uncertain given volatility in prices for oil and refined fuels.
		Direct effects of higher fuel prices will drop out of the annual inflation calculation in late 2027 if prices for refined petroleum products stabilise or fall.
The medium term inflation outlook	Core inflation, expected wage growth, and inflation expectations remain consistent with inflation returning to the 1 to 3 percent target band by mid-2027 and the 2 percent target midpoint later next year.	The Committee is focused on returning inflation to the 2 percent target mid-point over the medium term, discounting temporary disturbances to inflation and avoiding unnecessary economic instability.
	Longer-term inflation expectations remain near 2 percent, while most measures of one and two-year-ahead inflation expectations have fallen since May.	Impacts on shortterm pricing behaviour appear to have been contained and medium-term inflation expectations remain well anchored.
	Currently, indicators of medium-term inflation are consistent with inflation returning to target.	But the longer inflation remains high, the greater the risk of higher costs feeding into inflation expectations and price- and wage-setting behaviour, making inflation more persistent.

Category	2 September 2026 meeting	28 October 2026 meeting
The balance of risks for economic growth and inflation	New Zealand’s economic recovery could be stronger or weaker than expected and price pressures could generate more persistent inflation.	New Zealand’s recovery could be stronger than expected but could also lose momentum if the global environment deteriorates or export strength does not flow through to jobs, incomes and household spending.
	Consumption growth could be subdued if employment and house price growth remain weak, or if precautionary behaviour persists.	There is a risk that inflation becomes entrenched before conventional expectations measures respond, despite the previous two OCR increases.
	Alternatively, consumption growth could be stronger and absorb spare capacity faster than currently anticipated.	In addition, the world economy could tip abruptly into a downturn causing weaker inflation over the medium term.
	All members agreed that downside risks to activity were significant and that the recovery could remain uneven.	It is also possible that geopolitical escalation could drive fuel prices higher while weakening global economic activity at the same time.
Key arguments advanced by more hawkish MPC members	Hayley Gourley, Karen Silk, Prasanna Gai and Anna Breman saw upside risks to inflation relative to the central projection.	Hayley Gourley, Paul Conway and Karen Silk favoured increasing the OCR by 25 basis points at this meeting.

Category	2 September 2026 meeting	28 October 2026 meeting
	These members observed that more persistence in energy and petrochemical prices could raise near-term inflation risks, impact price-setting behaviour, and lead to more sticky inflation over the medium term.	These members emphasised that core inflation has been above levels consistent with headline inflation at the target mid-point for some time.
	Price-setting can be a front-loaded process, meaning businesses could raise domestic prices more than import costs warrant.	This increases the risk of inflation becoming entrenched in price-setting behaviour as the conflict and its consequences endure, including through higher freight and shipping costs.
	These factors increase the risk that monetary policy needs to lean against broader inflation pressures.	Acting now would guard against sustained inflation pressures and potentially reduce the risk of needing to do more with interest rates later.
Key arguments advanced by more dovish MPC members in each meeting	Paul Conway and Carl Hansen saw risks to inflation as balanced.	Anna Breman, Carl Hansen, Rebecca Williams and Prasanna Gai favoured holding the OCR at this meeting as two recent OCR increases allow the Committee to take further time to assess their effects and economic developments.
	These members shared concerns that high inflation could become embedded through price-setting behaviour.	Actual inflation was lower than expected, reflecting smaller indirect effects of higher fuels prices, and medium-term inflation expectations and wage growth remain consistent with returning inflation to the target mid-point.

Category	2 September 2026 meeting	28 October 2026 meeting
	But weighed against this, they saw activity risks as skewed to the downside and noted that these could weigh on inflation.	These members emphasised the risk of a weak recovery, particularly in household consumption and investment.
	They highlighted the potential effects of weak house prices and precautionary behaviour, weakening growth in household spending.	They favoured pausing at this meeting to observe and assess demand and financial conditions.

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RETAIL SPENDING PULSE

6 November 2026

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Discretionary spending flat as high fuel prices bite

- Per-person spending on Westpac issued credit and debit cards was up 1.2% in October and is 7.8% higher than this time last year.

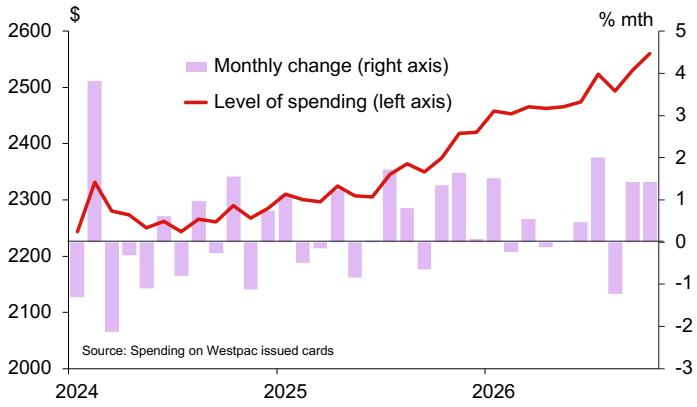
October spending.

- October's rise in spending was mainly related to the sharp increase in petrol prices, with the average price for 91-unleaded around the country climbing to a record high of over $3.60/ltr. That saw spending on fuel rise 14% over the month.
- Those higher fuel prices, along with other cost of living pressures, have put the brakes on other purchases. Spending in discretionary areas was down 0.4% in October and has essentially been tracking sideways since May. There's been notable softness in spending on travel and household furnishings. However, spending in restaurants has been holding up.

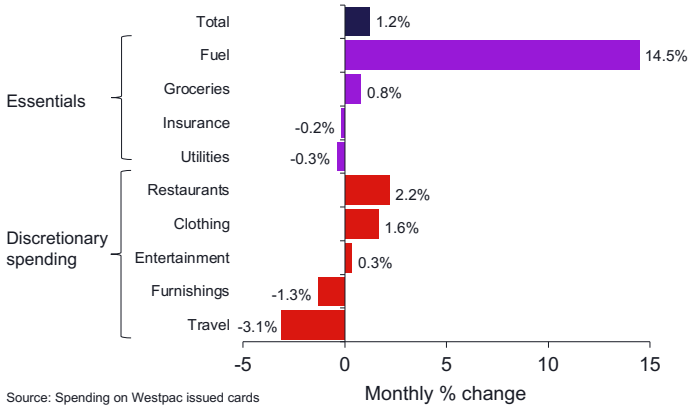
Annual growth.

- While spending has certainly been constrained by the rise in living costs since the start of this year, spending levels are still well above those we saw in 2025. And that's not just because of high fuel prices, with spending in discretionary areas also up compared to this time last year.
- That's been supported by factors such as the drop in borrowing costs over the past year and strength in export earnings. The boost from those factors is helping to balance the impacts of factors such as softness in the labour market and high fuel prices. However, as we highlight over the page, the strength in spending has been uneven across the country.

Monthly retail spending (per person, seasonally adjusted)



Monthly spending growth (per person)



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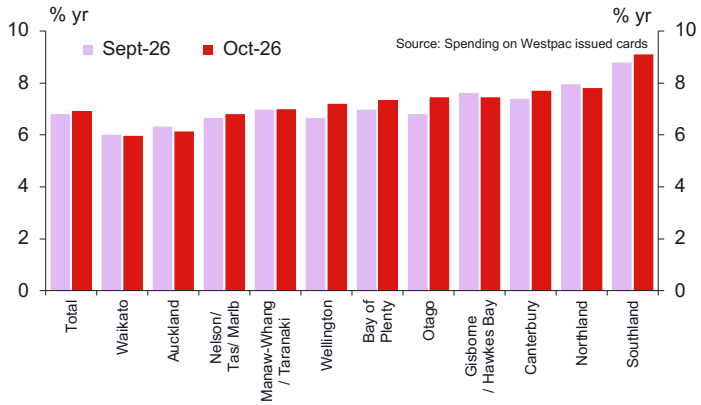
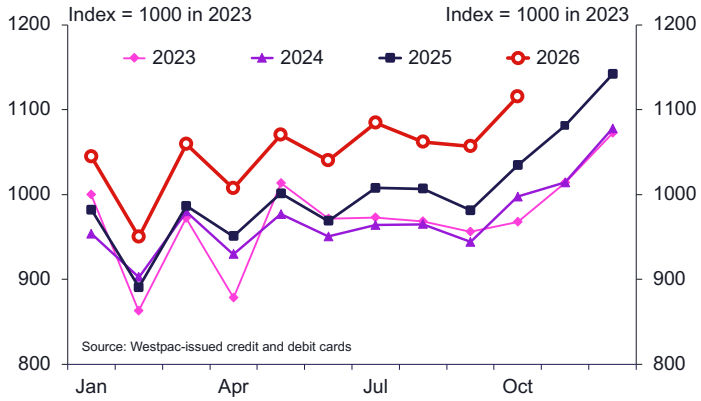
Regional breakdown

- As has been the case for some time, spending growth has been strongest in Southland. Other parts of the country with strong rural backbones like Canterbury and Northland have also continued to see solid gains.
- Spending growth remains more modest in Auckland. However, we expect that spending in Auckland will take a step higher next month, with hospitality spending in particular likely to be boosted by events like the Indian cricket tour, Diwali and Auckland Marathon.
- In a notable move, Wellington has shifted up the ranks and now sits in the middle of the pack. Wellingtonians are no doubt holding their breath ahead of Saturday's tight election and many will be stocking up for the traditional election night barbecue and watch party.*

Annual spending growth - past three months compared to same time last year



Spending on Westpac credit and debit cards (per person)



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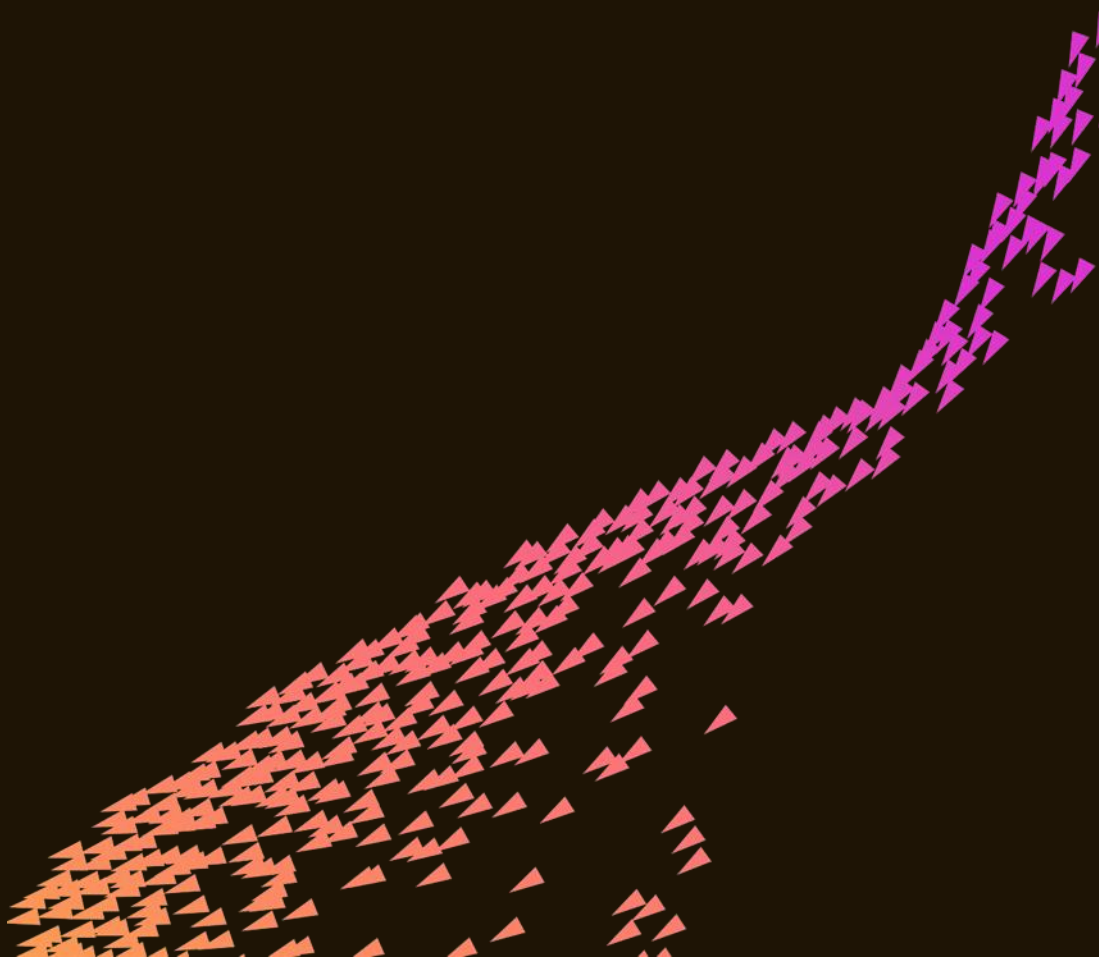
First Home Buyer Report

October 2026



Cotality – Westpac

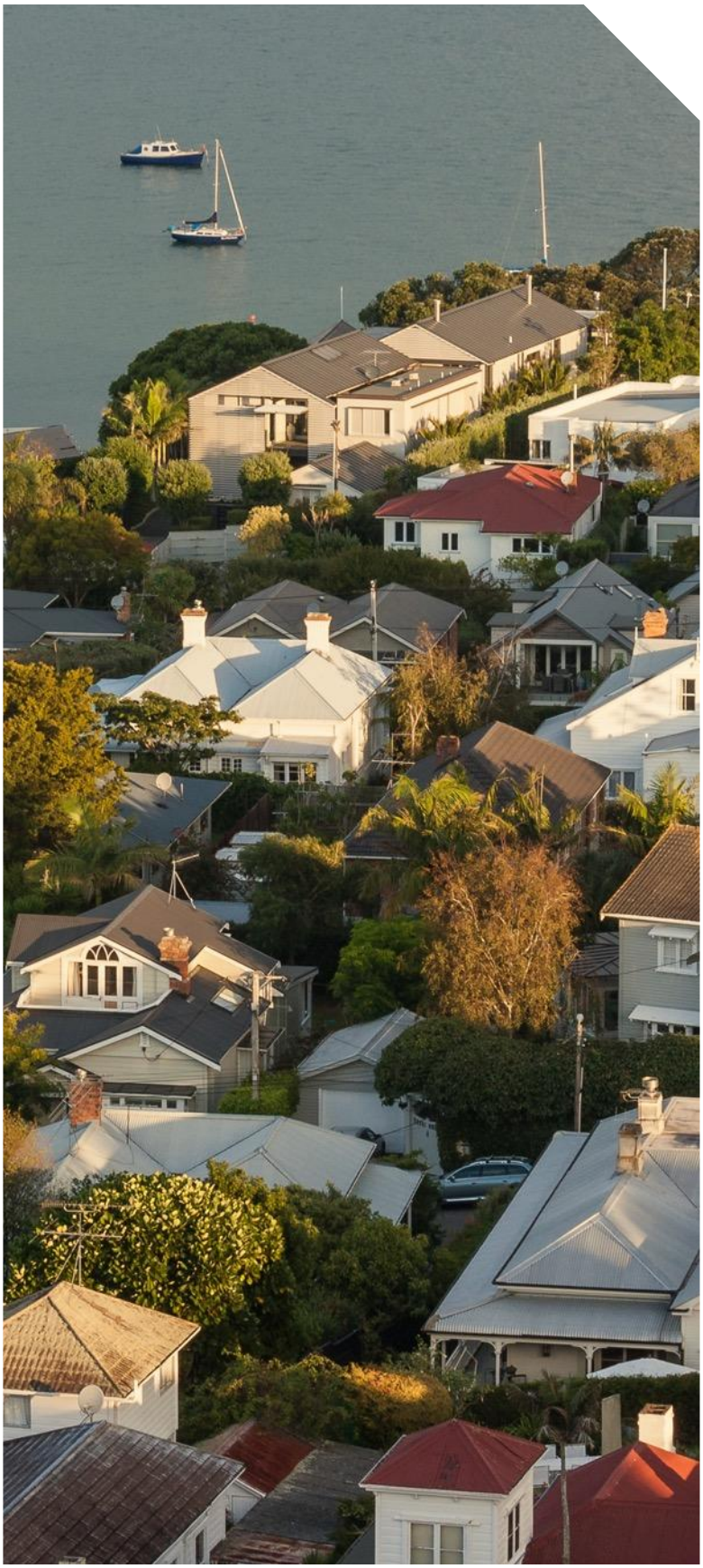
First Home Buyer Report

Cotality's First Home Buyer (FHB) Report has tracked purchasing activity for several years, analysing the types of properties bought, the prices paid, and broader shifts in entry-level demand. The latest edition updates these measures and extends the analysis to examine FHB activity across different price brackets.

Now in its fourth edition in partnership with Westpac, the report also draws on the bank's mortgage lending data to provide additional insight into borrower characteristics. That includes the average age of FHB borrowers, a measure not widely available elsewhere, as well as loan-to-value ratios across new mortgages.

For clarity, we define a first home buyer purchase to be where no party involved has owned property in New Zealand before and are using a mortgage to make the deal.

Note:
The Westpac FHB age and LVR data are sourced from their lending records and is not matched to the Cotality database for this report.



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First Home Buyer Report

Key findings

- **FHBs' market share remains at record high levels.** In Q3 2026, they accounted for 29.5% of property purchases across NZ, surpassing the previous mark of 28.3% only set three months earlier. The number of deals remains at historically high levels too, bucking the wider trend of slowing sales volumes for groups such as investors and relocating owner-occupiers.

- **This strength for FHBs is being seen right across the country,** with market shares generally running above their own long-term averages (since 2005). The wider Wellington area remains a hotspot for FHBs, accounting for 37% of activity so far in 2026. But FHBs have also been at least 30% of the market in Hamilton and Auckland, as well as Gisborne, Rotorua, Hastings, Palmerston North, and Invercargill – South Waikato and Waikato District too.

- **This high level of activity hasn't meant too many compromises either;** standalone houses have comprised 76% of all FHB purchases so far in 2026, up from 75% last year, and the highest figure since 2020 (78%). To be fair, FHBs have had to pay a little more, with a median price so far this year of $715,000, but still less than nearly $719,000 in 2022.

- **FHBs are more active across the value spectrum too.** For example, in the middle 40% of the market by value, their share rose from 21% in 2015 to 28% in 2025, and now about 30% so far this year.

- **Access to low deposit finance under the LVR rules remains a key support for first home buyers.** Recent Reserve Bank data shows that more than half of FHB loans are done at less than 20% deposit (or above 80% LVR), and Westpac's own lending records show a recent average LVR for FHBs of a touch more than 80%.

- **The average age for FHBs on Westpac's books has ticked higher lately, from around 35 late last year to about 35.5 now.** But rather than necessity due to affordability pressures, this is more likely to reflect a choice from many buyers to just wait for the right property without fear the market will run away again in the meantime.

- **Looking ahead, although it's never easy to get that first home, conditions should remain favourable for FHBs.** Mortgage rates remain lower than at many points in the past, KiwiSaver access for at least part of the deposit remains a strong support, and the banks remain willing and able to lend at low deposit/high LVR too.

- **This is clearly a 'good news story' which we should never get blasé or complacent about,** after so many previous years (even decades) of intense housing affordability pressures and a declining home ownership rate.

- As we head into November's election, the bottom line is that first home buyers are starting from a strong base.

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First Home Buyer Report

Commentary from Satish Ranchhod, Westpac NZ Senior Economist

It's been another solid few months for first home buyers with their share of house sales remaining around record highs across the country. That's a stark contrast to the softness in the broader housing market over the past year.

Helping to support those high levels of first home buyers have been a couple of big trends. The first is the large number of properties available for sale. That's meant those looking to get their foot on the property ladder have had plenty of options. As a result, first home buyers have often been able to get into newer and larger standalone homes without having to pay significantly more.

The other factor that has boosted first home buyer numbers has been the relatively low level of mortgage rates in recent years. Combined with broadly flat house prices, that's meant servicing a mortgage has been much more affordable, with the share of disposable income being spent on debt-servicing costs back around pre-pandemic averages. For the average first home buyer, lower mortgage interest rates in recent years shaved around $560 off their monthly mortgage payments compared to 2023 when interest rates were at their peak. And in Auckland, where first homes tend to be more expensive, the saving is around $685 a month.

While those are encouraging trends for first home buyers, there are some big changes in economic conditions occurring which are likely to have important implications for the housing market over the year ahead.

Most notable has been the sharp rise in inflation in the wake of the Middle East war, with oil prices rocketing higher since the start of this year. That contributed to consumer prices rising by 3.7% in the year to September. Relatively high core inflation levels mean we expect inflation will push above 4% before the end of this year and remain high for much of 2027.

In response to those mounting inflation pressures, and concerns that they will persist for some time, the RBNZ began lifting the Official Cash Rate (OCR) back in July. We expect further hikes in coming months. The resulting pressure on borrowing costs has seen mortgage rates push higher in recent months, with one- and two-year fixed rates up around 0.75 percentage points over the past year.

Even with the recent rise in mortgage rates, the housing market is still a lot more accessible for first home buyers than a few years ago. But with growing upward pressure on interest rates, it's a good time for prospective first home buyers (or anyone with a re-fix coming up) to think about the best way to structure their borrowing. That could help insulate them from the likely trend higher in the OCR over the next couple of years and could save them a lot of money over the life of their mortgage. There's a relatively modest difference between short- and longer-term fixed mortgage rates right now, which means the cost of taking this 'insurance' is not prohibitive.

Minimum monthly mortgage payments*

		Two year fixed mortgage rate		Fall in minimum monthly payment
		2023	Current	
	Median price Q3 2026	6.99%	5.29%	
Nationwide	$707,000	$4,382	$3,824	-$558
Auckland	$868,000	$5,380	$4,695	-$685
Wellington	$720,000	$4,463	$3,895	-$568
Christchurch	$650,000	$4,029	$3,516	-$513

(*Calculations based on a median price first home with an 80% mortgage fixed for two years and a term of 20 years.)

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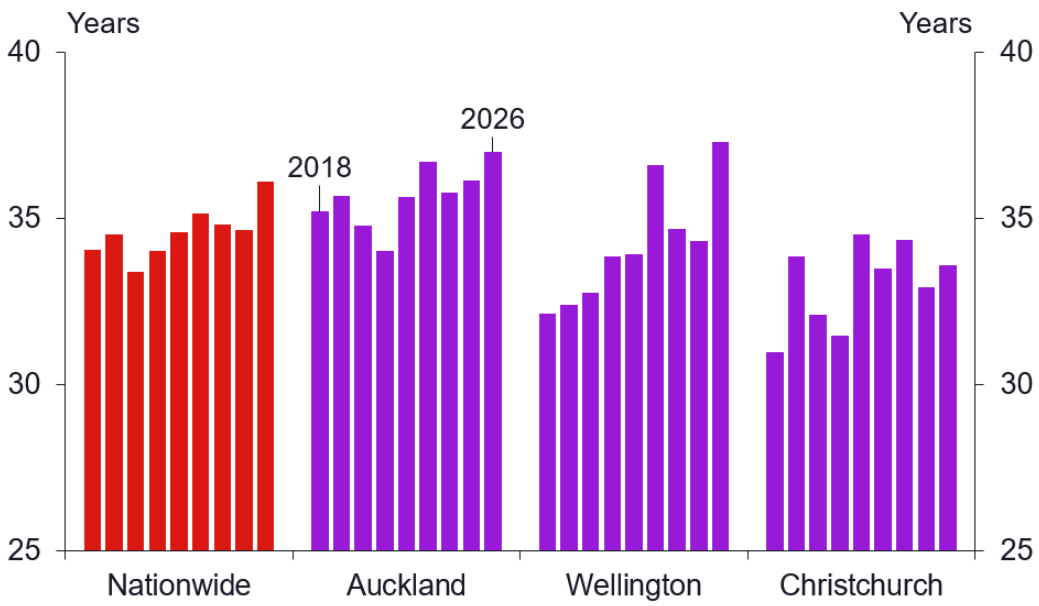
First Home Buyer Report

Providing some offset to the lift in borrowing costs, house price inflation is low, with effectively no growth in average house prices for three years now. And with mortgage rates pushing higher, prices are expected to remain soft for some time. We expect that average house prices will fall by 1.4% over 2026, with a rise of just 1.8% in 2027.

At the same time, the supply of housing is continuing to lift, with more than 40,000 new dwellings consented over the past year. We expect population growth to increase, but from low levels, which means the demand for housing might not be shifting sharply higher any time soon.

That combination of conditions means that there is still likely to be a lot of options for those looking to get into their first home over the coming year.

Average age of first home buyers from Westpac loans (2018 to 2026)



Source: Cotality, Westpac

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First Home Buyer Report

The national picture

Since our previous FHB Report back in May 2026, the wider housing market has remained subdued and patchy – generally sales volumes have been flat to falling, while property values have been showing a similarly soft picture, albeit not everywhere. Amongst the main centres, Auckland and Wellington, as examples, have been more sluggish than say Christchurch or Dunedin. It's also noteworthy that the stock of listings available for sale remains elevated across the country.

It's not difficult to find the reasons why the market remains in the doldrums. The economic backdrop is still uncertain, the unemployment rate is above average, and mortgage rates have been drifting higher in recent months as inflation fears remain strong. A better balance of physical housing supply versus our population is also dampening prices, while the election has been a recent reason for caution too. It's harder to measure, but 'animal spirits' aren't a key factor at the moment either.

FHBs have gone from strength to strength

In this purchaser-friendly environment, first home buyers have continued to take full advantage. The Cotality Buyer Classification data shows that their market share hit a new quarterly record high of 28.3% in Q2 2026, only to push higher still in Q3 – reaching 29.5%. They're also faring well in terms of the number of deals too, recently hovering at around 25,000 on a 12-month rolling basis, back to levels last seen (for a brief period) at the height of the post-COVID boom.

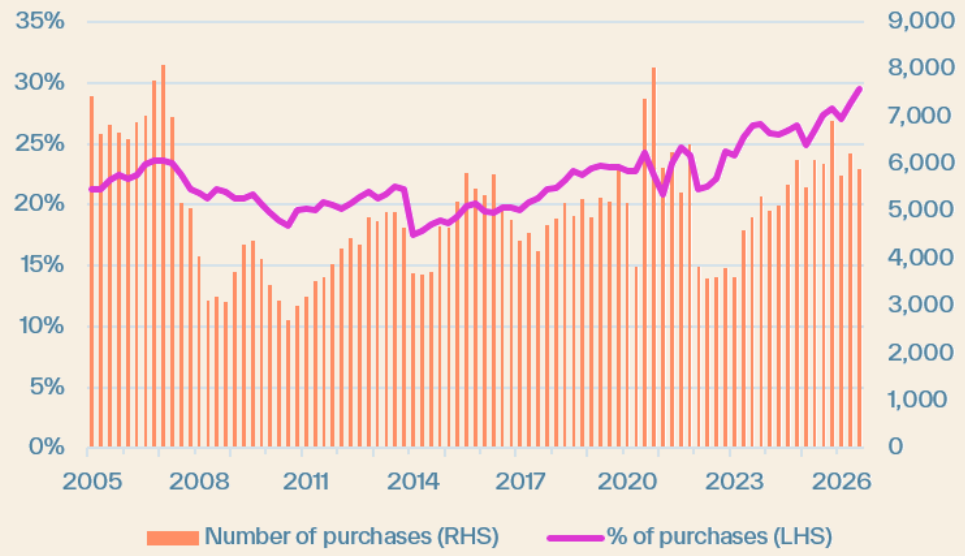
Clearly, lower property values – still down by more than 18% nationally from the peak – and improved housing affordability (even despite some recent rises in mortgage rates) are helping FHBs. But those aren't the only factors; access to (ever-growing) KiwiSaver pots for at least part of the deposit is also a factor, alongside decent availability of high LVR finance at the banks.

Indeed, the 25% allowance/speed limit to lend to owner-occupiers at less than 20% equity (or >80% LVR) is not being tested at the moment and recently more than half of FHB loans have been advanced at less than 20% deposit. **Westpac's own mortgage lending records show this in a different way – with the average LVR for their loans to FHBs in recent months still running a touch above 80%.** LVRs tend to be higher in Auckland, but a bit lower in Canterbury and Wellington.

They're also getting more for their money

FHBs have always tended to be willing to compromise on location or property type to make the shift from renting into ownership, but lately there hasn't been much need to take such an approach. **Over 2026 to date (Q3), standalone houses have comprised 76% of all FHB purchases, up from 75% last year, and well above 2023's cyclical trough of less than 70%.** For comparison, standalone houses have accounted for around 72% of deals across all buyers year to date.

National FHB activity



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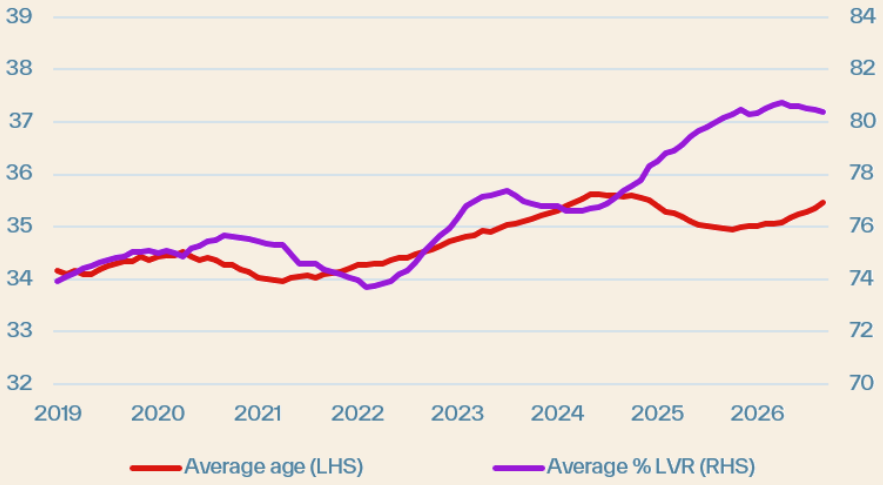
First Home Buyer Report

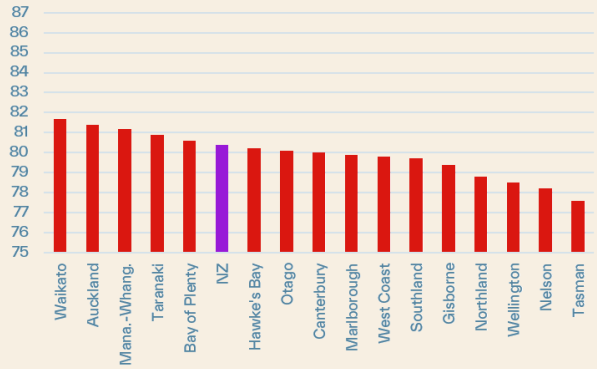
Average % LVR for Westpac FHB loans and average age of borrower (12-month rolling averages)

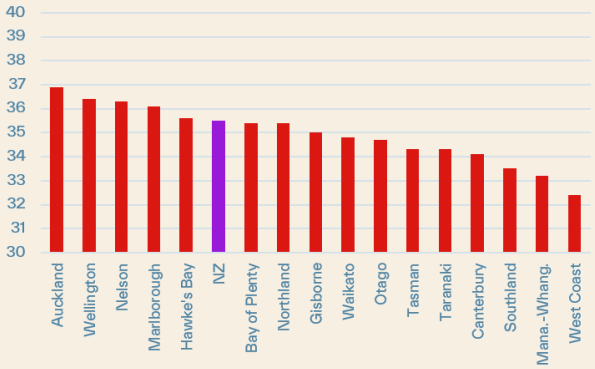
Source: Westpac



Regional % LVRs and average FHB age (12-month rolling averages)

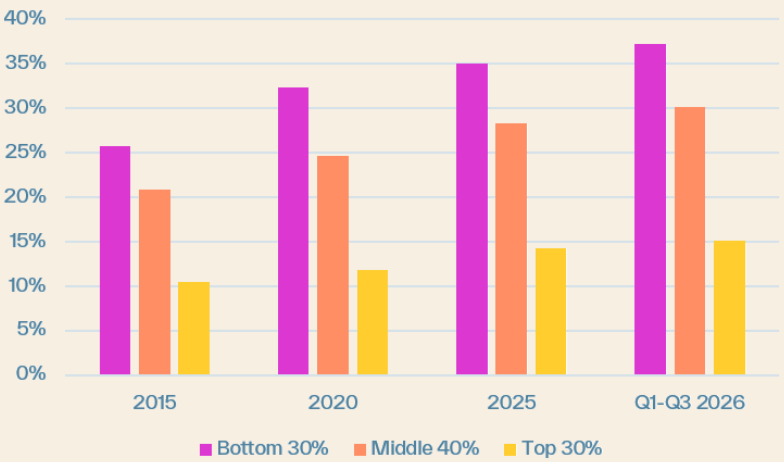
Source: Westpac





FHB % market share by price paid band

Source: Cotality



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First Home Buyer Report

This shows that FHBs are getting the most for their money in a quieter market. Admittedly, the median price they've paid so far this year has risen to $715,000, up from $701,000 in 2025 and also higher than the 2023 ($695,000) and 2024 figures ($692,000). But that latest price is still around $4,000 lower than in 2022, yet FHBs are still getting 'more house'.

Another important point to make is that FHBs don't always enter at the bottom of the housing ladder and work their way up – many actually enter well above the lowest tiers of the market. Indeed, the FHB median price paid of $715,000 this year is below the all-buyer figure of $785,000, but well above the all-buyer lower quartile (bottom 25%) of $595,000.

This point can be made another way too, with Cotality figures showing a rising share of activity for FHBs right across the price spectrum. Perhaps most notably, FHBs have accounted for 30% of purchases in the middle 40% price bracket of transactions so far this year, up from a 28% share in 2025, 25% in 2020, and only 21% in 2015. They've even accounted for 15% of activity so far this year in the top 30% of deals split by price.

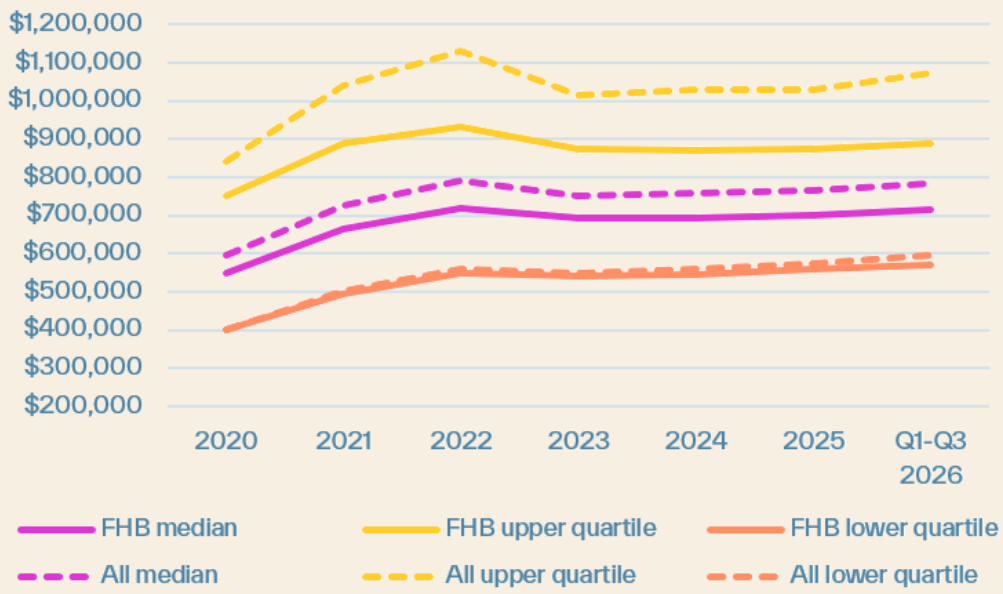
FHBs' average age has edged higher again, but probably just due to a lack of pressure

Meanwhile, at face value, Westpac's data showing that the average age of a FHB has recently edged back up to around 2024 levels of 35.5 again, after a trough of 35 late last year, could seem at odds with the other, more encouraging trends. But rather than being out of necessity (e.g. due to affordability pressures), this could reflect the abundance of listings and subdued house prices, meaning that **some/many FHBs might just be choosing to wait a bit longer to get their ideal property, without fear they'll be left behind by a rising market.**

A solid outlook

Overall, it's never easy to buy that first home and FHBs certainly continue to face challenges. But their presence has remained strong in recent months and, although nothing lasts forever, it's not hard to imagine that FHBs stay a solid presence into 2027 as well. This is a 'good news story' which we should never get blasé or complacent about, after so many previous years (decades) of intense housing affordability pressures and a declining home ownership rate.

Purchase price paid



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First Home Buyer Report

The main centres

Looking at the data across Auckland, Hamilton, Tauranga, wider Wellington (i.e. combined City, Lower Hutt, Upper Hutt, Porirua), Christchurch, and Dunedin, the national trends can also be seen at the more granular level – indeed, all of these areas have had FHB market shares lately that are above their own averages.

The wider Wellington area remains a standout for FHBs, where their share so far this year has been a touch above 37%, well in excess of their long-term average in that market of 30%. FHBs have also had a market share in 2026 above 30% in Hamilton and Auckland. The figures have been a little lower in Christchurch and Dunedin (both around 28%), as well as Tauranga (circa 25%), but in each of those markets the figures have still been 4-8%-points above their own averages.

Looking at the different property types, standalone houses still dominate in most areas, accounting for 85-90% of FHB purchases in Dunedin, Tauranga, and Hamilton – broadly in line with the long term norms in those areas. The share for houses amongst FHB purchases is always lower in Christchurch, Wellington, and Auckland, but it's perhaps the former that stands out most at present – with only 66% of FHB purchases so far in 2026 in Christchurch being standalone houses, versus the historical average of 75%. This no doubt reflects the recent townhouse construction upswing.

In each main centre, the median FHB price is lower than the figure for all buyers, but higher than the lower quartile for all buyers – in other words, FHBs don't always enter at the bottom. In terms of the prices themselves, Auckland is the main centre where FHBs pay the most, at a median of $880,000 so far in 2026, which is $110,000 less than the all-buyer median, but $110,000 more than the all-buyer lower quartile. Median FHB prices paid are $795,500 in Tauranga so far in 2026, followed by Wellington at $736,250, Hamilton $715,000, and lower still in Christchurch and Dunedin.

FHB % share of purchases

Source: Cotality

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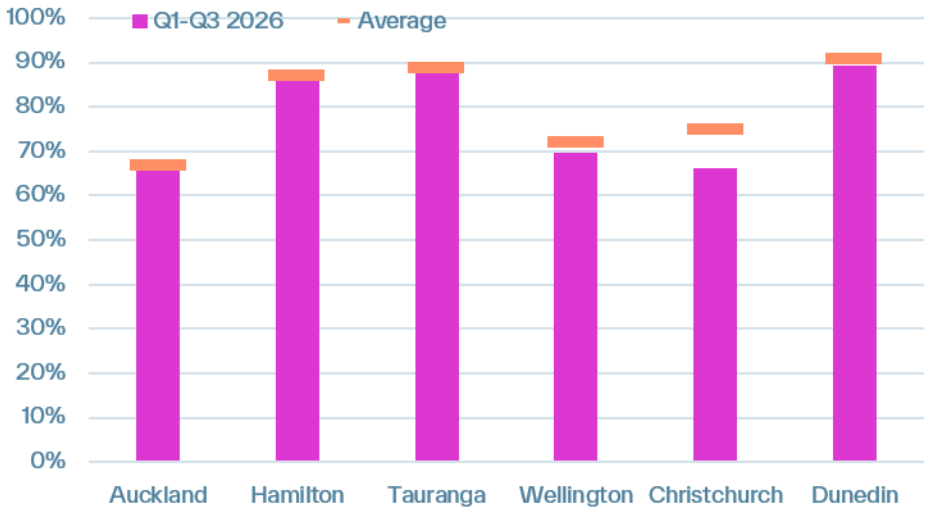
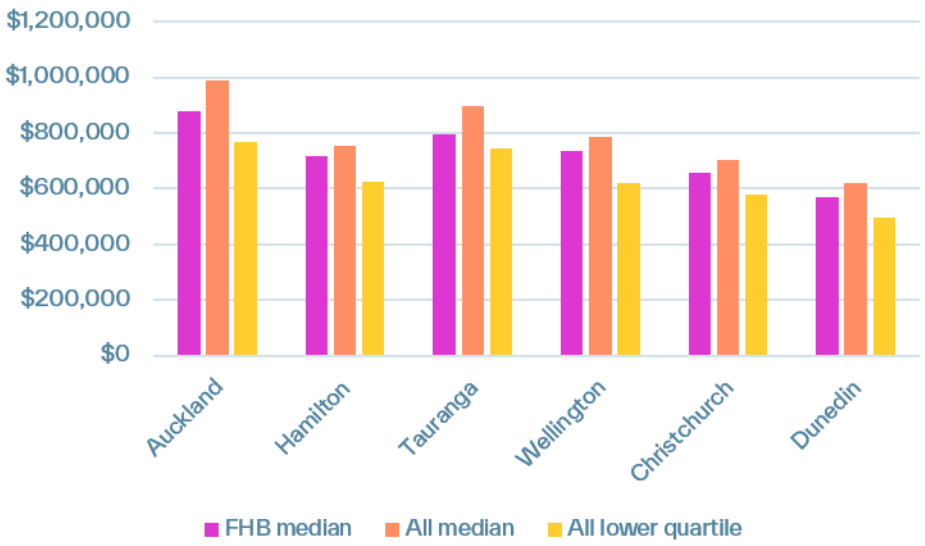
House % share of FHB purchases



Source: Cotality

Purchase price paid Q1-Q3 2026



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The main urban areas

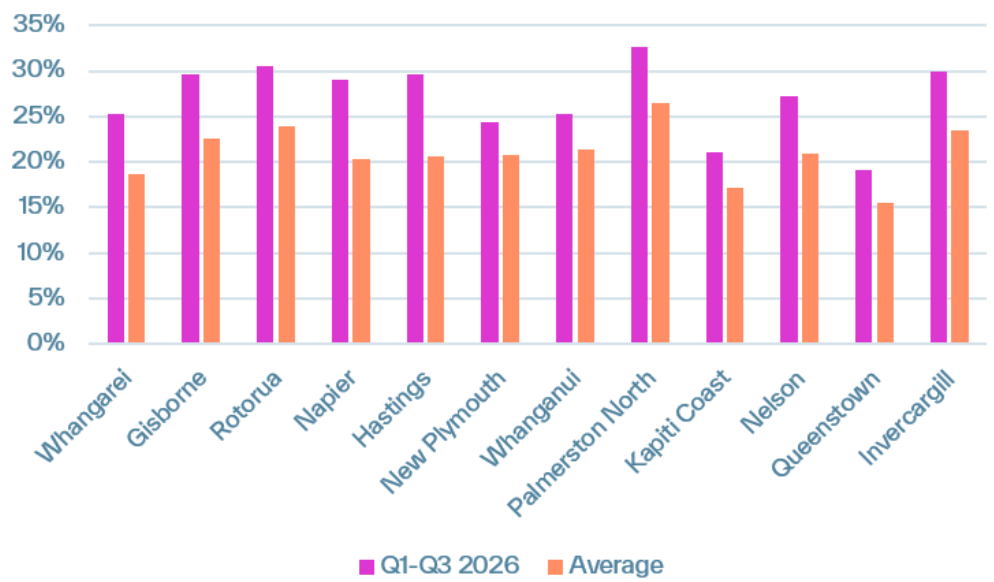
Digging deeper into the next 12 key centres around New Zealand, the story of relative strength for FHBs' market share has remained in place so far in 2026. Palmerston North stands out with 33% of transactions in the year to date going to FHBs (6%-points above its average), although Rotorua, Gisborne, Hastings, and Invercargill have also had FHB shares of 30% or more this year. Relative to their own averages, Napier and Hastings have been strongest, with figures 9%-points above normal.

But even in areas where FHBs have traditionally found conditions harder or have simply been less interested, there's still been relative strength this year. For example, Whangarei's share going to FHBs has been 25% in 2026 (versus average since 2005 of 19%), Kapiti Coast at 21% versus 17%, and Queenstown-Lakes at 19% versus 15%.

Standalone houses tend to be the dominant type of property amongst the existing dwelling stock in many provincial areas, and therefore also account for a high share of FHB purchases. So far this year, houses have been at least 90% of FHB purchases in Invercargill, Palmerston North, Whanganui, Rotorua, and Gisborne. It's been 80-89% in Nelson, Kapiti Coast, Hastings, Whangarei, Napier, and New Plymouth. Queenstown is lower at just 64%, but that's likely to reflect a wider range of property types amongst the existing stock of dwellings, as well as affordability pressures which are probably pushing FHBs towards lower price brackets (and hence smaller dwellings).

Indeed, in terms of median prices paid by FHBs so far this year, the highest figure (amongst the main urban areas) has been in Queenstown, at $1,275,000. Kapiti Coast comes in at $700,000, with Whangarei, Rotorua, Napier, Hastings, New Plymouth, and Nelson all at least $600,000. By contrast, Invercargill ($480,000) and Whanganui ($460,000) are at the lower end.

FHB % share of purchases



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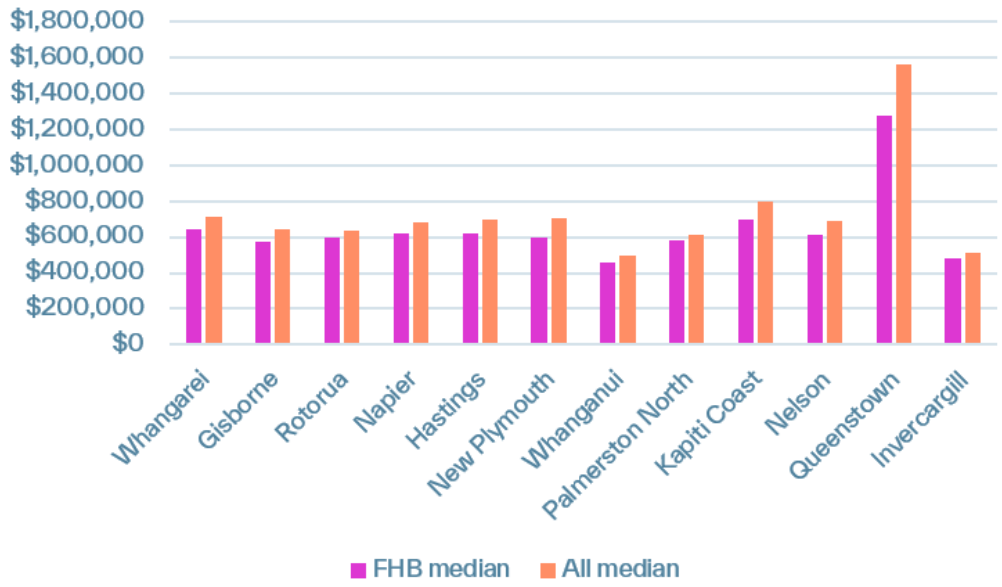
Purchase price paid Q1-Q3 2026



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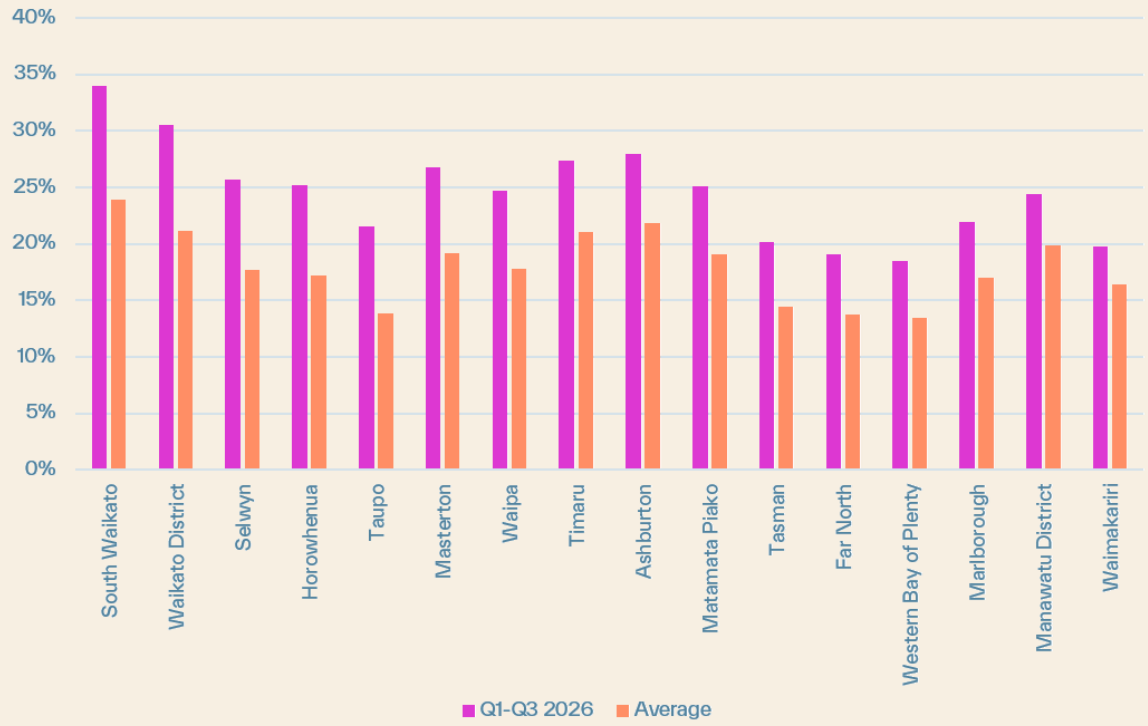
The provinces

Around NZ's provincial markets (with a minimum number of 125 FHB purchases so far in 2026), all have had a FHB % market share above the long-term average. The highest raw numbers have been in South Waikato (34%), Waikato District (31%), along with Ashburton (28%), Timaru and Masterton (27% apiece), and Selwyn (26%). The figures have been less than 20% in Far North, Western Bay of Plenty, and Waimakariri. Compared to their own averages, South Waikato and Waikato District have also been robust for FHBs, along with Selwyn and Horowhenua.

Meanwhile, in terms of the prices being paid by FHBs in these provincial areas, Western Bay of Plenty has had the highest figure so far in 2026 ($760,000), with Selwyn at $749,000, and Waipa and Waikato District both on $730,000. By contrast, the prices have been $500,000 or less in Masterton, Timaru, Horowhenua, and South Waikato.

FHB % share of purchases



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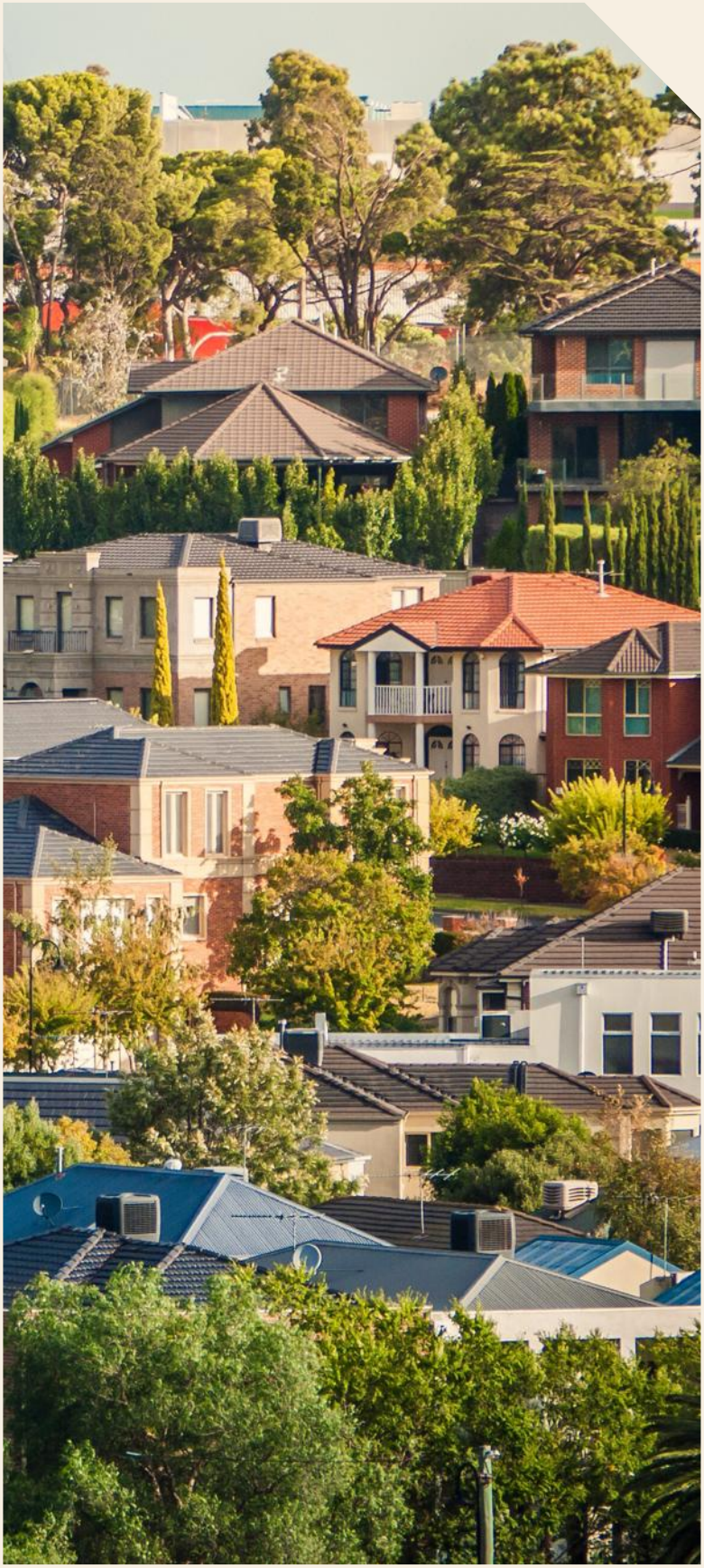

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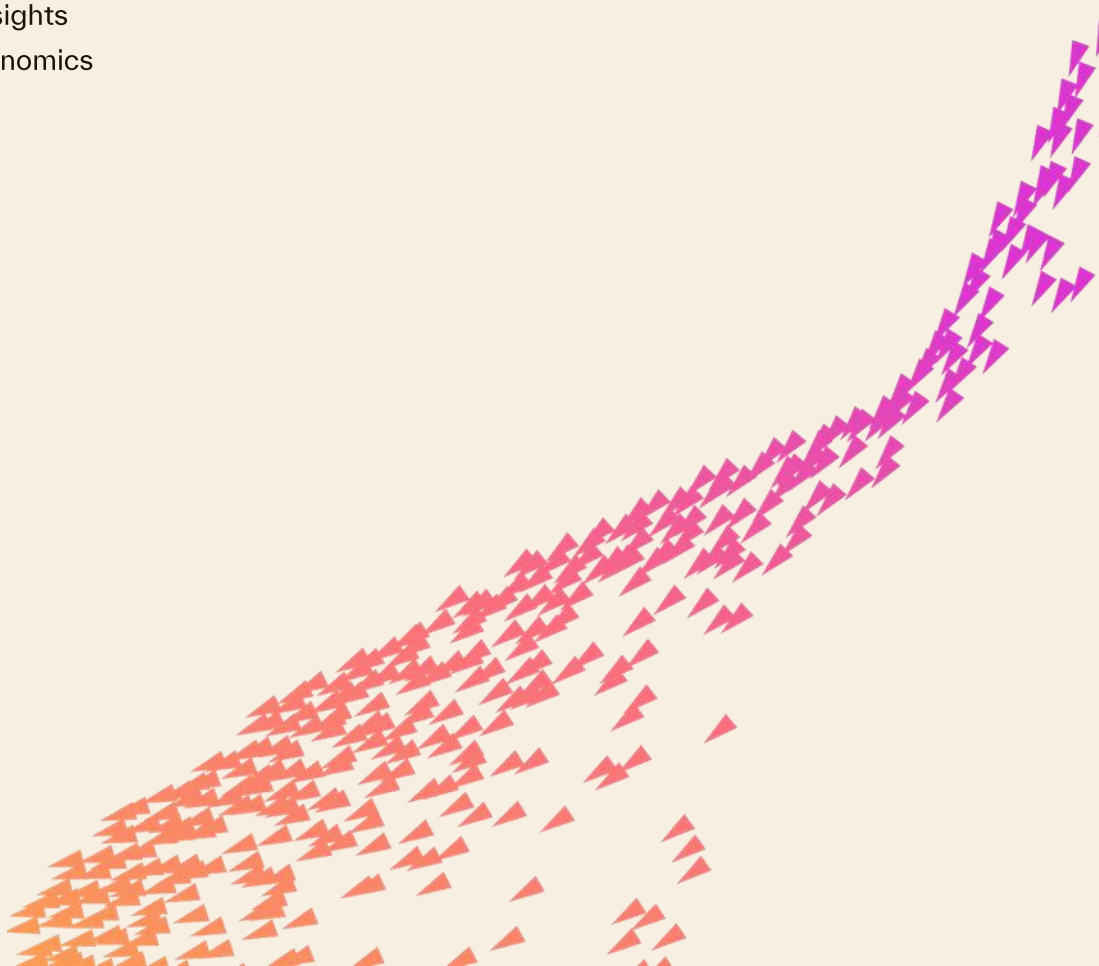


October 2026

ECONOMIC BULLETIN

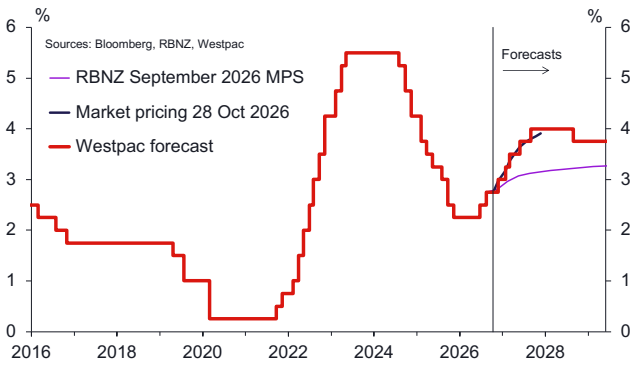
RBNZ October 2026 Monetary Policy Review.

28 Oct 2026 | **Kelly Eckhold**, Chief Economist | +64 9 348 9382 | +64 21 786 758 | kelly.eckhold@westpac.co.nz

Sticking with the plan

- **The RBNZ left the OCR at 2.75% - a shock to the market.**
- **The committee voted 4:3 against a 25bp hike, with Governor Breman within the "on hold" camp.**
- **The RBNZ delivered on its September strategy of pausing to assess the impact of OCR increases done to date.**
- **The MPC remains of the view that the OCR will increase eventually, although views on the timing differ among members.**
- **Westpac expects a 25bp hike in December and continues to expect an eventual peak OCR of 4% in September next year.**
- **However, a December hike is not a done deal and will depend on data on fuel prices, inflation expectations and second-round pricing pressures and information on evolving global economic risks that accumulate in the next six weeks.**

Official Cash Rate forecasts



OCR remains at 2.75%, further hikes remain their base case.

Today the RBNZ left the OCR unchanged at 2.75%. This was a shock to markets and most analysts as a 25bp hike had been nearly fully priced by markets. The decision went to a vote which resulted in a 4:3 split in favour of an unchanged OCR.

The RBNZ has followed through on the pause it signalled for this meeting back in the September *Monetary Policy Statement*. All MPC members continue to see a case for a higher OCR in time, but there are different views around the timing of those increases. The Governor noted that further interest rate increases remain likely in coming meetings but are conditional on the whether the outlook evolves in line with expectations.

The key case made by more hawkish MPC members (Silk, Gourley and Conway) put greater weight on the persistence of underlying inflation and the risk that higher inflation becomes entrenched in price-setting behaviour. They noted that core inflation has been above levels consistent with the 2% target midpoint for some time,

and viewed aggregate economic growth as relatively resilient despite weakness among many households and businesses. In their view, tightening now would guard against sustained inflation pressures and reduce the risk of needing to do more later.

The case made by the majority in favour of no change in the OCR (Breman, Hansen, Gai and Williams) argued that the two recent OCR increases warranted more time to assess their effects. They placed weight on inflation having been weaker than expected in the Q3 data (the Governor emphasised this point in answer to questions at the press conference), smaller-than-anticipated indirect effects from higher fuel prices, stable inflation expectations and subdued wage growth. They also emphasised downside risks to the recovery, particularly the continued weakness in household consumption and investment, and judged that there was little evidence so far that businesses were using higher costs as an opportunity to rebuild margins.

One point of note today is that the RBNZ seems more concerned about risks to the global outlook, notwithstanding its recent resilience – possibly channelling some recent comments made by the IMF. The RBNZ notes that geopolitical events, high energy prices, and high and rising public and private debt levels pose downside risk to global growth. It also notes uncertainty about whether the surge in AI investment will be justified by economic fundamentals. In addition, the MPC debated whether higher global interest rates reflected a higher neutral rate – due to higher inflation expectations and demand for funding – or posed the risk of bringing forward a potential global downturn (possibly leading to a rapid decline in the event of an abrupt global adjustment).

The exchange rate has adjusted sharply lower today, reflecting the market shock. The NZD/AUD exchange rate has moved to a new cycle low of around 0.7980 at the time of writing. This is in line with our year-end target for the NZD/AUD exchange rate of 0.79 cents. Compounding the downward pressure on the NZD/AUD exchange rate has been strong CPI data in Australia combined with hawkish RBA commentary. Our colleagues in Australia continue to **expect a Cash Rate hike in Australia** on Melbourne Cup Day and some risk of a further Cash Rate rise in February. Hence downward pressure on the NZD exchange rate seems a reasonable prospect given interest rate differentials are weighing heavily on the NZD. The RBNZ does not sound especially perturbed by the prospect of weakness in the exchange rate and noted that the low exchange rate is supportive of the medium-term prospects of the export sector and the economy more broadly.

Westpac outlook – December hike likely, but not done deal.

We changed our forecasts from no change in the OCR at the October meeting to a 25bp hike in the wake of the CPI data last week. Given the absence of the hike today we are reverting to the OCR forecast profile we had had in place since July – i.e. one further 25bp hike in 2026 and then 25bp increases in the February and March 2027 meetings, followed by a slower pace of increases at the June and September *Monetary Policy Statement* meetings. Our forecast of a peak OCR of 4% from September 2027 has remained unchanged throughout, as has our assessment of a 3.75% neutral OCR.

That said, in the current uncertain environment, it goes without saying that the evolution of monetary policy will depend on how both global events and key data evolve (we summarise the near-term economic diary below). Therefore, as the RBNZ noted itself today, the exact timing of the tightening profile is highly uncertain and even the tightening we forecast at the December meeting should not be regarded as a done deal.

Things to watch ahead of the 9 December meeting.

The RBNZ's next policy review is on 9 December, when it will also publish a full *Monetary Policy Statement* (MPS) and refreshed economic forecasts. How the RBNZ's policy stance evolves between now and then will depend on both international and domestic factors.

Regarding the former, the MPC has clearly become more concerned about risks to the global economic outlook, stemming from geopolitical events, high energy prices, high and rising public and private debt levels and uncertainty about whether the surge in AI investment will be justified by economic fundamentals. So, the RBNZ will pay close attention to any developments that suggest that downside risk to the global outlook is materialising.

There are only a few important domestic economic indicators scheduled for release ahead of the 9 December meeting (by contrast there is a full slate of indicators due for release prior to the following meeting on 10 February). We think the following are the key ones to watch.

- **Q3 labour market surveys**
  (4 November): Indicators from these surveys will cast light on economic activity in Q3, capacity pressures in the labour market and whether the lift in headline inflation is impacting growth in wages and salaries.
- **Q4 RBNZ surveys**
  (17 November, 20 November, 24 November): Inflation expectations measures from the RBNZ's surveys of professional forecasters, households and businesses will be analysed to assess the impact of elevated headline inflation.

- **October Selected Prices** (17 November): These pricing indicators will provide a partial read on how inflation is tracking early in Q4.
- **October/November ANZ Business Outlook** (29 October/30 November): The ANZ surveys will provide a timely account of how business activity and pricing behaviour is responding to the sharp rebound in oil prices.
- **October PMI and PSI surveys** (13 November/16 November): These may provide some early insight regarding GDP growth in Q4.

In addition to the above, we will monitor a range of other high-frequency indicators, such as monthly data on filled jobs, consumer spending, building consents, housing market activity and prices, job ads and consumer confidence. We will also be paying close attention to developments in prices for New Zealand's key export commodities.

Finally, with the General Election taking place on 7 November, it is possible that opinions regarding the likely path of monetary policy could be impacted should a Labour Party-led government – with an intention to restore the RBNZ's dual mandate – seem likely to be formed.

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